A man and a university donor club entered into a written contract drafted by the university that obligated the man to purchase a $100,000 life insurance policy with the university as the sole, irrevocable beneficiary. In exchange, the man would have preferred membership status and the "lifelong opportunity to purchase season tickets to university athletic games." The man purchased the life insurance policy as agreed. Several years later, the university instituted a program that required all its donor club members, including the man, to pay an annual $325 per-seat license in order to retain the "opportunity to purchase season tickets."

The man has filed an action against the university for a declaratory judgment that he is entitled to purchase season tickets without paying the seat license fee.

Who should prevail in this action?

A. The man, because the contract is unambiguous and does not contemplate any additional fees.

B. The man, because the contract will be interpreted against the university as the drafter.

C. The university, because the contract does not prohibit the university from increasing ticket prices.

D. The university, because the man was not deprived of the opportunity to purchase tickets.

Explanation:

Rules of contract interpretation

Plain-meaning rule (most courts)	• Court interprets contract terms according to their plain meaning (unless parties clearly intended specialized meaning) • Goal is to effectuate parties' outward expressions of intent • Extrinsic evidence may be used to clarify ambiguous or overly vague terms
Context rule (some courts)	• Court interprets contract terms by considering all facts & circumstances related to transaction • Goal is to effectuate parties' actual intent

This action for declaratory judgment asks the court to define the contracting parties' rights and obligations under their agreement. The court's main concern is to give effect to the parties' outward expressions of intent, so the **court will interpret the contract** according to its **plain (ie, ordinary) meaning** whenever possible. Accordingly, if the contract's language is clear and unambiguous, the court will stop its interpretive process with that language.*

Here, the contract's language is clear and unambiguous. So long as the man fulfills his contractual obligations (and he has), the university must provide him the "opportunity to purchase" season tickets. The contract does not contemplate any additional fees that the man must pay to retain this opportunity. Therefore, the man should prevail in his action for declaratory judgment based on the contract's plain meaning.

*The court may go outside the four corners of the document to clarify the meaning of terms that are ambiguous (ie, subject to more than one reasonable interpretation) or overly vague (ie, imprecise).

(Choice B) Under the doctrine of *contra proferentem*, ambiguous contract terms are interpreted against the drafter to protect the rights of the nondrafter. But this doctrine does not apply when, as here, the terms are unambiguous.

(Choice C) The contract made no guarantees regarding ticket prices, so the university is free to increase ticket prices. However, the university cannot impose additional fees that the man must pay to retain the opportunity to purchase tickets at the prevailing price, whatever that may be.

(Choice D) Although the man has not been deprived of the opportunity to purchase tickets, he would be deprived of the benefit he bargained for if he is required to pay additional fees before being allowed to exercise this opportunity.

Educational objective:

The plain-meaning rule of contract interpretation instructs courts to rely on the ordinary meaning of the words if the contract's language is clear and unambiguous.

References

- 17A Am. Jur. 2d Contracts § 325 (2020) (interpreting unambiguous contracts).

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An innkeeper, who had no previous experience in the motel or commercial laundry business and who knew nothing about the trade usages of either business, bought a motel and signed an agreement with a laundry company for the motel's laundry services. The agreement was for a term of one year and provided for "daily service at $500 a week." From their conversations during negotiation, the laundry company owner knew that the innkeeper expected laundry services seven days a week. When the laundry company refused to pick up the motel's laundry on two successive Sundays and indicated that it would never do so, the innkeeper canceled the agreement.

The laundry company sued the innkeeper for breach of contract. At trial, clear evidence was introduced to show that in the commercial laundry business "daily service" did not include service on Sundays.

Is the laundry company likely to succeed in its action?

A. No, because the laundry company knew the meaning the innkeeper attached to "daily service," and therefore the innkeeper's meaning will control.

B. No, because the parties attached materially different meanings to "daily service," and therefore no contract was formed.

C. Yes, because the parol evidence rule will not permit the innkeeper to prove the meaning he attached to "daily service."

D. Yes, because the trade usage will control the interpretation of "daily service."

Explanation:

A **misunderstanding** occurs when the parties to a contract attach **different meanings** to the **same term**. If the misunderstanding involves a **material term**, most often there is no contract because there is no meeting of the minds. But if **one party knows** or has reason to know about the misunderstanding, then a **valid contract** will be formed based on the meaning of the **term as understood** by the ***unknowing* party**.

Here, the laundry company agreed to provide "daily service" to the innkeeper's motel. The innkeeper included Sundays in "daily service" but the laundry company—per trade usage in the commercial laundry business—did not, so the parties attached different meanings to the term. Since the laundry company *knew* that the innkeeper expected laundry services seven days a week, including Sundays, the innkeeper's understanding of "daily service" will control. Therefore, the laundry company is unlikely to succeed **(Choice B)**.

(Choice C) The parol evidence rule generally bars evidence of a prior oral or written agreement to modify or contradict the terms of a final written agreement. However, parol evidence is *admissible* to establish an ambiguous term—eg, when, as here, a term is subject to a misunderstanding.

(Choice D) Trade usage can be used to show that a word or phrase has a particular meaning—eg, that "daily service" does not include Sundays in the commercial laundry business. But trade usage will not control when, as here, a party knows that the other party attaches a different meaning to the term.

Educational objective:

When one party to a contract knows or has reason to know that the other party attaches a different meaning to a material term, then the *unknowing* party's meaning of the term will control.

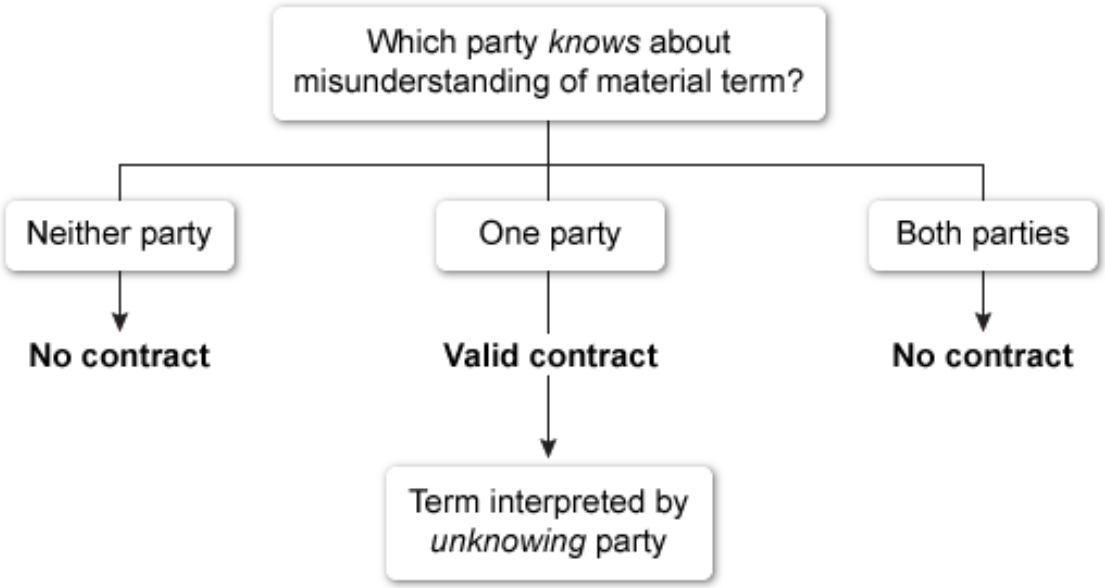
References

- Restatement (Second) of Contracts § 201 (Am. Law Inst. 1981) (whose meaning prevails when a misunderstanding occurs).

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Misunderstanding



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A 16-year-old girl received $3,000 on her birthday to buy a car. Later that week, the girl noticed an old car parked in her neighbor's driveway. A sign posted on the car's windshield read: "For Sale! $5,000 O.B.O." The girl contacted the neighbor about purchasing the car for $5,000. He agreed to sell it to her for a $1,000 down payment and monthly payments of $75 until the car was paid off.

The girl made regular payments until she turned 18 years old. Soon after turning 18, the girl attempted to pay off the car. The neighbor rejected the girl's lump-sum payment, returned all of her prior payments, and took possession of the car.

If the girl sues the neighbor for breach of contract, will she be likely to prevail?

A. No, because the girl was a minor when she agreed to buy the car, so the contract was void .
B. No, because the neighbor voided the contract by returning the girl's prior payments.
C. Yes, because the contract ceased to be voidable by either party once the girl turned 18 years old.
D. Yes, because the girl ratified the contract after she reached the age of majority.

Explanation:

Unmarried, unemancipated **minors** (ie, persons under the age of 18) **lack capacity to contract** because of their infancy. As a result, any contract entered by a minor is **voidable by the minor**.* This means that the minor can either:

- **void** the contract before or soon after turning 18 by (1) **disaffirming** the contract through words or actions and (2) returning any still-existing benefit received under the contract *or*
- **ratify** the contract after turning 18 by (1) failing to timely void the contract or (2) otherwise **agreeing to be bound** by it—eg, by **attempting to render performance** of or **payment under the contract**.

The contract becomes enforceable if the minor ratifies it.

Here, the girl was a 16-year-old minor when she contracted to buy the neighbor's car for $5,000. The *neighbor* tried to disaffirm the contract after the girl turned 18 by returning her prior payments and taking possession of the car. However, the contract was voidable only by the *girl* **(Choices B & C)**. And since she ratified the contract soon after turning 18 by attempting to pay off the car, the contract was enforceable. Therefore, the girl will likely prevail in a suit against the neighbor for breach of contract.

*By statute in some jurisdictions, certain contracts entered by a minor (eg, student loan agreements, insurance contracts) are not voidable by the minor but instead are fully enforceable by the other contracting party.

(Choice A) A void contract is invalid upon creation. But a contract entered by a minor is merely voidable, meaning that it is valid until the minor takes steps to avoid it.

Educational objective:

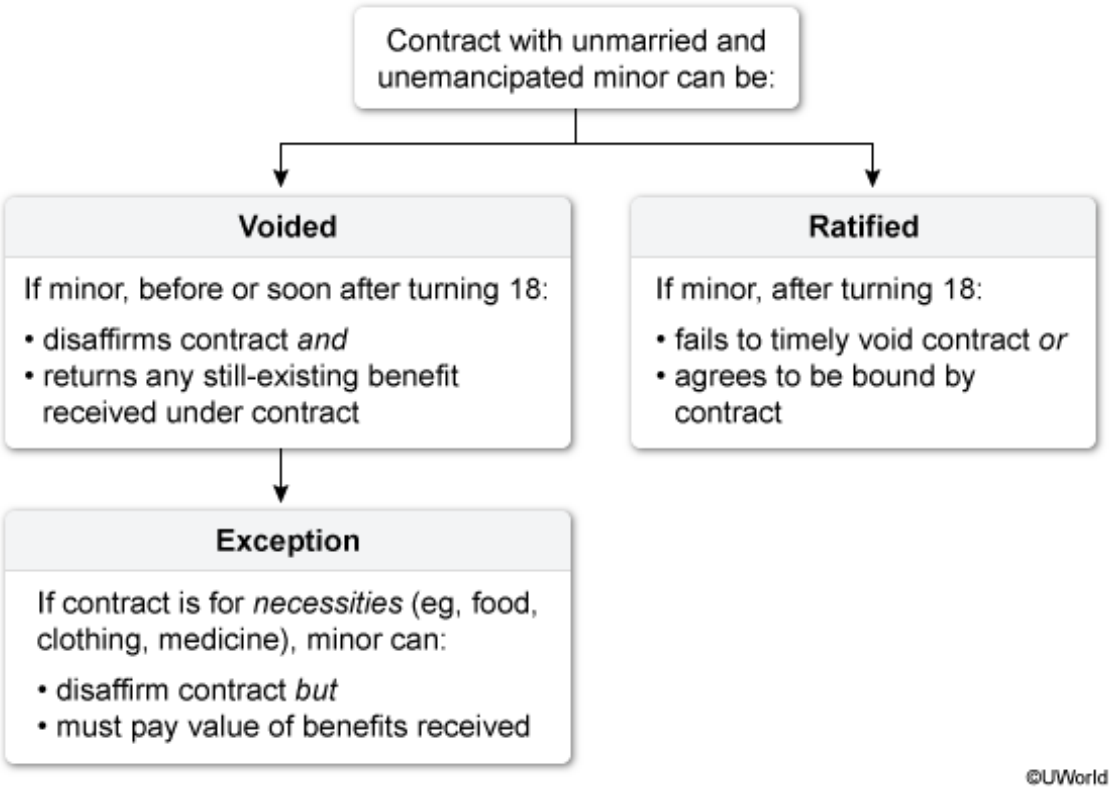
Minors lack capacity to contract, so a minor who enters a contract can either (1) void the contract before or soon after turning 18 or (2) ratify the contract after turning 18—eg, by attempting to render performance of or payment under the contract.

References

- Restatement (Second) of Contracts § 14 (Am. Law Inst. 1981) (incapacity based on infancy).
- Restatement (Second) of Contracts § 85 (Am. Law Inst. 1981) (promise to perform voidable duty).

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Incapacity due to infancy



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A computer retail outlet contracted to service a bank's computer equipment for one year at a fixed monthly fee under a contract that was silent as to assignment or delegation by either party. Three months later, the retail outlet sold the service portion of its business to an experienced and well-financed computer service company. The only provision in the agreement between the retail outlet and the computer service company relating to the outlet's contract with the bank stated that the outlet "hereby assigns all of its computer service contracts to the computer service company."

The computer service company performed the monthly maintenance required under the service contract. Its performance was defective, however, and caused damage to the bank's operations.

Whom can the bank sue for damages arising from the computer service company's defective performance?

A. Either the retail outlet or the computer service company, because since each has the right to enforce the bank's performance of its contract with the retail outlet, mutuality of remedy renders either potentially liable for the defective performance.

B. Either the retail outlet or the computer service company, because the bank has not released the outlet and the bank is an intended beneficiary of the outlet's agreement with the computer service company.

C. The computer service company only, because it is a qualified and a financially responsible supplier of computer services.

D. The retail outlet only, because the computer service company made no promises to the bank.

Explanation:

Contractual duties can be delegated by a party (ie, the promisor) to a nonparty (ie, the delegatee). An **assignment of the *entire* contract** will be construed as an **assignment of rights** and a **delegation of duties**. But even after a delegation of duties, the **promisor remains liable** for breach if the delegatee fails to perform—unless the promisee agrees to release the promisor from his/her duties.

Here, the computer retail outlet and the bank entered a service contract that was silent as to assignment or delegation by either party. The retail outlet assigned the entire contract (ie, rights and duties) to a computer service company, but the bank did not release the retail outlet from its duties. So even though the computer service company was qualified and financially responsible, the bank can sue the retail outlet for damages arising from the computer service company's defective performance **(Choice C)**.

When, as here, the **promisor delegates** his/her duties by forming a **separate contract with the delegatee**, the **promisee** of the original contract becomes an intended beneficiary of that separate contract. This allows the promisee to **sue the delegatee** (in addition to the promisor) in the event of a breach. The bank, as the intended beneficiary of the agreement between the retail outlet and the computer service company, can therefore sue the computer service company for damages—even though it made no promises to the bank **(Choice D)**.

(Choice A) Under the mutuality-of-remedy doctrine, neither party to a contract can obtain *specific performance* unless that remedy is available to both parties. But this doctrine is irrelevant to determining whom the bank can sue for *damages*.

Educational objective:

A party to a contract (ie, the promisor) can delegate his/her duties to a nonparty (ie, the delegatee). But even after this occurs, the promisor remains liable for breach if the delegatee fails to perform—unless the promisee agrees to release the promisor from his/her duties.

References

- Restatement (Second) of Contracts § 318 (Am. Law Inst. 1981) (explaining that delegation of a contractual duty does not discharge the promisor's liability for breach).

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Promisee's recovery for breach after promisor delegates duties

	Versus promisor	Versus delegatee
Informal delegation	✓	
Contractual delegation	✓	✓
Contractual delegation + release (ie, novation)		✓

On January 5, a creditor loaned $1,000 to a debtor under a contract calling for the debtor to repay the loan at the rate of $100 per month payable on the first day of each month. On February 1, at the debtor's request, the creditor agreed to permit payment on February 5. On March 1, the debtor requested a similar time extension and the creditor replied, "Don't bother me each month. Just change the date of payment to the fifth of the month. But you must now make the payments by cashier's check." The debtor said, "Okay," and made payments on March 5 and April 5 by cashier's check. On April 6, the creditor sold the loan contract to a bank but did not tell the bank about the agreement permitting payments on the fifth of the month. On April 6, the bank wrote to the debtor: "Your debt to [the creditor] has been assigned to us. We hereby inform you that all payments must be made on the first day of the month."

Can the debtor justifiably insist that the payment date for the rest of the installments is the fifth of each month?

A. No, because a contract modification is not binding on an assignee who had no knowledge of the modification.

B. No, because although the creditor waived the condition of payment on the first of the month, the bank reinstated it.

C. Yes, because although the creditor waived the condition of payment on the first of the month, the creditor could not assign to the bank his right to reinstate that condition.

D. Yes, because the creditor could assign to the bank only those rights the creditor had in the contract at the time of the assignment.

Explanation:

Assignment of contractual rights

Limitations	• Assignment permitted unless it: – materially increases obligor's contractual duties or risks – materially reduces obligor's chance of obtaining performance *or* – is void (not merely prohibited) under contract provision
Requirements	• Present intent to immediately assign right • Consideration generally required to make assignment irrevocable – Exceptions: promissory estoppel, delivery of document symbolizing assigned right (eg, stock certificate), delivery of written & signed assignment
Assignee's rights	• Assumes all of assignor's rights as contract stands at time of assignment, subject to claims/defenses that: – accrued before obligor received notice of assignment *or* – stem from assignor's present or future failure to perform • Assignor loses rights & therefore cannot enforce contract

An **assignment** is the **transfer of rights** under a contract to another (ie, assignee). The assignee takes all of the rights of the assignor as the contract stands **at the time of the assignment**.

Here, the contract between the debtor and the creditor called for the debtor to make payments on the first day of each month. The parties effectively modified that contract when the creditor promised to accept payments on the *fifth* day of each month in exchange for the debtor's promise to make the payments by cashier's check.* Since this occurred *before* the creditor assigned his rights under the loan contract to the bank, the debtor can justifiably insist that the payment date for the rest of the installments is the fifth of each month.

*Note that there was consideration for the creditor's promise to accept payment at a later date (and the modification was effective) because the debtor altered his preexisting duty to pay the debt by promising to make future payments by cashier's check.

(Choice A) There is no rule that makes a contract modification ineffective as to an assignee simply because the assignee had no notice of it. As such, the assignee (here, the bank) is bound by the modification.

(Choices B & C) It is true that if a party waives a condition, that party may reinstate the condition with respect to future acts of performance. However, that rule is not applicable

here because the parties modified the contract by mutual agreement and the opportunity to reinstate a condition was no longer available.

Educational objective:

An assignee (ie, one to whom rights under a contract are transferred) takes all of the assignor's rights as the contract stands at the time of the assignment.

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Under the terms of a written contract, a contractor agreed to construct a garage for a homeowner for $10,000. Nothing was stated in the parties' negotiations or in the contract about progress payments during the course of the work. After completing 25% of the garage strictly according to the homeowner's specifications, the contractor assigned his rights under the contract to a bank as security for an $8,000 loan. The bank immediately notified the homeowner of the assignment.

The contractor then, without legal excuse, abandoned the job before it was half-complete. The contractor subsequently defaulted on the loan from the bank. The contractor has no assets. It will cost the homeowner at least $8,000 to get the garage finished by another builder.

If the bank sues the homeowner for $8,000, which of the following will the court decide?

A. The bank wins, because the bank as a secured creditor over the contractor is entitled to priority over the homeowner's unsecured claim against the contractor.

B. The bank wins, because the contract was in existence and the contractor was not in breach when the bank gave the homeowner notice of the assignment.

C. The homeowner wins, because her claim against the contractor arose prior to the contractor's default on his loan from the bank.

D. The homeowner wins, because her right to recoupment on account of the contractor's breach is available against the bank as the contractor's assignee.

Explanation:

Assignment of contractual rights

Limitations	• Assignment permitted unless it: – materially increases obligor's contractual duties or risks – materially reduces obligor's chance of obtaining performance *or* – is void (not merely prohibited) under contract provision
Requirements	• Present intent to immediately assign right • Consideration generally required to make assignment irrevocable – Exceptions: promissory estoppel, delivery of document symbolizing assigned right (eg, stock certificate), delivery of written & signed assignment
Assignee's rights	• Assumes all of assignor's rights as contract stands at time of assignment, subject to claims/defenses that: – accrued before obligor received notice of assignment *or* – stem from assignor's present or future failure to perform • Assignor loses rights & therefore cannot enforce contract

A party to a contract is generally **free to assign** (ie, transfer) its contractual rights to another. The recipient of those rights (assignee) then steps into the shoes of the assigning party (assignor) and **assumes** all of the assignor's **contractual rights** to the obligor's performance as they stand at the time of the assignment. However, those rights are **subject to** any **claims or defenses** that:

- **accrued *before*** the obligor received **notice of the assignment** *or*
- stem from the assignor's present or future **failure to perform (Choice B)**.

Here, the contractor assigned his contractual rights to the bank—including the right to sue the homeowner for money owed under the contract up to the amount of the bank loan ($8,000). However, the bank's recovery is subject to the homeowner's right to recoup $8,000 for the contractor's subsequent failure to finish the garage. Since this fully offsets the bank's recovery, the court will decide for the homeowner.

(Choice A) The priority of secured and unsecured claims is relevant in bankruptcy proceedings and other situations where claims are paid in order of priority. But here, the bank's secured-creditor status over the contractor does not affect the homeowner's right to offset the bank's recovery.

(Choice C) Had the homeowner's claim been *unrelated* to the contractor's failure to perform, the timing of the breach and when she received notice of the assignment would

affect her ability to prevail. But the time that the contractor defaulted on the bank's loan is irrelevant to her success.

Educational objective:

An assignee assumes all of the assignor's contractual rights that exist at the time of the assignment. However, the assignment is subject to any claims or defenses that (1) the obligor could have raised before receiving notice of the assignment or (2) stem from the assignor's failure to perform.

References

- Restatement (Second) of Contracts § 336 (Am. Law Inst. 1981) (defenses against assignee).

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An elderly woman underwent major surgery and spent two weeks in the hospital. The woman continued to take powerful pain medication for several weeks after she returned home. During her recovery, she offered to sell her car for $450 to her neighbor, who owned a house-cleaning service. The neighbor said, "That's great! I need a car to transport all the people who work for me to their job sites."

In fact, the woman's car was worth $3,000, and the neighbor knew this. He was also aware that the woman had undergone surgery and noted that she seemed "out of it" because of the medication she was taking.

Several days later, the woman's son found out about the deal and contacted the neighbor, telling him that the woman would sell him the car, but for $3,450. The next day, when the neighbor tendered $450 and demanded that the woman give him the car, she refused.

If the neighbor sues the woman for breach of contract, will he be likely to prevail?

A. No, because the contract was voidable due to the woman's apparent incapacity.

B. No, because the woman put nothing in writing.

C. Yes, because the neighbor's reliance on the otherwise voidable contract made it enforceable.

D. Yes, because the woman's offer and the neighbor's acceptance created an enforceable contract.

Explanation:

Incapacity to form contract

Infancy	• Person under 18 enters contract • Voidable if disaffirmed by minor before or soon after turning 18 • Minor must return any still-existing benefit received under contract
Mental illness	• Mental capacity so deficient that party cannot reasonably understand (or act in relation to) nature or consequences of contract AND other party had reason to know • Voidable if disaffirmed by incapacitated party when lucid or by legal representative
Intoxication	• Party too intoxicated to reasonably understand (or act in relation to) nature or consequences of contract AND other party had reason to know • Voidable if promptly disaffirmed by intoxicated party upon becoming sober • Intoxicated party must offer to return any consideration received & may be liable for fair value of goods or services provided

A **valid contract** is generally formed when a mutual agreement is supported by adequate consideration—eg, when the woman offered to sell her car and the neighbor accepted. That contract is **enforceable unless** the breaching party establishes a **defense (Choice D)**. **Incapacity due to intoxication** is a defense when:

- an intoxicated party **could not reasonably understand** or act in relation to the nature or consequences of the contract (eg, selling a car worth $3,000 for only $450) *and*
- the other party had **reason to know** of the intoxication (eg, noticing that the intoxicated party was "out of it" when the contract was formed).

This renders a contract voidable, so it can be set aside if the intoxicated party **acts promptly** (ie, within a reasonable time) to **disaffirm it upon becoming sober**. And here, the woman likely was still under medication when she disaffirmed the contract by refusing to give the neighbor the car, so the neighbor is *unlikely* to prevail.

(Choice B) A contract need only be in writing and signed by the party to be charged if it falls within the statute of frauds. This rule applies to contracts for the sale of goods for $500 or more, but it does not apply to this contract to sell the car for only $450.

(Choice C) Under the doctrine of promissory estoppel, a party can enforce a promise on which it relied when *no* valid contract was formed. But the doctrine only allows recovery if

the party's reliance was reasonable and caused substantial detriment—neither of which is seen here.

Educational objective:

Incapacity due to intoxication renders a contract voidable if the intoxicated party could not reasonably understand the nature or consequences of the contract AND the other party had reason to know of the intoxication. The contract can then be set aside if the intoxicated party promptly disaffirms it upon becoming sober.

References

- Restatement (Second) of Contracts §§ 12–16 (Am. Law Inst. 1981) (incapacity to contract).

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During an ice storm, a man's car slipped down an embankment and became lodged against a large tree. The man called a towing company and told the company's manager that the car was 100 feet down the embankment. "That's lucky," said the manager, "because our winch only goes 100 feet." After the manager and the man agreed on a price, an employee of the company attempted to reach the car but could not because the car turned out to be 120 feet down the embankment.

Is the towing company's performance excused on the grounds of mistake?

A. No, because both parties were uncertain about the distance.

B. No, because the towing company assumed the risk by the manager's failure to examine the distance himself.

C. Yes, because at the time of contracting, both parties were mistaken about a basic assumption on which the contract was based.

D. Yes, because the agreement did not allocate the risk of mistake to either party.

Explanation:

When party assumes risk of mistake

Express	Contract allocates risk to party
Conscious ignorance	Party enters contract despite conscious ignorance of facts related to mistake
Adjudication	Court allocates risk to party because reasonable under circumstances

When both parties enter a contract based on the same mistake (ie, **mutual mistake**), the contract is voidable by the **adversely affected party** if:

- the mistake relates to a **basic assumption** of the contract
- the mistake **materially affects** the agreed-upon **exchange of performances** (ie, the adversely affected party cannot fairly be required to carry it out) *and*
- the adversely affected party **does not assume** the **risk of the mistake**.

Here, both parties entered the agreement based on the erroneous belief that the man's car was 100 feet down the embankment **(Choice A)**. That mistake relates to a basic assumption of the contract since the towing company's winch only goes 100 feet. And it materially affects the agreed-upon exchange because the towing company cannot be expected to tow a car that its winch cannot reach. Therefore, the towing company's performance will be excused because it also did *not* assume the risk of the mistake—ie:

- the agreement did not expressly allocate the risk of the mistake to the towing company
- there is no indication that the towing company knew that the man's car was probably more than 100 feet down the embankment and contracted to tow it anyway *and*
- it would not be reasonable for a court to allocate the risk of the mistake to the towing company when its winch cannot even reach the car **(Choice D)**.

(Choice B) A party's failure to know or discover facts before entering into a contract (eg, the manager's failure to examine the distance himself) does not prevent the party from avoiding the contract.

Educational objective:

The adversely affected party can avoid a contract on the grounds of mutual mistake if (1) the mistake relates to a basic assumption of the contract, (2) the mistake materially affects the agreed exchange of performances, and (3) the adversely affected party does not assume the risk of the mistake.

References

- Restatement (Second) of Contracts § 152 (Am. Law Inst. 1981) (when mutual mistake makes a contract voidable).
- Restatement (Second) of Contracts § 154 (Am. Law Inst. 1981) (when a party bears the risk of a mistake).

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A buyer expressed interest in purchasing an industrial air-conditioning system manufactured by the seller. The parties agreed orally on a price of $100,000 for the system, but continued to negotiate over several points. When all matters regarding the air-conditioning system were finally settled, the parties signed a written agreement. It provided that the price for the system, which would be delivered on June 1, would be $110,000. The written agreement, a lengthy form contract, did not contain a merger clause.

The seller delivered the system on June 1, but the buyer refused to pay more than $100,000, citing the earlier oral agreement as to price.

The seller sued the buyer for the additional $10,000 under the written agreement.

Is the court likely to admit the evidence of the orally agreed price of $100,000?

A. No, because the buyer assumed the risk of any mistake as to price.
B. No, because the oral price term would contradict an express term in the written agreement.
C. Yes, because the oral price term is relevant to whether the writing should be reformed.
D. Yes, because the written agreement did not contain a merger clause.

Explanation:

Integration

Type	Definition	Effect
Complete integration	Writing that sets forth parties' final agreement about *all* terms	• Excludes parol evidence within scope of agreement • Parol evidence *inadmissible* to supplement (ie, add to) or contradict contract
Partial integration	Writing that sets forth parties' final agreement about *some* terms	• Excludes parol evidence inconsistent with agreement • Parol evidence *admissible* to supplement (not contradict) contract

Under the **UCC parol evidence rule**, evidence of any prior agreement (or contemporaneous oral agreement) cannot be used to **contradict the terms** of an **integrated writing**. A writing is integrated if the **parties intended** for it to be a **final expression** of their agreement about **some or all of the terms**.

Here, the parties intended for the written contract to be the final expression of their agreement since they entered into the contract only after they had settled "all matters" regarding the purchase of the air-conditioning system. As a result, the court is unlikely to admit evidence of the $100,000 oral price term because it *contradicts* the $110,000 price term expressed in the written contract.

(Choice A) Evidence used to establish a defense to formation or enforceability of a contract (eg, mistake) is excepted from the parol evidence rule. Here, there is no evidence of mistake (eg, that the $110,000 price term in the written contract was due to a clerical error). But if there were, evidence of the mistake would be *admissible*.

(Choice C) Evidence used to establish a ground for granting a remedy (eg, reformation) is also excepted from the parol evidence rule. Mistake and misrepresentation are grounds for granting reformation, but the oral price term is evidence of neither.

(Choice D) A merger clause is strong but not definitive evidence that a contract is completely integrated. But here, it does not matter whether the contract was completely or partially integrated; in either case, the parties cannot use parol evidence to contradict the written terms.

Educational objective:

The UCC parol evidence rule bars evidence of any prior agreement (or contemporaneous oral agreement) that contradicts the terms of an integrated writing.

UCC = Uniform Commercial Code

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (parol evidence rule).
- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (exceptions to parol evidence rule).

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A homeowner went to an appliance store to purchase a new refrigerator. The homeowner's old refrigerator had just been destroyed by an electrical surge, and he needed to purchase a new one immediately to prevent food spoilage. The homeowner did not understand English, so he conversed with the salesperson in Spanish.

The homeowner told the salesperson about the electrical surge and explained that he did not have enough cash for a new refrigerator. The salesperson told the homeowner not to worry because the appliance store offered no-interest financing for a "small finance fee." Then the homeowner signed a contract printed in English. The contract provided for a purchase price of $900, payable in three equal monthly installments, plus a finance fee of $500. The homeowner made three installment payments of $300 each but never paid the finance fee.

If the appliance store sues the homeowner for breach of contract and seeks to exclude any evidence of the conversation between the homeowner and the salesperson, how will the court likely rule?

A. Admit the evidence as proof of a collateral agreement.

B. Admit the evidence as proof of unfair surprise in the contract's terms.

C. Exclude the evidence as contradicting an unambiguous term of the contract.

D. Exclude the evidence on the basis of a finding that the contract was completely integrated.

Explanation:

The **parol evidence rule** bars evidence of prior or contemporaneous communications between contracting parties that contradict the unambiguous terms of a written contract that is completely or partially integrated.* But this rule **does not apply** to evidence that is offered to establish a **defense to the enforceability** of the contract. One such defense is unconscionability, which is available if the contract involves some element of **unfair surprise**.

Here, the homeowner signed a written contract to purchase the refrigerator. Before doing so, the homeowner had told the salesperson about his financial situation, and the salesperson had told the homeowner that the store offered no-interest financing for a "small fee." Evidence of this conversation shows that the $500 finance fee for a $900 refrigerator was not in line with the homeowner's expectations—particularly since the contract was in English. Therefore, the court should admit the conversation as proof of unconscionability due to unfair surprise.

*However, evidence of prior or contemporaneous communications that supplement (ie, add to) but do not contradict the writing is only barred by the parol evidence rule if the contract is completely integrated.

(Choice A) The parol evidence rule does not apply to evidence of a collateral agreement—ie, a separate deal with its own consideration. But here, the conversation between the salesperson and the homeowner did not concern a separate deal since it directly applied to the sale of the refrigerator.

(Choice C) Evidence that the finance fee was characterized as "small" would ordinarily be barred by the parol evidence rule because it contradicts the unambiguous, $500 finance fee in the contract's terms. But since the evidence helps show that the fee unfairly surprised the homeowner, it is admissible.

(Choice D) Even if a contract is completely integrated, parol evidence may be offered to establish a defense to the enforceability of the contract (eg, unconscionability).

Educational objective:

The parol evidence rule does NOT bar evidence of prior or contemporaneous communications between contracting parties when the evidence is offered to establish a defense to enforceability (eg, unconscionability).

References

- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (exceptions to parol evidence rule).

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An elderly widow had one child, an adult son, who lived out-of-state. The widow was in poor health, so she hired a live-in caregiver to tend to her daily needs. Knowing that the widow owned a successful bakery business, the caregiver befriended the widow in order to convince her to sell her business to the caregiver. When the widow later decided to sell the business to her son, the caregiver became upset. She falsely told the widow that there were no other reliable caregivers available in the widow's community. The caregiver then threatened to quit her job and never speak to the widow again unless the widow agreed to sell the business to the caregiver. Although the widow knew that there were other caregivers available, she depended on the caregiver and was terrified of being without her. The widow therefore executed a contract selling the business to the caregiver for less than half its market value.

Shortly thereafter, the widow was placed under the son's guardianship. When the son learned about the contract and the caregiver's threat, he sued to have the contract annulled on the widow's behalf.

On what basis is the son most likely to prevail?

A. Duress.

B. Lack of capacity.

C. Misrepresentation.

D. Undue influence.

Explanation:

A contract is voidable for **undue influence** if a party's assent was the product of **unfair or excessive persuasion** by **someone who dominated** or shared a special relationship of trust and confidence with that party. Persuasion is unfair or excessive if it seriously impairs the assenting party's ability to exercise free and competent judgment. The following factors are relevant to making this determination:

- Susceptibility of the assenting party (eg, elderly, in poor health)
- Unfairness of the resulting bargain (eg, sale of business for less than half its market value)
- Unavailability of independent advice (eg, attorney unavailable to discuss sale)

Here, the widow relied on the caregiver to tend to her daily needs (dominant relationship). The caregiver's threat to quit and never speak to the widow again likely impaired the widow's judgment and persuaded her to sell the caregiver her business. This is further evidenced by the below-market sales price (unfair bargain) and the widow's age and poor health (susceptibility). Therefore, the son is most likely to prevail on this basis.

(Choice A) Duress renders a contract voidable if a party's assent was induced by an improper threat that left the party with no reasonable alternative but to succumb to that threat. Here, even if the caregiver's threat was improper, the widow had a reasonable alternative (eg, hiring a new caregiver).

(Choice B) A person placed under another's guardianship lacks the capacity to contract, so a contract entered by that person is void (not merely voidable). But here, the widow was placed under the son's guardianship *after* she agreed to sell her business to the caregiver.

(Choice C) A contract is voidable for a misrepresentation that (1) was fraudulent or material, (2) induced assent to the contract, and (3) was justifiably relied on by the assenting party. But since the widow knew other caregivers were available, her reliance on the caregiver's misrepresentation was unjustified.

Educational objective:

Undue influence renders a contract voidable when assent stemmed from unfair or excessive persuasion by someone who dominated or shared a special relationship of trust and confidence with the assenting party.

References

- Restatement (Second) of Contracts § 177 (Am. Law Inst. 1981) (when undue influence makes a contract voidable).

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Undue Influence

Domination



Power over victim



Victim's singular dependence

Special relationship of trust and confidence



Family



Caregiver



Fiduciary

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In a written and signed contract, a buyer agreed to purchase Lot 1 in a subdivision from a developer. Unbeknownst to either party, there was an error in the subdivision's recorded plat, and two separate lots had each been designated as "Lot 1." The buyer intended to purchase the Lot 1 located in the southern half of the subdivision, while the developer intended to sell the Lot 1 located in the northern half of the subdivision. On the day of the closing, the developer presented the buyer with a deed for the northern Lot 1.

Which of the following statements concerning this exchange is accurate?

A. The buyer can enforce the contract for the sale of the northern Lot 1 if he waives the misunderstanding and adopts the developer's understanding of "Lot 1."

B. The buyer can enforce the contract for the sale of the southern Lot 1, because the risk of a plat error can be allocated to the developer that created the plat.

C. The developer can enforce the contract for the sale of the northern Lot 1, because it did not know or have reason to know of the buyer's interpretation of "Lot 1" when the contract was made.

D. The parties must seek reformation of the contract, and the court will decide which of the plats is the true "Lot 1."

Explanation:

Misunderstanding of material term

	General rule	**Waiver**
Neither / both parties know of misunderstanding	No contract formed	*Either* party can enforce *other* party's understanding
One party knows of misunderstanding	Contract formed based on *unknowing* party's understanding	*Unknowing* party can enforce *knowing* party's understanding

A **misunderstanding** arises when there is no meeting of the minds because the parties to a contract assign different meanings to the same term. Where the misunderstanding involves a **material term** and **neither party** (or both parties) **knew or had reason to know** of the misunderstanding, ordinarily there is **no contract**. However, either party can **waive** the misunderstanding and choose to **enforce** the contract in accordance with the **other party's understanding**.

Here, the buyer and the developer assigned different meanings to the term "Lot 1." Neither party was aware of the misunderstanding, and there is no indication that either of them had reason to know of the misunderstanding. Although this would ordinarily result in no contract, the buyer can waive his own misunderstanding to enforce the contract for the sale of the northern Lot 1—the developer's understanding of "Lot 1."

(Choice B) A court can allocate the risk of a *mistake*—ie, an erroneous belief of fact held by one or both parties—to a party upon a finding that it is reasonable in the circumstances to do so (eg, based on that party's culpability). But a court cannot allocate the risk of a *misunderstanding*—ie, the attachment of different meanings to the same term.

(Choice C) The developer cannot enforce the sale of the northern Lot 1 simply because he was unaware of the buyer's misinterpretation. And though the developer could waive the misunderstanding, this would allow the developer to enforce the contract based on the *buyer's* understanding (the southern Lot 1)—not the *developer's* understanding (the northern Lot 1).

(Choice D) When a writing fails to reflect the true meaning of the parties, either party *may* ask the court to reform the contract to accurately express the parties' agreement. But such reformation is generally a remedy for a *mistake*, not a misunderstanding.

Educational objective:

A misunderstanding involving a material term ordinarily results in no contract if neither (or both) parties knew or had reason to know of the misunderstanding. However, one party

can waive the misunderstanding and enforce the contract in accordance with the other party's understanding.

References

- Restatement (Second) of Contracts § 20 (Am. Law Inst. 1981) (effect of misunderstanding).

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A commercial baker and an ingredient supplier orally agreed that the baker would purchase 1,000 pounds of flour from the supplier for a price between 50 and 75 cents per pound. The parties agreed that they would determine the final price upon delivery. The supplier promised to deliver the flour in two weeks.

Later that day, the baker sent the supplier a signed note reminding the supplier about the terms of their agreement, including the quantity of flour. The supplier received the note, read it, and took no further action. When the supplier failed to deliver the flour, the baker sued the supplier for breach of contract.

Can the baker enforce the contract against the supplier?

A. No, because the parties did not agree to a definitive price term.

B. No, because the supplier did not sign the note.

C. Yes, because the baker sent the supplier a signed confirmation.

D. Yes, because the parties' oral agreement is enforceable.

Explanation:

Statute of frauds requirements

Writing Physical or electronic document(s) containing reasonable basis to believe contract was formed (eg, receipt, check, emails) AND

- at common law – identifies parties, subject matter, consideration, time & nature of performance
- under UCC – lists quantity of goods (contract enforceable only up to written quantity)

Signature General rule – handwritten signature from, or other mark identifying, party to be charged (eg, letterhead, electronic signature, initials)

- Merchant exception – between merchants, written confirmation that satisfies statute of frauds as to *sender* will bind both parties if no written objection within 10 days

UCC = Uniform Commercial Code,

The **UCC statute of frauds** applies to contracts for the sale of goods valued at $500 or more. To be enforceable, these agreements must be evidenced by a writing that:

- provides a reasonable basis to believe a contract was formed (eg, the baker's note)
- lists the quantity of goods sold or the means to determine quantity (eg, 1,000 pounds of flour) *and*
- is signed by the party against whom enforcement is sought (here, the supplier) **(Choice B)**.

However, the UCC relaxes the signature requirement in agreements between merchants—ie, regular dealers of the goods involved in the transaction. Under the **merchant exception**, a written confirmation need only be **signed by *one* merchant** and sent to the other merchant. If the recipient has reason to know the confirmation's contents and does not object within 10 days, then it is **enforceable against *both* merchants**.

Here, the baker and the supplier are both merchants—regular dealers in flour. The baker's signed note was a sufficient writing because it confirmed that a contract was formed and listed the quantity of goods sold. Additionally, the supplier had reason to know the contents of the note (received and read it) and did not object within 10 days. Therefore, the contract was enforceable against both parties.

(Choice A) Although the parties did not agree to a definitive price term, they did agree to determine the final price at delivery. And even if they are unable to do so, the contract is enforceable since UCC gap-fillers will supply the price term at the time of delivery.

(Choice D) An oral agreement is unenforceable when, as here, it is subject to the statute of frauds. However, the parties' oral agreement was memorialized in a written confirmation that satisfied the merchant exception to this statute and can therefore be enforced.

Educational objective:

Under the merchant exception to the UCC statute of frauds, a confirmation signed and sent by one merchant to another binds both parties if the recipient has reason to know its contents and does not object within 10 days.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (describing the UCC statute of frauds).
- U.C.C. § 2-305(1)(b) (Am. Law Inst. & Unif. Law Comm'n 2020) (describing open price terms).

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A man who wanted to sell his home executed a written listing agreement with a real estate broker. The agreement was signed by both parties and gave the broker the exclusive right to sell the home for 60 days. It also gave her the right to receive a commission for up to 30 days after the exclusivity period had terminated if the home sold to a buyer with whom the broker had negotiated during the exclusivity period. A clause in the agreement provided that any modifications must be in writing.

Two weeks later, the parties orally agreed to extend the exclusivity period by 60 days (for a total of 120 days). The 120-day exclusivity period ended without a sale. Twenty days later, a buyer with whom the broker had negotiated while the exclusivity period was still in force offered to purchase the home. The man accepted the offer and concluded the sale but refused to pay the broker a commission.

If the broker sues the man for breach of contract, will she be likely to prevail?

A. No, because the parties waived the right to modify the written agreement.

B. No, because the parol evidence rule will prevent proof of the parties' oral agreement.

C. Yes, because the original agreement is not subject to the statute of frauds.

D. Yes, because the parties' oral agreement was an effective modification of their written agreement.

Explanation:

"No oral modification" (NOM) clause

Common law (contracts for services or real estate)	• NOM clause enforceable only if modification must be in writing under statute of frauds
UCC (contracts for sale of goods)	• All parties are merchants – NOM clause always enforceable • ≥ 1 party is nonmerchant – NOM clause in merchant's form must be separately signed by nonmerchant(s) to be enforceable

UCC = Uniform Commercial Code.

At **common law**, a prior **written contract** can be **modified by** a subsequent **oral agreement** unless the modified contract falls within the statute of frauds. This is true **even if** the written contract contains a **"no oral modification" (NOM) clause** purporting to require that any modification be in writing **(Choice A)**. That is because of the common-law principle that the parties to a contract should not be deterred from changing their minds. However, any modification (oral or written) must still be supported by consideration to be enforceable.

Here, the parties orally agreed to extend the exclusivity period by 60 days. Although the written agreement contained a NOM clause, the modified exclusivity period did *not* need to be evidenced by a writing since no statute of frauds provision applies.* And since there was consideration—60 more days of exclusivity in exchange for 60 more days of service—the parties' oral agreement effectively modified their written agreement.

The terms of the modified contract are found partly in the original written agreement and partly in the modifying oral agreement. As a result, the broker had the right to receive a commission for up to 30 days after the 120-day exclusivity period had ended if the home sold to a buyer with whom she had negotiated during that period—which it did. Therefore, the broker will likely prevail.

*Contracts to pay a real estate broker a commission ordinarily fall outside the land-contract provision of the statute of frauds. Some jurisdictions have added a provision to their statute of frauds requiring such contracts to be in writing, but that is not the case here.

(Choice B) The parol evidence rule generally prevents proof of prior or contemporaneous agreements that modify or contradict the terms of a written contract. But this rule does not prevent proof of subsequent agreements between the parties—eg, the oral agreement entered after the written listing agreement was executed.

(Choice C) The agreement to pay the real estate broker a commission is not subject to the statute of frauds. Nevertheless, the broker can only prevail if the oral modification agreement also falls outside of the statute of frauds.

Educational objective:

Common law ignores "no oral modification" clauses and allows written contracts to be modified by subsequent oral agreements unless the modified contract falls within the statute of frauds.

References

- Restatement (Second) of Contracts § 149 (Am. Law Inst. 1981) (oral modifications).

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A ski-shop operator, in a telephone conversation with a glove manufacturer, ordered 12 pairs of vortex-lined ski gloves at the list price of $600 per dozen "for delivery in 30 days." The glove manufacturer orally accepted the offer and immediately faxed to the ski-shop operator this signed memo: "Confirming our agreement today for your purchase of a dozen pairs of vortex-lined ski gloves for $600, the shipment will be delivered in 30 days." Although the ski-shop operator received and read the manufacturer's message within minutes after its dispatch, she changed her mind three weeks later about the purchase and rejected the conforming shipment when it timely arrived.

On learning of the rejection, does the manufacturer have a cause of action against the ski-shop operator for breach of contract?

A. No, because the ski-shop operator neither paid for nor accepted any of the goods tendered.

B. No, because the ski-shop operator never signed a writing evidencing a contract with the manufacturer.

C. Yes, because the gloves were identified in the contract and tendered to the ski-shop operator.

D. Yes, because the manufacturer's faxed memo to the ski-shop operator was sufficient to make the agreement enforceable.

Explanation:

Statute of frauds requirements

Writing Physical or electronic document(s) containing reasonable basis to believe contract was formed (eg, receipt, check, emails) AND

- at common law – identifies parties, subject matter, consideration, time & nature of performance
- under UCC – lists quantity of goods (contract enforceable only up to written quantity)

Signature General rule – handwritten signature from, or other mark identifying, party to be charged (eg, letterhead, electronic signature, initials)

- Merchant exception – between merchants, written confirmation that satisfies statute of frauds as to *sender* will bind both parties if no written objection within 10 days

UCC = Uniform Commercial Code,

Under the **statute of frauds**, a contract for the sale of goods of $500 or more is only enforceable if it is in a writing signed by the party against whom enforcement is sought. The UCC relaxes these requirements in transactions **between merchants** so that the statute of frauds is met as to *both* parties if one party sends a **written confirmation** and the **recipient does not object** in writing **within 10 days**. The written confirmation must:

- provide a reasonable basis to believe a contract was formed (eg, memo confirming the order)
- contain the quantity of the goods or a means to determine it (eg, 12 pairs of vortex-lined ski gloves) *and*
- contain a signature or other identification sufficient to bind the sender (eg, sender's fax number)

Here, the manufacturer faxed the ski-shop operator a memo confirming the order for 12 pairs of vortex-lined ski gloves, which the ski-shop operator did not object to until three weeks later (ie, after the 10-day deadline). Since the fax number will identify the manufacturer as the sender, the memo will be sufficient to bind *both* parties—even without the ski-shop-operator's signature **(Choice B)**. Therefore, the manufacturer has a cause of action for breach of contract.

(Choice A) There are three exceptions to the UCC statute of frauds, one of which applies when some amount of payment or goods was received and accepted (not seen here). But since the parties here are *merchants*, the manufacturer's memo created an enforceable agreement.

(Choice C) The gloves did not need to be tendered to the ski-shop operator to create an enforceable contract. The written confirmation merely needed to evidence the merchants' agreement and identify the *quantity* of the goods.

Educational objective:

Under the UCC, a transaction between merchants satisfies the statute of frauds as to *both* parties if (1) one party sends a written confirmation that satisfies the statute of frauds *and* (2) the other party does not object in writing within 10 days.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of frauds formal requirements).

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A landowner, having suffered severe losses on bad investments, was money-poor but land-rich by inheritance, owning several thousand acres of unencumbered timberland. He had a large family, and his fixed personal expenses were high. Pressed for cash, he advertised a proposed sale of standing timber on a choice 2,000-acre tract. The only response was an offer by a logger who owned a large, integrated construction enterprise, after inspection of the advertised tract.

The logger offered to buy, sever, and remove the standing timber from the advertised tract at a cash price 70% lower than the regionally prevailing price for comparable timber rights. The landholder, by then in desperate financial straits and knowing little about timber values, signed and delivered to the logger a letter accepting the offer.

If, before the logger commences performance, the landholder's investment fortunes suddenly improve and he wishes to get out of the timber deal with the logger, which of the following legal concepts affords his best prospect of effective cancellation?

A. Bad faith.

B. Duress.

C. Equitable estoppel.

D. Unconscionability.

Explanation:

The defense of **unconscionability** is available when a contract's **bargaining process** and/or the **contract terms** were **so unfair** to one party that **no reasonable person would have agreed** to it. When this occurs, the court can modify or cancel (ie, refuse to enforce) the contract. **Factors** used to determine whether a contract is unconscionable include:

- **sophistication and knowledge** of each party (eg, the parties' unequal knowledge of the timber industry)
- disparity between the parties' **bargaining power** (eg, the landowner is money-poor and the logger is the only potential buyer)
- disparity between the **value of consideration exchanged** by the parties (eg, the sale of timber rights on *choice* land for a price that is significantly lower than the prevailing rate) *and*
- **one-sidedness** of contract terms (eg, the contract terms overwhelmingly favor the logger).

Therefore, unconscionability provides the landowner his best prospect of effective cancellation of the contract.

(Choice A) Good faith and fair dealing demand only actual honesty; here, there is no indication that the logger failed to meet this standard. Therefore, bad faith is not the landowner's best argument.

(Choice B) Duress serves as a defense to contract enforceability only if a contracting party's assent was induced by an improper threat—which did not occur here.

(Choice C) Equitable estoppel is a doctrine that prevents one party from changing its position after the other party has detrimentally relied on a misrepresentation of fact made by the first party. Here, however, the logger did not make a misrepresentation of fact to the landowner, so this doctrine does not apply.

Educational objective:

A party may assert the defense of unconscionability if the bargaining process and/or terms of the contract were so unfair to that party when the contract was made that no reasonable person would have agreed to it.

References

- Restatement (Second) of Contracts § 208 (Am. Law Inst. 1981) (unconscionable contract or contract term).

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Unconscionability



Unfair bargaining process



Unfair contract terms

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A contractor agreed to remodel a homeowner's garage for $5,000. Just before the parties signed the one-page written contract, the homeowner called to the contractor's attention the fact that the contract did not specify a time of completion. The parties orally agreed but did not specify in the contract that the contractor would complete the work in 60 days, and then they both signed the contract. The contract did not contain a merger clause. The contractor failed to finish the work in 60 days. The homeowner has sued the contractor for breach of contract.

Is the court likely to admit evidence concerning the parties' oral agreement that the work would be completed in 60 days?

A. No, because the court must ascertain the meaning of the agreement from the terms of the written contract.

B. No, because the oral agreement was merely part of the parties' negotiations.

C. Yes, because the contract is ambiguous.

D. Yes, because the time limit is an additional term that does not contradict the partially integrated written contract.

Explanation:

Integration

Type	Definition	Effect
Complete integration	Writing that sets forth parties' final agreement about *all* terms	• Excludes parol evidence within scope of agreement • Parol evidence *inadmissible* to supplement (ie, add to) or contradict contract
Partial integration	Writing that sets forth parties' final agreement about *some* terms	• Excludes parol evidence inconsistent with agreement • Parol evidence *admissible* to supplement (not contradict) contract

The **parol evidence rule** generally bars evidence of prior or contemporaneous agreements to modify or contradict the unambiguous terms of an integrated writing. But if the writing is **partially integrated**—ie, sets forth the parties' final agreement about some, but not all, terms—the parties can introduce **supplemental evidence** (oral or written) that is ***consistent* with** the writing and **does *not* contradict its terms**.

Here, just before the parties signed the written contract, they orally agreed that the remodeling of the garage was to be completed within 60 days. The contract was partially integrated because it did not specify a time to complete the remodeling and did not contain a merger clause. As a result, evidence of the parties' oral agreement is likely admissible because the time limit is an additional term that does not contradict the written contract **(Choice B)**.

(Choices A & C) Evidence used to clarify the meaning of an ambiguous contract term is excepted from the parol evidence rule. But here, the terms of the written contract are *not* ambiguous. Instead, the parties' oral agreement is admissible because it is being used to supplement (and does not contradict) the terms of the written contract.

Educational objective:

The parol evidence rule does not bar evidence of prior or contemporaneous agreements to supplement (ie, add to) the terms of a partially integrated writing, provided that the evidence is consistent with and does not contradict the written terms.

References

- Restatement (Second) of Contracts § 216 (Am. Law Inst. 1981) (parol evidence is admissible to explain or supplement a term when agreement is partially integrated).

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A doctor was employed at a hospital when she applied for a personal loan from a bank. She accurately disclosed her income in the loan application. Before the bank had reached a decision regarding the loan application, the doctor was fired from the hospital. The doctor decided not to inform the bank of this fact because she feared that the bank would refuse to give her the loan.

A few days later, a bank representative called the doctor and informed her that her loan application was approved. The doctor accepted the terms of the loan and signed the loan agreement. Before disbursing the funds, the bank learned of the doctor's firing and refused to honor the loan agreement.

If the doctor sues the bank for breach of contract, will she be likely to prevail?

A. No, because the doctor's ability to repay the loan was a condition precedent to the disbursement of the funds.

B. No, because the doctor's nondisclosure of her firing was a fraudulent misrepresentation.

C. Yes, because the bank's reliance on the doctor's disclosure of her income in the loan application was unjustifiable.

D. Yes, because the loan agreement was memorialized in a signed writing.

Explanation:

When disclosure is required to avoid misrepresentation

Previous assertion	• Disclosure would prevent previous assertion from being a misrepresentation *or* fraudulent or material
Mistake about basic assumption	• Disclosure would correct other party's mistake about basic assumption of contract AND • Failure to disclose would constitute lack of good faith & fair dealing
Fiduciary relationship	• Other party is entitled to know fact because of confidential/fiduciary relationship
Mistake about writing	• Disclosure would correct other party's mistake about contents or effect of writing that embodies agreement

A **misrepresentation** is an **untrue assertion of fact** that makes a contract voidable by the adversely affected party when all of the following elements are met:

- The misrepresentation was fraudulent (ie, made knowingly or recklessly with the intent to induce the other party's assent to the contract) OR material (ie, likely to induce a reasonable person's assent).*
- The misrepresentation induced assent to the contract.
- The adversely affected party justifiably relied on the misrepresentation.

Nondisclosure of a known fact is treated as an untrue assertion if, among other things, the nondisclosing party knows that disclosure is necessary to **prevent** a previous **assertion from being fraudulent**.

Here, the doctor accurately disclosed her income in the loan application but was then fired. She knew that she needed to disclose this fact to the bank to prevent her previous disclosure from being fraudulent but failed to do so. Since the bank was unaware of her firing, it justifiably agreed to give her a loan. Therefore, the contract is voidable by the bank, and the doctor is unlikely to prevail in her breach-of-contract suit.

*A misrepresentation is also material if the maker knows that it will likely induce this particular party's assent—even if a reasonable person would not be induced.

(Choice A) A condition precedent is an explicit contract term requiring a future event to occur before a party becomes obligated to perform. But here, there is no indication that the

bank's obligation to disburse the funds was explicitly conditioned on the doctor's ability to repay the loan.

(Choice C) Reliance is almost always justified unless the misrepresentation was obviously false or known by the adversely affected party to be false. Here, the doctor's disclosure was accurate (not obviously false) when it was made and the bank was unaware of her firing when it approved the loan, so the bank's reliance was justified.

(Choice D) The fact that the loan agreement was memorialized in a signed writing does not prevent it from being voidable on the basis of the doctor's fraudulent misrepresentation.

Educational objective:

Nondisclosure of a known fact is treated as an untrue assertion of fact (ie, misrepresentation) if the nondisclosing party knows that disclosure is necessary to prevent a previous assertion from being fraudulent.

References

- Restatement (Second) of Contracts § 161 (Am. Law Inst. 1981) (when nondisclosure is a misrepresentation).
- Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).

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A computer company contracted in writing with a bank to sell and deliver to the bank a mainframe computer using a new type of technology, then under development but not perfected by the company, at a price substantially lower than that of a similar computer using current technology. The contract's delivery term was "F.O.B. bank, on or before July 31." The company tendered the computer to the bank on August 15. The bank rejected it because of the delay.

If the company sues the bank for breach of contract, which of the following facts, if proved, will best support a recovery by the company?

A. A usage in the relevant trade allows computer sellers a 30-day leeway in a specified time of delivery, unless the usage is expressly negated by the contract.

B. On the assumption that the bank was getting a "super deal" for its money, the company believed the bank would not reject the computer because of the late tender of delivery.

C. The company's delay in tender was caused by a truckers' strike.

D. The delay did not materially harm the bank.

Explanation:

UCC parol evidence rule

	Description		Priority of evidence
Inadmissible	Prior/contemporaneous agreements that contradict written contract		Express terms always control
Admissible	**Course of performance**	Sequence of conduct under contract involving repeated occasions for performance	Course of performance > course of dealing & trade usage
	Course of dealing	Sequence of conduct pertaining to previous contracts	Course of dealing > trade usage
	Trade usage	Regular practice or method of dealing in that particular business/industry	N/A

UCC = Uniform Commercial Code.

Contracts for the sale of goods (eg, computers) are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC parol evidence rule**, evidence of trade usage can be used to **explain or supplement** the **express terms** of a final, written contract so long as the evidence is **reasonably consistent** with (ie, not negated by) those terms. **Trade usage** refers to a **practice or method of dealing** that is observed with such **regularity in the industry** that the parties to a contract would be expected to observe it.

Here, the computer company and bank's written contract was silent as to leeway for delivery. As a result, evidence of trade usage can be used to supplement the contract. There is a practice in the relevant trade that allows computer sellers a 30-day leeway in a specified time of delivery. Since this fact would show that the bank breached the contract by rejecting the computer because of a 15-day delay, it would best support a recovery by the company.

(Choice B) The computer company's belief that the bank would not reject the computer for late delivery because it was getting a "super deal" for its money is irrelevant.

(Choice C) A seller's delay in delivery (or nondelivery) is not a breach if performance has become commercially impracticable because of unforeseen circumstances not within the contemplation of the parties when the contract was made. But a truckers' strike is *not* an unforeseen circumstance that would trigger impracticability.

(Choice D) Under the UCC's perfect-tender rule, the goods and their delivery must conform to the contract in every respect. Therefore, the fact that the computer company's delay did not materially harm the bank would not support a recovery by the company.

Educational objective:

The UCC parol evidence rule allows the use of trade-usage evidence to explain or supplement the terms of a final, written contract so long as the evidence is reasonably consistent with, not negated by, those terms.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (trade usage is admissible to explain or supplement contract's terms).
- U.C.C. § 1-303 (Am. Law Inst. & Unif. Law Comm'n 2020) (definition of trade usage).

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A cattle rancher operates a large ranch with many employees. State law requires all employees within the state to pay a state income tax, and all employers are required to accurately report their employees' incomes. Enforcement of the state law is a civil matter. There are no criminal penalties for failure to pay or failure to accurately report.

The rancher entered a written employment contract with a veterinarian, who agreed to manage the health of the rancher's cattle for six months. Both parties knew about the state income tax, and the veterinarian wanted to avoid paying it. The rancher therefore agreed to compensate the veterinarian by paying the veterinarian's monthly mortgage directly to the bank without reporting the payments to the state. The rancher paid the veterinarian's mortgage for the first three months of the contract and then stopped making payments even though the veterinarian continued to work.

If the veterinarian sues the rancher, what will he likely recover?

A. Expectation damages, because the rancher breached the contract and it did not involve any criminal conduct.

B. Restitution damages, because the rancher withdrew from the agreement by failing to make additional mortgage payments.

C. Restitution damages, because the veterinarian was less culpable than the rancher.

D. Nothing, because the contract had an illegal purpose.

Explanation:

An **illegal contract** arises when one or both parties' purpose, formation, or performance is against the law—such as the rancher's agreement not to report the veterinarian's income as required by state law. Such contracts generally are void and there is **no remedy for breach**. However, an illegal contract is **enforceable** for the full amount of the nonbreaching party's expectation damages if:

- the nonbreaching party was justifiably ignorant of the facts that made the contract illegal*
- the nonbreaching party substantially performed and lacked an illegal purpose
- the contract can be easily separated into legal and illegal parts *or*
- the contract is illegal due to a violation of a licensing requirement designed only to raise revenue.

None of these exceptions apply here. The veterinarian knew about the state income tax and purposely contracted to evade it. The agreed method of compensation is entirely illegal and cannot be separated from any legal part. Additionally, the illegality does not stem from a licensing violation. As a result, the veterinarian cannot recover expectation damages **(Choice A)**.

However, restitution damages may be an alternative form of recovery. A party to an illegal contract can recover such damages if that party conferred a benefit on the other party and:

- was justifiably ignorant of the facts that made the contract illegal*
- was less culpable than the other party *or*
- withdrew before the contract's illegal purpose was achieved and did not engage in serious misconduct.

Here, both parties knew about the law, so they were equally culpable in agreeing to violate it **(Choice C)**. And only *after* the contract's illegal purpose was achieved through the first few payments did the rancher (not the veterinarian) withdraw by failing to make additional payments **(Choice B)**. Therefore, the veterinarian also cannot recover restitution damages.

*However, recovery on this basis will be barred if the other party also was justifiably ignorant.

Educational objective:

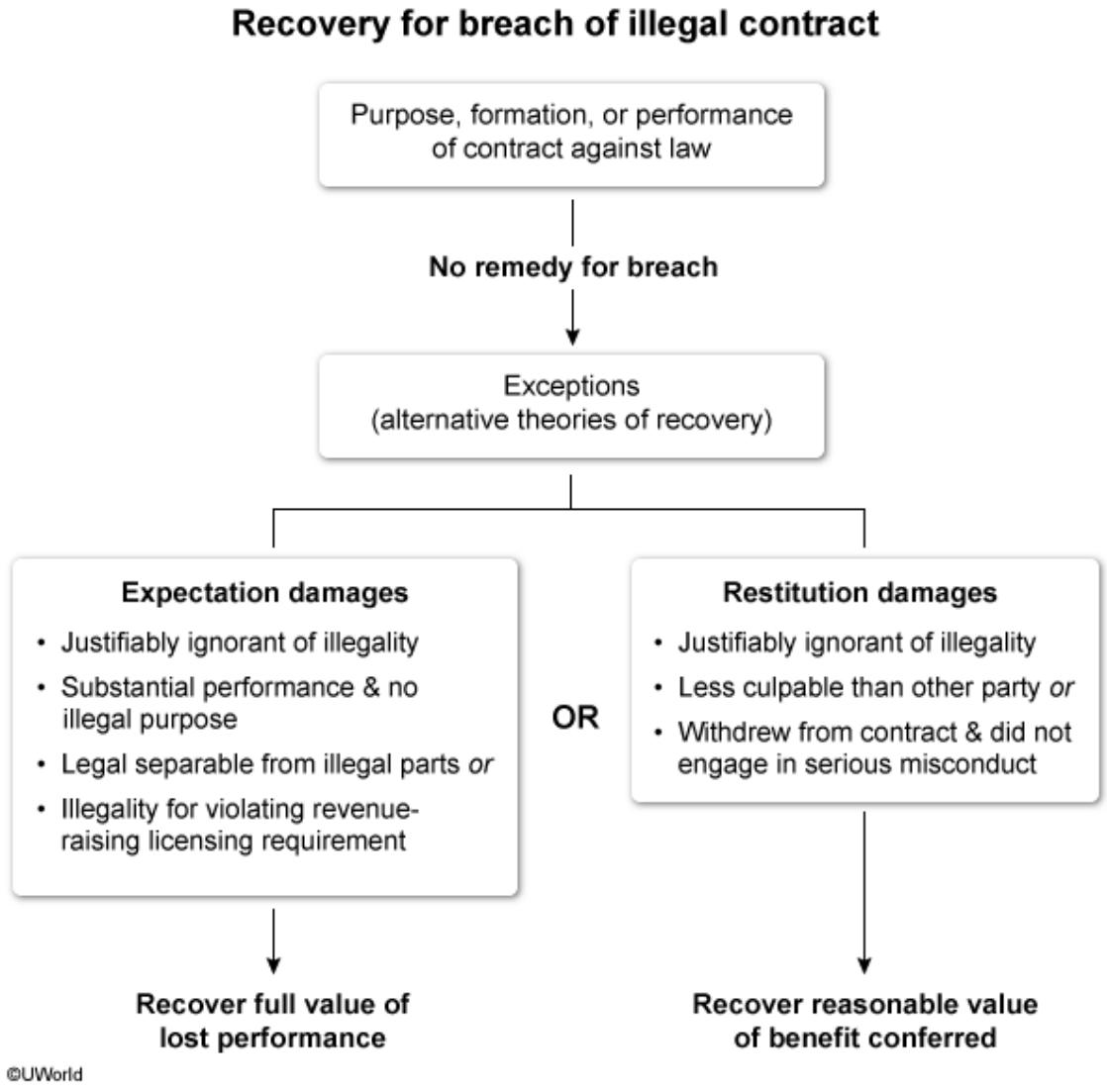
An illegal contract generally is void and there is no remedy for a breach. However, in limited situations, a party to an illegal contract can recover either expectation damages (eg, if the party was justifiably ignorant of the illegality) OR restitution damages (eg, if the party was less culpable than the other party).

References

- Restatement (Second) of Contracts § 178 (Am. Law Inst. 1981) (explaining when promises are unenforceable on public-policy grounds).

- Restatement (Second) of Contracts §§ 197–199 (Am. Law Inst. 1981) (availability of restitution).

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A father went to a music store to inquire about purchasing a violin and private music lessons for his daughter. Based on the store owner's recommendation, the father agreed to purchase a violin for $1,500. At the same time, the store owner orally agreed to give the daughter four lessons per month for the next six months at a rate of $50 per lesson. The father and the store owner then signed a contract for the sale of the violin. A provision in the contract stated: "This writing reflects the entire agreement of the parties, and there are no other agreements or understandings not set forth herein." The father paid $1,500 to the store owner and took possession of the violin.

Prior to the daughter's first lesson, the store owner signed a contract to play with the city symphony orchestra, and she notified all her customers that she would no longer be providing private lessons.

If the father sues the store owner for breach of contract, will he be likely to prevail?

A. No, because the parties' agreement regarding the music lessons is inconsistent with the express language of the written contract.

B. No, because the parties' agreement regarding the music lessons violates the statute of frauds.

C. Yes, because contemporaneous agreements are admissible to prove the existence of additional terms that are consistent with a fully integrated writing.

D. Yes, because the parties' agreement regarding the music lessons was collateral to the contract for the sale of the violin.

Explanation:

A **written contract** that contains a merger clause is presumed to be **completely integrated**—ie, a final expression of the parties' agreement as to *all* terms. As a result, the **parol evidence rule** generally **bars** any evidence of **prior or contemporaneous agreements or negotiations**, regardless of whether they are consistent with the terms of the contract as written. But this rule **does not apply** when such evidence is offered to prove the existence of a **collateral agreement**—ie, a separate contract supported by separate consideration.

Here, the written contract for the sale of the violin contained a merger clause (complete integration presumed). However, the parties' contemporaneous oral agreement regarding violin lessons created a *separate* contract that was supported by *separate* consideration (ie, lessons in exchange for $50 per lesson). As a result, the parol evidence rule does not bar evidence of this collateral agreement. And since the store owner repudiated the agreement by notifying the father that she would no longer be providing the lessons, he will likely prevail.

(Choice A) The written contract was silent as to music lessons, so the parties' oral agreement regarding the music lessons was *consistent* with (ie, did not contradict) the express language of the written contract.

(Choice B) Under the statute of frauds, a contract for the *sale of goods* for $500 or more must be in writing to be enforceable. But this would not prevent the father from prevailing in his breach-of-contract claim for the store owner's failure to provide a *service* (violin lessons).

(Choice C) Parol evidence is admissible to prove the existence of consistent additional terms only if the contract at issue is *partially* integrated—ie, a final expression as to some, but not all, of the terms (not seen here). But evidence of the parties' oral agreement is still admissible here because it represents a collateral agreement.

Educational objective:

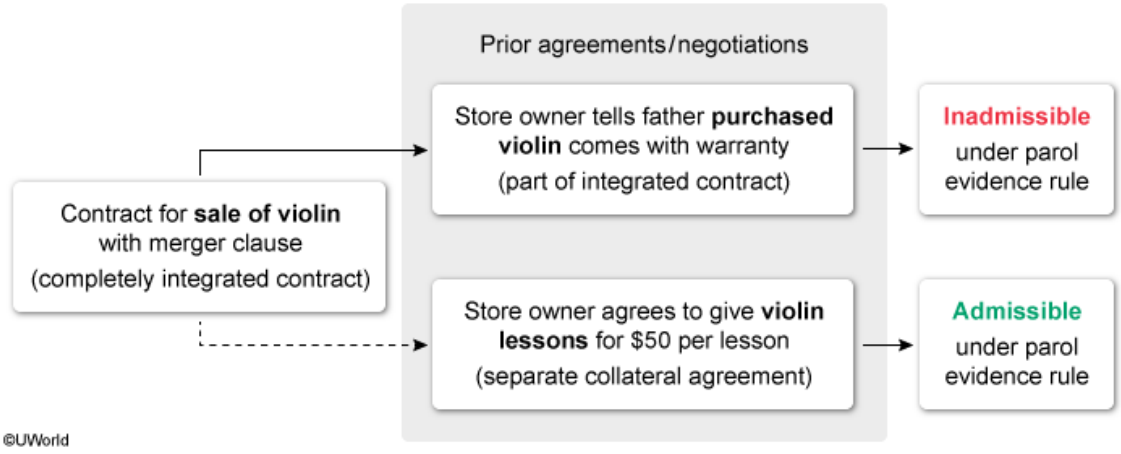
Even where a contract is completely integrated (eg, as evidenced by a merger clause), parol evidence can be used to prove the existence of a separate collateral agreement supported by its own consideration.

References

- Restatement (Second) of Contracts § 216 cmt. c (Am. Law Inst. 1981) (explaining that a collateral contract is not barred by an integrated one).

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Admissibility of prior agreements or negotiations



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A retailer of guns in State X, U.S.A., received on June 1 the following signed letter from a gun wholesaler in another state: "We have just obtained 100 of the assault rifles you inquired about and can supply them for $250 each. We can guarantee shipment no later than August 1."

On June 10, the wholesaler sold and delivered the same rifles to another merchant for $300 each. Unaware of that transaction, the retailer on the morning of June 11 mailed the wholesaler a letter rejecting the latter's offer but, changing his mind an hour later, retrieved from his local post office the letter of rejection and immediately dispatched to the wholesaler a letter of acceptance, which the wholesaler received on June 14.

On June 9, a valid federal statute making the interstate sale of assault rifles punishable as a crime had become effective, but neither the retailer nor the wholesaler was aware until June 15 that the statute was already in effect.

As between the retailer and the wholesaler, which of the following is an accurate statement?

A. If a contract was formed, it is unenforceable because of supervening impracticability.

B. If a contract was formed, it is voidable because of mutual mistake.

C. No contract was formed, because the retailer's June 11 rejection was effective on dispatch.

D. No contract was formed, because the wholesaler's June 10 sale of the rifles to another merchant revoked the offer to the retailer.

Explanation:

Mutual mistake occurs when both parties enter into a contract based on the same mistake. In such cases, the contract may be **voidable** by the **adversely affected party** if:

- the mistake relates to a basic assumption of the contract
- the mistake **materially affects** the agreed-upon **exchange of performances** (ie, the adversely affected party cannot fairly be required to carry it out) *and*
- the adversely affected party **did *not* assume** the risk of the mistake.

Here, both the retailer and wholesaler entered the contract based on an erroneous belief that assault rifles could lawfully be sold across state lines—a basic assumption of the contract. That mutual mistake materially affected their agreed-upon exchange since performance would subject them to criminal liability under the federal statute. Additionally, neither party assumed the risk of mistake since they did not know that the statute was in effect when they entered the contract. As a result, either party can avoid the contract (if formed*) because of mutual mistake.

*This assumes that the wholesaler's offer was not terminated by law when the federal statute made the interstate sale of assault rifles a criminal offense.

(Choice A) A party's duty to perform can be discharged by impracticability if performance becomes illegal after the contract was entered. Impracticability does not apply here since the statute criminalizing the interstate sale of assault rifles was enacted before the contract was entered.

(Choice C) In contract negotiations by mail, a rejection is effective on receipt—not on dispatch.

(Choice D) The wholesaler's sale of the rifles to another merchant did not revoke the offer to the retailer since the retailer was unaware of this transaction and a revocation is not effective until communicated to the offeree.

Educational objective:

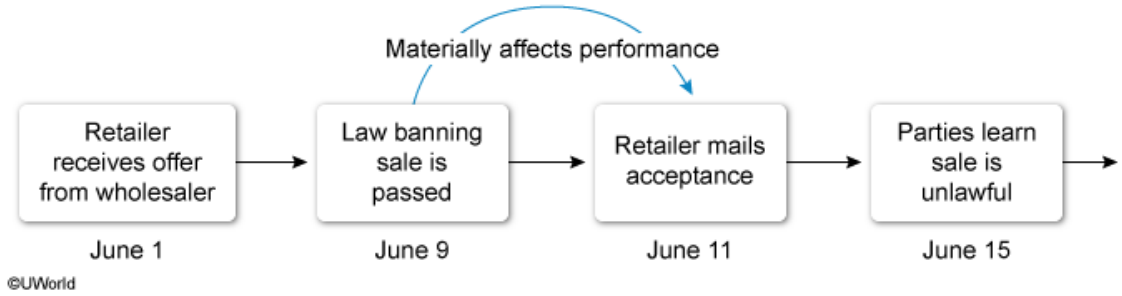
Mutual mistake renders a contract voidable by the adversely affected party when (1) the mistake relates to a basic assumption of the contract, (2) the mistake materially affects the agreed-upon exchange of performances, and (3) the adversely affected party did not assume the risk of the mistake.

References

- Restatement (Second) of Contracts § 151 (Am. Law Inst. 1981) (definition of mistake).
- Restatement (Second) of Contracts § 152 (Am. Law Inst. 1981) (when mutual mistake makes a contract voidable).

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A music artist and a talent manager orally agreed that the manager would oversee the business aspects of the artist's career for five years in return for 15% of the artist's gross earnings. Both the artist and the manager had the right to terminate the agreement at any time. The manager received less than 15% of the artist's gross earnings during the first year and no commissions during the following six months. At that time, the artist called the manager to say that he was terminating their agreement.

The manager sued the artist for breach of contract, and the artist raised the statute of frauds as a defense.

Is the artist's statute of frauds defense likely to succeed?

A. No, because both the artist and the manager had the right to terminate the agreement at any time.

B. No, because the parties have partially performed the agreement.

C. Yes, because neither party fully performed the agreement within the first year.

D. Yes, because the parties' oral contract cannot be fully performed within one year.

Explanation:

One-year provision of statute of frauds

Applicability	• Contracts whose terms make it impossible for any party to fully perform within one year – Excludes contracts of uncertain duration (eg, lifetime contracts)
Effect of performance	• Part performance – does *not* remove contract from statute, but restitution available for reasonable value of performance rendered • Full performance – removes contract from statute, whether or not performance is completed within a year
Effect of option to terminate within a year*	• Majority rule – does *not* remove contract from statute, because termination is not performance • Minority rule – removes contract from statute, because duration of contract is uncertain

*Jurisdictions agree that where only the plaintiff has the option to terminate, the statute of frauds applies.

A **contract** falls within the one-year provision of the statute of frauds—and must therefore be **in writing** to be enforceable—if its terms make it **impossible** for any party to **fully perform within one year** of its making.* However, jurisdictions are split as to whether both parties' **option to terminate** the contract **within a year** removes it from the statute:

- Minority rule – the option to terminate removes the contract from the statute, because the duration of the agreement is uncertain

- **Majority rule** – the option to terminate **does *not* remove** the **contract from the statute**, because the agreement may not be fully performed before its termination

Here, the parties' oral agreement that the manager would oversee the business aspects of the artist's career for five years cannot be fully performed within one year. This is true under the majority rule even though both parties had the option to terminate the agreement at any time **(Choice A)**. Accordingly, the artist's statute of frauds defense will likely succeed.

*The writing must be signed by the party against whom enforcement is sought and state with reasonable certainty the essential terms of the deal.

(Choice B) Part performance does *not* remove a contract from the one-year provision of the statute of frauds. But it may entitle a party (eg, the manager) to restitution for the reasonable value of the performance rendered, which is usually the contract value for that performance.

(Choice C) Failing to fully perform a contract within one year does not mean that the one-year provision of the statute of frauds applies. Whether the provision applies turns on whether it is *possible* to fully perform the contract within one year.

Educational objective:

The one-year provision of the statute of frauds applies to a contract whose terms make it impossible for any party to fully perform within one year. However, the parties' option to terminate the contract within a year does not remove it from the statute under the majority rule.

References

- Restatement (Second) of Contracts § 130 (Am. Law Inst. 1981) (one-year provision of the statute of frauds).
- 72 Am. Jur. 2d Statute of Frauds § 19 (2020) (explaining that the option to terminate a contract within a year does not remove the contract from the statute of frauds).

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A film star moved to the West Coast to further his acting career. He agreed to work for a motion picture studio for the next five years, leased a high-rise condominium for nine months, entered an agreement to purchase an exotic sports car for $250,000, and agreed to transfer ownership of his beach house to his girlfriend if she married him.

Which of these transactions is most likely to be enforceable without a signed writing?

A. The employment agreement with the motion picture studio.

B. The lease agreement with the luxury condominium corporation.

C. The purchase agreement for the sports car.

D. The agreement to transfer the beach house to the girlfriend.

Explanation:

The **statute of frauds** requires the following contracts to be evidenced by a **writing** that contains all essential terms and is **signed** by the party against whom enforcement is sought (**MY LEGS**):

- **M**arriage – a contract made in consideration of marriage
- **Y**ear – a contract that cannot be completed within one year
- **L**and – a contract for the sale or transfer of an interest in real property
- **E**xecutor – a contract to pay an estate's debt out of the executor's personal funds
- **G**oods – a contract for the sale of goods for $500 or more
- **S**uretyship – a contract to answer for the debt or duty of another

Therefore, in this scenario, the following transactions must be evidenced by a signed writing to be enforceable:

- The five-year employment agreement with the motion picture studio because it cannot be completed in less than one year **(Choice A)**
- The purchase agreement for the sports car (a good) because the $250,000 sales price exceeds $500 **(Choice C)**
- The agreement to transfer ownership of the beach house to the girlfriend because it (1) involves an interest in real property and (2) was made in consideration of her marriage to the film star **(Choice D)**

However, the nine-month lease agreement with the luxury condominium corporation does not fall under the statute of frauds—even though it involves an interest in real property. The reason is that **leases and easements** for **less than one year** are usually **excluded** from the statute.* Therefore, this transaction is most likely to be enforceable without a signed writing.

*Licenses and assignments of mortgages are also excluded from the statute of frauds.

Educational objective:

Contracts that fall under the statute of frauds (MY LEGS) must be contained in a signed writing to be enforceable. Although this generally includes contracts involving an interest in real property, leases and easements for less than one year do not fall under the statute.

References

- Restatement (Second) of Contracts § 127 (Am. Law Inst. 1981) (interests in land subject to the statute of frauds).

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Statute of frauds

Writing









Signature





+



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In exchange for valid and sufficient consideration, a man orally promised his son, who had no car and wanted a minivan, "to pay to anyone from whom you buy a minivan within the next six months the full purchase price thereof." Two months later, the son bought a used minivan on credit from a dealership for $8,000. At the time, the dealership was unaware of the man's earlier promise to the son, but learned of it shortly after the sale.

Can the dealership enforce the man's promise to the son?

A. No, because the dealership was neither identified when the man's promise was made nor aware of it when the minivan-sale was made.

B. No, because the man's promise to the son is unenforceable under the suretyship clause of the statute of frauds.

C. Yes, because the dealership is an intended beneficiary of the contract between the man and the son.

D. Yes, under the doctrine of promissory estoppel.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives an advantage or benefit from the contract. The third party can **enforce the contract if** the third party is an ***intended*** **beneficiary** (ie, one whom the contracting parties intended to benefit directly). Although unusual, a third party **does not need to be named** in the contract to be an intended beneficiary or have enforcement rights.

Here, the man promised to pay the full purchase price to "anyone" from whom the son bought a minivan within the next six months. The son bought a minivan from the dealership within that time frame, making the dealership an intended beneficiary of the contract between the man and the son. This is true even though the dealership was neither identified when the man's promise was made nor aware of the promise when the minivan was sold **(Choice A)**. Therefore, the dealership can enforce the man's promise and recover the $8,000 purchase price.

(Choice B) Under the statute of frauds, certain contracts must be in writing. This includes suretyships—ie, contracts in which one party (surety) promises a second party (obligee) that the surety will answer for the debt of a third party (principal). Here, the father's promise was to the son—not the dealership—so the suretyship clause of the statute of frauds does not apply.

(Choice D) An intended beneficiary does not need to rely on the doctrine of promissory estoppel—which allows a party to enforce a promise on which it relied when *no* valid contract was formed—to enforce its rights.

Educational objective:

A third party who receives some advantage or benefit from a contract can enforce the contract if the third party is an intended beneficiary—even if the third party is not specifically named in the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 308 (Am. Law Inst. 1981) (identification of beneficiaries).

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A motorcycle collector and his friend had known each other for years. The collector sent a letter to the friend that said, "I am willing to sell you my oldest motorcycle for $4,000." The friend sent the collector an email saying, "I accept your offer." The collector owned three motorcycles: a 1985 model, a 1987 model, and a 1992 model. The friend did not know about the 1985 model, which was the one the collector intended to sell. The collector was unaware that the friend intended to buy the 1987 model. When the collector tendered the 1985 model, the friend refused to accept it.

Is the friend likely to prevail in a breach of contract suit against the collector?

A. No, because by not inquiring further about the meaning of the phrase "oldest motorcycle," the friend assumed the risk of being mistaken.

B. No, because neither the friend nor the collector had reason to know of the other's interpretation of the words "oldest motorcycle."

C. Yes, because the friend had no reason to know of the collector's meaning and the collector could have avoided the confusion by more careful drafting.

D. Yes, so long as a reasonable person in the friend's position would have considered the letter as referring to the 1987 model.

Explanation:

A **misunderstanding** occurs when the parties to a contract attach **different meanings** to the **same term**. When a misunderstanding involves a **material term**, whether a valid contract is formed depends on who knows or has reason to know about the misunderstanding:

- ***neither* party OR *both* parties** – in which case **no contract** is formed because there is no meeting of the minds
- ***one* party** – in which case a **valid contract** is formed, and the ***unknowing* party's meaning** of the term **controls**

Here, the friend accepted the collector's offer to sell the "oldest motorcycle" the collector owned. The friend did not know about the 1985 model (the one the collector intended to sell), and the collector did not know that the friend intended to buy the 1987 model. Since neither party knew nor had reason to know of the other's interpretation of "oldest motorcycle," no contract was formed and the friend is unlikely to prevail.

(Choice A) A party's failure to know or discover facts before entering into a contract—eg, the friend's failure to inquire about the meaning of "oldest motorcycle"—does not qualify as an assumption of the risk that would prevent a party from avoiding a contract due to mistake.

(Choices C & D) The friend's interpretation of "oldest motorcycle" would control, and the friend would prevail, only if the collector knew or had reason to know of the friend's interpretation. Neither a reasonable person's interpretation nor the collector's ability to avoid the confusion by more careful drafting is relevant.

Educational objective:

If neither (or both) of the parties to a contract know or have reason to know about a misunderstanding involving a material term, no contract is formed. But if one party knows or has reason to know, a valid contract is formed and the unknowing party's meaning of the term controls.

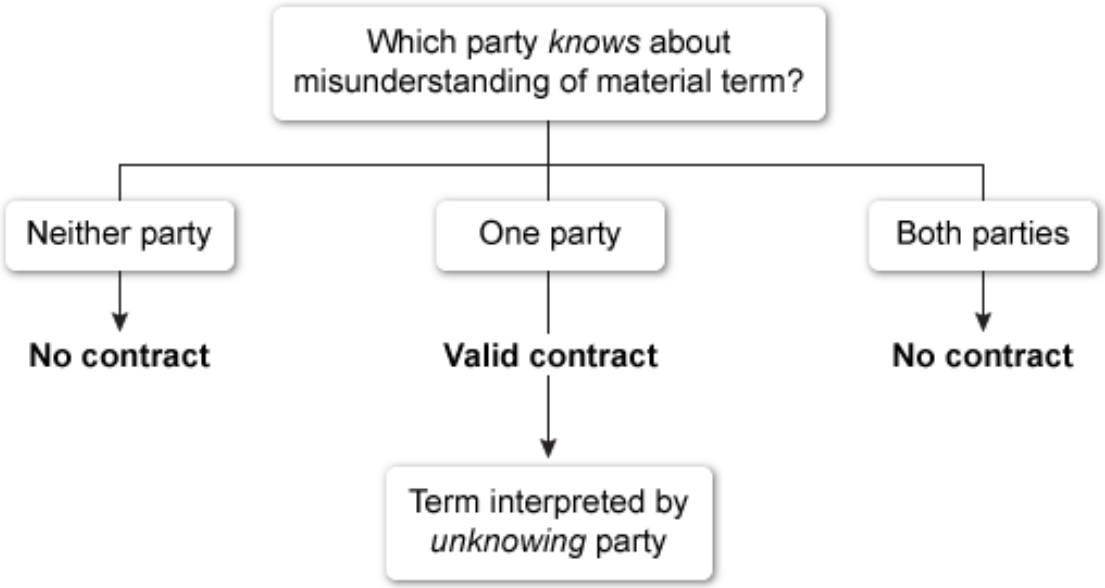
References

- Restatement (Second) of Contracts § 20 (Am. Law Inst. 1981) (effect of misunderstanding).

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Misunderstanding



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Responding to a county's written advertisement for bids, a tire company was the successful bidder for the sale of tires to a county for its vehicles. The company and the county entered into a signed, written agreement that specified, "It is agreed that the company will deliver all tires required by this agreement to the county, in accordance with the attached bid form and specifications, for a one-year period beginning September 1, 2019." Attached to the agreement was a copy of the bid form and specifications. In the written advertisement to which the company had responded, but not in the bid form, the county had stated, "Multiple awards may be issued if they are in the best interests of the county." No definite quantity of tires to be bought by the county from the company was specified in any of these documents.

In January 2020, the company learned that the county was buying some of its tires from one of the company's competitors. Contending that the tire company–county agreement was a requirements contract, the company sued the county for the damages caused by the county's purchase of some of its tires from the competitor.

If the county's defense is to offer proof of the advertisement concerning the possibility of multiple awards, should the court admit the evidence?

A. No, because it would make the contract illusory.

B. No, because of the parol evidence rule.

C. Yes, because the advertisement was in writing.

D. Yes, because the provision in the written agreement, "all tires required by this agreement," is ambiguous.

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

Under the **parol evidence rule**, evidence of **prior or contemporaneous agreements** or negotiations is not admissible to contradict the terms of an integrated contract. A contract is integrated when (1) it is in writing and (2) it embodies the final expression of the parties' intent regarding the contract's subject matter (as seen here). But even when a contract is integrated, such evidence is **admissible to interpret** an **ambiguous contract term**.

Here, the provision in the written agreement, "all tires required by this agreement," is ambiguous: it could mean as many tires as the county chooses to order during the one-year contract term OR as many tires as the county actually requires during that period (making this a requirements contract). Therefore, evidence of the written advertisement, which stated that the county could issue multiple tire awards, is admissible to determine whether the contract was, in fact, a requirements contract **(Choice B)**.

(Choice A) Where a promising party has discretion whether to perform at all, its promise is illusory. Because the county's evidence indicates that "all tires required by this agreement" means "as many tires as the county *chooses* to order," it could make the contract illusory if admitted. But this is not a reason to exclude the evidence.

(Choice C) The fact that the advertisement was in writing is irrelevant. Any evidence (oral or written) can be used to interpret the meaning of an ambiguous contract term.

Educational objective:

The parol evidence rule does not bar evidence of a prior or contemporaneous agreement, and such evidence is admissible when it is used to establish the meaning of an ambiguous contract term.

References

- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (when parol evidence is admissible to explain meaning of ambiguous term).

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A power company operated a 100-turbine wind farm. The turbines began experiencing mechanical problems and required 10 new gearboxes in order to produce electricity at full capacity. Because the manufacturer of the gearboxes was unable to guarantee speedy delivery, the power company contacted a separate shipping company. The two companies signed a fully integrated writing in which the shipping company promised to deliver the gearboxes by June 1. Before the agreement was executed, the power company told the shipping company, "If you do not deliver the gearboxes by June 1, we will be unable to produce enough electricity to meet our existing contractual obligation to a nearby town."

The shipping company was inexcusably late in delivering the gearboxes, and, as a result, the power company breached its contract with the nearby town and was found liable for damages. The power company then sued the shipping company, which was found to have breached its contract with the power company. At a hearing on damages, the shipping company now seeks to exclude any evidence of the conversation regarding timely delivery.

How will the court likely rule?

A. Admit the evidence as proof of a collateral agreement.

B. Admit the evidence as proof of the foreseeability of consequential damages.

C. Exclude the evidence as a prior oral agreement even if it is consistent with the terms of the parties' written agreement.

D. Exclude the evidence on the basis that the parties' written agreement was a fully integrated contract.

Explanation:

Integration

Type	Definition	Effect
Complete integration	Writing that sets forth parties' final agreement about *all* terms	• Excludes parol evidence within scope of agreement • Parol evidence *inadmissible* to supplement (ie, add to) or contradict contract
Partial integration	Writing that sets forth parties' final agreement about *some* terms	• Excludes parol evidence inconsistent with agreement • Parol evidence *admissible* to supplement (not contradict) contract

The **parol evidence rule bars** evidence of **prior or contemporaneous communications** between contracting parties that **supplement or contradict** a written contract that is **completely or fully integrated**. However, this rule **does not apply**, and such evidence is always admissible, when the evidence is used to determine **remedies for breach**. For example, parol evidence is admissible to prove that consequential damages were foreseeable and are therefore recoverable.

Here, the two companies signed a fully integrated contract for the delivery of 10 gearboxes. Before doing so, the power company had told the shipping company that it would be unable to meet its contractual obligation to the town if the gearboxes were not delivered on time. Evidence of this conversation shows it was foreseeable that late delivery would cause the power company to suffer consequential damages arising from its contract with the town. Therefore, the court will likely admit the evidence as poof of the foreseeability of consequential damages.

(Choice A) The parol evidence rule does not bar evidence of a collateral agreement—ie, a separate deal with its own consideration. But here, the conversation about the delivery deadline pertained directly to the companies' written contract—not a separate deal.

(Choices C & D) Prior oral (or written) agreements are inadmissible to supplement or contradict the terms of a fully integrated contract, even if they are consistent with the terms of the contract as written. But here, the conversation regarding delivery is admissible for a different purpose—to prove the foreseeability of consequential damages.

Educational objective:

The parol evidence rule bars evidence of prior or contemporaneous communications that supplement or contradict the terms of a fully integrated, written contract. But such

evidence is admissible to determine remedies for breach (eg, to prove the foreseeability of consequential damages).

References

- Barnett v. Hughey, 15 S.W. 464, 465 (Ark. 1891) (holding that parol evidence is admissible to determine damages in a contract dispute).

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An insurance company issued an insurance policy to a homeowner. The policy failed to contain certain coverage terms required by a state insurance statute. When the homeowner suffered a loss due to a theft that was within the policy's terms, the insurance company refused to pay, claiming that the policy was unenforceable because it violated the statute.

Will the homeowner likely succeed in an action against the insurance company to recover for the loss?

A. No, because the insurance policy is not a divisible contract.
B. No, because the insurance policy violated the statute.
C. Yes, because the homeowner belongs to the class of persons intended to be protected by the statute.
D. Yes, because the insurance policy will be strictly construed against the insurance company as the drafter.

Explanation:

Contracts unenforceable on public-policy grounds

Common examples:

- Contracts unreasonably restraining **trade**
- Contracts discouraging or restraining **marriage**
- Contracts for **sexual intercourse**
- Contracts for committing a **tort**
- Contracts encouraging **breach of a fiduciary duty**
- Contracts excusing liability for intentional, knowing, or reckless **misconduct**

A **contract** that **violates the law** is often unenforceable on public-policy grounds. But there is an exception to this rule when the contract violates a law **designed to protect** the **party seeking to enforce** the contract. In that case, the contract is **enforceable** so as to avoid frustrating the public policy behind the statute.

Here, the homeowner's insurance policy violated the state insurance statute by failing to contain certain coverage terms. That statute was intended to protect insureds like the homeowner, and the public policy behind the statute will be frustrated if the insurance company is allowed to escape liability for the homeowner's loss. Therefore, the insurance policy is enforceable, and the homeowner will likely succeed **(Choice B)**.

(Choice A) Some contracts are divisible, meaning that they can easily be separated into legal and illegal parts so that recovery is available on the legal part(s) only. But a contract entered into in violation of a statute need not be divisible for a court to enforce it.

(Choice D) Although contracts are generally construed against the drafter, this rule matters only when there is a dispute involving the interpretation of ambiguous contract language (not seen here).

Educational objective:

When a contract violates a law that was designed to protect the party seeking to enforce the contract, the contract can be enforced to avoid frustrating the public policy behind the statute.

References

- Restatement (Second) of Contracts § 178 (Am. Law Inst. 1981) (when a contract is unenforceable on public policy grounds).
- Restatement (Second) of Contracts § 179 cmt. c (Am. Law Inst. 1981) (when refusal to enforce frustrates public policy).

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A seller contracted to manufacture 1,000 toasters for a buyer for a specified price. The contract contained a provision that clearly stated: "This contract may not be assigned, and any violation of this prohibition voids the contract." After the contract was signed, the seller informed the buyer that the toasters would be manufactured by a competitor of the seller. Citing the nonassignment provision, the buyer claimed that it was no longer bound by the contract. Toasters manufactured by the competitor were of equal quality to toasters manufactured by the seller.

Is the buyer bound by the contract?

A. No, because the seller assigned a right despite the contractual prohibition.

B. No, because "this contract may not be assigned" means that duties may not be delegated, and the seller delegated a duty.

C. Yes, because even though the seller breached the contract, there are no damages since the competitor's toasters are of equal quality to the seller's toasters.

D. Yes, because the nonassignment provision is not enforceable since public policy favors free assignment and delegation.

Explanation:

Contract provisions prohibiting assignments/delegations

Type of provision	Explicit prohibitions	Assignment of rights	Delegation of duties
None	N/A	Allowed	
Specific	Assignment of rights & delegation of duties	Barred	
	Assignment of rights only	Barred	Allowed
	Delegation of duties only	Allowed	Barred
General	Assignment of "the contract"		

Public policy favors the free assignment of contractual rights and the free delegation of contractual duties. Despite this public policy, contract provisions that prohibit assignment and/or delegation (ie, **nonassignment provisions**) are **enforceable (Choice D)**. However, a general provision that **prohibits assignment of "the contract"**—without specifying whether it applies to rights or duties—will be construed to (1) allow the assignment of rights and (2) **bar the delegation of duties**.

Here, the seller had a contractual duty to manufacture 1,000 toasters and sell them to the buyer. Since the nonassignment provision ("[t]his contract may not be assigned") did not specify whether it applied to rights or duties, it will be construed to mean that duties may not be delegated. But the seller informed the buyer that the seller had delegated its duty to the competitor. And since the contract stated that this violation of the nonassignment provision voided the contract, the buyer is no longer bound.

(Choice A) The seller delegated its *duty* to manufacture the toasters but did not assign its *right* to receive payment from the buyer. And since the contract provision did not specify whether it applied to rights or duties, it would have allowed the seller to assign its right (had the seller done so), and the buyer would still have been bound.

(Choice C) The buyer is no longer bound because the seller's violation of the nonassignment provision voided the contract. This is true regardless of whether the buyer suffered any damages.

Educational objective:

Nonassignment provisions are enforceable. But a general provision that prohibits assignment of "the contract" without specifying rights or duties will be construed to (1) allow the assignment of rights and (2) bar the delegation of duties.

References

- Restatement (Second) of Contracts § 322 (Am. Law Inst. 1981) (explaining that a contract term prohibiting assignment of "the contract" bars only the delegation of a duty).

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A famous chef entered into a written agreement with a well-known interior decorator, who was respected for his unique designs, to design the interior of the chef's new restaurant and, upon the chef's approval of the design plan, to decorate and furnish the restaurant accordingly. The agreement was silent as to assignment or delegation by either party.

Before beginning the work, the interior decorator sold his decorating business to a new decorator under an agreement in which the interior decorator assigned to the new decorator, and the new decorator agreed to complete, the chef's contract. The new decorator, also an experienced decorator of excellent repute, advised the chef of the assignment, and supplied him with information confirming both the new decorator's financial responsibility and past commercial success.

Is the chef obligated to permit the new decorator to perform the agreement?

A. No, because the interior decorator's duties were of a personal nature, involving his reputation, taste, and skill.

B. No, because the interior decorator's purported delegation to the new decorator of the interior decorator's obligations to the chef effected a novation.

C. Yes, because the agreement contained no prohibition against assignment or delegation.

D. Yes, because the chef received adequate assurances of the new decorator's ability to complete the job.

Explanation:

Nondelegable contractual duties

Delegation not permitted when:

- other contracting party has substantial interest in having delegating party perform (eg, in personal-services contract involving taste or special skill) *or*
- delegation is prohibited by contract

Although public policy favors free assignment of contractual rights and free delegation of contractual duties, **delegation is not permitted** when:

- the other party to the contract has a **substantial interest** in having the **delegating party perform** (eg, in a personal-services contract involving taste or a special skill) *or*
- the delegation is prohibited by the contract (eg, the contract says "this contract may not be assigned").

Here, the well-known interior decorator, who was respected for his unique designs, agreed in writing to design the chef's new restaurant. Although the agreement was silent as to assignment or delegation, the chef had a substantial interest in having the interior decorator perform. That is because the interior decorator's duties were of a personal nature, involving his reputation, taste, and skill. Therefore, the interior decorator could *not* delegate his duties, and the chef is not required to permit the new decorator to perform the agreement **(Choice C)**.

(Choice B) A novation is a substituted contract in which the parties agree to replace an original contracting party with a new party. Here, the interior decorator's purported delegation to the new decorator was *not* a novation since the chef never agreed to replace the interior decorator with the new decorator.

(Choice D) The fact that the chef received adequate assurances of the new decorator's ability to complete the job (eg, information regarding the new decorator's past commercial success) is irrelevant.

Educational objective:

Delegation of contractual duties is not permitted when (1) the other party to the contract has a substantial interest in having the delegating party perform or (2) the contract prohibits delegation.

References

- Restatement (Second) of Contracts § 318 (Am. Law Inst. 1981) (delegation of performance of duty).

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A written construction contract began with the following recital: "This Agreement, between a real estate company (hereafter called the 'owner'), and a construction company and the construction company's president (hereafter called the 'contractor'), witnesseth:" The signatures to the contract appeared in the following format: Real estate company By /s/ President; Construction company By /s/ Vice President and /s/ President, as representatives of Construction company.

The construction company became insolvent and defaulted. The real estate company sued the president of the construction company individually for the breach, and at the trial the president offered evidence from the pre-contract negotiations that only the construction company was to be legally responsible for performing the contract.

If the court finds the contract to be completely integrated, is the president's offered evidence admissible?

A. No, because of the application of the "four corners" rule, under which the meaning of a completely integrated contract must be ascertained solely from its own terms.

B. No, because the legal effect of the president's signature cannot be altered by evidence of prior understandings.

C. Yes, because the evidence would contradict neither the recital nor the form of the president's signature.

D. Yes, because the writing is ambiguous as to whether or not the president was intended individually to be a contracting party.

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

The **parol evidence rule** generally bars evidence of prior or contemporaneous oral or written agreements—or other evidence outside the "four corners" of the contract—to modify or contradict the terms of an integrated writing. But the parol evidence rule **does not bar** such evidence, and such evidence is always admissible, when it is used to **clarify the meaning** of an **ambiguous contract term**. This is true regardless of whether the contract is completely or partially integrated.

Here, the recital indicates that the construction company *and* its president are parties to the contract (together, "the contractor"), while the signature lines show the president signing merely as a representative of the company. This shows that the writing is ambiguous as to whether the president was intended individually to be a contracting party. Therefore, evidence from the parties' pre-contract negotiations *is* admissible to clarify the terms of the written contract.

(Choice A) A court does *not* have to rely solely on the "four corners" of a written contract to determine its meaning. Extrinsic evidence such as the parties' pre-contract negotiations can be used to interpret ambiguous terms.

(Choice B) The legal effect of the president's signature *can* be altered by evidence of prior understandings because the signature creates ambiguity regarding the contract's terms (eg, whether the president—as an individual—is a contracting party).

(Choice C) Evidence that only the construction company was to be legally responsible *would* contradict the recital since the recital identifies both the company and the president as parties. But since the signature lines suggest that the president is not a party, evidence of the parties' pre-contract negotiations is admissible to clarify the ambiguity.

Educational objective:

The parol evidence rule does not bar evidence of prior or contemporaneous agreements when it is being offered to establish the meaning of an ambiguous term.

References

- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (prior negotiations are admissible to explain meaning of ambiguous term).

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A homeowner and a planner signed a detailed writing in which the planner, a landscape architect, agreed to landscape and replant the owner's residential property in accordance with a design prepared by the planner and incorporated in the writing. The owner agreed to pay $10,000 for the work upon its completion. The owner's spouse was not a party to the agreement and had no ownership interest in the premises.

Shortly before the agreement was signed, the owner and the planner orally agreed that the writing would not become binding on either party unless the owner's spouse should approve the landscaping design.

If the owner's spouse disapproves the design and the owner refuses to allow the planner to proceed with the work, is evidence of the oral agreement admissible in the planner's action against the owner for breach of contract?

A. No, because the parol evidence rule bars evidence of a prior oral agreement even if the latter is consistent with the terms of a partial integration.

B. No, because the prior oral agreement contradicted the writing by making the parties' duties conditional.

C. Yes, because the evidence shows that the writing was intended to take effect only if the approval occurred.

D. Yes, because the oral agreement required approval by a third party.

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

The **parol evidence rule** generally bars evidence of a prior or contemporaneous agreement to modify or contradict the terms of an integrated writing. But this rule **does not apply** when a party is **attacking the validity** of the agreement—eg, by asserting there was a **condition precedent to effectiveness** that **failed to occur**. As a result, evidence of such a condition precedent is admissible.

Here, before the writing was signed, the parties orally agreed that it would become binding (ie, take effect) only if the owner's spouse approved the landscape design—a condition precedent to effectiveness. Therefore, the parol evidence rule does not bar evidence of the oral agreement, and that evidence is likely admissible **(Choice B)**.

(Choice A) The parol evidence rule *allows* evidence of a prior agreement if that agreement is consistent with the terms of a partial integration (ie, a writing that sets forth the parties' final agreement about some, but not all, terms).

(Choice D) The oral agreement is admissible because it evidences a condition precedent to effectiveness; the fact that the oral agreement required approval by a third party is irrelevant.

Educational objective:

Evidence used to establish a condition precedent that must occur before a contract becomes effective is admissible under the parol evidence rule.

References

- Restatement (Second) of Contracts § 217 (Am. Law Inst. 1981) (integrated agreement subject to oral requirement).

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A sugar distributor contracted to deliver to a bakery its sugar requirements for a one-year period. Before delivery of the first scheduled installment, the sugar distributor sold its business and assigned all of its sale contracts to a reputable and longtime sugar retailer. The sugar distributor informed the bakery of this transaction.

The bakery accepted the sugar retailer's delivery of the first installment under the distributor-bakery contract, but the bakery paid the contract price for that installment to the distributor and refused to pay anything to the retailer.

In an action by the retailer against the bakery for the contractual amount of the first installment, which of the following, if any, will be an effective defense for the bakery?

A. The bakery had not expressly agreed to accept the sugar retailer as its sugar supplier.
B. The bakery had not expressly agreed to accept the sugar retailer as its sugar supplier, and the sugar distributor remained obligated to the bakery even though it had assigned the contract to the sugar retailer.
C. The bakery's payment of the contractual installment to the sugar distributor discharged its obligation.
D. No defense will be effective for the bakery.

Explanation:

Contract provisions prohibiting assignments/delegations

Type of provision	Explicit prohibitions	Assignment of rights	Delegation of duties
None	N/A	Allowed	
Specific	Assignment of rights & delegation of duties	Barred	
	Assignment of rights only	Barred	Allowed
	Delegation of duties only	Allowed	Barred
General	Assignment of "the contract"		

Either party to a contract can assign its rights or delegate its duties to a nonparty (ie, delegatee). A **general assignment** of the **entire contract** will be construed as both an **assignment of rights** AND a **delegation of duties**. For example, a seller's general assignment of an entire contract gives the delegatee the right to receive payment directly from the buyer provided that the delegatee delivers the goods.

Here, the sugar distributor assigned the bakery's requirements contract to the sugar retailer, which operated as an assignment of rights and a delegation of duties. The retailer then had a right to receive payment directly from the bakery since the retailer delivered the first installment of sugar to it. Therefore, the bakery's payment to the distributor did not discharge its obligation to pay the retailer **(Choice C)**.

(Choices A & B) Unless the contract states otherwise, contractual duties can be delegated without the promisee's express consent. Therefore, the bakery must accept the sugar retailer as its sugar supplier even though she did not expressly agree to do so. And though the sugar distributor remains liable to the bakery if the retailer fails to perform, the retailer *did* perform by delivering the first installment.

Educational objective:

A general assignment of an entire contract will be construed as both an assignment of rights *and* a delegation of duties to a nonparty (ie, delegatee). For example, a seller's assignment of an entire contract gives the delegatee the duty to deliver the goods and the right to receive payment directly from the buyer.

References

- U.C.C. § 2-210 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that a general assignment is an assignment of rights and a delegation of duties).

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The owner of a gun store had been doing business with a hunter for many years. The hunter entered the gun store and spoke to the owner about purchasing a new hunting rifle on credit. The hunter disclosed that he intended to use the rifle on a turkey-hunting trip that weekend even though it was two weeks before turkey-hunting season began. The hunter left with the rifle after signing a written agreement to pay for the rifle in 12 monthly installments.

The rifle functioned well on the hunter's trip, during which a friend advised the hunter that he could avoid paying for the rifle because the contract was illegal. The hunter took the friend's advice and never paid any installments.

If the store owner sues for breach of contract, will he be likely to prevail?

A. No, because the store owner failed to disaffirm the contract's illegal purpose before giving the hunter possession of the rifle.

B. No, because the store owner knew that the hunter intended to use the rifle for an illegal purpose.

C. Yes, because a contract to sell a rifle is not, in and of itself, illegal.

D. Yes, because the store owner substantially performed and did not sell the rifle in order to further the hunter's illegal purpose.

Explanation:

Recovery for breach of illegal contract

Expectation damages (full value of lost performance)	• Party justifiably ignorant of illegality* • Party substantially performed & lacked illegal purpose • Contract separable into legal / illegal parts *or* • Contract illegal due to violation of licensing requirement designed only to raise revenue
Restitution damages (reasonable value of benefit conferred)	• Party justifiably ignorant of illegality* • Party less culpable than other party *or* • Party withdrew before illegal purpose achieved & did not engage in serious misconduct

*Recovery on this basis is barred if other party is *also* justifiably ignorant.

An **illegal contract** arises when one or both parties' purpose, formation, or performance is against the law. These contracts are usually void, and there is no recovery for breach. However, an **exception** arises if one party **lacked an illegal purpose** and **substantially performed** under the contract. That party may recover expectation damages for breach—even if he/she knew of the other party's illegal purpose.* This is true **unless**:

- the performing party took **action to further** the **other party's illegal purpose** *or*
- the illegal purpose involves **grave social harm** (eg, threat to human life).

Here, the contract was illegal because the hunter's purpose was to use the rifle to hunt outside the mandated turkey-hunting season. However, the store owner substantially performed by giving the hunter the rifle and had no illegal purpose of his own. And though the store owner knew of the hunter's illegal purpose, the store owner took no action to further it **(Choice B)**. Additionally, hunting two weeks out of season does not involve grave social harm. Therefore, the store owner will likely prevail in a breach-of-contract suit.

*If the performing party was unaware of the other party's illegal purpose, then no further analysis is necessary.

(Choice A) The store owner did not need to disaffirm the contract's illegal purpose—eg, by telling the hunter not to use the rifle on the upcoming hunting trip. It is enough that the store owner did not act to further the hunter's illegal purpose and there was no threat of grave social harm.

(Choice C) A contract to sell a rifle is not, in and of itself, illegal (absent statutory restrictions—not seen here). But the contract is still illegal because the hunter intended to use the rifle for an illegal *purpose*.

Educational objective:

Illegal contracts are usually void and there is no recovery for breach. However, a party who substantially performed and lacked an illegal purpose may recover—even if he/she knew of the other party's illegal purpose—unless (1) the performing party took action to further that illegal purpose or (2) the purpose involves grave social harm.

References

- Restatement (Second) of Contracts § 182 (Am. Law Inst. 1981) (explaining the effect of performance under a contract when the other party's purpose is illegal).

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A seller and a buyer have dealt with each other in hundreds of separate grain contracts over the last five years. In performing each contract, the seller delivered the grain to the buyer and, upon delivery, the buyer signed an invoice that showed an agreed-upon price for that delivery. Each invoice was silent in regard to any discount from the price for prompt payment. The custom of the grain trade is to allow a 2% discount from the invoice price for payment within 10 days of delivery. In all of their prior transactions and without objection from the seller, the buyer took 15 days to pay and deducted 5% from the invoice price.

The seller and the buyer recently entered into a contract for a single delivery of wheat at a price of $300,000. The same delivery procedure and invoice were used for this contract as had been used previously. The seller delivered the wheat and the buyer then signed the invoice. On the third day after delivery, the buyer received the following note from the seller: "Payment in full in accordance with signed invoice is due immediately. No discounts permitted. s/Seller."

Which of the following statements concerning these facts is most accurate?

A. The custom of the trade controls, and the buyer is entitled to take a 2% discount if he pays within 10 days.

B. The parties' course of dealing controls, and the buyer is entitled to take a 5% discount if he pays within 15 days.

C. The seller's retraction of his prior waiver controls, and the buyer is entitled to no discount.

D. The written contract controls, and the buyer is entitled to no discount because of the parol evidence rule.

Explanation:

Course of performance, course of dealing & trade usage

Course of performance	Sequence of conduct that is relevant to understanding agreement between parties if: • agreement involves repeated occasions for performance by one party AND • other party accepts performance without objection
Course of dealing	Sequence of conduct concerning previous transactions between parties that establishes common basis of understanding for interpreting their conduct
Trade usage	Practice or method of dealing in parties' business or industry that is observed with enough regularity to justify expectation that it will be observed in instant case

Under the **UCC parol evidence rule**, evidence of a prior agreement (or contemporaneous oral agreement) cannot be used to *contradict* the terms of a final written agreement. But evidence of the parties' **course of performance**, the parties' **course of dealing**, or **trade usage** can always be used to **explain or supplement** those terms. If the evidence is inconsistent, priority is given as follows:

- Express terms prevail over all others
- Course of performance prevails over course of dealing and trade usage
- Course of dealing prevails over trade usage

Here, the contract at issue was silent regarding discounts for prompt payment. However, in all of their hundreds of prior transactions and without objection from the seller, the buyer had taken 15 days to pay and deducted 5% from the invoice price. This established a course of dealing that can be used to supplement the terms of the contract **(Choice D)**. And although the custom of the trade is to allow a 2% discount for payment within 10 days, the parties' course of dealing controls **(Choice A)**. Therefore, the buyer is entitled to a 5% discount if he pays within 15 days.

(Choice C) Waiver (or retraction thereof) is not an issue in this question because the contract was silent regarding discounts for prompt payment. In other words, there was no relevant term capable of being waived.

Educational objective:

Express contractual terms prevail over all others, the parties' course of performance prevails over their course of dealing and trade usage, and their course of dealing prevails over trade usage.

UCC = Uniform Commercial Code

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (parol evidence rule).

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A toy company contracted with a manufacturer to produce gel packets used to simulate water in its faux aquarium toy. On May 1, in a writing signed by both parties, the manufacturer agreed to deliver 1 million gel packets for a total price of $1 million to be paid on June 1, the date of delivery. The writing specified that any modification of its terms required the toy company's signed, written consent.

On May 15, the manufacturer called the toy company to explain that it was running low on raw material and would need more time to produce the desired quantity of gel packets. The parties agreed in the telephone conversation to postpone the delivery date to July 1. On July 1, the manufacturer delivered the gel packets to the toy company, which refused to accept or pay for them.

Is the manufacturer likely to prevail in a breach-of-contract suit against the toy company?

A. No, because any modification to the parties' agreement required the toy company's signed, written consent.

B. No, because there was no consideration to support the May 15 agreement.

C. Yes, because the manufacturer reasonably relied on the toy company's having waived the signed-writing requirement.

D. Yes, because the May 15 agreement was enforceable under the statute of frauds.

Explanation:

"No oral modification" (NOM) clause

Common law (contracts for services or real estate)	• NOM clause enforceable only if modification must be in writing under statute of frauds
UCC (contracts for sale of goods)	• All parties are merchants – NOM clause always enforceable • ≥ 1 party is nonmerchant – NOM clause in merchant's form must be separately signed by nonmerchant(s) to be enforceable

UCC = Uniform Commercial Code.

The **UCC statute of frauds** applies to contracts for the **sale of goods for $500 or more** (eg, 1 million gel packets for $1 million) and renders them unenforceable unless they are in a writing that:

- provides a reasonable basis to believe a contract was formed
- states the quantity of goods to be sold *and*
- is signed by the party against whom enforcement is sought.

Modifications to a contract that falls within and satisfies this statute **generally need not be in writing** because the enforceability of the initial contract passes to any modifications. However, the UCC will enforce a **"no oral modification" (NOM) clause** that requires modifications to be in writing. A NOM clause **can be waived** by the parties through words or conduct, and the waiver **cannot be retracted** if a party has **materially changed its position** in **reasonable reliance** on the waiver.

Here, the parties' May 1 contract fell within and satisfied the statute of frauds. As a result, their May 15 oral agreement did not violate this statute **(Choice D)**. Although the contract contained a NOM clause that prohibited modifications without the toy company's written consent, the toy company waived the clause on May 15 by orally agreeing to postpone the delivery date to July 1 **(Choice A)**. And since the manufacturer materially and reasonably relied on the waiver by delivering the gel packets on that date, it will likely prevail.

(Choice B) Consideration is *not* required to modify a contract for the sale of goods, but any modification must be sought in good faith and comply with reasonable commercial standards of fair dealing.

Educational objective:

The UCC will enforce a "no oral modification" (NOM) clause even if the modification would not otherwise need to be in a writing that satisfies the statute of frauds. NOM clauses can be waived through the parties' words or conduct, and the waiver cannot be retracted if a party has materially changed position in reasonable reliance on the waiver.

UCC = Uniform Commercial Code.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (formal requirements for the statute of frauds).
- U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (modification, rescission, and waiver).

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A woman owned a large ranch, which she orally offered to sell to her stable manager for $250,000. The stable manager eagerly accepted her offer, and the woman wrote and gave him an unsigned note that read, "I agree to sell you my ranch for $250,000."

The stable manager gave the woman a small down payment to seal the deal and then took possession of the ranch with the woman's permission. Shortly thereafter, the stable manager received a letter from the woman stating that another buyer had offered to buy the ranch for $425,000 and that she would not sell it to the stable manager unless he buys it for that price.

If the stable manager sues the woman for specific performance, which of the following concepts would best support his claim?

A. Anticipatory breach.

B. Good faith and fair dealing.

C. Part performance.

D. Quantum meruit.

Explanation:

The **statute of frauds** applies to contracts for the sale of land (eg, the ranch). It requires that the contract (1) be in writing, (2) be signed by the party against whom enforcement is sought, and (3) contain all essential terms. Therefore, the woman and stable manager's *oral* agreement and the woman's *unsigned* note each violated this statute.

However, a contract for the **sale of land** that violates this statute may still be enforceable if the **part-performance exception** applies. This requires proof that the buyer has done **at least two** of the following:

- Taken **possession** of the property (as the stable manager did here)
- Made **substantial improvements** to the property (not seen here)
- **Paid** some or all of the **purchase price** (here, the stable manager made a small down payment)

The buyer can then bring an action in equity for **specific performance**. However, part performance will not support an ordinary action at law for money damages.

(Choice A) Anticipatory breach* occurs when one party communicates to the other party that it will not perform under the contract. The other party can treat this as a breach and sue immediately or demand performance. Here, although the woman told the stable manager that she would not sell him the ranch for the agreed-upon price, this would not overcome the statute of frauds.

*This is also called anticipatory repudiation.

(Choice B) The duty of good faith and fair dealing implied in every contract requires that neither party interfere with the other party's performance of the contract or right to receive the benefits thereof. But the stable manager cannot assert a breach of this duty without first proving that an enforceable contract exists.

(Choice D) Quantum meruit entitles a party who has conferred a benefit on another in a quasi-contractual relationship to *damages* for the reasonable value of the benefit, but not *specific performance*.

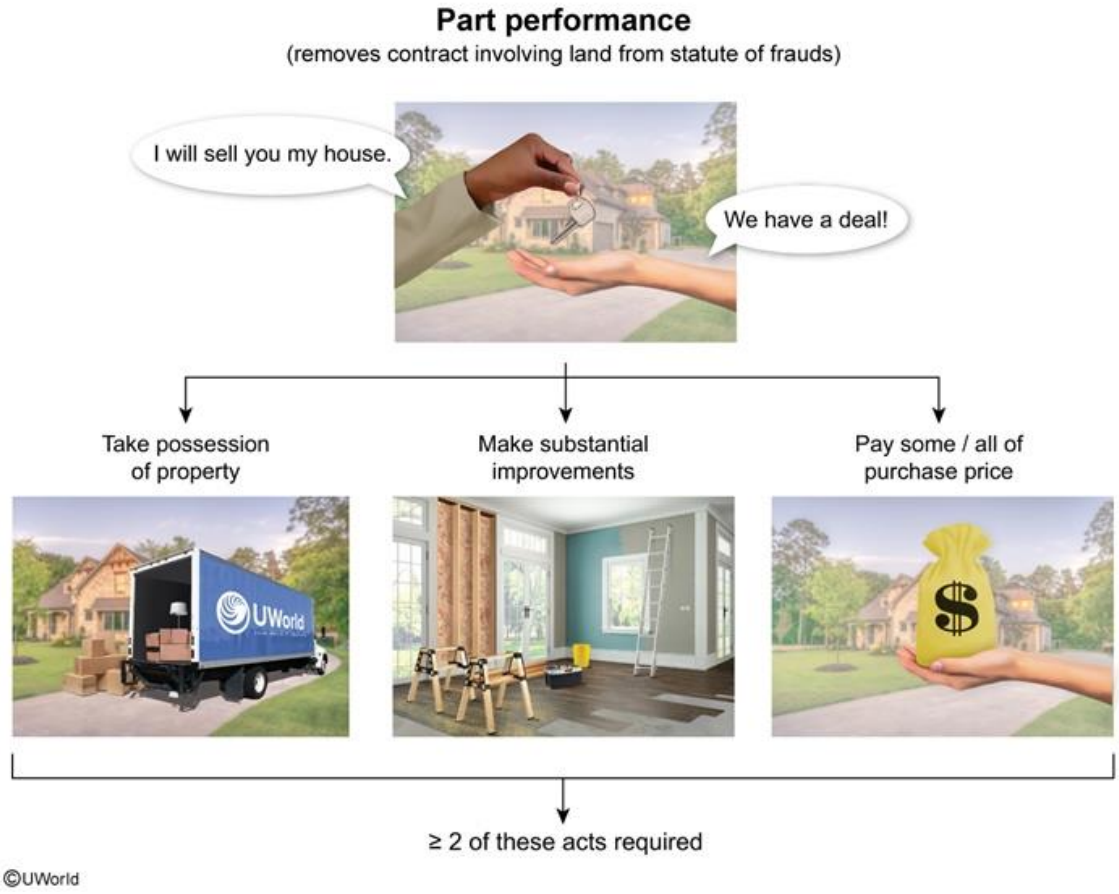
Educational objective:

A contract involving land that violates the statute of frauds is enforceable on part-performance grounds if the buyer has done at least two of the following: taken possession of the property, substantially improved it, and/or paid any portion of the purchase price.

References

- Restatement (Second) of Contracts § 129 (Am. Law Inst. 1981) (action in reliance; specific performance).

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A rancher and a fancier of horses signed the following writing: "For $5,000, the rancher will sell to the fancier a gray horse that the fancier may choose from among the grays on the rancher's ranch."

The fancier refused to accept delivery of a gray horse timely tendered by the rancher or to choose among those remaining, on the grounds that during their negotiations the rancher had orally agreed to include a saddle, worth $100, and also to give the fancier the option to choose a gray or a brown horse. The fancier insisted on one of the rancher's brown horses, but the rancher refused to part with any of his browns or with the saddle as demanded by the fancier.

If the fancier sues the rancher for damages and seeks to introduce evidence of the alleged oral agreement, what evidence will the court likely admit?

A. Both the saddle and the option to choose a brown horse.

B. The saddle, but not the option to choose a brown horse.

C. The option to choose a brown horse, but not the saddle.

D. Neither the saddle nor the option to choose a brown horse.

Explanation:

Admissibility of consistent additional terms

(not barred by parol evidence rule)

Common law	Term would *naturally* be omitted from contract under the circumstances
UCC	Term not so important that, if agreed upon, it *certainly* would have been included in contract

UCC = Uniform Commercial Code

The **UCC parol evidence rule*** generally bars evidence of a prior or contemporaneous agreement that contradicts the final written contract. But evidence of a ***consistent* additional term** is **admissible unless** a court determines the term is **so important** that it **would have *certainly* been included** in the contract. Because that standard is difficult to establish, such evidence is usually admissible.

Here, the written contract signed by the parties allowed the fancier to purchase and select a gray horse. As a result, evidence of the oral agreement to allow the fancier to purchase and select a brown horse *contradicted* the contract and is not admissible **(Choices A & C)**. But because the term to include a $100 saddle would not have *certainly* been included in the contract, evidence of that part of the oral agreement is admissible **(Choice D)**.

*Contracts for the sale of goods (eg, horses) are governed by Article 2 of the Uniform Commercial Code (UCC).

Educational objective:

Under the UCC parol evidence rule, evidence of consistent additional terms is admissible unless the court determines the term is so important that, if agreed upon, it would have certainly been included in the contract.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (when parol evidence of consistent additional term is admissible).

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A developer contracted in writing with a buyer to sell a house on a one-acre lot for $100,000. The developer told the buyer that the lot abutted a national park and that the water for the house came from a natural artesian spring. The developer knew that both these representations were important to the buyer and that both were false. The buyer moved into the house and eight months later learned that a private golf course was being constructed on the adjacent land and that the water for the house came from the city reservoir. The buyer immediately sued the developer to avoid the contract. The construction of the golf course will probably increase the market value of the buyer's property, and the water from the city reservoir exceeds all established standards for drinking water.

Is the buyer likely to prevail?

A. No, because eight months exceeds a reasonable time for contract avoidance.

B. No, because the developer's misstatements caused no economic harm to the buyer.

C. Yes, because the buyer retained the power to avoid the contract due to fraud.

D. Yes, because the contract was void ab initio.

Explanation:

Factors used to determine reasonable time to avoid contract

Extent to which:

- delay enabled (or might have enabled) party with power of avoidance to speculate at other party's risk
- delay resulted (or might have resulted) in justifiable reliance by other party or third party
- ground for avoidance was result of either party's fault
- other party's conduct contributed to delay

Misrepresentation is a defense to enforceability that makes a **contract voidable** by the adversely affected party. This defense is available when:

- the misrepresentation was **fraudulent** (ie, made knowingly or recklessly with intent to induce the other party's assent to the contract) OR material (ie, likely to induce a reasonable person's assent)
- the misrepresentation induced assent to the contract *and*
- the adversely affected party justifiably relied on the misrepresentation.

If the misrepresentation was fraudulent, then the adversely affected party **must seek to avoid** the contract **within a reasonable time after learning** of the misrepresentation.* Otherwise, the power to avoid the contract is lost.

Here, the developer fraudulently misrepresented both the location of the lot and the water source, which induced the buyer to purchase the house. Because the developer's statements were not obviously false, the buyer justifiably relied on them. And since the buyer *immediately* sued the developer to avoid the contract after discovering the misrepresentation eight months later, the buyer retained the power to avoid the contract and will likely prevail **(Choice A)**.

*If the misrepresentation was nonfraudulent, then the reasonable time period begins to run when the party knows or has reason to know about the misrepresentation.

(Choice B) A party may avoid a contract for misrepresentation even if the resulting contract causes that party no economic harm.

(Choice D) The contract was *not* void ab initio (ie, invalid from the outset). Rather, it was voidable, meaning that it operated as a valid contract until the buyer took steps to avoid it.

Educational objective:

To avoid a contract for fraudulent misrepresentation, the adversely affected party must seek this remedy within a reasonable time after learning of the misrepresentation.

References

- Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).
- Restatement (Second) of Contracts § 381 cmt. b (Am. Law Inst. 1981) (when power to avoid contract is lost due to delay).

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A buyer purchased a new car from a dealer under a written contract that provided that the price of the car was $20,000 and that the buyer would receive a "trade-in allowance of $7,000 for the buyer's old car." The old car had recently been damaged in an accident. The contract contained a merger clause stating: "This writing constitutes the entire agreement of the parties, and there are no other understandings or agreements not set forth herein." When the buyer took possession of the new car, she delivered the old car to the dealer. At that time, the dealer claimed that the trade-in allowance included an assignment of the buyer's claim against her insurance company for damage to the old car. The buyer refused to provide the assignment. The dealer sued the buyer to recover the insurance payment. The dealer has offered evidence that the parties agreed during their negotiations for the new car that the dealer was entitled to the insurance payment.

Should the court admit this evidence?

A. No, because the dealer's acceptance of the old car bars any additional claim by the dealer.

B. No, because the merger clause bars any evidence of the parties' prior discussions concerning the trade-in allowance.

C. Yes, because a merger clause does not bar evidence of fraud.

D. Yes, because the merger clause does not bar evidence to explain what the parties meant by "trade-in allowance."

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

The **UCC parol evidence rule** generally bars evidence of a prior written agreement (or contemporaneous oral agreement) to contradict the terms of an integrated writing. But the parol evidence rule **does *not* bar** such evidence, and such evidence is always admissible, when it is used to **clarify the meaning** of an **ambiguous contract term**. This is true regardless of whether the contract is completely or partially integrated.

Here, the written contract failed to state whether an assignment of the buyer's insurance claim was included in the term "trade-in allowance." The contract contained a merger clause, which indicates that the contract was completely integrated.* But the merger clause does not bar evidence to explain what the parties meant by "trade-in allowance." Therefore, the court should admit the evidence that the parties agreed during their negotiations for the new car that the dealer was entitled to the insurance payment **(Choice B)**.

*A merger clause is strong, but not conclusive, evidence that a contract is completely integrated.

(Choice A) A buyer's mere acceptance of goods does not waive its potential claims against a seller.

(Choice C) Evidence used to establish a defense to formation or enforceability of a contract (eg, fraud) is excepted from the parol evidence rule. But there is no indication of fraud in this case, so this exception is irrelevant.

Educational objective:

Even when a contract is completely integrated (eg, as evidenced by a merger clause), the parol evidence rule does not bar evidence to clarify the meaning of an ambiguous contract term.

UCC = Uniform Commercial Code

References

- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (exceptions to parol evidence rule).

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On March 1, a homeowner contacted a builder about constructing an addition to the homeowner's house. The builder orally offered to perform the work for $200,000 if his pending bid on another project was rejected. The homeowner accepted the builder's terms, and the builder then prepared a written contract that both parties signed. The contract did not refer to the builder's pending bid. One week later, upon learning that his pending bid on the other project had been accepted, the builder refused to perform any work for the homeowner.

Can the homeowner recover for the builder's nonperformance?

A. No, because efficiency principles justify the builder's services being directed to a higher-value use.

B. No, because the builder's duty to perform was subject to a condition.

C. Yes, because the builder's attempt to condition his duty to perform rendered the contract illusory.

D. Yes, because the parol evidence rule would bar the builder from presenting evidence of oral understandings not included in the final writing.

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

The **parol evidence rule** generally bars evidence of a prior or contemporaneous agreement to modify or contradict the terms of an integrated writing. But this rule **does not apply** when a party is **attacking the validity** of the agreement—eg, by asserting there was a **condition precedent to effectiveness** that **failed to occur**. As a result, evidence of such a condition precedent is admissible.

Here, before the contract was signed, the parties orally agreed that it would become binding (ie, take effect) only if the builder's other pending bid was rejected—a condition precedent to effectiveness. Therefore, the parol evidence rule does not bar evidence of the oral agreement to prove that the contract failed to take effect because the builder's other pending bid was accepted **(Choice D)**. Accordingly, the homeowner cannot recover for the builder's nonperformance because the builder's performance never became due.

(Choice A) Efficiency principles justify (but do not excuse) a breach if it is more economically advantageous for a party to breach and pay damages than to perform. But the builder did not breach the contract, and even if he had, the facts do not indicate that it was economically advantageous for him to do so.

(Choice C) An illusory promise is one so vague that the promisor has discretion whether to perform. Here, the builder's promise was *not* illusory because he was obligated to perform if his pending bid was rejected.

Educational objective:

Evidence used to establish a condition precedent that must occur before a contract becomes effective is admissible under the parol evidence rule.

References

- Restatement (Second) of Contracts § 217 (Am. Law Inst. 1981) (integrated agreement subject to oral requirement).

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A janitorial service contracted in writing with a hospital for a one-year term. Under the terms of the contract, the janitorial service agreed to clean the hospital daily in accordance with the hygiene standards of the city's health code. Because the janitorial service did not clean a patient's room in accordance with the required hygiene standards, the patient contracted an infection that required continued hospitalization. In addition to suing the hospital, the patient sued the janitorial service for breach of contract.

Which of the following statements is most accurate with respect to the breach of contract claim against the janitorial service?

A. The janitorial service is liable to the patient as a matter of public policy, because it violated the city's health code.

B. The patient cannot sue on the contract, because she was not named in the contract.

C. The patient has no claim for breach of contract against the janitorial service, because she is an incidental beneficiary.

D. The patient is an intended third-party beneficiary under the contract, because the janitorial service's promise was intended to benefit all hospital patients.

Explanation:

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. There are two types of third-party beneficiaries:

- **Intended** – who receive a ***direct*** **benefit** from the contract because the **contracting parties so intended** (eg, the contract provides that payment will go directly to a third party)
- **Incidental** – who receive some ***indirect*** **benefit** from the contract even though there was **no contractual intent** to benefit them (ie, all third-party beneficiaries who are not intended beneficiaries)

Only ***intended*** **beneficiaries**—not incidental beneficiaries—have **contractual rights** and may sue to enforce them.

Here, the patient is an incidental beneficiary to the janitorial service–hospital contract because there is no indication that the parties intended for the contract to directly benefit the patient **(Choice D)**. Instead, the contract was designed for all patients to indirectly benefit from hygienic rooms. Therefore, the patient has no claim for breach of contract against the janitorial service.*

*The patient may, however, have a tort claim against the janitorial service.

(Choice A) A contractual party's violation of public policy may render that contract unenforceable, but it does not provide a nonparty with the right to sue under that contract.

(Choice B) The patient could have sued on the contract had she been a named or unnamed intended beneficiary.

Educational objective:

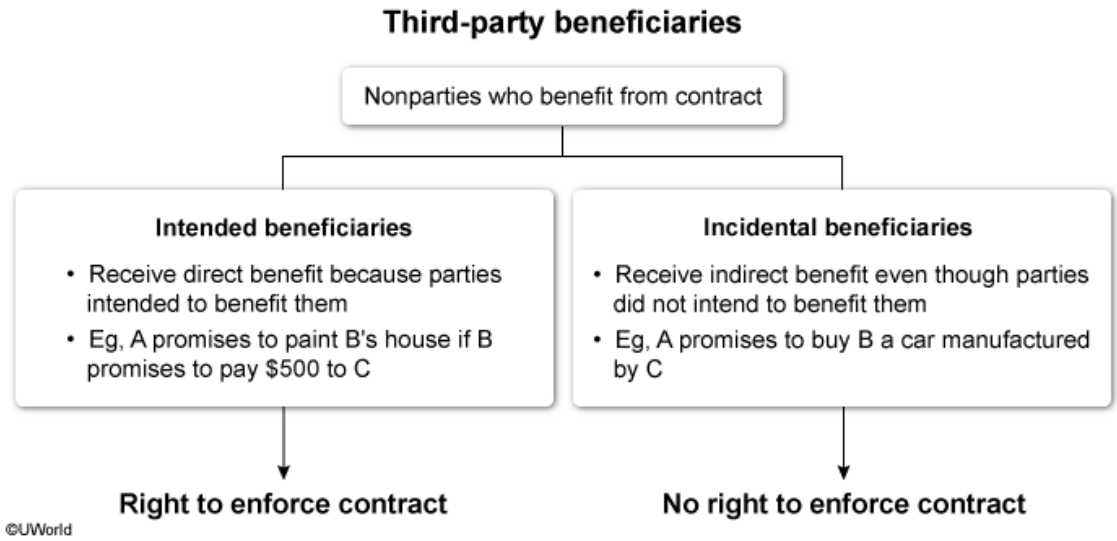
Intended beneficiaries receive a *direct* benefit from a contract because the contracting parties so intended, while incidental beneficiaries receive an *indirect* benefit from a contract even though there was no contractual intent to benefit them. Only intended (not incidental) beneficiaries can sue to enforce the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 315 (Am. Law Inst. 1981) (no right to enforce for incidental beneficiaries).

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Third-party beneficiaries
Nonparties who benefit from contract
Intended beneficiaries
• Receive direct benefit because parties intended to benefit them
• Eg, A promises to paint B's house if B promises to pay $500 to C
Incidental beneficiaries
• Receive indirect benefit even though parties did not intend to benefit them
• Eg, A promises to buy B a car manufactured by C
Right to enforce contract
No right to enforce contract
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An accountant and a bookkeeper, as part of a contract dissolving their accounting business, agreed that each would contribute $100,000 to fund an annuity for a clerk who was a longtime employee of the business. The clerk's position would be terminated at the dissolution, and he did not have a retirement plan. The accountant and the bookkeeper informed the clerk of their plan to fund an annuity for him. The clerk, confident about his financial future because of the promised annuity, purchased a retirement home. The accountant later contributed his $100,000 to fund the annuity, but the bookkeeper stated that he could afford to contribute only $50,000. The accountant agreed in writing that the bookkeeper should contribute only $50,000.

Does the clerk have a valid basis for an action against the bookkeeper for the unpaid $50,000?

A. No, because the clerk was bound by the modification of the contract made by the accountant and the bookkeeper.

B. No, because the clerk was only a donee beneficiary of the contract between the accountant and the bookkeeper and had no vested rights.

C. Yes, because the clerk's reliance on the promised annuity prevented the parties from changing the terms of the contract.

D. Yes, because the promise to establish the annuity was made binding by consideration from the clerk's many years of employment.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. If the contracting parties intended for the contract to benefit the third party, the third party is an **intended beneficiary**. Only intended (not incidental) beneficiaries have **enforceable rights under the contract**. Those rights **vest** when the beneficiary:

- **detrimentally relies** on the rights created
- **manifests assent** to the contract at one party's request *or*
- **files a lawsuit** to enforce the contract.

Once this occurs, the original contracting parties are bound to perform the contract. Any efforts to **rescind or modify** the contract **after vesting** are **void unless the beneficiary agrees** to the rescission or modification.

Here, the clerk was an intended beneficiary of the accountant-bookkeeper contract because the parties' promise to fund an annuity for the clerk was clearly intended to benefit him. The clerk detrimentally relied on the promised annuity by purchasing a retirement home (vesting). And since he did so *before* the accountant and the bookkeeper agreed that the bookkeeper would contribute $50,000 less, their attempt to modify the contract was void. As a result, the clerk has a valid basis for an action against the bookkeeper for the unpaid $50,000 **(Choice A)**.

(Choice B) A *donee* beneficiary is an intended beneficiary of a *gift promise*, while a *creditor* beneficiary is an intended beneficiary to whom the promisee *owed money*. The rule for vesting is the same for both.

(Choice D) Under the bargained-for exchange test for consideration, past performance (eg, the clerk's many years of employment) does *not* constitute the consideration required to

enforce a contract. Instead, the clerk can enforce the accountant-bookkeeper contract because of his third-party beneficiary status.

Educational objective:

An intended beneficiary's contractual rights vest when the beneficiary (1) detrimentally relies on the rights created, (2) manifests assent to the contract, or (3) files a lawsuit to enforce it. Any efforts to rescind or modify the contract after vesting are void unless the beneficiary agrees to the rescission or modification.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 311 (Am. Law Inst. 1981) (variation of a duty to a beneficiary).

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On June 1, an appliance manufacturer telephoned a supplier to determine whether the supplier could provide 300 washing machine motors of a particular model by October 1. The supplier offered to do so at a price of $300 per motor (a total price of $90,000). The manufacturer's representative said, "Deal." The next day the manufacturer's representative sent the supplier an unsigned note on company letterhead that stated, "I am happy that you are going to supply us with the motors. I will call you soon to talk about another order." The manufacturer then sent catalogs to its regular customers advertising washing machines that included the specified motors.

The manufacturer did not hear from the supplier until July 1, when the supplier called to say that it would be unable to supply the motors because it was no longer carrying that model. At that time, the manufacturer had received no orders for the machines with the specified motors.

The manufacturer sued the supplier for breach of contract, and the supplier raised the statute of frauds as a defense.

Is the supplier's statute of frauds defense likely to succeed?

A. No, because the manufacturer distributed the catalogs in reliance on the contract, making the contract enforceable under the statute of frauds.
B. No, because the supplier failed to object to the contents of the note sent by the manufacturer.
C. Yes, because the manufacturer's note failed to contain a signature.
D. Yes, because there is no writing that contains the quantity term of the contract.

Explanation:

Statute of frauds requirements

Writing Physical or electronic document(s) containing reasonable basis to believe contract was formed (eg, receipt, check, emails) AND

- at common law – identifies parties, subject matter, consideration, time & nature of performance
- under UCC – lists quantity of goods (contract enforceable only up to written quantity)

Signature General rule – handwritten signature from, or other mark identifying, party to be charged (eg, letterhead, electronic signature, initials)

- Merchant exception – between merchants, written confirmation that satisfies statute of frauds as to *sender* will bind both parties if no written objection within 10 days

UCC = Uniform Commercial Code,

Under the **UCC statute of frauds**, contracts for the sale of goods of $500 or more (as seen here) must be in a **writing** that states the **quantity of goods to be sold** and **signed** by the party against whom enforcement is sought. If the contract is **between merchants**, then a written confirmation will bind *both* parties if:

- the confirmation is **sent within a reasonable time**
- the confirmation satisfies the **statute of frauds as to the *sender*** *and*
- the **recipient does not object** in writing within 10 days.

Here, the manufacturer's representative sent the supplier an unsigned note on company letterhead to confirm their agreement for the supply of motors. But this confirmation does not satisfy the statute of frauds because it failed to state the *quantity* of the motors to be sold. Therefore, the supplier's statute-of-frauds defense will succeed.

Had the confirmation listed the quantity of motors being sold, it would have been binding as to *both* parties and defeated the supplier's statute-of-frauds defense. That is because (1) the manufacturer's letterhead was an identifying mark that satisfied the signature requirement under the statute of frauds and (2) the supplier never objected to the written confirmation **(Choices B & C)**.

(Choice A) Under the doctrine of promissory estoppel, a party's reliance may serve as an alternative basis for recovery when no valid contract was formed—but it does not make a contract enforceable under the statute of frauds. Additionally, this doctrine only applies if reliance was reasonable and caused *substantial* detriment (eg, had the manufacturer received orders).

Educational objective:

Under the UCC, a written confirmation between merchants satisfies the statute of frauds as to *both* parties if it (1) is sent within a reasonable time, (2) satisfies the statute of frauds—ie, signed writing with quantity stated—as to the sender, and (3) is not objected to in writing within 10 days.

References

- UCC § 2-201 (statute of frauds requirements).

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A collector owned a large number of rare baseball cards. Each card was sealed and placed in a protective binder. Each binder was labeled by league, team, and decade. The collector met with a man who was interested in purchasing some of the cards. After reviewing all of the binders, the man offered to purchase the cards of "every player who had ever played for [his favorite team]." The collector accepted the offer.

The man wired the purchase price to the collector and subsequently received all of the collector's binders that had been labeled with the name of the man's favorite team. However, the man had intended for his purchase to include cards from any other teams for which his favorite team's players had ever played.

In an action by the man against the collector for specific performance, which of the following, if proved, would best support the man's claim?

A. Both parties knew that there was a misunderstanding.

B. Neither party knew that there was a misunderstanding.

C. The collector knew that there was a misunderstanding, but the man did not.

D. The man knew that there was a misunderstanding, but the collector did not.

Explanation:

A **misunderstanding** arises when the parties to a contract assign different meanings to the same term. When the misunderstanding involves a material term, whether a valid contract was formed depends on who **knew or had reason to know** that there was a misunderstanding:*

- ***neither* party OR *both* parties** – in which case **no contract** was formed because there was no meeting of the minds
- ***one* party** – in which case a **valid contract** was formed, and the ***unknowing* party's meaning** of the term **controls**

Here, the man offered to purchase the cards of "every player who had ever played for [his favorite team]." He understood this to include cards from other teams while the collector did not, so the parties assigned different meanings to the same material term. If the *collector* knew (or had reason to know) that there was a misunderstanding but the man did not, then a valid contract formed according to the *man's* understanding of the term. Therefore, this fact would best support the man's claim for specific performance.

*In determining what a party knew or had reason to know, the objective test typically used in contract law does not apply. Instead, it is each party's actual knowledge or reason to know of the misunderstanding that governs—not what a reasonable person would have known.

(Choices A & B) No contract was formed if both parties OR neither party knew that there was a misunderstanding, so these circumstances would not support the man's claim for specific performance.

(Choice D) Fairness governs the effect of misunderstandings on contract formation. Here, if the man knew about the misunderstanding but the collector did not, it would be unfair to force the collector to give the man the cards from the other teams.

Educational objective:

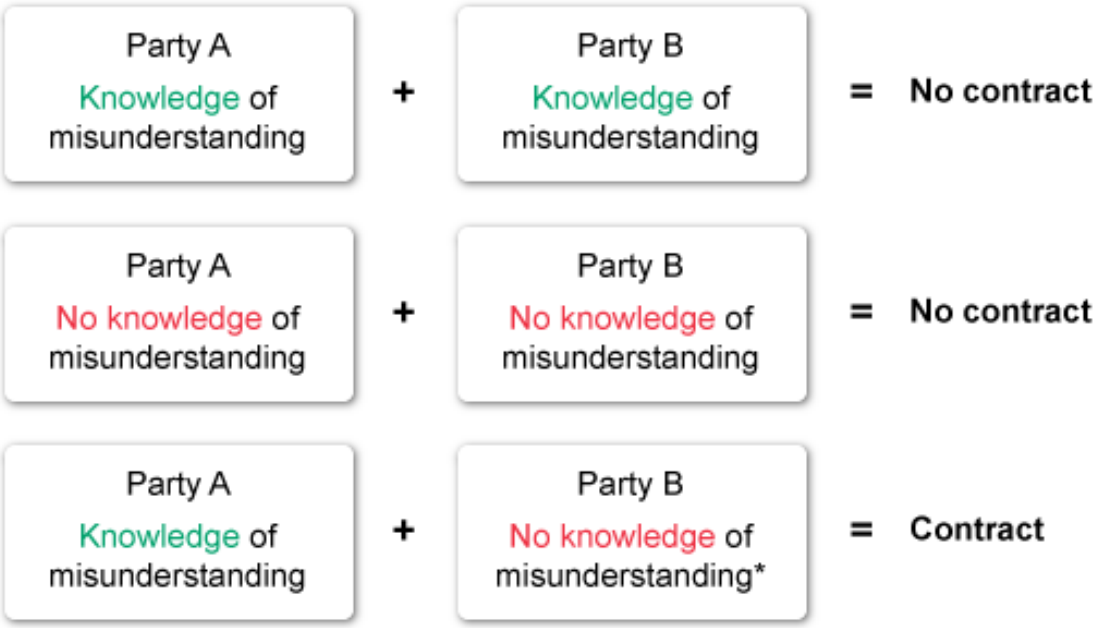
A misunderstanding involving a material term prevents contract formation when *neither* party OR *both* parties knew or had reason to know about the misunderstanding. However, if only *one* party knew or had reason to know, then a valid contract is formed using the unknowing party's meaning of the term.

References

- Restatement (Second) of Contracts § 20 (Am. Law Inst. 1981) (effect of misunderstanding).

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Misunderstanding a material term



* *Unknowing party's meaning controls*

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Collection of a debtor's $2,000 debt to a creditor was barred by the applicable statute of limitations. The debtor sold and delivered his car to a buyer under a written agreement, signed by the buyer, in which the buyer promised to pay the $2,000 purchase price to the creditor "in satisfaction of [the debtor's] debt to [the creditor]."

Can the creditor recover the $2,000 from the buyer?

A. No, because payment of the $2,000 to the creditor would undermine the statutory public policy against enforcement of stale claims.

B. No, because the creditor's rights as an intended beneficiary are subject to any defenses available to the contracting parties between themselves.

C. Yes, because the buyer's promise to pay $2,000 to the creditor is enforceable by the creditor regardless of whether the debtor was legally obligated to pay the creditor anything.

D. Yes, because the buyer's promise to pay $2,000 to the creditor revived the uncollectible debt.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. There are two types of third-party beneficiaries:

- **Intended** – who receive a ***direct*** **benefit** from the contract because the **contracting parties so intended** (eg, the contract provides that payment will go directly to a third party)

- **Incidental** – who receive some ***indirect*** **benefit** from the contract even though there was **no contractual intent** to benefit them (ie, all third-party beneficiaries who are not intended beneficiaries)

Only **intended beneficiaries**—not incidental beneficiaries—**have contractual rights** and **may sue to enforce** them.

Here, the debtor and the buyer agreed that the buyer would pay the $2,000 purchase price directly to the creditor in satisfaction of the debtor's debt to the creditor. This made the creditor an *intended* third-party beneficiary of the debtor-buyer agreement. Therefore, the creditor can enforce the buyer's promise to pay the $2,000. This is true regardless of whether the *debtor* was legally obligated to pay the creditor anything (given that the applicable statute of limitations had run) **(Choice D)**.

(Choice A) There is no statutory public policy against enforcement of stale claims. And here, the buyer's promise to pay the creditor the $2,000 is enforceable even if the creditor was time-barred from collecting the debt from the debtor.

(Choice B) The promisor (eg, the buyer) can raise any defense against the third-party beneficiary (eg, the creditor) that the promisor had against the original promisee (eg, the

debtor). But there is no indication that the buyer has a defense against the debtor that could be raised against the creditor in this case.

(Choice D) The buyer's promise to pay $2,000 to the creditor did *not* revive the uncollectible debt—ie, a suit by the creditor to collect the $2,000 from the *debtor* would still be barred by the applicable statute of limitations.

Educational objective:

Third-party beneficiaries are nonparties who receive some advantage or benefit from a contract. But only *intended* beneficiaries have contractual rights and may sue to enforce them.

References

- 17A Am. Jur. 2d Contracts § 426 (2020) (intended versus incidental beneficiaries).
- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).

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A builder borrowed $10,000 from a lender to finance a small construction job under a contract with a homeowner. The builder gave the lender a writing that stated, "Any money I receive from the homeowner will be paid immediately to the lender, regardless of any demands from other creditors." The builder died after completing the job but before the homeowner paid. The lender demanded that the homeowner pay the $10,000 due to the builder directly to the lender. The homeowner refused, saying that he would pay directly to the builder's estate everything that he owed the builder.

Is the lender likely to succeed in an action against the homeowner for $10,000?

A. No, because the builder's death terminated the lender's right to receive payment directly from the homeowner.

B. No, because the writing the builder gave to the lender did not transfer to the lender the right to receive payment from the homeowner.

C. Yes, because the builder had manifested an intent that the homeowner pay the $10,000 directly to the lender.

D. Yes, because the lender is an intended beneficiary of the builder-homeowner contract.

Explanation:

Assignment of contractual rights

Limitations	• Assignment permitted unless it: – materially increases obligor's contractual duties or risks – materially reduces obligor's chance of obtaining performance *or* – is void (not merely prohibited) under contract provision
Requirements	• Present intent to immediately assign right • Consideration generally required to make assignment irrevocable – Exceptions: promissory estoppel, delivery of document symbolizing assigned right (eg, stock certificate), delivery of written & signed assignment
Assignee's rights	• Assumes all of assignor's rights as contract stands at time of assignment, subject to claims/defenses that: – accrued before obligor received notice of assignment *or* – stem from assignor's present or future failure to perform • Assignor loses rights & therefore cannot enforce contract

An **assignment** is the transfer of rights under a contract to another (ie, assignee). No formalities are needed for an assignment, but there must be a ***present* intent to transfer** the rights immediately. A party's **promise to pay money received** pursuant to a contract to a third party is ***not* an assignment** of the party's contractual rights, but a **promise of *future* payment**. Therefore, the third party in that situation is not an assignee.

Here, the builder promised to pay the lender the $10,000 the builder received from the homeowner pursuant to the builder-homeowner contract. This promise of future payment was *not* an assignment and therefore did not transfer to the lender the right to receive payment directly from the homeowner. As a result, the lender is unlikely to succeed in an action against the homeowner for $10,000.

(Choice A) A gratuitous assignment (ie, one that is not supported by consideration) is automatically revoked upon the death, incapacity, or bankruptcy of the assignor. But no valid assignment occurred here, so the builder's death is irrelevant.

(Choice C) Regardless of the builder's subjective intent, the lender was not an assignee and therefore has no right to receive the $10,000 payment directly from the homeowner.

(Choice D) The lender was *not* an intended beneficiary of the builder-homeowner contract because the contract did not provide that the homeowner would pay the $10,000 directly to the lender.

Educational objective:

A party's promise to pay money received pursuant to a contract to a third party is *not* an assignment of the party's contractual rights, but a promise of future payment.

References

- Restatement (Second) of Contracts § 321 (Am. Law Inst. 1981) (assignment of future rights).

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For several weeks, a buyer's agent and an aircraft salesperson negotiated over the purchase price of a plane. After agreeing to a purchase price of $250,000, the agent signed a written contract to purchase the plane on behalf of the buyer. The contract contained a merger clause and called for a $10,000 deposit that the aircraft company could retain as liquidated damages if the buyer failed to accept delivery of the plane. The agent gave the salesperson a check for $10,000.

The buyer subsequently refused to accept delivery of the plane. The aircraft company tried to deposit the check pursuant to the liquidated damages provision, but the agent had issued a stop-payment order. The aircraft company sued the buyer to recover the $10,000. The buyer has offered the agent's testimony that the salesperson orally agreed during their negotiations that the deal would not be finalized until the buyer's wife approved it, which she did not.

Should the court admit this testimony?

A. No, because the merger clause bars any evidence of the parties' prior discussions concerning the sale of the plane.

B. No, because the testimony contradicts the writing by making the parties' duties conditional.

C. Yes, because the parol evidence rule does not bar the introduction of evidence for the purpose of showing that no contract was formed.

D. Yes, but only for the purpose of proving that the written contract was only partially integrated.

Explanation:

A written contract that contains a **merger clause** is presumed to be a **complete integration**—ie, a complete and final expression of the parties' agreement as to all of the terms. As a result, the **parol evidence rule bars** evidence of **prior or contemporaneous communications** that **supplement or contradict** the writing. However, the parol evidence rule **does not apply** to evidence offered to prove that **no contract was formed**—eg, because there was a condition precedent to the existence of the contract that failed to occur.

Here, the agent signed a written contract to buy the plane on the buyer's behalf. The contract contained a merger clause, which ordinarily would bar any evidence of the parties' prior discussions concerning the sale. However, the agent's testimony shows that the parties agreed that the deal would not be finalized until the buyer's wife approved it—a condition precedent to the existence of the contract. Therefore, the court should admit the testimony to show that no contract was formed because the buyer's wife did not approve the contract **(Choice A)**.

(Choice B) Even if the testimony contradicts the writing by making the parties' duties conditional, the testimony is not barred by the parol evidence rule since it is offered to prove that no contract was formed.

(Choice D) Although the merger clause creates a presumption that the agreement was completely integrated, this presumption can be rebutted with evidence that the agreement was only partially integrated—ie, a final expression as to some (but not all) of the terms. As a result, the agent's testimony is admissible for that purpose. But it is also admissible to prove that the written contract never came into being because a condition precedent failed to occur.

Educational objective:

The parol evidence rule bars evidence of prior or contemporaneous communications that supplement or contradict the terms of a contract that is completely integrated (eg, as evidenced by a merger clause). But this rule does not apply to evidence offered to prove that no contract was formed.

References

- Restatement (Second) of Contracts § 214 (Am. Law Inst. 1981) (exceptions to parol evidence rule).

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An actor straight out of drama school and an agent entered into a one-year written contract that described the services the agent would provide. Because he was eager for work, the actor agreed, in the contract, to pay the agent 15% of his yearly earnings. At the end of the year, the actor was so pleased with his many roles that he gave the agent 20% of his earnings. After the first contract had expired, the actor and the agent decided to continue working together. They photocopied their old contract, changed the date, and signed it. At the end of the year, a dispute arose as to what percentage of earnings the actor owed. It is a trade practice in the acting profession for actors to pay their agents 10% of their yearly earnings, payable at the end of the year.

What percentage of the actor's earnings is a court most likely to award the agent?

A. 20%, because course of dealing is given greater weight than trade usage.

B. 15%, because it was an express term of the contract.

C. 10%, because trade usage is the applicable default rule.

D. Nothing, because the contract is too indefinite.

Explanation:

Course of performance, course of dealing & trade usage

Course of performance	Sequence of conduct that is relevant to understanding agreement between parties if: • agreement involves repeated occasions for performance by one party AND • other party accepts performance without objection
Course of dealing	Sequence of conduct concerning previous transactions between parties that establishes common basis of understanding for interpreting their conduct
Trade usage	Practice or method of dealing in parties' business or industry that is observed with enough regularity to justify expectation that it will be observed in instant case

Courts adhere to **rules of construction** when **interpreting contracts**. The purpose of these rules is to assist the court in determining the meaning of ambiguous terms. Evidence relevant to this determination includes the contract's **express terms**, the parties' **course of performance**, the parties' **course of dealing**, and the industry's **trade usage**. When these are inconsistent with one another, **priority** is given as follows:

1. Express terms
2. Course of performance
3. Course of dealing
4. Trade usage

Here, the second contract executed by the actor and the agent *expressly* stated that the agent would receive 15% of the actor's yearly earnings. Although the actor gave 20% of his yearly earnings to the agent when the first contract ended, this was not a course of dealing between the parties because it occurred only once **(Choice A)**. And even though the acting profession's practice is to pay agents 10% of yearly earnings, an express term is given greater weight than trade usage when they are inconsistent. Therefore, a court will likely award the agent 15% **(Choice C)**.

(Choice D) A contract may be void if certain essential terms (eg, subject matter, consideration, duration) are indefinite. But here, the essential terms of the contract were *not* indefinite—ie, the subject matter was the agent's services, the consideration was 15% of the actor's yearly earnings, and the duration was one year.

Educational objective:

In interpreting contracts, (1) express terms prevail over all others, (2) course of performance prevails over course of dealing and trade usage, and (3) course of dealing prevails over trade usage.

References

- Restatement (Second) of Contracts § 203 (Am. Law Inst. 1981) (rules of construction to interpret a contract).

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A real estate developer solicited bids from general contractors to build residences on 50 lots owned by the developer. A general contractor, in turn, solicited bids from subcontractors for the various aspects of the construction process. A company submitted a bid of $1 million for performing the electrical work. This bid was based on a careless omission of the cost of an electrical component called for in the specifications prepared by the developer. The other bids received by the general contractor for the electrical work ranged from $1.25 million to $1.3 million, which were in line with the general contractor's own estimate for the electrical work. The general contractor used the company's bid of $1 million for performing the electrical work in submitting its bid to the developer.

After the general contractor's bid was accepted by the developer and the general contractor, in turn, accepted the company's bid, but before any work on the residences began, the company discovered its error. Although the company will make no profit from the job instead of the $100,000 profit it would have made had it correctly read the specifications, enforcement of its contract with the general contractor would not be unconscionable.

Is it likely that the company can avoid the contract?

A. No, because the company's bid was based on its own carelessness in computing its bid.

B. No, because the enforcement of the contract would not be unconscionable.

C. Yes, because the general contractor had reason to know of the mistake.

D. Yes, because there was a misunderstanding that prevented the formation of the contract.

Explanation:

A **valid contract** is generally formed when a mutual agreement is supported by adequate consideration, such as when the general contractor accepted the company's bid of $1 million for performing the electrical work. Although the company omitted the cost of an item when computing its bid, its **unilateral mistake** is ***not* grounds to avoid** the contract **unless**:

- the mistake would make **enforcement** of the contract against the nonmistaken party **unconscionable** (eg, due to a substantial difference between contract price and actual value) *or*
- the **nonmistaken party caused**, or **knew or had reason to know** of, the mistake.

Here, the facts stipulate that enforcement of the contract would not be unconscionable **(Choice B)**. But the other bids received by the general contractor ranged from $1.25 million to $1.3 million—a 25% to 30% discrepancy from the company's bid. Since the other bids were in line with the general contractor's own estimate for the electrical work, the general contractor had *reason to know* that the company's $1 million bid was based on a mistake. As a result, the company can likely avoid the contract.

(Choice A) The mistaken party's negligence with regard to its mistake (eg, the company's careless computing of its bid) does *not* prevent that party from avoiding the contract.

(Choice D) A misunderstanding occurs when the parties attach different meanings to the same material term (eg, price). Here, the erroneous $1 million bid did *not* create a misunderstanding that would prevent contract formation since "$1 million" has just one meaning.

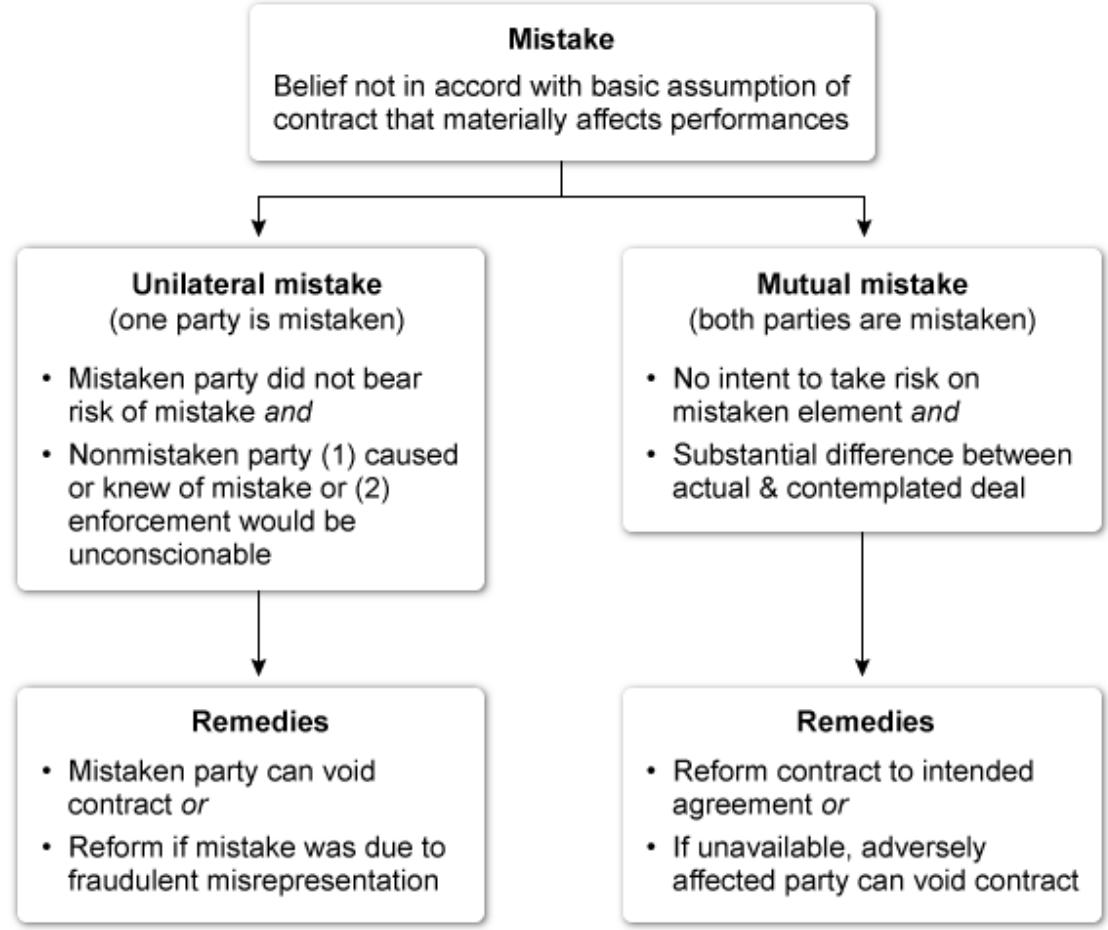
Educational objective:

Unilateral mistake is not grounds to avoid a contract unless (1) the mistake would make enforcement of the contract unconscionable or (2) the nonmistaken party caused, or knew or had reason to know of, the mistake.

References

- Restatement (Second) of Contracts § 153 (Am. Law Inst. 1981) (when unilateral mistake makes a contract voidable).

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Mistake
Belief not in accord with basic assumption of contract that materially affects performances
Unilateral mistake
(one party is mistaken)
• Mistaken party did not bear risk of mistake and
• Nonmistaken party (1) caused or knew of mistake or (2) enforcement would be unconscionable
Mutual mistake
(both parties are mistaken)
• No intent to take risk on mistaken element and
• Substantial difference between actual & contemplated deal
Remedies
• Mistaken party can void contract or
• Reform if mistake was due to fraudulent misrepresentation
Remedies
• Reform contract to intended agreement or
• If unavailable, adversely affected party can void contract

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A landowner advertised a proposed sale of standing timber on a choice 2,000-acre tract. A construction enterprise offered a fair price for the timber rights in question. The landowner accepted the offer and the parties entered into a written contract.

Later, without legal excuse and over the landowner's strong objection, the construction enterprise repudiated the contract before commencing performance. The landowner could not afford to hire a lawyer and take legal action, and he made no attempt to assign any cause of action he might have had against the construction enterprise.

If the construction enterprise is sued for breach of the contract by the landowner's next-door neighbor, whose view of a nearby lake is obscured by the standing timber, will the neighbor prevail?

A. No, because the neighbor is a maintainer of nuisance litigation.

B. No, because the neighbor is only an incidental beneficiary, if any, of the contract.

C. Yes, because the neighbor is a surrogate for the landowner in view of his inability to enforce the contract.

D. Yes, because the neighbor is a third-party intended beneficiary of the contract.

Explanation:

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. Unlike *intended* beneficiaries, ***incidental* beneficiaries**—ie, those whom the contracting parties did not intend to benefit directly—have **no right to sue** under the contract.

Here, the neighbor is at most an *incidental* beneficiary of the contract between the landowner and the construction enterprise since there was no contractual intent to benefit the neighbor (eg, improve the neighbor's view of the lake). As an incidental beneficiary, the neighbor has no right to sue under the contract. Therefore, the neighbor will not prevail in a breach-of-contract suit against the construction enterprise **(Choice D)**.

(Choice A) The neighbor would not be accused of maintaining nuisance litigation (ie, bringing a bad-faith claim to harass someone) since the neighbor presumably believed (incorrectly) that he/she had the right to enforce the contract.

(Choice C) A surrogate is one who acts on behalf of another party. But here, the neighbor has no right under the contract or otherwise to enforce the contract on the landowner's behalf.

Educational objective:

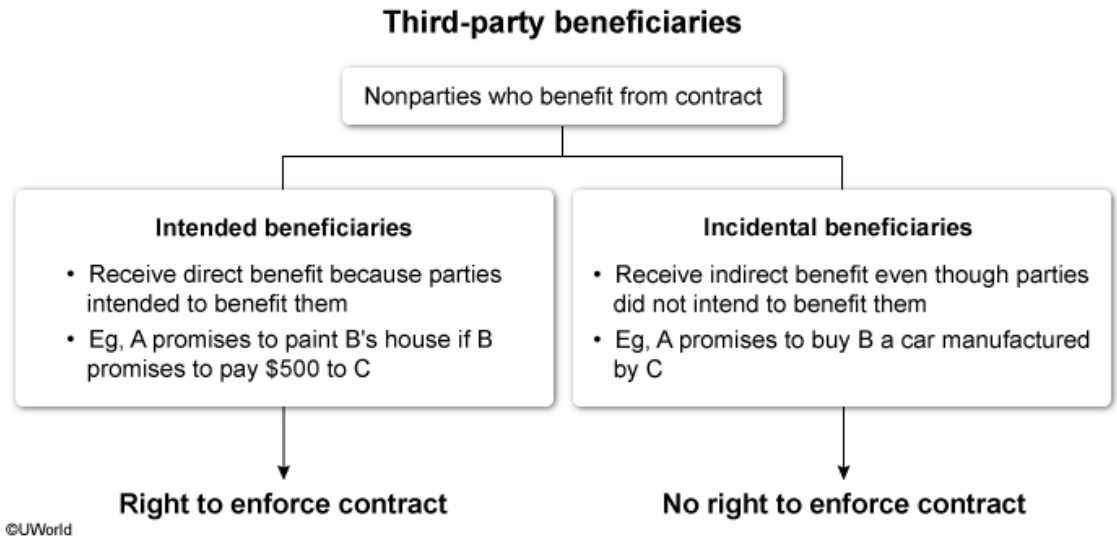
An incidental beneficiary—ie, a nonparty to a contract who receives some advantage or benefit from that contract even though the contracting parties did not intend to benefit him/her—has no right to sue under the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended & incidental beneficiaries).

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Third-party beneficiaries
Nonparties who benefit from contract
Intended beneficiaries
• Receive direct benefit because parties intended to benefit them
• Eg, A promises to paint B's house if B promises to pay $500 to C
Incidental beneficiaries
• Receive indirect benefit even though parties did not intend to benefit them
• Eg, A promises to buy B a car manufactured by C
Right to enforce contract
No right to enforce contract
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Before putting her home up for sale, a homeowner painted the living room ceiling to conceal major water damage caused by a leaking roof that had not yet been repaired. On the first day the home was offered for sale, the homeowner gave a buyer a personal tour. The homeowner made no statements at all regarding the water damage or the roof. Without discovering the water damage or the leaking roof and without consulting a lawyer, the buyer immediately agreed in writing to buy the home for $200,000. Before the closing date, the buyer discovered the water damage and the leaking roof. The cost of repair was estimated at $22,000. The buyer has refused to go through with the purchase.

If the homeowner sues the buyer for breach of contract, is the homeowner likely to prevail?

A. No, because no contract was formed since the buyer did not have a real opportunity to understand the essential terms of the contract.

B. No, because the homeowner concealed evidence of the water damage and of the leaking roof.

C. Yes, because the buyer acted unreasonably by failing to employ an inspector to conduct an independent inspection of the home.

D. Yes, because the homeowner made no affirmative statements of fact about the water damage or the leaking roof.

Explanation:

When reliance on misrepresentation is justified

Fact (almost always justified)	If untrue assertion is presented as fact, party's reliance justified *unless*: • assertion is patently false *or* • party knows assertion is false
Opinion* (rarely justified)	If untrue assertion is presented as opinion, party's reliance justified *only if*: • facts as speaker understands them are consistent with or justify opinion • relationship of trust & confidence exists • party reasonably believes speaker has special expertise *or* • party is particularly susceptible to type of misrepresentation involved

*A statement of opinion is also a statement of fact—and can therefore be a misrepresentation—because it states that a person has a particular state of mind.

Misrepresentation is an untrue assertion of fact made by words or conduct (eg, **concealment**—an act intended to **prevent discovery of facts**). When this occurs, a **contract is voidable** by the adversely affected party if:

- the misrepresentation was **fraudulent** (ie, made knowingly or recklessly with intent to induce the other party's assent to the contract) OR **material** (ie, likely to induce a reasonable person's assent)
- the misrepresentation **induced assent** to the contract *and*
- the adversely affected party **justifiably relied** on the misrepresentation.

Here, the homeowner painted the living room ceiling to conceal water damage and a leaking roof. As a result of this fraudulent misrepresentation, the buyer decided to purchase the home. And since the homeowner never mentioned the water damage or roof during the personal tour, the buyer justifiably relied on the misrepresentation. Therefore, the buyer can avoid the contract and the homeowner is unlikely to prevail.

(Choice A) No contract is formed (ie, the apparent contract is void) if a fraudulent misrepresentation prevents a party from knowing the character or essential terms of the transaction and the party did not have a reasonable opportunity to understand those terms. But there is no evidence that the buyer did not understand the essential terms of the contract here.

(Choice C) A party's reliance on a misrepresentation is justified unless the misrepresentation is patently false (eg, if the water damage was visible) or the party knows it to be false. Therefore, the buyer's failure to inspect the home does not bar relief.

(Choice D) An affirmative *statement* is not required for a misrepresentation to occur. Affirmative *conduct* intended to prevent another from discovering a fact (eg, concealment) also qualifies as a misrepresentation.

Educational objective:

A contract is voidable for misrepresentation if (1) the misrepresentation was fraudulent or material, (2) it induced assent to the contract, and (3) the adversely affected party justifiably relied on the misrepresentation.

References

- Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).

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The owner of a fleet of taxis contracted with a dealer in petroleum products for the purchase and sale of the fleet owner's total requirements of gasoline and oil for one year. As part of that agreement, the petroleum dealer also agreed with the fleet owner that for one year the petroleum dealer would place all his advertising with the fleet owner's wife, who owned her own small advertising agency. When the wife was informed of the contract, she declined to accept an advertising account from another company because she could not handle both accounts during the same year. The fleet owner performed his contract with the petroleum dealer for six months, and during that time the petroleum dealer placed his advertising with the wife. At the end of the six months, the fleet owner and the wife were divorced, and the fleet owner then told the petroleum dealer that he had no further obligation to place his advertising with the fleet owner's now ex-wife. The petroleum dealer thereupon notified the ex-wife that he would no longer place his advertising with her.

In an action by the wife against the petroleum dealer for breach of contract, will the wife likely succeed?

A. No, because absent a provision in the contract to the contrary, the promisor and promisee of a third-party beneficiary contract retain by law the right to modify or terminate the contract.

B. No, because the agency relationship, if any, between the fleet owner and the wife terminated upon their divorce.

C. Yes, because the fleet owner acted in bad faith in releasing the petroleum dealer from his duty with respect to the fleet owner's wife.

D. Yes, because the petroleum dealer and the fleet owner could not, without the wife's consent, modify their contract so as to discharge the petroleum dealer's duties to the wife.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. If the contracting parties intended for the contract to benefit the third party, the third party is an **intended beneficiary**. Only intended (not incidental) beneficiaries have **enforceable rights under the contract**. Those rights **vest** when the beneficiary:

- **detrimentally relies** on the rights created
- **manifests assent** to the contract at one party's request *or*
- **files a lawsuit** to enforce the contract.

Once this occurs, the original contracting parties are both bound to perform the contract. Any effort to **rescind or modify** the contract **after vesting** is **void unless the beneficiary agrees** to the rescission or modification.

Here, the wife was an intended beneficiary of the contract between the fleet owner and the petroleum dealer because the contract provided that the petroleum dealer would use the wife's advertising agency for a year. The wife detrimentally relied on the contract when she declined another account because she could not handle two accounts at the same time—vesting her rights. As a result, she will likely succeed because the fleet owner cannot rescind (ie, cancel) or modify the contract without the now ex-wife's consent **(Choice A)**.

(Choice B) The fleet owner was *not* acting as an agent for the wife because she did not direct him to enter into the contract on her behalf. Instead, the wife was an intended beneficiary of the contract, and her consent was required to modify the contract—regardless of the divorce proceeding.

(Choice C) Because the wife's contractual rights had vested, the fleet owner could not in good *or* bad faith release the petroleum dealer from his duty with respect to the wife.

Educational objective:

An intended beneficiary's contractual rights vest when the beneficiary (1) detrimentally relies on the rights created, (2) manifests assent to the contract, or (3) files a lawsuit to enforce it. Any effort to rescind or modify the contract after vesting is void unless the beneficiary agrees to the rescission or modification.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 311 (Am. Law Inst. 1981) (variation of a duty to a beneficiary).

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A buyer and a seller entered into a written contract for the sale of a copy machine, using the same form contract that they had used a number of times in the past. The contract stated that payment was due 30 days after delivery and provided that the writing contained the complete and exclusive statement of the parties' agreement. On several past occasions, the buyer had taken a 5% discount from the contract price when paying within 10 days of delivery, and the seller had not objected. On this occasion, when the buyer took a 5% discount for paying within 10 days, the seller objected because his profit margin on this particular machine was smaller than on his other machines.

If the seller sues the buyer for breach of contract, may the buyer introduce evidence that the 5% discount was a term of the agreement?

A. No, because the seller timely objected to the buyer's proposal for different terms.

B. No, because the writing contained the complete and exclusive agreement of the parties.

C. Yes, because a modification made in good faith does not require consideration.

D. Yes, because evidence of course of dealing is admissible even if the writing contains the complete and exclusive agreement of the parties.

Explanation:

Under the **UCC parol evidence rule**, evidence of a prior agreement (or contemporaneous oral agreement) cannot be used to *contradict* the terms of a final written agreement. But the **following evidence can be used** to ***explain or supplement*** those terms, regardless of whether the agreement is completely or partially integrated:*

- **Course of performance** – sequence of conduct that is relevant to understanding an agreement between the parties if (1) the agreement involves repeated occasions for performance by a party and (2) the other party accepts performance without objection
- **Course of dealing** – **sequence of conduct** concerning **previous transactions** between the parties that establishes a common basis of understanding for interpreting their conduct
- **Trade usage** – any practice or method of dealing in the parties' business or industry that is practiced with enough regularity to justify an expectation that it will be practiced in the instant case

Here, on several past occasions, the buyer had taken a 5% discount from the contract price when paying within 10 days of delivery, and the seller had not objected. This established a course of dealing between the parties that can be used to supplement the contract at issue, which was silent regarding discounts for early payment. Therefore, evidence of the 5% discount is admissible even if the writing contains the complete and exclusive agreement of the parties (ie, even if the writing is completely integrated) **(Choice B)**.

*Priority is given as follows: (1) express contractual terms prevail over all others, (2) course of performance prevails over course of dealing and trade usage, and (3) course of dealing prevails over trade usage.

(Choice A) There was an established course of dealing between the parties, so the seller's objection to the 5% discount—after the buyer had acted in accordance with the course of dealing—was ineffective.

(Choice C) Under the UCC, a good-faith modification is enforceable without consideration. But the enforceability of a modification is not at issue here.

Educational objective:

The UCC parol evidence rule always allows course of performance, course of dealing, and trade usage to be used to explain or supplement the terms of a final written agreement—even one that is completely integrated.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (parol evidence rule).

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A buyer, who was a minor both in fact and appearance, bought on credit and took delivery of a telescope from a 30-year-old seller for an agreed price of $100. Soon after reaching the age of majority, the buyer encountered the seller and said, "I am sorry for not having paid you that $100 for the telescope when the money was due, but I found out it was only worth $75. So I now promise to pay you $75." The buyer subsequently repudiated her promise and refused to pay the seller anything.

In an action for breach of contract by the seller against the buyer, what amount of damages will the seller likely recover?

A. Nothing, because the buyer was a minor at the time of the original transaction.

B. Nothing, because there was no consideration for the promise made by the buyer after reaching majority.

C. $75.

D. $100.

Explanation:

An unmarried, unemancipated **minor** (ie, person under the age of 18) **lacks capacity** to enter a contract. This means that any **contract** the minor enters **is *voidable***, so the minor can either:

- **void** the contract before or soon after turning 18 by (1) disaffirming it through words or actions and (2) returning any still-existing benefit received under it *or*
- **ratify** the contract after turning 18 by (1) failing to timely void the contract or (2) agreeing to be bound by it.

The contract becomes enforceable if the **minor ratifies** it. However, if the ratification is made by a **promise to perform only *part*** of the contract, **enforcement is limited** to that promise to **partially perform**.

Here, the buyer was a minor when she originally agreed to purchase a telescope from the seller for $100. Although the buyer had not paid the $100 when she reached the age of majority, she *ratified* the contract by retaining the telescope and promising to perform part of the contract by paying only $75. This made the contract enforceable—but only to the extent of the promise for partial performance. Therefore, the seller likely will only recover $75 **(Choices A & D)**.

(Choice B) Certain promises are enforceable even without consideration. This includes a party's promise to perform a voidable duty (ie, ratification), so long as the new promise is not also voidable. Therefore, the buyer's promise to pay $75 made after reaching majority is enforceable without consideration.

Educational objective:

A minor lacks capacity to contract, so the minor can choose to (1) void the contract before or soon after turning 18 or (2) ratify it after turning 18. If the contract is ratified by a promise to perform only *part* of the contract, enforcement is limited to that promise to partially perform.

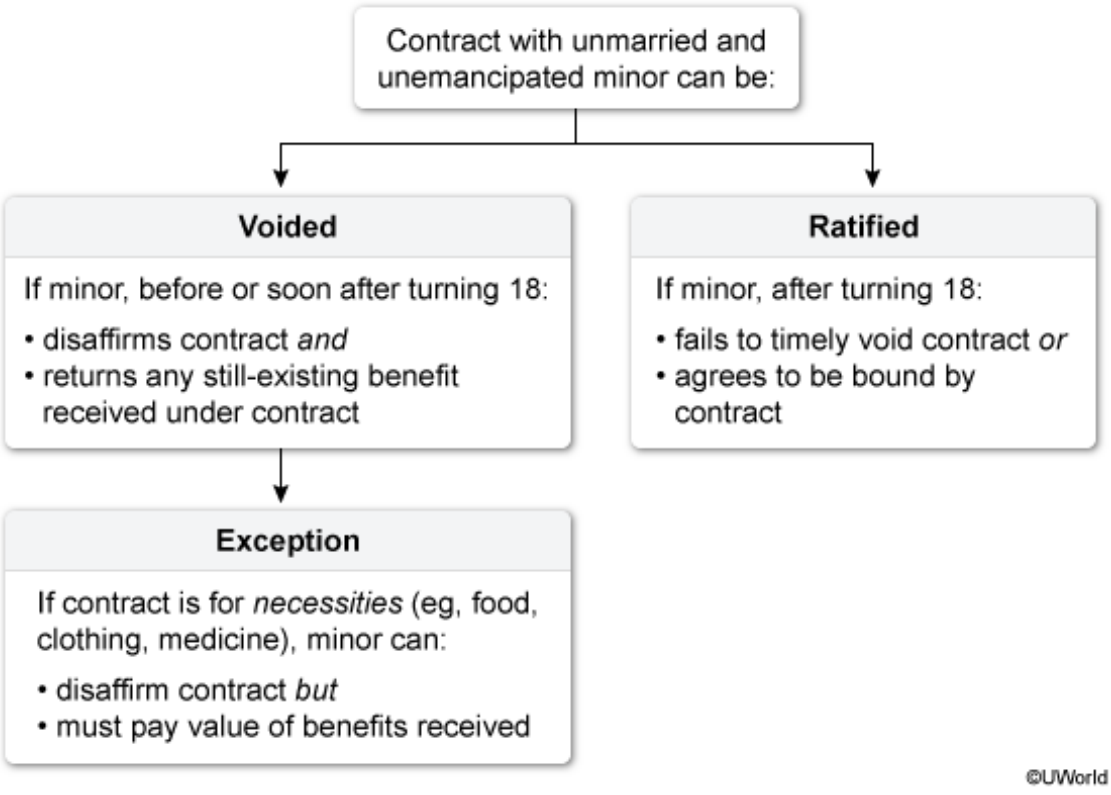
References

- Restatement (Second) of Contracts § 14 (Am. Law Inst. 1981) (incapacity based on infancy).

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Incapacity due to infancy



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A father and his adult daughter encountered an old family friend on the street. The daughter said to the family friend, "How about lending me $1,000 to buy a used car? I'll pay you back with interest one year from today." The father added, "And if she doesn't pay it back as promised, I will." The family friend thereupon wrote out and handed to the daughter his personal check, payable to her, for $1,000, and she subsequently used the funds to buy a used car. When the debt came due, both the daughter and the father refused to repay any part of it.

In an action by the family friend against the father to recover $1,000 plus interest, which of the following statements would summarize the father's best defense?

A. He received no consideration for his conditional promise to the family friend.
B. His conditional promise to the family friend was not made for the primary purpose of benefiting himself (the father).
C. His conditional promise to the family friend was not to be performed in less than a year from the time it was made.
D. The loan by the family friend was made without any agreement concerning the applicable interest rate.

Explanation:

Contracts subject to the statute of frauds are **enforceable only** if they are (1) in a **writing** that provides a reasonable basis to believe a contract was formed and (2) **signed** by the party against whom enforcement is sought. Here, the check from the family friend may have satisfied the writing requirement. But since it was not signed by the father, the contract is unenforceable if it is subject to the statute of frauds.

A **suretyship** is a promise to assume responsibility for a duty incurred by another (eg, the father's promise to pay the loan if the daughter does not). Under the **main-purpose rule**, suretyships are subject to the **statute of frauds *unless*** they are made for the promisor's **own economic advantage**. Therefore, the father's best defense is that his suretyship was primarily made to benefit his daughter, so it is subject to and *unenforceable* under the statute of frauds.

(Choice A) The suretyship is supported by consideration because each promise was induced by the promises of the other parties. The family friend loaned the daughter $1,000 based on *both* promises to pay him back (and vice versa).

(Choice C) A one-year contract is *not* subject to the statute of frauds if it is *possible* to perform within one year (even if the parties agree on a later completion date). Here, it was possible for the daughter or father to pay the loan within a year, so this would not trigger the statute of frauds.

(Choice D) An agreement concerning an applicable interest rate was not needed to form an enforceable contract.

Educational objective:

A suretyship is a promise to assume responsibility for a duty incurred by another. Unless a suretyship is made for the promisor's own economic advantage, it is subject to the statute of frauds—ie, it must be in writing and signed by the party against whom enforcement is sought.

References

- Restatement (Second) of Contracts § 112 (Am. Law Inst. 1981) (requirement of suretyship).
- Restatement (Second) of Contracts § 116 (Am. Law Inst. 1981) (main-purpose rule).

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A farmer contracted to sell 100,000 bushels of wheat to a buyer. When the wheat arrived at the destination, the buyer discovered that the farmer had delivered only 96,000 bushels. The buyer sued the farmer for breach of contract. At the trial of the case, the court found that the written contract was intended as a complete and exclusive statement of the terms of the agreement. The farmer offered to prove that in the wheat business, a promise to deliver a specified quantity is considered to be satisfied if the delivered quantity is within 5% of the specified quantity. The buyer objected to the offered evidence.

Is the court likely to admit the evidence offered by the farmer?

A. No, because the offered evidence is inconsistent with the express language of the agreement.

B. No, because the written contract was totally integrated.

C. Yes, because the offered evidence demonstrates that the farmer substantially performed the contract.

D. Yes, because the offered evidence explains or supplements the agreement by usage of trade.

Explanation:

UCC parol evidence rule

	Description		Priority of evidence
Inadmissible	Prior/contemporaneous agreements that contradict written contract		Express terms always control
Admissible	**Course of performance**	Sequence of conduct under contract involving repeated occasions for performance	Course of performance > course of dealing & trade usage
	Course of dealing	Sequence of conduct pertaining to previous contracts	Course of dealing > trade usage
	Trade usage	Regular practice or method of dealing in that particular business/industry	N/A

UCC = Uniform Commercial Code.

Under the **UCC's parol evidence rule**, the express terms of a **completely integrated, written contract** cannot be contradicted by evidence of inconsistent prior or contemporaneous agreements. However, evidence of **trade usage** can be **admitted to explain or supplement** contract terms so long as that evidence is reasonably consistent with the contract's express language.* Trade usage refers to a **practice or method of dealing** that is observed with such **regularity in the industry** that the parties to a contract would be expected to observe it.

Here, the farmer delivered 96,000 bushels of wheat instead of the 100,000 bushels expressly required by the completely integrated contract. However, evidence shows that in the wheat industry, a delivery is satisfied if the delivered quantity is within 5% of the quantity specified in the contract. And since this evidence of trade usage is reasonably consistent with the contract's express language, the court is likely to admit the farmer's evidence of trade usage to supplement the contract **(Choices A & B)**.

*Under the majority rule, trade usage is consistent with express language in the contract unless the usage completely negates specific express language.

(Choice C) Under the UCC's perfect-tender rule, a seller breaches a contract for the sale of goods when those goods or their delivery do not *perfectly* conform to the contract's terms (as seen here). Therefore, evidence showing that the farmer substantially performed is unlikely to be admitted because it does not excuse the farmer's breach.

Educational objective:

The UCC parol evidence rule allows the admission of evidence of trade usage to explain or supplement a contract's terms if that evidence is reasonably consistent with the express language of the contract.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (trade usage is admissible to explain or supplement contract's terms).
- U.C.C. § 1-303 (Am. Law Inst. & Unif. Law Comm'n 2020) (definition of trade usage).

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A seller borrowed $5,000 from a bank. Soon thereafter the seller filed for bankruptcy, having paid nothing on his debt to the bank.

Five years after the debt had been discharged in bankruptcy, the seller contracted to sell certain goods to a buyer for $5,000. The contract provided that the buyer would pay the $5,000 to the bank. The only debt that the seller ever owed the bank is the $5,000 debt that was discharged in bankruptcy. The seller delivered the goods to the buyer, who accepted them.

If the bank becomes aware of the contract between the seller and the buyer, and the buyer refuses to pay anything to the bank, is the bank likely to succeed in an action against the buyer for $5,000?

A. No, because the buyer's promise to pay the bank was not supported by consideration.
B. No, because the seller's debt was discharged in bankruptcy.
C. Yes, because no consideration is required to support a promise to pay a debt that has been discharged in bankruptcy.
D. Yes, because the bank was an intended beneficiary of the contract between the buyer and the seller.

Explanation:

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. If the contracting parties intended for the contract to benefit the third party, the third party is an ***intended*** **beneficiary** with **enforceable rights under the contract**. That right **vests** when the beneficiary:

- **detrimentally relies** on the rights created
- **manifests assent** to the contract at one party's request *or*
- **files a lawsuit** to enforce the contract.

Once this occurs, the original contracting parties are bound to perform the contract.

Here, the bank was an intended third-party beneficiary of the buyer-seller contract because the seller agreed to sell the buyer goods in exchange for the buyer paying the bank $5,000. The bank's right to enforce the buyer-seller contract will vest once the bank files a lawsuit to enforce it. Therefore, the bank will likely succeed in an action against the buyer for $5,000.

(Choice A) The buyer's promise to pay the bank *was* supported by consideration since the buyer agreed to pay the bank $5,000 in exchange for the seller's goods.

(Choice B) The fact that the seller's debt to the bank was discharged in bankruptcy is irrelevant because an intended beneficiary can be a creditor *or* a donee beneficiary. A creditor beneficiary can recover to satisfy a debt. A donee beneficiary can recover to receive a gift. Therefore, the bank is likely an intended donee beneficiary.

(Choice C) Although no consideration is required to support a promise to pay a debt discharged in bankruptcy, this is not a reason for the bank to succeed. Instead, the bank will succeed because it is an intended beneficiary.

Educational objective:

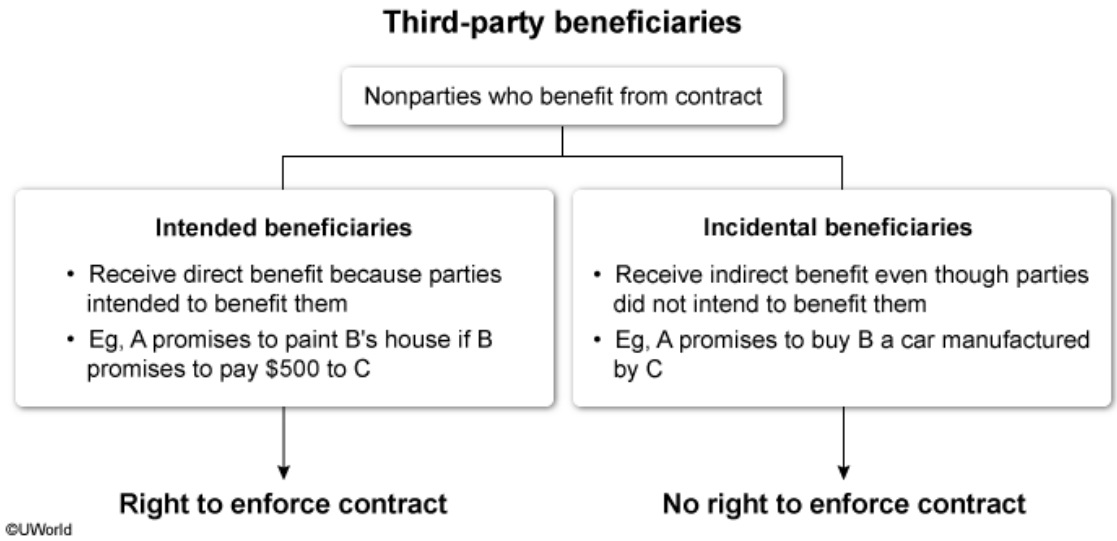
Intended third-party beneficiaries receive a direct benefit from a contract because the contracting parties intended to benefit them. They have the right to file a lawsuit to enforce the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 304 (Am. Law Inst. 1981) (duties owed to intended beneficiaries).

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Third-party beneficiaries
Nonparties who benefit from contract
Intended beneficiaries
• Receive direct benefit because parties intended to benefit them
• Eg, A promises to paint B's house if B promises to pay $500 to C
Incidental beneficiaries
• Receive indirect benefit even though parties did not intend to benefit them
• Eg, A promises to buy B a car manufactured by C
Right to enforce contract
No right to enforce contract
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A radio manufacturer and a retailer, after extensive negotiations, entered into a final, written agreement in which the manufacturer agreed to sell and the retailer agreed to buy all of its requirements of radios, estimated at 20 units per month, during the period from January 1, 2017 to December 31, 2019, at a price of $50 per unit. A dispute arose in late December 2019, when the retailer returned 25 undefective radios to the manufacturer for full credit after the manufacturer had refused to extend the contract for a second three-year period.

In an action by the radio manufacturer against the retailer for damages due to return of the 25 radios, the manufacturer introduces the written agreement, which expressly permitted the retailer to return defective radios for credit but was silent as to return of undefective radios for credit. The retailer seeks to introduce evidence that during the three years of the agreement it had returned, for various reasons, 125 undefective radios, for which the manufacturer had granted full credit. The manufacturer objects to the admissibility of this evidence.

How will the trial court probably rule as to the admissibility of the evidence proffered by the retailer?

A. Admissible, because course-of-performance evidence, when available, is considered the best indication of what the parties intended the writing to mean.

B. Admissible, because the evidence supports an agreement that is not within the relevant statute of frauds.

C. Inadmissible, because the evidence is barred by the parol evidence rule.

D. Inadmissible, because the express terms of the agreement control when those terms are inconsistent with the course of performance.

Explanation:

UCC parol evidence rule

	Description		Priority of evidence
Inadmissible	Prior/contemporaneous agreements that contradict written contract		Express terms always control
Admissible	**Course of performance**	Sequence of conduct under contract involving repeated occasions for performance	Course of performance > course of dealing & trade usage
	Course of dealing	Sequence of conduct pertaining to previous contracts	Course of dealing > trade usage
	Trade usage	Regular practice or method of dealing in that particular business/industry	N/A

UCC = Uniform Commercial Code.

Contracts for the sale of goods (eg, radios) are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC's parol evidence rule**, the express terms of a final, written contract **cannot be contradicted** by evidence of inconsistent prior or contemporaneous agreements. But when a **contract is silent** on an issue, its terms **can be supplemented** with evidence of a **course of performance**—ie, a sequence of conduct under a contract that involves repeated occasions for performance.

Here, the radio manufacturer and the retailer entered a final, written requirements contract for the sale of radios. Near the end of the contract, the retailer returned 25 undefective radios for credit, as it had previously done with 125 undefective radios. The contract expressly permitted the return of *defective* radios, but it was silent as to the return of *undefective* radios **(Choice D)**. Therefore, evidence of this course of performance is admissible since it is the best indication of what the parties intended the writing to mean **(Choice C)**.

(Choice B) Under the statute of frauds, certain types of contracts—eg, contracts for the sale of goods greater than $500—are only enforceable if they are written and signed by the party against whom enforcement is sought. But here, the contract *is* within the statute of frauds since it called for the sale of an estimated 20 radios per month, at $50 per radio, for 36 months (ie, greater than $500).

Educational objective:

The parol evidence rule prohibits evidence of inconsistent prior agreements that contradict a final, written contract. But when a contract is silent on an issue, its terms can be explained or supplemented with evidence of a course of performance—ie, a sequence of conduct under a contract involving repeated occasions for performance.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (parol evidence rule).

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A mechanic agreed in writing to make repairs to a landscaper's truck for $12,000. The mechanic properly made the repairs, but when the landscaper tendered payment, the mechanic refused to deliver the truck unless the landscaper promised to pay an additional $2,000. The customary charge for such work was $14,000. Because the landscaper needed the truck immediately to fulfill existing contractual obligations, and because no rental trucks of the same type were available, the landscaper promised in writing to pay the mechanic an additional $2,000. The mechanic then delivered the truck.

Will the mechanic be able to enforce the landscaper's promise to pay the additional $2,000?

A. No, because the landscaper had no reasonable alternative but to yield to the mechanic's wrongful threat.

B. No, because the mechanic exerted undue influence over the landscaper with respect to the modification.

C. Yes, because the landscaper could have obtained possession of the truck through legal action rather than by agreeing to the increased payment.

D. Yes, because the modified contract price did not exceed a reasonable price.

Explanation:

Duress may serve as a **defense to contract enforceability** if a contracting party's assent was induced by an improper threat from another contracting party—eg, a threat that breached the contractual duty of good faith and fair dealing. When this occurs, the contract becomes voidable and can be **rescinded if** the threatened party:

- had **no reasonable alternative** but to succumb to the improper threat *and*
- **promptly** (ie, within a reasonable time) **disaffirmed** the contract.

Here, the mechanic breached his duty of good faith and fair dealing when he refused to deliver the truck unless the landscaper paid an additional $2,000 (improper threat). Since the landscaper needed the truck immediately to fulfill existing contractual obligations and no similar rental trucks were available, he had no choice but to succumb to the threat (no reasonable alternative). As a result, his promise *cannot* be enforced if he promptly disaffirmed it.

(Choice B) Undue influence makes a contract voidable when a party assented due to unfair or excessive persuasion from someone who dominated (eg, prison guard/prisoner) or held a special relationship of trust and confidence with (eg, attorney/client) the assenting party—neither of which is seen here.

(Choice C) Since the landscaper needed the truck *immediately* to fulfill existing contractual obligations, his ability to *later* obtain possession through legal action was not a reasonable alternative.

(Choice D) Although the modified contract price was customary and reasonable, this modification was still induced by an improper threat because it violated the mechanic's duty of good faith and fair dealing.

Educational objective:

A contract that is assented to under duress induced by an improper threat from another contracting party is voidable if the victim (1) had no reasonable alternative but to succumb to the improper threat and (2) promptly (ie, within a reasonable time) disaffirmed the contract.

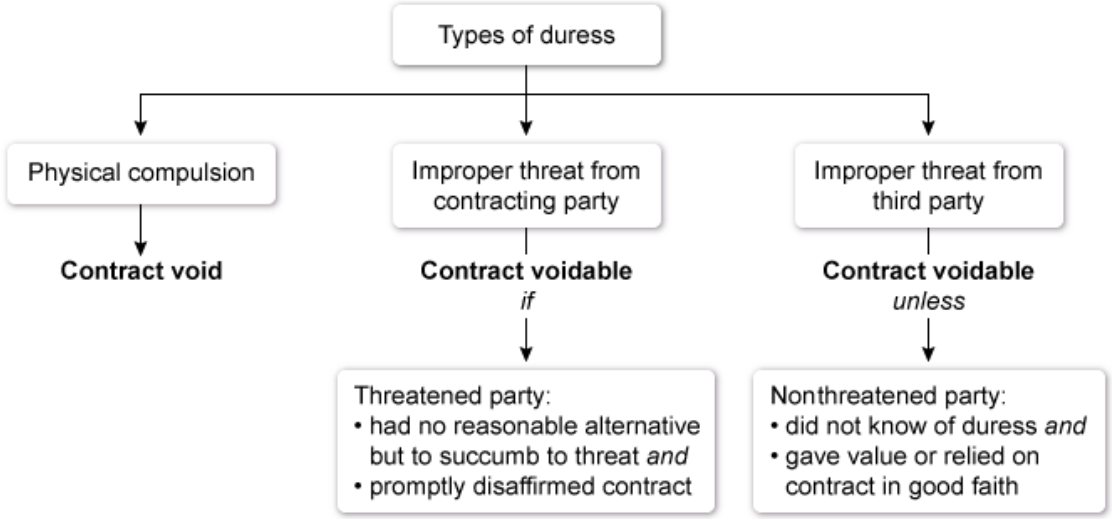
References

- Restatement (Second) of Contracts §§ 174–176 (Am. Law Inst. 1981) (duress caused by physical compulsion and improper threat).

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Duress
(defense against contract enforceability)



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A 17-year-old boy started a business mowing lawns for his neighbors. As the boy's business grew, he received requests for lawn services from homeowners in neighborhoods located several miles away. The boy lived with his parents and had use of the family's old pickup truck after 4:00 p.m. each day to carry his lawn maintenance equipment to the other neighborhoods. However, the boy believed that it was necessary to own a truck that could be used for his business at any hour. He therefore entered a contract with a used-car dealership to purchase a truck.

Which of the following statements best describes the contract between the boy and the used-car dealership?

A. The contract for necessaries is enforceable.

B. The contract is voidable only by the boy.

C. The contract is voidable by either party.

D. The contract is void and unenforceable.

Explanation:

An unmarried, unemancipated **minor** (ie, person under the age of 18) **lacks capacity to contract**, so any contract entered by the minor is voidable by the minor. However, the contract is not voidable by the other contracting party. This means that the minor has the sole power to either:

- void the contract before or soon after turning 18 by (1) disaffirming the contract through words or actions and (2) returning any still-existing benefit received under the contract *or*
- ratify the contract after turning 18 by (1) failing to timely void the contract or (2) otherwise agreeing to be bound by it.

However, if the minor seeks to void a **contract for necessaries**, then the minor can still incur **liability** for the **reasonable value** of the **necessaries** under a quasi-contract theory. "Necessaries" is a flexible term that generally includes food, clothing, shelter, and anything else that (1) is actually required for the minor's support or well-being and (2) has not been provided by the minor's parent or guardian.

Here, the 17-year-old boy contracted with the dealership to purchase a truck because he believed that it was necessary to own a truck that could be used for his business. But the boy did not *actually* require a new truck because he had use of the family's pickup truck to carry his lawn maintenance equipment to other neighborhoods. Therefore, the necessaries exception does not apply here, and the contract is voidable only by the boy **(Choices A, C & D)**.

Educational objective:

Minors lack capacity to contract, so a contract entered by a minor is voidable by the minor. However, a minor who chooses to disaffirm a contract for necessaries (eg, food, clothing, shelter) must pay for their reasonable value.

References

- Restatement (Second) of Contracts § 14 (Am. Law Inst. 1981) (incapacity based on infancy).
- 42 Am. Jur. 2d Infants §§ 56–63 (2020) (infant liability for necessaries).
- 42 Am. Jur. 2d Infants §§ 64–69 (2020) (examples of necessaries).

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Common examples of necessaries

(contracting minor must pay reasonable value)

Food



Clothing



Shelter



Education



Medical care



Vehicle



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On March 15, in a writing signed by both parties, a manufacturer agreed to sell 40,000 pens at $1 each to a retailer, delivery to be made in two equal installments on April 1 and May 1. The contract was silent as to the time of payment, but on March 25 the two parties orally agreed that the entire purchase price was to be paid on delivery of the second installment.

On April 1, the manufacturer delivered 20,000 pens, and the retailer accepted them. The manufacturer then demanded payment of $20,000. When the retailer refused to make the payment, the manufacturer sued the retailer for breach of contract. In its defense, the retailer proffered evidence of the March 25 oral agreement.

Is the manufacturer likely to succeed in its action?

A. No, because even though the March 25 oral agreement is not effective, payment is due at the time of the second installment.

B. No, because the March 25 oral agreement was an effective modification of the written contract.

C. Yes, because the parol evidence rule bars the introduction of evidence of an oral agreement modifying a written contract.

D. Yes, because there was no consideration to support the modification.

Explanation:

Unwritten modifications of contracts

Contract silent on modification (common law & UCC)		• Unwritten modification valid unless statute of frauds applies
Contract clause requires written modification	**Common law**	• Clause unenforceable • Unwritten modification valid unless statute of frauds applies
	UCC	• Clause *enforceable* (ie, unwritten modification invalid) if: – contract written & signed – clause separately signed by nonmerchant if sued by merchant • Clause *waived* (ie, unwritten modification valid) if: – parties intended unwritten modification – one party materially changed position in reliance

UCC = Uniform Commercial Code.

Under the **UCC statute of frauds**, contracts for the sale of goods for $500 or more (eg, 40,000 pens at $1 each) must be in a writing that states the quantity of goods to be sold and is signed by the party against whom enforcement is sought. However, **modifications** to a contract that falls within and satisfies this statute **need *not* be in writing unless** they affect the **subject matter** of the contract or the **quantity** of goods to be sold.

Here, the March 15 contract for the sale of pens needed to be, and was, in a writing that satisfied the statute of frauds. But the March 25 agreement that the entire purchase price would be paid on delivery of the second installment did *not* need to be in writing since it affected neither subject matter nor quantity. Therefore, the March 25 oral agreement was an effective modification of the written contract. And since the retailer's refusal to pay for the first installment on delivery was not a breach, the manufacturer is not likely to succeed.

(Choice A) Where a contract for the sale of goods is silent as to the time of payment, the UCC "fills the gap" with a provision that payment is due when the buyer receives the goods. Therefore, had the March 25 oral agreement been ineffective, payment for each installment of pens would have been due upon receipt.

(Choice C) The parol evidence rule generally bars extrinsic evidence of a *prior* oral or written agreement to modify or contradict the terms of a final written agreement (eg, March 15 contract). But this rule does not bar evidence of *subsequent* agreements between the parties (eg, March 25 oral agreement).

(Choice D) Under the UCC, contract modifications are binding without consideration so long as they are made in good faith. This requires honesty and observance of reasonable commercial standards of fair dealing in the trade.

Educational objective:

Modifications to a contract that falls within and satisfies the UCC statute of frauds do NOT need to be in writing unless they affect subject matter or quantity.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of frauds).
- U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (contract modification requirements).

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A debtor's $1,000 contractual obligation to the aunt was due on July 1. On the preceding June 15, the aunt called her niece and said, "As my birthday gift to you, you may collect on July 1 the $1,000 the debtor owes me." The aunt also called the debtor and told him to pay the $1,000 to her niece on July 1. On July 1, the debtor, saying that he did not like the niece and wouldn't pay anything to her, paid the $1,000 to the aunt, who accepted it without objection.

Will the niece succeed in an action for $1,000 against the debtor?

A. No, because the aunt's acceptance of the $1,000, without objection, was in effect the revocation of a gratuitous assignment.

B. No, because the debtor cannot be compelled to render performance to an assignee whom he finds personally objectionable.

C. Yes, because the aunt had effectively assigned the $1,000 debt to her.

D. Yes, because the aunt's calls to the niece and the debtor effected a novation.

Explanation:

Assignment of contractual rights

Limitations

- Assignment permitted unless it:
  - materially increases obligor's contractual duties or risks
  - materially reduces obligor's chance of obtaining performance *or*
  - is void (not merely prohibited) under contract provision

Requirements

- Present intent to immediately assign right
- Consideration generally required to make assignment irrevocable
  - Exceptions: promissory estoppel, delivery of document symbolizing assigned right (eg, stock certificate), delivery of written & signed assignment

Assignee's rights

- Assumes all of assignor's rights as contract stands at time of assignment, subject to claims/defenses that:
  - accrued before obligor received notice of assignment *or*
  - stem from assignor's present or future failure to perform
- Assignor loses rights & therefore cannot enforce contract

An assignment is the transfer of rights under a contract to a third party. A **gratuitous assignment**—ie, one that is ***not* supported by consideration** such as money—can generally be **revoked by words or conduct**.

Here, the aunt transferred her right to collect the $1,000 debt to her niece. The assignment was gratuitous because it was a birthday gift to the niece and the aunt asked for nothing in return. However, the debtor paid the $1,000 to the aunt—not the niece. By accepting the $1,000 without objection, the aunt effectively revoked the gratuitous assignment to the niece **(Choice C)**. Therefore, the niece will not succeed in an action against the debtor.

(Choice B) There is no rule that excuses a party from rendering performance to an assignee whom the party finds personally objectionable.

(Choice D) A novation is a substitute contract in which the parties agree to replace an original contracting party with a new party. But here, the debtor never agreed to replace the aunt with the niece (no novation).

Educational objective:

An assignment (ie, transfer of contractual rights) that is not supported by consideration can be revoked by words or conduct.

References

- Restatement (Second) of Contracts § 321 (Am. Law Inst. 1981) (assignment of future rights).

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An aircraft broker sought to purchase on behalf of its client a private jet from a fleet owned by a corporation. In a telephone conversation between the broker and the corporation's finance manager, the broker offered $9 million for the jet. The manager agreed on the condition that the broker give the corporation a $250,000 deposit toward the jet's purchase price and a copy of the broker's agreement with the client. The broker complied with the manager's request.

Subsequently, the broker and the corporation exchanged written drafts of a contract memorializing their agreement. None of the drafts were signed by the parties. Two months later, the corporation notified the broker that the jet was not for sale and disputed the existence of an enforceable contract.

Is there an enforceable contract between the broker and the corporation?

A. No, because partial payment of the jet's purchase price did not take the contract out of the statute of frauds.

B. No, because the broker never signed a writing evidencing a contract with the corporation.

C. Yes, because the agreement was memorialized in the written drafts of the contract exchanged by the parties.

D. Yes, because the broker paid $250,000 for the jet and the corporation accepted that payment.

Explanation:

The **UCC statute of frauds** applies to contracts for the sale of goods for $500 or more (eg, private jet sold for $9 million). These contracts generally must be in writing and signed by the party against whom enforcement is sought to be enforceable. However, **one exception** applies when some amount of payment was made and accepted.* The effect of a **partial payment** turns on whether the contract is for:

- **separable goods** – in which case, the contract is **enforceable up to** the quantity of **goods paid for in full** *or*
- an **indivisible good** – in which case, the **entire contract is enforceable**.

Here, the broker–corporation contract violated the statute of frauds because none of the written drafts exchanged by the parties were signed **(Choice C)**. However, the broker paid $250,000 (partial payment) toward the jet (indivisible good) and the corporation presumably accepted that payment. Therefore, the contract is excepted from the statute of frauds and is enforceable in its entirety **(Choice A)**.

*The exception also applies when some amount of goods have been received and accepted.

(Choice B) The fact that the broker never signed a writing evidencing a contract with the corporation is irrelevant. That is because the corporation is the party against whom enforcement is sought and the one whose signature was therefore needed to satisfy the statute of frauds.

Educational objective:

A contract is excepted from the UCC statute of frauds when some amount of payment was made and accepted. A partial payment for separable goods renders the contract enforceable only up to the quantity paid for in full, while a partial payment for an indivisible good renders the entire contract enforceable.

UCC = Uniform Commercial Code.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of frauds formal requirements).

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UCC statute of frauds exceptions



Specifically manufactured goods



Party admits to contract



Payment or goods accepted

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For an agreed price of $20 million, a construction company contracted with a real estate developer to design and build on the developer's commercial plot a 15-story office building. In excavating for the foundation and underground utilities, the construction company encountered a massive layer of granite at a depth of 15 feet. By reasonable safety criteria, the building's foundation required a minimum excavation of 25 feet.

When the contract was made, neither the real estate developer nor the construction company was aware of the subsurface granite and neither party had hired a qualified expert to test for subsurface granite.

Claiming accurately that removal of enough granite to permit the construction as planned would cost the construction company an additional $3 million and a probable net loss on the contract of $2 million, the construction company refused to proceed with the work unless the real estate developer would promise to pay an additional $2.5 million for the completed building.

If the real estate developer refuses and sues the construction company for breach of contract, which of the following will the court probably decide?

A. The construction company is excused, because the contract is voidable on account of the parties' mutual mistake concerning an essential underlying fact.
B. The construction company is excused under the modern doctrine of supervening impossibility, which includes severe impracticability.
C. The real estate developer prevails, because the construction company assumed the risk of encountering subsurface granite that was unknown to the real estate developer.
D. The real estate developer prevails, unless subsurface granite was previously unknown anywhere in the vicinity of the real estate developer's construction site.

Explanation:

When party assumes risk of mistake

Express	Contract allocates risk to party
Conscious ignorance	Party enters contract despite conscious ignorance of facts related to mistake
Adjudication	Court allocates risk to party because reasonable under circumstances

When both parties enter a contract based on the same mistake (ie, **mutual mistake**), the contract is voidable by an adversely affected party if:

- the mistake relates to a **basic assumption** of the contract
- the mistake **materially affects** the agreed-upon **exchange of performances** (ie, the adversely affected party cannot fairly be required to carry it out) *and*
- the adversely affected party **did *not* assume** the **risk of the mistake**.

Here, when the contract was made, neither party knew that there was a massive layer of granite 15 feet below the surface. That mutual mistake related to a basic assumption of the contract since the building's foundation required a minimum excavation of 25 feet. And it materially affected the agreed-upon exchange since removing the granite would cost the construction company $3 million and likely cause a net loss of $2 million. However, the court will probably decide that the construction company assumed the risk of encountering the subsurface granite because:

- there is a foreseeable risk of encountering subsurface granite in excavation projects like this one *and*
- as a professional builder, the construction company should have been aware of this risk and so acted unreasonably by failing to hire a qualified expert to test for subsurface granite **(Choice D)**.

Therefore, the real estate developer will likely prevail in a breach-of-contract suit against the construction company **(Choice A)**.

(Choice B) As with mutual mistake, the doctrine of impossibility does not apply where the adversely affected party assumed the risk of the event that rendered performance impossible or severely impracticable (here, encountering subsurface granite).

Educational objective:

Mutual mistake renders a contract voidable by the adversely affected party when (1) the mistake relates to a basic assumption of the contract, (2) the mistake materially affects the agreed-upon exchange of performances, and (3) the adversely affected party did not assume the risk of the mistake.

References

- Restatement (Second) of Contracts § 153 (Am. Law Inst. 1981) (one party's mistake makes contract voidable).
- Restatement (Second) of Contracts § 154 (Am. Law Inst. 1981) (when party bears risk of mistake).

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During negotiations to purchase a used car, a buyer asked a dealer whether the car had ever been in an accident. The dealer replied: "It is a fine car and has been thoroughly inspected and comes with a certificate of assured quality. Feel free to have the car inspected by your own mechanic." In actuality, the car had been in a major accident, and the dealer had repaired and repainted the car, successfully concealing evidence of the accident. The buyer declined to have the car inspected by his own mechanic, explaining that he would rely on the dealer's certificate of assured quality. At no time did the dealer disclose that the car had previously been in an accident. The parties then signed a contract of sale. After the car was delivered and paid for, the buyer learned that the car had been in a major accident.

If the buyer sues the dealer to rescind the transaction, is the buyer likely to succeed?

A. No, because the buyer had the opportunity to have the car inspected by his own mechanic and declined to do so.

B. No, because the dealer did not affirmatively assert that the car had not been in an accident.

C. Yes, because the contract was unconscionable.

D. Yes, because the dealer's statement was intentionally misleading and the dealer concealed evidence of the accident.

Explanation:

Misrepresentation is an **untrue assertion of fact** often made in an **affirmative statement**. It can also be asserted through **conduct**—ie, an act of concealment intended to prevent discovery of facts or nondisclosure **(Choice B)**. When either form of misrepresentation occurs, a contract is **voidable and can be rescinded** by the adversely affected party **if**:

- the misrepresentation was **fraudulent** (ie, made knowingly or recklessly with intent to induce the other party's assent to the contract) OR **material** (ie, likely to induce a reasonable person's assent)
- the misrepresentation **induced assent** to the contract *and*
- the adversely affected party **justifiably relied*** on the misrepresentation.

Here, the dealer repaired and repainted the car to conceal accident damage. This fraudulent misrepresentation, along with the dealer's misleading statements about the car's history, induced the buyer to purchase the car. And since the dealer's misrepresentations were not obviously false (eg, had the accident damage been visible) or known by the buyer to be false, he justifiably relied on them. Therefore, his action to rescind the contract is likely to succeed.

*This element is met unless the misrepresentation was patently and obviously false or the adversely affected party knew that it was false.

(Choice A) The buyer's failure to have the car inspected by his own mechanic does not make his reliance on the dealer's misrepresentations unjustified or prevent him from rescinding the contract.

(Choice C) A contract is unconscionable when (1) the contract terms are one-sided or create unfair surprise or (2) the bargaining process provides no meaningful choice to a party (neither of which is seen here).

Educational objective:

A contract is voidable for misrepresentation if (1) the misrepresentation was fraudulent or material, (2) it induced assent to the contract, and (3) the adversely affected party justifiably relied on it.

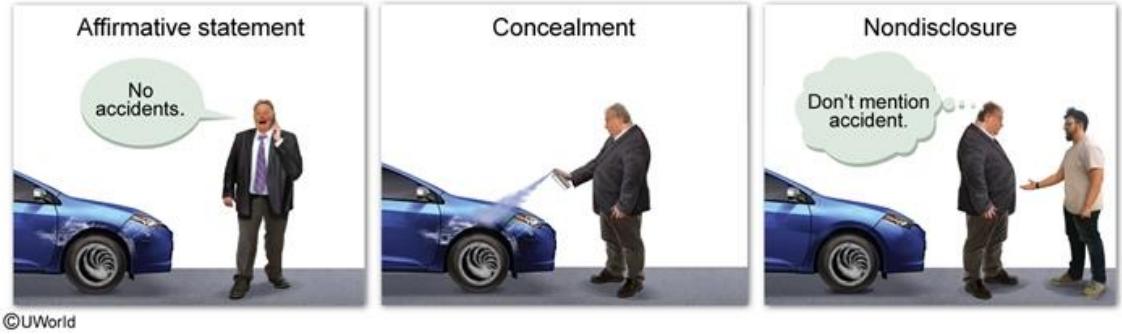
References

- Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).
- Restatement (Second) of Contracts §§ 168–72 (Am. Law Inst. 1981) (when reliance on assertions of fact or opinion is justified).

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Types of misrepresentation



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In order to raise revenue, a city required home-repair contractors who performed work within the city limits to pay a licensing fee to a city agency. A contractor who was unaware of the fee requirement agreed to perform home repairs for a city resident. After the contractor completed the work, the resident discovered that the contractor had not paid the licensing fee, and she refused to pay for the repairs, which were otherwise satisfactory.

If the contractor sues the resident for breach of contract, how is the court likely to rule?

A. Although the contract violates the law and is void, the court will require the homeowner to pay the contractor the reasonable value of the work accepted.

B. Although the contract violates the law, the court will find that public policy does not bar enforcement of the contract, because the purpose of the fee is merely to raise revenue.

C. Because the contract violates the law and is void, the court will not enforce it.

D. Because the purpose of the fee is merely to raise revenue, the court will find that the contract does not violate the law but will allow the contractor to recover his costs only.

Explanation:

Weighing public policy v. Interest in enforcing illegal contract

Public policy	**Interest in enforcing**
• Strength of policy as shown by legislature or courts • Likelihood nonenforcement will further policy • Seriousness and/or deliberateness of misconduct • Connection between misconduct & contract	• Parties' justified expectations • Forfeiture that would result from nonenforcement • Special public interest in enforcement

Illegal contracts are generally void as against public policy. But if a contract is illegal solely because a party does not have a required license, then the **enforceability** of the contract depends on whether the **purpose** behind the **licensing requirement** is:

- **economic** (eg, raise revenue) – in which case the contract is **enforceable** *or*
- **regulatory** (eg, protect public health or safety) – in which case the contract is **unenforceable if** the **public policy** behind the requirement **clearly outweighs** the **interest in enforcing** the contract.

Here, the contract between the contractor and resident was illegal because the contractor had not paid the required licensing fee to the city agency. But since the purpose of this fee is merely to *raise revenue* for the city, the court will likely find that public policy does not bar enforcement of the contract **(Choice C)**.

(Choice A) Had the contract been void on public-policy grounds, then the court may have required the homeowner to pay restitution damages (ie, the reasonable value of the work accepted) to avoid unjust enrichment.

(Choice D) The contract *does* violate the law. But public policy does not bar its enforcement, and the contractor is entitled to recover the full contract price—not his costs only.

Educational objective:

When a party does not have a required license, the enforceability of the contract depends on whether the purpose behind the requirement is (1) economic, in which case the contract is enforceable, or (2) regulatory, in which case it is unenforceable if the public policy behind the requirement clearly outweighs the interest in enforcement.

References

- Restatement (Second) of Contracts § 181 (Am. Law Inst. 1981) (when failure to comply with licensing requirement makes contract unenforceable).

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In a telephone conversation, a jewelry maker offered to buy 100 ounces of gold from a precious metals company if delivery could be made within 10 days. The jewelry maker did not specify a price, but the market price for 100 ounces of gold at the time of the conversation was approximately $65,000. Without otherwise responding, the company delivered the gold six days later.

In the meantime, the project for which the jewelry maker planned to use the gold was canceled. The jewelry maker therefore refused to accept delivery of the gold or to pay the $65,000 demanded by the company.

Is there an enforceable contract between the jewelry maker and the company?

A. No, because the parties did not agree on a price term.

B. No, because the parties did not put their agreement in writing.

C. Yes, because the absence of a price term does not defeat the formation of a valid contract for the sale of goods where the parties otherwise intended to form a contract.

D. Yes, because the company relied on an implied promise to pay when it delivered the gold.

Explanation:

The **UCC statute of frauds** applies to contracts for the **sale of goods of $500 or more** (eg, gold valued at $65,000—as seen here) and renders such contracts unenforceable unless they are in a writing that:

- provides a reasonable basis to believe a contract was formed
- states the quantity of goods to be sold* *and*
- is signed with an identifying mark by the party against whom enforcement is sought.

However, this statute does *not* apply when (1) the goods are **specially manufactured**, (2) the party against whom enforcement is sought **admits to the contract**, or (3) some amount of **payment or goods** was **received and accepted**.

Here, there is no indication that the gold was specially manufactured for the jewelry maker or that the jewelry maker admitted to a contract with the company. And though the company delivered the gold to the jewelry maker, the jewelry maker refused to accept delivery. Therefore, the contract is not excepted from the statute of frauds. And since the parties did not put their agreement into writing, it is unenforceable.

*The contract is only enforceable up to the written quantity.

(Choices A & C) A contract for the sale of goods is enforceable even if the price term is missing or incorrectly stated. But even though the absence of a price term does not affect the enforceability of the contract between the jewelry maker and the company, the contract is still unenforceable because the parties failed to put it in writing.

(Choice D) Under the doctrine of promissory estoppel, the company's reliance on an implied promise to pay would provide an alternative basis for recovery only if such reliance was reasonable and caused the company *substantial* detriment (eg, turning down substantial business to fulfill the jewelry maker's request—not seen here).

Educational objective:

Contracts for the sale of goods of $500 or more are not subject to the statute of frauds if (1) the goods are specially manufactured, (2) the party against whom enforcement is sought admits to the contract, or (3) some amount of goods or payment was received and accepted.

References

- UCC § 2-201 (statute of frauds formal requirements).

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UCC statute of frauds exceptions



Specifically manufactured goods



Party admits to contract



Payment or goods accepted

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The managing director of an investment firm orally offered to hire a foreign-exchange trader for a nine-month period at a salary identified only as "more than you're making now." The trader accepted the director's offer, began work immediately, and thereafter received a check for $8,000 each month. The monthly check exceeded his prior salary.

Two months after the trader started work at the firm, the director sent him this email: "I hereby offer to extend your position for an additional six months beyond the original nine-month term at the amount stated in your monthly paycheck. Please confirm. /s/ Director." The trader's reply email read: "I agree to work for six additional months."

After the trader had completed nine months with the firm, the director notified the trader that his services were no longer needed.

Is the trader likely to prevail in a breach of contract suit against the investment firm?

A. No, because the parties did not specify salary with reasonable certainty.

B. No, because the trader did not rely on the director's promise to his detriment.

C. Yes, because the parties' emails satisfy the statute-of-frauds requirement.

D. Yes, because the trader's employment was extended for less than one year.

Explanation:

Statute of frauds requirements

Writing Physical or electronic document(s) containing reasonable basis to believe contract was formed (eg, receipt, check, emails) AND

- at common law – identifies parties, subject matter, consideration, time & nature of performance
- under UCC – lists quantity of goods (contract enforceable only up to written quantity)

Signature General rule – handwritten signature from, or other mark identifying, party to be charged (eg, letterhead, electronic signature, initials)

- Merchant exception – between merchants, written confirmation that satisfies statute of frauds as to *sender* will bind both parties if no written objection within 10 days

UCC = Uniform Commercial Code,

The following types of contracts (as entered or as modified) fall within the **statute of frauds** and must be in **writing** to be enforceable (**MY LEGS**):

- **M**arriage – a contract made in consideration of marriage
- **Y**ear – a contract that **cannot be completed** within **one year**
- **L**and – a contract for the sale or transfer of an interest in real property
- **E**xecutor – a contract to pay an estate's debt out of the executor's personal funds
- **G**oods – a contract for the sale of goods for $500 or more
- **S**uretyship – a contract to answer for the debt or duty of another

The writing must be **signed** by the party against whom enforcement is sought and state with **reasonable certainty** the **essential terms** of the deal—eg, length of employment and salary in an employment contract. The writing need not be formal, and the essential terms may be in **multiple writings** so long as one of the writings **references the other(s)**.*

Here, the parties' nine-month oral employment agreement was enforceable without a writing. However, the parties subsequently agreed to extend the trader's employment for six additional months. Because the agreement *as modified* could not be completed within one year, it had to be in a writing that satisfies the statute of frauds **(Choice D)**.

The parties' emails satisfy this requirement. They contain the director's electronic signature and state the essential terms of the deal with reasonable certainty—eg, they specify employment length and salary by reference to the trader's monthly paychecks **(Choice A)**. Therefore, the trader will likely prevail.

*Even if the writing is lost or destroyed, it still satisfies the statute of frauds, and its prior existence can be proved by oral evidence.

(Choice B) The fact that the trader did not detrimentally rely on the director's promise (eg, by declining a job offer) would preclude him from enforcing the promise on promissory estoppel grounds. But the trader need not rely on promissory estoppel since the parties have a valid contract.

Educational objective:

Contracts within the statute of frauds (MY LEGS) are unenforceable without a signed writing that states with reasonable certainty the essential terms of the deal. The essential terms may be in multiple writings so long as one of the writings references the other(s).

References

- Restatement (Second) of Contracts §§ 131–32 (Am. Law Inst. 1981) (writing requirement for statute of frauds).

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The mother of a son and a daughter was dying. The daughter visited her mother in a hospice facility and said, "You know that I have always been the good child, and my brother has always been the bad child. Even so, you have left your property in the will to us 50-50. But it would be really nice if you would sell me the family home for $100,000."

"I don't know," said the mother. "It is worth a lot more than that—at least $250,000."

"That is true," said the daughter. "But I have always been good and visited you, and my brother has never visited you, so that ought to be worth something. And besides, if you won't sell me the house for that price, maybe I won't visit you anymore, either."

"Oh, I wouldn't want that," said the mother, and she signed a contract selling the house to her daughter for $100,000.

Shortly thereafter, the mother died. When her son found out that the house had been sold and was not part of his mother's estate, he sued to have the contract avoided on behalf of the mother.

On what ground would the contract most likely be avoided?

A. Duress.

B. Inadequate consideration.

C. Mistake.

D. Undue influence.

Explanation:

A contract induced by **undue influence** is voidable by the assenting party. Undue influence arises when a party assents to a contract due to **unfair or excessive persuasion** by **someone who dominates** or holds a **special relationship** of trust and confidence **with the assenting party**. Persuasion is unfair or excessive if it seriously impairs the assenting party's ability to exercise free and competent judgment. The following factors are often considered in making this determination:

- unfairness of the resulting bargain (eg, sale of home worth $250,000 for $100,000)
- unavailability of independent advice (eg, attorney unavailable to discuss sale)
- susceptibility of the assenting party (eg, mental illness, under hospice care)

Here, the daughter held a special relationship of trust with the mother because the daughter was the only child who visited the mother. The daughter's claimed status as the "good child" and her threat to stop visiting likely impaired the mother's judgment and persuaded her to sell her home to the daughter. This is further evidenced by the unfair resulting bargain and the mother's susceptibility. As a result, this contract would most likely be avoided on the ground of undue influence.*

*Had undue influence come from a third party, the assenting party could avoid the contract unless the other contracting party (1) did not know of the undue influence and (2) had given value or relied on the contract in good faith.

(Choice A) Duress arises when a party's assent is induced by physical coercion or an improper threat that leaves no reasonable alternative but to assent or face *irreparable* harm (not seen here). Therefore, the contract cannot be avoided on this ground.

(Choice B) Adequate consideration exists when, as here, there is a bargained-for exchange of promises or performances. This is true even if that exchange is unequal—eg, $100,000 in exchange for a $250,000 home.

(Choice C) A mistake is a belief not in accord with the facts (eg, had the mother not owned the home) that makes a contract voidable if it concerns a basic assumption on which the contract was made (not seen here).

Educational objective:

A contract is voidable for undue influence when (1) assent stems from unfair or excessive persuasion (2) by someone who dominates or holds a special relationship of trust and confidence with the assenting party.

References

- Restatement (Second) of Contracts § 177 (Am. Law Inst. 1981) (undue influence).

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Undue Influence

Domination



Power over victim



Victim's singular dependence

Special relationship of trust and confidence



Family



Caregiver



Fiduciary

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An expert in installing equipment on top of tall buildings contracted in a signed writing to lift and emplace certain air-conditioning equipment on top of a building. An exculpatory clause in the contract provided that the expert would not be liable for any physical damage to the building occurring during installation of the air-conditioning equipment. There was also a clause providing for per diem damages if the expert did not complete performance by a specified date and a clause providing that "time is of the essence." Another clause provided that any subsequent agreement for extra work under the contract must be in writing and signed by both parties.

With ample time remaining under the contract for commencement and completion of his performance, the expert notified the owner of the building that he was selling his business to a contractor, who was equally an expert in installing equipment on top of tall buildings, and that the contractor had agreed to "take over the contract."

The owner orally agreed with the expert to accept the contractor's services. The contractor performed on time but negligently installed the wrong air-conditioning equipment.

Will the owner succeed in an action against the expert for damages for breach of contract?

A. No, because by accepting the substitution of the contractor for the expert, the owner effected a novation, and the expert was thereby discharged of his duties under the contract.

B. No, because the liquidated-damage clause in the contract provided only for damages caused by delay in performance.

C. Yes, because the owner did not agree to release the expert from liability under the contract.

D. Yes, because the owner received no consideration for the substitution of the contractor for the expert.

Explanation:

Nondelegable contractual duties

Delegation not permitted when:

- other contracting party has substantial interest in having delegating party perform (eg, in personal-services contract involving taste or special skill) *or*
- delegation is prohibited by contract

Obligations under a contract can generally be **delegated *unless***:

- the other party to the contract has a **substantial interest** in having the **delegating party perform** (eg, in a personal-services contract involving taste or a special skill) *or*
- the delegation is prohibited by the contract (eg, states that "this contract may not be assigned").

However, a party may **consent** to a delegation that would otherwise be prohibited. After a successful delegation, the **delegator remains liable** under the contract **unless** the other party **agreed to release** the delegator and substitute a new one (ie, agreed to a novation).

Here, the building owner likely had a substantial interest in having the expert perform the contract—especially since the installation of the air-conditioning equipment required special skills. As a result, the expert could not delegate his duties to the contractor without the owner's consent. And although the owner consented, the owner did *not* agree to release the expert from liability under the contract. Therefore, the owner can sue the expert for damages caused by the contractor's negligent installation of the air-conditioning equipment.

(Choice A) A novation is a substituted contract in which the parties agree to replace an original contracting party with a new party. But merely consenting to a delegation (as seen here) does *not* create a novation.

(Choice B) The liquidated-damage clause provided only for damages caused by delay in performance. It does not preclude recovery for damages caused by other breaches (eg, negligent installation).

(Choice D) The building owner's consent to the delegation did not need to be supported by consideration to be valid, so this is not a basis for the owner to succeed. Instead, the owner will succeed because the owner did not release the expert from liability under the contract.

Educational objective:

After a delegation (ie, transfer of contractual duties), the delegating party remains liable under the contract unless the other party agreed to release the delegating party and substitute a new one (ie, agreed to a novation).

References

- Restatement (Second) of Contracts § 318 (Am. Law Inst. 1981) (delegation of duties).

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On May 4, a widow and a car dealership both signed a single document evidencing a contract for the sale by the dealership to the widow, "as a wedding gift for the widow's son, a new luxury sedan, with all available equipment, for $180,000 cash on delivery not later than June 1." On May 5, the widow handed her son a carbon copy of this document. In reliance on the prospective gift, the son on May 20 sold his nearly new sports car to a dealer at a "bargain" price of $50,000 and immediately informed the widow and the dealership that he had done so.

On May 25, however, the widow and the car dealership by mutual agreement rescinded in a signed writing "any and all agreements heretofore made between the undersigned parties for the sale-and-purchase of a new luxury sedan." Later that day, the dealership sold for $190,000 cash to another buyer the only new luxury sedan that it had in stock or could readily obtain elsewhere. On June 1, the son tendered $180,000 in cash to the car dealership and demanded delivery to him "within a reasonable time" of a new luxury sedan with all available equipment.

The dealership rejected the tender and denied any obligation.

If the son sues the dealership for breach of contract, which of the following will the court probably decide?

A. The dealership wins, because it reasonably and prejudicially relied on its contract of mutual rescission with the widow by selling the only readily available new luxury sedan to another buyer.

B. The dealership wins, because the son, if an intended beneficiary at all of the widow-dealership contract, was only a donee beneficiary.

C. The son wins, because his rights as an assignee for value of the May 4 widow-dealership contract cannot be cut off by agreement between the original parties.

D. The son wins, because his rights as a third-party intended beneficiary became vested by his prejudicial reliance in selling his sports car on May 20.

Explanation:

Intended third-party beneficiaries' recovery for breach

Type of beneficiary	**Versus party obligated to *pay* for benefit**	**Versus party obligated to *confer* benefit**
Donee (recipient of gift)	Cannot recover unless detrimental reliance satisfied	Can recover if rights vested through: • detrimental reliance • manifestation of assent OR • lawsuit
Creditor (satisfaction of debt)	Can recover	

A contract formed for the primary purpose of benefitting a third party can be modified or rescinded until the rights of the third party (ie, **intended beneficiary**) have vested. **Vesting** occurs when the beneficiary:

- **detrimentally relies** on the **rights created**
- manifests assent to the contract at one party's request *or*
- files a lawsuit to enforce the contract.

Vested rights **cannot be modified** without the beneficiary's consent, and vesting allows the beneficiary to **recover for breach** from the **party obligated to confer the benefit**.

Here, the widow contracted with the dealership to buy a luxury sedan for her son—the intended beneficiary of the contract. On May 20, the son prejudicially (ie, detrimentally) relied on this prospective gift by selling his sports car at a bargain price. The son's rights vested at that time, so the widow and the dealership could not rescind the contract on May 25 without his consent. And because the dealership sold the sedan to another buyer, the son will probably win his breach-of-contract suit.

(Choice A) It was *unreasonable* for the dealership to rely on its contract of mutual rescission since the son had already informed the dealership about the sale of his sports car in reliance on the prospective gift.

(Choice B) The son *was* a donee beneficiary because the luxury sedan was a gift. But his vested rights could not be modified without his consent, regardless of whether he was a donee or creditor beneficiary.

(Choice C) Although contract rights can be assigned (ie, transferred) for value, the son was an intended third-party beneficiary (not an assignee) since his gift was the primary purpose of the contract.

Educational objective:

An intended beneficiary's contractual rights vest when the beneficiary (1) detrimentally relies on the rights created, (2) manifests assent to the contract, or (3) sues to enforce it. Once vesting occurs, the contracting parties cannot modify the beneficiary's rights without the beneficiary's consent.

References

- Restatement (Second) of Contracts § 311 (Am. Law Inst. 1981) (variation of a duty to a beneficiary).

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On July 15, in a writing signed by both parties, the seller agreed to deliver to the buyer five storage cabinets from inventory for a total price of $5,000 to be paid on August 15, the date of delivery. On August 1, the two parties orally agreed to postpone the delivery date to August 20. On August 20, the seller tendered the cabinets to the buyer, who refused to accept or pay for them on the ground that they were not tendered on August 15, even though they otherwise met the contract specifications.

Assuming that all appropriate defenses have been raised, will the seller succeed in an action against the buyer for breach of contract?

A. No, because the parol evidence rule will prevent proof of the August 1 agreement.

B. No, because there was no consideration to support the August 1 agreement.

C. Yes, because neither the July 15 agreement nor the August 1 agreement was required to be in writing.

D. Yes, because the August 1 agreement was an effective modification of the July 15 agreement.

Explanation:

Unwritten modifications of contracts

Contract silent on modification (common law & UCC)		• Unwritten modification valid unless statute of frauds applies
Contract clause requires written modification	**Common law**	• Clause unenforceable • Unwritten modification valid unless statute of frauds applies
	UCC	• Clause *enforceable* (ie, unwritten modification invalid) if: – contract written & signed – clause separately signed by nonmerchant if sued by merchant • Clause *waived* (ie, unwritten modification valid) if: – parties intended unwritten modification – one party materially changed position in reliance

UCC = Uniform Commercial Code.

Under the **UCC statute of frauds**, contracts for the sale of goods for $500 or more must be in a writing that states the quantity of goods to be sold (eg, five cabinets) and is signed by the party against whom enforcement is sought (eg, the buyer). However, **modifications** of a contract that falls within and satisfies this statute generally **need *not* be in writing unless** they affect the **subject matter** of the contract or the **quantity** of goods to be sold.*

Here, the July 15 agreement to sell cabinets for $5,000 needed to be—and was—in a writing that satisfied the statute of frauds. However, the August 1 agreement to postpone the *delivery date* to August 20 did not need to be in writing since it affected neither subject matter nor quantity **(Choice C)**. Therefore, the August 1 agreement effectively modified the July 15 agreement. And since the buyer's refusal to accept and pay for the cabinets on August 20 constituted a breach, the seller's action will succeed.

*An attempted modification that violates the UCC statute of frauds operates as a waiver of the original term that cannot be retracted once a party has materially changed its position in reasonable reliance on the waiver.

(Choice A) The parol evidence rule generally prevents a party to a written contract from presenting evidence of a prior or contemporaneous agreement that contradicts the terms of

the contract as written. But this rule does not bar evidence of subsequent agreements between the parties (eg, August 1 oral agreement to postpone delivery).

(Choice B) Under the UCC, contract modifications are enforceable so long as they are made in good faith; new consideration is not required.

Educational objective:

Under the UCC, modifications of a contract that falls within and satisfies the statute of frauds do not need to be in writing unless they affect the subject matter of the contract or the quantity of goods to be sold.

UCC = Uniform Commercial Code.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of frauds).
- U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (contract modification requirements).

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A husband lost his job and decided to borrow money against his marital home. Each time he applied for a mortgage, his wife contacted the lender and withdrew the mortgage application. One Saturday evening, the husband forced the wife to sit at the kitchen table and placed a mortgage application in front of her. As he waved a large pair of scissors in front of the wife's face, he demanded that she promise to sign the application by the end of the week. The wife, frightened by her husband, agreed to do so. On Monday morning, the wife went to a notary public's office alone and signed the application. The notary asked the wife if she signed the application of her own free will, and the wife replied, "It is what it is." Several months later, the mortgage went into default.

Does the lender have a breach-of-contract claim against the wife?

A. No, because the husband physically compelled the wife to sign the mortgage application.

B. No, because the husband threatened the wife with serious bodily harm.

C. Yes, because the wife never voided the contract.

D. Yes, because the wife was no longer under duress when she signed the mortgage application.

Explanation:

Duress is a **defense to contract enforceability** when a party was induced to assent by any of the following:

- **Physical compulsion** – rendering the contract void if the party's assent was compelled by physical force OR ***imminent*** **threat** of **death or serious bodily harm**
- **Improper threat by contracting party** – rendering the contract voidable by the threatened party if he/she had **no reasonable alternative** but to succumb to the improper threat
- **Improper threat by third party** – rendering the contract *voidable* by the threatened party if he/she had no choice but to succumb to the third party's improper threat (not seen here), unless the other contracting party did not know of the duress AND relied on the contract in good faith

Here, the wife manifested her assent to the contract by signing the mortgage application. The husband did not physically compel her to do so—eg, by grabbing her hand and using it to sign **(Choice A)**. And though waving scissors in front of the wife's face on Saturday may have threatened serious bodily harm, that threat was no longer imminent when she signed the application on Monday **(Choice B)**. Therefore, duress is no defense, and the lender has a breach-of-contract claim against the wife.

(Choice C) A contract may be voidable in certain situations, none of which are seen here. Therefore, the wife could not have voided the contract after willingly signing it.

Educational objective:

Duress occurs when a party's assent to a contract is compelled by physical force or imminent threat of death or serious bodily harm. Duress also occurs when a party receives an improper threat and has no reasonable alternative but to succumb.

References

- Restatement (Second) of Contracts §§ 174–176 (Am. Law Inst. 1981) (discussing duress caused by physical compulsion and improper threat).

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Types of duress

(defense to contract enforceability)

Physical compulsion





Improper threat



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A business made an agreement in writing with a shareholder to purchase all of her stock in a corporation at a specified price per share. At the time the agreement was executed, the business said to the shareholder, "Our commitment to buy is conditioned on first obtaining approval of the purchase agreement from our parent company." The shareholder replied, "That will not be a problem." The shareholder is willing and ready to consummate the sale of her stock to the business, but the business refuses to perform on the ground (which is true) that the parent company has firmly refused to approve the contract.

If the shareholder sues the business for breach of contract and seeks to exclude any evidence of the oral condition requiring the parent company's approval, how will the court likely rule?

A. Admit the evidence as proof of a collateral agreement.

B. Admit the evidence as proof of a condition to the existence of an enforceable obligation, and therefore not within the scope of the parol evidence rule.

C. Exclude the evidence as contradicting the terms of the parties' written agreement, whether or not the writing was a complete integration of the contract.

D. Exclude the evidence on the basis of a finding that the parties' written agreement was a complete integration of their contract.

Explanation:

Exceptions to parol evidence rule

Evidence of prior or contemporaneous oral or written agreement is admissible to establish:

- whether writing is integrated and, if so, completely or partially
- meaning of ambiguous term
- defense to formation or enforcement (eg, fraud, duress, mistake)
- ground for granting or denying remedy (eg, rescission, reformation)
- subsequent contract modifications
- condition precedent to effectiveness

The **parol evidence rule** generally bars evidence of a prior or contemporaneous agreement to modify or contradict the terms of an integrated writing. But this rule **does not apply** when a party is **attacking the validity** of the agreement—eg, by asserting there was a **condition precedent to effectiveness** that **failed to occur**. As a result, evidence of such a condition precedent is admissible.

Here, the parties orally agreed that the business would be committed to buy the stock (ie, the purchase agreement would take effect) only if the parent company approved the agreement—a condition precedent to effectiveness. Therefore, the parol evidence rule does not apply, and evidence of the oral condition is admissible to prove that the purchase agreement failed to take effect because the parent company refused to approve it.

(Choice A) Evidence of the oral condition is *not* evidence of a collateral agreement—ie, one that is related to the subject matter of the contract but not part of its primary promise. That is because the oral condition *is* part of the primary purpose of the agreement—ie, the purchase of the stock.

(Choices C & D) The contract was a *partial* integration because it set forth the parties' final agreement about some, but not all, terms. But regardless of whether the contract was a complete or partial integration, the oral agreement is admissible because it evidences a condition precedent to effectiveness.

Educational objective:

Evidence used to establish a condition precedent that must occur before a contract becomes effective is admissible under the parol evidence rule.

References

- Restatement (Second) of Contracts § 217 (Am. Law Inst. 1981) (integrated agreement subject to oral requirement).

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A manufacturer agreed in writing with a beverage company to provide all the flavor syrup the beverage company's soft drink requires for the next three years. The beverage company's soft drink contains a small amount of caffeine. The manufacturer promised in the contract to "promote in good faith the sale of the soft drink," but the contract said nothing about restrictions on the products that the manufacturer could produce. The contract also stated that it was the "complete and final agreement" between the manufacturer and the beverage company.

Six months later, the manufacturer agreed with a competitor of the beverage company to produce flavor syrup for its caffeine-free beverages.

If the beverage company sues the manufacturer for breach of their contract, which of the following facts, if established, would most strengthen the beverage company's case?

A. For many years in the soft-drink industry, it has been uniform practice for manufacturers to handle only one beverage brand at a time.
B. Prior to signing the contract with the beverage company, a representative of the manufacturer said that the deal with the company would be "an exclusive."
C. Since the manufacturer began to produce the competitor's beverages, the beverage company's sales have dropped 3%.
D. The competitor's national advertising campaign disparages the beverage company's product by saying, "You don't need caffeine and neither does your soft drink."

Explanation:

UCC parol evidence rule

	Description		Priority of evidence
Inadmissible	Prior/contemporaneous agreements that contradict written contract		Express terms always control
Admissible	**Course of performance**	Sequence of conduct under contract involving repeated occasions for performance	Course of performance > course of dealing & trade usage
	Course of dealing	Sequence of conduct pertaining to previous contracts	Course of dealing > trade usage
	Trade usage	Regular practice or method of dealing in that particular business/industry	N/A

UCC = Uniform Commercial Code.

Under the **parol evidence rule**, prior or contemporaneous agreements cannot be used to contradict the express terms of a fully integrated, written contract. However, the UCC allows evidence of **trade usage** to be used to **explain or supplement** the terms of a **final contract** so long as that evidence is **reasonably consistent** with the contract's **express language**.* Trade usage refers to a **practice or method of dealing** that is observed with such **regularity in the industry** that the parties to a contract would be expected to observe it.

Here, the manufacturer and the beverage company had a fully integrated agreement because it was their "complete and final agreement." But the contract is silent as to whether the manufacturer can work for a competing beverage company. Therefore, evidence of trade usage—e.g., manufacturers to handle only one beverage brand at a time—is admissible to supplement the contract. And since this evidence shows that the manufacturer breached the contract when it agreed to produce flavor syrup for a competitor, it would most strengthen the company's case.

*Under the majority rule, trade usage is consistent with express language in the contract unless the usage completely negates specific express language.

(Choice B) Under the UCC, the parol evidence rule bars the admission of a prior agreement if the term *certainly* would have been included in the final contract but was not. Here, a

term of exclusivity would certainly have been included had that been the parties' intent. Therefore, this evidence would be inadmissible.

(Choice C) The fact that the beverage company's sales have dropped since the manufacturer's agreement with the competitor *suggests* that the agreement has negatively impacted the beverage company. But this does not provide direct evidence that the manufacturer breached the contract by failing to promote the sale of the soft drink in good faith. Therefore, this is not the strongest evidence for the beverage company's case.

(Choice D) The competitor's advertising campaign has no bearing on whether the manufacturer promoted the beverage company's soft drink "in good faith."

Educational objective:

The UCC parol evidence rule allows evidence of trade usage to be used to explain or supplement the terms of a final contract if that evidence is reasonably consistent with the contract's express language.

References

- UCC § 2-202 (explaining that trade usage is admissible to explain or supplement contract's terms).
- UCC § 1-303 (defining trade usage).

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In financial straits and needing $4,000 immediately, a nephew asked his uncle for a $4,000 loan. The uncle said that he would lend the money to the nephew only if the nephew's mother would "guarantee" the loan. At the nephew's suggestion, the uncle then telephoned the nephew's mother, told her about the loan, and asked if she would guarantee it. She replied, "Yes. Lend my son the $4,000, and I'll repay it if he doesn't." The uncle then lent $4,000 to the nephew, and the nephew orally agreed to repay that amount in six weeks. The next day, the nephew's mother wrote to him and concluded her letter with the words, "Son, I was happy to do you a favor by promising your uncle I would repay your six-week $4,000 loan if you don't. /s/ Mother." Neither the nephew nor his mother repaid the loan when it came due, and the uncle sued the mother for breach of contract. In that action, the mother raised the statute of frauds as her only defense.

Will the mother's statute-of-frauds defense likely be successful?

A. No, because the amount of the loan was less than $5,000.

B. No, because the mother's letter satisfies the statute-of-frauds requirement.

C. Yes, because the mother's promise to the uncle was oral.

D. Yes, because the nephew's promise to the uncle was oral.

Explanation:

A **suretyship** is a promise to assume responsibility for a duty incurred by another (eg, the mother's promise to repay the loan if her son does not). Suretyships are generally subject to the statute of frauds and therefore are only enforceable if they are:

- **in a writing**—ie, physical or electronic document(s) such as a receipt, check, or emails—containing a reasonable basis to believe that a contract was formed *and*
- **signed** through a handwritten signature or other identifying mark by **the party against** whom **enforcement is sought**.*

Here, the mother's letter satisfied the writing requirement because it evidenced her promise to repay the loan to the uncle. It also satisfied the signature requirement because her "/s/ Mother" notation on the letter identified her as the sender. As a result, the mother's statute-of-frauds defense will likely fail, and the uncle can use the letter to enforce the mother's promise to repay him.

*There is no requirement that the writing be addressed to a particular person.

(Choice A) The amount of the loan is *not* relevant in determining whether a suretyship is subject to the statute of frauds. The dollar amount is only relevant in determining whether a contract for the sale of goods ($500 or more) is subject to the UCC statute of frauds.

(Choice C) Although the mother's promise was oral, it was evidenced by a signed writing (ie, her letter to her son) that satisfied the statute of frauds.

(Choice D) The son's oral promise to repay the loan is enforceable without a writing because this type of contract is not subject to the statute of frauds. In contrast, the mother's suretyship agreement is subject to the statute.

Educational objective:

Under the statute of frauds, a suretyship is enforceable if it is (1) in a writing—ie, physical or electronic document(s)—containing a reasonable basis to believe that a contract was formed *and* (2) signed via a handwritten signature or other identifying mark by the party against whom enforcement is sought.

UCC = Uniform Commercial Code

References

- Restatement (Second) of Contracts § 112 (Am. Law Inst. 1981) (requirement of suretyship).
- Restatement (Second) of Contracts § 116 (Am. Law Inst. 1981) (main-purpose rule).
- Restatement (Second) of Contracts § 136 (Am. Law Inst. 1981) (time of memorandum).

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A contractor was supervising a crew of subcontractors during a house renovation. The contractor saw one of the subcontractors, a carpenter, steal a watch from the house. The contractor said nothing about the theft, and the crew finished the work and left.

Several weeks later, the contractor was hired to renovate another house. The contractor called the carpenter and said that he would need the carpenter to do this job for 25% less than his previous rate. The reduced rate reflected the market value of the work, but the carpenter refused. The contractor then told the carpenter that he had seen the carpenter steal the watch and that he would notify the police if the carpenter did not agree to the contractor's terms. The carpenter agreed to do the work for the lower rate.

The carpenter never showed up to perform any work at the second house.

If the contractor sues the carpenter for breach of contract, will the contractor be likely to prevail?

A. No, because the contractor did not notify the police immediately after he saw the carpenter steal the watch.

B. No, because the contractor threatened to notify the police that the carpenter had stolen the watch.

C. Yes, because the contractor's proposed rate, which reflected the fair market value of the carpenter's work, was not unconscionable.

D. Yes, because the contractor was legally authorized to notify the police that the carpenter had stolen the watch.

Explanation:

Improper threats

Always improper	• Threat to commit crime or tort • Threat of criminal prosecution • Threat of civil litigation made in bad faith • Threat that breaches contractual duty of good faith & fair dealing
Improper if resulting terms are unfair	• Threatened act would harm recipient & not significantly benefit threatening party • Threat's effectiveness significantly increased by threatening party's prior unfair dealing • Threatened act would otherwise constitute use of power for illegitimate ends

Some threats made during contract negotiations are proper—eg, threats to walk away if an offer is rejected. But the following **threats** are **always improper**:

- Threats to commit a crime or a tort
- Threats of **criminal prosecution**, even if the person threatened committed the crime
- Threats of civil litigation made in bad faith
- Threats that breach the duty of good faith and fair dealing under an existing contract with the recipient

A contract is **voidable** on duress grounds if either party's **assent was induced** by an improper threat that left the recipient with **no reasonable alternative** but to assent.

Here, the contractor made an improper threat of criminal prosecution when he said that he would notify the police that the carpenter had stolen a watch. This induced the carpenter to accept the contractor's terms, as evidenced by the carpenter's initial rejection of the lower rate. And since the carpenter actually stole the watch, he had no reasonable alternative but to assent to avoid prosecution. Therefore, the contract is voidable due to duress, and the contractor is unlikely to prevail.

(Choice A) The contractor had no duty to notify the police that the carpenter stole the watch. Therefore, had the contractor refrained from making an improper threat, his failure to notify the police immediately would not prevent him from prevailing in a breach-of-contract suit.

(Choice C) A contract may be unenforceable based on unconscionability if its terms were so unfair to one party that no reasonable person would have agreed to it (not seen

here). But a contract whose terms are not unconscionable may still be unenforceable on duress grounds.

(Choice D) The contractor was legally authorized to notify the police about the theft. But this did not give the contractor the right to use the criminal justice system as leverage in his contract negotiation with the carpenter.

Educational objective:

A contract is voidable due to duress if either party's assent was induced by an improper threat (eg, threat of criminal prosecution) that left the recipient with no reasonable alternative but to assent.

References

- Restatement (Second) of Contracts § 175 (Am. Law Inst. 1981) (when duress by threat makes a contract voidable).
- Restatement (Second) of Contracts § 176 (Am. Law Inst. 1981) (improper threats).

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A lawyer wanted to retire from practicing law and enter the bakery business. The lawyer contacted the owner of a successful bakery that she wished to purchase. After several days of negotiations, the lawyer made a written offer to purchase the bakery for $500,000.

The bakery owner reviewed the offer but was confused about who would be responsible for the outstanding mortgage on the bakery. The lawyer told her that one of the contract's provisions required the lawyer to assume the mortgage, but the lawyer knew that the provision did not actually require her do to so. The lawyer and the owner signed the offer, which purported to be a fully integrated writing. Thereafter, the lawyer refused to assume the mortgage.

If the bakery owner sues the lawyer seeking reformation of the contract, will she be likely to prevail?

A. No, because a contract is void due to a fraudulent misrepresentation that induced a manifestation of assent.

B. No, because prior oral assertions are inadmissible under the parol evidence rule when there is a fully integrated writing.

C. Yes, because a contract can be reformed due to a fraudulent misrepresentation about the effect of the writing.

D. Yes, because prior oral assertions are admissible to interpret an ambiguous term in a fully integrated writing.

Explanation:

Effect of misrepresentation

No contract formed	• Misrepresentation as to character/essential terms of proposed contract • Induced appearance of assent to contract • Adversely affected party neither knew nor had reasonable opportunity to know of actual character/essential terms
Contract voidable	• Fraudulent or material misrepresentation • Induced assent to contract • Adversely affected party justifiably relied on misrepresentation
Reformation available*	• Fraudulent misrepresentation as to contents/effect of written contract • Induced assent to contract • Adversely affected party justifiably relied on misrepresentation

*Adversely affected party can choose to avoid contract instead.

Where a party **misrepresents** the **contents or effect of a writing** that embodies all or part of a contract, a court can **reform** (ie, rewrite) the writing to comport with what had been represented if:

- the misrepresentation was **fraudulent**—ie, made knowingly or recklessly, with intent to induce the other party's assent
- the misrepresentation **induced assent** to the writing *and*
- the adversely affected party **justifiably relied** on the misrepresentation.

However, a court will not do so to the extent that the rights of third parties (eg, good-faith purchasers for value) would be unfairly affected (not seen here).

Here, the lawyer fraudulently misrepresented the legal effect of a contract provision when she said that it required her to assume the outstanding mortgage on the bakery even though she knew that it did not. This misrepresentation likely induced the bakery owner's assent to the writing, and since it was not obviously false or known by her to be false, she justifiably relied on it. Therefore, the bakery owner will likely prevail in her suit.

(Choice A) A contract may be void if a misrepresentation induced conduct that only *appeared* to be a manifestation of assent—eg, if an actor unknowingly signed a contract after a fan asked for an autograph. But here, the bakery owner's manifestation of assent was genuine, even though she did not know the true effect of the mortgage provision.

(Choices B & D) The parol evidence rule generally bars evidence of prior or contemporaneous agreements that modify or contradict the terms of an integrated

writing. However, there is an exception for evidence used to prove a fraudulent misrepresentation (or other ground) to justify reformation. There also is an exception for evidence used to interpret an ambiguous term, but none is at issue here.

Educational objective:

A misrepresentation about the contents or effect of a writing is grounds for reformation if (1) the misrepresentation was fraudulent, (2) it induced assent to the contract, and (3) the adversely affected party's reliance was justifiable.

References

- Restatement (Second) of Contracts § 166 (Am. Law Inst. 1981) (explaining when a misrepresentation as to a writing justifies reformation).

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A woman prepared an accurate statement of her financial condition and submitted it with a loan application to a local bank with which she had done business for many years. Shortly thereafter, the woman's financial condition worsened significantly, but she failed to disclose this fact to the bank. Unaware of the woman's changed financial condition, the bank then agreed to lend money to the woman.

The bank later learned of the woman's true financial condition. The bank refused to honor its promise to lend money to the woman, contending that the parties' contract was voidable at the bank's option because of the woman's misrepresentation.

If the woman sues the bank for breach of contract, will the bank's misrepresentation defense likely succeed?

A. No, because the woman did not make any subsequent affirmative misrepresentations about her financial condition.

B. No, because the woman's representations were accurate at the time she submitted the loan application to the bank.

C. Yes, because the woman had an obligation to correct her previous representations about her financial condition in order to prevent them from being fraudulent.

D. Yes, because the woman had an obligation to tell the bank about her changed financial condition due to the longstanding relationship of trust and confidence between them.

Explanation:

When disclosure is required to avoid misrepresentation

Previous assertion	• Disclosure would prevent previous assertion from being a misrepresentation *or* fraudulent or material
Mistake about basic assumption	• Disclosure would correct other party's mistake about basic assumption of contract AND • Failure to disclose would constitute lack of good faith & fair dealing
Fiduciary relationship	• Other party is entitled to know fact because of confidential/fiduciary relationship
Mistake about writing	• Disclosure would correct other party's mistake about contents or effect of writing that embodies agreement

A **misrepresentation** is an **untrue assertion of fact** that makes a contract voidable by the adversely affected party when:

- the misrepresentation is fraudulent (ie, made knowingly or recklessly with intent to induce the other party's assent to the contract) OR material (ie, likely to induce a reasonable person's assent)
- the misrepresentation induced assent to the contract *and*
- the adversely affected party justifiably relied on the misrepresentation.

Nondisclosure of a known fact is tantamount to an assertion that it does not exist if, among other things, the party not disclosing the fact knows that disclosure is necessary to **prevent** a previous **assertion from being fraudulent**.

Here, the woman's representations were accurate when she submitted the loan application to the bank. However, she had an obligation to correct her previous representations to prevent them from being fraudulent **(Choice B)**. The woman failed to do so, and because the bank was unaware of her financial condition, it justifiably agreed to lend money to the woman. Therefore, the bank's misrepresentation defense will likely succeed.

(Choice A) The fact that the woman made no subsequent affirmative statements about her financial condition is irrelevant. Disclosure of her actual financial condition was still necessary to prevent her previous representations from being fraudulent.

(Choice D) The relationship between the woman and the bank is *not* a confidential or fiduciary relationship (eg, attorney-client relationship) that would obligate her to disclose this information to the bank.

Educational objective:

Nondisclosure is equivalent to an assertion that a fact does not exist if the party not disclosing the fact knows that disclosure is necessary to prevent a previous assertion from being fraudulent.

References

- Restatement (Second) of Contracts § 161 (Am. Law Inst. 1981) (when nondisclosure is a misrepresentation).
- Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).

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A professional race car driver decided to retire and sell his drag racing car. An amateur driver approached him about buying the car. The amateur driver explained that she needed a car that could complete a quarter-mile race in less than nine seconds, and the professional driver boasted that his car could do so in eight to nine seconds. Unbeknownst to the professional driver, there was a calibration error in his timing equipment, and the car had never completed a quarter-mile race in less than 10 seconds.

The two drivers settled on a price and signed a fully integrated, written contract. The amateur driver paid the sales price, took delivery of the car, and entered the next drag race. The car was unable to complete a quarter-mile race in less than 10 seconds, so the amateur driver contacted the professional driver and demanded her money back.

Is the professional driver obligated to return the amateur driver's money?

A. No, because the professional driver's assertion was an unintentional misrepresentation.

B. No, because the sales contract was memorialized in a fully integrated writing.

C. Yes, because the professional driver's assertion was a fraudulent misrepresentation.

D. Yes, because the professional driver's assertion was a material misrepresentation.

Explanation:

A **misrepresentation** is an untrue assertion of fact made during contract negotiations. This renders the **contract voidable** by the adversely affected party if:

- the misrepresentation was **fraudulent or material**
- the misrepresentation **induced assent** to the contract (presumed for material misrepresentations) *and*
- the adversely affected party **justifiably relied** on the misrepresentation.

The justifiable-reliance element is essentially always met unless the misrepresentation was obviously false or known by the adversely affected party to be false.

Here, the professional driver falsely stated that his car could complete a quarter-mile race in eight to nine seconds. This misrepresentation was material and presumably induced the amateur driver to enter the contract since she had told the professional driver that she was looking for a car with that capability. The amateur driver's reliance on the misrepresentation was justifiable since it was not obviously false or known by her to be false. Therefore, the contract is voidable, and the professional driver is obligated to return the amateur driver's money.

(Choices A & C) A misrepresentation is fraudulent when it is made knowingly or recklessly, with intent to induce assent to the contract. Here, the professional driver's misrepresentation was *nonfraudulent* since he had timed his car and knew nothing about the calibration error in his timing equipment. But even an unintentional, nonfraudulent misrepresentation may be grounds to avoid a contract when, as here, the misrepresentation was material.

(Choice B) The parol evidence rule generally bars evidence of prior or contemporaneous agreements to modify or contradict the terms of an integrated writing. But such evidence is excepted from this rule and is admissible when it is offered to prove defenses to enforcement (eg, misrepresentation—as seen here).

Educational objective:

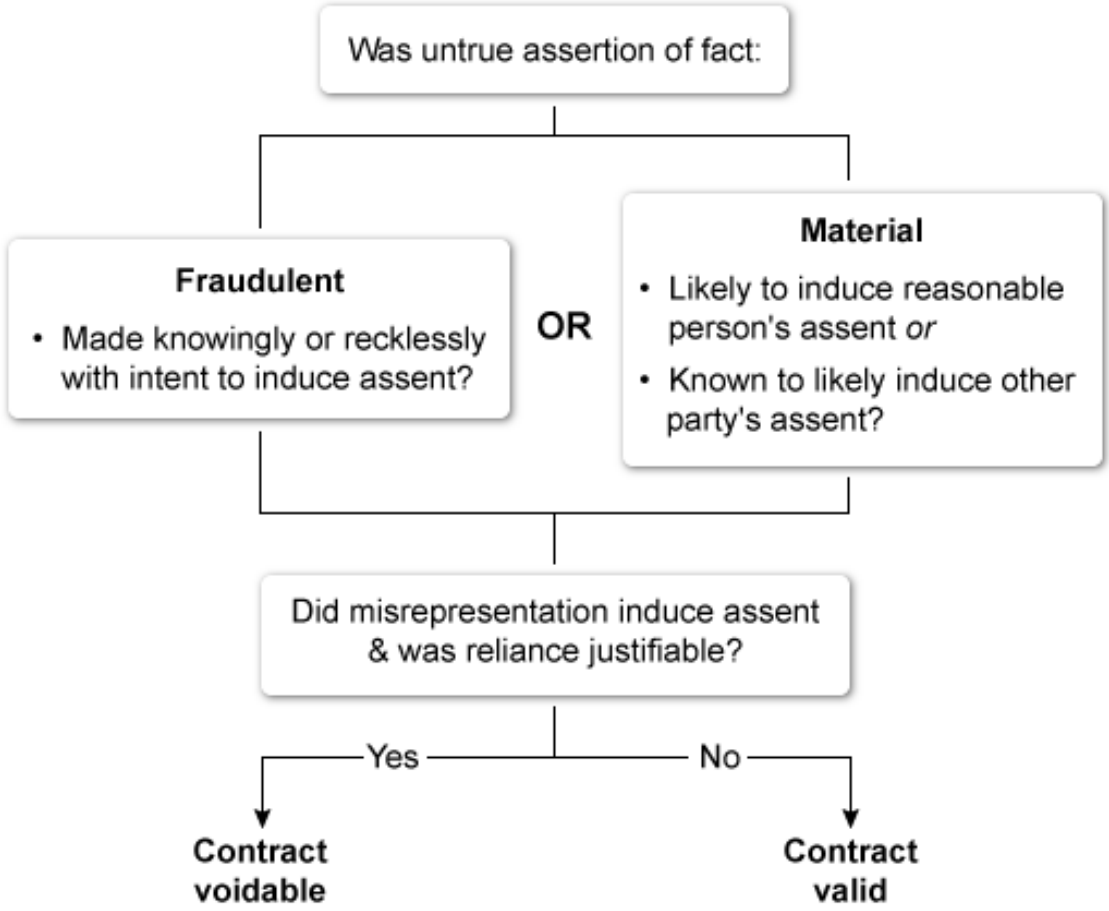
A misrepresentation renders a contract voidable by the adversely affected party if (1) the misrepresentation was fraudulent or material, (2) it induced assent to the contract, and (3) the adversely affected party justifiably relied on it.

References

- Restatement (Second) of Contracts §§ 159, 162, 164 (Am. Law Inst. 1981) (defining material misrepresentation and explaining when it makes a contract voidable).

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Misrepresentation



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A manufacturer of poultry-feed supplements contracted to purchase methylmercaptopropanol (MMP), a key component of its top-selling supplement, from a chemical company. The chemical company agreed to manufacture the MMP and ship it by rail to the manufacturer. The chemical company subsequently contracted with a rail carrier to ship hundreds of products to and from the chemical company's manufacturing facilities. Among the products to be shipped was the MMP. The rail contract required the rail carrier to "ensure quality service to [the chemical company]" by being "responsive to the special needs of [the chemical company] whenever possible."

The rail carrier inexcusably failed to transport sufficient amounts of MMP to the manufacturer. The reduced supply of MMP forced the manufacturer to suffer a significant reduction in the production and inventory of its top-selling supplement. The manufacturer had to transport smaller amounts of the supplement by faster and more expensive methods to satisfy customer demand.

The manufacturer sued the rail carrier to recover the increased freight costs that resulted from the carrier's breach of the rail contract.

Will the manufacturer be likely to prevail?

A. No, because the manufacturer and the rail carrier were not in privity of contract.

B. No, because the manufacturer received only an incidental benefit under the rail contract.

C. Yes, because the manufacturer had a vested interest in performance of the rail contract.

D. Yes, because the parties intended for the rail contract to directly benefit the manufacturer.

Explanation:

A **third-party beneficiary** is a nonparty to a contract who receives some benefit from the contract. There are two types of beneficiaries: intended and incidental. A **beneficiary is intended** rather than incidental, as the name suggests, if the **contracting parties clearly intended** for **him/her to benefit** from the contract. Courts glean intent from what the parties said in their contract, not what they allegedly meant. And **only intended beneficiaries** (not incidental ones) **can sue to enforce** the contract.

Here, the manufacturer benefited from the rail contract since the MMP was among the products to be shipped pursuant to that contract. However, nothing in the contract shows that the parties clearly intended to benefit the manufacturer—eg, had they included a provision that the contract was made for the manufacturer's benefit or that the manufacturer had the right to enforce it. This means that the manufacturer was, at most, an incidental beneficiary of the contract **(Choice D)**. Therefore, it likely will *not* prevail in its suit against the rail carrier.

(Choice A) Traditionally, the doctrine of privity of contract prevented individuals from enforcing contracts to which they were not a party. But this doctrine has been eroded to allow intended beneficiaries to enforce contracts made for their benefit. Therefore, had the manufacturer been an intended beneficiary of the rail contract, a lack of privity would not have defeated its claim.

(Choice C) An *intended* beneficiary's rights vest when the beneficiary (1) reasonably and detrimentally relies on the rights created, (2) assents to the contract at a party's request, or (3) sues to enforce the contract.* But here, the manufacturer was an *incidental* beneficiary, if any, of the rail contract with no rights to vest. Therefore, neither the manufacturer's suit to enforce the contract nor its reliance on the rail company's promises is relevant.

*Once the beneficiary's rights have vested, the contracting parties are bound to perform the contract. Any efforts to terminate or modify the beneficiary's rights after vesting are void unless the beneficiary agrees.

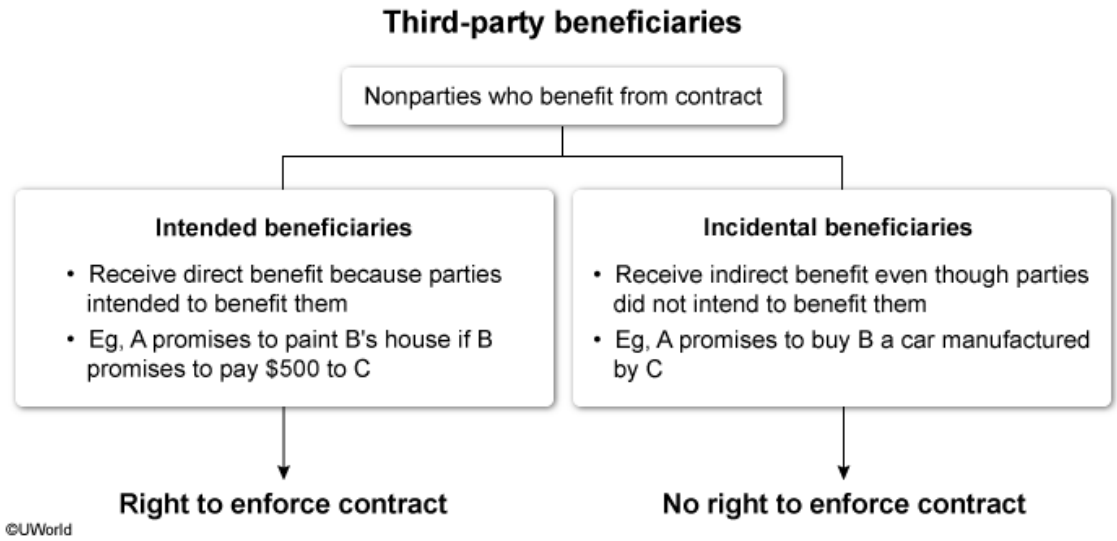
Educational objective:

A third-party beneficiary is intended (as opposed to incidental) if the contracting parties clearly intended for him/her to benefit from the contract. Only intended beneficiaries can sue to enforce the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (describing intended and incidental beneficiaries).

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Third-party beneficiaries
Nonparties who benefit from contract
Intended beneficiaries
• Receive direct benefit because parties intended to benefit them
• Eg, A promises to paint B's house if B promises to pay $500 to C
Incidental beneficiaries
• Receive indirect benefit even though parties did not intend to benefit them
• Eg, A promises to buy B a car manufactured by C
Right to enforce contract
No right to enforce contract
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On December 1, a broker contracted with a coin collector to sell her one of a certain type of rare coin for $12,000, delivery and payment to occur on the next March 1. To fulfill that contract, and without the collector's knowledge, the broker contracted on January 1 to purchase for $10,000 a specimen of that type coin from a man, delivery and payment to occur on February 1. The market price of such coins had unexpectedly fallen to $8,000 by February 1, when the man tendered the coin and the broker repudiated.

On February 25, the market in such coins suddenly reversed and had stabilized at $12,000 on March 1. The broker, however, had failed to obtain a specimen of the coin and repudiated his agreement with the collector when she tendered the $12,000 agreed price on March 1.

Later that day, after learning by chance of the broker's dealing with the collector, the man telephoned the collector and said: "Listen, the broker probably owes me at least $2,000 in damages for refusing to buy my coin for $10,000 on February 1 when the market was down to $8,000. But I'm in good shape in view of the market's recovery since then, and I think you should sue the broker."

If the collector immediately sues the broker for his breach of the broker-man contract, which of the following will the court probably decide?

A. The broker wins, because as of March 1 neither the man nor the collector had sustained any damage from the broker's repudiation of both contracts.
B. The broker wins, because the collector, if a beneficiary at all of the broker-man contract, was only an incidental beneficiary.
C. The collector wins, because she took an effective assignment of the man's claim for damages against the broker when the man suggested that the collector "sue the broker."
D. The collector wins, because she was an intended beneficiary of the broker-man contract, under which damages for the broker's repudiation became fixed on February 1.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives some advantage or benefit from that contract. There are two types of third-party beneficiaries:

- **Intended** – who receive a ***direct* benefit** from the contract because the **contracting parties so intended** and, therefore, have a **right to enforce** the contract
- **Incidental** – who receive some ***indirect* benefit** from the contract even though there was **no contractual intent** to benefit them and, therefore, have ***no* right to enforce** the contract.

Here, the collector may be a third-party beneficiary of the broker-man contract since the broker will sell the man's rare coin to the collector. However, the collector was only an *incidental* beneficiary since the broker-man contract does not show an intent to directly benefit her **(Choice D)**. As a result, the broker will likely win since the collector has no right to sue for breach of the broker-man contract.

(Choice A) The man likely sustained damages on February 1 since he would have made a $2,000 profit on his contract with the broker—ie, the contract price ($10,000) minus the market price ($8,000). Although the collector likely has not sustained damages, she can sue under her contract with the broker if she sustains damages in the future—eg, buys an equivalent coin for more than her $12,000 contract price.

(Choice C) A party assigns his/her rights under a contract when he/she manifests a present intent to immediately transfer those rights. Here, the man did *not* assign his right to damages because he merely suggested that the collector sue the broker.

Educational objective:

An intended beneficiary receives a *direct* benefit from a contract because the contracting parties so intended. An incidental beneficiary receives some *indirect* benefit from the

contract even though there was no contractual intent to benefit them. And only an intended (not incidental) beneficiary has a right to enforce the contract.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 315 (Am. Law Inst. 1981) (no right to enforce for incidental beneficiaries).

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A dry goods retailer telephoned a towel manufacturer and offered to buy a minimum of 500 and a maximum of 1,000 large bath towels for $5 each, to be delivered in 30 days. The manufacturer orally accepted this offer and promptly sent the following letter to the retailer, which the retailer received two days later: "This confirms our agreement today by telephone to sell you 500 large bath towels for 30-day delivery. /s/ Manufacturer." Twenty-eight days later, the manufacturer tendered to the retailer 1,000 (not 500) conforming bath towels, all of which the retailer rejected because it had found a better price term from another supplier. Because of a glut in the towel market, the manufacturer cannot resell the towels except at a loss.

In a suit by the manufacturer against the retailer, which of the following will most likely be the decision?

A. The manufacturer can enforce a contract for 1,000 towels, because the retailer ordered and the manufacturer tendered that quantity.

B. The manufacturer can enforce a contract for 500 towels, because the manufacturer's letter of confirmation stated that quantity term.

C. There is no enforceable agreement, because the manufacturer's letter of confirmation did not state a price term.

D. There is no enforceable agreement, because the retailer never signed a writing.

Explanation:

Exceptions to UCC statute of frauds

	Applicability	Effect
Merchant's confirmation	• Both parties are merchants • One party sends written & signed confirmation • Recipient has reason to know contents • No written objection within 10 days	• Enforceable against both parties for quantity confirmed • Recipient's signature not required
Specially manufactured goods	• Indication that goods are for buyer • Goods are specially manufactured & not sellable in ordinary course of business • Seller substantially began manufacturing or committed to procurement	• Enforceable against both parties • No writing required
Admission	• One party admits to contract in pleadings or court	• Enforceable against that party for quantity admitted • No writing required
Payment/delivery	• Payment was made & accepted OR goods were delivered & accepted	• Enforceable against both parties for quantity paid for/delivered • No writing required

UCC = Uniform Commercial Code.

Under the **UCC statute of frauds**, contracts for the sale of goods of $500 or more must generally be in writing and signed by the party against whom enforcement is sought. However, if both parties are **merchants** and one party sends a **written and signed confirmation**, the contract will be **enforceable against *both* parties**—up to the quantity term stated in the confirmation—if the recipient:

- **receives the confirmation** and has **reason to know** of its contents *and*
- **fails to object** to the contents in writing **within 10 days** of receiving the confirmation.

Here, the retailer offered to buy 500 to 1,000 large bath towels for $5 each. The manufacturer accepted that offer orally, and since the resulting contract is for $500 or more, it falls within the statute of frauds. The manufacturer then sent a signed letter of confirmation to the retailer for 500 large bath towels, which the retailer received. And although the retailer never signed a writing, both parties are merchants **(Choice D)**. Therefore, the manufacturer's confirmation made the contract enforceable against both parties for 500 towels (the stated quantity term).

(Choice A) The contract would be enforceable against the retailer for 1,000 towels if the retailer had accepted the manufacturer's tender of that quantity. But since the retailer rejected all the towels, the manufacturer's delivery did not make the contract enforceable.

(Choice C) Under the UCC, an enforceable contract can be created without stating a price term. In that case, the UCC "fills the gap" with a reasonable price at the time of delivery.

Educational objective:

Under the UCC statute of frauds, a contract between two merchants is enforceable against both parties if (1) one party sends a written and signed confirmation of the contract, (2) the recipient has reason to know the contents of that confirmation, and (3) the recipient fails to object in writing within 10 days.

References

- U.C.C. § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of frauds).

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An elderly woman, who had two adult children, wished to employ a live-in companion so that she might continue to live in her own home. The woman, however, had only enough income to pay one-half of the companion's $2,000 monthly salary. Learning of their mother's plight, her son and daughter agreed with each other in a signed writing that on the last day of January and each succeeding month during their mother's lifetime, each would give the mother $500. The mother then hired the companion.

The son and daughter made the agreed payments in January, February, and March. In April, however, the son refused to make any payment and notified his sister and mother that he would make no further payments.

Will the mother succeed in an action for $500 brought against the son after April 30?

A. No, because a parent cannot sue her child for breach of a promise for support.

B. No, because the son and daughter intended their payments to their mother to be gifts.

C. Yes, because by making his first three payments, the son confirmed his intent to contract.

D. Yes, because the mother is an intended beneficiary of a contract between the son and daughter.

Explanation:

Third-party beneficiaries

(ie, nonparties who benefit from contract)

Type	Definition	Right to enforce
Intended	• Receive *direct* benefit from contract because contracting parties intended to benefit them • Eg, A promises to paint B's house if B promises to pay $500 to C	Yes
Incidental	• Receive *indirect* benefit from contract even though there was no contractual intent to benefit them • Eg, A promises to buy B a car manufactured by C	No

A **third-party beneficiary** is a nonparty to a contract who receives some benefit from that contract. The third party can **enforce the contract if** he/she is an ***intended*** **beneficiary**—ie, one whom the contracting parties intended to benefit directly.

Here, the son and daughter entered into the contract to give the mother $500 each month. Although the mother was not a party to that contract, the son and the daughter intended to confer a gift upon the mother—$500 monthly from each child. Therefore, the mother was an *intended* beneficiary of the contract and will succeed in an enforcement action against the son **(Choice B)**.

(Choice A) There is no rule that a parent cannot sue a child for breach of a promise for support, but such a promise may be unenforceable for another reason—eg, if the promise lacks consideration. Here, however, the son and daughter's exchanged promises were supported by consideration.

(Choice C) The son confirmed his intent to contract when he *agreed* with the daughter that each would give the mother $500 monthly. Therefore, the first three payments are irrelevant to the son's intent to contract.

Educational objective:

A person who is not a party to a contract may still enforce that contract if he/she is an intended beneficiary—ie, a third party whom the contracting parties intended to benefit directly.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).

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A flour manufacturer contracted to deliver to a baker her flour requirements for a one-year period. Before delivery of the first scheduled installment, the flour manufacturer sold its business and assigned all of its sale contracts to a reputable and longtime flour wholesaler. The flour manufacturer informed the baker of this transaction.

When the flour wholesaler tendered the first installment to the baker in compliance with the manufacturer-baker contract, the baker refused to accept the goods.

Which of the following arguments, if any, legally support(s) the baker's rejection of the goods?

A. Duties under an executory bilateral contract are assumable only by an express promise to perform on the part of the delegatee, and language of "assignment" in the transfer for value of a bilateral sale-of-goods contract effects only a transfer of rights, not a delegation of duties.

B. Executory requirements contracts are nonassignable.

C. Executory requirements contracts are nonassignable, duties under an executory bilateral contract are assumable only by an express promise to perform on the part of the delegatee, and language of "assignment" in the transfer for value of a bilateral sale-of-goods contract effects only a transfer of rights, not a delegation of duties.

D. No argument legally supports the baker's rejection of the goods.

Explanation:

Contract provisions prohibiting assignments/delegations

Type of provision	Explicit prohibitions	Assignment of rights	Delegation of duties
None	N/A	Allowed	
Specific	Assignment of rights & delegation of duties	Barred	
	Assignment of rights only	Barred	Allowed
	Delegation of duties only	Allowed	Barred
General	Assignment of "the contract"		

Unless stated otherwise, bilateral contracts for the sale of goods can be **assigned** in their entirety, and this will be construed as an **assignment of rights** *and* a **delegation of duties** to a nonparty (ie, delegatee). Such assignments are generally valid, even for an executory requirements contract—ie, an uncompleted contract for the sale of as many goods as the buyer needs during a specified period **(Choice B)**. The **delegatee's acceptance** of the assignment constitutes a **promise to perform** the duties, and the **promisee must accept** that performance.

Here, the flour manufacturer assigned the baker's requirements contract to the flour wholesaler (delegatee), and the baker refused to accept the wholesaler's first installment of flour. However, this general language of "assignment" operates as a transfer of rights *and* a delegation of duties. The wholesaler's acceptance of that assignment *is* a promise to perform—ie, to sell the baker as much flour as she needs for one year **(Choices A & C)**. Therefore, no argument legally supports the baker's rejection of the goods.

Educational objective:

The assignment of an entire contract is construed as an assignment of rights and a delegation of duties to a nonparty (ie, delegatee). The delegatee's acceptance of the assignment constitutes a promise to perform the delegator's duties, and the promisee must accept that performance.

References

- U.C.C. § 2-210 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that a general assignment is an assignment of rights and a delegation of duties).

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A breeder bought a two-month-old registered boar at auction from a seller for $800. No express warranty was made. Fifteen months later, tests by experts proved conclusively that the boar had been born incurably sterile. If this had been known at the time of the sale, the boar would have been worth no more than $100. In an action by the breeder against the seller to avoid the contract and recover the price paid, the parties stipulate that, as both were and had been aware, the minimum age at which the fertility of a boar can be determined is about 12 months.

Which of the following will the court probably decide?

A. The breeder wins, because the parties were mutually mistaken as to the boar's fertility when they made the agreement.
B. The breeder wins, because the seller impliedly warranted that the boar was fit for breeding.
C. The seller wins, because any mistake involved was unilateral, not mutual.
D. The seller wins, because the breeder assumed the risk of the boar's sterility.

Explanation:

When party assumes risk of mistake

Express	Contract allocates risk to party
Conscious ignorance	Party enters contract despite conscious ignorance of facts related to mistake
Adjudication	Court allocates risk to party because reasonable under circumstances

Mutual mistake occurs when both parties enter into a contract based on the same mistake. In such cases, the contract may be voidable by the **adversely affected party** if:

- the mistake relates to a **basic assumption** of the contract
- the mistake **materially affects** the agreed-upon **exchange of performances** (ie, the adversely affected party cannot fairly be required to carry it out) *and*
- the adversely affected party **did *not* assume** the **risk of the mistake**.

One way a party assumes the risk of a mistake is by proceeding with **conscious ignorance** (ie, **awareness of** his/her **limited knowledge**) of the facts related to the mistake.

Here, both the breeder and the seller likely entered the contract based on an erroneous belief that the boar would be fertile—a basic assumption of the contract—as evidenced by the $800 sales price **(Choice C)**. That mutual mistake materially affected the agreed-upon exchange since the boar's actual worth was no more than $100. However, the breeder assumed the risk that the boar would turn out to be sterile because the breeder was *aware* that the boar's fertility could not be known at the time of the sale **(Choice A)**. As a result, the seller probably wins.

(Choice B) Under the UCC, a seller impliedly warrants that goods are fit for a particular purpose if the seller knows or should know that the buyer requires the goods for a particular purpose (eg, to breed) AND is relying upon the seller's expertise to provide suitable goods (eg, had the breeder lacked knowledge of fertility).

Educational objective:

Mutual mistake renders a contract voidable by the adversely affected party when (1) the mistake relates to a basic assumption of the contract, (2) the mistake materially affects the agreed-upon exchange of performances, and (3) the adversely affected party did not assume the risk of the mistake.

UCC = Uniform Commercial Code

References

- Restatement (Second) of Contracts § 152 (Am. Law Inst. 1981) (when mutual mistake makes a contract voidable).
- Restatement (Second) of Contracts § 154 (Am. Law Inst. 1981) (when a party bears the risk of a mistake).

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The owner of a new office building contracted with a well-known landscaper to design and install landscaping around the building for $30,000. The agreement was memorialized in writing, was signed by both parties, and called for a budget of $5,000 for trees, shrubs, sod, and materials. The contract required the landscaper to complete the work within six months. Due to an unexpected increase in the price of trees and shrubs, the landscaper abandoned the project and never completed any of the work.

Three years after the landscaper's deadline, the building owner sued the landscaper for breach of contract. In the jurisdiction, the statute of limitations for breach of a services contract is two years after the breach, and the statute of limitations for breach of a sale-of-goods contract is four years.

Can the owner recover damages from the landscaper?

A. No, because the contract is divisible with respect to the services and goods, and the landscaper's breach is therefore subject to the two-year statute of limitations.

B. No, because the contract primarily calls for services, and the landscaper's breach is therefore subject to the two-year statute of limitations.

C. Yes, because the landscaper's breach was a result of an increase in the price of goods, and his breach is therefore subject to the four-year statute of limitations.

D. Yes, because the landscaper's breach was willful, and he is therefore estopped from denying that his breach is subject to the four-year statute of limitations.

Explanation:

Contracts for the **sale of goods** are governed by **Article 2** of the Uniform Commercial Code (**UCC**), while contracts for **services** are governed by **common law**. However, some contracts involve the sale of goods *and* the rendering of services. To determine which law applies to a "mixed" or "hybrid" contract, courts ask whether its **predominant purpose** was the sale of goods or the rendering of services. The following factors are relevant to this determination:

- The contract's language
- The nature of the supplier's business (ie, whether it typically provides goods or services)
- The relative value of the goods and services
- The nature of the final product (ie, whether it can be described as a good or service)

Here, the building owner contracted to buy goods (eg, trees, shrubs, sod) *and* services (ie, designing and installing the landscaping). The owner likely hired the *well-known* landscaper due to his skill in performing landscaping services, and the $5,000 budget for goods was just one-sixth of the $30,000 contract price. Therefore, the contract primarily calls for *services* and is subject to the jurisdiction's two-year statute of limitations. And since the owner sued three years after the breach, the owner cannot recover damages from the landscaper.

(Choice A) The predominant-purpose test is unnecessary when a contract is divisible—ie, when the payment for goods can easily be separated from the payment for services. But here, the contract is likely *indivisible* since it combined the sale of the trees, shrubs, and sod with their installation.

(Choices C & D) The predominant-purpose test focuses on the parties' reason for entering the contract—not for breaching it. Therefore, it is irrelevant that the landscaper's breach was (1) a result of an increase in the price of goods or (2) willful.

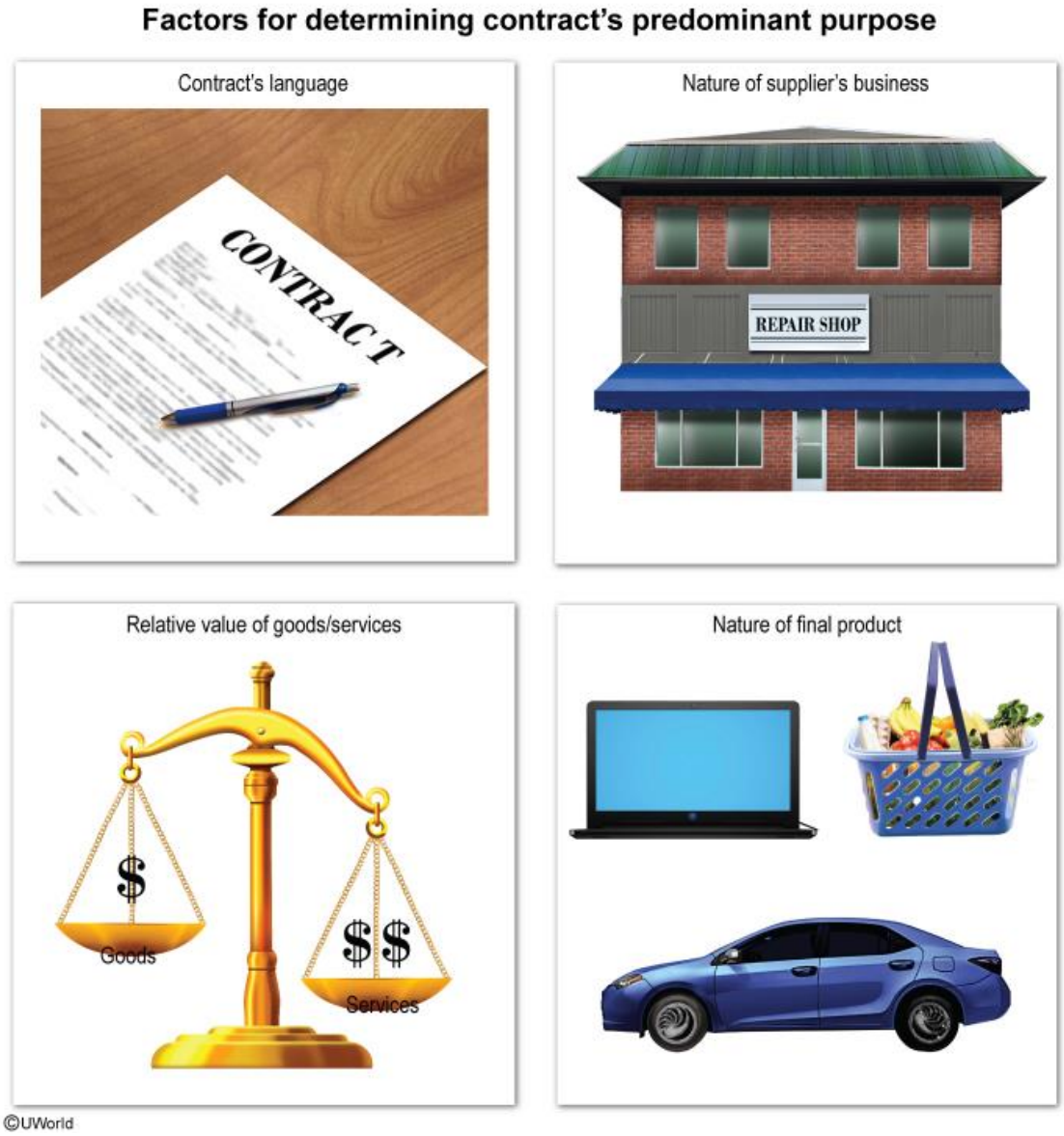
Educational objective:

Sale-of-goods contracts are governed by the UCC, while services contracts are governed by common law. When a contract calls for the sale of goods AND the rendering of services, the contract's primary purpose determines whether the UCC or common law applies.

References

- Bonebrake v. Cox, 499 F.2d 951, 960 (8th Cir. 1974) (applying the predominant-purpose test to determine which statute of limitations applies to a mixed contract for goods and services).
- Princess Cruises, Inc. v. Gen. Elec. Co., 143 F.3d 828, 833 (4th Cir. 1998) (listing factors that courts consider when applying the predominant-purpose test).

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An elderly aunt owned two cars, a new one and an old one. She offered to sell the old car to her niece for $500. Knowing that her aunt owned two cars, the niece tried to trick the aunt into selling the new car by drawing up a contract that stated: "I agree to sell my nicest car to my niece for $500." The aunt noticed the niece's trick but signed the contract anyway, believing that it could not possibly refer to her new car, which was worth more than $30,000. The niece attempted to pay the aunt $500 several days later. However, the aunt refused to take the money or part with either car, stating that she had changed her mind in light of the niece's dirty trick.

If the niece sues the aunt for breach of contract, what will the court likely find?

A. The aunt is contractually obligated to sell her new car for $500.

B. The aunt is contractually obligated to sell her old car for $500.

C. The aunt can elect to sell either car for $500 or void the contract.

D. There was no contract.

Explanation:

Contract formation generally occurs when both parties objectively manifest their assent to an exchange—eg, when the aunt and niece signed a written contract for the sale of the aunt's "nicest car." But sometimes there is a **misunderstanding** because the parties have attached **different meanings** to the **same material term**. This **prevents contract formation** under two circumstances:

- ***Neither* party knows** or has reason to know of the misunderstanding.
- ***Both* parties know** or have reason to know of the misunderstanding.

The result is different when only *one* party knows or has reason to know of the misunderstanding. In that case, a valid contract is formed, and the *unknowing* party's meaning of the term controls.

Here, the aunt believed that "nicest car" could not possibly refer to her new car and so understood the term to mean her old car. The niece knew this because the aunt had offered to sell her old car—not her new car. However, the niece intended "nicest car" to mean the aunt's new car. The aunt knew this because she noticed the niece's trick. Therefore, *both* parties knew of the misunderstanding, and the court will likely find that there was no contract.

(Choices A & B) Had the *niece* been unaware of the misunderstanding, her meaning ("new car") would control and the aunt would have been obligated to sell her new car. Alternatively, had the *aunt* been unaware of the misunderstanding, her meaning ("old car") would control and she would have been obligated to sell her old car. But since *both* parties knew of the misunderstanding, there was no contract.

(Choice C) A misunderstanding may prevent contract formation (as seen here), but it is never grounds to void (ie, cancel) a contract.

Educational objective:

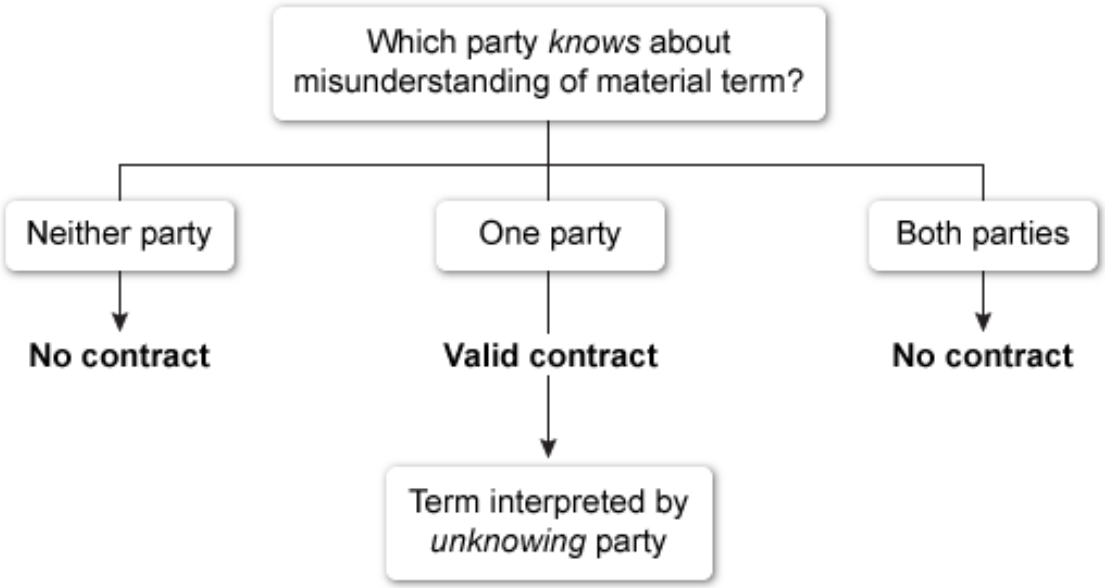
A misunderstanding occurs when the contracting parties attach different meanings to the same material term. This prevents contract formation when neither OR both parties know or have reason to know of the misunderstanding.

References

- Restatement (Second) of Contracts § 20 (Am. Law Inst. 1981) (effect of misunderstanding).

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Misunderstanding



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A chemical corporation owned and operated a chemical processing plant. An accidental spill occurred, which made the plant unsafe for processing any chemicals. The chemical corporation subsequently entered a written and signed contract to sell the plant to a paint manufacturer for $2 million. The paint manufacturer planned to move its operations to the plant after closing the sale, and the chemical corporation assured the paint manufacturer that the plant was suitable and safe for that purpose.

The chemical corporation hired a hazardous waste company to clean up the chemical spill, and the plant was made safe for operations one week before closing the sale. Two days before closing, the paint manufacturer learned about the chemical spill from the local newspaper and refused to go through with the closing.

If the chemical corporation sues the paint manufacturer for breach of contract, which party is likely to prevail?

A. The chemical corporation, because it cured the misrepresentation regarding the suitability and safety of the plant before closing.
B. The chemical corporation, because it had no duty to notify the paint manufacturer about the chemical spill.
C. The paint manufacturer, because it can be presumed that the paint manufacturer was harmed by the chemical corporation's misrepresentation.
D. The paint manufacturer, because the chemical spill rendered title to the plant unmarketable.

Explanation:

A **misrepresentation** is an **untrue assertion of fact** that makes a contract voidable by the adversely affected party when:

- the misrepresentation was fraudulent (ie, made knowingly or recklessly with the intent to induce the other party's assent to the contract) OR material (ie, likely to induce a reasonable person's assent)
- the misrepresentation induced assent to the contract *and*
- the adversely affected party justifiably relied on the misrepresentation.

However, a misrepresentation can be **cured**, and the contract is **no longer voidable**, if the circumstances change in such a way that the **misrepresentation becomes true** *before* the adversely affected party avoids the contract.

Here, the chemical corporation fraudulently misrepresented that its plant was suitable and safe for operations, thereby inducing the paint manufacturer to enter the contract. But since the corporation cured the misrepresentation by making the plant safe for operations *before* closing, the manufacturer could not subsequently avoid the contract. Therefore, the manufacturer's refusal to close was a breach, and the corporation is likely to prevail.

(Choice B) The chemical corporation *did* have a duty to notify the paint manufacturer about the spill since it knew that this made the plant unsafe for the manufacturer's intended operations. But the corporation will still prevail because it cured its misrepresentation.

(Choice C) A misrepresentation cannot be cured to the extent that the adversely affected party can prove that it was actually harmed by relying on the misrepresentation. But there is no presumption to that effect, nor is there evidence that the manufacturer was harmed by the misrepresentation.

(Choice D) In land-sale contracts, the seller impliedly warrants that it will convey marketable title to the buyer upon closing. Here, the chemical spill affected the manufacturer's intended use of the plant but did not render title unmarketable. And regardless, this defect was cured before closing.

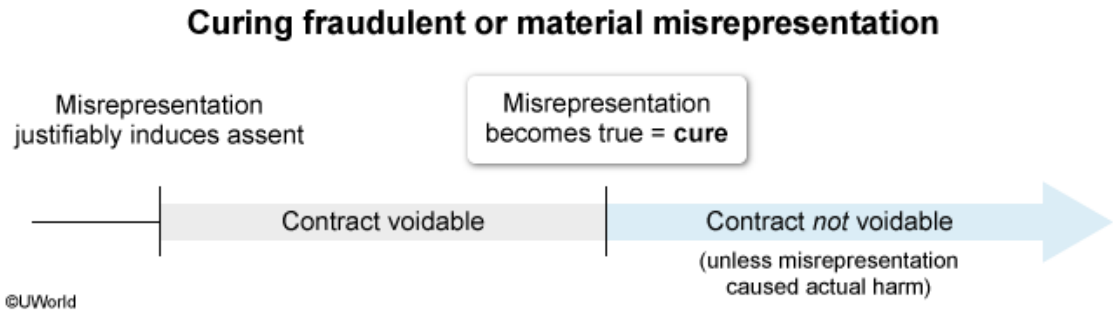
Educational objective:

A fraudulent or material misrepresentation can be cured—and the contract is no longer voidable by the adversely affected party—if the circumstances change in such a way that the misrepresentation becomes true before the adversely affected party avoids the contract.

References

- Restatement (Second) of Contracts § 165 (Am. Law Inst. 1981) (explaining that a misrepresentation is cured if the facts come into accord with the assertion).

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A farmer who wanted to sell her land received a letter from a developer that stated, "I will pay you $1,100 an acre for your land." The farmer's letter of reply stated, "I accept your offer." Unbeknownst to the farmer, the developer had intended to offer only $1,000 per acre but had mistakenly typed "$1,100." As both parties knew, comparable land in the vicinity had been selling at prices between $1,000 and $1,200 per acre.

Which of the following states the probable legal consequences of the correspondence between the parties?

A. There is a contract formed at a price of $1,000 per acre.

B. There is a contract formed at a price of $1,100 per acre.

C. There is no contract, because the parties attached materially different meanings to the price term.

D. There is no enforceable contract, because the developer is entitled to rescission due to a mutual mistake as to a basic assumption of the contract.

Explanation:

A **valid contract** is generally formed when a mutual agreement is supported by adequate consideration, such as when the developer offered to pay $1,100 an acre for the farmer's land and the farmer accepted. Although the developer intended to offer only $1,000, his **unilateral mistake** is ***not*** **grounds to avoid** the contract **unless**:

- the mistake would make **enforcement** of the contract **unconscionable** (eg, due to a substantial difference between contract price and actual value) *or*
- the **nonmistaken party** (ie, the farmer) **caused**, or **knew or had reason to know** of, the mistake.

Here, the developer's mistake would not make enforcement of the contract unconscionable since the developer stands to lose just $100 per acre. The farmer did not cause the mistake and had no reason to know of it since comparable land in the vicinity had been selling at prices between $1,000 and $1,200 per acre. As a result, a valid contract was formed at a price of $1,100 per acre **(Choice A)**.

(Choice C) A misunderstanding occurs when the parties attach different meanings to the same material term (eg, price). Here, the mistakenly typed "$1,100" did *not* create a misunderstanding since "$1,100" has just one meaning. But if it had, the misunderstanding would have prevented the formation of a contract.

(Choice D) There was no *mutual* mistake here since only the developer (not the farmer) was mistaken as to the contract price.

Educational objective:

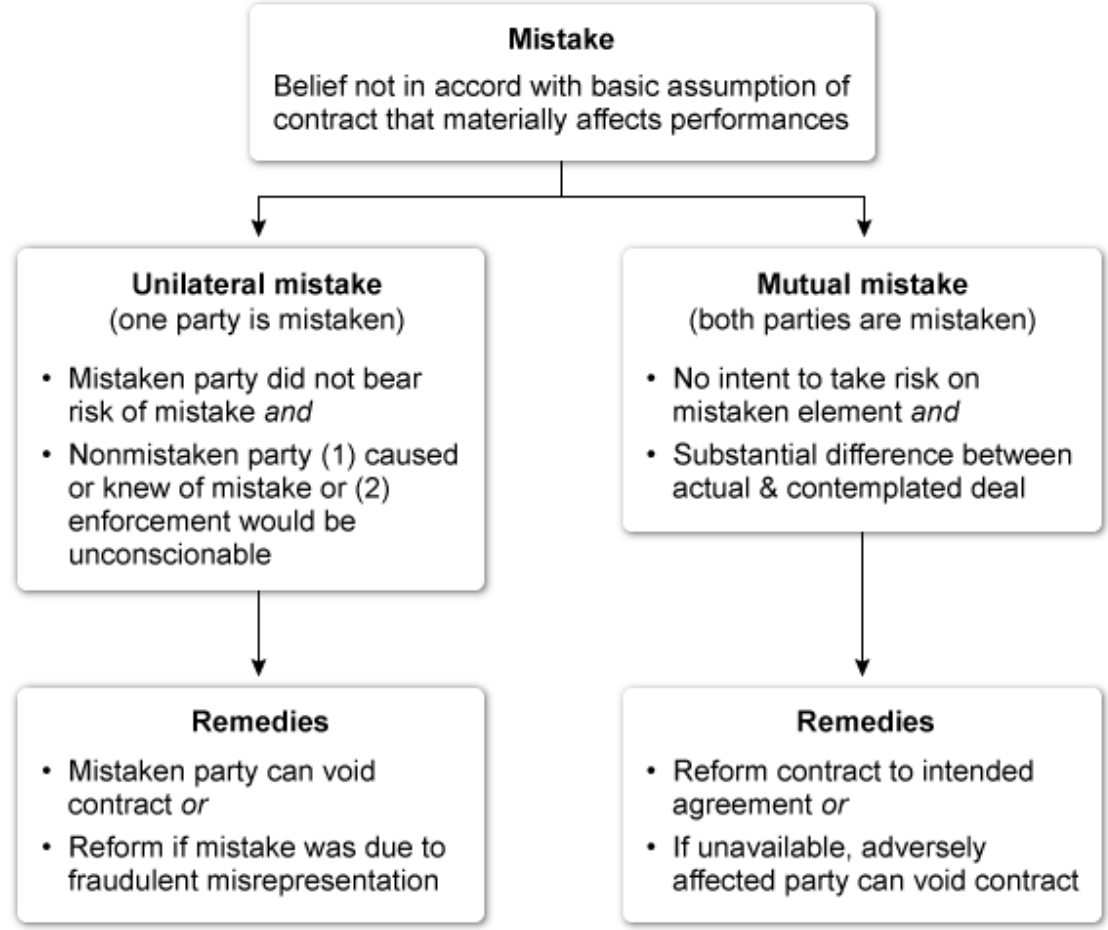
Unilateral mistake is not grounds to avoid a contract unless (1) the mistake would make enforcement of the contract unconscionable or (2) the nonmistaken party caused, or knew or had reason to know of, the mistake.

References

- Restatement (Second) of Contracts § 153 (Am. Law Inst. 1981) (when unilateral mistake makes a contract voidable).

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Mistake
Belief not in accord with basic assumption of contract that materially affects performances
Unilateral mistake
(one party is mistaken)
• Mistaken party did not bear risk of mistake and
• Nonmistaken party (1) caused or knew of mistake or (2) enforcement would be unconscionable
Mutual mistake
(both parties are mistaken)
• No intent to take risk on mistaken element and
• Substantial difference between actual & contemplated deal
Remedies
• Mistaken party can void contract or
• Reform if mistake was due to fraudulent misrepresentation
Remedies
• Reform contract to intended agreement or
• If unavailable, adversely affected party can void contract

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A ceramics studio contracted with an artist to produce cups and saucers designed by the artist. The artist was an established designer of collectible ceramic dinnerware, and the studio did production work for many artists who created ceramic dinnerware. The price and quantity term of the contract read: "2,000 sets of the cups and saucers at $5 each, payable on delivery." The contract contained a merger clause.

The studio produced the cups and saucers and delivered them along with a bill for $20,000 (4,000 pieces at $5 per piece). The artist refused to pay more than $10,000 (2,000 sets at $5 per set).

At the trial of the studio's action against the artist for breach of contract, the studio introduced evidence of an established practice in the studio industry to price cup-and-saucer sets on a per-piece, not a per-set, basis.

Is the studio's evidence admissible?

A. No, because such evidence would vary an unambiguous term of the contract.

B. No, because the agreement was completely integrated.

C. Yes, because evidence of trade usage is always admissible.

D. Yes, because the usage of trade is offered to give meaning to the contract.

Explanation:

Under the **UCC parol evidence rule**, evidence of any prior agreement (or any contemporaneous oral agreement) cannot be used to *contradict* the terms of a final written agreement. But the **following evidence can always be used** to ***explain or supplement*** those terms, regardless of whether the terms appear ambiguous:*

- **Course of performance** – sequence of conduct that is relevant to understanding an agreement between the parties if (1) the agreement involves repeated occasions for performance by a party and (2) the other party accepts performance without objection
- **Course of dealing** – sequence of conduct concerning previous transactions between the parties that establishes a common basis of understanding for interpreting their conduct
- **Trade usage** – any **practice or method of dealing** in the parties' **business or industry** that is practiced with enough regularity to justify an expectation that it will be practiced in the instant case

Therefore, the studio's evidence of an established practice in the studio industry to price cup-and-saucer sets on a per-piece (not a per-set) basis is admissible because it is offered to give meaning to the contract.

*Priority is given as follows: (1) express contract terms prevail over all others, (2) course of performance prevails over course of dealing and trade usage, and (3) course of dealing prevails over trade usage.

(Choice A) Even if the terms of a written contract appear unambiguous, the UCC allows a party to explain or supplement the terms by evidence of trade usage, course of dealing, or course of performance.

(Choice B) If the agreement was completely integrated (ie, intended as a final and complete statement of the parties' agreement), then the studio could not explain or supplement its terms with evidence of *consistent additional terms*. But integration has no effect on the studio's ability to do so with evidence of *trade usage* (or course of dealing or performance).

(Choice C) Evidence of trade usage is admissible only to explain or supplement (not contradict) the terms of a final written agreement.

Educational objective:

The UCC parol evidence rule always allows use of the following evidence to explain or supplement the terms of a final written agreement: course of performance, course of dealing, and trade usage.

References

- U.C.C. § 2-202 (Am. Law Inst. & Unif. Law Comm'n 2020) (parol evidence rule).

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A patient owed a physician $25,000 for professional services. The physician orally assigned this claim to her adult daughter as a wedding gift. Shortly thereafter, on suffering sudden, severe losses in the stock market, the physician assigned by a signed writing the same claim to her stockbroker in partial satisfaction of advances legally made by the stockbroker in the physician's previous stock-market transactions. Subsequently, the patient, without knowledge of either assignment, paid the physician the $25,000 then due, which the physician promptly lost at a horse track. The physician remains solvent.

Assume that Article 9 of the Uniform Commercial Code does NOT apply to either of the assignments in this situation.

Which of the following is a correct statement of the parties' rights and liabilities?

A. As the assignee prior in time, the daughter can recover $25,000 from the patient, who acted at her peril in paying the physician.

B. As the sole assignee for value, the stockbroker can recover $25,000 from the patient, who acted at her peril in paying the physician.

C. Neither the daughter nor the stockbroker can recover from the patient, but the daughter, though not the stockbroker, can recover $25,000 from the physician.

D. Neither the daughter nor the stockbroker can recover from the patient, but the stockbroker, though not the daughter, can recover $25,000 from the physician.

Explanation:

Assignment of contractual rights

Type	Revocability	Warranties
Gratuitous	Revocable unless: • obligor already performed • document symbolizing assigned right (eg, stock certificate) delivered • written & signed assignment delivered • promissory estoppel applies	None
For value	Irrevocable	Assignor warrants that he/she: • has right to assign • is not subject to limitations/defenses unknown to assignee • will not defeat/impair assigned rights

An assignment is the transfer of a contractual right to another. Where there has been a **subsequent assignment** of the **same right**, the priority of those competing assignments depends on whether the **first assignment** was:

- **revocable** – in which case, the first assignment is **automatically revoked** and the **second assignment has priority** *or*
- **irrevocable** – in which case, the **first assignment has priority** unless the second assignee was a bona fide purchaser for value who lacked notice of the first assignment.

Here, the physician orally assigned her claim for the $25,000 owed by the patient to her daughter as a wedding gift. That oral assignment was valid.* However, it was revocable because it was gratuitous and no exception applies (see above table). This means that the assignment to the daughter was automatically revoked when the physician subsequently assigned the same claim to her stockbroker. Accordingly, the daughter has no right to the $25,000 **(Choices A & C)**.

The physician's **assignment** to the stockbroker was **for value** (namely, in partial satisfaction of advances), so it was **irrevocable**. Every assignment for value carries an **implied warranty** that the **assignor will not** do anything to **defeat or impair the**

assigned right. The physician breached that warranty by accepting the $25,000 owed by the patient and losing it at the horse track. As a result, the stockbroker can recover $25,000 from the *physician*.

However, the stockbroker cannot recover that amount from the *patient*. The reason is that the **assignee's rights** against the obligor are **subject to any defenses** that the **obligor had against the assignor**. Payment by the obligor (patient) to the assignor (physician) can be raised as a defense, provided that the payment was made before the obligor had notice of the assignment (as seen here). Therefore, the patient did *not* act at her peril in paying the physician **(Choice B)**.

*Oral assignments are generally valid. However, a writing is required for (1) wage assignments, (2) assignments of interests in land, and (3) assignments intended as security instruments under Article 9 of the Uniform Commercial Code—none of which apply here.

Educational objective:

A subsequent assignment of the same right revokes any prior *revocable* assignment. If the first assignment was *irrevocable*, it has priority unless the second assignee was a bona fide purchaser for value who lacked notice.

References

- Restatement (Second) of Contracts § 342 (Am. Law Inst. 1981) (subsequent assignment of same right).

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A famous musician entered into a written agreement with an interior decorator, who was well known for his avant-garde designs, to design and decorate the musician's recording studio. The agreement was silent as to assignment or delegation by either party.

Before beginning the work, the interior decorator sold his decorating business to a man under an agreement in which the interior decorator assigned to the man, and the man agreed to complete, the recording-studio contract. The man, a world-renowned decorator of excellent repute, advised the musician of the assignment, and supplied her with information confirming his financial responsibility and past commercial success all over the world.

If the musician allows the man to perform and approves his design plan, but the man fails without legal excuse to complete the decorating as agreed, against whom does the musician have an enforceable claim for breach of contract?

A. Either the first interior decorator, because his agreement with the man did not discharge his duty to the musician; or the man, because the musician was an intended beneficiary of the agreement between the first interior decorator and the man.

B. The first interior decorator only, because his agreement with the man did not discharge his duty to the musician, and the man made no express promise to the musician.

C. The man only, because the first interior decorator's duty to the musician was discharged when he obtained a decorator of excellent repute (the man) to perform the recording-studio contract.

D. The man only, because the musician was an intended beneficiary of the agreement between the first interior decorator and the man, and the interior decorator's duty to the musician was discharged when she permitted the man to do the work and approved his design.

Explanation:

Nondelegable contractual duties

Delegation not permitted when:

- other contracting party has substantial interest in having delegating party perform (eg, in personal-services contract involving taste or special skill) *or*
- delegation is prohibited by contract

Obligations under a contract can generally be **delegated *unless***:

- the other party to the contract has a **substantial interest** in having the **delegating party perform** (eg, in a personal-services contract involving taste or a special skill) *or*
- the delegation is prohibited by the contract (eg, the contract says "this contract may not be assigned").

However, a party may **consent** to a delegation that would otherwise be prohibited. After a successful delegation, the **delegator remains liable** under the contract unless the other party agrees to a release.

Here, the famous musician had a substantial interest in having the interior decorator perform the recording-studio contract—particularly since the interior decorator was well known for his avant-garde designs. As a result, the interior decorator cannot delegate his duties to the man without the musician's consent. And even if the musician does consent, the interior decorator will *not* be released from liability. Therefore, if the musician consents to the delegation and the man fails to complete the job, the musician can sue the *interior decorator* for breach.

When, as here, a contracting party (the interior decorator) **delegates** his/her duties by forming a **separate contract with the delegatee** (the man), the other party to the original contract (the musician) becomes an intended beneficiary of that separate contract. The intended beneficiary can then **sue the delegatee** (in addition to the delegator) in the event of a breach. The musician, as the intended beneficiary of the agreement between the interior decorator and the man, can therefore sue the *man* for breach as well **(Choices B, C & D)**.

Educational objective:

Delegation of contractual obligations is permitted unless (1) the other party to the contract has a substantial interest in having the delegating party perform or (2) the delegation is prohibited by the contract. After a delegation, the delegating party remains liable under the contract unless the other party agrees to a release.

References

- Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).
- Restatement (Second) of Contracts § 318 (Am. Law Inst. 1981) (delegation of performance of duty).

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A tree-cutter who was an expert in removing branches that threaten tall buildings contracted, in a signed writing, to lift and trim branches near a building where a major conference was scheduled to occur. An exculpatory clause in the contract provided that the tree-cutter would not be liable for any physical damage to the building occurring during removal of the branches. There was also a clause providing for per diem damages if the tree-cutter did not complete performance by a specified date and a clause providing that "time is of the essence." Another clause provided that any subsequent agreement for extra work under the contract must be in writing and signed by both parties.

With ample time remaining under the contract for commencement and completion of his performance, the tree-cutter notified the building owner that he was selling his business to a landscaper, who was equally an expert in removing branches that threaten tall buildings, and that the landscaper had agreed to "take over the contract."

If the building owner refuses to accept the landscaper's services, which of the following clauses in the contract will best support the owner's contention that the tree-cutter's duties under the contract were not delegable without the owner's consent?

A. The exculpatory clause.

B. The extra-work clause.

C. The liquidated-damage clause.

D. The "time is of the essence" clause.

Explanation:

Assignment v. Delegation

Assignment Transfer of contractual *rights* to another (ie, assignee)

Delegation Transfer of contractual *duties* to another (ie, delegatee)

An **exculpatory clause** releases a party (eg, the tree-cutter) from liability for damages caused during the execution of the contract. Such a clause would effectively release that party from liability for damages caused by a delegatee (eg, the landscaper) as well.

This goes against the controlling principle that a **delegating party** is ***not* released from liability** for damages caused by a delegatee **unless the other party** to the contract (eg, the building owner) **expressly agrees** to a release. As a result, the exculpatory clause best supports the building owner's contention that the tree-cutter's duties were not delegable without the owner's consent.

(Choice B) The extra-work clause limits the scope of work to be done, but it says nothing about who is permitted to perform that work.

(Choice C) The liquidated-damage clause sets forth a fixed measure of damages for breach; it has no bearing on whether the tree-cutter can delegate his duties without the building owner's consent.

(Choice D) The "time is of the essence" clause indicates that performance by the time specified in the contract is crucial for the building owner to receive the benefit of the bargain. But this clause does not determine whether the tree-cutter can delegate his duties without the building owner's consent.

Educational objective:

An exculpatory clause releases a party from liability for damages caused during the execution of the contract. This would include damages caused by a delegatee, so the party to be released cannot delegate his/her duties without the other party's consent.

References

- Restatement (Second) of Contracts § 318 (Am. Law Inst. 1981) (delegation of duties).

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In a written contract, an architect agreed to draw up the plans for and to supervise construction of a client's new house. In return, the client agreed to pay the architect a fee of $10,000 to be paid upon the house's completion. After completion, the client claimed erroneously but in good faith that the architect's plans were defective. The client orally offered to pay the architect $7,500 in full settlement of the claim for the fee. The architect orally accepted that offer despite the fact that the reasonable value of his services was in fact $10,000. The client paid the architect $7,500 pursuant to their agreement.

The architect subsequently sued the client for the remaining $2,500. In a preliminary finding, the trier of fact found that there were no defects in the architect's plans.

Will the architect be likely to prevail in his action against the client for $2,500?

A. No, because the architect's acceptance of partial payment constituted a novation.

B. No, because the architect's promise to accept $7,500 became binding when the client made the payment.

C. Yes, because payment of $7,500 cannot furnish consideration for the architect's promise to surrender his claim.

D. Yes, because the oral agreement to modify the written contract is not enforceable.

Explanation:

Exceptions to preexisting-duty rule

Main rule		Promise to perform (or performance of) preexisting duty is not consideration
Common-law exceptions	**New/altered consideration**	New duty added or preexisting duty altered (eg, acceleration of due date)
	Ratification of voidable duty	New promise to perform voidable duty (eg, upon reaching age of majority)
	Honest dispute	Scope of duty honestly disputed
	Unexpected event	Fair & equitable modification in view of unanticipated circumstances
	Renewed promise	Renewed promise to pay preexisting debt despite technical defense (eg, statute of limitations, bankruptcy) if written or partially performed
	Third party	Third party offers additional promise that is contingent on performance of preexisting duty
UCC exception	**Modification**	Modification sought in good faith—ie, honesty and observance of reasonable commercial standards of fair dealing

UCC = Uniform Commercial Code.

A **settlement agreement** must be supported by consideration. There is **no consideration if** one party merely promises to perform or performs a **preexisting duty**. But there *is* **consideration if** the **scope** of that duty is **disputed in good faith**. For example, a creditor can promise to settle an honestly disputed debt for a lesser amount than billed. If the debtor then pays that lesser amount, the creditor's promise becomes binding and the creditor cannot sue for the remainder of the billed amount even if it was actually owed.

Here, the architect contracted to draw up the plans for and supervise the construction of the client's house for $10,000. After completion, the client claimed that the plans were defective and offered to settle for $7,500. Although there were no defects in the plans, the architect's promise to surrender his claim in exchange for $7,500 *was* supported by consideration since the client disputed the architect's performance in good faith **(Choice C)**. And since this promise became binding when the client made the payment, the architect is unlikely to prevail.

(Choice A) The architect's acceptance of partial payment was *not* a novation—ie, a new contract that substitutes a new party for one of the original parties. Instead, it was an accord and satisfaction—ie, the tender and acceptance of an alternate performance that discharges a contractual obligation.

(Choice D) The architect and client were attempting to settle a dispute, not modify their contract. Oral settlement agreements are generally enforceable if their terms are sufficiently precise. And even when a writing is required under the statute of frauds, an oral settlement becomes enforceable when one party performs (eg, by making the settlement payment—as seen here).

Educational objective:

A claim can be settled by entering a settlement agreement as long as it is supported by consideration. There is no consideration if one party merely promises to perform (or performs) a preexisting duty. But there is consideration if the scope of that duty is disputed in good faith.

References

- Restatement (Second) of Contracts § 74 (Am. Law Inst. 1981) (settlement of claims).

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A notorious spendthrift who was usually broke for that reason received the following letter from his uncle, a wealthy and prudent man: "I understand you're in financial difficulties again. I promise to give you $5,000 on your birthday next month, but you'd better use it wisely or you'll never get another dime from me." The spendthrift thereupon signed a contract with a car dealer to purchase a $40,000 automobile and to make a $5,000 down payment on the day after his birthday.

If the spendthrift sues the uncle for $5,000 after the uncle learned of the car-purchase contract and then repudiated his promise, which of the following is the uncle's best defense?

A. A promise to make a gift in the future is not enforceable.

B. Reliance by the promisee on a promise to make a future gift does not make the promise enforceable unless injustice can be avoided only by such enforcement.

C. Reliance by the promisee on a promise to make a future gift does not make the promise enforceable unless that reliance also results in an economic benefit to the promisor.

D. Reliance by the promisee on a promise to make a future gift does not make the promise enforceable unless the value of the promised gift is substantially equivalent to the promisee's loss by reliance.

Explanation:

Promises binding without consideration

Pay debt barred by technical defense	Promise to pay debt that would be enforceable absent technical defense to enforcement (eg, statute of limitations, bankruptcy)
Perform voidable duty	Promise to perform voidable duty, provided that new promise is not also voidable (eg, minor reaffirms promise to perform contract after reaching age of majority)
Pay for material benefits received	Promise to pay for material benefits received in the past & not intended as a gift (eg, promise to pay for emergency services previously received)
Promissory estoppel	Any promise (eg, promise of future gift) if: • promisor should reasonably expect promisee to rely on promise • promisee relies on promise to his/her detriment *and* • injustice can be avoided only by enforcement of promise

To be enforceable, a contract must be supported by consideration—ie, a bargained-for exchange of promises or performance. A **promise to make a gift**—eg, the uncle's promise to give the spendthrift $5,000 on his birthday without asking for anything in return—does not involve a bargained-for exchange and is generally unenforceable. But under the doctrine of **promissory estoppel**, a gift promise may be **enforceable if**:

- the promisor should **reasonably expect** the **promisee to rely** on the promise
- the promisee relies on the promise to his/her **detriment** *and*
- **injustice** can be **avoided only by enforcement** of the promise **(Choice A)**.

Here, the uncle promised to gift the spendthrift $5,000 on his birthday. The uncle likely should have expected the spendthrift to rely on that promise since the uncle knew about the spendthrift's financial difficulties. And the spendthrift did rely on that promise when he entered into a car-purchase contract and agreed to make a $5,000 down payment the day after his birthday. As a result, the uncle's best defense is that the spendthrift's reliance on the promise does not make it enforceable unless injustice can be avoided only by such enforcement.

(Choice C) Promissory estoppel (also known as detrimental reliance) does not require proof that the promisee's reliance resulted in an economic benefit to the promisor.

(Choice D) The value of the promised gift need not be substantially equivalent to the promisee's loss by reliance for promissory estoppel to apply. However, the promisee's

remedy is limited to actual loss suffered in reliance on the promise—not necessarily the full value of the promise.

Educational objective:

A party's promise to make a gift is enforceable under the doctrine of promissory estoppel if (1) the promisor should reasonably expect the promisee to rely on that promise, (2) the promisee detrimentally relies on that promise, and (3) injustice can be avoided only by enforcement of that promise.

References

- Restatement (Second) of Contracts § 71 (Am. Law Inst. 1981) (bargained-for exchange).
- Restatement (Second) of Contracts § 90 (Am. Law Inst. 1981) (promissory estoppel).

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A nonprofit organization that ran an after-school baseball program for at-risk elementary school students was fundraising for the purchase of a vacant lot to construct a baseball diamond. An executive, a well-known philanthropist, mailed a signed letter to the organization. In the letter, the executive pledged to give the organization $200,000 for the after-school baseball program. The organization accepted the letter. Shortly thereafter, the executive died.

The organization filed a claim against the executive's estate for the $200,000 pledged in the letter.

Is the organization likely to prevail?

A. No, because a promise to make a gift at some time in the future is not legally enforceable.

B. No, because an agreement to contribute money for a specific purpose is only binding when it is supported by consideration.

C. Yes, because the estate is estopped from denying the executive's charitable contribution to the organization.

D. Yes, because the organization's acceptance of the executive's promise established bargained-for consideration.

Explanation:

A promise to make a gift is generally unenforceable because it does not involve the bargained-for consideration required to form a valid contract. However, most **courts will enforce** a **charitable subscription**, which is a promise to contribute money or property to a charitable institution. They typically do so on **promissory estoppel** grounds, but this is somewhat of a legal fiction because **detrimental reliance**—the key to promissory estoppel—is ***not* required**. It is enough that the **promisor reasonably expected** to **induce reliance** on the promise.*

Here, the executive pledged to give the nonprofit organization $200,000 for its after-school baseball program, and he should have reasonably expected the organization to rely on his promise. Since the promise was a charitable subscription, the court can enforce it *without* proof that the organization detrimentally relied on it—eg, by purchasing the lot. Therefore, the organization is likely to prevail because the executive's estate is estopped from denying his charitable contribution to the organization.

*Similarly, courts will enforce a gift promise made in anticipation of a marriage (ie, marriage settlement) without proof of detrimental reliance. The reason is that marriages—like charitable institutions—are deemed socially useful and desirable, so promises made to benefit or encourage them should be enforced.

(Choice A) A promise to make a gift at some time in the future *is* legally enforceable if the elements of promissory estoppel are satisfied.

(Choice B) Most courts reject the view that a charitable organization's promise to use a monetary gift for a specific purpose is sufficient consideration to form a binding contract. But here, the lack of consideration does not prevent the organization from enforcing the executive's promise because promissory estoppel applies.

(Choice D) A promise to make a gift does not involve bargained-for consideration. Therefore, the organization's acceptance of the executive's promise did not establish a bargained-for exchange.

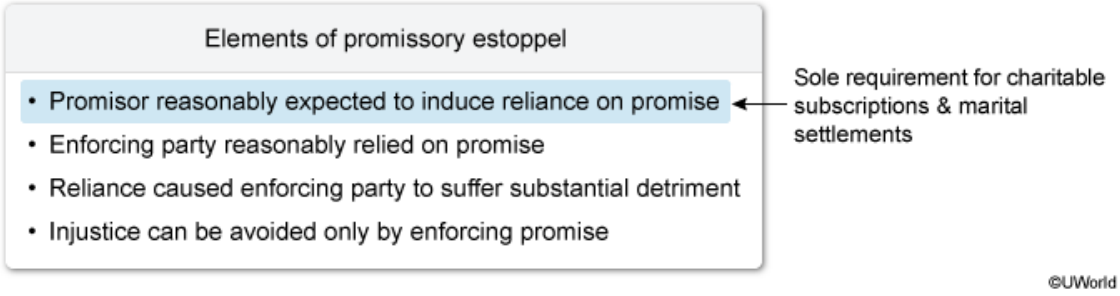
Educational objective:

Charitable subscriptions—ie, promises to contribute money or property to a charitable institution—are enforceable on promissory estoppel grounds *without* proof of detrimental reliance. All that is needed is proof that the promisor reasonably expected to induce reliance on the promise.

References

- Restatement (Second) of Contracts § 90(2) (Am. Law Inst. 1981) (charitable subscription binding without proof of detrimental reliance).

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A man moved into his widowed grandfather's farmhouse. At the time, the man worked as a power plant operator earning a substantial salary plus benefits. Nevertheless, the man left that job to farm his grandfather's land after the grandfather orally promised the man that if he did so, he would inherit the farm. The man borrowed money to purchase farm equipment, cleared the land, installed irrigation, and planted crops. The grandfather told neighbors and family members that the farm belonged to the man.

Fifteen years later, the grandfather died testate. The grandfather's will specifically devised the farm to his oldest son. The man immediately filed a complaint seeking legal title to the farm.

Is the man likely to prevail?

A. No, because contracts for the sale or transfer of land fall under the statute of frauds and must be in writing in order to be enforceable.

B. No, because the grandfather and man's conduct was insufficient to indicate the assent required to create an implied-in-fact contract.

C. Yes, because the court will construct a quasi-contract between the man and the grandfather to remedy unjust enrichment of the grandfather's estate.

D. Yes, because the man reasonably and detrimentally relied on the grandfather's promise.

Explanation:

Contracts for the sale or transfer of land fall under the statute of frauds and must therefore be in *writing* to be enforceable. Since the grandfather's promise to the man was *oral*, there is no enforceable contract **(Choice A)**. However, the man can still prevail under a theory of **promissory estoppel**. This equitable doctrine allows a party to **enforce another's promise** when no valid contract was formed. It applies when:

- the promisor **reasonably expected** to **induce reliance** on the promise
- the enforcing party **reasonably relied** on the promise
- the enforcing party suffered **substantial detriment** as a result of such reliance *and*
- **injustice** can only be **avoided by enforcing** the promise.

Here, the grandfather should have reasonably expected the man to rely on his promise that the man would inherit the farm. In reasonable reliance on that promise, the man left his job to farm the land. This caused the man to suffer substantial detriment, as evidenced by the fact that he borrowed money and gave up a substantial salary plus benefits. And since it would be unjust *not* to enforce the grandfather's promise—especially after the man had farmed the land for 15 years—the man is likely to prevail.

(Choice B) An implied-in-fact contract arises when the parties' conduct indicates the requisite assent to be bound. But here, whether the grandfather and man's conduct was sufficient to *imply* a contract is irrelevant because only an express, *written* contract to transfer the farm would have been enforceable.

(Choice C) Courts can construct a quasi-contract* to compensate a party for a benefit conferred upon another and prevent the other's unjust enrichment. Here, quasi-contract might be a basis for the man to recover *compensation* for valuable improvements made to the land—but not *title* to the farm.

*This is also called an implied-in-law contract.

Educational objective:

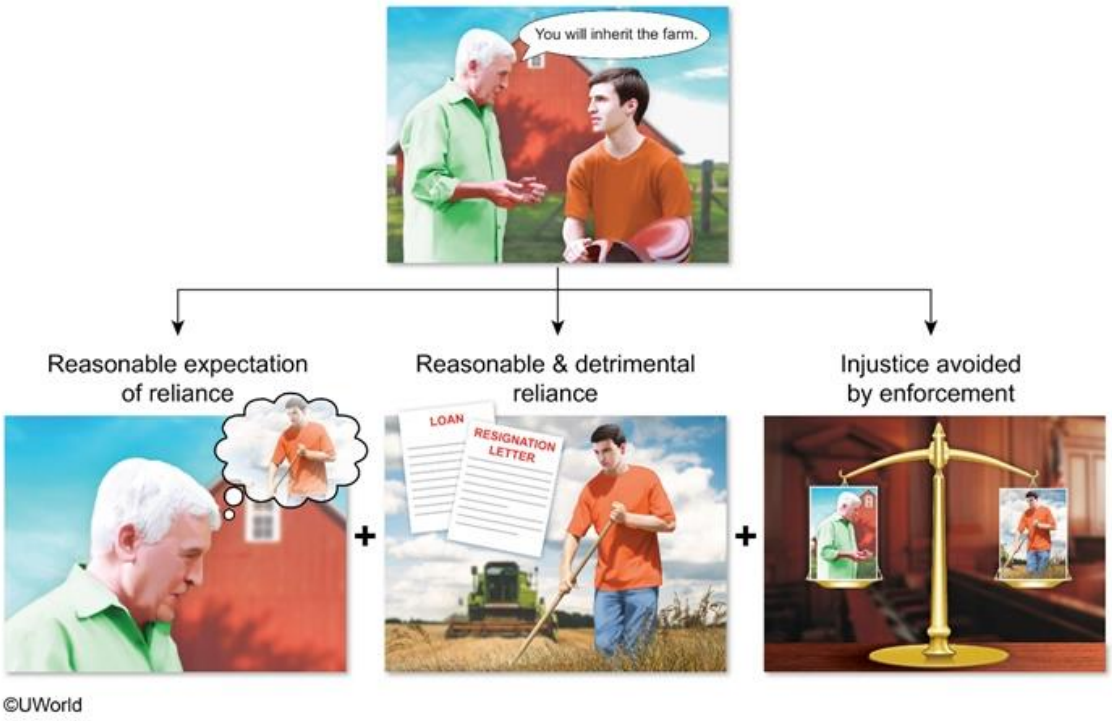
Promissory estoppel applies when (1) the promisor reasonably expected to induce reliance on the promise, (2) the enforcing party reasonably relied on that promise, (3) the enforcing party suffered substantial detriment as a result, and (4) injustice can only be avoided by enforcing the promise.

References

- Restatement (Second) of Contracts § 90 (Am. Law Inst. 2011) (promise reasonably inducing action or forbearance).

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Elements of promissory estoppel



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A debtor's liquidated and undisputed $1,000 debt to a creditor was due on March 1. When the debt was still unpaid on March 15, the creditor told the debtor that if the debtor promised to pay the $1,000 on or before December 1, the creditor would then not sue to collect the debt. The debtor orally agreed. On April 1, the creditor sued the debtor to collect the debt that had become due on March 1. The debtor moved to dismiss the creditor's complaint.

Should the court grant the debtor's motion?

A. No, because there was no consideration to support the creditor's promise not to sue.

B. No, because there was no consideration to support the debtor's promise to pay $1,000 on December 1.

C. Yes, because a promise to allow a debtor to delay payment on a past debt is enforceable without consideration.

D. Yes, because the debtor bargained for the creditor's forbearance.

Explanation:

Consideration problems that prevent contract formation

Gift	No bargained-for exchange
Token consideration	No inducement to bargain if performance entirely devoid of value
Sham consideration	No legal detriment & no inducement to bargain if recited performance not intended to be completed
Preexisting duty / past consideration	No legal detriment if performance already owed or completed
Illusory promise	No legal detriment if apparent promise imposes no obligation

For any agreement to be enforceable, there must be **consideration**—ie, a bargained-for exchange of promises or performance. The promise to perform, or the performance of, a **preexisting duty does not qualify** as consideration. Under this preexisting duty rule, a debtor's **promise to pay** all or part of a **liquidated debt** (ie, one that is certain and undisputed) is **not sufficient consideration** to support a creditor's return promise.

Here, the debtor owed the creditor a liquidated and undisputed $1,000 debt that was due on March 1. When the debtor failed to pay, the creditor promised not to sue if the debtor promised to pay $1,000 by December 1. But there was no consideration to support the creditor's promise because the debtor had a preexisting duty to pay the $1,000 and promised to do nothing more than he was already obligated to do. Therefore, the parties' agreement was invalid for lack of consideration, and the court should *not* grant the debtor's motion to dismiss.

(Choices B & D) The creditor's promise not to sue (ie, forbearance) *was* sufficient consideration to support the debtor's promise to pay $1,000 on December 1. But there was no bargained-for consideration for the creditor's promise not to sue because the debtor promised to perform only a preexisting duty in return.

(Choice C) Under the preexisting duty rule, a promise to allow a debtor to delay payment on an undisputed debt is *not* enforceable without consideration.

Educational objective:

Under the preexisting duty rule, a debtor's promise to pay a liquidated debt (ie, one that is certain and undisputed in amount) is not consideration for a creditor's return promise.

References

- Restatement (Second) of Contracts § 74 cmt. c (Am. Law Inst. 1981) (explaining that payment of a liquidated and undisputed obligation is not consideration).

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An automobile retailer had an adult daughter who needed a car in her employment but had only $3,000 with which to buy one. The retailer wrote to her, "Give me your $3,000 and I'll give you the car on our lot that we have been using as a demonstrator." The daughter thanked her father and paid him the $3,000. As both the retailer and the daughter knew, the demonstrator was reasonably worth $10,000. After the daughter paid the $3,000, but before the car was delivered to her, one of the retailer's sales staff sold and delivered the same car to a customer for $10,000. Neither the salesperson nor the customer was aware of the transaction between the retailer and the daughter.

Does the daughter, after rejecting a tendered return of the $3,000 by the retailer, have an action against him for breach of contract?

A. No, because the payment of $3,000 was inadequate consideration to support the retailer's promise.

B. No, because the salesperson's delivery of the car to the customer made it impossible for the retailer to perform.

C. Yes, because the retailer's promise was supported by bargained-for consideration.

D. Yes, because the retailer's promise was supported by the moral obligation a father owes his child as to the necessities of modern life.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: • performing (or promising to perform) act that is not legally required *or* • refraining (or promising to refrain) from performing legally permissible act

A **valid contract** is formed when a mutual agreement is supported by **adequate consideration**—ie, a **bargained-for exchange** of promises or performance. If the exchange involves items with economic value (eg, a car in exchange for money), there is **no additional requirement** that their **values be equivalent** or even roughly equivalent.

Here, the retailer promised to give the daughter the demonstrator car in exchange for $3,000. Although the car was worth $10,000, this difference in value did not prevent the daughter's payment from being consideration for the retailer's promise **(Choice A)**. Therefore, a valid contract arose between the parties, and the daughter has a breach of contract action against the retailer.

(Choice B) A party's contractual duties may be discharged if it has become objectively impossible to perform them. But impossibility does not apply when, as here, a seller or its agent sells contracted-for goods to someone else.

(Choice D) A promise based on a moral obligation is *not* supported by consideration and will not give rise to a contract. In addition, parents have no obligation—moral or otherwise—to provide their adult child with a car.

Educational objective:

A difference in economic value between the items exchanged is not ground for finding that a contract did not exist due to inadequate consideration.

References

- Restatement (Second) of Contracts § 71 (Am. Law Inst. 1981) (bargained-for exchange requirement).
- Restatement (Second) of Contracts § 79 (Am. Law Inst. 1981) (adequacy of consideration).

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A seller sent an email to a potential buyer, offering to sell his house to her for $150,000. The buyer immediately responded via email, asking whether the offer included the house's front porch swing. The seller emailed back: "No, it doesn't." The buyer then ordered a front porch swing and emailed back to the seller: "I accept your offer." The seller refused to sell the house to the buyer, claiming that the offer was no longer open.

Is there a contract for the sale of the house?

A. No, because the buyer's initial email was a counteroffer.

B. No, because the offer lapsed before the buyer accepted.

C. Yes, because the buyer relied on the offer by ordering the swing.

D. Yes, because the buyer's initial email merely asked for information.

Explanation:

Termination of offer before acceptance

Offeror's revocation	• Offeror communicates revocation directly to offeree • Offeree learns information from reliable source that reasonably indicates offer was revoked (eg, house sold to another buyer)
Offeree's rejection	• Offeree communicates rejection directly to offeror • Offeree's counteroffer serves as rejection & new offer*
Lapse	• Time period specified in offer expires • After reasonable time if no time period specified in offer
By law	• Either party dies or is adjudicated insane • Subject matter of offer is destroyed or becomes illegal

*Counteroffer does not terminate offer if offeree manifests intent to take offer under advisement.

A binding contract is formed when an offeree accepts an offer *before* it terminates. An **offer will terminate** if the offeree rejects the offer or responds with a **counteroffer**—ie, a reply that presents different terms from those in the offer—prior to acceptance. However, merely **asking for information** (eg, whether the offer includes a porch swing) is **not a counteroffer** and will not terminate an offer **(Choice A)**.

An offer can also terminate by **lapse** if the offeree fails to respond within (1) the **time period specified** in the offer or (2) a **reasonable time** if no time period is specified. Here, no lapse occurred because the seller's email did not specify a time for acceptance and there is no evidence that the buyer's acceptance was emailed after an unreasonable delay **(Choice B)**. Instead, a contract for the sale of the house was formed.

(Choice C) An offeree's reliance on an offer can create an option contract—ie, a separate agreement not to revoke the offer—if the offeree incurred substantial expense and his/her reliance was foreseeable. But an option contract was unnecessary here since the seller did not try to revoke his offer before acceptance. And even if it was foreseeable that the buyer would order a porch swing, its cost is not substantial compared to a $150,000 house.

Educational objective:

An offer will terminate if the offeree makes a counteroffer—ie, a reply that presents different terms than the offer, not merely a request for information. An offer will also terminate by lapse if the offeree fails to respond within the time period specified in the offer or within a reasonable time (if no time period is specified).

References

Restatement (Second) of Contracts § 39 (Am. Law Inst. 1981) (requirements for counteroffers).

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On December 15, a lawyer received from a retailer of office supplies an offer consisting of its catalog and a signed letter stating, "We will supply you with as many of the items in the enclosed catalog as you order during the next calendar year. We assure you that this offer and the prices in the catalog will remain firm throughout the coming year."

No other correspondence passed between the retailer and the lawyer until the following April 15 (four months later), when the retailer received from the lawyer a faxed order for "100 reams of your paper, catalog item #101."

Did the lawyer's April 15 fax constitute an effective acceptance of the retailer's offer at the prices specified in the catalog?

A. No, because the lawyer did not accept the retailer's offer within a reasonable time.
B. No, because under applicable law the irrevocability of the retailer's offer was limited to a period of three months.
C. Yes, because a one-year option contract had been created by the retailer's offer.
D. Yes, because the retailer had not revoked its offer before April 15.

Explanation:

Contracts for the **sale of goods** are governed by the UCC. Under the **UCC firm offer rule**, a **merchant's signed,* written offer** to buy or sell goods may contain assurances that it will remain open. If so, the offer is irrevocable for the time stated in the offer or, if no time is stated, for a reasonable time. But in either case, the **period of irrevocability cannot exceed three months**. Therefore, the retailer's firm offer to sell office supplies to the lawyer at the prices listed in the catalog became revocable after three months (March 15).

However, the retailer never expressly revoked its offer **(Choice B)**. And though a **revocable offer** with no deadline for acceptance will **lapse** after a **reasonable amount of time** given the circumstances surrounding the negotiation, the retailer's offer letter referenced orders placed "during the next calendar year." This indicates that the reasonable time for acceptance was any time during that year **(Choice A)**. Therefore, the lawyer's April 15 faxed order was an effective acceptance of the retailer's offer at the prices listed in the catalog.

*A full handwritten signature is not always required, such as when (1) initialing the relevant clause is appropriate under the circumstances or (2) the merchant handwrites on his/her letterhead to confirm that a firm offer was already made.

(Choice C) Although the UCC is silent as to option contracts, they can be created for the sale of goods (under the common law rule) if they are supported by consideration. But here, the retailer's promise to hold the offer open was not supported by consideration because the promise was not exchanged for an act or return promise.

Educational objective:

A merchant's firm offer to buy or sell goods is irrevocable for the time stated in the offer or, if no time is stated, for a reasonable time (not to exceed three months in either case). Once the offer becomes revocable, it may lapse (just like any other revocable offer) if it is not accepted within a reasonable amount of time.

UCC = Uniform Commercial Code.

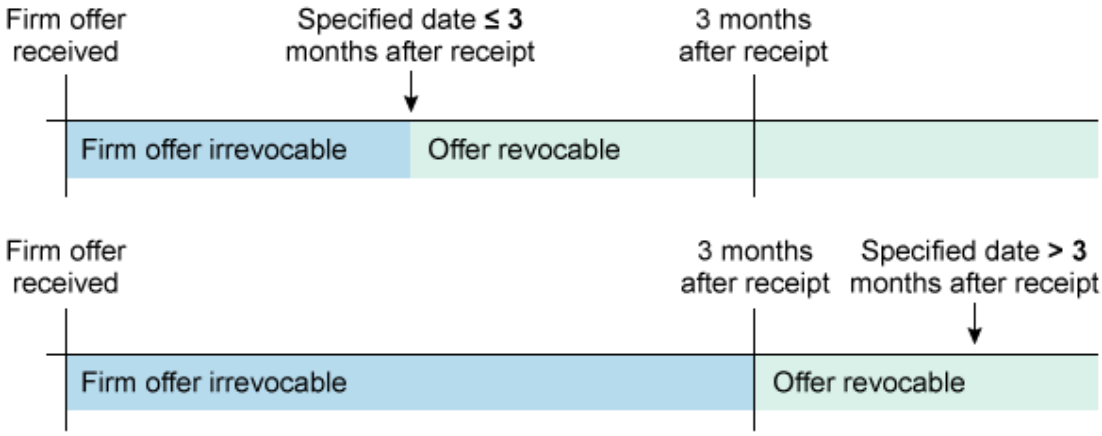
References

U.C.C. § 2-205 (Am. Law Inst. & Unif. Law Comm'n 2020) (firm offers).

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Irrevocability of firm offers



A developer owned 250 lots in a new residential development. A builder of single-family homes approached the developer with a signed, written offer "to purchase a block of lots for a reasonable price to be determined by the market." Prior to that, three other residential construction companies had each purchased blocks of 50 lots from the developer for between $75,000 and $90,000 per lot, depending on lot size and location. The developer signed the builder's offer upon receiving it. A week later, the developer notified the builder that the developer had sold the remaining 100 lots to another builder.

If the builder sues the developer for breach of contract, will the builder be likely to prevail?

A. No, because all essential terms must be specified in the contract for the contract to be valid.

B. No, because the contract is voidable by the developer since the actual market price was not stated in the agreement.

C. Yes, because the court can use the other construction companies' purchases to "fill the gap" for the missing quantity and price terms.

D. Yes, because the parol evidence rule does not bar extrinsic evidence of the reasonable market price.

Explanation:

Essential contract terms*

Parties
Subject matter (eg, description of goods or services)
Price or other consideration
Quantity
Duration of contract
Time for each party's performance
*Necessarily varies by contract.

At common law, all **essential terms** must be covered in a contract for it to be valid and enforceable. Those terms must be sufficiently **certain and definite** for the court to determine the existence of a breach and give an appropriate remedy. Otherwise, the contract fails for indefiniteness.*

One essential term is the **subject matter** of the agreement—eg, a **description of the property** to be sold in a land-sales contract. A property description is sufficiently certain and definite if it enables the court to **determine exactly what property** is **being sold**. Here, the description ("block of lots") is too indefinite to make such a determination. As a result, the builder is unlikely to prevail.

*Indefiniteness may be cured by surrounding circumstances or conduct by the parties that permits the court to supply the term. But here, there are no such circumstances or acts by the parties to identify exactly which lots were to be sold.

(Choice B) Although the actual market price was not stated in the agreement, "reasonable market price" is a sufficiently certain and definite price term since market value can be determined objectively. Also, had this essential term been missing or otherwise insufficient, the contract would have been void—not voidable.

(Choice C) The Uniform Commercial Code (UCC) encourages contract formation by "filling the gap" for many missing terms—including price but not quantity. Additionally, land-sales contracts are governed by common law—not the UCC, which governs contracts for the sale of goods.

(Choice D) The parol evidence rule generally bars extrinsic evidence of prior or contemporaneous agreements to modify or contradict the terms of a final written agreement. However, evidence of the reasonable market price is not barred by this rule.

Educational objective:

At common law, all essential terms must be covered in an agreement, and those terms must be sufficiently certain and definite. The property description in a land-sales contract meets this standard if it allows the court to determine the exact property being sold.

References

17A Am. Jur. 2d Contracts § 180 (2020) (requisites for definiteness and certainty of contract terms).

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A home goods retailer, in a signed writing, contracted with an apartment complex for the sale to the apartment complex of 50 identical sets of specified bathroom faucets, 25 sets to be delivered on March 1, and the remaining 25 sets on April 1. The agreement did not specify the place of delivery, or the time or place of payment.

Which of the following statements is correct?

A. The home goods retailer has no duty to deliver the 25 sets on March 1 at the retailer's place of business unless the apartment complex tenders the contract price for the 25 sets on that date.

B. The home goods retailer must deliver 25 sets on March 1, and the apartment complex must pay the contract price for the 25 sets within a reasonable time after their delivery.

C. The home goods retailer must deliver 25 sets on March 1, but the apartment complex's payment is due only upon the delivery of all 50 sets.

D. The home goods retailer must tender 25 sets to the apartment complex at the complex's place of business on March 1, but does not have to turn them over to the complex until it pays the contract price for the 25 sets.

Explanation:

UCC gap-fillers

(effect of missing terms)

Missing terms	**Gap-fillers**
Place of delivery	Seller's place of business if applicable Seller's home Some other place if parties know goods are there
Time for shipment/delivery	Reasonable time
Price	Reasonable price at time for delivery
Time/place for payment	Time & place buyer is to receive goods

UCC = Uniform Commercial Code.

Contracts for the sale of goods (eg, faucets) are governed by Article 2 of the Uniform Commercial Code (UCC). The **UCC "fills the gap"** when certain **terms are missing** from a contract. For example, the gap filler for a missing **place of delivery** is generally the **seller's place of business** if the seller has one. And unless the contract specifies otherwise, **payment is due** at the **time and place** the buyer is to **receive each shipment** of goods. In that case, the seller is only required to deliver the goods if the buyer tenders the payment.

Here, the home goods retailer contracted to sell bathroom faucets to the apartment complex. The time for delivery is specified (ie, 25 sets on March 1 and 25 sets on April 1). But since the place of delivery is missing, it must be made at the retailer's place of business—not the apartment complex's **(Choice D)**. And since the time and place for payment are also missing, the contract price for the first 25 sets is due on March 1 **(Choices B & C)**. Therefore, the retailer has no duty to deliver these sets unless the apartment complex tenders payment on that date.

Educational objective:

The UCC fills the gap when certain terms are missing from a sale-of-goods contract. For example, the gap filler for the place of delivery is generally the seller's place of business if the seller has one. And unless the contract specifies otherwise, payment is due at the time and place the buyer is to receive each shipment of goods.

References

U.C.C. § 2-308 (Am. Law Inst. & Unif. Law Comm'n 2020) (providing gap filler when place for delivery is missing).

U.C.C. § 2-310 (Am. Law Inst. & Unif. Law Comm'n 2020) (providing gap filler when time and place for payment are missing).

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A bakery offered a chef a permanent full-time job as a pastry chef at a salary of $3,000 per month. The chef agreed to take the position and to begin work in two weeks. In her employment application, the chef had indicated that she was seeking a permanent job.

One week after the chef was hired by the bakery, a hotel offered the chef a position as a restaurant manager at a salary of $3,500 a month. The chef accepted and promptly notified the bakery that she would not report for work at the bakery.

Is the bakery likely to prevail in a lawsuit against the chef for breach of contract?

A. No, because a contract for permanent employment would be interpreted to mean that the chef could leave at any time.

B. No, because the position the chef took with the hotel was not substantially comparable to the one she had agreed to take with the bakery.

C. Yes, because the chef's acceptance of a permanent position meant that she agreed to leave the bakery only after a reasonable time.

D. Yes, because the chef's failure to give the bakery a chance to match the salary offered by the hotel breached the implied right of first refusal.

Explanation:

Employment contracts

Definite duration	Termination allowed only for cause or by mutual agreement
Indefinite duration	At-will employment can be terminated by either party at any time & for any reason
Permanent duration	Exception: termination violates public policy

A **contract to employ** someone for an **indefinite or permanent** duration typically **creates** an **at-will employment** relationship. An at-will employment relationship allows **either party** to **terminate** the employment contract at **any time** and for **any reason** unless the termination violates public policy—eg, when an employee is discharged for filing a discrimination claim.

Here, the contract for *permanent* employment formed an at-will employment relationship that allowed the chef to leave the bakery at any time **(Choice C)**. The chef's termination of the employment contract did not violate public policy because society wants at-will employees to be free to take on new opportunities. Therefore, the chef did not breach the contract by accepting the job with the hotel, and the bakery is unlikely to prevail.

(Choice B) Whether the position the chef took with the hotel is substantially comparable to the position at the bakery would be relevant had the *bakery* breached the contract. In this scenario, the chef would have then had a duty to mitigate damages by making reasonable efforts to secure comparable employment.

(Choice D) A right of first refusal is an *express* contractual right that gives the holder of the right the option to contract with a party before anyone else. This right cannot be created by implication.

Educational objective:

A contract for permanent employment creates an at-will employment relationship that entitles either party to terminate the contract at any time and for any reason, without the termination being considered a breach.

References

27 Am. Jur. 2d Employment Relationship § 30 (2020) (explaining that a permanent employment agreement is an at-will employment contract).

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A bottling company sent a purchase order to a wholesaler that stated, "Ship 100,000 empty plastic bottles at the posted price." Two days after receipt of this purchase order, the wholesaler shipped the bottles and the bottling company accepted delivery of them. A week after the bottles were delivered, the bottling company received the wholesaler's acknowledgment form, which included a provision disclaiming consequential damages. After having used the wholesaler's bottles in its bottling operations for two months, the bottling company discovered a defect in the bottles that caused liquids to leak from them. The bottling company recalled 10,000 of the bottles that had been filled, incurring lost profits of $40,000.

Assuming that all appropriate defenses are timely raised, will the bottling company likely succeed in recovering $40,000 in consequential damages from the wholesaler?

A. No, because buyers are generally not entitled to recover consequential damages.

B. No, because the bottling company's acceptance of the goods also constituted an acceptance of the terms included in the wholesaler's acknowledgment.

C. Yes, because the disclaimer of consequential damages is unconscionable.

D. Yes, because the wholesaler's acknowledgment did not alter the terms of an existing contract between the parties.

Explanation:

Seller's acceptance of buyer's offer

(UCC § 2-206)

Method	Effective	Contract terms
Promise to ship	When oral promise made OR When written promise sent	All parties are merchants terms of offer + terms added by battle-of-forms rule ≥1 party is nonmerchant terms of offer new terms are merely *proposed* additions
Shipment of goods	When goods shipped	Terms of offer

UCC = Uniform Commercial Code.

Under the **UCC**, a seller can accept an offer (eg, purchase order) by shipping or promising to ship the ordered goods. **Acceptance by shipment** is **effective immediately** and creates a contract with terms identical to those of the offer. Once created, the contract **cannot be modified** unless both parties agree to this. And if either party **breaches**, the other party can recover **consequential damages** (eg, lost profits).

Here, the wholesaler received the bottling company's purchase order and shipped the bottles. That shipment—since it was sent before the acknowledgment form—created a contract on the purchase order's terms. And since the bottling company did not agree to a modification that disclaims consequential damages, the acknowledgment did not alter the terms of the existing contract. Therefore, the bottling company will likely recover $40,000 in consequential damages for its lost profits caused by the wholesaler's breach in sending defective bottles.

(Choice A) Either party to a sale-of-goods contract (ie, buyer or seller) can recover consequential damages for breach as long as those damages were foreseeable when the contract was created.

(Choice B) The bottling company's acceptance of the bottles could *not* have constituted an acceptance of the terms included in the wholesaler's acknowledgment since the bottles were delivered and accepted before the acknowledgment was received.

(Choice C) A contract can limit or disclaim (ie, exclude) consequential damages unless doing so is unconscionable because it leaves no reasonable remedy for breach. But here,

whether the disclaimer of consequential damages is unconscionable is irrelevant since that term did not become part of the contract.

Educational objective:

Under the UCC, a seller can accept an offer to buy goods by shipping *or* promising to ship the goods. Acceptance by shipment is effective immediately and creates a contract with terms identical to those of the offer.

UCC = Uniform Commercial Code

References

U.C.C. § 2-206 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that an offer to buy goods can be accepted by shipping or promising to ship the goods).

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A woman obtained a bid of $10,000 to tear down her old building and another bid of $90,000 to replace it with a new structure in which she planned to operate a sporting goods store. Having only limited cash available, the woman asked a local businessman for a $100,000 loan. After reviewing the plans for the project, the businessman in a signed writing promised to lend the woman $100,000 secured by a mortgage on the property and repayable over 10 years in equal monthly installments at 10% annual interest. The woman promptly accepted the demolition bid and the old building was removed, but the businessman thereafter refused to make the loan. Despite diligent efforts, the woman was unable to obtain a loan from any other source.

Does the woman have a cause of action against the businessman?

A. No, because the woman's inability to obtain a loan from any other source demonstrated that the project lacked the financial soundness that was a constructive condition to the businessman's performance.

B. No, because there was no bargained-for exchange of consideration for the businessman's promise to make the loan.

C. Yes, because by having the building demolished, she accepted the businessman's offer to make the loan.

D. Yes, because her reliance on the businessman's promise was substantial, reasonable, and foreseeable.

Explanation:

The equitable doctrine of **promissory estoppel** allows a party to recover damages stemming from another's failure to perform a promise when there is **no valid contract** (as seen here). Recovery under promissory estoppel is warranted if:

the promisor **reasonably expected** to induce reliance on the promise
the enforcing party **reasonably relied** on the promise
reliance on the promise caused the enforcing party to suffer **substantial detriment** *and*
injustice can only be avoided by enforcing the promise.

Here, the woman had not accepted the businessman's loan offer, so there was no valid contract between the two. However, the woman substantially, reasonably, and foreseeably relied on the businessman's promise of a loan by accepting the demolition bid. As a result, she can assert a cause of action for promissory estoppel against the businessman (and will likely prevail).

(Choice A) A constructive condition is one that is not expressly stated in a contract but is implied by law. Financial soundness of a project is *not* a constructive condition to performance of a party's promise to make a loan.

(Choice B) There was no bargained-for exchange of consideration for the businessman's promise, which would be required to recover under a breach-of-contract theory. But consideration is not needed to recover under a claim of promissory estoppel.

(Choice C) There are no facts indicating that the businessman authorized the woman to accept his offer to make a loan by demolishing the building. Therefore, this is not a basis for a cause of action against the businessman.

Educational objective:

Promissory estoppel can be used to enforce a promise when no valid contract has been formed if (1) the promisor reasonably expected to induce reliance on the promise, (2) the promise did induce such reliance, (3) that reliance caused the other party substantial detriment, and (4) injustice can only be avoided by enforcing the promise.

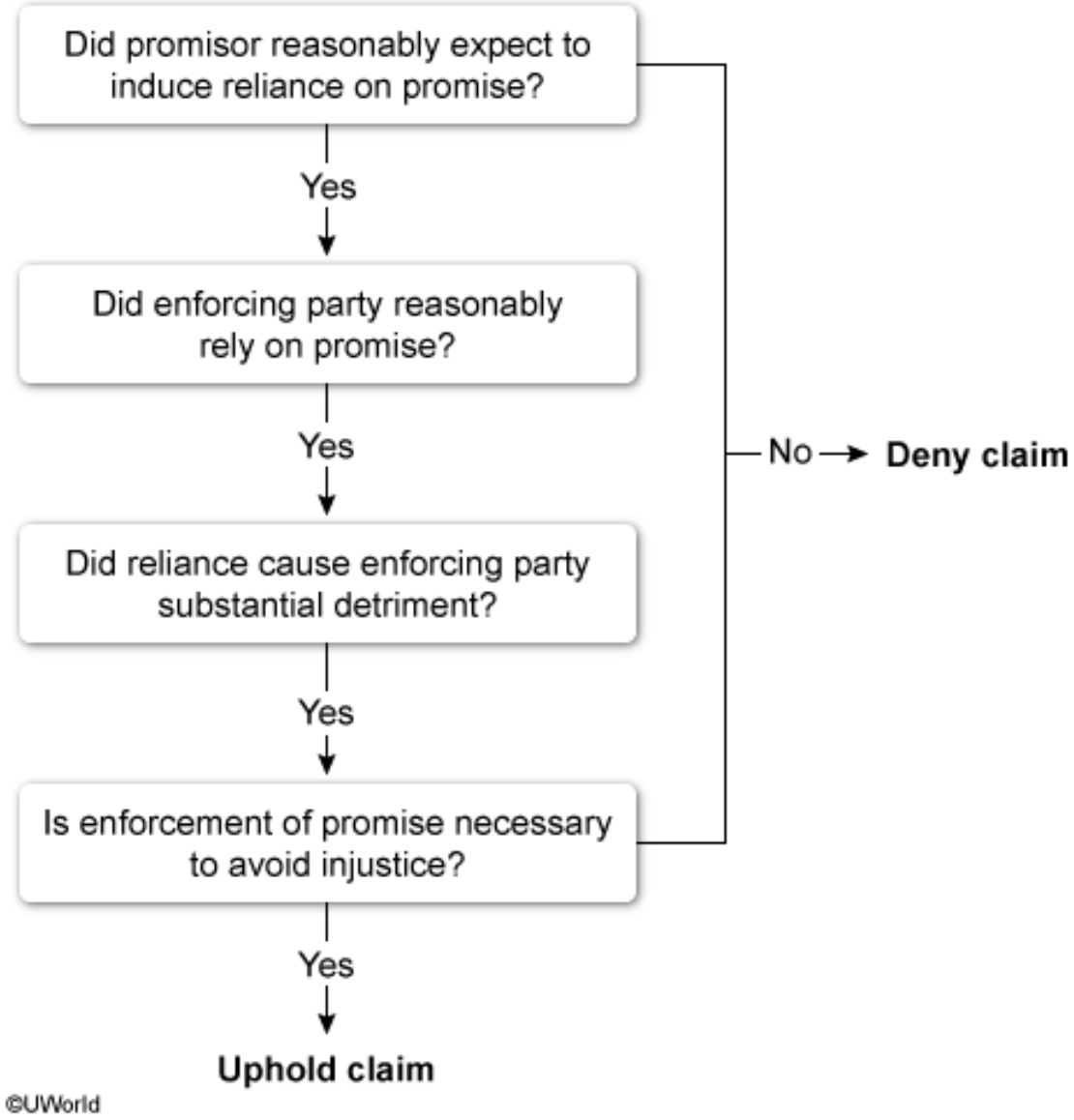
References

Restatement (Second) of Contracts § 90 (Am. Law Inst. 1981) (promissory estoppel).

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Promissory estoppel claim



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The owner of an unoccupied duplex needed to paint its interior in preparation for renting each unit. Before leaving the country on a three-month-long business trip, the owner offered a painter $3,000 to paint the interior of each unit of the duplex. The painter told the owner that he would try to fit the job into his busy schedule. The owner replied that she would be out of the country for three months but would leave the key to each unit under the front doormat. There was no further communication between them.

Ten weeks later the painter began to paint one of the duplex units. Concerned that she had heard nothing from the painter about completing the task, the owner emailed a friend asking him to paint the duplex for $3,000. The friend sent an email accepting the owner's offer and began painting the other duplex unit the following day.

Is the painter likely to prevail in a breach of contract action against the owner?

A. No, because an offeree must notify an offeror that performance has begun in order to create a contractual obligation between them.

B. No, because notification is required to enforce a contractual duty when the offeror has no convenient way of ascertaining if performance has begun.

C. Yes, because an offeree may always accept an offer by making a return promise or by beginning performance.

D. Yes, because notification that an offeree has begun to perform is only required if the offeror explicitly requested notification.

Explanation:

An **offer** to form a **bilateral contract**—ie, an offer that invites acceptance by return promise—can be expressly accepted with a return promise or **impliedly accepted** by **starting performance**.* Notice is not required to accept an offer by starting performance unless the offer so requires **(Choice A)**. However, if the **offeree should know** that the offeror has **no convenient way of learning** within a reasonable time that **performance has begun**, the offeree **must notify** the offeror. Failure to do so will discharge the offeror's contractual duty **(Choice D)**.

Here, the duplex owner offered the painter $3,000 to paint the interior of each unit. Although the painter made no return promise (he would "*try* to fit the job into his schedule"), he began to paint the duplex 10 weeks later (acceptance by starting performance). The painter knew that the owner was out of the country (no convenient way to learn about performance), so he had to notify her that performance had begun. Since he did not, the owner's contractual duty was discharged, and the painter is *not* likely to prevail in his breach-of-contract action.

*Acceptance is also implied when the offeree accepts a valuable benefit (eg, money, property, services) by conduct or failure to act. This method of acceptance is not available here because the valuable benefit ($3,000 payment) could not be accepted until performance was completed..

(Choice C) The assertion that an offeree can *always* accept an offer by making a return promise or by beginning performance is overbroad. The offeror, as master of the offer, can dictate the manner or means of acceptance.

Educational objective:

Notice is not required to effectively accept an offer by starting performance unless the offer so requires. But if the offeree should know that the offeror has no convenient way of learning within a reasonable time that performance has begun, the offeree must notify the offeror. Otherwise, the offeror's contractual duty will be discharged.

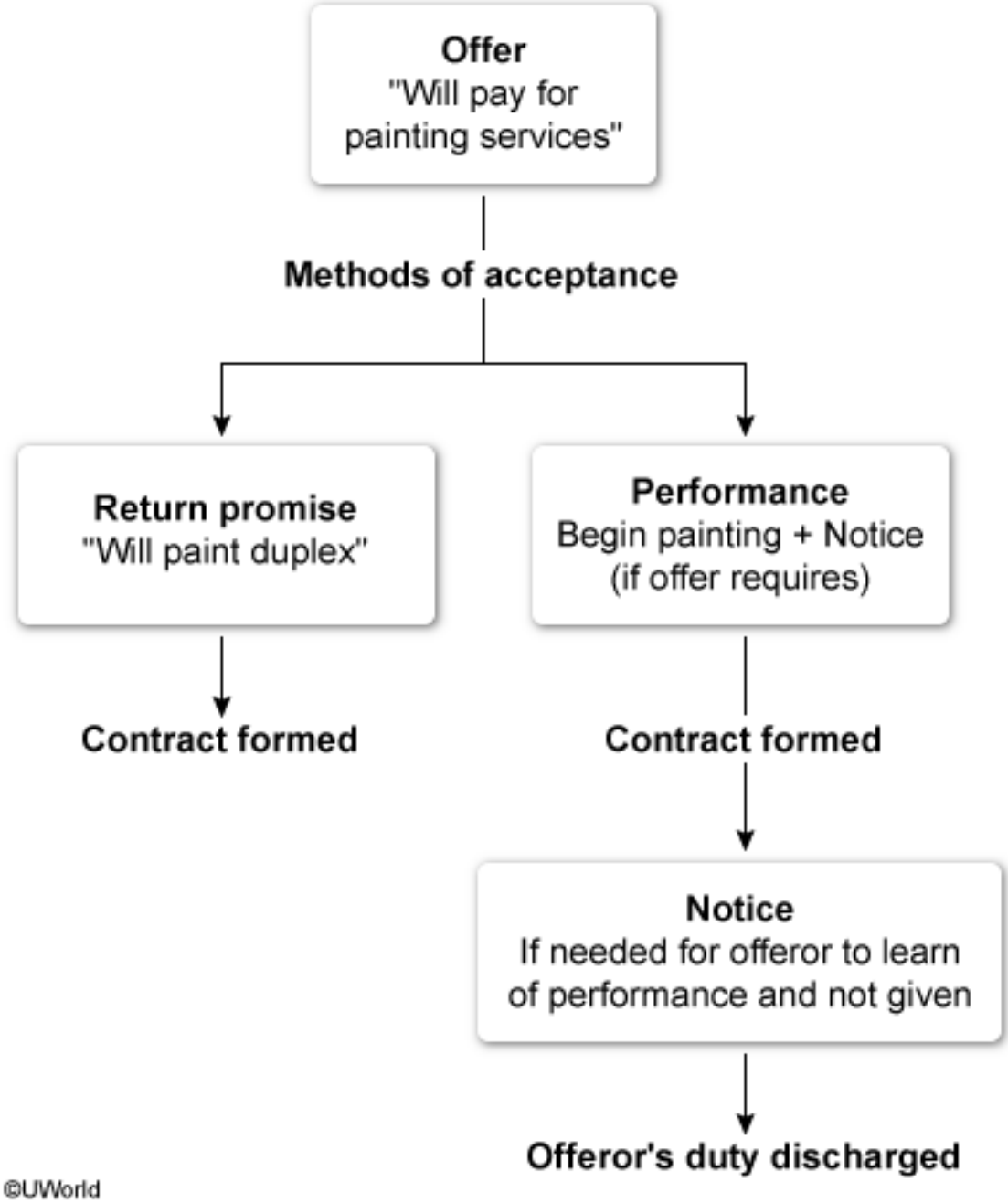
References

Restatement (Second) of Contracts § 62 (Am. Law Inst. 1981) (effect of performance by offeree where offer invites either performance or promise).

Restatement (Second) of Contracts § 54 (Am. Law Inst. 1981) (acceptance by performance and necessity of notification to offeror).

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Formation of a bilateral contract



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A buyer sent a signed letter to a seller that stated: "Ship 100 boxes of nails at $3 per box, the price quoted in your circular." The seller mailed the buyer a signed form acknowledgment that agreed to the buyer's terms and stated on the reverse side: "Disputes regarding quality shall be arbitrated." The buyer did not reply to the seller's acknowledgment, and the seller shipped the nails. When the buyer received the nails, he found their quality to be unsatisfactory and sued the seller for breach of warranty. The seller has asked an attorney whether the parties' contract requires arbitration of the buyer's claim.

What is the best advice the attorney can provide?

A. A contract was formed pursuant to conduct when the buyer received the nails, and a court would exclude the arbitration provision from the contract.

B. A contract was formed when the seller mailed its acknowledgment, and the arbitration term became part of the contract.

C. A contract was formed when the seller mailed its acknowledgment, and the court must decide whether the arbitration term should be excluded as a material alteration of the contract.

D. No contract exists, because the arbitration term in the seller's acknowledgment created a counteroffer that the buyer never accepted.

Explanation:

Effect of new terms in reply to offer

Common law (mirror-image)		Offer rejected Reply treated as counteroffer
UCC (battle of the forms)	≥1 party is nonmerchant	Offer accepted unless reply expressly required assent to new/revised terms New/revised terms treated as proposed additions to contract
	All parties are merchants	Offer accepted unless reply expressly required assent to new/revised terms New terms become part of contract unless: offer expressly required assent to new terms new terms materially alter contract *or* offeror objects within reasonable time Revised terms follow split authority & are either: treated as new terms *or* cancelled out under knockout rule

UCC = Uniform Commercial Code.

The **UCC**, which governs contracts for the sale of goods, uses the **battle-of-the-forms rule** for contract formation. Under this rule, an **acceptance** of an offer is effective even if the acceptance contains **new terms**. If both parties are **merchants**, the new terms become **part of the contract *unless***:

the offer expressly **requires the offeror's assent** to new terms
the offeror **objects** within a **reasonable time** *or*
the new terms **materially alter** the contract.

Here, the buyer ordered 100 boxes of nails at $3 per box (offer). The seller mailed an acknowledgment agreeing to the buyer's terms (acceptance), which was effective upon dispatch. And although that acknowledgment contained a new arbitration term, the buyer's offer did not expressly require assent to new terms, and the buyer did not object to the new term. Therefore, since both parties are likely merchants, the court must decide whether the arbitration term should be excluded as a material alteration of the contract.

(Choice A) Had the seller shipped the nails prior to mailing the acknowledgment, his conduct would have created a contract when the nails were shipped (not received). Here, a contract was created pursuant to the seller's mailed acknowledgment—not his conduct in shipping the nails.

(Choice B) Jurisdictions are split on whether the addition of an arbitration term materially alters a contract, so the court would need to decide this issue to determine whether the arbitration term became part of the contract.

(Choice D) Under the common law mirror image rule, the seller's acknowledgment containing a new term would constitute a counteroffer. However, the UCC follows the battle-of-the-forms rule instead.

Educational objective:

Under the battle-of-the-forms rule, an acceptance is effective even when it contains new terms. If both parties are merchants, the new terms become part of the contract unless (1) the offer expressly required the offeror's assent to new terms, (2) the offeror objected within a reasonable time, or (3) the new terms materially alter the contract.

UCC = Uniform Commercial Code

References

U.C.C. § 2-207 (Am. Law Inst. & Unif. Law Comm'n 2019) (battle-of-the-forms rule).

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For several weeks, a wealthy, unemployed widow and a car salesman negotiated unsuccessfully over the purchase price of a new luxury sedan, which, as the car salesman knew, the widow wanted her son to have as a wedding gift. On April 27, the salesman sent the widow a signed, dated memo saying, "If we can arrive at the same price within the next week, do we have a deal?" The widow wrote "Yes" and her signature at the bottom of this memo and delivered it back to the car salesman on April 29.

On May 1, the widow wrote the car salesman a signed letter offering to buy "one new luxury sedan, with all available equipment, for $180,000 cash on delivery not later than June 1." By coincidence, the salesman wrote the widow a signed letter on May 1 offering to sell her "one new luxury sedan, with all available equipment, for $180,000 cash on delivery not later than June 1." These letters crossed in the mail and were respectively received and read by the widow and the salesman on May 2.

If the widow subsequently asserts and the car company denies that the parties had a binding contract on May 3, which of the following most persuasively supports the widow's position?

A. A sale-of-goods contract does not require that an acceptance be a mirror image of the offer.

B. A sale-of-goods contract may be made in any manner sufficient to show agreement, even though the moment of its making is undetermined.

C. Since the car company was a merchant in the transaction and the widow was not, the car company is estopped to deny that the parties' correspondence created a binding contract.

D. With respect both to the making of an agreement and the requirement of consideration, identical cross-offers are functionally the same as an offer followed by a responsive acceptance.

Explanation:

Common law v. UCC

	Common law	**UCC**
Promise to hold offer open	Must be supported by consideration (ie, option contract)	No consideration required when merchant gives written & signed assurance (ie, firm offer)
Contract formation	Must have offer & acceptance with knowledge of that offer	Any manner sufficient to show agreement
Acceptance	Must agree to exact terms of offer (ie, mirror-image rule)	Effective even with new/contradictory terms
Required terms	Description of property/service Quantity Price Time for performance	Description of goods Quantity
Bilateral modification	Must be supported by new consideration	New consideration not required if made in good faith
Unilateral discharge	Death Destruction of subject matter	Impracticability
Suing for breach	Must be in privity (ie, party to contract) or intended beneficiary	No privity/beneficiary requirement

UCC = Uniform Commercial Code.

At common law, contract formation requires (1) an offer with definite terms and (2) an acceptance with knowledge of that offer. But these formal requirements have been relaxed by the **Uniform Commercial Code** (UCC), which governs contracts for the sale of goods (eg, luxury sedans). Under the UCC, **contract formation** can occur through **any manner sufficient to show** the parties' **agreement**—even if the parties negotiate in an unusual way that makes the moment of acceptance uncertain.

Here, the widow and the car salesman agreed in writing that they would have a deal if they settled on a price for the luxury sedan within one week. Less than a week later, both parties sent identical offers that crossed in the mail, each proposing a price of $180,000. Neither party knew of the other offer when they sent their own offer (no acceptance under common law). But these cross-offers are sufficient to show that the parties arrived at the same price

(agreement), which supports the widow's assertion that there was a binding contract under the UCC.

(Choice A) The UCC does not require that an acceptance be a mirror image of the offer. But this fact is irrelevant here since the two offers *did* mirror each other.

(Choice C) There is no rule estopping (ie, preventing) a merchant from denying that its correspondence created a binding contract.

(Choice D) An enforceable sale-of-goods contract requires consideration—ie, a bargained-for exchange of promises or performance. But the *method* of contract formation has nothing to do with the *substance* of the parties' exchange. And identical cross-offers can operate as an offer and acceptance only if the parties understood them to have the effect of forming a contract.

Educational objective:

Under the UCC, a sale-of-goods contract can be made in any manner sufficient to show the parties' agreement—even if they negotiate in an unusual way that makes the moment of acceptance uncertain.

References

U.C.C. § 2-204 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that a contract can be made in any manner sufficient to show agreement, even though the moment of its making is undetermined).

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An appliance store owner received a flyer advertising a cleaning service that dealt exclusively with commercial properties. The owner sent an email to the cleaning service that described the relevant features of the store and asked for a price quote. The owner received a reply email from the cleaning service offering to clean the store for $200 per week for a period of 52 weeks. The store owner responded, "Fine. I'll pay once a month in advance."

Has a contract been formed?

A. No, because the cleaning service is not a merchant.

B. No, because the owner's response contained an additional term.

C. Yes, because the owner did not expressly condition his acceptance on the cleaning service agreeing to the time-of-payment term.

D. Yes, because the owner is a merchant.

Explanation:

Effect of new terms in reply to offer

Common law (mirror-image)		Offer rejected Reply treated as counteroffer
UCC (battle of the forms)	≥1 party is nonmerchant	Offer accepted unless reply expressly required assent to new/revised terms New/revised terms treated as proposed additions to contract
	All parties are merchants	Offer accepted unless reply expressly required assent to new/revised terms New terms become part of contract unless: offer expressly required assent to new terms new terms materially alter contract *or* offeror objects within reasonable time Revised terms follow split authority & are either: treated as new terms *or* cancelled out under knockout rule

UCC = Uniform Commercial Code.

Contracts for services (eg, cleaning services) are governed by the common law, which follows the **mirror-image rule** for contract formation. Under this aptly named rule, an **acceptance** must mirror the terms of the offer. A purported acceptance that contains **different or additional terms** is treated as a **rejection** of the original offer and as a **counteroffer**.*

Here, the cleaning service offered to clean the store for $200 per week for a period of 52 weeks. Because the store owner's response contained an additional term regarding when payment would be made ("once a month in advance"), his response was *not* an acceptance that created a contract. Instead, it constituted both a rejection of the cleaning service's offer and a counteroffer.

**Mere suggestions and inquires, including requests for clarification and statements of intent, do not amount to rejections or counteroffers under the mirror-image rule.*

(Choices A, C & D) Under the UCC battle-of-the-forms rule for contract formation, an acceptance that contains different or additional terms is effective unless it is expressly conditioned on the offeror's assent to those terms. Whether those terms are treated as part of the contract depends on whether the parties are merchants. But this contract is

governed by the common law—not the UCC, which governs only contracts for the sale of goods.

Educational objective:

Under the common law mirror-image rule for contract formation, an acceptance must mirror the terms of the offer. A purported acceptance that contains different or additional terms acts as both a rejection and a counteroffer.

***UCC** = Uniform Commercial Code*

References

17A Am. Jur. 2d Contracts § 80 (2020) (mirror-image rule).

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A national distributor of windows selected a retailer to sell its windows in a specified geographic area. The parties negotiated a written distribution agreement, which stated that any order for windows placed by the retailer would be binding on the distributor "only when expressly accepted by the distributor."

For the next two years, the retailer forwarded orders to the distributor, and the distributor always filled the orders. In the third year, the distributor accused the retailer of overcharging customers to install the distributor's windows. The retailer responded that the distributor had no control over the retailer's installation prices. When the distributor received the retailer's next order for windows, it refused to fill the order.

If the retailer sues the distributor for breach of contract, will it be likely to prevail?

A. No, because the retailer's forwarding of orders to the distributor did not give rise to an obligation on the distributor's part to fill the orders.

B. No, because the retailer's practice of overcharging customers excused the distributor's refusal to fill the order.

C. Yes, because the distributor's claim regarding overcharging customers is independent of its obligation to fill the retailer's order.

D. Yes, because the parties' course of dealing binds the distributor to fill the retailer's order.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

At common law and under the UCC, **contractual obligations** must be supported by **valuable consideration**—i.e., a bargained-for exchange of promises or performance. This requirement is not met if either party makes an **illusory promise**—i.e., one that essentially **pledges nothing** because it is vague or because the **promising party can choose** whether to honor it. In that case, there is no contract—and so there can be no breach.

Here, the distribution agreement provided that orders placed by the retailer would be binding on the distributor only when expressly accepted by the distributor. Since the distributor can *choose* whether or not to accept the orders, its promise was illusory. Due to this lack of consideration, the distribution agreement did not create an enforceable contract. This means that when the distributor received the retailer's final order, the distributor was not obligated to fill it. Therefore, the retailer is unlikely to prevail in a breach of contract suit.

(Choices B & C) If there had been an enforceable contract limiting the retailer's installation charges, the retailer's alleged practice of overcharging would be a breach that entitled the distributor to refuse additional orders. But since there was no such contract, the retailer's charging practices are irrelevant.

(Choice D) Under the UCC, the parties' course of dealing (e.g., filling orders for two years) is relevant to interpreting their agreement. But the express terms of the agreement prevail if they are inconsistent with the parties' course of dealing. Therefore, the parties' course of dealing here does not bind the distributor to fill the retailer's order.

Educational objective:

An illusory promise—i.e., one that essentially pledges nothing because it is vague or because the promisor can choose whether to honor it—cannot supply the necessary consideration for contract formation.

UCC = Uniform Commercial Code

References

Restatement (Second) of Contracts § 2 cmt. e (Am. Law Inst. 1981) (explaining that there is no promise when performance is entirely optional).

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A toy collector purchased 10 antique toys over several years and had had them restored by an expert in toy restoration. On June 1, the collector sent an 11th antique toy to the expert with a signed note that read: "Here is another toy for you to restore. As with all prior jobs, I will pay $500 for the work, but no more." On June 4, after receipt of the collector's June 1 note and the toy, the expert began restoring the toy. On June 6, the collector unexpectedly died. On June 7, unaware of the collector's death, the expert sent the collector a note that stated that the restoration work had begun on June 4. The following day, the expert learned of the collector's death.

Does a contract exist that binds the expert and the collector's estate?

A. No, because the collector died before the expert sent the June 7 note.

B. No, because the offer lapsed when the collector died.

C. Yes, because the expert sent the June 7 note before learning of the collector's death.

D. Yes, because the offer was accepted before the collector's death.

Explanation:

Bilateral v. Unilateral contracts

	Offer	Effect of beginning performance
Unilateral	Invites acceptance by performance of act	Creates option contract that prevents offeror from revoking offer Offeree is *not* bound to complete performance
Bilateral	Invites acceptance by return promise	Serves as acceptance of offer Offeree is bound to complete performance

Contract formation requires mutual assent (ie, offer and acceptance). An **offer** that invites acceptance by return promise—or an offer that does not specify a manner of acceptance—can be **accepted** by either (1) promising to perform the requested act or (2) **performing the requested act**. Acceptance by performance is **effective** as soon as the offeree **begins to perform**.* However, the offeror is not obligated to perform until receiving notice of the acceptance. And if the offeror dies prior to acceptance, the offer will terminate by law.

Here, the toy collector offered to pay the restoration expert $500 in exchange for the restoration of an antique toy. The expert accepted that offer by beginning to restore the toy on June 4—before the collector's death on June 6. Therefore, a contract exists that binds the expert and the collector's estate.

*Unlike in a bilateral contract, in a unilateral contract, only the offeree's complete performance constitutes acceptance.

(Choices A, B & C) The offer would have terminated by law if the collector had died before acceptance. But the expert began to perform (acceptance) before the collector's death. Therefore, a binding contract existed regardless of whether the collector died before the expert sent the note or the expert sent the note before learning of the collector's death.

Educational objective:

Unless an offer specifies a manner of performance, it can be accepted by (1) promising to perform the requested act or (2) performing the requested act. Acceptance by performance is effective as soon as the offeree begins to perform, but the offeror is not obligated to perform until receiving notice of the acceptance.

References

Restatement (Second) of Contracts § 32 (Am. Law Inst. 1981) (explaining that an offer generally invites acceptance by either performing or promising to perform).

Restatement (Second) of Contracts § 62 (Am. Law Inst. 1981) (explaining that the beginning of performance is an acceptance that obligates the offeree to complete the performance).

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A developer, needing a water well on one of his projects, met several times about the matter with a well driller. Subsequently, the driller sent the developer an unsigned typewritten form captioned "WELL DRILLING PROPOSAL" and stating various terms the two had discussed but not agreed upon, including a "proposed price of $5,000." The form concluded, "This proposal will not become a contract until signed by you [the developer] and then returned to and signed by me [the driller]."

The developer signed the form and returned it to the driller, who neglected to sign it but promptly began drilling the well at the proposed site on the developer's project. After drilling for two days, the driller told the developer during one of the developer's daily visits that he would not finish unless the developer would agree to pay twice the price recited in the written proposal. The developer refused, the driller quit, and the developer hired a substitute driller to drill the well to completion for a price of $7,500.

In an action by the developer against the driller for damages, which of the following is the probable decision?

A. The developer wins, because his signing of the driller's form constituted an acceptance of an offer by the driller.

B. The developer wins, because the driller's commencement of performance constituted an acceptance by the driller of an offer by the developer and an implied promise by the driller to complete the well.

C. The driller wins, because he never signed the proposal as required by its terms.

D. The driller wins, because his commencement of performance merely prevented the developer from revoking his offer, made on a form supplied by the driller, and did not obligate the driller to complete the well.

Explanation:

Bilateral v. Unilateral contracts

	Offer	Effect of beginning performance
Unilateral	Invites acceptance by performance of act	Creates option contract that prevents offeror from revoking offer Offeree is *not* bound to complete performance
Bilateral	Invites acceptance by return promise	Serves as acceptance of offer Offeree is bound to complete performance

An **offer** is a communication that **gives the recipient** the **power to conclude a contract by accepting** the offer in an appropriate manner, **without** the need for any **further action by the other party**. Here, the driller's initial proposal was *not* an offer because the developer could not complete the deal by signing the proposal and returning it to the driller, who also needed to sign **(Choice A)**. But when the developer signed the proposal and returned it to the driller, he was making an offer on the terms described in the proposal.

The driller could have accepted by signing the proposal as required by its terms, thereby making a return promise to complete the well. However, a **bilateral offer** that **requires a return promise** to accept **can be accepted** with a return promise or **by starting performance** (eg, beginning the well drilling) **(Choice C)**. Starting performance operates as an **implied promise** to render **complete performance** (eg, complete the well). Therefore, the driller's failure to complete the well was a breach, and the developer will win in his action for damages.

(Choice D) An offer to form a *unilateral* contract arises when one party promises to do something in exchange for an act of the other party—eg, pay a monetary reward in exchange for finding a lost dog (not seen here). Once performance has begun, the offer is irrevocable for a reasonable period of time to allow for complete performance. However, the recipient is not bound to complete performance.

Educational objective:

An offer is a communication that gives the recipient the power to conclude a contract by acceptance without further action by the other party. A bilateral offer that requires a return promise to accept can be accepted either with a return promise *or* by starting performance, which operates as an implied promise to render complete performance.

References

Restatement (Second) of Contracts § 24 (Am. Law Inst. 1981) (offer defined).

Restatement (Second) of Contracts § 62 (Am. Law Inst. 1981) (effect of beginning performance).

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A woman encountered her coworker and the coworker's friend at a local coffee shop. The woman, who knew that the coworker needed a new laptop for his personal use, had planned to offer her extra laptop to the coworker. The woman went to the counter to place her coffee order and, with her back to the table where the coworker and his friend sat, said, "By the way, I know you are looking for a new laptop. I will sell you my laptop for $100." The friend immediately replied, "I accept your offer!"

Has a contract been formed between the friend and the woman?

A. No, because the friend was mistaken as to the terms of the contract.

B. No, because the friend was not the party with whom the woman intended to contract.

C. Yes, because the friend reasonably believed that he had the power to accept the woman's offer.

D. Yes, because the woman's objective intent was to contract with whoever overheard the offer.

Explanation:

The offeror is master of the offer. This means, among other things, that the **power to accept** an offer belongs only to the **person (or class of persons)** with whom the **offeror intended to contract**. In contract law, intent is measured by an *objective* standard, not by the *subjective* intent or belief of a party. Therefore, whether the offeror intended to contract with someone is judged by **outward objective facts**, as they would be interpreted by a **reasonable person**.

Here, the woman knew that her coworker needed a new laptop. Her statement—"I know *you* are looking for a new laptop"—demonstrated her objective intent to contract with the *coworker* **(Choice D)**. Although the friend overheard the woman's offer to sell her laptop, he could not reasonably believe that he had the power to accept it. This is especially true since there is no indication that the two had ever met **(Choice C)**. Therefore, no contract was formed because the friend was not the party with whom the woman intended to contract.

(Choice A) A mistake as to a basic assumption upon which a contract was made renders the contract voidable—not void. If a contract is voidable, then it is considered valid until set aside. But here, *no* contract was ever formed because the offer was not accepted by the intended offeree, so this defense is inapplicable.

Educational objective:

The power of acceptance belongs only to the person(s) with whom the offeror intended to contract. Such intent is judged by outward objective facts, as interpreted by a reasonable person.

References

Restatement (Second) of Contracts § 29 (Am. Law Inst. 1981) (to whom an offer is addressed).

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Offeror's intent to contract

(determined by objective standard)



A man, aged 60, who had no plans for early retirement, had worked for a manufacturing company for 20 years as a managerial employee-at-will when he had a conversation with the company's president about the man's post-retirement goal of extensive travel around the United States. A month later, the company president handed the man a written, signed resolution of the company's board of directors stating that when and if the man should decide to retire, at his option, the company, in recognition of his past service, would pay him a $2,000-per-month lifetime pension. (The company had no regularized retirement plan for at-will employees.) Shortly thereafter, the man retired and immediately bought a $30,000 recreational vehicle for his planned travels. After receiving the promised $2,000 monthly pension from the company for six months, the man, now unemployable elsewhere, received a letter from the company advising him that the pension would cease immediately because of recessionary budget constraints affecting in varying degrees all managerial salaries and retirement pensions.

In a suit against the company for damages, will the man win or lose?

A. Lose, because he had been an employee-at-will throughout his active service with the company.

B. Lose, because the board's promise to him of a lifetime pension was an unenforceable gift promise.

C. Win, because he retired from the company as bargained-for consideration for the board's promise to him of a lifetime pension.

D. Win, because he timed his decision to retire and to buy the recreational vehicle in reasonable reliance on the board's promise to him of a lifetime pension.

Explanation:

Promissory estoppel

Allows enforcement of promise when no valid contract exists if:

promisor reasonably expected to induce reliance on promise
enforcing party reasonably relied on promise
reliance caused enforcing party to suffer substantial detriment *and*
injustice can be avoided only by enforcing promise

Even when there is **no valid contract** (as seen here), a party may recover damages under an equitable theory of relief. For example, the doctrine of **promissory estoppel** allows a party to recover damages stemming from another's promise if:

the promisor reasonably expected to induce reliance on the promise
the enforcing party **reasonably relied** on the promise
reliance on the promise caused the enforcing party to suffer **substantial detriment** *and*
injustice can only be avoided by enforcing the promise.

Damages for promissory estoppel may be limited as justice requires. Often, this means **reliance damages**—ie, damages based on out-of-pocket expenses—are awarded. However, in some instances, courts have awarded **expectation damages** to put the enforcing party in the same position as if the promise had been performed.

Here, there was no contract between the man and the company. But the man can recover under the equitable theory of promissory estoppel. That is because—in addition to the other requirements—the man reasonably relied upon the promised pension and suffered substantial detriment (unemployment). Therefore, the man is either entitled to reliance damages of $30,000 (for the recreational vehicle) or possibly expectation damages of $2,000 per month in lifetime pension.

(Choice A) Employment is at will if (1) there is no employment contract or (2) the employment contract does not specify a term of employment. But the man's status as an at-will employee does not affect his recovery here.

(Choice B) A gift is a gratuitous transfer of property or services without a return promise. A promise of a gift is unenforceable under contract law (no consideration). But a party may still recover under an equitable theory of relief (eg, promissory estoppel).

(Choice C) The lifetime pension was not promised in exchange for the man's retirement but in recognition of his past service to the company. Therefore, an argument that the man's retirement was consideration for the pension is misplaced.

Educational objective:

Even when there is no valid contract, a party may recover damages under an equitable theory of relief such as promissory estoppel.

References

Restatement (Second) of Contracts § 90 (Am. Law Inst. 1981) (promissory estoppel).

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An amateur computer whiz agreed in writing to build and deliver 50 new gaming laptops a year to a computer distributor over a five-year period. The writing provided, in a clause separately signed by the computer whiz, that "[n]o modification shall be binding on the distributor unless made in writing and signed by the distributor's authorized representative."

Because of family problems, the computer whiz delivered and the distributor accepted only 30 gaming laptops a year for the first three years; but the laptops were popular with gamers and the distributor made no objection. Accordingly, the computer whiz spent substantial sums on new laptop parts that would aid in speeding up future builds. In the first quarter of the fourth year, however, the distributor terminated the contract on the ground that the computer whiz had breached the annual-quantity term.

In the computer whiz's suit against the distributor for damages, the jury found that the contract had been modified by conduct, and the trial court awarded the computer whiz substantial compensatory damages.

Is this result likely to be reversed on appeal?

A. No, because the contract's no-oral-modification clause was unconscionable as against an amateur computer builder.

B. No, because the distributor by its conduct waived the annual-quantity term and the computer whiz materially changed his position in reasonable reliance on that waiver.

C. Yes, because the contract's no-oral-modification clause was a material part of the agreed exchange and could not be avoided without new consideration.

D. Yes, because the contract's no-oral-modification clause was not expressly waived by the distributor.

Explanation:

Unwritten modifications of contracts

Contract silent on modification (common law & UCC)		Unwritten modification valid unless statute of frauds applies
Contract clause requires written modification	**Common law**	Clause unenforceable Unwritten modification valid unless statute of frauds applies
	UCC	Clause *enforceable* (ie, unwritten modification invalid) if: contract written & signed clause separately signed by nonmerchant if sued by merchant Clause *waived* (ie, unwritten modification valid) if: parties intended unwritten modification one party materially changed position in reliance

UCC = Uniform Commercial Code.

Under the **UCC**, contract clauses that require modifications to be in writing (ie, **no-oral-modification clauses**) are generally enforceable against non-merchants who separately sign the clause. But these clauses are **waived if**:

the parties **attempt to modify** the contract orally or **by their conduct** (eg, tendering and accepting an alternate performance) *and*

one party **materially changes** his/her **position in reliance** on that modification.

In that case, the attempted **modification is valid**. And if either party breaches or terminates the modified contract, the other party is entitled to compensatory damages.

Here, the computer whiz agreed to deliver 50 gaming laptops a year over a five-year period but delivered only 30 laptops a year for the first three years. By tendering and accepting this alternate performance, the parties attempted to waive the annual-quantity term. And since the computer whiz relied on that modification and materially changed his position by spending substantial sums on new laptop parts, the no-oral-modification clause was waived. Therefore, the computer whiz's compensatory damages will not be reversed on appeal.

(Choice A) A court can refuse to enforce a contract clause that is unconscionable—eg, unfairly influenced by the parties' unequal bargaining power. But here, although the computer whiz was an amateur, there is no indication that the no-oral-modification clause was unfairly influenced by the distributor's superior bargaining power.

(Choice C) A sale-of-goods contract *can* be modified without new consideration—even if the modification avoids a material part of the agreed exchange—so long as the modification is sought in good faith.

(Choice D) The parties to a sale-of-goods contract can demonstrate their intent to waive a no-oral-modification clause expressly (eg, orally) OR by their conduct (as seen here).

Educational objective:

Under the UCC, no-oral-modification clauses are generally enforceable against non-merchants who separately sign the clause. But these clauses are waived if (1) the parties attempt to modify the contract orally OR by their conduct and (2) one party materially changes his/her position in reliance on that modification.

UCC = Uniform Commercial Code

References

U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that a contract clause requiring written modification is generally enforceable by a merchant against a non-merchant who separately signs the clause).

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An attorney received a document at his office with an attached note from a client for whom he had just finished drafting a will. The note read as follows: "Do you think this contract of sale for my boat complies with state law? I would have talked to you in person about this, but I'm on my way out of town. I will be back next week."

The attorney reviewed the document and wrote a one-page letter to the client stating that the document complied with state law. The lawyer included a bill for $500, which was a reasonable fee.

The client refused to pay the attorney anything, arguing that she had never agreed to retain the attorney and that she had received nothing of value from the attorney because the sales transaction was never concluded.

Assume that there is no applicable statute or rule governing the formation of attorney-client relationships in the jurisdiction.

If the attorney sues the client for the $500, will the attorney be likely to prevail?

A. No, because even if the parties had an agreement, that agreement was discharged under the doctrine of frustration of purpose.

B. No, because the attorney and the client never agreed on the essential terms of a contract.

C. Yes, because the attorney took action on the client's note to his detriment.

D. Yes, because the client's note and the attorney's performance created an implied-in-fact contract.

Explanation:

To form a contract (ie, a legally enforceable agreement), there must be **mutual assent** (also called a meeting of the minds). This requires both:

offer – a communication that creates an objectively reasonable expectation in the offeree that the offeror is willing to enter into a binding contract *and*

acceptance – an objective manifestation of the offeree's assent to the terms of the offer that is made by the offeree in any reasonable manner, unless the offer requires a particular method of acceptance.

Mutual assent can be manifested by written or spoken **words** (creating an **express contract**) OR by **conduct** (creating an **implied-in-fact contract**).

Here, the client's note asked the attorney whether the contract for the sale of her boat complied with state law. The parties already had an attorney-client relationship, so the attorney reasonably understood that the client was offering to hire him to review the contract and provide her with an opinion. The attorney's conduct in reviewing the contract and writing back to the client was a reasonable method of acceptance—especially since the client was headed out of town. Therefore, an implied-in-fact contract was created, and the attorney is likely to prevail.

(Choice A) The doctrine of frustration of purpose only applies when the purpose of a contract becomes worthless due to an unexpected event. But the sales transaction's failure to conclude is *not* an unexpected event that would render the attorney's advice on the matter worthless.

(Choice B) Even if an essential term is missing, a contract may be formed if it appears that the parties intended to form a contract and the court can supply the term with reasonable certainty. Here, the facts stipulate that $500 was a reasonable fee.

(Choice C) The doctrine of promissory estoppel allows a party to enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. A contract was formed here, so the attorney's reliance is irrelevant.

Educational objective:

The mutual assent required to form a binding contract can be manifested by written or spoken words (express) OR by conduct (implied-in-fact).

References

Restatement (Second) of Contracts §§ 4, 19 (Am. Law Inst. 1981) (conduct as manifestation of assent).

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Examples of implied-in-fact contracts

A chef purchased the front portion of the land needed for a restaurant he desired to build and operate, but the back portion was the subject of a will dispute between a brother and sister. The sister's attorney advised her that her claim was doubtful. The chef, knowing only that the unresolved dispute existed, agreed in a signed writing to pay the sister $6,000, payable $1,000 annually, in exchange for a quitclaim deed (a deed containing no warranties). The sister promptly executed such a deed to the chef and received his first annual payment. Shortly thereafter, the probate court handed down a decision in the brother's favor, ruling that the sister had no interest in the land. This decision has become final. The chef subsequently defaulted when his second annual installment came due.

In an action against the chef for breach of contract, will the sister probably win or lose?

A. Lose, because she suffered no legal detriment in executing the quitclaim deed.

B. Lose, because she was aware at the time of the agreement with the chef that her claim to the property quitclaimed was doubtful.

C. Win, because the chef bargained for and received in exchange a quitclaim deed from the sister.

D. Win, because the chef, by paying the first $1,000 installment, is estopped to deny that his agreement with the sister is an enforceable contract.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

A **valid contract** is generally formed when a mutual agreement is supported by **valuable consideration**—ie, a bargained-for exchange of promises or performance. A **promise to surrender** a **claim or defense** constitutes consideration so long as:

the claim or defense is **valid or subject to** a **good faith dispute** *or*
the **surrendering party honestly believes** that the claim or defense **may be valid**.

Issuing a **quitclaim deed**—ie, a deed that conveys whatever interest the grantor has in the property, if any, without any warranties—amounts to surrendering the grantor's claims against the property. A quitclaim deed can therefore serve as consideration if the foregoing requirements are met.

Here, the chef promised to pay the sister $6,000, payable in $1,000 installments, in exchange for a quitclaim deed. Although the sister's claim to the property quitclaimed was doubtful, it was subject to an unresolved will dispute (good faith dispute) **(Choice B)**. As a result, the sister's issuance of the quitclaim deed in exchange for the chef's promise of payment constituted bargained-for consideration. A valid contract was therefore formed, and the sister will probably win.

(Choice A) Surrendering a claim or defense that may be valid (eg, the sister's issuing the quitclaim deed to the chef) *does* constitute a legal detriment.

(Choice D) The doctrine of promissory estoppel lets a party enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. A valid contract arose between the parties here, so estoppel does not apply.

Educational objective:

A promise to surrender a claim or defense (eg, by issuing a quitclaim deed) can serve as consideration so long as (1) the claim or defense is valid or subject to a good faith dispute or (2) the surrendering party honestly believes it may be valid.

References

Restatement (Second) of Contracts § 74 (Am. Law Inst. 1981) (settlement of claims as consideration).

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A U.S. West-Coast manufacturer gave a hardware retailer who was relocating to the East Coast the following signed "letter of introduction" to an East-Coast hardware wholesaler:

"This will introduce you to my good friend and former customer, who is a retailer and will be seeking to arrange the purchase of hardware inventory from you on credit. If you will let him have the goods, I will make good any loss up to $25,000 in the event of his default."

The retailer presented the letter to a wholesaler, who then sold and delivered $20,000 worth of hardware to the retailer on credit. The wholesaler promptly notified the manufacturer of this sale.

Which of the following is NOT an accurate statement concerning the arrangement between the manufacturer and the wholesaler?

A. Although the manufacturer received no consideration from the retailer, the manufacturer's promise is enforceable by the wholesaler.

B. By extending the credit to the retailer, the wholesaler effectively accepted the manufacturer's offer for a unilateral contract.

C. It was important to enforceability of the manufacturer's promise to the wholesaler that it be embodied in a signed writing.

D. The manufacturer's promise is enforceable by the wholesaler whether or not the wholesaler gave the manufacturer seasonable notice of the extension of credit to the retailer.

Explanation:

A unilateral contract arises when one party (offeror) promises to do something in return for performance of a specific act and the other party (offeree) accepts by *completing* the requested performance.* **Notice is not required** to make the acceptance effective unless the offer so requires. But if the offeree has **reason to know** that the offeror would **not learn of** the **completed performance** within a reasonable time, then the offeror's **duty is discharged unless**:

the offeree exercises **reasonable diligence to notify** the offeror

the offeror learns of the performance within a reasonable time *or*

the offer indicates that notification of acceptance is not required.

Here, the manufacturer promised to guarantee repayment of up to $25,000 if the wholesaler would let the retailer purchase hardware on credit (offer for unilateral contract). The wholesaler then sold and delivered $20,000 worth of hardware to the retailer on credit (acceptance) **(Choice B)**. But the manufacturer would have had no way of learning about that transaction on its own. Therefore, the fact that the wholesaler *notified* the manufacturer of the wholesaler's extension of credit is the reason why the wholesaler can enforce the manufacturer's promise.

*In contrast, an offer to enter into a bilateral contract can be accepted by making a return promise or by starting the requested performance.

(Choice A) Although the manufacturer received no consideration from the *retailer*, its agreement with the *wholesaler* was supported by consideration. That is because the manufacturer's promise was induced by the wholesaler's extension of credit to the retailer (and vice versa). Therefore, the promise is not unenforceable for lack of consideration.

(Choice C) The manufacturer's promise created a suretyship—ie, a contract where one party promises to assume responsibility for the duty of a third party to the contract. Therefore, it fell within the statute of frauds and needed to be in writing and signed by the party to be charged (the manufacturer).

Educational objective:

Notice of acceptance is not required to form a unilateral contract unless the offer requires notice OR the offeree has reason to know that the offeror would not learn of the completed performance within a reasonable time.

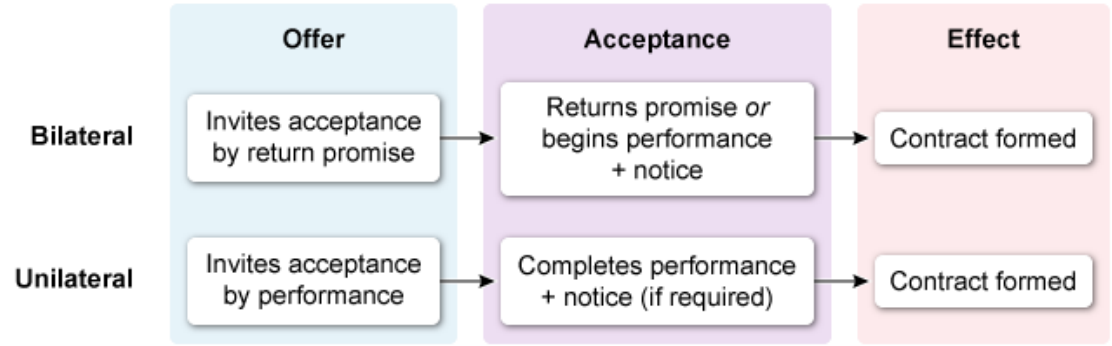
References

Restatement (Second) of Contracts § 54 (Am. Law Inst. 1981) (acceptance by performance and necessity of notification to offeror).

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Bilateral v. Unilateral contracts



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The owner of a sports memorabilia store mailed a letter to a local collector offering to purchase a specific signed baseball from the collector for $500. The store owner placed no conditions on acceptance of the offer. The baseball was signed by the collector's favorite player, so she immediately mailed the store owner a letter rejecting his offer. An hour after sending the rejection letter, the collector realized she could use the money and sent the store owner an email accepting his offer.

As between the store owner and the collector, which of the following is an accurate statement?

A. They do not have a contract, because the acceptance was sent by email and not by mail like the offer letter.
B. They do not have a contract, because the collector's rejection letter was effective at the time it was sent.
C. They have a contract, because the collector's subsequent acceptance effectively revoked her rejection of the offer.
D. They have a contract, because the store owner received the emailed acceptance before he received the rejection letter.

Explanation:

Contract formation requires both an offer and an acceptance (ie, mutual assent). Under the **mailbox rule**, an acceptance sent by mail or similar means is generally effective upon *dispatch*, while a rejection is effective upon *receipt* **(Choice B)**. However, the mailbox rule **does not apply** if the **offeree first sends a rejection** and **then sends an acceptance**.* In that case, the **first communication *received*** by the offeror **controls**, regardless of whether the offeror actually reads that communication.

Here, the collector mailed the store owner a letter *rejecting* his offer to purchase the signed baseball. An hour later, the collector sent the store owner an email *accepting* his offer. Because the rejection letter was sent first, the mailbox rule does not apply and whichever communication the store owner received first controls. The store owner necessarily received the emailed acceptance first—it was sent just one hour after the rejection letter was mailed—so the acceptance controls. Therefore, the store owner and the collector have a contract.

*Conversely, if the offeree first sends an acceptance and then sends a rejection, the mailbox rule applies and a contract is formed upon dispatch of the acceptance. However, the offeree may be estopped from enforcing the contract if the offeror received the rejection first and detrimentally relied on it (see image above).

(Choice A) Any reasonable method of acceptance is allowed unless the offeror, as the master of the offer, specifically requires acceptance by a particular method (not seen here). Therefore, the store owner and the collector have a contract even though the collector sent her acceptance by email.

(Choice C) The collector's rejection was ineffective because the store owner received the acceptance first. As a result, there was no rejection for the collector to revoke. Additionally, had the rejection been received first, the subsequent acceptance would have been treated as an offer to enter a contract on the terms of the acceptance—not a revocation of the earlier rejection.

Educational objective:

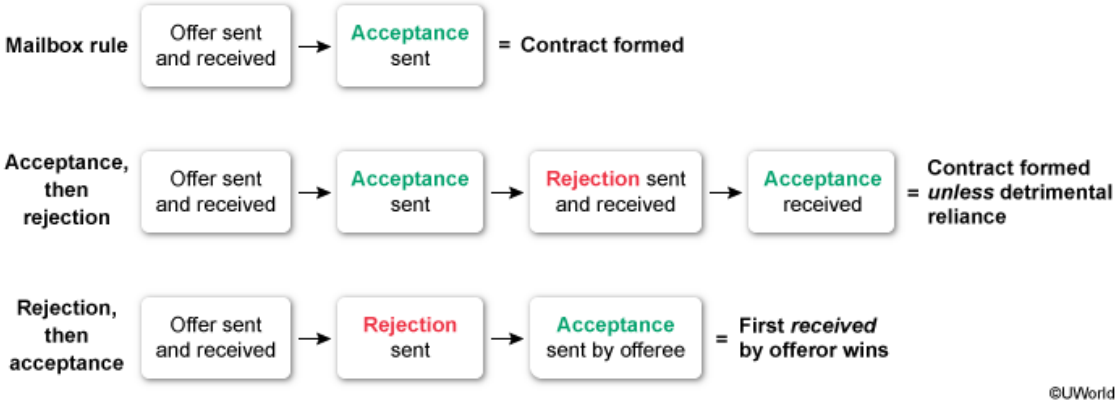
The mailbox rule does not apply if the offeree first sends a rejection (generally effective upon receipt) and then an acceptance (generally effective upon dispatch). In that case, whichever communication is *received* first controls.

References

17A Am. Jur. 2d Contracts § 98 (2020) (acceptance under the mailbox rule).

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Operation of the Mailbox Rule



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In January, a garden center contacted a farmer who owned a greenhouse about growing seedlings for sale in the spring. The garden center promised in writing to buy, at a fixed price, all of the seedlings that the farmer raised in his greenhouse. As a consequence, a few days later the farmer purchased containers and seeds and hired a worker to prepare the containers, plant the seeds, and tend to the seedlings. Later that week, he emailed the garden center to tell it he had taken these actions. Just prior to the delivery of any seedlings, the garden center notified the farmer that it would not purchase any of the seedlings. The farmer sold the seedlings at a price far below the price set by the garden center.

The farmer filed a breach of contract action to recover damages.

Will the farmer likely succeed?

A. No, because the garden center did not receive consideration for its promise to buy the farmer's output.
B. No, because the garden center revoked its offer before it was accepted by the farmer.
C. Yes, because the doctrine of promissory estoppel made the offer irrevocable.
D. Yes, because the farmer accepted the garden center's offer by beginning performance.

Explanation:

Contract formation requires mutual assent, which occurs upon **acceptance of an offer** to enter a contract. Unless an offer specifies that it can only be accepted by performance (ie, unilateral contract), it can be accepted by promising or beginning performance. If acceptance is made by **beginning performance**, the offeree **must notify** the offeror **within a reasonable time** that performance has begun. Failure to do so will result in a lapse of the offer.

Here, the garden center promised to buy all the seedlings raised by the farmer. Since the farmer began to raise the seedlings—eg, by purchasing containers and seeds and by hiring a worker to tend the seedlings—the farmer accepted the garden center's offer by beginning performance. And since the farmer notified the garden center of this acceptance within a reasonable time ("later that week"), the garden center could not subsequently revoke its offer and refuse to buy the seedlings **(Choice B)**. Therefore, the farmer will likely succeed.

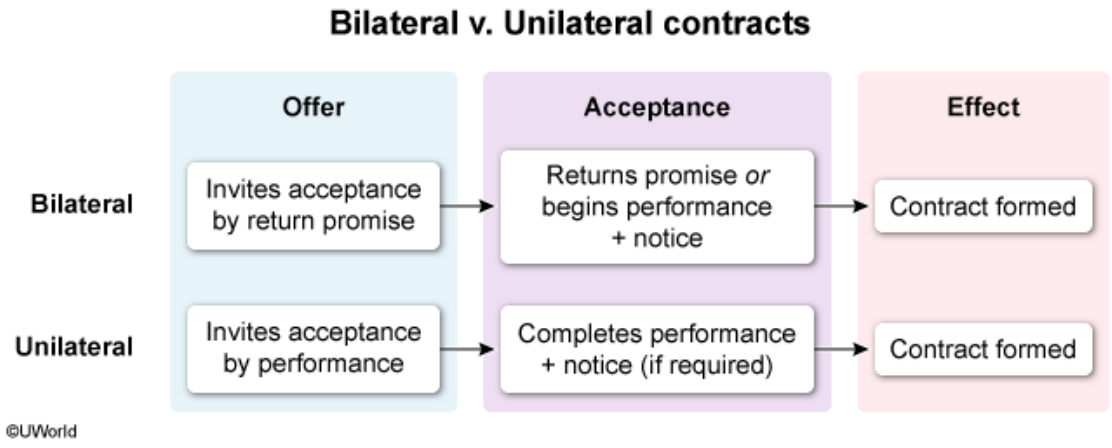
(Choice A) The garden center *did* receive consideration because its promise induced the farmer's reciprocal commitment to produce and sell the seedlings.

(Choice C) Under the doctrine of promissory estoppel, an offer may become irrevocable if the offeree reasonably and detrimentally relies on it *before* acceptance. But this doctrine does not apply here since acceptance occurred, and a contract was formed, when the farmer began to raise the seedlings and notified the garden center.

Educational objective:

Unless an offer specifies that it can only be accepted by performance, it can be accepted by promising or beginning performance. An offeree who accepts by beginning performance must notify the offeror within a reasonable time that performance has begun.

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A real estate investor found a house for sale that he was interested in buying. The investor spoke with the owner of the house and sent her a written offer to purchase the house for $200,000. The offer stipulated that it would remain open for one month.

One week later, the investor suffered a stroke and was hospitalized. The stroke caused severe brain damage and permanent mental disability. The owner, having no knowledge of the investor's condition, decided to accept his offer. She signed the written offer and mailed it to the investor's address one day before the offer was set to expire. The investor received the signed offer two days later.

Is there an enforceable contract that binds the owner and the investor?

A. No, because the investor received the acceptance after the stipulated one-month period.

B. No, because the investor's offer terminated when he became permanently mentally incapacitated.

C. Yes, because the owner had no knowledge of the investor's condition when she accepted his offer.

D. Yes, because the owner mailed the acceptance within the stipulated one-month period.

Explanation:

An **offer** to form a contract generally remains open for the time stated in the offer or, if no time is stated, for a reasonable time. However, an offer will **terminate prematurely if** the **offeror dies** OR **becomes permanently mentally incapacitated*** before the offer is accepted—with one exception. An offer that is an option **will *not* terminate** under such circumstances because consideration was paid to keep the offer open for a specified period of time.

Here, the investor offered to buy the owner's house for $200,000. Although the offer stipulated that it would remain open for one month, it was not an option because the owner had not paid any consideration to keep the offer open. The investor then suffered a stroke that caused severe brain damage and *permanent* mental disability. The investor's permanent incapacity caused his offer to terminate prematurely, so the owner's subsequent attempt to accept it was ineffective. As a result, there is no contract that binds the parties.

*Permanent mental incapacity is presumed if there has been a formal adjudication that a party lacks the capacity to enter into a contract with another.

(Choices A & D) Under the mailbox rule, an acceptance that is mailed within the allotted response time is effective when it is sent—not when it is received. Because the owner's acceptance was mailed within the one-month period stipulated in the offer, it would have been effective had the investor's offer still been open.** But since the offer terminated when the investor became permanently mentally incapacitated, there is no contract.

**Had the offer specified that acceptance must be received within one month, the mailbox rule would not apply and the owner's acceptance would have been ineffective.

(Choice C) An offer terminates automatically upon death or permanent mental incapacity of the offeror (investor), regardless of the offeree's (owner's) knowledge thereof.

Educational objective:

An offer will terminate if the offeror dies or becomes permanently mentally incapacitated prior to acceptance. However, an exception exists for an offer that is an option because consideration was paid to keep the offer open.

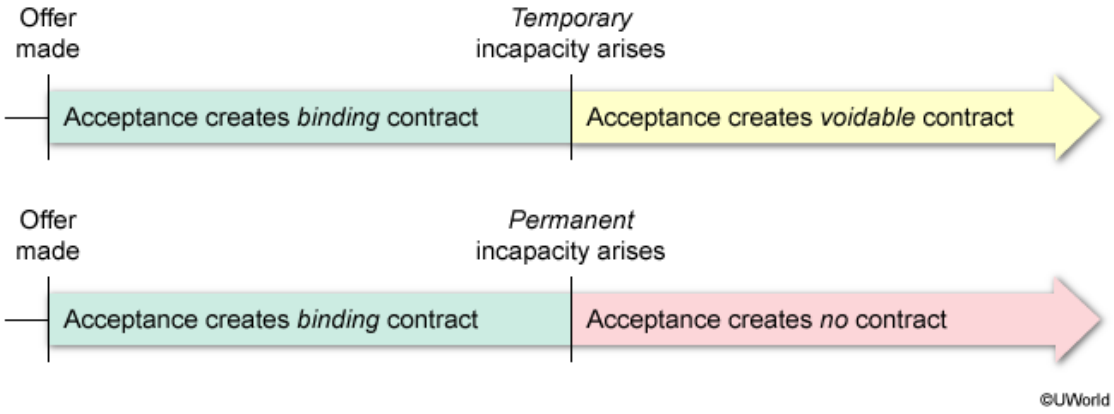
References

Restatement (Second) of Contracts § 48 cmt. b (Am. Law Inst. 1981) (offer terminates when offeror is permanently deprived of capacity to contract).

Restatement (Second) of Contracts § 12 (Am. Law Inst. 1981) (capacity to contract).

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Effect of mental incapacity on contract formation



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A door-to-door saleswoman for an extermination company introduced herself to a homeowner and stated, "We are offering a one-time special. Our extermination truck is coming around this afternoon, and our technician will spray your entire yard for mosquitoes for just $100." The homeowner replied, "I will give you $75 for that service, but no more." The saleswoman said, "Unfortunately, I cannot accept $75, but the offer still stands at $100. I will be in the neighborhood for the next hour if you change your mind." The saleswoman left.

After thinking it over, the homeowner decided that $100 was a good deal, so he found the saleswoman as she was returning to her car and said to her, "I changed my mind. I accept your offer for $100." The saleswoman replied, "I apologize, but I was just informed that the truck ran out of mosquito repellent for the day and the offer is no longer available."

The extermination company never again sent its truck to the homeowner's neighborhood.

If the homeowner sues the extermination company in small claims court for breach of contract, will he be likely to prevail?

A. No, because the extermination company's duty to perform was discharged due to impracticability.

B. No, because the homeowner's counteroffer of $75 was also a rejection of the saleswoman's offer.

C. Yes, because the extermination company was a merchant and the firm-offer rule applies.

D. Yes, because the saleswoman offered the service for $100 and the homeowner accepted the offer.

Explanation:

To form a contract, an offer must be accepted before it terminates. An offer will terminate if, for example, the offeree rejects it by clearly conveying that he/she does not intend to accept the offer OR by making a counteroffer. Once the **offer** has **terminated**, it **cannot be accepted**. But the offer can be **revived** if the offeror conveys that it is still open. This creates a **renewed opportunity for acceptance** by the offeree. If the offeree then accepts, the offer can no longer be rescinded and a binding contract is formed.

Here, the saleswoman offered to spray the homeowner's yard for $100. This offer terminated when the homeowner rejected it by counteroffering for $75 **(Choice B)**. However, the saleswoman then revived her original offer ("The offer still stands at $100"), and the homeowner accepted it shortly thereafter. The saleswoman was unable to rescind the offer once the man accepted it, and a binding contract was formed. The extermination company then breached the contract by failing to spray the homeowner's yard. Therefore, the homeowner is likely to prevail.*

*However, the homeowner can only recover damages if the market value of the agreed-upon service (spraying his yard for mosquitoes) exceeds the contract price ($100).

(Choice A) Contractual obligations can be discharged if they become impossible or impracticable to perform due to unforeseen circumstances. But here, even though the truck ran out of mosquito repellent that day, the truck could have sprayed the homeowner's yard on another day.

(Choice C) Under the UCC's firm-offer rule, a merchant's offer to buy or sell goods is irrevocable for a stated or reasonable time. But since this rule does not apply to contracts for services (eg, spraying for mosquitoes), the extermination company's merchant status is irrelevant and the firm-offer rule does not apply.

Educational objective:

An offer cannot be accepted after it terminates (eg, is rejected by the offeree). But the offer can be revived if the offeror conveys that it is still open, which creates a renewed opportunity for the offeree to accept.

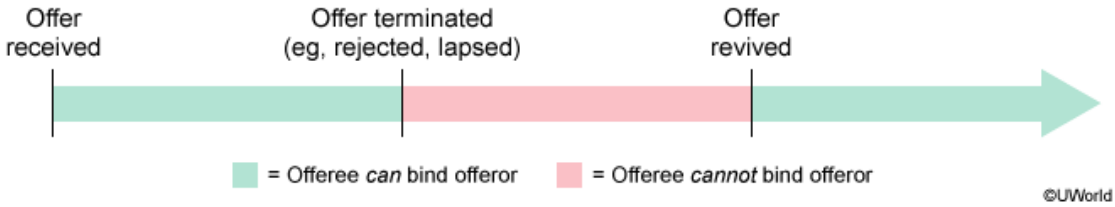
UCC = Uniform Commercial Code.

References

17A Am. Jur. 2d Contracts § 84 (2020) (explaining that a rejected offer has new vitality if the offeror renews the offer).

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Offeree's power of acceptance



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On July 18, a shovel manufacturer received an order for the purchase of 500 snow shovels from a wholesaler. The wholesaler had mailed the purchase order on July 15. The order required shipment of the shovels no earlier than September 15 and no later than October 15. Typed conspicuously across the front of the order form was the following: "Wholesaler reserves the right to cancel this order at any time before September 1." The manufacturer's mailed response, "We accept your order," was received by the wholesaler on July 21.

As of July 22, which of the following is an accurate statement as to whether a contract was formed?

A. A contract was formed, but prior to September 1 it was an option contract terminable only at the will of the wholesaler.

B. A contract was formed, but prior to September 1 it was terminable at the will of either party.

C. No contract was formed, because of the wholesaler's reservation of the right to cancel.

D. No contract was formed, because the wholesaler's order was only a revocable offer.

Explanation:

Consideration problems that prevent contract formation

Gift	No bargained-for exchange
Token consideration	No inducement to bargain if performance entirely devoid of value
Sham consideration	No legal detriment & no inducement to bargain if recited performance not intended to be completed
Preexisting duty / past consideration	No legal detriment if performance already owed or completed
Illusory promise	No legal detriment if apparent promise imposes no obligation

Under the **UCC**, which governs contracts for the sale of goods, **contract formation** requires:

mutual assent – an offer and acceptance *and*

valuable consideration – a bargained-for exchange of promises or performance.

Once a contract is formed, it cannot be terminated unilaterally **(Choice B)**. But if either party's **promise is illusory** because it **imposes no obligation** on that party, then there is **no consideration** and **no contract**.

Here, the wholesaler sent a purchase order to the shovel manufacturer and received a mailed acceptance on July 21. But the purchase order imposed no obligation on the wholesaler because it reserved the right to cancel at *any time* before September 1. As a result, the wholesaler's promise to purchase shovels was illusory. Due to this lack of consideration, no contract was formed as of July 22.

(Choice A) An option is a type of contract in which one party promises to hold a separate offer open for a specified time in return for consideration. Here, however, there was no promise to hold the offer open for any amount of time. And if an option contract had formed, it would not be terminable at the will of either party.

(Choice D) Offers are revocable prior to acceptance (with a few exceptions), so the revocability of an offer does not prevent contract formation. But since the wholesaler reserved the right to cancel (ie, revoke) at *any time* before September 1, its illusory promise to purchase shovels prevented contract formation.

Educational objective:

An illusory promise is one that imposes no obligation on the promising party and therefore fails to provide the consideration needed for contract formation.

UCC = Uniform Commercial Code

References

Restatement (Second) of Contracts § 77 (Am. Law Inst. 1981) (explaining that an apparent promise is not consideration if it makes performance entirely optional).

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On April 1, the owner of a house and a real estate investor signed a writing in which the owner, "in consideration of $100 to be paid to the owner by the investor," offered the investor the right to purchase the house for $100,000 within 30 days. The writing further provided, "This offer will become effective as an option only if and when the $100 consideration is in fact paid."

On April 20, the owner, having received no payment or other communication from the investor, sold and conveyed the house to the investor's business rival for $120,000. On April 21, the owner received a letter from the investor enclosing a cashier's check for $100 payable to the owner and stating, "I am hereby exercising my option to purchase the house and am prepared to close whenever you're ready."

Which of the following, if proved, best supports the investor's suit against the owner for breach of contract?

A. On April 15, the investor decided to purchase the house, and applied for and obtained a commitment from a bank for a $75,000 loan to help finance the purchase.

B. The investor was unaware of the sale to his business rival when the owner received the letter and check from the investor on April 21.

C. The owner and the investor are both professional dealers in real estate.

D. When the April 1 writing was signed, the owner said to the investor, "Don't worry about the $100; the recital of '$100 to be paid' makes this deal binding."

Explanation:

Irrevocable offers

	Type	Description	Consideration	Duration
UCC	**Firm offer**	Merchant gives written & signed assurance that offer will remain open	Not required	Specified or reasonable time
Common law	**Option contract**	Offeror promises to keep offer open in exchange for consideration	Required	
	Partial performance (unilateral contracts)	Offeror invites acceptance only by performance & offeree begins to perform		Reasonable time for full performance
	Promissory estoppel*	Offeror could reasonably foresee reliance on offer & offeree reasonably relies to his/her detriment	Not required	Reasonable time

UCC = Uniform Commercial Code.

*Also referred to as "detrimental reliance."

An **option** is a contract in which the offeree gives consideration (eg, money) in exchange for the offeror's promise to keep an outstanding **offer open** for a **specified period of time**. An offer to form an option is **revocable prior to acceptance** of the option. Revocation occurs when:

the offeror **directly communicates** the revocation to the offeree *or*

the offeree **learns information** from a reliable source that **reasonably indicates** the offer was revoked (eg, house sold to another buyer).

Here, the owner offered the investor the option to purchase the house for $100,000 within 30 days. The investor had to pay $100 to accept this option, which the owner received on April 21.* Although the owner had already sold the house to someone else, he had not told the investor that the offer to form an option was revoked. So if the investor was *unaware* of

the other sale, there was no revocation prior to his acceptance and exercise of the option on April 21, and the owner breached the resulting sales contract.

*Under the mailbox rule, acceptance of an offer is generally effective upon dispatch. However, one exception to the mailbox rule applies to option contracts, where acceptance is effective upon receipt.

(Choice A) An offer may become irrevocable under the doctrine of promissory estoppel (also called detrimental reliance) if the offeree reasonably and detrimentally relied upon that offer. But here, it was unreasonable for the investor to obtain a loan before paying the $100 required to keep the offer open.

(Choice C) Under Article 2 of the Uniform Commercial Code, a firm offer from a merchant is binding. But this only applies to contracts for the sale of goods, not real property.

(Choice D) A binding option requires actual consideration—not sham consideration (eg, a recital of consideration that is not intended to be paid). Here, the investor's statement ("Don't worry about the $100") would show that the consideration was not intended to be paid.

Educational objective:

An offer to form an option contract is revocable before the option is accepted. Revocation occurs when (1) the offeror directly communicates the revocation to the offeree or (2) the offeree obtains reliable information that reasonably indicates the offer was revoked.

References

Restatement (Second) of Contracts §§ 42–43 (Am. Law Inst. 1981) (direct and indirect communication of revocation).

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A car dealership had an inventory of 200 cars near the end of the year. The inventory manager decided to reduce the price on these cars to make room for the next year's models. He purchased an advertisement in a local newspaper that stated: "Sale! Our entire inventory of 200 cars will be liquidated immediately. Every car will be sold for no more than $20,000. First come, first served!"

The owner of the dealership decided that the sale was unnecessary, so he placed a poster in the front window that stated: "Sale canceled. All cars priced as marked." Only a small minority of the inventory cars were marked with a price of $20,000 or less.

A father read the newspaper advertisement and decided to purchase a car for his teenage son. The father drove to the dealership but did not see the poster cancelling the sale. When the father inquired about the advertisement, the dealership refused to honor the sale. The father bought a car in the dealership's inventory for $25,000.

Several weeks later, the father regretted paying more than $20,000 for the car.

If the father sues the dealership for breach of contract, how much is he likely to recover?

A. Nothing, because the dealership revoked its general offer by placing the poster in the window.

B. Nothing, because the dealership's advertisement was merely an invitation to negotiate.

C. Nothing, because the father could have chosen one of the inventory cars marked with a price of $20,000 or less.

D. $5,000, because the dealership's revocation was not publicized as heavily as its general offer.

Explanation:

Advertisements are generally considered **invitations to negotiate** rather than offers to form contracts. However, an advertisement can be a **general offer**—ie, an offer made to a large number of people—**if the advertisement**:

specifies the **subject matter, quantity, and price** *and*

places a **reasonable limit** on **who may accept** the offer.

Here, the car dealership purchased a newspaper advertisement stating that 200 cars (quantity and subject matter) would be sold for no more than $20,000 each (price). Since the ad also placed a reasonable limit on who could accept ("First come, first served"), it was a general offer—not merely an invitation to negotiate **(Choice B)**.

A general offer **can be revoked** prior to acceptance if the revocation is **publicized *at least* as heavily** as the offer. If not, the attempted revocation is ineffective and the offer remains open except as to any offeree who actually learns of the revocation. Here, the general offer was never revoked since placing a poster in the dealership's window was less public than the newspaper ad **(Choice A)**. And since the father did not see the poster cancelling the sale, he is likely to recover compensatory damages of $5,000 ($25,000 - $20,000).

(Choice C) Although the father could have chosen one of the cars marked at $20,000 or less, the dealership offered to sell its *entire* inventory of 200 cars for no more than $20,000 each.

Educational objective:

An advertisement is a general offer, not a mere invitation to negotiate, if it (1) specifies the subject matter, quantity, and price and (2) places a reasonable limit on who may accept the offer. A revocation of a general offer is only effective if it is publicized at least as heavily as the offer.

References

Restatement (Second) of Contracts § 46 (Am. Law Inst. 1981) (revocation of general offer).

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A shop owner faxed the following signed message to his long-time widget supplier: "Urgently need blue widgets. Ship immediately three gross at your current list price of $600." Upon receipt of the fax, the supplier shipped three gross of red widgets to the shop owner and faxed to him the following message: "Temporarily out of blue. In case red will help, am shipping three gross at the same price. Hope you can use them."

Upon the shop owner's timely receipt of both the shipment and the supplier's fax, which of the following best describes the rights and duties of the shop owner and the supplier?

A. The shop owner may accept the shipment, in which case he must pay the supplier the list price, less any damages sustained because of the nonconforming shipment, or he may reject the shipment and recover from the supplier for total breach of contract, subject to the supplier's right to cure.

B. The shop owner may accept the shipment, in which case he must pay the supplier the list price, less any damages sustained because of the nonconforming shipment, or he may reject the shipment provided that he promptly covers by obtaining conforming widgets from another supplier.

C. The shop owner may accept the shipment, in which case he must pay the supplier the list price, or he may reject the shipment, in which case he has no further rights against the supplier.

D. The shop owner may accept the shipment, in which case he must pay the supplier the list price, or he must reject the shipment and recover from the supplier for total breach of contract.

Explanation:

Seller's reply to buyer's offer

(UCC § 2-206)

Reply		**Effect**
Promise to ship		Acceptance
Shipment of conforming goods		Acceptance & performance
Shipment of nonconforming goods	With notice of accommodation	Rejection & counteroffer
	With no notice	Acceptance & breach

UCC = Uniform Commercial Code

Article 2 of the Uniform Commercial Code (UCC) governs contracts for the sale of goods. The **UCC** allows a seller to accept an **offer to buy goods** for **prompt or immediate shipment** by promising to ship or actually shipping goods that conform to the offer. But a **shipment of nonconforming goods** serves as both a **rejection and a counteroffer if** the seller:

made **no prior promise** to ship conforming goods *and*

notifies the buyer that the nonconforming shipment is merely an **accommodation**—ie, an offer of similar goods for the buyer to consider.

In that case, the buyer may **accept** the shipment (creating a contract for the nonconforming goods) OR **reject** the shipment (creating no contract).

Here, the shop owner offered to buy *blue* widgets for immediate shipment, but the supplier rejected that offer by shipping *red* widgets with a notice of accommodation ("[i]n case red will help"). Since the shop owner's offer was rejected—ie, no contract for blue widgets was formed—she did not sustain any damages **(Choices A & B)**. However, the shop owner can still accept the shipment, thereby creating a contract for red widgets at the list price.

Alternatively, the shop owner may reject the shipment. There would then be no contract for blue *or* red widgets, and the shop owner would have no further rights against the supplier. This also means that:

the shop owner could not recover for breach of contract **(Choice D)**

the supplier would have no right to cure (ie, fix a breach by shipping conforming goods) **(Choice A)** *and*

the shop owner would not be required to cover (ie, purchase substitute goods to mitigate the damages after a breach) **(Choice B)**.

Educational objective:

Under the UCC, a seller can accept an offer to buy goods for prompt or immediate shipment by promising to ship or actually shipping conforming goods. However, shipping nonconforming goods serves as both a rejection and counteroffer if the seller notifies the buyer that the shipment was merely an accommodation.

References

U.C.C. § 2-206 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that a shipment of nonconforming goods is not an acceptance if the seller notifies the buyer that the shipment was merely an accommodation).

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A construction company contracted with a regional distributor to construct for $500,000 a warehouse and a driveway at highway level. Shortly after commencing work on the driveway, which required for the specified level some excavation and removal of surface material, the construction company unexpectedly encountered a large mass of solid rock.

The construction company informed the distributor (accurately) that because of the rock, the driveway as specified would cost at least $20,000 more than figured and demanded for that reason a total contract price of $520,000. Since the distributor was expecting warehousing customers immediately after the agreed completion date, he signed a writing promising to pay the additional $20,000. Following timely completion of the warehouse and driveway, which conformed to the contract in all respects, the distributor refused to pay the construction company more than $500,000.

What is the maximum amount to which the construction company is entitled?

A. $500,000, because the distributor's promise to pay the additional $20,000 was exacted under duress.

B. $500,000, because there was no consideration for the distributor's promise to pay the additional $20,000.

C. $520,000, because the modification was fair and was made in the light of circumstances not anticipated by the parties when the original contract was made.

D. $520,000, provided that the reasonable value of the construction company's total performance was that much or more.

Explanation:

Modifying existing contracts

Governing law		**Requirements**
Common law	Traditional view	Parties' agreement New consideration
	Modern view	Parties' agreement New consideration *unless* modification is fair & equitable due to unanticipated circumstances
UCC		Parties' agreement Good faith (ie, honesty & observance of reasonable commercial standards of fair dealing) New consideration *not* required

UCC = Uniform Commercial Code.

At common law, **contract modifications** generally must be supported by new consideration to be enforceable. This requires both parties to alter their duties in some way. However, modifications are enforceable **without new consideration if** the modification:

rests on **circumstances not anticipated** by the parties when the contract was made* *and*

is **fair and equitable** in light of those circumstances.

Here, the construction company and the distributor originally agreed on a contract price of $500,000. During excavations, the construction company *unexpectedly* encountered a large mass of solid rock. This unanticipated circumstance was going to increase construction costs by *at least* $20,000, so increasing the contract price by $20,000 was fair and equitable. Therefore, the modification was effective even though the construction company provided no new consideration, and the construction company is entitled to $520,000 **(Choice B)**.

*Circumstances prompting the modification must have been unanticipated by the parties, but they need not have been completely unforeseeable.

(Choice A) A contract modification is voidable if it was induced by duress—ie, physical force or improper threat. But here, even though the distributor was expecting warehousing customers immediately after the agreed completion date, there is no indication that his promise to pay the $20,000 was exacted under duress.

(Choice D) Contract law does not require the value of a party's performance to be equal to or greater than the contract price. Therefore, the reasonable value of the construction company's performance need not be $520,000 or more for the distributor to owe it.

Educational objective:

Under common law, contract modifications generally must be supported by new consideration—ie, each party must alter its duties in some way. But new consideration is not required if the modification is fair and equitable in light of unanticipated circumstances.

References

Restatement (Second) of Contracts § 89 (Am. Law Inst. 1981) (explaining that modification of a contract without new consideration is binding if it is fair and equitable in view of unanticipated circumstances).

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A plumber went to a home to inspect a broken water heater. After the plumber had finished the inspection, he told the homeowner, "I have my tools and the replacement part with me. I can repair your water heater now for $600." The homeowner then asked, "Would you consider taking less?" The plumber replied, "No, $600 is the lowest price I can offer." The homeowner was undecided, so the plumber left.

The next day, the homeowner called the plumber and said, "I accept your offer at $600." The plumber replied, "I used the part on another job yesterday afternoon. And I just found out today that my parts supplier increased its prices, so I cannot do the job for less than $700." The homeowner refused to pay $700 and demanded that the plumber repair the water heater for $600.

Is there an enforceable contract between the homeowner and the plumber?

A. No, because the homeowner failed to accept the plumber's offer to repair the water heater for $600 before their conversation ended.

B. No, because the homeowner rejected the plumber's offer by asking if he would take less than $600.

C. Yes, because the homeowner accepted the plumber's offer to repair the water heater for $600 before it lapsed.

D. Yes, because the plumber was a merchant with respect to water heaters, so his quote for $600 was a firm offer.

Explanation:

Contract formation begins with an **offer**, which must be accepted before it terminates. An offer will **terminate by lapse** if the offeree fails to timely respond to the offer. The time frame to accept the offer is either:

the **time stated** in the offer *or*

if no time is stated, a **reasonable time** after the offer is received.

In determining what is reasonable, the question is what a reasonable person in the offeree's position would think is acceptable to the offeror. For example, the offeror in **face-to-face or telephone negotiations** typically expects an immediate response, so the **time for acceptance** does not extend beyond the **end of the conversation**.

Here, the plumber offered to "repair [the homeowner's] water heater now for $600." No time for acceptance was specified, so the homeowner had a reasonable amount of time to accept. Since this was a face-to-face negotiation, the reasonable time for acceptance passed—and the plumber's offer for $600 lapsed—when the conversation ended **(Choice C)**. Therefore, the homeowner's next-day attempt to accept was ineffective, and there is no contract.

(Choice B) An offer will terminate if the offeree rejects it by clearly stating that he/she does not intend to accept or by making a counteroffer. However, a mere suggestion or inquiry (eg, "Would you consider taking less?") is *not* a rejection or counteroffer.

(Choice D) Under the UCC's firm-offer rule, a merchant's written and signed offer to buy or sell *goods* is irrevocable for a stated or a reasonable time. But this rule does not apply to contracts for *services* such as repairing water heaters, so the plumber's merchant status is irrelevant.

Educational objective:

An offer will lapse if it is not accepted within the time stated in the offer or, if no time is stated, within a reasonable time—eg, before the conversation ends in a face-to-face negotiation.

UCC = Uniform Commercial Code.

References

Restatement (Second) of Contracts § 41 cmt. d (Am. Law Inst. 1981) (reasonable time for acceptance in face-to-face or telephone negotiations).

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Examples of reasonable time for acceptance

Face-to-face / telephone offers
(lapses when conversation ends)



Mailed / faxed offers
(lapses after time required to transmit offer *and* acceptance)



Speculative offers
(lapses quickly so offeree cannot speculate at offeror's expense)



Reward-for-capture offers
(lapses when statute of limitations expires)



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A landowner and a contractor entered into a written contract under which the contractor agreed to build a building and pave an adjacent sidewalk for the landowner for $200,000. Later, while construction was proceeding, the landowner and the contractor entered into an oral modification under which the contractor was not obligated to pave the sidewalk but still would be entitled to $200,000 upon completion of the building. The contractor completed the building. The landowner, after discussions with his landscaper, demanded that the contractor pave the adjacent sidewalk. The contractor refused.

Has the contractor breached the contract?

A. No, because the oral modification was in good faith and therefore enforceable.

B. Yes, because a discharge of a contractual obligation must be in writing.

C. Yes, because the parol evidence rule bars proof of the oral modification.

D. Yes, because there was no consideration for the discharge of the contractor's duty to pave the sidewalk.

Explanation:

Modifying existing contracts

Governing law		Requirements
Common law	Traditional view	Parties' agreement New consideration
	Modern view	Parties' agreement New consideration *unless* modification is fair & equitable due to unanticipated circumstances
UCC		Parties' agreement Good faith (ie, honesty & observance of reasonable commercial standards of fair dealing) New consideration *not* required

UCC = Uniform Commercial Code.

Contracts for services are governed by the **common law**. Under the common law, **contract modifications** must be supported by **new consideration**—ie, a bargained-for exchange of promises or performance—to be enforceable. This requirement is only met if **both parties alter their duties** in some way. As a result, the promise to perform, or the performance of, a **preexisting duty is insufficient** for new consideration and will not discharge the parties' duties under the initial (ie, unmodified) contract.

Here, the contractor agreed to build a building and pave a sidewalk for the landowner for $200,000. The parties later agreed that the contractor did not have to pave the sidewalk. However, there was no consideration for this modification because the landowner's duty to pay the full $200,000 contract price remained the same. This means that the modification is *not* binding and did not discharge the contractor's duty to pave. As a result, the contractor breached the contract by refusing to pave the sidewalk.

(Choice A) Under the UCC, contract modifications need only be made in good faith to be enforceable—new consideration is not required. But since the UCC only applies to contracts for the sale of goods, the common law applies here.

(Choice B) There is no rule requiring the discharge of a contractual obligation to be in writing.

(Choice C) The parol evidence rule generally bars evidence of a *prior* oral or written agreement to modify or contradict the terms of a final written agreement. But this rule does not bar evidence of *subsequent* agreements between the parties (eg, the oral modification that occurred after the contract was entered).

Educational objective:

Under the common law, contract modifications are only binding if they are supported by new consideration. This requires both parties to alter their duties in some way.

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On December 15, a doctor received from a retailer of office supplies an offer consisting of its catalog and a signed letter stating, "We will supply you with as many of the items in the enclosed catalog as you order during the next calendar year. We assure you that this offer and the prices in the catalog will remain firm throughout the coming year."

On January 15, having at that time received no reply from the doctor, the retailer notified the doctor that effective February 1, it was increasing the prices of certain specified items in its catalog.

Is the price increase effective with respect to catalog orders the retailer receives from the doctor during the month of February?

A. No, because the retailer is a merchant with respect to office supplies; and its original offer, including the price term, was irrevocable throughout the month of February.

B. No, because the retailer's original offer, including the price term, became irrevocable under the doctrine of promissory estoppel.

C. Yes, because the period for which the retailer gave assurance that it would not raise prices was longer than three months.

D. Yes, because the retailer received no consideration to support its assurance that it would not increase prices.

Explanation:

Under the UCC firm-offer rule, **merchants** are defined as:

persons who regularly deal in goods of the kind involved in the contract

persons who, by their occupation, hold themselves out as having knowledge or skills peculiar to the practices or goods involved *or*

any businessperson when the transaction is of a commercial nature.

A merchant's **firm offer** is **irrevocable**—and **cannot be modified**—for the **time stated** in the offer or a reasonable time if none is stated. But in **no case** will a firm offer remain irrevocable for **more than three months**.

Here, on December 15, the doctor received a catalog and a signed letter from the retailer offering to supply office supplies at the catalog prices and assuring that the offer would remain open for one year. The retailer is a merchant who regularly deals in office supplies, so its offer was firm. And although the specified time period exceeds the three-month limit, the retailer's offer is still irrevocable for three months—until March 15 **(Choice C)**. Therefore, the retailer's attempt to increase prices was not effective with respect to February orders.

(Choice B) Under the doctrine of promissory estoppel, an offer becomes irrevocable if (1) the offeror could reasonably foresee that the offeree would rely on the offer and (2) the offeree reasonably and detrimentally relied on that offer. But here, there is no indication that the doctor relied on the retailer's offer or suffered any detriment.

(Choice D) A firm offer is irrevocable even if there is no consideration for the assurance that the offer will be held open. Therefore, the lack of consideration does not make the retailer's price increase effective.

Educational objective:

A merchant's written and signed assurance that an offer will be held open (ie, firm offer) can never exceed three months—even if the offer states that it will be held open for a longer period.

UCC = Uniform Commercial Code

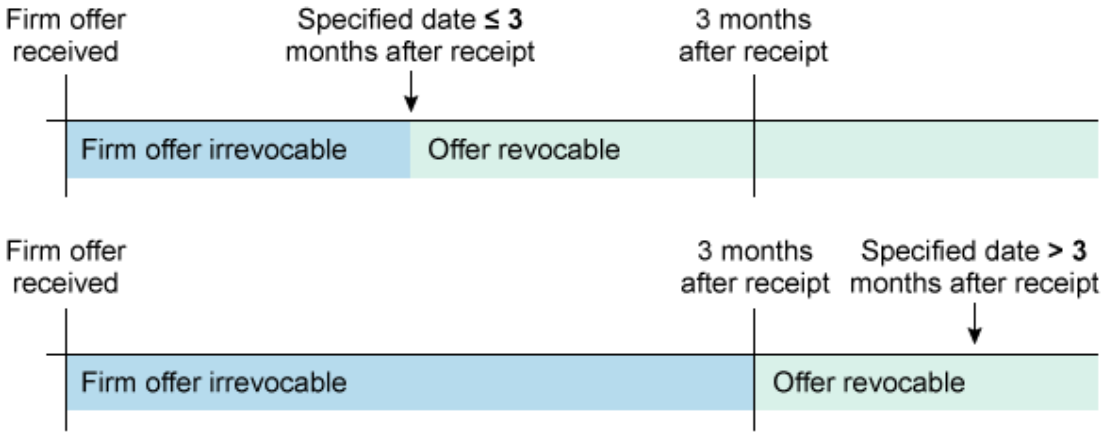
References

U.C.C. § 2-205 (Am. Law Inst. & Unif. Law Comm'n 2020) (firm offers).

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Irrevocability of firm offers



A buyer sent a seller an offer to buy 50 tons of cotton of a specified quality. The offer contained no terms except those specifying the amount and quality of the cotton. The seller then sent an acknowledgment by fax. The acknowledgment repeated the terms of the buyer's offer and stated that shipment would occur within five days. Among 12 printed terms on the acknowledgment was a statement that any dispute about the cotton's quality would be submitted to arbitration. Neither the buyer nor the seller said anything further about arbitration.

The seller shipped the cotton, and it was accepted by the buyer. A dispute arose between the buyer and the seller as to the quality of the cotton, and the seller asserted that the dispute had to be submitted to arbitration. The buyer instead sued the seller in court.

In that suit, which of the following arguments best supports the seller's position that the buyer must submit the dispute to arbitration?

A. Arbitration is a more efficient method of resolving disputes than resolving them in court.

B. The provision for arbitration did not contradict any term in the buyer's offer.

C. The provision for arbitration did not materially alter the parties' contract.

D. The seller's acknowledgment containing a provision for arbitration constituted a counteroffer that was accepted by the buyer when it accepted delivery of the cotton.

Explanation:

Effect of new terms in reply to offer

Common law (mirror-image)		Offer rejected Reply treated as counteroffer
UCC (battle of the forms)	≥1 party is nonmerchant	Offer accepted unless reply expressly required assent to new/revised terms New/revised terms treated as proposed additions to contract
	All parties are merchants	Offer accepted unless reply expressly required assent to new/revised terms New terms become part of contract unless: offer expressly required assent to new terms new terms materially alter contract *or* offeror objects within reasonable time Revised terms follow split authority & are either: treated as new terms *or* cancelled out under knockout rule

UCC = Uniform Commercial Code.

At common law, contract formation is governed by the mirror-image rule. But the **Uniform Commercial Code** (UCC)—which applies to contracts for the sale of goods (eg, cotton)—follows the **battle-of-the-forms** rule. Under this rule, an **acceptance** of an offer is effective even if it contains **new terms**. And if both parties (ie, offeror and offeree) are **merchants**, the new terms become **part of the contract *unless***:

the offer expressly **requires the offeror's assent** to new terms
the offeror **objects** within a **reasonable time** *or*
the new terms **materially alter** the contract.

Here, both parties are likely merchants since the buyer offered to buy 50 tons of cotton. This offer was silent as to arbitration, so that provision in the seller's acknowledgement (acceptance) was a new term. The buyer's offer did not expressly require her assent to new terms, and she accepted the shipment without objecting to the new term. Therefore, the arbitration provision became part of the contract if it did not materially alter the contract, which supports the seller's position that the dispute must be resolved through arbitration.

(Choice A) To determine whether a contract dispute must be arbitrated, courts consider the intent of the parties as expressed in the contract—not whether arbitration is more efficient.

(Choice B) The standard for determining whether a new term becomes part of the contract is whether that term materially alters the contract—not whether it contradicts the offer.

(Choice D) Under the common law mirror-image rule, the seller's acknowledgment containing a new term would constitute a counteroffer. But since this transaction is governed by the UCC, the battle-of-the-forms rule applies.

Educational objective:

Under the battle-of-the-forms rule, an acceptance is effective even when it contains new terms. If both parties are merchants, the new terms become part of the contract unless (1) the offer expressly required the offeror's assent to new terms, (2) the offeror objected within a reasonable time, or (3) the new terms materially alter the contract.

References

U.C.C. § 2-207 (Am. Law Inst. & Unif. Law Comm'n 2019) (battle-of-the-forms rule).

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On July 18, a printer manufacturer received an order for the purchase of 500 printers from a wholesaler. The wholesaler had mailed the purchase order on July 15. The order required shipment of the printers no earlier than September 15 and no later than October 15. Typed conspicuously across the front of the order form was the following: "Wholesaler reserves the right to cancel this order at any time before September 1." The manufacturer's mailed response, "We accept your order," was received by the wholesaler on July 21.

The wholesaler did not cancel the order, and the manufacturer shipped the printers to the wholesaler on September 15. When the printers, conforming to the order in all respects, arrived on October 10, the wholesaler refused to accept them.

Which of the following is an accurate statement as of October 10 after the wholesaler rejected the printers?

A. In view of the wholesaler's right to cancel its order prior to September 1, the shipment of the printers on September 15 was only an offer by the manufacturer.
B. The wholesaler's order for the printers, even if initially illusory, became a binding promise to accept and pay for them.
C. The wholesaler's order was an offer that became an option after shipment by the manufacturer.
D. The wholesaler's right to cancel was a condition subsequent, the failure of which resulted in an enforceable contract.

Explanation:

An **offer** is a communication that expresses a present intent to be legally bound to a contract and gives power to the recipient to conclude a contract by acceptance. However, there is no present intent to be legally bound if the offer is **illusory** because it **imposes no obligation** on or **causes no legal detriment** to the offeror. As a result, acceptance of an offer that is illusory does not form a contract. But such an offer will become **legally binding** if:

circumstances change such that the offer **imposes obligations** on both parties *and* the offer is **accepted after** the change in circumstances.

Once an offer is legally binding, it can be accepted to create an enforceable contract. Under the UCC, an offer to buy goods can be accepted by shipping or promising to ship conforming goods.

Here, the wholesaler's purchase order was initially illusory because the wholesaler reserved the right to cancel the order at any time before September 1. But the order became non-illusory *after* that date and was effectively accepted when the manufacturer shipped conforming printers on September 15. As a result, the wholesaler must accept and pay for those printers.

(Choice A) The manufacturer's shipment of the printers would have been an offer (specifically, a counteroffer) had it shipped *nonconforming* printers with a notice of accommodation. But since the manufacturer shipped *conforming* printers, that shipment was an acceptance (not an offer).

(Choice C) An option is a type of contract in which one party promises to hold a separate offer open for a specified period of time in exchange for consideration (not seen here).

(Choice D) The wholesaler's right to cancel the order was *not* a condition subsequent—ie, an uncertain future event that, if it occurs, excuses a party's existing duty to perform under a contract.

Educational objective:

An offer that is illusory will become legally binding if (1) circumstances change such that the offer imposes obligations on both parties and (2) the offer is accepted after the change in circumstances.

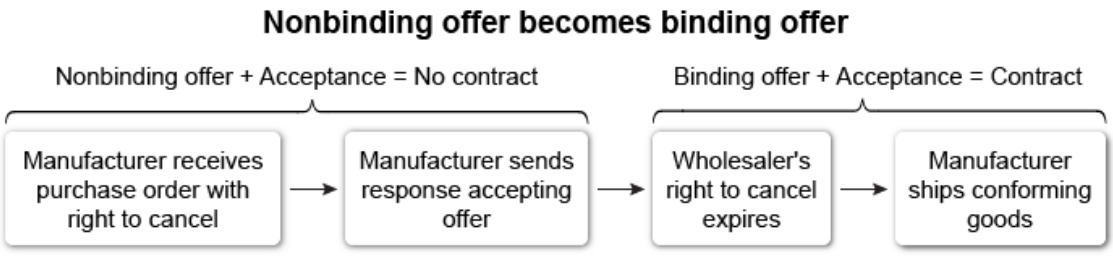
UCC = Uniform Commercial Code.

References

Restatement (Second) of Contracts § 77 (Am. Law Inst. 1981) (discussing illusory and alternative promises).

U.C.C. § 2-206 (explaining that an order to buy goods for shipment may be accepted by the shipment of conforming goods).

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An employer encourages "wellness" on the part of his employees and supports various physical fitness programs to that end. Learning that one of his employees was a dedicated jogger, the employer promised to pay her a special award of $100 if she were to run one mile in less than six minutes on the following Saturday. The employee thanked him and did in fact run a mile in less than six minutes on the day specified. Shortly thereafter, however, the employer discovered that for more than a year the employee had been running at least one mile in less than six minutes every day as part of her personal fitness program. He then refused to pay the $100.

In an action by the employee against the employer for breach of contract, which of the following best summarizes the probable decision of the court?

A. The employee wins, because running a mile in less than six minutes is a significantly demanding enterprise.

B. The employee wins, because she ran the specified mile as requested, and her motives for doing so are irrelevant.

C. The employer wins, because it is a compelling inference that his promise did not induce the employee to run the specified mile.

D. The employer wins, because the employee's running of the specified mile was beneficial, not detrimental, to her in any event.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

Forming a valid contract requires **consideration**—ie, a **bargained-for exchange** of promises or performance. This requires each party to:

perform or promise to perform some **act that is not legally required** *or*

refrain or promise to refrain from performing some legally permissible act.

Here, the employer promised to pay the employee $100 if she were to run a mile in less than six minutes on the following Saturday, and the employee ran the mile as requested. This exchange (employer's promise for employee's performance) provided the necessary consideration to form a binding contract—regardless of the employee's motives for running the mile. Therefore, the court should decide that the employee wins.

(Choice A) The fact that running a mile in less than six minutes is a significantly demanding enterprise is irrelevant to determining whether bargained-for consideration exists.

(Choice C) Although the employee runs at least one mile in less than six minutes every day, this does *not* give rise to an inference that the employer's promise did not induce her to run the specified mile.

(Choice D) The employee suffered a *legal* detriment (as is required for consideration) by running the specified mile because she was not legally required to perform this act.

Educational objective:

Contracts must be supported by consideration—ie, a bargained-for exchange of promises or performance—which requires each party to (1) perform or promise to perform an act that is not legally required or (2) refrain or promise to refrain from performing some legally permissible act.

References

Restatement (Second) of Contracts § 71 (Am. Law Inst. 1981) (bargained-for exchange as consideration).

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Which of the following fact patterns most clearly suggests an implied-in-fact contract?

A. A contractor, thinking that he was paving a customer's driveway, for which the contractor had an express contract, mistakenly paved the neighbor's driveway while the neighbor looked on without saying anything or raising any objection.

B. A county tax assessor mistakenly bills a person for taxes on the neighbor's property, which the person, in good faith, pays.

C. A physician treated a horseback rider without the rider's knowledge or consent while he was unconscious as the result of a fall from his horse.

D. At her mother's request, an accountant filled out and filed her mother's "E-Z" income-tax form (a simple, short form).

Explanation:

Implied contracts

Implied-in-fact	Formed when party manifests assent by conduct rather than spoken or written words Eg, contractor mistakenly paves driveway & owner does not object
Implied-in-law* ("quasi")	Constructed by court to prevent unjust enrichment when party receives benefit from another who reasonably expects compensation Eg, physician treats unconscious person

*Implied-in-law contracts are not true contracts since they lack mutual assent.

An **implied-in-fact contract** arises when a party's assent to enter a contract is **inferred from** the party's conduct or failure to act. This inference arises when a party (1) **intentionally engages** or fails to engage in conduct and (2) knows or has **reason to know** that the conduct may cause the other party to understand that the party assents.

Here, the neighbor looked on without saying anything or raising any objection while the contractor mistakenly paved the neighbor's driveway. The neighbor's failure to object creates a reasonable inference that the neighbor assented to the work, so this fact pattern most clearly suggests an implied-in-fact contract.

(Choice B) Property owners have a preexisting legal duty to pay property taxes. Therefore, a tax bill is a demand to perform that preexisting duty—not an offer to form a contract.

(Choice C) In the absence of a contract between the parties, the court may construct an implied-in-*law* contract to prevent one party from being unjustly enriched by a benefit conferred upon it by another (eg, when an unconscious person receives treatment from a physician—as seen here).

(Choice D) A communication is not an offer unless it creates an objectively reasonable expectation that the offeror is willing to enter into a binding contract. A reasonable person would not interpret the mother's request that her daughter fill out a simple income-tax form as willingness to enter into a contract, so none was formed here.

Educational objective:

An implied-in-fact contract can be created by a party's conduct or failure to act if the party (1) intentionally engages or fails to engage in conduct and (2) knows or has reason to know that assent can be inferred from that conduct.

References

Restatement (Second) of Contracts § 19 (Am. Law Inst. 1981) (conduct as manifestation of assent).

Restatement (Second) of Contracts § 69 (Am. Law Inst. 1981) (acceptance by silence).

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A restorer of classic cars offered to completely repair and refurbish his neighbor's car for $35,000. The neighbor was anxious to return her classic car to its former glory but had not expected the restoration to cost $35,000. She said to the restorer, "The car is already in good condition. Will you consider taking $29,000 to restore it?" The restorer was incensed and said, "Absolutely not!" The neighbor then agreed to pay the restorer $35,000 to restore her car.

Is there a binding contract between the restorer and the neighbor for the restoration of the classic car?

A. No, because the neighbor's statement was both a rejection of the restorer's offer and a counteroffer that the restorer did not accept.

B. No, because the restorer is a merchant with respect to car restoration and his offer to restore the car was not firm.

C. Yes, because the neighbor's statement was a valid acceptance that contained only minor additional terms.

D. Yes, because the neighbor's statement was not a rejection of the restorer's offer but rather an inquiry into different terms.

Explanation:

Contracts for services (eg, restoration) are governed by the common law, which follows the **mirror-image rule** for contract formation. Under this rule, an **acceptance** must match the terms of the offer exactly. A purported acceptance that contains **different or additional terms** acts as a **rejection** of the original offer and as a **counteroffer**. However, mere **suggestions or inquiries** that the offeror is free to accept or reject **do not**. The offeree can therefore accept the original offer in spite of such suggestions or inquiries.

Here, the restorer offered to repair and refurbish the neighbor's classic car for $35,000. Although the neighbor asked if the restorer would consider taking $29,000 instead, this was a mere inquiry that the restorer could accept or reject—not a rejection of the restorer's offer and a counteroffer **(Choice A)**. Therefore, the neighbor's subsequent acceptance of the restorer's $35,000 offer was effective and created a binding contract between them for the restoration of the classic car.

(Choice B) Under the UCC, a merchant's offer to buy or sell *goods* is firm (ie, irrevocable) if it is written, is signed by the merchant-offeror, and provides assurances that it will remain open for a period of time. However, the UCC does not apply to contracts for *services* (as seen here).

(Choice C) Under the UCC battle-of-the-forms rule for contract formation, an acceptance that contains revised or new terms is *valid* unless it is expressly conditioned on the offeror's assent to those terms. But this contract is governed by the common law mirror-image rule, under which an acceptance that contains different or additional terms (not seen here) is *invalid*.

Educational objective:

Under the mirror-image rule, a purported acceptance that contains different or additional terms acts as a rejection and as a counteroffer; however, mere suggestions or inquiries that the offeror is free to accept or reject do not.

UCC = Uniform Commercial Code

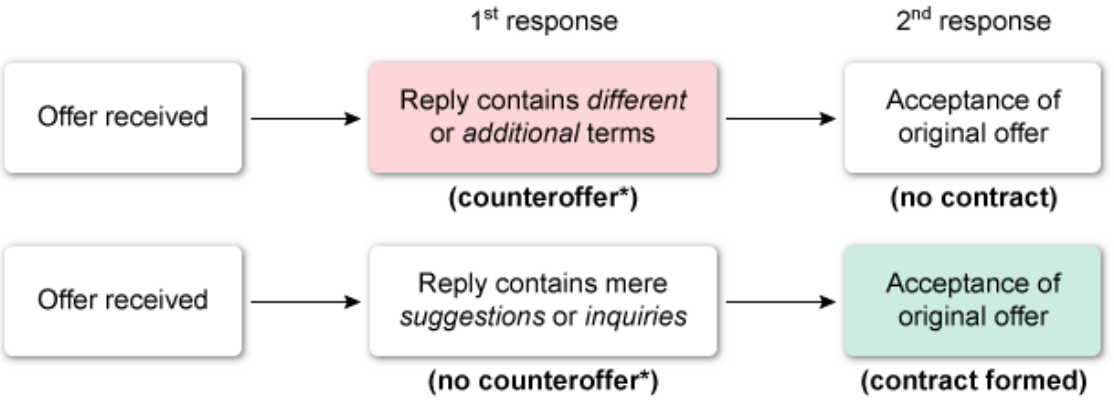
References

17A Am. Jur. 2d Contracts § 80 (2020) (necessity that acceptance comply with offer, generally).

17A Am. Jur. 2d Contracts § 86 (2020) (collateral or immaterial matters; inquiries, requests, suggestions, or directions).

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Contract formation under the mirror-image rule



***Counteroffer** = rejection of original offer + new offer.

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On June 1, a widget manufacturer entered into a written agreement with a tool maker, in which the tool maker agreed to produce and sell to the widget manufacturer 12 sets of newly designed dies to be delivered August 1 for the price of $50,000, payable ten days after delivery. Encountering unexpected expenses in the purchase of special alloy steel required for the dies, the tool maker advised the widget manufacturer that production costs would exceed the contract price. On July 1 the widget manufacturer and the tool maker signed a modification to the June 1 agreement increasing the contract price to $60,000. After timely receipt of 12 sets of dies conforming to the contract specifications, the widget manufacturer paid the tool maker $50,000 but refused to pay more.

Which of the following concepts of the Uniform Commercial Code, dealing expressly with the sale of goods, best supports an action by the tool maker to recover $10,000 for breach of the widget manufacturer's July 1 promise?

A. Bargained-for exchange.

B. Modification of contracts without consideration.

C. Promissory estoppel.

D. Unconscionability in the formation of contracts.

Explanation:

Modifying existing contracts

Governing law		Requirements
Common law	Traditional view	Parties' agreement New consideration
	Modern view	Parties' agreement New consideration *unless* modification is fair & equitable due to unanticipated circumstances
UCC		Parties' agreement Good faith (ie, honesty & observance of reasonable commercial standards of fair dealing) New consideration *not* required

UCC = Uniform Commercial Code.

At common law, contract modification generally requires a new bargained-for exchange that alters the duties of *both* parties in some way (ie, new consideration). But the **UCC**, which deals expressly with the sale of goods, **allows modifications *without* consideration** so long as they are **sought in good faith**. Good faith requires **honesty** and observance of reasonable **commercial standards of fair dealing**. And if either party fails to perform his/her obligations under the modified contract, then the other party can recover for breach.

Here, the widget manufacturer entered a contract to buy dies (ie, cutting tools) from the tool maker. Due to unexpected expenses in purchasing the steel required for the dies, the parties signed a modification agreement increasing the contract price by $10,000. This modification was *not* a bargained-for exchange since the tool maker's duties were unaltered **(Choice A)**. But since dies are goods, the UCC rule applies and allows modification without consideration, which supports the tool maker's action to recover the unpaid $10,000.

(Choice C) Had the tool maker's action been for promissory estoppel instead of breach, the tool maker might have been able to recover damages for its reliance on the widget manufacturer's promise to pay the increased price. However, promissory estoppel is a common law doctrine, not a UCC concept.

(Choice D) A court can refuse to enforce a contract if there was unconscionability in its formation—ie, unfairness due to surprise or unequal bargaining power. But even if the formation of the contract was unconscionable, the court's likely response (ie, refusing to enforce the contract) would mean that neither party could recover for breach.

Educational objective:

Under the UCC, contracts for the sale of goods can be modified without consideration provided that the modification is sought in good faith. Good faith entails honesty and observance of reasonable commercial standards of fair dealing.

References

U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that an agreement modifying a sale-of-goods contract needs no consideration to be binding).

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A lawn service company agreed in writing to purchase from a supplier all of its requirements for lawn care products during the next calendar year. In the writing, the supplier agreed to fulfill those requirements and to give the company a 10% discount off its published prices, but it reserved the right to increase the published prices during the year. After the parties had performed under the agreement for three months, the supplier notified the company that it would no longer give the company the 10% discount off the published prices.

Does the company have a viable claim against the supplier for breach of contract?

A. No, because the absence of a minimum quantity term rendered the company's promise illusory.

B. No, because the supplier could, and did, revoke its offer with respect to future deliveries.

C. Yes, because part performance of the agreement by both parties made it enforceable for the full year.

D. Yes, because the company's agreement to buy all of its lawn care products from the supplier made the agreement enforceable.

Explanation:

Contract terms for sale of goods

(Article 2 UCC)

Terms	Requirements	Effect if missing
Goods to be sold	Must be reasonably identified	No contract
Quantity	Must be certain or able to be made certain by reference to objective facts	
Price	N/A	Gap-filler: reasonable price at time of delivery
Time of delivery		Gap-filler: reasonable time

UCC = Uniform Commercial Code.

Article 2 of the **Uniform Commercial Code** (UCC) governs contracts for the **sale of goods**. Under the UCC, an offer becomes irrevocable once it is accepted. The resulting contract must contain **definite terms** that:

reasonably identify the goods to be sold *and*

specify a **quantity of goods** to be sold that is certain or **capable of being made certain** by reference to **objective facts**.

The quantity term is sufficiently definite in a requirements contract—ie, a contract for the sale of as many goods as the buyer needs during a specified period—because the buyer's actual requirements can be determined objectively.

Here, the lawn service company and the supplier entered into a requirements contract wherein the lawn service company agreed to buy all of its lawn care products from the supplier for one year at a 10% discount.* Although this contract did not contain a certain quantity, the terms were sufficiently definite because the company's actual requirements could be determined objectively. Therefore, the contract was enforceable for its entire one-year term, and the supplier breached the contract by refusing to give the discount three months later **(Choice B)**.

*The supplier reserved the right to increase its published prices—not to revoke the 10% discount on those prices.

(Choice A) A promise is illusory, and therefore unenforceable, if the promisor has *discretion* whether to perform at all (eg, X promises to buy such goods as X wishes to order from Y). But here, the absence of a minimum quantity term does not render the company's promise illusory since it is still *required* to buy (and the supplier is still required to sell) all lawn care products it actually needs.

(Choice C) A contract whose terms would otherwise be too vague to be enforced may become enforceable based on part performance if the parties' subsequent acts supply the needed clarification of the terms (not needed here).

Educational objective:

Contracts for the sale of goods must specify a quantity of goods to be sold that is certain or capable of being made certain by reference to objective facts—eg, the buyer's actual requirements for a product can be used to determine quantity under a requirements contract.

References

U.C.C. § 2-306 cmt. 2 (Am. Law Inst. & Unif. Law Comm'n 2020) (explaining that the quantity term is sufficiently definite in output and requirements contracts).

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A man sent an email to a friend that stated: "Because you have been a great friend to me, I am going to give you a rare book that I own." The friend replied by an email that said: "Thanks for the rare book. I am going to give you my butterfly collection." The rare book was worth $10,000; the butterfly collection was worth $100. The friend delivered the butterfly collection to the man, but the man refused to deliver the book.

If the friend sues the man to recover the value of the book, how should the court rule?

A. For the friend, because she conferred a benefit on the man by delivering the butterfly collection.

B. For the friend, because she gave the butterfly collection to the man in reliance on receiving the book.

C. For the man, because the consideration given for his promise was inadequate.

D. For the man, because there was no bargained-for exchange to support his promise.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

Formation of a contract generally requires a bargained-for exchange of promises or performance (ie, **valuable consideration**). The **bargained-for exchange** requirement is not met unless each party's willingness to enter into the contract was induced by the other party's act or promise. So if either of the parties intended to make a **gift**, this **requirement cannot be met**.

Here, the man promised to give a rare book to his friend. The man clearly intended to make a gift since he did not ask for anything in exchange. This means that the man's promise was not induced by the friend's promise to give him her butterfly collection, so there was no bargained-for exchange (ie, consideration) to support his promise. Therefore, no contract arose between the parties, and the court should rule in favor of the man.

(Choice A) The mere fact that the friend conferred a benefit on the man by delivering the butterfly collection does not mean that the man has an enforceable obligation to deliver the book to the friend.

(Choice B) In the absence of consideration, the doctrine of promissory estoppel provides a basis to enforce a promise upon which a party reasonably and detrimentally relied. However, this doctrine can only be invoked if it is the only way to avoid *substantial injustice* (not seen here).

(Choice C) Instead of giving inadequate consideration, the friend gave no consideration at all since the man did not bargain for her return promise to deliver the butterfly collection. And parties generally cannot challenge a contract on the ground that the consideration given for their promises was inadequate (eg, due to a difference in economic value).

Educational objective:

A promise to make a gift is generally unenforceable because it does not involve the bargained-for exchange that is required to constitute valuable consideration.

References

Restatement (Second) of Contracts § 71 (Am. Law Inst. 1981) (bargained-for exchange).

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A restaurant supplier sent a letter to a regular customer offering to sell the customer an industrial freezer for $10,000. Two days later, the customer responded with a letter that stated: "I accept your offer on the condition that you provide me with a warranty that the freezer is merchantable." In response to the customer's letter, the supplier called the customer and stated that the offer was no longer open. The supplier promptly sold the freezer to another buyer for $11,000.

If the customer sues the supplier for breach of contract, is the customer likely to prevail?

A. No, because the customer's letter added a term, making it a counteroffer.

B. No, because the subsequent sale to a bona fide purchaser for value cut off the claims of the customer.

C. Yes, because the customer's letter was an acceptance of the supplier's offer, since the warranty of merchantability was already implied in the sale.

D. Yes, because the supplier's letter was a firm offer that could not be revoked for a reasonable time.

Explanation:

Effect of new terms in reply to offer

Common law (mirror-image)		Offer rejected Reply treated as counteroffer
UCC (battle of the forms)	≥1 party is nonmerchant	Offer accepted unless reply expressly required assent to new/revised terms New/revised terms treated as proposed additions to contract
	All parties are merchants	Offer accepted unless reply expressly required assent to new/revised terms New terms become part of contract unless: offer expressly required assent to new terms new terms materially alter contract *or* offeror objects within reasonable time Revised terms follow split authority & are either: treated as new terms *or* cancelled out under knockout rule

UCC = Uniform Commercial Code.

Under the common law, an **acceptance** is only effective if it is the mirror-image of the terms in the offer. This rule has been relaxed by Article 2 of the Uniform Commercial Code (UCC), which governs contracts for the sale of goods (eg, industrial freezers). The **UCC** uses the **battle-of-the-forms rule**, where any reasonable **manifestation of acceptance**—even one including new terms—is **effective unless** it is **expressly conditioned** on the offeror's **assent to the new terms**.

Here, the customer's letter conditioned his acceptance on the freezer's warranty of merchantability. But under the UCC, this warranty is implied in *all* contracts for the sale of goods by a merchant—ie, one who regularly deals in goods of the kind involved in the contract (like the supplier). Therefore, the letter did *not* add a term **(Choice A)**. Instead, it was an acceptance of the supplier's offer that created an enforceable contract. And since the supplier breached that contract by selling the freezer to another buyer, the customer is likely to prevail.

(Choice B) The sale of the freezer to a bona fide purchaser—ie, one who purchased for value and in good faith—may prevent the customer from seeking specific performance from the supplier. However, this would not prevent the buyer from obtaining a legal remedy (ie, damages) for the supplier's breach.

(Choice D) A firm offer is a merchant's signed, written offer to buy or sell goods that promises to hold the offer open for a period of time—not seen here.

Educational objective:

Under the UCC's battle-of-the-forms rule, any reasonable manifestation of acceptance (even one including new terms) is effective unless it is expressly conditioned on the offeror's assent to the new terms.

References

U.C.C. § 2-207 (Am. Law Inst. & Unif. Law Comm'n 2019) (battle-of-the-forms rule).

U.C.C. § 2-314 (Am. Law Inst. & Unif. Law Comm'n 2019) (implied warranty of merchantability).

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A restaurant owner sent a signed order form to a produce supplier that read: "Please ship us 100 pounds of potatoes at your current price." The supplier received the order form on November 9. Later the same day, the supplier mailed the owner a letter with the proper address and postage. The letter stated that the order had been accepted at the supplier's current price for potatoes. On November 10, before receiving the supplier's reply, the owner telephoned the supplier to inform the supplier that the owner had found a closer supplier and was canceling the order. The supplier asked the owner to reconsider, but the owner refused. On November 11, the owner received the supplier's letter. Relying on the owner's telephone call, the supplier never shipped any potatoes to the restaurant.

As of November 12, is there an enforceable contract between the supplier and the owner?

A. No, because the owner effectively revoked its offer before it was properly accepted.

B. No, because the owner's offer could be accepted only by shipment of the goods, and the supplier never shipped the potatoes.

C. Yes, because the owner's offer was irrevocable for a reasonable time.

D. Yes, because the supplier effectively accepted the owner's offer before the owner revoked it.

Explanation:

Contract negotiations by mail*

Offeror's actions	Offer	Effective upon receipt
	Revocation of offer	
Offeree's actions	Acceptance (mailbox rule)	Effective upon dispatch Exceptions—effective upon receipt if: improperly stamped/addressed acceptance by mail unreasonable rejection mailed before acceptance (first received is effective) acceptance of option contract offer states acceptance effective only upon receipt
	Rejection/counteroffer	Effective upon receipt

*Applicable under common law & UCC.

Contracts for the **sale of goods** (eg, potatoes) are governed by Article 2 of the **Uniform Commercial Code** (UCC). Under the UCC, a seller can **accept a buyer's offer** to purchase goods for prompt or immediate shipment by **promising to ship, or by shipping**, the goods. Once accepted, the offer **cannot be revoked** because a contract has been formed.

Here, the restaurant owner sent the produce supplier a signed order form that read: "Please ship us 100 pounds of potatoes at your current price." This was an offer that the supplier could accept by promising to ship, or by shipping, the potatoes **(Choice B)**. On November 9, the supplier mailed the owner an acceptance letter that was effective when sent—not upon receipt.* This means that the owner's attempt to revoke its offer on November 10 was *ineffective*, and there is an enforceable contract between the parties **(Choice A)**.

*An acceptance by mail is generally effective when sent (not upon receipt). But this mailbox rule does not apply to (1) option contracts, which require that the acceptance be received before the offer expires, or (2) offers that specify that acceptance must be received by a certain date.

(Choice C) Certain offers are irrevocable. This includes firm offers—ie, a merchant's written and signed assurance that the offer will be held open for the time stated in the offer or a reasonable time (not to exceed 90 days). No firm offer was made here, however, so the owner could revoke its offer at any time *prior* to acceptance.

Educational objective:

An offer to buy goods for prompt or immediate shipment can be accepted by promising to ship (or by shipping) the goods. Once the offer has been accepted, it cannot be revoked because a contract has already been formed.

References

U.C.C. § 2-206 (Am. Law Inst. & Unif. Law Comm'n 2020) (offer and acceptance).

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On November 1, an accountant and a lawyer contracted for the sale of the law books the accountant had inherited from his father. The lawyer agreed to pay the purchase price of $10,000 when the accountant delivered the books on December 1.

On November 10, the lawyer received a signed letter from the accountant that stated: "I have decided to dispose of the bookshelves containing the law books you have already purchased. If you want the shelves, I will deliver them to you along with the books on December 1 at no additional cost to you. Let me know before November 15 whether you want them. I will not sell them to anyone else before then." On November 14, the lawyer faxed and the accountant received the following message: "I accept your offer of the shelves." The accountant was not a merchant with respect to either law books or bookshelves.

Why is the accountant contractually obligated to deliver the shelves?

A. Because the accountant's letter (received by the lawyer on November 10) and the lawyer's fax message of November 14 constituted an effective modification of the original sale-of-books contract.
B. Because the accountant's letter (received by the lawyer on November 10) waived the bargained-for consideration that would otherwise be required.
C. Because the lawyer provided a new bargained-for exchange by agreeing to take the shelves.
D. Because the lawyer's fax message of November 14 operated to rescind unilaterally the original sale-of-books contract.

Explanation:

Modifying existing contracts

Governing law		Requirements
Common law	Traditional view	Parties' agreement New consideration
	Modern view	Parties' agreement New consideration *unless* modification is fair & equitable due to unanticipated circumstances
UCC		Parties' agreement Good faith (ie, honesty & observance of reasonable commercial standards of fair dealing) New consideration *not* required

UCC = Uniform Commercial Code.

Contracts for the **sale of goods** (eg, law books) are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC**, an existing contract cannot be modified or rescinded unilaterally **(Choice D)**. Instead, **all parties must agree** to the **modification**. Additionally, the modification must be sought in **good faith**, which requires honesty and observance of reasonable commercial standards of fair dealing. But new consideration—ie, a bargained-for exchange of promises or performance that was not part of the original contract—is not required.

Here, the lawyer contracted to buy law books from the accountant for $10,000. Both parties agreed to modify that contract when the lawyer (1) received the accountant's letter offering to deliver the bookshelves with the books and (2) accepted that offer by fax. There is no indication that either party acted in bad faith. And since new consideration was not required to modify the contract, the accountant is contractually obligated to deliver the books *and* the shelves **(Choice B)**.

(Choice C) The lawyer's agreement to take the shelves did not provide a new bargained-for exchange because the accountant was going to dispose of the shelves anyway. In other words, the accountant was not induced by the lawyer's agreement. But this is immaterial since consideration is not required to modify a sale-of-goods contract.

Educational objective:

Under the UCC, a contract for the sale of goods can be modified by agreement of all the parties if that modification is sought in good faith. New consideration is not required.

References

U.C.C. § 2-209 (Am. Law Inst. & Unif. Law Comm'n 2020) (modification of existing contracts).

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A private high school was in the market for new desks and chairs for its classrooms. It had inquired into the cost of acquiring 1,000 new desks and chairs from a particular vendor. On June 15, the vendor sent a signed letter to the private high school offering to sell 1,000 desks and chairs for $30,000. The letter stated that the private high school's acceptance would be effective only if the vendor actually received it by June 25. On June 23, the private high school mailed its signed, written acceptance of the vendor's offer. On June 24, the vendor, after concluding that the price it originally requested was too low, directly notified the private high school that it was revoking its offer. The vendor received the private high school's acceptance on June 26.

Was an enforceable contract between the private high school and the vendor formed?

A. No, because the vendor did not actually receive the acceptance until June 26.

B. No, because the vendor revoked the offer on June 24.

C. Yes, because the private high school mailed its acceptance on June 23.

D. Yes, because under the UCC firm-offer rule, the vendor's offer was irrevocable.

Explanation:

Contract negotiations by mail*

Offeror's actions	Offer	Effective upon receipt
	Revocation of offer	
Offeree's actions	Acceptance (mailbox rule)	Effective upon dispatch Exceptions—effective upon receipt if: improperly stamped/addressed acceptance by mail unreasonable rejection mailed before acceptance (first received is effective) acceptance of option contract offer states acceptance effective only upon receipt
	Rejection/counteroffer	Effective upon receipt

*Applicable under common law & UCC.

Once an offer has been made, a binding contract will be formed if the offeree accepts the offer before it terminates (eg, before the allotted response time expires). Under the **mailbox rule**, acceptance by mail is:

permitted if mail is a **reasonable method** of communicating acceptance—eg, because the offer was communicated by mail—*and*

effective upon dispatch—ie, when the acceptance is properly addressed and placed with the postal service with paid postage.

However, the mailbox rule **does *not* apply** if it is inconsistent with the offer's terms, such as when the **offer states** that **acceptance** is **effective only upon receipt**.*

Here, the vendor's offer stated that an acceptance would be effective only if it was *actually* received by June 25. Therefore, the mailbox rule does not apply. And since the vendor did not actually receive the private high school's acceptance until June 26—after the allotted time for acceptance had expired—it was ineffective. As a result, no contract was formed.

*The reason is that the offeror, as master of the offer, can dictate the manner and means by which the offer may be accepted.

(Choices B & D) Contracts for the sale of goods (eg, desks, chairs) are governed by the UCC. Under the UCC firm-offer rule, a merchant's written and signed assurance that an offer will remain open is irrevocable for the time stated in the offer. The vendor's offer was

therefore irrevocable through June 25, and the vendor could not revoke it on June 24. Nevertheless, there is no contract because the high school's acceptance was not received in time.

(Choice C) Although the private high school mailed its acceptance on June 23, the vendor's offer stated that acceptance would be effective when received—not upon dispatch.

Educational objective:

The mailbox rule does not apply if it is inconsistent with the offer's terms, such as when the offer states that acceptance is effective only upon receipt.

UCC = Uniform Commercial Code.

References

17A Am. Jur. 2d Contracts § 98 (2019) (mailbox rule).

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A niece had worked in her aunt's bookstore for many years. The bookstore business, which was housed in a building that the aunt leased, was independently appraised at $200,000. The aunt decided to retire. She wrote to the niece, expressing her affection for the niece and offering to sell her the bookstore business for $125,000 if the landlord would agree to a transfer of the lease. The letter also specified when the aunt would transfer the business. The niece wrote back accepting her aunt's offer. In a phone call to the niece, the aunt stated that the landlord had approved the transfer of the lease and that she would now ask her attorney to draft a written contract so that there would be a record of the terms. Before the attorney had finished drafting the document, the aunt changed her mind about selling the business and informed the niece of her decision.

In an action for breach of contract brought by the niece against her aunt, is the niece likely to prevail?

A. No, because the motivation for the transfer of the business was the aunt's affection for her niece, not the price.

B. No, because the promised consideration was inadequate in light of the market value of the business.

C. Yes, because the condition concerning the landlord's assent to the transfer of the lease was beyond the control of either party.

D. Yes, because the document being drafted by the attorney was merely a record of an agreement already made, not a condition to it.

Explanation:

Contract conditions

Condition precedent	Uncertain future event that, if it occurs, creates party's obligation to perform (e.g., A agrees to hire B *if* B graduates college)
Condition subsequent	Uncertain future event that, if it occurs, excuses party's existing obligation to perform (e.g., B agrees to work for C *until* B graduates college)

A **binding contract** is formed when one party (ie, the offeror) makes an offer and the other party (ie, the offeree) accepts it. The resulting contract can contain certain **conditions** affecting the parties' **duty to perform**:

condition precedent – an uncertain future event that, if it occurs, creates a party's duty to perform

condition subsequent – an uncertain future event that, if it occurs, excuses a party's existing duty to perform

Here, the niece accepted the aunt's offer to sell the bookstore for $125,000 *if* the landlord agreed to transfer the lease. This created a condition precedent that triggered the aunt's duty to perform once the landlord agreed to the transfer. The aunt then told the niece that she would ask her attorney to draft a written contract. But this did not create a condition because conditions cannot be added unilaterally after contract formation.

Additionally, the parties' agreement to **memorialize the contract** in a final writing *after* a binding contract had been formed does **not prevent enforcement** of their original informal agreement. This is true **even if** the contemplated **writing is never prepared**. Therefore, the niece is likely to prevail in her breach of contract action.

(Choice A & B) Contracts must be supported by valuable consideration—ie, a bargained-for exchange of promises or performance. Here, the aunt's promise to sell her business and the niece's promise to pay $125,000 constituted the necessary bargained-for exchange—even if the aunt was partially motivated by affection. And since equivalence in value is not required, it does not matter that the business is worth $200,000.

(Choice C) Contracts are often conditioned on events that are beyond the control of either party (eg, the landlord's assent to the transfer of the lease), and this fact has no effect on the outcome of this dispute.

Educational objective:

Once a binding contract is formed, the fact that the parties further agree that the contract will be memorialized in a final writing does not prevent enforcement of the original agreement—even if the writing is never prepared.

References

Restatement (Second) of Contracts § 27 (Am. Law Inst. 1981) (existence of contract where written memorial is contemplated).

Restatement (Second) of Contracts §§ 224–25 (Am. Law Inst. 1981) (defining and explaining contract conditions).

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A homeowner and a contractor entered into a contract under which the homeowner agreed to pay the contractor $50,000 for remodeling the homeowner's basement according to a set of plans.

After the work was completed, the homeowner honestly believed that there were defects in the contractor's work as well as departures from the plans. In fact, the contractor had fully performed. The homeowner offered to pay the contractor $35,000 in full settlement in exchange for the contractor's promise to surrender his entire claim. The contractor accepted the homeowner's offer, and the homeowner paid the contractor $35,000. The reasonable value of the work was $35,000.

Is the contractor likely to succeed in an action challenging the validity of the settlement agreement?

A. No, because the homeowner honestly disputed the amount he owed the contractor.

B. No, because the reasonable value of the work was only $35,000.

C. Yes, because the contractor reasonably relied on the homeowner's contractual promise to pay the full $50,000, and that promise should be enforced to avoid injustice.

D. Yes, because the homeowner's payment of $35,000 cannot furnish consideration for the contractor's relinquishment of a claim for $50,000.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

One method of discharging contractual obligations is by an **accord** (new contract) **and satisfaction** (performance of the accord). An accord is created when the parties to a contract agree to give and accept **something different** in **satisfaction of** their **existing contractual obligations**. Since an accord is a new contract, it must be supported by consideration. Where the new consideration is **worth less** than what was agreed to in the original contract, it will only be **sufficient if**:

there is a **good-faith dispute** as to the amount owed *or*
the new consideration is of a **different type** than what was owed under the original contract (eg, goods in lieu of cash).
Here, the homeowner offered to pay the contractor $35,000 in full satisfaction of his contractual obligation to pay the contractor $50,000. The contractor agreed to that lesser amount (accord), and the homeowner paid it (satisfaction). Since the homeowner *honestly* believed that there were defects in the contractor's work and departures from the plans (good-faith dispute), the homeowner's payment of $35,000 furnished sufficient consideration to form a valid accord **(Choice D)**. Therefore, the contractor will likely not succeed.

(Choice B) The fact that the reasonable value of the work was only $35,000 does not excuse the homeowner from his obligation to pay the $50,000 contract price. Instead, the homeowner's obligation was discharged by an accord (new contract for $35,000) and satisfaction (payment of the $35,000).

(Choice C) The doctrine of promissory estoppel enables a party who reasonably and detrimentally relied on a promise to enforce that promise even though *no* valid contract was formed. But here, the contractor's reliance on the homeowner's *contractual* promise is irrelevant.

Educational objective:

An accord requires consideration to be valid. That consideration can only be worth less than what was agreed to in the original contract if (1) there is a good-faith dispute as to the amount owed or (2) the new consideration is of a different type than what was owed under the original contract.

References

Restatement (Second) of Contracts § 281 (Am. Law Inst. 1981) (accord and satisfaction).

Restatement (Second) of Contracts § 74 cmt. c (Am. Law Inst. 1981) (explaining that payment of a disputed amount is consideration for a return promise).

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A business contracted in writing with a shareholder who owned all of a corporation's outstanding stock to purchase the stock at a specified price per share. At the time this contract was executed, the business's contracting officer said to the shareholder, "Of course, our commitment to buy is conditioned on our obtaining approval of the contract from our parent company." The shareholder replied, "Fine. No problem." The parent company orally approved the contract, but the shareholder changed her mind and refused to consummate the sale on two grounds: (1) when the agreement was made there was no consideration for her promise to sell; and (2) the parent company's approval of the contract was invalid.

If the business sues the shareholder for breach of contract, is the business likely to prevail?

A. No, because mutuality of obligation between the parties was lacking when the agreement was made.

B. No, because the condition of the parent company's approval of the contract was an essential part of the agreed exchange and was not in a signed writing.

C. Yes, because any possible lack of consideration for the shareholder's promise to sell was expressly waived by the shareholder when the agreement was made.

D. Yes, because the business's promise to buy, bargained for and made in exchange for the shareholder's promise to sell, was good consideration even though it was expressly conditioned on an event that was not certain to occur.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

A **contract** is a legally enforceable agreement that is created when a mutual agreement is supported by **valuable consideration**—ie, a **bargained-for exchange** of promises or performance. However, performance can be delayed or discharged by a condition—ie, an uncertain future event that must occur before performance becomes due or is discharged. There are two types of conditions:

Condition precedent* – ***delays* performance** until a specified event occurs

Condition subsequent – ***excuses* performance** once a specified event occurs

Here, the business promised to purchase, and the shareholder promised to sell, all of the shareholder's stock in a corporation. This exchange of promises provided valuable consideration to form a valid contract. But the parties' performance of that contract was contingent upon the business obtaining approval of the agreement from its parent company—a condition precedent. Since that condition precedent was met when the parent company approved the purchase, the business would likely prevail in a breach-of-contract action based on the shareholder's refusal to sell.

*A condition concurrent arises when each party's obligation to perform is a condition precedent to the other party's obligation to perform (ie, when performance is due simultaneously).

(Choices A & C) Mutuality of obligation between the parties was *not* lacking, and their agreement *was* supported by consideration, because the business's promise to purchase stock was induced by the shareholder's promise to sell it (and vice versa).

(Choice B) There is no rule requiring that a condition be included in a signed writing.

Educational objective:

A contract is generally formed when a mutual agreement is supported by valuable consideration and may include conditions that delay (condition precedent) or excuse (condition subsequent) a party's promised performance.

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A general contractor about to bid on a construction job for an office building invited a carpenter and several others to bid on the carpentry work. The carpenter agreed to bid if the general contractor would agree to give the carpenter the job provided that his bid was lowest and the general contractor was awarded the main contract. The general contractor so agreed. The carpenter, incurring time and expense in preparing his bid, submitted the lowest carpentry bid. The general contractor used the carpenter's bid in calculating its own bid, which was successful.

Which of the following best supports the carpenter's position that the general contractor is obligated to award the carpentry subcontract to the carpenter?

A. The carpenter detrimentally relied on the general contractor's conditional promise in preparing his bid.

B. The carpenter gave consideration for the general contractor's conditional promise to award the carpentry subcontract to the carpenter.

C. The general contractor has an implied duty to deal fairly and in good faith with all bidders whose bids the general contractor used in calculating its main bid to the building owner.

D. The general contractor has an obligation to the owner of the building to subcontract with the carpenter because the carpenter's bid was used in calculating the general contractor's bid, and the carpenter is an intended beneficiary of that obligation.

Explanation:

Elements of valuable consideration

Bargained-for exchange	Each party's willingness to enter agreement must be induced by other party's act/promise
Legal detriment	Each party must relinquish legal right by either: performing (or promising to perform) act that is not legally required *or* refraining (or promising to refrain) from performing legally permissible act

A contract is generally formed when an exchange of promises is supported by **valuable consideration**—ie, a **bargained-for exchange** of promises or performance. However, **performance** under that agreement can be made **contingent upon a condition**. There are two types of conditions:

Condition precedent – where a party's **duty to perform *arises*** upon the occurrence or nonoccurrence of an uncertain future event (ie, the event *creates* the duty)

Condition subsequent – where a party's **duty to perform is *released*** upon the occurrence or nonoccurrence of an uncertain future event (ie, the event *extinguishes* the duty)

Here, the carpenter offered to bid on the carpentry work in exchange for the contractor's promise to award the carpenter the subcontract. This exchange of promises provided valuable consideration to form a binding agreement. The contractor's performance of that agreement was contingent upon the carpenter submitting the lowest bid and the contractor receiving the main contract. Since these conditions precedent occurred, the contractor was obligated to award the subcontract to the carpenter.

(Choice A) The doctrine of promissory estoppel allows a party to enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. A contract was formed here, so the carpenter's reliance is irrelevant.

(Choice C) The duty of good faith and fair dealing is implied in every contract—but not bids and other mere offers. Therefore, this duty would extend to the carpenter, but not other bidders with whom no contract was formed.

(Choice D) An *intended* beneficiary is a person who is intentionally given an advantage under a contract to which the person is not a party and may therefore enforce those contractual obligations. Here, the carpenter's bid was used in the contractor and building owner's agreement. But since there is no evidence that this agreement was intended to benefit the carpenter, he is merely an *incidental* beneficiary who has no right to enforce the agreement.

Educational objective:

A contract is generally formed when an exchange of promises is supported by valuable consideration and may include conditions that delay (condition precedent) or extinguish (condition subsequent) a party's promised performance.

References

Restatement (Second) of Contracts § 71 (Am. Law Inst. 1981) (bargained-for exchange as consideration).

17A Am. Jur. 2d Contracts § 447 (conditions precedent).

17A Am. Jur. 2d Contracts § 453 (conditions subsequent).

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On June 1, a wholesaler received a purchase-order form from a retailer that was a new customer, in which the retailer ordered 1,000 anti-recoil widgets for delivery no later than August 30 at a delivered total price of $10,000, as quoted in the wholesaler's current catalog. Both parties are merchants with respect to widgets of all types. On June 2, the wholesaler mailed to the retailer its own form, across the top of which the wholesaler's president had written, "We are pleased to accept your order." This form contained the same terms as the retailer's form except for an additional printed clause in the wholesaler's form that provided for a maximum liability of $100 for any breach of contract by the wholesaler.

As of June 5, when the retailer received the wholesaler's acceptance form, which of the following is an accurate statement concerning the legal relationship between the retailer and wholesaler?

A. There is an enforceable contract whose terms do not include the liability-limitation clause in the wholesaler's form.

B. There is an enforceable contract whose terms include the liability-limitation clause in the wholesaler's form, because liquidation of damages is expressly authorized by the Uniform Commercial Code.

C. There is no contract, because the liability-limitation clause in the wholesaler's form is a material alteration of the retailer's offer.

D. There is no contract, because the retailer did not consent to the liability-limitation clause in the wholesaler's form.

Explanation:

Effect of new terms in reply to offer

Common law (mirror-image)		Offer rejected Reply treated as counteroffer
UCC (battle of the forms)	≥1 party is nonmerchant	Offer accepted unless reply expressly required assent to new/revised terms New/revised terms treated as proposed additions to contract
	All parties are merchants	Offer accepted unless reply expressly required assent to new/revised terms New terms become part of contract unless: offer expressly required assent to new terms new terms materially alter contract *or* offeror objects within reasonable time Revised terms follow split authority & are either: treated as new terms *or* cancelled out under knockout rule

UCC = Uniform Commercial Code.

Contracts for the sale of goods are governed by Article 2 of the **Uniform Commercial Code** (UCC), which follows the **battle-of-the-forms rule** for contract formation. Under this rule, an enforceable contract is created once there has been an **offer** and a reasonable **manifestation of acceptance** (even one that includes new terms). But in a contract between **merchants**, the **new terms will fall away**—ie, will *not* become part of the contract—if:

the offer expressly required **assent to new terms** (and the offeror does not assent)
the offeror **objects** within a **reasonable time** *or*
the new terms **materially alter** the contract (eg, change a party's risks or remedies).

Here, the retailer sent a purchase order for 1,000 widgets. The wholesaler then mailed an acceptance form, which created an enforceable contract despite containing an additional clause limiting the wholesaler's liability for breach to $100 **(Choice C)**. The retailer's order (ie, offer) did not expressly require consent to new terms, and the retailer did not object to the new term. But since the new term materially alters the contract by limiting the retailer's remedy for breach, the contract does not include the liability-limitation clause.

(Choice B) The UCC expressly authorizes liquidation of damages—ie, contractually stipulating to a reasonable estimate of the actual damages to be recovered if one party

breaches. But $100 is not a reasonable estimate for a $10,000 sales contract. And even if it were, the new liability-limitation clause still materially alters the contract.

(Choice D) Had the retailer's offer expressly required assent to new terms, the retailer's failure to consent would prevent the new term from becoming part of the contract. But it would not prevent contract formation.

Educational objective:

Under the UCC's battle-of-the-forms rule, an acceptance is effective even if it contains new terms. But in a contract between merchants, the new terms fall away if (1) the offer expressly required assent to new terms and no assent was given, (2) the offeror objects within a reasonable time, or (3) the new terms materially alter the contract.

References

U.C.C. § 2-207 (Am. Law Inst. & Unif. Law Comm'n 2019) (battle-of-the-forms rule).

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A producer of small engines contracted to supply 5,000 engines per month of a specified model to a lawn mower manufacturer for the next three years at an agreed-upon price. The producer sent the manufacturer a form quotation that included a standard "boilerplate" indemnification clause requiring the manufacturer to indemnify the producer for losses arising from the transaction. The producer's form also included a statute-of-limitations provision requiring that claims arising from defective engines be brought within one year of delivery.

The manufacturer subsequently ordered engines using a form requiring the producer to indemnify the manufacturer for any loss arising from engine defects and specifying a three-year statute of limitations for claims arising from the engines.

Two years later, the manufacturer discovered that 20% of the engines delivered in the first year were defective and filed suit against the producer seeking indemnification. The jurisdiction has adopted the Uniform Commercial Code (UCC) gap-filling provisions, which include a default four-year statute of limitations.

Is the manufacturer likely to prevail in its suit against the producer for losses arising from the defective engines?

A. No, because a contract is only enforceable under the mirror-image rule if there is a meeting of the minds on all terms.

B. No, because the producer is master of the offer and therefore the contractual terms in its form quotation control.

C. Yes, because the producer failed to object to the conflicting terms when it accepted the manufacturer's purchase order.

D. Yes, because the UCC operates to replace the conflicting statutes of limitations with its four-year statute of limitations.

Explanation:

Contracts for the **sale of goods** (eg, engines) are governed by the UCC. Under the UCC's battle-of-the-forms rule for contract formation, an acceptance is effective even if it contains **revised** (ie, conflicting) **terms** that are different from the offer. In contracts between merchants, the revised terms are **canceled out** by the **knockout rule** (adopted in most jurisdictions). When gaps are created after applying the knockout rule, the court uses the **UCC's gap-filling provisions** to patch the holes.

Here, the manufacturer brought suit after two years. The producer's form quotation (offer) had specified a *one*-year statute of limitations for defective-engine claims, while the manufacturer's order form (acceptance) specified a *three*-year statute of limitations. Both parties are merchants, so the conflicting statute-of-limitations terms are canceled out by the knockout rule. Since the UCC operates to replace those terms with its four-year statute of limitations, the manufacturer is likely to prevail.

(Choice A) Under the common law mirror-image rule, an acceptance must mirror the terms of the offer. A purported acceptance that includes revised or new terms is treated as both a rejection of the original offer and a counteroffer. But since this rule only applies to services and real estate contracts, it does not apply here.

(Choice B) The offeror, as master of the offer, can dictate the manner and means of acceptance. Here, however, the producer's (offeror's) form quotation did not require the manufacturer to accept the one-year statute of limitations provision for an acceptance to be effective.

(Choice C) A few jurisdictions do not follow the knockout rule and instead treat a revised term in an acceptance as a "new" term. New terms are automatically included in a contract between merchants unless, inter alia,* the offeror objects within a reasonable time. But this minority rule does not apply here.

Other exceptions to the automatic inclusion of new terms arise when (1) the term materially alters the original contract or (2) the offer expressly limited acceptance to its terms.

Educational objective:

In contracts between merchants, revised (ie, conflicting) terms in the offer and acceptance are canceled out under the knockout rule and replaced with UCC gap-filling provisions.

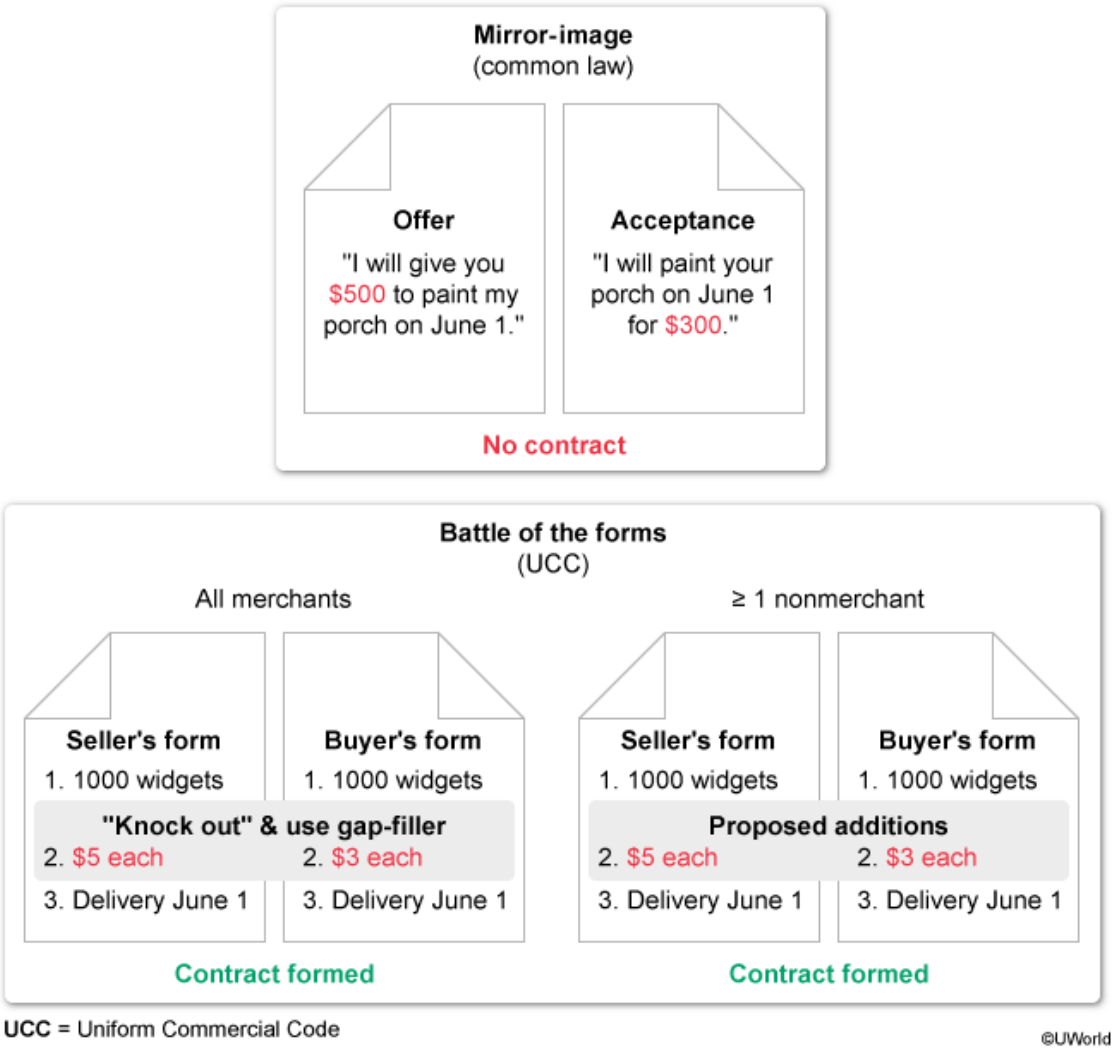
References

U.C.C. § 2-207 (Am. Law Inst. & Unif. Law Comm'n 2020) (new terms in acceptance or confirmation).

U.C.C. § 2-725 (Am. Law Inst. & Unif. Law Comm'n 2020) (statute of limitations in contracts for sale).

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Effect of *revised* term on contract formation



UCC = Uniform Commercial Code

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A store owner mailed a signed order to a warehouse that read: "Please ship us 10,000 widgets at your current price." The warehouse manager received the order on January 7 and that same day mailed to the store owner a properly stamped, addressed, and signed letter stating that the order was accepted at the warehouse's current price of $10 per widget. On January 8, before receipt of the manager's letter, the store owner telephoned the manager and said, "I hereby revoke my order." The manager protested to no avail. The store owner received the manager's letter on January 9. Because of the store owner's January 8 telephone message, the warehouse never shipped the goods.

Under the relevant and prevailing rules, is there a contract between the store owner and the warehouse as of January 10?

A. No, because the order was an offer that could be accepted only by shipping the goods, and the offer was effectively revoked before shipment.

B. No, because the store owner never effectively agreed to the $10 price term.

C. Yes, because the order was an offer that the warehouse effectively accepted before the store owner attempted to revoke it.

D. Yes, because the order was, for a reasonable time, an irrevocable offer.

Explanation:

Contract negotiations by mail*

Offeror's actions	Offer	Effective upon receipt
	Revocation of offer	
Offeree's actions	Acceptance (mailbox rule)	Effective upon dispatch Exceptions—effective upon receipt if: improperly stamped/addressed acceptance by mail unreasonable rejection mailed before acceptance (first received is effective) acceptance of option contract offer states acceptance effective only upon receipt
	Rejection/counteroffer	Effective upon receipt

*Applicable under common law & UCC.

Contracts for the **sale of goods** are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC**, contract formation requires mutual assent (ie, offer and acceptance). Once an offer has been made, a contract will be formed if the offeree **accepts the offer** before it is revoked. Under the **mailbox rule**, acceptance by mail is:

permitted if mail is a **reasonable method** of communicating acceptance—eg, when the offer was communicated by mail *and*

effective upon dispatch—ie, when the acceptance is properly addressed and placed with the postal service with paid postage.

Here, the warehouse manager received the store owner's order for 10,000 widgets on January 7. Since that offer was communicated by mail, the warehouse manager could reasonably accept by mail *or* by shipping the goods **(Choice A)**. Therefore, the warehouse manager effectively accepted the offer when he mailed a properly stamped and addressed acceptance letter on January 7—before the store owner tried to revoke the offer on January 8.

(Choice B) A sale-of-goods contract can be formed even if the price is to be set by just one of the parties. Therefore, the store owner *did* effectively agree to the $10 price when he ordered widgets at the manufacturer's "current price."

(Choice D) Certain types of offers are irrevocable, including firm offers—ie, a merchant's written and signed assurance that an offer will be held open for a specified period of time (not seen here).

Educational objective:

Acceptance by mail is (1) permitted if mail is a reasonable method of communicating acceptance (eg, if the offer was communicated by mail) and (2) effective upon dispatch (ie, when the acceptance is properly addressed and placed with the postal service with paid postage).

References

17A Am. Jur. 2d Contracts § 98 (Am. Law Inst. 2019) (mailbox rule).

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A tile floor installer sent a general contractor this fax:

"Will install all marble tile flooring in new office building, per owner's specs, for $50,000 if you accept within reasonable time after main contract awarded."

Three competitors sent the general contractor similar bids to install marble tile floor in the office building in the respective amounts of $55,000, $58,000, and $60,000. The general contractor used the tile floor installer's $50,000 figure in preparing and submitting her own sealed bid on the office building. Before the bids were opened, the tile floor installer truthfully advised the general contractor that the former's sub-bid had been based on a $5,000 computational error and was therefore revoked. Shortly thereafter, the general contractor was awarded the office building construction contract and subsequently contracted with a competitor to install the marble floors for a price of $55,000.

The general contractor then sued the tile floor installer to recover $5,000.

Which of the following, if proved, would best support the tile floor installer's defense?

A. Before submitting her own bid, the general contractor had reason to suspect that the tile floor installer had made a computational mistake in figuring its sub-bid.

B. Even after paying $55,000 for the marble floor installation, the general contractor would make a net profit of $150,000 on the office building contract.

C. The general contractor gave the tile floor installer no consideration for an irrevocable sub-bid.

D. The tile floor installer's sub-bid expressly requested the general contractor's acceptance after awarding of the main contract.

Explanation:

Irrevocable offers

	Type	Description	Consideration	Duration
UCC	**Firm offer**	Merchant gives written & signed assurance that offer will remain open	Not required	Specified or reasonable time
Common law	**Option contract**	Offeror promises to keep offer open in exchange for consideration	Required	
	Partial performance (unilateral contracts)	Offeror invites acceptance only by performance & offeree begins to perform		Reasonable time for full performance
	Promissory estoppel*	Offeror could reasonably foresee reliance on offer & offeree reasonably relies to his/her detriment	Not required	Reasonable time

UCC = Uniform Commercial Code.

*Also referred to as "detrimental reliance."

Under the doctrine of **promissory estoppel** (ie, detrimental reliance), an **offer** is treated as an option contract and is therefore **irrevocable** for a reasonable period of time if:

the offeror reasonably expected to induce reliance on the offer before acceptance
the offeree **reasonably relied** on the offer *and*
that reliance caused the offeree to suffer substantial detriment.
This is true even if **no consideration** (eg, money) was given to support the offer's irrevocability **(Choice C)**.

Here, the tile floor installer knew that the general contractor would factor the installer's sub-bid into her own bid on the main contract. However, if the general contractor had reason to suspect that the installer had made a mistake in computing its sub-bid, her

reliance on that sub-bid would have been *unreasonable*. Therefore, this fact, if proved, would best support the tile floor installer's defense.

(Choice B) The fact that the general contractor would make a $150,000 profit on the main contract even after the tile floor installer revoked its sub-bid (ie, offer) would not support the installer's defense. That is because the general contractor would have made a $*155,000* profit had the installer not revoked.

(Choice D) Although the tile floor installer's sub-bid expressly requested the general contractor's acceptance after awarding of the main contract, the general contractor could still recover if she reasonably relied on that bid before acceptance (not seen here).

Educational objective:

An offer is binding as an option contract and therefore irrevocable if (1) the offeror reasonably expected to induce reliance on the offer before acceptance, (2) the offeree reasonably relied on the offer, and (3) reliance caused the offeree to suffer substantial detriment.

References

Restatement (Second) of Contracts § 87 (Am. Law Inst. 1981) (option contract by detrimental reliance).

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A fruit vendor ordered from an orchard 500 bushels of No. 1 Royal Fuzz peaches, at a specified price, "for prompt shipment." The orchard promptly shipped 500 bushels but by mistake shipped No. 2 Royal Fuzz peaches instead of No. 1. The error in shipment was caused by the negligence of the orchard's shipping clerk.

Which of the following best states the fruit vendor's rights and duties upon delivery of the peaches?

A. Although a contract was formed when the orchard shipped the peaches, the fruit vendor does not have to accept them.

B. The fruit vendor must accept the peaches because a contract was formed when the orchard shipped them.

C. The orchard's shipment of the peaches was a counteroffer and the fruit vendor can refuse to accept them.

D. The orchard's shipment of the peaches was a counteroffer but, since peaches are perishable, the fruit vendor, if it does not want to accept them, must reship the peaches to the orchard in order to mitigate its losses.

Explanation:

Contracts for the **sale of goods** (e.g., peaches) are governed by Article 2 of the UCC. Under the UCC, an **offer to buy goods for prompt shipment** can be **accepted by**:

promising to ship the goods

shipping goods that conform to the order *or*

shipping nonconforming goods *without* notice that they are being offered only as an accommodation.*

Any of these methods of acceptance create a contract. However, the shipment of nonconforming goods without a notice of accommodation also constitutes an **immediate breach** of the contract. In that case, the buyer may (1) **accept or reject the goods** and (2) sue the seller for breach.

Here, the fruit vendor ordered 500 bushels of No. 1 Royal Fuzz peaches for prompt shipment, but the orchard shipped nonconforming No. 2 Royal Fuzz peaches with no notice of accommodation. Although this shipment created a contract, it also constituted a breach of that contract **(Choice B)**. Therefore, the vendor does *not* have to accept the peaches.

*Conversely, the shipment of nonconforming goods with notice that they are being offered only as an accommodation (i.e., notice of accommodation) constitutes a rejection of the offer and a counteroffer that the buyer can accept or reject.

(Choices C & D) The orchard's shipment of nonconforming peaches was not a counteroffer because there was no notice of accommodation. In addition, a merchant who rightfully rejects perishable goods (e.g., peaches) must mitigate losses by making reasonable efforts to sell the goods on the market—not reship them to the original seller.

Educational objective:

Under the UCC, an offer to buy goods for prompt shipment can be accepted by (1) promising to ship the goods, (2) shipping conforming goods, or (3) shipping nonconforming goods without a notice of accommodation. However, the shipment of nonconforming goods without a notice of accommodation is also a breach of the resulting contract.

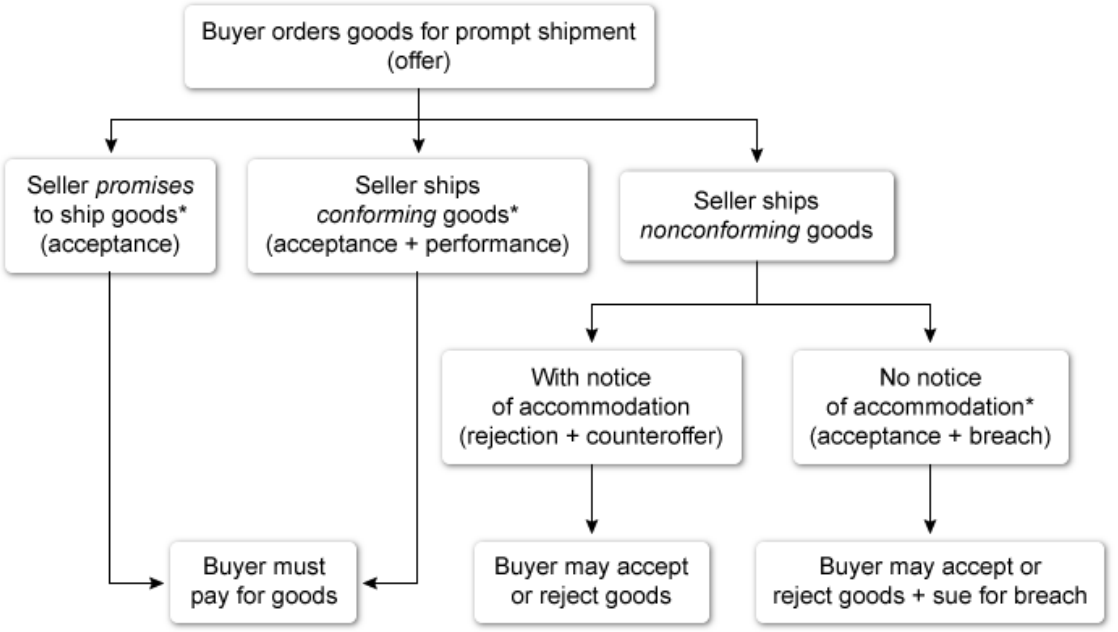
References

U.C.C. § 2-206 (explaining that a shipment of nonconforming goods without a notice of accommodation constitutes an acceptance and breach).

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Seller's response to buyer's offer
(UCC 2-206)



*Contract formed
UCC = Uniform Commercial Code

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A fine clothing store placed an advertisement in a local newspaper that read: "Sale! This weekend only, fur coats for as low as $100!" A local shopper read the advertisement and drove to the clothing store that weekend. All the fur coats were priced between $500 and $1,500. The shopper inquired about the sale. The salesperson told her that the advertisement was incorrect because the sale was not scheduled to occur until the following weekend. The shopper replied, "Why don't you just sell me one of these coats for $100 today?" The salesperson refused, and the shopper angrily left the store.

If the shopper sues the store for breach of contract, will she be likely to prevail?

A. No, because the shopper's question was too equivocal to be an acceptance of the store's offer.

B. No, because the store's advertisement was merely an invitation to negotiate.

C. Yes, because the shopper detrimentally relied on the store's advertisement by driving to the store.

D. Yes, because the shopper had accepted the store's general offer to sell a fur coat for $100.

Explanation:

Advertisements are generally considered **invitations to negotiate** or solicitations of offers, which create no power of acceptance in the recipient. However, an advertisement can constitute a **general offer**—the acceptance of which creates a binding contract—**if the advertisement**:

specifies the **subject matter, quantity, and price** *and*

places a **reasonable limit** on **who can accept** the offer.

Here, the clothing store placed an advertisement in the newspaper stating that fur coats (subject matter) would be sold for as low as $100 (price). However, the ad failed to specify the quantity of fur coats to be sold at this price and placed no limit on who could accept. As a result, the ad was merely an invitation to negotiate. And since there was no offer that could be accepted, the shopper is unlikely to prevail in her breach-of-contract suit.

(Choices A & D) An acceptance must be unequivocal to bind either party. Here, the shopper's question—"Why don't you just sell me one of these coats for $100 today?"—was unequivocal since it clearly indicated her intent to purchase a coat. But her attempted acceptance was ineffective since there was no offer.

(Choice C) Under the doctrine of promissory estoppel, an unaccepted offer may become irrevocable if the offeree reasonably relies on it and suffers a substantial detriment as a result. But here, the store's advertisement was not an offer. And even if it were, the shopper did not suffer a *substantial* detriment by driving to the store.

Educational objective:

Advertisements are generally considered invitations to negotiate instead of offers to form contracts. However, an advertisement can constitute a general offer if it (1) specifies the subject matter, quantity, and price and (2) places a reasonable limit on who can accept the offer.

References

Restatement (Second) of Contracts § 26 cmt. b (Am. Law Inst. 1981) (explaining that an advertisement is not an offer unless it contains language of commitment).

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Advertisements

Invitation to negotiate
(acceptance ≠ contract)



General offer
(acceptance = contract)



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An entrepreneur owed his neighbor $1,000, plus interest at 8% until paid, on a long-overdue promissory note, collection of which would become barred by the statute of limitations on June 30. On the preceding April 1, the entrepreneur and the neighbor both signed a writing in which the entrepreneur promised to pay the note in full on the following December 31, plus interest at 8% until that date, and the neighbor promised not to sue on the note in the meantime. The neighbor, having received some advice from his nonlawyer brother-in-law, became concerned about the legal effect of the April 1 agreement. On May 1, acting pro se as permitted by the rules of the local small claims court, the neighbor filed suit to collect the note.

Assuming that there is no controlling statute, is the April 1 agreement an effective defense for the entrepreneur?

A. No, because the entrepreneur's April 1 promise is enforceable with or without consideration.

B. No, because there was no consideration for the neighbor's promise not to sue, in that the entrepreneur was already obligated to pay $1,000 plus interest at 8% until the payment date.

C. Yes, because the entrepreneur's promise to pay interest until December 31 was consideration for the neighbor's promise not to sue.

D. Yes, because the law creates a presumption that the entrepreneur relied on the neighbor's promise not to sue.

Explanation:

Exceptions to preexisting-duty rule

Main rule		Promise to perform (or performance of) preexisting duty is not consideration
Common-law exceptions	**New/altered consideration**	New duty added or preexisting duty altered (eg, acceleration of due date)
	Ratification of voidable duty	New promise to perform voidable duty (eg, upon reaching age of majority)
	Honest dispute	Scope of duty honestly disputed
	Unexpected event	Fair & equitable modification in view of unanticipated circumstances
	Renewed promise	Renewed promise to pay preexisting debt despite technical defense (eg, statute of limitations, bankruptcy) if written or partially performed
	Third party	Third party offers additional promise that is contingent on performance of preexisting duty
UCC exception	**Modification**	Modification sought in good faith—ie, honesty and observance of reasonable commercial standards of fair dealing

UCC = Uniform Commercial Code.

A **valid claim** can be permanently or temporarily settled by entering a written **settlement agreement** in which each party's promise or performance is **consideration** (ie, exchanged) for the other party's promise or performance. A promise to perform (or the performance of) a preexisting contractual duty is generally *not* consideration. But if the duty is **altered in any way** (eg, acceleration of a due date), there is **consideration**, and the agreement will provide an effective defense in a lawsuit that asserts the settled claim.

Here, the entrepreneur owed the neighbor $1,000 plus 8% interest *until paid*. On April 1, they signed a settlement agreement in which the entrepreneur promised to repay the debt *by December 31*. Although the entrepreneur was already obligated to pay 8% interest, the new due date altered his duties **(Choice B)**. As a result, the entrepreneur's promise was consideration for the neighbor's promise not to sue before December 31. Since the neighbor sued before then (on May 1), the April 1 agreement is an effective defense for the entrepreneur.

(Choice A) The entrepreneur's April 1 promise to repay the debt by December 31 would be *unenforceable* without consideration. But that promise *is* supported by consideration—ie, the neighbor's return promise not to sue before December 31.

(Choice D) Under the doctrine of promissory estoppel, a promise can become enforceable if the promisee (eg, the entrepreneur) *proves* that he/she reasonably and detrimentally relied on that promise. But the promisee's reliance will not be *presumed*.

Educational objective:

A promise to perform (or the performance of) a preexisting contractual duty is not consideration *unless* that duty is altered in some way (eg, acceleration of a due date).

References

Restatement (Second) of Contracts § 74 (Am. Law Inst. 1981) (settlement of claims).

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A college student asked her friend to lend her $2,000. The friend replied that he would do so only if the student's father, a wealthy businessman, would guarantee the loan. At the student's request, the businessman mailed a signed letter to the friend: "If you lend $2,000 to my daughter, I will repay it if she doesn't." On September 15, the friend, having read the businessman's letter, lent $2,000 to the student, which she agreed to repay in installments of $200 plus accrued interest on the last day of each month beginning October 31.

The businessman died on September 16. Later that same day, unaware of the businessman's death, the friend mailed a letter to the businessman advising that he had made the $2,000 loan to the student on September 15.

The student failed to repay any of the debt, and the entire $2,000 is due. In an action by the friend against the businessman's estate for $2,000 plus accrued interest, which of the following, if any, will serve as (an) effective defense(s) for the businessman's estate?

A. The businessman died before the friend accepted his offer.

B. There was no consideration to support the businessman's promise, because he did not receive any benefit.

C. There was no consideration to support the businessman's promise, because he did not receive any benefit, and the businessman died before the friend notified him that his offer had been accepted.

D. None of the above.

Explanation:

A **suretyship** arises when one party (guarantor) promises a second party (creditor) that the guarantor will **pay the debt of a third party** (principal) if he/she defaults. To be enforceable, a suretyship must be in writing and supported by consideration. The consideration requirement is met if the guarantor is compensated for the promise. But even if the guarantor is uncompensated, the **consideration** requirement is still satisfied if:

the **creditor conditioned the loan** to the principal on the **guarantor's promise to pay** *or*

the **guarantor made the promise** to pay **before or at the same time** as the **creditor made the loan** to the principal.

In either case, the loan itself serves as valid consideration for the guarantor's promise—even if the guarantor is not notified when the loan is made. That is because the loan is a legal detriment to the creditor that was induced by the guarantor's promise.

Here, the friend would agree to loan the student $2,000 only on the *condition* that the student's father, the businessman, guarantee it. The businessman was not compensated, but he promised to guarantee the loan in writing *before* the friend loaned $2,000 to the student. Therefore, although the businessman died the following day before receiving notice of the loan, his promise *was* supported by consideration (ie, the loan to his daughter) **(Choices B & C)**.

Additionally, a guarantor's **offer** to form a suretyship can be **accepted by promising to give** the loan or **giving the loan**. Here, the businessman's offer to form a suretyship was accepted when the friend loaned the student $2,000 on September 15—*before* the businessman died on September 16 **(Choice A)**. As a result, none of these will serve as effective defenses for the businessman's estate.

Educational objective:

A promise to guarantee a debt is supported by consideration if (1) the guarantor is compensated, (2) the loan is conditioned on obtaining a guarantee, or (3) the promise is made before or at the same time as the loan.

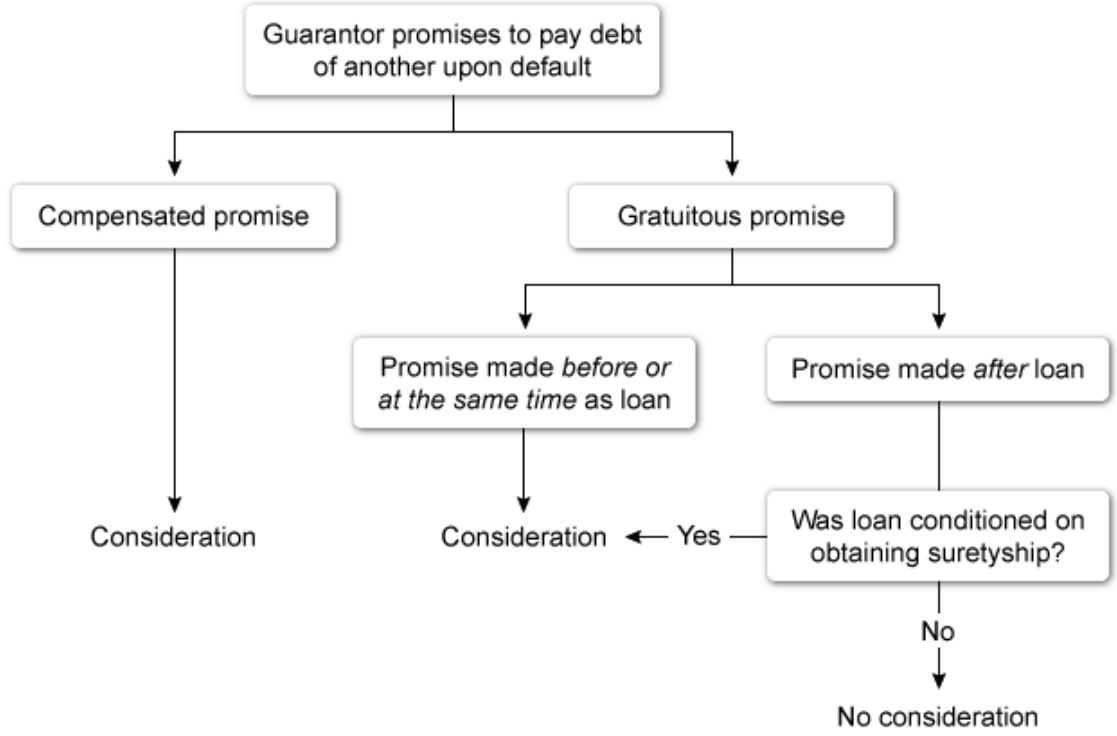
References

Restatement (Second) of Contracts § 88 (Am. Law Inst. 1981) (explaining that a promise to guarantee a loan is binding if the promisor should reasonably expect that promise to induce the loan).

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Consideration for suretyships



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A wallpaper hanger sent a general contractor this fax:

"Will do all paperhanging on the doctor's new building, per owner's specs, for $14,000 if you accept within reasonable time after main contract awarded."

Three competitors sent the general contractor similar bids to hang wallpaper in the doctor's building in the respective amounts of $18,000, $19,000, and $20,000. The general contractor used the wallpaper hanger's $14,000 figure in preparing and submitting her own sealed bid on the doctor's building. Before the bids were opened, the wallpaper hanger truthfully advised the general contractor that the former's sub-bid had been based on a $4,000 computational error and was therefore revoked. Shortly thereafter, the general contractor was awarded the doctor's building construction contract and subsequently contracted with a competitor to wallpaper the building for a price of $18,000.

The general contractor then sued the wallpaper hanger to recover $4,000.

Which of the following, if proved, would most strengthen the general contractor's prospect of recovery?

A. After the wallpaper hanger's notice of revocation, the general contractor made a reasonable effort to subcontract with another paperhanger at the lowest possible price.

B. The general contractor dealt with all of her subcontractors in good faith and without seeking to renegotiate (lower) the prices they had bid.

C. The general contractor had been required by the owner to submit a bid bond in the amount of $50,000 and could not have withdrawn or amended her bid on the main contract without forfeiting that bond.

D. The wallpaper hanger was negligent in erroneously calculating the amount of his sub-bid.

Explanation:

Irrevocable offers

	Type	Description	Consideration	Duration
UCC	**Firm offer**	Merchant gives written & signed assurance that offer will remain open	Not required	Specified or reasonable time
Common law	**Option contract**	Offeror promises to keep offer open in exchange for consideration	Required	
	Partial performance (unilateral contracts)	Offeror invites acceptance only by performance & offeree begins to perform		Reasonable time for full performance
	Promissory estoppel*	Offeror could reasonably foresee reliance on offer & offeree reasonably relies to his/her detriment	Not required	Reasonable time

UCC = Uniform Commercial Code.

*Also referred to as "detrimental reliance."

Under the doctrine of **promissory estoppel** (ie, detrimental reliance), an **offer** is binding as an option contract and is therefore **irrevocable** for a reasonable period of time if:

the offeror **reasonably expected** to **induce reliance** on the offer **before acceptance**
the offeree **reasonably relied** on the offer *and*
reliance caused the offeree to suffer **substantial detriment**.
When such an offer is **revoked *before*** a **reasonable period of time** has passed, the **offeree's remedies** range from **enforcement of the offer** to **reimbursement of expenses** incurred in reliance on the offer.

Here, the wallpaper hanger knew that the general contractor would factor the wallpaper hanger's sub-bid into her bid for the main contract (reasonable expectation of reliance). The general contractor then used the wallpaper hanger's sub-bid in preparing

and submitting her bid (reasonable reliance). Therefore, proof that the general contractor could not have amended or withdrawn her bid without forfeiting a bid bond (substantial detriment) would most strengthen her prospect for recovery.

(Choice A) The general contractor's reasonable efforts to subcontract with another paperhanger at the lowest price (ie, her efforts to mitigate damages) go to the *amount* of her recovery, not to whether she *can* recover.

(Choice B) The general contractor's good-faith dealing with all subcontractors is irrelevant to whether she can recover damages stemming from the revocation of the wallpaper hanger's offer.

(Choice D) The wallpaper hanger's negligence in erroneously calculating the amount of his sub-bid has no bearing on the general contractor's chances of recovery.

Educational objective:

An offer is binding as an option contract and therefore irrevocable if (1) the offeror reasonably expected to induce reliance on the offer before acceptance, (2) the offeree reasonably relied on the offer, and (3) reliance caused the offeree to suffer substantial detriment.

References

Restatement (Second) of Contracts § 87 (Am. Law Inst. 1981) (option contract by detrimental reliance).

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Upon entering a bank to open an account, a customer read a poster on the bank's wall that said, "New Customers! $25 FOR 5 MINUTES. If you stand in line for more than five minutes, we will pay you $25! We like happy customers!" The customer stood in line and started timing his wait. Just as five minutes was about to pass, the bank manager tore the poster down and announced, "The $25 stand-in-line promotion is over." The customer waited in line for 10 more minutes before being served.

Does the customer have a claim against the bank for $25?

A. No, because the bank withdrew its offer before the customer completed the requested performance.

B. No, because the bank's statement was a nonbinding gift promise.

C. Yes, because the bank could not revoke its offer once the customer had commenced performance.

D. Yes, because the customer's presence in line served as notice to the bank that he had accepted.

Explanation:

Bilateral v. Unilateral contracts

	Offer	Effect of beginning performance
Unilateral	Invites acceptance by performance of act	Creates option contract that prevents offeror from revoking offer Offeree is *not* bound to complete performance
Bilateral	Invites acceptance by return promise	Serves as acceptance of offer Offeree is bound to complete performance

An **offer** to form a unilateral contract arises when one party (ie, offeror) invites another party (ie, offeree) to accept an offer only by performing a specified act. The offer becomes irrevocable once the offeree **begins performance**, thereby creating an **option contract**—ie, a separate agreement under which the offer will remain open and irrevocable for a period of time. The offer is **accepted** once the offeree **completes the requested performance**, and a binding unilateral contract is formed.*

Here, the bank's poster offered to pay $25 to any new customer who stood in line for more than five minutes. The new customer read the poster and began performance by standing in line, so the manager could not subsequently withdraw the offer by tearing the poster down and announcing that the promotion was over **(Choice A)**. A binding contract was then formed when the customer completed performance by waiting in line for the specified time. As a result, the customer has a claim against the bank for breaching that contract by failing to pay him $25.

*If the offeree begins but fails to complete the requested performance (ie, partial performance), there is no contract because only complete performance constitutes an acceptance of the offer. As a result, the offeror cannot assert a breach-of-contract claim against the offeree in that scenario.

(Choice B) The bank's statement was not a gift promise because the $25 was offered in exchange for a legal detriment—ie, standing in line for more than five minutes when the customer had no legal obligation to do so.

(Choice D) The customer's presence in line merely created an option contract since a unilateral contract can only be accepted by *completing* the requested performance. But had the bank offered to form a bilateral contract, the customer's presence in line (ie, beginning of performance) would have served as notice of his acceptance.

Educational objective:

To form a unilateral contract, an offeror must invite the offeree to accept an offer by performing a specified act. An irrevocable option contract is created once the offeree begins

performance. A binding unilateral contract will then be formed if the offeree accepts the offer by fully performing the specified act.

References

Restatement (Second) of Contracts § 45 (Am. Law Inst. 1981) (explaining that an option contract is formed when an offeree begins performance after an offer to form a unilateral contract).

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A distributor of industrial products was unhappy with the quality of its previous supplier's heavy-duty electric wall sockets. On April 7, the distributor reached out to a new supplier in an email that stated in its entirety: "Offer to purchase as many industrial straight-blade sockets as you can supply for delivery by May 6." That same day, the supplier responded to the distributor, "Order received. Delivery by May 7."

The supplier sent the distributor 200 of the only industrial straight-blade sockets it carried, at $1 over market price per unit, payment due on delivery. The distributor took delivery of the sockets on May 7 but rejected them without stating any basis for doing so.

If the new supplier sues the distributor for breach of contract, will the supplier be likely to prevail?

A. No, because the quantity of sockets was not specified.

B. No, because the supplier's response contained a different delivery date than the offer.

C. Yes, because the court will apply UCC gap-fillers when the quantity of goods is not specified.

D. Yes, because the offer included a means for determining the quantity of sockets to be sold.

Explanation:

Contract terms must be sufficiently **certain and definite** for the court to determine the existence of a breach and give an appropriate remedy. While the common law requires that all essential terms be covered in the agreement,* the **UCC**—which governs contracts for the sale of goods (eg, sockets)—is more liberal. It encourages contract formation by providing "gap-fillers" for many **missing terms**, but ***not*** the:

identity of the contracting parties

subject matter of the contract *or*

quantity of goods to be sold **(Choice C)**.

A contract must therefore specify a quantity that is **certain or determinable** by **reference to objective facts**, such as the buyer's actual requirements or the seller's actual output in a requirements or output contract. If it does not, the contract fails for indefiniteness.

Here, the parties did not specify the exact quantity of sockets to be sold **(Choice A)**. However, the distributor offered to purchase as many straight-blade sockets as the supplier could supply by May 6. This provides a quantity term that is determinable by reference to objective facts, such as the supplier's inventory between the date the offer was received and May 6. Therefore, the supplier is likely to prevail in a breach-of-contract suit.

*The omission of an essential term is not necessarily fatal if it appears that the parties intended to form a binding agreement. When this occurs, the court can look to the surrounding circumstances and the parties' conduct to fill in the term.

(Choice B) Under the UCC, parties can form a contract even if the offer and the acceptance include different terms. When both parties are merchants (as seen here), most jurisdictions will "knock out" the differing terms and replace them with UCC gap-fillers as needed. Therefore, the differing delivery dates will be knocked out and delivery will be required within a reasonable time.

Educational objective:

The UCC "fills the gap" for missing contract terms other than the parties, subject matter, and quantity. The quantity term must specify an amount that is certain or capable of being made certain by reference to objective facts.

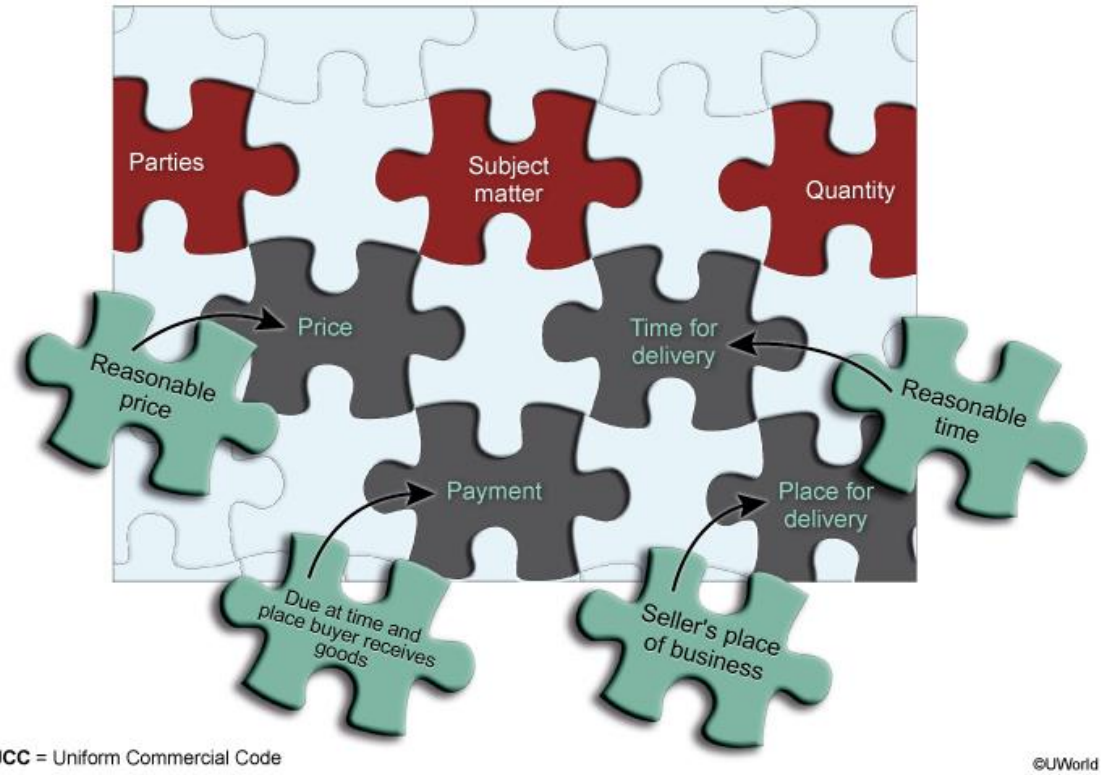
References

U.C.C. § 2-201 cmt. 1 (Am. Law Inst. & Unif. Law Comm'n 2020) (required terms for contracts for sale of goods).

U.C.C. §§ 2-305–2-310 (Am. Law Inst. & Unif. Law Comm'n 2020) (UCC gap-fillers).

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Fillable gaps under the UCC



UCC = Uniform Commercial Code

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On June 1, a seller received a mail order from a buyer requesting prompt shipment of a specified computer model at the seller's current catalog price. On June 2, the seller mailed to the buyer a letter accepting the order and assuring the buyer that the computer would be shipped on June 3. On June 3, the seller realized that he was out of that computer model, shipped a different computer model to the buyer, and mailed a separate notice of accommodation. On June 5, the buyer received the seller's June 2 letter and the different computer model, but not the notice of accommodation.

On June 5, which of the following is a correct statement of the parties' legal rights and duties?

A. The buyer can either accept or reject the different computer model and, in either event, recover damages, if any, for breach of contract.

B. The buyer can either accept or reject the different computer model, but if he rejects it, he will thereby waive any remedy for breach of contract.

C. The seller's notice of accommodation was timely mailed, and his shipment of the different computer model constituted a counteroffer.

D. The seller's prompt shipment of nonconforming goods constituted an acceptance of the buyer's offer, thereby creating a contract for the sale of the different computer model.

Explanation:

Article 2 of the Uniform Commercial Code (**UCC**) governs contracts for the **sale of goods** (eg, computers). Under the UCC, a seller can accept a buyer's offer to purchase goods for prompt or immediate shipment by promising to ship, or shipping, the goods. Once the offer is accepted, the shipped **goods must conform *perfectly*** to the contract. **Nonconformance** is a **breach** that allows the buyer to **accept or reject** the goods in whole or in part. The buyer can also **recover any damages** suffered as a result of the breach.

Here, the buyer mailed an order to the seller requesting prompt shipment of a specified computer model. This was an offer that the seller could accept by promising to ship, or shipping, the computer. The seller promised to ship the computer. However, the seller breached the resulting contract by shipping a different, nonconforming computer model. As a result, the buyer can either accept or reject the different computer model and, in either event, recover any damages for breach of contract **(Choice B)**.

(Choices C & D) The seller's shipment of the nonconforming computer was *not* an acceptance. That is because the seller had already accepted the buyer's offer by promising to ship the specified computer model. As a result, the notice of accommodation is irrelevant.

Educational objective:

The UCC allows a buyer to accept or reject nonconforming goods in whole or in part and, in either event, recover damages for breach.

References

U.C.C. § 2-206 (Am. Law Inst. & Unif. Law Comm'n 2020) (offer and acceptance).

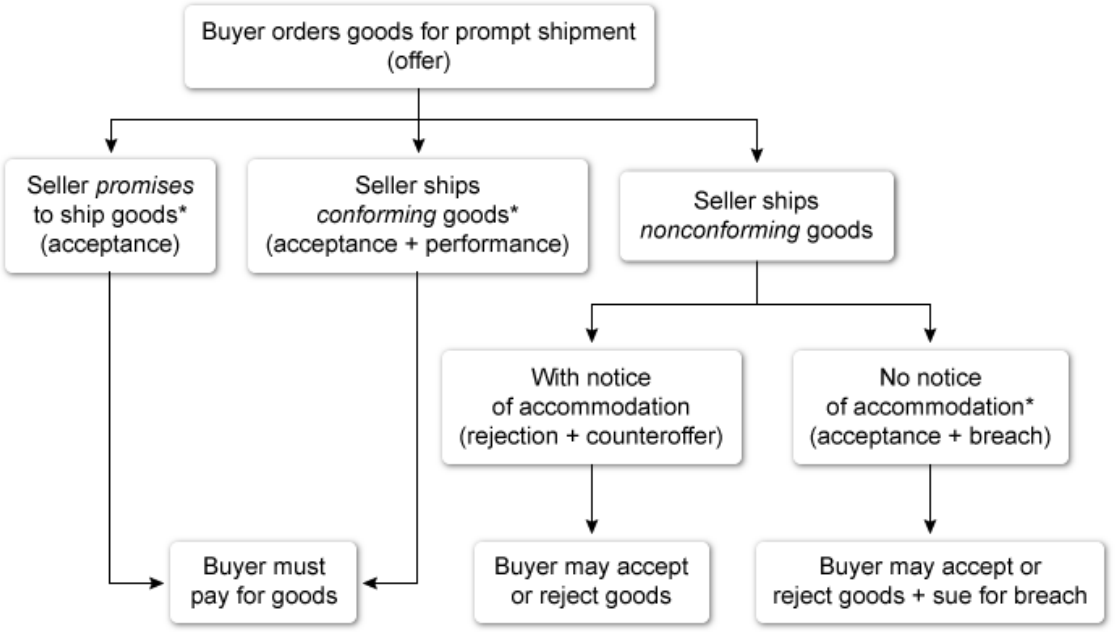
U.C.C. § 2-601 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's rights on improper delivery).

U.C.C. § 2-711 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's remedies for breach).

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Seller's response to buyer's offer
(UCC 2-206)



*Contract formed
UCC = Uniform Commercial Code

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A retiree was known to walk her beloved dog around the neighborhood daily. One evening, she forgot to shut her gate, and her dog escaped. The retiree placed posters around the neighborhood stating, "Lost dog! $500 reward. No questions asked."

The dog had wandered to a nearby store, and the store owner kept the dog and fed it for a few days. A customer saw the dog and told the store owner that it looked like the retiree's dog. The store owner took the dog to the retiree's home, and the dog was happily reunited with its owner. The store owner had not seen the posters and did not ask for the reward.

On the way back to the store, the store owner saw one of the posters and called the retiree to inquire about the reward. The retiree refused to pay the reward.

If the store owner sues the retiree for breach of contract, will the store owner be likely to prevail?

A. No, because the reward poster did not manifest a willingness to enter into an agreement.
B. No, because the store owner was unaware of the reward poster when he returned the dog.
C. Yes, because the parties formed a contract when the store owner returned the dog.
D. Yes, because the retiree's offer could not be revoked after the store owner completed performance.

Explanation:

An **offer** to form a **unilateral contract** invites acceptance only by *performance* of a specified act, while an offer to form a **bilateral contract** invites acceptance by a *promise* to perform the act. But regardless of whether the offer is for a unilateral or bilateral contract, the offer must be reasonably **communicated to the offeree** and the **offeree must be aware** of the **offer to accept it**. Otherwise, there is no mutual assent to form a contract.

Here, the retiree's posters constituted a unilateral offer to pay $500 for the return of her lost dog. The store owner completed the requested performance by returning the dog to the retiree's home. But since the store owner had not yet seen the posters, he was *unaware* of the unilateral offer when he returned the dog. This means that there was no mutual assent, no contract, and no breach **(Choice C)**. Therefore, the store owner is unlikely to prevail.

(Choice A) A communication is an offer if it manifests the offeror's willingness to enter an agreement. Here, the reward poster did just that—it manifested the retiree's willingness to exchange $500 for the return of her dog.

(Choice D) An offer becomes irrevocable after it has been accepted. But here, the store owner did not accept the offer by returning the dog because he was unaware of the retiree's posters at that time. Therefore, the retiree could revoke the offer and refuse to pay the reward.

Educational objective:

Offers to form unilateral or bilateral contracts must be reasonably communicated to the offeree, and the offeree must be aware of the offer to accept it. Otherwise, there can be no mutual assent and therefore no contract.

References

Restatement (Second) of Contracts § 23 (Am. Law Inst. 1981) (explaining that an acceptance must be made with reference to the offer).

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Offer must be communicated to offeree



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A wealthy rancher was drinking at a local bar. The rancher's neighbor walked into the bar, unaware of the rancher's intoxication. On several previous occasions, the neighbor had tried to persuade the rancher to sell his vintage muscle car, but the rancher had refused. Upon seeing the rancher, the neighbor said, "Hey, did you change your mind about selling me that vintage muscle car? I'll increase my offer to $15,000."

The rancher was annoyed and decided to play a joke on the neighbor. The rancher had no intention of selling his car but said, "Fine, I will sell you the car." The rancher then grabbed a napkin and wrote: "You finally bugged me enough! I will sell you my vintage muscle car for $15,000." The rancher signed the napkin and handed it to the neighbor. The neighbor happily walked away, believing that they had formed a binding agreement.

The following day, the neighbor approached the rancher to consummate the sale. The rancher refused to part with the car, claiming that he was intoxicated and merely joking when he wrote the note on the napkin.

If the neighbor sues the rancher for breach of contract, will the neighbor be likely to prevail?

A. No, because the rancher was joking when he wrote the note, so there was no meeting of the minds.

B. No, because the rancher wrote the note while he was intoxicated, which renders the contract voidable.

C. Yes, because the rancher's oral statement and written note were objective manifestations of his intent to enter a contract.

D. Yes, because the written note estops the rancher from asserting any defense based on incapacity to contract.

Explanation:

Contract formation requires **mutual assent** (ie, offer and acceptance). During the negotiation process, the parties are entitled to rely on a reasonable interpretation of each other's words and actions since they cannot know each other's subjective intent. This means that a contract is formed when both parties ***objectively*** **express** their **assent to enter** a **binding agreement**. Once formed, the contract cannot be rescinded because of one party's secret intent not to be bound.

Here, the neighbor offered to buy the rancher's muscle car for $15,000. This was an objective expression of his intent to enter a contract, particularly since he had tried to buy the car on several previous occasions. The rancher orally accepted this offer and wrote the agreement on a napkin (objective assent), without giving any indication that he was joking (secret intent). Therefore, a contract was formed, and the neighbor is likely to prevail in his breach-of-contract suit.

(Choice A) At common law, contract formation required a *subjective* "meeting of the minds." The modern rule, however, looks to the parties' *objective* expressions of assent. Therefore, it is irrelevant that the rancher was subjectively joking and that there was no actual meeting of the minds.

(Choice B) A contract entered while intoxicated is voidable by the intoxicated party if (1) that party was too intoxicated to reasonably understand the nature or consequences of the contract and (2) the other party had reason to know about the intoxication. Here, there is no indication that the rancher was intoxicated to this extent. And since the neighbor had just walked into the bar, he had no reason to know that the rancher was intoxicated.

(Choice D) Both oral and written contracts are voidable by a party who lacked capacity at the time of formation. Therefore, the written note does not estop (ie, prevent) the rancher from asserting an incapacity defense.

Educational objective:

Contract formation requires mutual assent, which occurs when both parties *objectively* convey their assent to enter a binding agreement. The resulting contract cannot be rescinded due to one party's secret intent not to be bound.

References

Lucy v. Zehmer, 196 Va. 493, 503 (1954) (finding a binding contract for the sale of a farm even though the seller was drinking and possibly joking when he signed the agreement).

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Objective theory of contracts



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A borrower owed a lender $50,000 due on March 1. On January 10, the lender telephoned the borrower and said that he would discharge the debt if the borrower would promise to pay the lender $45,000 by January 15. The borrower responded, "I will attempt to get the money together." On January 11, the lender again telephoned the borrower and said that he had changed his mind and would expect the borrower to make full payment on March 1.

On January 15, the borrower tendered $45,000 as full payment, which the lender refused to accept. On March 1, the borrower refused the lender's demand for $50,000, and the lender sued for that amount.

Which of the following statements best supports the lender's position?

A. The borrower's January 10 statement was not a return promise, and therefore the lender effectively revoked his offer on January 11.

B. The January 10 telephone conversation between the lender and the borrower created an executory accord and therefore did not operate as a discharge of the $50,000 debt.

C. The lender's offer to discharge the debt was a gift promise and therefore was not binding on the lender.

D. The lender's promise to discharge the $50,000 debt was not enforceable because it was not in writing.

Explanation:

Termination of offer before acceptance

Offeror's revocation	Offeror communicates revocation directly to offeree Offeree learns information from reliable source that reasonably indicates offer was revoked (eg, house sold to another buyer)
Offeree's rejection	Offeree communicates rejection directly to offeror Offeree's counteroffer serves as rejection & new offer*
Lapse	Time period specified in offer expires After reasonable time if no time period specified in offer
By law	Either party dies or is adjudicated insane Subject matter of offer is destroyed or becomes illegal

*Counteroffer does not terminate offer if offeree manifests intent to take offer under advisement.

To form a **new contract or modify** an existing one, there must be an offer that is accepted and supported by valuable consideration. **Acceptance** occurs when the offeree makes an **objective manifestation to be bound** by the terms of the offer. The offeror is entitled to know in clear terms whether the offeree accepts the offer, so the offeree's acceptance **must be unequivocal** (ie, certain) or it will not bind either party. And **until the offeree accepts** the offer, the **offeror can revoke** it.

Here, the lender's offer to discharge the borrower's $50,000 debt due on March 1 asked that the borrower accept by making a return promise to pay $45,000 by January 15. But the borrower's January 10 statement that he would "attempt to get the money together" was *not* a clear and unequivocal promise to make the earlier payment (no acceptance). Therefore, the lender effectively revoked his offer on January 11 by telling the borrower that he had changed his mind—which supports his position that the borrower still owes the original $50,000 debt.

(Choice B) An executory accord is a contract that is created when parties to an existing contract agree to give and accept something different in satisfaction of their existing contractual obligations. Once the accord is performed, the parties' obligations under the old contract are discharged. Here, an accord could not be created since there was no mutual assent (ie, offer and acceptance).

(Choice C) A gift promise is a promise made without consideration. But since the lender offered to discharge the borrower's debt in exchange for an earlier payment, that offer was *not* a gift promise.

(Choice D) A contract need only be in a writing signed by the party to be charged if the statute of frauds applies—not seen here. Therefore, the lack of a writing would not affect the enforceability of the lender's promise.

Educational objective:

Acceptance requires the offeree to make an objective manifestation of assent that is clear and unequivocal. Until the offeree does so, the offer can be revoked.

References

Restatement (Second) of Contracts § 57 (Am. Law Inst. 1981) (explaining that an offeror is not bound by an equivocal acceptance).

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On March 1, an apartment complex received from an appliance company a signed letter offering to sell 1,200 window air conditioners suitable for the apartments in the complex. The appliance company's offer stated that it would remain open until March 20, but that the apartment complex's acceptance must be received on or before that date. On March 16, the apartment complex posted a letter of acceptance. On March 17, the appliance company emailed the complex to advise that it was revoking the offer. The email was received by the apartment complex on March 17, but the complex's letter did not arrive at the appliance company's address until March 21.

As of March 22, which of the following is a correct statement?

A. The email revoking the offer was effective upon receipt.

B. The mail was the only authorized means of revocation.

C. The offer was revocable at any time for lack of consideration.

D. Under the terms of the appliance company's offer, the apartment complex's attempted acceptance was ineffective.

Explanation:

Termination of offer before acceptance

Offeror's revocation	Offeror communicates revocation directly to offeree Offeree learns information from reliable source that reasonably indicates offer was revoked (eg, house sold to another buyer)
Offeree's rejection	Offeree communicates rejection directly to offeror Offeree's counteroffer serves as rejection & new offer*
Lapse	Time period specified in offer expires After reasonable time if no time period specified in offer
By law	Either party dies or is adjudicated insane Subject matter of offer is destroyed or becomes illegal

*Counteroffer does not terminate offer if offeree manifests intent to take offer under advisement.

Contract formation (ie, the creation of a legally enforceable agreement) requires both an offer and an acceptance (ie, mutual assent). To effectively **accept an offer**, the offeree must:

manifest an **objective intent to be bound** by the terms of the offer *and*

follow any **specifications in the offer** as to the time, place, or manner of acceptance.

Under the mailbox rule, acceptance by mail is generally effective upon dispatch. But the offeror is master of the offer and can therefore override this rule—eg, by stating that acceptance must be received by a certain date.

Here, the appliance company's offer to sell air conditioners specified that acceptance must be received, not merely dispatched, by March 20. Since the apartment complex's reply letter did not arrive at the appliance company's address until March 21, the apartment complex's attempted acceptance was ineffective.

(Choices A, B & C) A merchant's offer is firm (ie, irrevocable) if the merchant provides a written and signed assurance that the offer will be held open for a period of time—no consideration is required. Here, the appliance company (merchant) gave a written and signed assurance that its offer would remain open until March 20. As a result, the offer could not be revoked by email (or any other means) before March 20.

Educational objective:

To accept an offer, the offeree must manifest an objective intent to be bound by the terms of the offer AND follow any specifications in the offer as to the time, place, or manner of acceptance (which override the mailbox rule).

References

Restatement (Second) of Contracts § 60 (Am. Law Inst. 1981) (explaining that an offer's prescriptions regarding the time, place, or manner of acceptance must be complied with to create a contract).

17A Am. Jur. 2d Contracts § 98 (2019) (stating that the parties can modify the default mailbox rule).

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On November 1, an accountant and a lawyer contracted for the sale of the law books the accountant had inherited from his father. The lawyer agreed to pay the purchase price of $10,000 when the accountant delivered the books on December 1.

On November 10, the lawyer received a signed letter from the accountant that stated: "I have decided to dispose of the bookshelves containing the law books you have already purchased. If you want the shelves, I will deliver them to you along with the books on December 1 at no additional cost to you. Let me know before November 15 whether you want them. I will not sell them to anyone else before then." On November 14, the lawyer faxed and the accountant received the following message: "I accept your offer of the shelves." The accountant was not a merchant with respect to either law books or bookshelves.

On November 12, the accountant told the lawyer that he had decided not to part with the shelves.

Will this communication operate as a legally effective revocation of his offer to deliver the shelves?

A. No, because by delaying his acceptance until November 14, the lawyer detrimentally relied on the accountant's promise not to sell the shelves to anyone else in the meantime.
B. No, because the accountant had given a signed assurance that the offer would be held open until November 15.
C. Yes, because the accountant was not a merchant with respect to bookshelves.
D. Yes, because the lawyer had a preexisting obligation to pay $10,000 for the law books.

Explanation:

Irrevocable offers

	Type	Description	Consideration	Duration
UCC	**Firm offer**	Merchant gives written & signed assurance that offer will remain open	Not required	Specified or reasonable time
Common law	**Option contract**	Offeror promises to keep offer open in exchange for consideration	Required	
	Partial performance (unilateral contracts)	Offeror invites acceptance only by performance & offeree begins to perform		Reasonable time for full performance
	Promissory estoppel*	Offeror could reasonably foresee reliance on offer & offeree reasonably relies to his/her detriment	Not required	Reasonable time

UCC = Uniform Commercial Code.

*Also referred to as "detrimental reliance."

Under the **UCC**, an existing contract can be modified by agreement (ie, offer and acceptance) of the parties. An **offer to modify** a contract is generally revocable prior to acceptance. But such an offer is **irrevocable if** it is a **firm offer**—ie, a ***merchant's* written and signed assurance** that his/her offer will be **kept open** for a period of time.

Here, the accountant's letter offering to modify the sales contract was signed and assured the lawyer that the offer would be held open until November 15. Nevertheless, the accountant's offer was revocable since he is not a merchant with respect to bookshelves **(Choice B)**. Therefore, the accountant effectively revoked the offer before it was accepted by telling the lawyer on November 12 that he had decided not to part with the shelves.

(Choice A) Under the doctrine of promissory estoppel, an otherwise revocable offer becomes irrevocable if (1) the offeror could reasonably foresee that the offeree would rely on the offer and (2) the offeree reasonably and detrimentally relied on that offer. But even

if the lawyer reasonably relied on the accountant's offer, he suffered no detriment—eg, expenses to prepare for the shelves' delivery.

(Choice D) The fact that the lawyer had a preexisting obligation to pay $10,000 for the law books shows that there would have been no new consideration for the proposed modification. But consideration is not required to modify a sale-of-goods contract.

Educational objective:

Under the UCC, an offer to modify a contract is generally revocable unless it is a firm offer—ie, a merchant's written and signed assurance that his/her offer will remain open for a period of time.

References

U.C.C. § 2-205 (Am. Law Inst. & Unif. Law Comm'n 2020) (firm offers).

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A car dealer owed a bank $10,000, due on June 1. The dealer subsequently sold a car to a buyer at a price of $10,000, payable at $1,000 per month beginning on June 1. The dealer then telephoned the bank to ask whether the bank would accept payments of $1,000 per month for 10 months beginning June 1, without interest, in payment of the dealer's debt to the bank. The bank agreed to that arrangement, and the dealer then asked the buyer to make his car payments directly to the bank. When the buyer tendered the first payment to the bank, the bank refused the payment, asserting that it would accept payment only from the dealer. On June 2, the bank demanded that the dealer pay the debt in full immediately. The dealer refused to pay, and the bank sued the dealer to recover the $10,000.

In this suit, which of the following arguments best supports the bank's claim for immediate payment?

A. The agreement to extend the time for payment was not in writing.

B. The dealer could not delegate its duty to pay to the buyer.

C. The dealer gave no consideration for the agreement to extend the time of payment.

D. The dealer's conduct was an attempted novation that the bank could reject.

Explanation:

Consideration problems that prevent contract formation

Gift	No bargained-for exchange
Token consideration	No inducement to bargain if performance entirely devoid of value
Sham consideration	No legal detriment & no inducement to bargain if recited performance not intended to be completed
Preexisting duty / past consideration	No legal detriment if performance already owed or completed
Illusory promise	No legal detriment if apparent promise imposes no obligation

Contract modifications must generally be supported by **new consideration**—ie, each party must alter its duties in some way—**unless** the modification is **fair and equitable** in light of **unanticipated circumstances**. The promise to perform, or the performance of, a **preexisting duty is insufficient** for new consideration and will not discharge the parties' duties under the initial (ie, unmodified) contract.

Here, the car dealer owed the bank $10,000, due on June 1. When the dealer asked whether the bank would accept installment payments beginning on June 1, the bank agreed. But the reason for the dealer's request (ie, the car sale) is not a circumstance that renders consideration unnecessary since it was completely unrelated to the debt owed to the bank. And since the dealer had a preexisting duty to pay that debt, he gave no consideration for the agreement to extend the time of payment. Therefore, the bank has a claim for immediate payment.

(Choice A) A writing is not required to modify a contract unless the statute of frauds applies to the modified contract (not seen here).

(Choice B) Absent a contrary term, either party to a contract *can* delegate its duty of performance to a third party. However, this would not extinguish the party's liability for breach should the third party fail to perform.

(Choice D) A novation is a new contract that (1) substitutes a new party for one of the original parties, (2) discharges the original party's obligations, and (3) requires agreement by all the parties involved. But here, the bank never agreed to substitute the buyer or discharge the dealer's debt.

Educational objective:

Modification of an existing contract requires new consideration unless the modification is fair and equitable due to unanticipated circumstances. A promise to perform a preexisting duty does not constitute new consideration.

References

Restatement (Second) of Contracts § 73 (Am. Law Inst. 1981) (explaining that performance of a pre-existing legal duty is not consideration).

Restatement (Second) of Contracts § 89 (Am. Law Inst. 1981) (explaining that modification of a contract without new consideration is binding if it is fair and equitable in view of unanticipated circumstances).

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On May 1, an uncle mailed a letter to his adult nephew that stated: "I am thinking of selling my pickup truck, which you have seen and ridden in. I would consider taking $7,000 for it." On May 3, the nephew mailed the following response: "I will buy your pickup for $7,000 cash." The uncle received this letter on May 5 and on May 6 mailed a note that stated: "It's a deal." On May 7, before the nephew had received the letter of May 6, he phoned his uncle to report that he no longer wanted to buy the pickup truck because his driver's license had been suspended.

Which of the following statements concerning this exchange is accurate?

A. There was a contract as of May 3.

B. There was a contract as of May 5.

C. There was a contract as of May 6.

D. There is no contract.

Explanation:

Contract negotiations by mail*

Offeror's actions	Offer	Effective upon receipt
	Revocation of offer	
Offeree's actions	Acceptance (mailbox rule)	Effective upon dispatch Exceptions—effective upon receipt if: improperly stamped/addressed acceptance by mail unreasonable rejection mailed before acceptance (first received is effective) acceptance of option contract offer states acceptance effective only upon receipt
	Rejection/counteroffer	Effective upon receipt

*Applicable under common law & UCC.

Contract formation begins with an **offer** that expresses more than a mere willingness to negotiate. The offer must (1) communicate **definite terms** to the offeree and (2) make an **objectively reasonable** expression of the offeror's **intent** to enter a **binding contract**. Here, the uncle's May 1 letter was *not* an offer since he was merely "thinking" of selling his pickup truck and would "consider" taking $7,000. In contrast, the nephew's May 3 response was an offer because it expressed definite terms ("$7,000 cash") and an intent to be bound ("I *will* buy").

Once an offer has been made, a contract will be formed if the offeree **accepts the offer** before it is revoked. Under the **mailbox rule**, acceptance by mail is:

permitted if mail is a **reasonable method** of communicating acceptance—eg, when the offer was communicated by mail *and*

effective upon dispatch—ie, when the acceptance is properly addressed and placed with the postal service with paid postage.

Here, the uncle received the nephew's offer on May 5. The uncle reasonably accepted this offer by mailing a note on May 6 since the parties had been negotiating by mail. As a result, there was a binding contract as of May 6 that prevented the nephew from revoking his offer on May 7 **(Choices A & B)**.

(Choice D) Had the subject matter of the offer become illegal prior to acceptance, the offer would have been terminated by law and no contract would have been formed. Here, the nephew's suspended license only made it illegal for him to drive the truck—not to purchase it. Therefore, this did not cause the offer to terminate.

Educational objective:

An offer to form a contract must (1) communicate definite terms to the offeree and (2) make an objectively reasonable expression of the offeror's intent to enter a binding contract. Such an offer can then be accepted by mail, and will be effective upon dispatch, if a mailing is a reasonable method of communicating acceptance.

References

Restatement (Second) of Contracts § 24 (Am. Law Inst. 1981) (requirements for an offer).

Restatement (Second) of Contracts § 63 (Am. Law Inst. 1981) (requirements for acceptance).

17A Am. Jur. 2d Contracts § 98 (Am. Law Inst. 2019) (mailbox rule).

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An Impressionist painting valued at $400,000 was stolen from an art collector's home. The collector, who had insured the painting for $300,000 with an insurance company, promised to pay $25,000 to a full-time investigator for the insurance company if he effected the return of the painting to her in good condition. The insurance company's rules permit its investigators to accept and retain rewards from policyholders for the recovery of insured property. The investigator, by long and skillful detective work, recovered the picture and returned it undamaged to the collector.

If the collector refuses to pay the investigator anything, and he sues her for $25,000, what is the probable result under the prevailing modern rule?

A. The collector wins, because the insurance company, the investigator's employer, had a preexisting duty to return the recovered painting to the collector.

B. The collector wins, because the investigator owed the insurance company a preexisting duty to recover the picture if possible.

C. The investigator wins, because the collector will benefit more from return of the $400,000 painting than from receiving the $300,000 policy proceeds.

D. The investigator wins, because the preexisting duty rule does not apply if the promisee's (the investigator's) duty was owed to a third person.

Explanation:

Preexisting duty rule

Traditional common law rule	Promise to perform, or performance of, preexisting duty does not constitute consideration
Modern exception	Consideration exists if preexisting duty owed to third person (ie, nonparty to contract)

An **enforceable contract** must be supported by **consideration**—ie, a bargained-for exchange of promises or performance. Under the **preexisting duty rule**, the promise to perform, or the performance of, a legal duty that is already owed generally does not qualify as consideration. But under the **modern exception** to this rule, such a promise or performance *is* **consideration if** the preexisting duty is **owed to a third person**—ie, someone who is not a party to the contract in question.

Here, the art collector promised to pay the investigator $25,000 to find and return her stolen painting. Although the investigator owed his employer (the insurance company) a preexisting duty to recover that painting if possible, the insurance company was a third person with respect to the investigator's agreement with the collector **(Choice B)**. This means that the traditional preexisting duty rule does not apply, and the investigator's recovery of the painting is sufficient consideration for the collector's promise. Therefore, the investigator will probably win.

(Choice A) Had the collector promised to pay the reward to the *insurance company*, then its preexisting duty under the insurance policy would make the collector's promise unenforceable. But since the collector promised to pay the *investigator*, the insurance company's preexisting duty is irrelevant.

(Choice C) The fact that the collector will benefit more from the return of the painting than from receiving the policy proceeds has no effect on the outcome of this dispute.

Educational objective:

The promise to perform, or the performance of, a preexisting duty is not consideration unless the preexisting duty is owed to a third person (ie, someone who is not a party to the contract in question).

References

Restatement (Second) of Contracts § 73 cmt. d (Am. Law Inst. 1981) (explaining that the performance of a preexisting contractual duty can be consideration if the duty is not owed to the promisor).

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A testator, whose nephew was his only heir, died leaving a will that gave his entire estate to charity. His nephew, knowing full well that the testator was of sound mind all of his life, and having no evidence to the contrary, nevertheless filed a suit contesting the testator's will on the ground that the testator was incompetent when the will was signed. The testator's executor offered the nephew $5,000 to settle the suit, and the nephew agreed.

If the executor then repudiates the agreement and the foregoing facts are proved or admitted in the nephew's suit against the executor for breach of contract, is the nephew entitled to recover under the prevailing view?

A. No, because an agreement to oust the court of its jurisdiction to decide a will contest is contrary to public policy.

B. No, because the nephew did not bring the will contest in good faith.

C. Yes, because the agreement was a bargained-for exchange.

D. Yes, because the law encourages the settlement of disputed claims.

Explanation:

A contract is generally formed when a mutual agreement is supported by valuable consideration—ie, a bargained-for exchange of promises or performance. A **promise to surrender** a **claim or defense** can serve as **consideration for a settlement agreement** so long as:

the claim or defense is **valid or subject to** a **good-faith dispute** *or*
the **surrendering party honestly believes** that the claim or defense **may be valid**.
If the surrendering party knows that the claim or defense is invalid, an agreement to surrender it lacks consideration and is therefore unenforceable.

Here, the nephew agreed to settle his suit contesting the testator's will in exchange for $5,000. But the nephew did *not* honestly believe that his claim was valid (ie, he did not bring the will contest in good faith) since he knew that the testator was of sound mind his whole life and had no contrary evidence. Therefore, the nephew's settlement agreement with the executor is unenforceable for lack of bargained-for consideration, and the nephew is not entitled to recover **(Choice C)**.

(Choices A & D) The law *does* encourage the settlement of legal claims—but not those brought in bad faith. Had the nephew brought the will contest in good faith, there would have been no issue with settling out of court.

Educational objective:

A promise to surrender a claim or defense constitutes consideration for a settlement agreement so long as (1) the claim or defense is valid or subject to a good-faith dispute or (2) the surrendering party believes that the claim or defense may be valid.

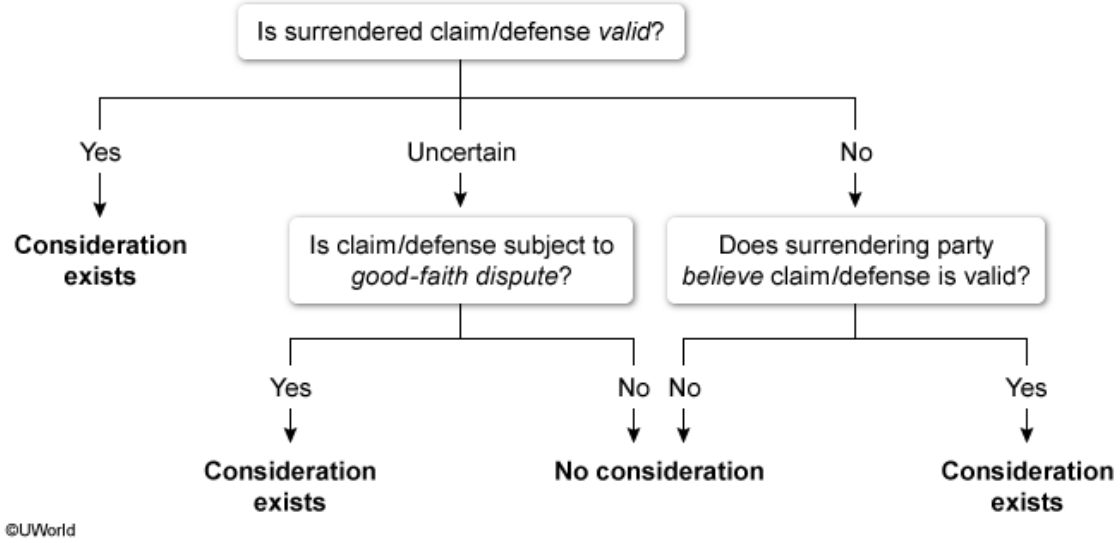
References

Restatement (Second) of Contracts § 74 (Am. Law Inst. 1981) (settlement of claims).

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Consideration for settlement agreements



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A woman was driving home from a crowded shopping mall when a passenger van ran through a stoplight at great speed and hit the woman's car. A physician who witnessed the incident pulled over to the woman's car and saw that her shoulder was seriously injured. The physician told the woman he was a licensed surgeon before helping her out of the car. The woman was delirious and too shaken to speak as the physician removed several glass fragments from her shoulder and applied temporary sutures to close the wound. When the physician finished, he took the woman's contact information and promised to check on her condition later.

If the physician subsequently sends the woman a bill for his services, will she be obligated to pay it?

A. No, because it would be unconscionable to require that the woman pay for the physician's emergency medical services.

B. No, because the physician had a duty to render aid to the woman once he saw that she was injured.

C. Yes, because an implied-in-fact contract was created when the woman allowed the physician to treat her.

D. Yes, because the law will imply a promise to pay for emergency services the physician rendered to the woman.

Explanation:

In the absence of any contractual relationship between the parties, courts have the power to construct an **implied-in-law ("quasi") contract** to prevent unjust enrichment when:

the plaintiff has conferred a **measurable benefit** (eg, medical services) on the defendant
the plaintiff acted **without gratuitous intent** *and*
it would be **unfair** to let the defendant **retain the benefit** without compensating the plaintiff.
Unfair retention of a benefit arises when (1) the defendant had an opportunity to decline the benefit but knowingly accepted it or (2) the plaintiff had a reasonable excuse for not giving the defendant such opportunity—often because of an emergency. This allows the plaintiff in a quasi-contract action to recover restitutionary damages equal to the reasonable value of the benefit conferred.

Here, the physician conferred a measurable benefit on the woman when he removed glass from her shoulder and closed the wound. Medical services are typically provided with the expectation of compensation. And since the woman was delirious and too shaken to speak, it was reasonable for the physician to act without obtaining her express consent. Therefore, she must pay the physician's bill because the law will imply a promise to pay for his service.

(Choice A) Allowing the woman to retain a benefit without compensating the physician would be unjust—not unconscionable. Unconscionability instead arises when a contract is so unfair to one party that no reasonable person in that position would have agreed to it.

(Choice B) The physician may have had a moral duty to aid the woman once he saw that she was injured, but he had no legal duty to do so.

(Choice C) An implied-in-*fact* contract arises when the parties' conduct (or failure to act) demonstrates their mutual intent to contract. But here, a court would *not* find that the woman intended to contract with the physician since she was delirious and unable to speak.

Educational objective:

Courts will construct an implied-in-law ("quasi") contract where the plaintiff has conferred a measurable benefit on the defendant without gratuitous intent and it would be unfair to let the defendant retain the benefit without compensating the plaintiff.

References

Restatement (Third) of Restitution & Unjust Enrichment § 20 (Am. Law Inst. 2011) (protection of another's life or health).

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Examples of implied-in-law contracts





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A businesswoman entered into a contract with a painter by the terms of which he was to paint the businesswoman's office for $1,000 and was required to do all the work over the following weekend so as to avoid disruption of her business.

If the painter had started to paint on the following Saturday morning, he could have finished before Sunday evening. However, he stayed home that Saturday morning and did not start to paint until Saturday afternoon. By late Saturday afternoon, the painter realized that he had underestimated the time it would take to finish the job if he continued to work alone. The painter phoned the businesswoman at her home and accurately informed her that it was impossible to finish the work over the weekend unless he hired a helper. He also stated that to do so would require an additional charge of $200 for the work. The businesswoman told the painter that she apparently had no choice but to pay "whatever it takes" to get the work done as scheduled.

The painter hired an assistant to help finish the painting and paid him $200. The businesswoman has offered to pay the painter $1,000. The painter is demanding $1,200.

How much is the painter likely to recover?

A. $1,000 only, because the businesswoman received no consideration for her promise to pay the additional sum.

B. $1,000 only, because the businesswoman's promise to pay "whatever it takes" is too uncertain to be enforceable.

C. $1,200, because the impossibility of the painter's completing the work alone discharged the original contract and a new contract was formed

D. $1,200, in order to prevent the businesswoman's unjust enrichment.

Explanation:

Modifying existing contracts

Governing law		Requirements
Common law	Traditional view	Parties' agreement New consideration
	Modern view	Parties' agreement New consideration *unless* modification is fair & equitable due to unanticipated circumstances
UCC		Parties' agreement Good faith (ie, honesty & observance of reasonable commercial standards of fair dealing) New consideration *not* required

UCC = Uniform Commercial Code.

At common law, **contract modifications** must be supported by **new consideration**—ie, each party must alter its duties in some way—unless the modification is fair and equitable in light of unanticipated circumstances. But the promise to perform, or the performance of, a **preexisting duty is insufficient** for new consideration and cannot support a modification.

Here, the painter attempted to modify the $1,000 contract by telling the businesswoman that he needed to hire a helper, which would require an additional charge of $200. Although the businesswoman agreed to pay "whatever it takes," the painter had a preexisting duty to finish painting over the weekend. Therefore, the businesswoman received no consideration for her promise to pay the additional sum, and the painter is likely to recover $1,000 only.

(Choice B) There is no consideration if either party makes an illusory promise—ie, one that essentially pledges nothing because it is too uncertain (or because the promising party can choose whether to honor it). But the businesswoman's promise to pay "whatever it takes" was not too uncertain since it was a response to the painter's statement that he needed an additional $200 to finish the work.

(Choice C) Contractual duties can be discharged due to impossibility—eg, when an unanticipated or extraordinary event makes it impossible to perform. But here, the painter's inability to finish the work was due to his own delay—not an unanticipated or extraordinary event.

(Choice D) A party may recover restitution damages to prevent unjust enrichment if the party conferred a non-gratuitous benefit on another without a contractual obligation to do so. Here, the painter conferred a non-gratuitous benefit by paying the helper $200 to finish

the work. However, since the painter was already obligated to paint the office for $1,000, the businesswoman was not unjustly enriched by his expenditure.

Educational objective:

At common law, contract modifications generally must be supported by new consideration, which requires both parties to alter their duties in some way. Performing or promising to perform a preexisting duty is insufficient for consideration and will not support a modification.

References

Restatement (Second) of Contracts § 73 (Am. Law Inst. 1981) (explaining that performance of a preexisting legal duty is not consideration).

Restatement (Second) of Contracts § 89 (Am. Law Inst. 1981) (explaining that modification of a contract without new consideration is binding if it is fair and equitable in view of unanticipated circumstances).

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An ice hockey goalie received word that his favorite team's only backup goaltender had been injured in an accident and would likely be unable to play during the upcoming season. The goalie sent a letter to the team's general manager on September 18 offering to play for the team for an annual salary of $450,000. The general manager received the offer letter on September 21 and, in desperation, immediately mailed the goalie a letter accepting the offer on behalf of the team.

On September 22, the team's injured goaltender made a miraculous recovery and the general manager sent the goalie a second letter rejecting the goalie's offer. The goalie received the general manager's rejection on September 25 and received the general manager's acceptance the following day.

Was a contract formed between the goalie and the ice hockey team?

A. No, because the goalie received the general manager's rejection before the acceptance.
B. No, because there was no meeting of the minds between the goalie and the general manager.
C. Yes, because the team assumed the risk that the backup goaltender would recover from his injury.
D. Yes, because the team effectively accepted the goalie's offer prior to the attempted rejection.

Explanation:

Contract formation requires both an offer and an acceptance (ie, mutual assent). Under the **mailbox rule**, an acceptance by mail is generally effective upon dispatch, while a rejection is effective only upon receipt. If the offeree has a change of heart and sends:

An ***acceptance*** **followed by a** ***rejection*** – a **contract is formed** upon **dispatch of the acceptance**, regardless of which communication is received first

A ***rejection*** **followed by an** ***acceptance*** – a contract is formed if the acceptance is received first; in contrast, no contract is formed if the rejection is received first*

Here, the general manager sent a letter accepting the goalie's offer followed by a second letter rejecting the offer. Because the acceptance was *sent first*, a contract was formed upon dispatch of the acceptance. This is true even though the goalie received the general manager's rejection before the acceptance **(Choice A)**. Therefore, an enforceable contract exists between the goalie and the ice hockey team because the team effectively accepted the goalie's offer prior to the attempted rejection.

*However, the offeree may be estopped from enforcing the contract if the offeror received the rejection first and detrimentally relied upon it.

(Choice B) "Meeting of the minds" refers to the parties' mutual assent to form a contract based on agreed-upon terms. Here, there *was* a meeting of the minds because the goalie offered to play for the team for $450,000 and the general manager accepted the terms of that offer.

(Choice C) The fact that the team assumed the risk of the injured goaltender's recovery would prevent the team from asserting certain *defenses* to enforcement of a contract (eg, impracticability). But here, the question is whether the parties *formed* a contract.

Educational objective:

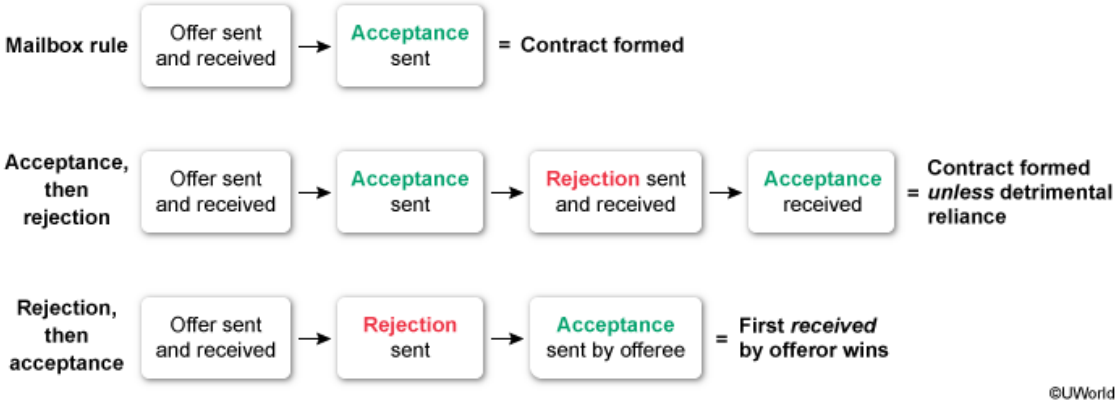
Where an offeree mails an acceptance and later mails a rejection, a contract is formed upon dispatch of the acceptance—regardless of which communication is received first.

References

Restatement (Second) of Contracts § 63 (Am. Law Inst. 1981) (time when acceptance takes effect).

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Operation of the Mailbox Rule



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A debtor owed a lender $1,500. The statute of limitations barred recovery on the claim. The debtor wrote to the lender, stating, "I promise to pay you $500 if you will extinguish the debt." The lender agreed.

Is the debtor's promise to pay the lender $500 enforceable?

A. No, because the debtor made no promise not to plead the statute of limitations as a defense.

B. No, because there was no consideration for the debtor's promise.

C. Yes, because the debtor's promise provided a benefit to the lender.

D. Yes, because the debtor's promise to pay part of the barred antecedent debt needs no consideration to be enforceable.

Explanation:

Exceptions to preexisting-duty rule

Main rule		Promise to perform (or performance of) preexisting duty is not consideration
Common-law exceptions	**New/altered consideration**	New duty added or preexisting duty altered (eg, acceleration of due date)
	Ratification of voidable duty	New promise to perform voidable duty (eg, upon reaching age of majority)
	Honest dispute	Scope of duty honestly disputed
	Unexpected event	Fair & equitable modification in view of unanticipated circumstances
	Renewed promise	Renewed promise to pay preexisting debt despite technical defense (eg, statute of limitations, bankruptcy) if written or partially performed
	Third party	Third party offers additional promise that is contingent on performance of preexisting duty
UCC exception	**Modification**	Modification sought in good faith—ie, honesty and observance of reasonable commercial standards of fair dealing

UCC = Uniform Commercial Code.

A promise to perform a preexisting duty is generally unenforceable for lack of consideration. But under a long-established exception to this rule, a debtor's **renewed promise to pay** all or part of a **preexisting debt** is **enforceable** if:

the debtor renewed the promise despite the existence of a **technical defense** to recovery of the original debt (eg, statute of limitations, bankruptcy) *and*

the renewed promise was made **in writing or partially performed**.

Here, the statute of limitations barred recovery on the lender's claim against the debtor for $1,500. Despite this defense, the debtor made a renewed promise to pay $500 of the preexisting debt. And though there was no consideration for this promise, it was made in a *written* letter **(Choice B)**. Therefore, the debtor's promise to pay $500 is enforceable without consideration.

(Choice A) Although the debtor made no promise to waive his statute-of-limitations defense, his renewed promise to pay part of the debt is still enforceable since it was made in writing despite being time-barred. And that promise will defeat the statute-of-limitations defense with respect to $500 of the debt.

(Choice C) Early case law described the consideration requirement in terms of *benefit* to the promisee (here, the lender), whereas modern courts focus instead on legal *detriment* to the promisor (here, the debtor). But whether the debtor's promise was a benefit or a detriment is irrelevant because consideration is not required.

Educational objective:

A promise to perform a preexisting duty is generally unenforceable. But a debtor's renewed promise to pay all or part of a preexisting debt is enforceable if the debtor renewed his/her promise despite a technical defense (eg, statute of limitations) AND the renewed promise was made in writing or partially performed.

References

Restatement (Second) of Contracts § 82 (Am. Law Inst. 1981) (explaining that a renewed promise to pay a preexisting debt is binding if that debt would be binding except for the statute of limitations).

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A written construction contract, under which a contractor agreed to build a new house for a landowner at a fixed price of $200,000, contained the following provision: "Prior to construction or during the course thereof, this contract may be modified by mutual agreement of the parties as to 'extras' or other departures from the plans and specifications provided by the landowner and attached hereto. Such modifications, however, may be authorized only in writing, signed by both parties."

During construction, the contractor incorporated into the structure overhanging gargoyles and other "extras" orally requested by the landowner for orally agreed prices in addition to the contract price. The landowner subsequently refused to pay anything for such extras, aggregating $30,000 at the agreed prices, solely on the ground that no written, signed authorization for them was ever effected.

If the contractor sues the owner on account of the "extras," which, if any, of the following will effectively support the landowner's defense?

A. The parol evidence rule and the failure of an express condition.
B. The parol evidence rule and the statute of frauds.
C. The preexisting duty rule and the failure of an express condition.
D. Neither the parol evidence rule, the preexisting duty rule, the failure of an express condition, nor the statute of frauds.

Explanation:

The **parol evidence rule** generally prevents a party to a written contract from presenting evidence of a *prior or contemporaneous* agreement that contradicts the terms of the contract as written. But this rule **does not bar** evidence of ***subsequent* agreements** between the parties (eg, the parties' oral modifications regarding "extras" that occurred after the contract was entered) **(Choices A & B)**.

An **express condition** is an explicit clause stating that an uncertain future event will (1) create a duty to perform (ie, condition precedent) or (2) extinguish a duty to perform (ie, condition subsequent). In addition, a party's **duty to perform** is **excused** if a **condition precedent fails** to occur. Here, the landowner's duty to pay for extras required a written modification signed by both parties—not the occurrence of an uncertain future event. Therefore, the failure to make such a writing was not a failure of an express condition **(Choices A & C)**.

Under the **statute of frauds**, certain types of contract modifications must be in writing and signed by the party against whom enforcement is sought. But a signed writing is not required to modify a construction contract if the modified contract can be completed within one year. And here, there is no indication that construction would necessarily take more than one year **(Choice B)**.

Contract modifications require **new consideration**—ie, each party must alter his/her duties in some way. But a promise to perform, or the performance of, a **preexisting duty does not constitute consideration**. Here, the parties agreed that any "extras" would require a written modification—ie, there was no preexisting duty to provide extras. Therefore, the parties' oral modifications *were* supported by consideration **(Choice C)**.

Educational objective:

In a contract dispute, (1) the *parol evidence rule* can exclude evidence that contradicts a written contract, (2) the *failure of an express condition* can excuse a duty to perform, (3) the *statute of frauds* can invalidate an unwritten or unsigned contract, and (4) the *preexisting duty rule* can make a contract unenforceable for lack of consideration.

References

Restatement (Second) of Contracts § 213 (Am. Law Inst. 1981) (explaining that an integrated writing supersedes inconsistent terms of prior agreements).

Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (explaining that the non-occurrence of a condition precedent discharges the duty to perform when the condition can no longer occur).

Restatement (Second) of Contracts § 125 (Am. Law Inst. 1981) (statute of frauds vis-à-vis transfers of land).

Restatement (Second) of Contracts § 73 (Am. Law Inst. 1981) (explaining that performance of a preexisting legal duty is not consideration).

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A seller and a farmer formed a written, signed contract for the sale of a 500-acre tract of farmland. The contract provided for exchange of the deed for $500,000 in cash on January 15. On January 15, the seller notified the farmer that because the tenant currently residing on the farmland wrongfully refused to quit the premises, the seller could not deliver possession until January 30. On January 30, the farmer accepted the conveyance, paid the $500,000, and took possession of the farmland while reserving his rights to any damages caused by the seller's breach.

The farmer had purchased 500 head of cattle to be delivered to the farmland on January 15. Because he did not have possession of the farmland on that date, he had to rent another pasture for $2,000 to graze the cattle for 15 days. The seller had no reason to know the farmer purchased cattle or planned to graze them on the farmland. Throughout January, the farmland's market value was $510,000 and its fair monthly rental value was $5,000.

In an action by the farmer against the seller for damages, what is the farmer is entitled to recover?

A. $2,500 only (the fair rental value of the farmland for 15 days).
B. $2,500 (the fair rental value of the farmland for 15 days), plus $2,000 (the cost of grazing the cattle elsewhere for 15 days).
C. Nominal damages only, because the market value of the land exceeded the contract price.
D. Nothing, because by paying the purchase price on January 30, he waived whatever cause of action he may have had.

Explanation:

Alternative bases for recovery when loss in value uncertain

Delayed use of property	Fair rental value of property during period of delay OR Interest on value of property made unproductive by breach
Defective or unfinished construction	Diminution in market price of property caused by breach OR Reasonable cost of completing performance or remedying defects

A nonbreaching party's recovery is typically based on the loss in value to that party caused by the breach. But if the loss in value cannot be proved with reasonable certainty and there is a reasonable alternative to loss in value, the nonbreaching party may claim damages based on that alternative. For example, if a **breach delays** the **use of property**, the nonbreaching party may **recover damages based on**:

the **fair rental value** of the property during the **period of the delay** *or*
interest on the value of the property that has been made unproductive by the breach.

Here, the seller breached the land-sale contract by failing to deliver possession of the farmland on January 15 as agreed. On January 30, the farmer accepted the conveyance, paid the purchase price, and took possession of the farmland while reserving his right to sue for any damages caused by the seller's breach **(Choice D)**. As a result, the farmer is entitled to recover $2,500—the fair rental value of the farmland for the 15-day period during which he was denied possession.

However, the farmer is *not* entitled to recover $2,000 for the cost of grazing the cattle elsewhere for 15 days. The reason is that consequential damages arising from the nonbreaching party's special circumstances are **only recoverable if** the breaching party (1) **knew about** the **special circumstances** or (2) could have **reasonably foreseen the harm**, in light of those circumstances, that would result from the breach. Here, the seller had no reason to know that the farmer had purchased cattle or planned to graze them on the farmland **(Choice B)**.

(Choice C) The fact that the market value of the farmland ($510,000) exceeded the contract price ($500,000) does not limit the farmer's recovery to nominal damages only.

Educational objective:

If a breach delays the use of property, the nonbreaching party may recover damages based on (1) the fair rental value of the property during the delay period or (2) interest on the value of the property made unproductive by the breach.

References

Restatement (Second) of Contracts § 348 (Am. Law Inst. 1981) (alternatives to loss in value of performance).

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A fugitive was wanted for murder. The authorities offered the following reward: "$20,000 to anyone who provides information leading to the arrest and conviction of this fugitive." A private detective knew of the reward, located the fugitive, and brought him to the authorities, who arrested him. The authorities then determined that although the fugitive had, in fact, committed the crime, he had been directed to do so by his boss. The authorities and the fugitive then agreed that in exchange for the fugitive's testimony against his boss, all charges against the fugitive would be dropped. The fugitive testified and was released. The authorities refused to pay the reward to the private detective on the ground that the fugitive was never convicted.

Would the private detective be likely to prevail in a breach of contract action against the authorities?

A. No, because the express conditions set out in the reward offer were not met.

B. No, because the private detective failed to notify the authorities that he had accepted the reward offer.

C. Yes, because the authorities' agreement with the fugitive was against public policy.

D. Yes, because the authorities themselves prevented the conviction of the fugitive.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

A party may generally avoid performance until a condition precedent—ie, an uncertain future event that must occur before either or both party's performance becomes due—has occurred. The **nonoccurrence of a condition** may be **excused**, however, if the party protected by the condition **wrongfully prevents or interferes** with its occurrence (eg, through a breach of the implied duty of good faith and fair dealing).

Here, the authorities' duty to pay the reward was subject to two conditions precedent—the arrest *and* conviction of the fugitive. The implied duty of good faith and fair dealing imposed a duty on the authorities to refrain from hindering either condition's occurrence. However, they breached that duty by agreeing to drop all charges against the fugitive despite their determination that he had committed the crime, thus excusing the express condition of conviction that was not met **(Choice A)**. Therefore, the detective's suit will likely prevail.

(Choice B) In a unilateral contract, an offeree who accepts by completing the requested performance must give notice if he/she has reason to know that the completed performance will *not* come to the offeror's attention within a reasonable time. Here, there was no need for the detective to notify the authorities that he had accepted their reward offer because they learned of his performance when he brought the fugitive to them.

(Choice C) Whether the authorities' agreement with the fugitive was against public policy goes to the enforceability of the agreement between the fugitive and the authorities; it has no bearing on the outcome of this dispute.

Educational objective:

The nonoccurrence of a condition may be excused if the party protected by the condition wrongfully prevents or interferes with its occurrence (eg, through a breach of the implied duty of good faith and fair dealing).

References

Restatement (Second) of Contracts §§ 224–25 (Am. Law Inst. 1981) (conditions and effect of non-occurrence).

Restatement (Second) of Contracts § 245 (Am. Law Inst. 1981) (when a party's wrongful interference excuses a condition).

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On May 1, a seller and a buyer entered into a written contract, signed by both parties, for the sale of a tract of land for $100,000. Delivery of the deed and payment of the purchase price were scheduled for July 1. On June 1, the buyer received a letter from the seller repudiating the contract. On June 5, the buyer bought a second tract of land at a higher price as a substitute for the first tract. On June 10, the seller communicated a retraction of the repudiation to the buyer.

The buyer did not tender the purchase price for the first tract on July 1 but subsequently sued the seller for breach of contract.

Will the buyer likely prevail?

A. No, because the buyer's tender of the purchase price on July 1 was a constructive condition to the seller's duty to tender a conveyance.

B. No, because the seller retracted the repudiation prior to the agreed time for performance.

C. Yes, because the buyer bought the second tract as a substitute for the first tract prior to the seller's retraction.

D. Yes, because the seller's repudiation was not retractable after it was communicated to the buyer.

Explanation:

A party's failure to perform his/her contractual duties at the time performance is due constitutes a breach. A breach can also occur *before* the time for performance is due under the doctrine of **anticipatory repudiation**. This doctrine applies when a party **clearly and unequivocally** repudiates (ie, indicates an **unwillingness to perform**) a promise. A **repudiation can be retracted** if the nonrepudiating party receives notice of the retraction **before**:

canceling the contract

materially changing position in reliance on the repudiation *or*

indicating that he/she considers the repudiation to be final **(Choice D)**.

But until the repudiation is retracted, the nonrepudiating party may (1) treat the repudiation as a breach or (2) ignore it and demand performance pursuant to the contract. The nonrepudiating party may also suspend its own performance if commercially reasonable.

Here, the seller anticipatorily repudiated the contract on June 1. The seller then attempted to retract the repudiation on June 10. However, the buyer had already materially changed position in reliance on the repudiation by purchasing a substitute tract of land on June 5 **(Choice B)**. As a result, the seller's retraction was ineffective. And since the seller's unretracted repudiation is a breach of contract, the buyer is likely to prevail.

(Choice A) In a contract for real property, the tender of the purchase price and the conveyance of the deed generally must occur simultaneously. However, the seller's repudiation allowed the buyer to suspend payment.

Educational objective:

A party who anticipatorily repudiates a contract may retract the repudiation if the nonrepudiating party is notified of the retraction before (1) canceling the contract, (2) materially changing position in reliance on the repudiation, or (3) indicating that he/she considers the repudiation to be final.

References

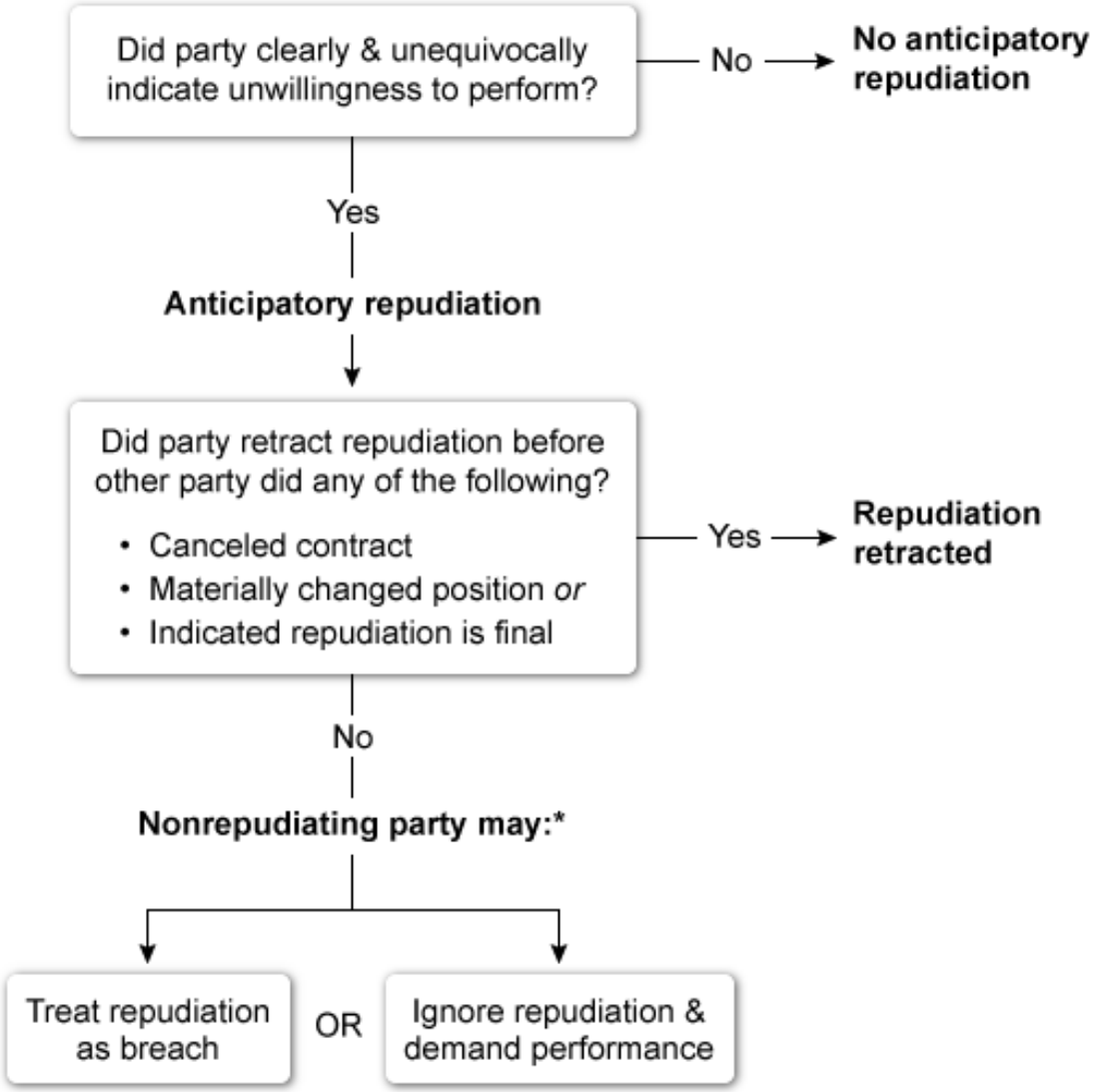
Restatement (Second) of Contracts § 253 (Am. Law Inst. 1981) (effect of an anticipatory repudiation).

Restatement (Second) of Contracts § 256 (Am. Law Inst. 1981) (retraction of repudiation).

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The doctrine of anticipatory repudiation



*The nonrepudiating party may also suspend its performance if commercially reasonable

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A painter contracted with an apartment manager to paint three identical apartment units for $1,000 each. The contract provided for the manager's payment of $3,000 upon the painter's completion of the work on all three units. The painter did not ask for any payment when the first unit was completely painted, but she demanded $2,000 after painting the second unit. Assume that the manager rightfully refused the painter's demand for payment.

If the painter immediately terminates the contract without painting the third unit, what is the painter entitled to recover from the manager?

A. Nothing, because payment was expressly conditioned on completion of all three units.

B. The amount equal to the increase in the combined value of the two painted units resulting from the painter's work.

C. The painter's expenditures plus anticipated "profit" in painting the first two units, up to a maximum recovery of $2,000.

D. The reasonable value of the painter's services in painting the two units, less the manager's damages, if any, for the painter's failure to paint the third unit.

Explanation:

Restitutionary damages

Definition	Damages awarded to restore to claimant the value of whatever benefit was conferred upon recipient
Purpose	Prevent unjust enrichment
Measure	Reasonable value of work performed or services rendered (ie, cost of recipient obtaining comparable performance) If applicable, extent to which recipient's property has increased in value or recipient's other interests have been advanced

In the event of breach, the **breaching party** can recover **restitutionary damages** for the **reasonable value** of the **work performed** before the breach, **less any damages** suffered by the **nonbreaching party**. Restitutionary damages ensure that the nonbreaching party is not unjustly enriched by the work performed by the breaching party prior to the breach.

Here, the painter breached the contract by immediately terminating the contract after the apartment manager *rightfully* refused the painter's early payment demand. As the breaching party, the painter is entitled to the reasonable value of her services in painting the two units, less the manager's damages, if any, for her failure to paint the third unit (eg, the increased cost of another painter) **(Choices A & B)**.

(Choice C) A *nonbreaching* party who has partially performed can generally recover for the costs of the work performed plus expectation damages (ie, anticipated profits). But here the painter is the *breaching* party and so is not entitled to recover this amount.

Educational objective:

The breaching party can recover restitutionary damages for the reasonable value of the work performed before the breach, less any damages suffered by the nonbreaching party.

References

Restatement (Second) of Contracts § 371 (Am. Law Inst. 1981) (measure of restitution interest).

Restatement (Second) of Contracts § 374 (Am. Law Inst. 1981) (restitution in favor of breaching party).

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A producer contracted to pay an inexperienced performer a specified salary to act in a small role in a play the producer was taking on a six-week road tour. The contract was for the duration of the tour.

On the third day of the tour, the performer was hospitalized with a stomach disorder. The producer replaced her in the cast with an experienced actor. One week later, the performer recovered, but the producer refused to allow her to resume her original role for the remainder of the tour.

In an action by the performer against the producer for breach of contract, which of the following, if proved, would be the producer's best defense?

A. Both the producer and the performer knew that a year earlier the performer had been incapacitated for a short period of time by the same kind of stomach disorder.

B. The actor, by general acclaim, was much better in the role than the performer had been.

C. The actor was the only replacement the producer could find, and the actor would accept nothing less than a contract for the remainder of the six-week tour.

D. The producer offered to employ the performer as the actor's understudy for the remainder of the six-week tour at the performer's original salary, but the performer declined.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

A party's duty to perform under a contract can be dismissed by **impracticability**. The defense of impracticability is available when:

an **unanticipated or extraordinary event** makes it impracticable for the party to perform the contract was formed under a **basic assumption** that the **event would *not* occur** *and* the **party seeking discharge** was **not at fault**.
However, ***temporary* impracticability** merely **suspends** the party's duty to perform until the circumstances giving rise to the impracticability cease to exist—with one exception. If the delay makes **performance materially more burdensome**, the party's duty to perform is **dismissed**.

Here, the performer's illness *suspended* the producer's duty to employ the performer during the period that her illness prevented her from acting. The producer then replaced her with an experienced actor. If the actor was the only replacement the producer could find and would not take a contract for less than the remainder of the six-week tour, the producer's obligation to the performer would be *dismissed*. The reason is that it would be materially more burdensome for the producer to employ them both. Therefore, if proved, that is the producer's best defense.

(Choice A) If both the producer and the performer knew that a year earlier the performer had been incapacitated by the same kind of stomach disorder, the performer's illness would have been foreseeable. As a result, this fact would *undermine* the producer's impracticability defense.

(Choice B) The relative quality of the actor's performance is not a circumstance that would suspend or discharge the producer's contractual duty to the performer.

(Choice D) The producer's action in offering the performer a job as an understudy is irrelevant to the critical issue of whether the producer had the right to cancel the contract.

Educational objective:

A period of temporary impracticability suspends a party's duty to perform until the circumstances giving rise to the impracticability pass. But if the delay caused by the impracticability makes performance materially more burdensome, then the party's duty to perform is discharged.

References

Restatement (Second) of Contracts § 261 (Am. Law Inst. 1981) (discharge by supervening impracticability).

Restatement (Second) of Contracts § 269 (Am. Law Inst. 1981) (temporary impracticability).

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A homeowner and a planner signed a detailed writing in which the planner, a landscape architect, agreed to landscape and replant the owner's residential property in accordance with a design prepared by the planner and incorporated in the writing. The owner agreed to pay $10,000 for the work upon its completion. At the owner's insistence, the written agreement contained a provision that neither party would be bound unless the owner's law partner, an avid student of landscaping, should approve the planner's design. Before the planner commenced the work, the owner's law partner, in the presence of both the owner and the planner, expressly disapproved the landscaping design. Nevertheless, the owner ordered the planner to proceed with the work, and the planner reluctantly did so. When the planner's performance was 40% complete, the owner repudiated his duty, if any, to pay the contract price or any part thereof.

If the planner now sues the owner for damages for breach of contract, which of the following concepts best supports the planner's claim?

A. Irrevocable waiver of condition.

B. Promissory estoppel.

C. Substantial performance.

D. Unjust enrichment.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

A contracting party may generally avoid performance if a condition precedent—ie, an uncertain future event that must occur before either or both parties' performance becomes due—has not occurred. The **nonoccurrence of a condition** may be **excused**, however, if the party who benefits from the condition **waives it by words or conduct**. And the waiving party **cannot retract the waiver if** the **other party** has **detrimentally relied** on it.

Here, the agreement provided that it would be binding *if* the owner's law partner approved the planner's landscape design (condition precedent). The law partner disapproved the design (nonoccurrence), but the owner ordered the planner to proceed with the work anyway (waiver). And because the planner detrimentally relied on that waiver by completing 40% of the work, the owner could not retract it (ie, the waiver was irrevocable). Therefore, the concept of irrevocable waiver of condition best supports the planner's breach-of-contract claim.

(Choice B) Under the doctrine of promissory estoppel, a party can enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. But because a contract was formed here, this doctrine does not apply.

(Choice C) The planner did *not* substantially perform under the contract since his performance was only 40% complete.

(Choice D) The doctrine of unjust enrichment applies in the *absence* of a valid contract to prevent one party from receiving a benefit from another that was not rightfully earned and would be unfair to keep.

Educational objective:

Nonoccurrence of a condition precedent may be excused if the party who benefits from the condition waives it by words or conduct. The waiving party cannot retract the waiver if the other party has detrimentally relied on it.

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A buyer and a seller entered into a contract for the sale of 10,000 novelty bracelets. The seller had the bracelets in stock. The contract specified that the seller would ship the bracelets by a third-party carrier. However, the contract did not specify either who was to pay the costs of carriage or the place of tender for the bracelets.

On the above facts, when would the risk of loss of the bracelets pass to the buyer?

A. When the bracelets were delivered to a carrier and a proper contract for their carriage was made.
B. When the bracelets were identified to the contract by the seller, assuming that the goods conformed to the contract.
C. When the bracelets were unloaded on the buyer's premises by the carrier.
D. When the contract was made.

Explanation:

Risk of loss in the absence of breach

(UCC § 2-509)

General rule	If seller is merchant, risk of loss passes to buyer when buyer takes physical possession of goods If not, risk of loss passes to buyer when goods are delivered
Goods to be shipped by carrier	Shipment contract (presumed) – risk of loss passes to buyer when goods are given to carrier & proper contract for shipment is made Destination contract – risk of loss passes to buyer when goods are delivered at place specified in contract
Goods to be held by bailee	Risk of loss passes to buyer when: buyer receives negotiable document of title covering goods (eg, warehouse receipt) *or* bailee (eg, warehouseman) acknowledges buyer's right to possess goods

UCC = Uniform Commercial Code

Contracts for the sale of goods (eg, novelty bracelets—as seen here) are governed by Article 2 of the **Uniform Commercial Code** (UCC). Under the UCC, the risk of loss generally passes to the buyer when the buyer receives the goods. But if the contract requires the **seller to deliver** the goods through a **third-party carrier**, the **risk of loss passes to the buyer** at different times depending on whether the contract is a:

shipment contract* – a contract that does *not* require delivery at a particular location, in which case the risk of loss passes to the buyer **when goods are delivered to the carrier** and a proper contract for their shipment is made *or*

destination contract – a contract that *requires* delivery at a particular location, in which case the risk of loss passes to the buyer **when goods are delivered** at the **place specified in the contract**

Here, the contract between the buyer and the seller specified that the seller would ship the goods by a third-party carrier but did *not* specify the place of tender (ie, delivery) for the bracelets. As a result, it is a *shipment* contract, and the risk of loss would pass to the buyer when the bracelets were delivered to a third-party carrier and a proper contract for their carriage (ie, shipment) was made **(Choices B, C & D)**.

*The UCC presumes that a contract is a shipment contract unless it contains a "free on board" term or other term explicitly allocating the risk of loss. Merely indicating a shipping address does not make a contract a destination contract.

Educational objective:

A contract that requires the seller to deliver the goods by third-party carrier but does not specify a delivery location is a shipment contract. Under such a contract, the risk of loss shifts to the buyer when the seller delivers the goods to the carrier and makes a proper contract for their shipment.

References

U.C.C. § 2-509 (Am. Law Inst. & Unif. Law Comm'n 2020) (risk of loss in the absence of breach).

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A mill and a bakery entered into a written contract that obligated the mill to deliver to the bakery 1,000 pounds of flour every Monday for 26 weeks at a specified price per pound. The mill delivered the proper quantity of flour in a timely manner for the first 15 weeks. However, the 16th delivery was tendered on a Tuesday, and amounted to only 800 pounds. The mill told the bakery that the 200-pound shortage would be made up on the delivery due the following Monday. The late delivery and the 200-pound shortage will not significantly disrupt the bakery's operations.

How may the bakery legally respond to the nonconforming tender?

A. Accept the 800 pounds tendered, but notify the mill that the bakery will cancel the contract if the exact amount is not delivered on the following Monday.

B. Accept the 800 pounds tendered, but notify the mill that the bakery will deduct from the price any damages for losses due to the nonconforming tender.

C. Reject the 800 pounds tendered, and notify the mill that the bakery is canceling the contract.

D. Reject the 800 pounds tendered, but notify the mill that the bakery will accept delivery the following Monday if it is conforming.

Explanation:

Installment contracts

Definition	Goods delivered in multiple shipments that buyer separately accepts
Nonconforming shipment	Buyer may reject shipment only if nonconformity: substantially impairs value of that shipment to buyer *and* cannot be cured
Canceling contract	Buyer may cancel entire contract if nonconformity substantially impairs value of entire contract to buyer

Contracts for the sale of goods generally follow the UCC's **perfect-tender rule**. This rule provides that a seller *must* tender goods conforming to the warranty obligations in the contract. Substantial performance will not suffice. However, this rule **does not apply** to **installment contracts**, which provide for the delivery of goods in multiple shipments, each to be separately accepted by the buyer (as seen here).

Instead, installment contracts follow the **substantial-impairment rule**. This rule allows the buyer to **reject tender** of nonconforming goods when the nonconformity **substantially impairs** the **value of that shipment** to the buyer (eg, by significantly disrupting bakery operations) and ***cannot*be cured (Choice D)**. The buyer may also **cancel the entire contract** if the nonconformity **substantially impairs** the **value of the entire contract** to the buyer.

But when, as here, the seller makes adequate assurances that he/she can cure the nonconformity, the buyer must accept the shipment. However, the buyer can deduct any damages for losses due to the nonconformity from the contract price.

(Choices A & C) The bakery cannot cancel or threaten to cancel the contract since the nonconformity did not substantially impair the value of the *entire* contract.

Educational objective:

Under the substantial-impairment rule, a buyer may reject tender of nonconforming goods in an installment contract when the nonconformity (1) substantially impairs the value of that shipment and (2) cannot be cured. A buyer may also cancel the entire contract if the nonconformity substantially impairs the value of the contract.

UCC = Uniform Commercial Code.

References

U.C.C. § 2-612 (discussing breach of an installment contract).

U.C.C. § 2-717 (explaining the deduction of damages from price for breach).

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A landscaper agreed to maintain the yard of a homeowner for six months for a fee of $300 per month, payable at the end of the six-month period. This amount was the fair market value of the work to be performed. The landscaper performed the work for four months but was then offered another job for $500 per month and, after notifying the homeowner, stopped doing the promised work and took the other job.

The homeowner refused to pay the landscaper anything. The homeowner could have hired a comparable landscaper to complete the work for $300 per month.

In a lawsuit between the landscaper and the homeowner, what is the likely result?

A. Neither the landscaper nor the homeowner will recover, because neither has suffered any loss.
B. The homeowner will recover $400, which constitutes the unjust enrichment of the landscaper.
C. The homeowner will recover $600, which is the cost of completing the work at prevailing market rates.
D. The landscaper will recover $1,200 for the work done before the breach.

Explanation:

Restitutionary damages

Definition	Damages awarded to restore to claimant the value of whatever benefit was conferred upon recipient
Purpose	Prevent unjust enrichment
Measure	Reasonable value of work performed or services rendered (ie, cost of recipient obtaining comparable performance) If applicable, extent to which recipient's property has increased in value or recipient's other interests have been advanced

A **breaching party** who incurs loss may not sue for compensatory damages for the party's actual losses. However, if the breaching party has **significantly performed**, he/she may recover **restitutionary damages** from the nonbreaching party for the reasonable value of the work performed.* This ensures that the nonbreaching party is not unjustly enriched. The **reasonable value** of the work performed is typically measured by the **cost of obtaining comparable performance**.

Here, the landscaper breached the parties' agreement after maintaining the homeowner's yard for four out of the agreed-upon six months. The landscaper had significantly performed two-thirds of the contract, so the landscaper is entitled to restitution for the reasonable value of the work done before the breach. And since a comparable landscaper could have done the work for $300 per month, the landscaper will recover $1,200 ($300 per month x 4 months) **(Choice A)**.

*The breaching party's restitutionary recovery is limited to the contract price, reduced by any damages that the nonbreaching party incurred as a result of the breach and could not reasonably avoid.

(Choice B) The homeowner (not the landscaper) was unjustly enriched because the homeowner received lawn-maintenance services for four months but paid nothing. The fact that the landscaper will receive an additional $400 (($500-300) per month x 2 months) from a *different* job has no bearing on the outcome of this dispute.

(Choice C) As the nonbreaching party, the homeowner could recover expectation damages, measured by the difference between the contract price and the cost of completing the work at prevailing market rates. But the contract and market prices are the same here ($300 per month), so the homeowner will recover nothing.

Educational objective:

A breaching party who has significantly performed may recover restitutionary damages from the nonbreaching party for the reasonable value of the work performed, as measured by the cost of obtaining comparable performance.

References

Restatement (Second) of Contracts § 371 (Am. Law Inst. 1981) (measure of restitution interest).

Restatement (Second) of Contracts § 374 (Am. Law Inst. 1981) (restitution in favor of breaching party).

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A young lawyer asked her neighbor to lend her $1,000. On September 15, the neighbor lent $1,000 to the lawyer, which she agreed to repay in installments of $100 plus accrued interest on the last day of each month beginning October 31. The lawyer did not pay the installments due on October 31, November 30, or December 31 and has informed the neighbor that she will be unable to make repayments in the foreseeable future.

On January 15, the neighbor is entitled to a judgment against the lawyer for which of the following amounts?

A. Nothing, because if the neighbor sues before the entire amount is due, he will be splitting his cause of action.

B. $300 plus the accrued interest, because the lawyer's breach is only a partial breach.

C. $1,000 plus the accrued interest, because the failure to pay her debts as they come due indicates that the lawyer is insolvent and the neighbor is thereby entitled to accelerate payment of the debt.

D. $1,000 plus the accrued interest, because the lawyer's unexcused failure to pay three installments is a material breach.

Explanation:

Installment contracts

Deliveries	Price for each installment generally due at time & place of each delivery Seller's damages for breach amount to missed payments Buyer's damages for breach amount to fair market value minus contract price for missed deliveries
Payments	Creditor's damages for breach amount to missed payments

Breach by nonperformance coupled **with repudiation** of the contract typically gives rise to a claim for damages for **total breach**. This is true **unless**, at the time of the breach, the **only contractual obligation** that remains is for the **breaching party** to **make installment payments** of money. In that circumstance, the breaching party's failure to pay—whether or not coupled with a repudiation—gives rise to a claim for damages for **partial breach only**. This means that the nonbreaching party can recover the **missed payments**.

Here, the lawyer failed to pay the first three installments of $100 plus accrued interest (breach by nonperformance) and informed the neighbor that she would be unable to make repayments in the foreseeable future (repudiation). However, the only contractual obligation remaining on either side was for the lawyer to make the rest of the installment payments. Therefore, the neighbor has a claim for damages for partial breach only, and he is entitled to a judgment against the lawyer for $300 plus the accrued interest (missed payments).

(Choice A) After breach of an installment contract, the nonbreaching party can (1) wait until the end of the contract and sue for the total damages or (2) split the cause of action—ie, sue for partial breach immediately and reserve the right to sue again for later breaches.

(Choice C) Under the UCC, each party to a sale-of-goods contract gains certain rights when the other party becomes insolvent. However, this does not apply to loan contracts, which are governed by common law.

(Choice D) A material breach occurs when the nonbreaching party fails to receive the substantial benefit of the contract. But failing to make a few payments of an installment loan is only a partial breach.

Educational objective:

Breach by nonperformance coupled with repudiation typically gives rise to a claim for total breach. But where the only duty that remains at the time of breach is for the breaching party to pay installments, the failure to do so—whether or not coupled with a repudiation—gives rise to a claim for partial breach only.

UCC = Uniform Commercial Code.

References

Restatement (Second) of Contracts § 243 (Am. Law Inst. 1981) (effect of breach by nonperformance).

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A tenant rented a commercial building from a landlord and operated a business in it. The building's large front window was smashed by vandals six months before expiration of the tenant-landlord lease. The tenant, who was obligated thereunder to effect and pay for repairs in such cases, promptly contracted with a window store to replace the window for $2,000, due 30 days after satisfactory completion of the work. The landlord was then unaware of the tenant-store contract. The store was aware that the building was under lease but dealt entirely with the tenant.

Sixty days after the store's satisfactory completion of the window replacement, and prior to the expiration of the tenant's lease, the tenant ceased doing business and vacated the building. In so doing, the tenant forfeited his right to the return of a $2,000 security deposit with the landlord under the lease provisions. The deposit had been required, however, for the express purpose (as stated in the lease) of covering any damage to the leased property except ordinary wear and tear. The only such damage occurring during the tenant's occupancy was the smashed window. The window store's $2,000 bill for the window replacement is wholly unpaid.

Assuming that the window store has no remedy quasi in rem under the relevant state mechanic's lien statute, which of the following would provide the store's best chance of an effective remedy in personam against the landlord?

A. An action as third-party intended beneficiary of the tenant-landlord lease.
B. An action based on an implied-in-fact contract.
C. An action based on promissory estoppel.
D. An action in quasi-contract for the reasonable value of a benefit non-gratuitously conferred on the landlord.

Explanation:

Implied contracts

Implied-in-fact	Formed when party manifests assent by conduct rather than spoken or written words Eg, contractor mistakenly paves driveway & owner does not object
Implied-in-law* ("quasi")	Constructed by court to prevent unjust enrichment when party receives benefit from another who reasonably expects compensation Eg, physician treats unconscious person

*Implied-in-law contracts are not true contracts since they lack mutual assent.

An "in personam" remedy is effective against a particular defendant, as opposed to the world at large. In personam remedies are available in most causes of action, including quasi-contract. A plaintiff can recover in **quasi-contract**—despite having **no contractual relationship** with the defendant—if the plaintiff conferred a **non-gratuitous benefit** on the defendant that resulted in **unjust enrichment**.

Here, the tenant hired the window store to replace a broken window for $2,000 but failed to pay the bill. Although the landlord had no contractual relationship with the window store, he benefited from the window replacement in his building. This unjustly enriched the landlord since the tenant had forfeited his $2,000 security deposit and there was no other damage during the tenant's lease for which the landlord had to use the deposit. Therefore, quasi-contract provides the store's best chance for an effective in personam remedy against the landlord.

(Choice A) An intended third-party beneficiary is a nonparty to the contract whom the contracting parties intended to benefit directly. Intended beneficiaries have contractual rights and may sue to enforce them. But here, the landlord and tenant had no intent to benefit the window store when they entered the lease agreement.

(Choice B) Implied-in-fact contracts are formed when the parties manifest assent by conduct rather than spoken or written words. But the landlord and window store could not have formed one here since the store dealt entirely with the tenant.

(Choice C) Promissory estoppel provides a basis for a party to enforce a promise on which it relied when no valid contract was formed. But promissory estoppel would be ineffective here since the landlord never promised to pay the window store's bill.

Educational objective:

A plaintiff can recover under a quasi-contract theory—despite having no contractual relationship with the defendant—if the plaintiff conferred a non-gratuitous benefit on the defendant that resulted in unjust enrichment.

References

Restatement (Third) of Restitution and Unjust Enrichment § 1 (Am. Law Inst. 2011) (explaining that a party is subject to liability for restitution when he/she is unjustly enriched at the expense of another).

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A man who knew nothing about horses inherited a thoroughbred colt whose disagreeable behavior made him a pest around the barn. The man sold the horse for $1,500 to a buyer who was an experienced racehorse-trainer and knew of the man's ignorance about horses. At the time of sale, the man said to the buyer, "I hate to say it, but this horse is bad-tempered and nothing special."

Which one of the following scenarios would best support an action by the buyer to rescind the sale?

A. A week after the sale, the horse went berserk and inflicted injuries upon the buyer that required his hospitalization for six months and a full year for his recovery.

B. After the horse had won three races for the buyer, it was discovered that by clerical error, unknown to either party, the horse's official birth registration listed an undistinguished racehorse as the sire rather than the famous racehorse that in fact was the sire.

C. In his first race after the sale, the horse galloped to a huge lead but dropped dead 100 yards from the finish line because of a rare congenital heart defect that was undiscoverable except by autopsy.

D. The horse won $5 million for the buyer over a three-year racing career but upon being retired was found to be incurably sterile and useless as a breeder.

Explanation:

Mistake as grounds for rescission

Mutual mistake	Adversely affected party can rescind contract if: mistake relates to basic assumption of contract mistake materially affects agreed-upon exchange of performances AND adversely affected party did not assume risk of mistake
Unilateral mistake	In addition to above elements for mutual mistake, either: mistake makes enforcement of contract unconscionable OR nonmistaken party caused, or knew or should have known of, mistake

When both parties enter into a contract based on the same mistake (ie, **mutual mistake**), the **adversely affected party** can **rescind** (ie, cancel) the contract if:

the mistake relates to a **basic assumption** of the contract
the mistake **materially affects** the agreed-upon **exchange of performances** (ie, the adversely affected party cannot fairly be required to carry it out) *and*
the adversely affected party **did *not* assume** the risk of the mistake.

Here, the parties most likely entered the contract based on an erroneous belief that the horse was healthy and fit to race—a basic assumption of the contract. That mutual mistake materially affected the agreed-upon exchange since the horse that actually had been born with a rare congenital heart defect. And since that defect was undiscoverable except by autopsy, the buyer did not assume the risk that the horse would turn out to be unhealthy and unfit to race. As a result, the buyer can likely rescind the sale.

(Choice A) The grounds for rescission must have existed when the contract was made. Because the horse went berserk a week *after* the sale, the buyer cannot seek rescission on this basis.

(Choice B) Although both parties were mistaken as to the colt's true sire (a famous racehorse), the buyer would not be able to rescind the contract on this basis since the mistake made the colt *more* valuable to the buyer.

(Choice D) Because the horse (which was sold for a mere $1,500) won $5 million for the buyer over three years, the buyer cannot successfully claim that it would be unfair to enforce the sale (ie, no material effect).

Educational objective:

Rescission is available due to a mutual mistake if (1) the mistake relates to a basic assumption of the contract, (2) the mistake materially affects the agreed-upon exchange of performances, and (3) the adversely affected party did not assume the risk of the mistake.

References

Restatement (Second) of Contracts § 152 cmt. c (Am. Law Inst. 1981) (material effect of mutual mistake making contract voidable).

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Responding to a county's written advertisement for bids, a tire company was the successful bidder for the sale of tires to the county for its vehicles. The tire company and the county entered into a signed, written agreement that specified, "It is agreed that the tire company will deliver all tires required by this agreement to the county, in accordance with the attached bid form and specifications, for a one-year period beginning September 1, 2019." Attached to the agreement was a copy of the bid form and specifications. No definite quantity of tires to be bought by the county from the tire company was specified in any of these documents.

In January 2020, the tire company learned that the county was buying some of its tires from one of the company's competitors. A court has determined the tire company–county agreement is a requirements contract.

If the tire company sues the county for damages caused by the county's purchase of some of its tires from the competitor, is the tire company likely to prevail?

A. No, because the agreement is indefinite as to quantity.

B. No, because the agreement lacks mutuality of obligation.

C. Yes, under the contracts clause of the United States Constitution.

D. Yes, under the provisions of the Uniform Commercial Code.

Explanation:

Buyer's duty of good faith & fair dealing under requirements contract

Buyer must purchase goods in question from seller only

Requirements must approximate reasonably foreseeable figure

Reasonable elasticity in requirements permitted (so long as any variations are in good faith)

Article 2 of the **Uniform Commercial Code** (UCC) governs contracts for the **sale of goods**. Under the UCC, a requirements contract is a contract for the sale of as many goods as the buyer requires during a specified period. This creates an **exclusive agreement** between the **buyer and seller**. As a result, the **duty of good faith and fair dealing** implied in every contract **requires the buyer** to **purchase goods from** the **seller only**. A failure to do so violates that duty and is a breach of contract.

Here, a court determined that the tire company–county agreement was a requirements contract. As a result, the implied duty of good faith and fair dealing required the county to purchase *all* its tires from the tire company. The county violated that duty, and breached the contract, when it purchased tires from the tire company's competitor. Therefore, the tire company will likely prevail in its suit against the county for damages.

(Choice A) The quantity term is sufficiently definite in a requirements contract because the quantity can be made certain by reference to objective facts (ie, the buyer's actual requirements).

(Choice B) An agreement lacks mutuality of obligation when one of the parties to the agreement is not obligated to perform. Requirements contracts *have* mutuality of obligation because the seller must provide, and the buyer must purchase, as many goods as the buyer requires during the contract term.

(Choice C) The contracts clause generally prohibits state legislatures from enacting laws that substantially impair existing contract rights (not seen here).

Educational objective:

A requirements contract is an exclusive agreement between the buyer and seller for the sale of as many goods as the buyer requires during a specified period. The buyer's failure to purchase the goods from the seller violates the implied duty of good faith and fair dealing and constitutes a breach of contract.

References

U.C.C. § 2-306 (Am. Law Inst. & Unif. Law Comm'n 2020) (requirements contract).

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On November 15, a carpenter in a signed writing contracted with a homeowner for an agreed price to personally remodel the homeowner's kitchen according to specifications provided by the homeowner, and to start work on December 1. The carpenter agreed to provide all materials for the job in addition to all of the labor required.

On November 26, the carpenter without legal excuse repudiated the contract. After a reasonable and prolonged effort, the homeowner could not find anyone to remodel his kitchen for a price approximating the price agreed to by the carpenter. One year later, the homeowner brings an action for specific performance against the carpenter.

Which of the following will provide the carpenter with the best defense?

A. An action for equitable relief not brought within a reasonable time is barred by laches.
B. Specific performance is generally not available as a remedy in the case of an anticipatory repudiation.
C. Specific performance is not available as a remedy to enforce a contractual duty to perform personal services.
D. Specific performance is not available as a remedy where even nominal damages could have been recovered as a remedy at law.

Explanation:

Personal-services contracts

Definition	Contract involving party's personal taste, skill, or talent—eg, entertainer, designer, lawyer, architect
Enforcement	Nonbreaching party entitled to compensatory damages stemming from breach
	Specific performance *not* available

Specific performance is an **equitable remedy** whereby a court orders a breaching party to perform a contractual duty when monetary damages would be inadequate—eg, breach of contract for the sale of land. However, this remedy is **not available** to enforce a contractual duty to **perform personal services** because courts are unwilling to compel personal associations after a dispute.

Here, the contract provided that the carpenter would *personally* remodel the homeowner's kitchen. When the carpenter repudiated the contract, the homeowner brought an action for specific performance. Therefore, the carpenter's best defense is that this remedy is not available for breach of personal-services contracts.

(Choice A) The equitable defense of laches is commonly asserted in specific-performance actions. To prevail on this defense, the breaching party must show that the enforcing party's unreasonable delay in bringing the claim has resulted in prejudice—ie, substantially increased the cost or difficulty of performance. Here, the homeowner reasonably delayed suit while looking for a similarly priced carpenter and no prejudice to the carpenter is shown.

(Choice B) Specific performance *is* available as a remedy in cases of anticipatory repudiation—ie, where one contracting party unequivocally indicates prior to the time for performance that he/she will not perform.

(Choice D) Specific performance, like other equitable remedies, will not be granted where monetary damages are adequate. But nominal damages (eg, $1) alone are typically *not* an adequate remedy.

Educational objective:

Specific performance—ie, court-ordered performance of a contractual duty—is not available as a remedy to enforce a contractual duty to perform personal services.

References

Restatement (Second) of Contracts § 367 (Am. Law Inst. 1981) (explaining that specific performance is not available to enforce personal contracts).

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A life coach entered into a contract with an introverted woman to provide a weeklong course that served as an introduction to the life coach's yearlong program. Under the terms of the contract, the life coach would work with the woman full-time for a week to start teaching her to interact with people with more confidence. The woman would then participate in a speed-dating event as her "graduation" from the course. The contract also provided that unless the woman received an offer for a second date at the speed-dating event, she had no obligation to pay for the introductory course. If she received an offer for a second date at the speed-dating event, she would be required to pay the life coach $1,000 within three days of the event.

After working with the life coach pursuant to the terms of the contract, the woman attended the speed-dating event. Four days after the event, when the woman still had not paid the life coach, the life coach brought a breach-of-contract action against the woman to recover $1,000 under the contract.

Which of the following best states the burden of proof that will apply in this case?

A. Because the contract involved a condition precedent, the life coach must prove that the woman received an offer of a second date at the speed-dating event to recover.

B. Because the contract involved a condition precedent, the woman must prove that she did not receive an offer of a second date at the speed-dating event to avoid liability.

C. Because the contract involved a condition subsequent, the life coach must prove that the woman received an offer of a second date at the speed-dating event to recover.

D. Because the contract involved a condition subsequent, the woman must prove that she did not receive an offer of a second date at the speed-dating event to avoid liability.

Explanation:

Performance is generally **due** once a **contract is formed**—eg, when a mutual agreement is supported by valuable consideration. However, performance can be delayed or discharged by a condition—ie, an uncertain future event that must occur before performance becomes due or is discharged. There are two types of conditions:

Condition precedent* – ***delays* performance** until a specified event occurs and requires the ***plaintiff* to prove** that the event occurred to prevail

Condition subsequent – ***excuses* performance** once a specified event occurs and requires the ***defendant* to prove** that the event occurred to avoid liability

Here, the contract provided that the woman would be required to pay the life coach for the introductory course only *if* she received an offer for a second date at the speed-dating event. This created a condition *precedent* that delayed the woman's obligation to make that payment **(Choices C & D)**. Therefore, the life coach must prove that the woman received an offer of a second date at the speed-dating event (ie, that the specified event occurred) to recover in his breach-of-contract action **(Choice B)**.

***A condition concurrent arises when each party's obligation to perform is a condition precedent to the other party's obligation to perform (ie, when performance is due simultaneously).

Educational objective:

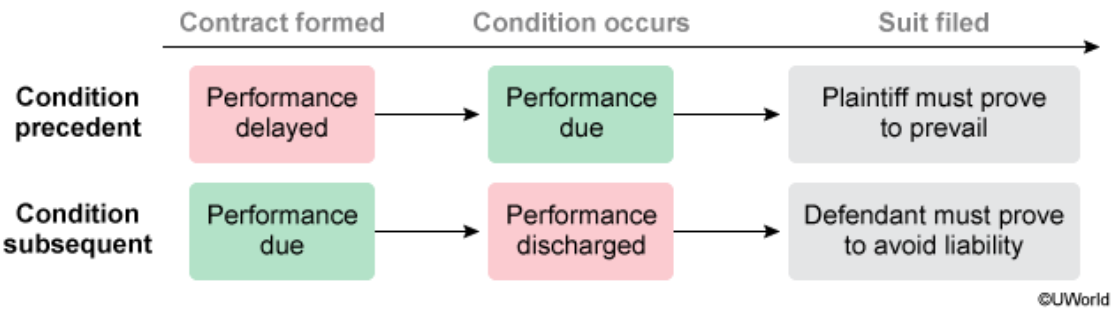
A condition precedent *delays* performance until a specified event occurs and requires the *plaintiff* to prove that the event occurred to prevail. Conversely, a condition subsequent *excuses* performance once a specified event occurs and requires the *defendant* to prove that the event occurred to avoid liability.

References

Restatement (Second) of Contracts §§ 224–30 (Am. Law Inst. 1981) (conditions related to performance).

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Delay or discharge of performance



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A landowner entered into a single contract with a builder to have three different structures built on separate pieces of property owned by the landowner. Each structure was distinct from the other two, and the parties agreed on a specific price for each. After completing the first structure in accordance with the terms of the contract, the builder demanded payment of the specified price for that structure. At the same time, the builder told the landowner that the builder was "tired of the construction business" and would not even begin the other two structures. The landowner refused to pay anything to the builder.

Is the builder likely to prevail in a suit for the agreed-upon price of the first structure?

A. No, because substantial performance is a constructive condition to the landowner's duty to pay at the contract rate.

B. No, because the builder's cessation of performance without legal excuse was a willful breach of the contract.

C. Yes, because the contract is divisible, and the landowner will be required to bring a separate claim for the builder's failure to complete the other two structures.

D. Yes, because the contract is divisible, but the landowner will be able to deduct any recoverable damages caused by the builder's failure to complete the contract.

Explanation:

Divisible contracts

Definition	Contract composed of multiple bargained-for exchanges that can be separately enforced
Recovery after breach	Breaching party entitled to return performance for any completed or substantially performed promise Nonbreaching party entitled to damages stemming from breach

Divisible contracts contain **two or more bargained-for exchanges**, each of which can be **enforced separately**. Under such a contract, a party is **entitled to return performance** (eg, payment) for any **completed** or **substantially performed promise**. This is true even if that party breaches the other, separately enforceable agreement. However, the nonbreaching party may deduct from any payment made to the breaching party damages stemming from the breach.

Here, the builder-landowner contract was divisible because it consisted of three bargained-for exchanges—ie, three distinct structures, each at a specified price—that could be enforced separately. Since the builder completed the first structure, it is entitled to the agreed-upon price for that structure despite its failure to complete the others. However, the landowner will be able to deduct any recoverable damages caused by the builder's failure to complete the contract.

(Choice A) A party is entitled to return performance for completing or substantially performing a divisible part of the contract—even if that party failed to substantially perform the *entire* contract.

(Choice B) The builder's cessation of performance without legal excuse *was* a willful breach of the contract. And willfulness is a factor in determining whether a breach is material—ie, significant enough to deprive the other party of the substantial benefit of the bargain. But willfulness does not affect recovery in this case.

(Choice C) The nonbreaching party to a divisible contract need not bring separate actions for damages stemming from each breach. That is because it is still a single contract.

Educational objective:

Divisible contracts contain two or more bargained-for exchanges that can be separately enforced. Under a divisible contract, a party is entitled to return performance for a completed or substantially performed promise—even if that party breaches another part of the contract.

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On April 1, a carpenter contracted with a homeowner to remodel the homeowner's home for $10,000, the contract price to be paid on completion of the work.

On May 29, relying on his expectation that he would finish the work and have the homeowner's payment on June 1, the carpenter contracted to buy a car under the following terms: "$10,000 in cash, if payment is made on June 1; if payment is made thereafter, the price is $12,000."

The carpenter completed the work according to specifications on June 1 and demanded payment from the homeowner on that date. The homeowner, without any excuse, refused to pay. As a result, the carpenter became very excited, suffered a minor heart attack, and incurred related medical expenses of $4,000. The reasonable value of the carpenter's services in remodeling the homeowner's home was $13,000.

In an action by the carpenter against the homeowner, which of the following should be the carpenter's measure of recovery?

A. $10,000, the contract price.
B. $12,000, the contract price plus $2,000, the bargain that was lost because the carpenter could not pay cash for the car on June 1.
C. $13,000, the amount the homeowner was enriched by the carpenter's services.
D. $14,000, the contract price plus $4,000 for the medical expenses incurred because the homeowner refused to pay.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

The primary goal of contract damages is to place the nonbreaching party in the same position it would have been in had the contract been performed. This includes **expectation damages** for the value of the breaching party's performance that was lost (eg, the **contract price**). But it only includes **consequential damages** for losses arising from the nonbreaching party's **special circumstances if** the breaching party:

knew about the nonbreaching party's **special circumstances** *or*
could have **reasonably foreseen the harm**, in light of the nonbreaching party's special circumstances, that would result from a breach.

Here, the homeowner refused to pay after the carpenter completed all the contractual work. As a result, the carpenter can recover the $10,000 contract price for the work done (expectation damages). But the carpenter *cannot* recover $2,000 for the loss of the bargain on the car or $4,000 for the medical expenses incurred (consequential damages). That is because those losses were an *unforeseeable* result of the breach **(Choices B & D)**. Therefore, the carpenter is entitled to $10,000.

(Choice C) When a breaching party is unjustly enriched as a result of the breach, the nonbreaching party can seek restitution (ie, the value of the benefit conferred on the breaching party) as an *alternative* to expectation damages. However, this is not permitted when, as here, the work giving rise to the unjust-enrichment claim has been fully performed and the breaching party's only remaining obligation is payment of the contract price.

Educational objective:

The nonbreaching party is entitled to consequential damages for losses arising from its special circumstances only if the breaching party (1) knew about the special circumstances or (2) could have reasonably foreseen the harm, in light of the special circumstances, that would result from a breach.

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A brick mason was hired by a builder under a written one-year contract, at an annual salary of $45,000, with employment to begin on March 1. Because the builder was unable to secure enough building contracts to keep all its employees busy during the season beginning March 1, it notified the brick mason on February 15 that it could not afford to employ him as a mason. At the same time, however, the builder offered to employ the mason, for the same contract period, as a night guard at an annual salary of $25,000. The mason declined the offer and remained unemployed during the year. No employment for brick masons was available in the community during the year, but the mason could have obtained other employment as a day laborer that would have paid up to $25,000 a year.

At the end of the year, in an action against the builder for breach of contract, how much, if anything, is the mason entitled to recover?

A. $20,000 (the $45,000 contract price less the $25,000 the mason could have earned in other employment).

B. $45,000 (the contract price).

C. Nothing, because the builder did not act in bad faith when it discharged the mason.

D. Nothing, because the mason did not mitigate his damages.

Explanation:

Purpose of compensatory damages

Primary (expectation measure)	Place nonbreaching party in same position as if contract had been performed Expectation measure includes: Expectation damages Incidental damages Consequential damages
Fallback (reliance measure)	When expectation measure too speculative, place nonbreaching party in same position as if no contract had been formed Reliance measure includes: Reliance damages Liquidated damages Restitution

A nonbreaching party's remedies for breach include **compensatory damages**—ie, a sum of money that would put that party in the same position as if the contract had been performed. Therefore, when an ***employer*** **breaches** an employment agreement, the **employee is entitled** to recover the **unpaid salary** under the contract. The employee's total recovery will be **reduced**, however, by compensation the employee earned or **could have earned** had he/she made **reasonable efforts** to **secure *comparable*** **employment** (ie, mitigate damages).

Here, the builder breached the employment contract before the brick mason's employment began. As a result, the mason can seek compensatory damages for his unpaid salary under the contract. And since there was no *masonry* work available in the community for the one-year contract period, the mason could not reasonably mitigate his damages by securing comparable employment. Therefore, the mason is entitled to recover the full $45,000 contract price **(Choices A & D)**.

(Choice C) A lack of bad faith (ie, dishonesty or improper motive) does not excuse a party from paying damages after breaching a contract.

Educational objective:

When an employer breaches an employment agreement, the employee can recover the unpaid salary under the contract. That recovery is reduced by the compensation the employee earned or could have earned by making reasonable efforts to secure comparable employment.

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On June 1, a seller and a buyer contracted in writing for the sale and purchase of the seller's cattle ranch (a large single tract), and to close the transaction on December 1. On October 1, the buyer told the seller, "I'm increasingly unhappy about our June 1 contract because of the current cattle market, and do not intend to buy your ranch unless I'm legally obligated to do so."

On October 15, the seller sued the buyer for breach of contract.

Is the seller likely to prevail?

A. No, because the buyer's October 1 statement to the seller was neither a repudiation nor a present breach of the June 1 contract.

B. No, because the parties contracted for the sale and conveyance of a single tract, and the seller cannot bring suit for breach of such a contract prior to the agreed closing date.

C. Yes, because the buyer committed a total breach by anticipatory repudiation on October 1.

D. Yes, because the buyer's October 1 statement created reasonable grounds for the seller's insecurity with respect to the buyer's performance.

Explanation:

Anticipatory repudiation

Standard	Party's clear & unequivocal words or actions indicate unwillingness to perform
Retraction	Party may retract repudiation unless nonrepudiating party: cancels contract materially changes position in reliance thereon *or* indicates repudiation is final
Effect	Upon repudiation, nonrepudiating party may:* treat repudiation as breach *or* ignore repudiation & demand performance

*Nonrepudiating party may also suspend own performance

A party's failure to perform his/her contractual duties at the time performance is due constitutes a breach. A breach can also occur *before* the time for performance arises or elapses under the doctrine of **anticipatory repudiation**. This doctrine applies when a party **clearly and unequivocally**, by **words or acts**, indicates an **unwillingness to perform** his/her contractual duties. The nonrepudiating party may treat the repudiation as a breach or ignore it and demand performance pursuant to the contract.

Here, the buyer's October 1 statement was not a present breach of the contract since performance is not due until December 1. And though the buyer stated that she did "not intend to buy" the seller's ranch, that statement was not an anticipatory repudiation. That is because the statement included the *equivocal* phrase "unless I'm legally obligated to do so" **(Choice C)**. Therefore, the seller is unlikely to prevail.

(Choice B) The doctrine of anticipatory repudiation allows a party to sue for breach of *any* contract before the time for performance is due—including contracts for the sale of a single tract of property before the closing date.

(Choice D) The buyer's statement created reasonable grounds for the seller's insecurity with respect to the buyer's performance. However, the seller's recourse in this situation is to demand adequate assurances. If the buyer fails to provide such assurances, the buyer will be deemed to have anticipatorily repudiated the contract. The seller can then treat the repudiation as a breach.

Educational objective:

The doctrine of anticipatory repudiation applies when a contracting party *clearly and unequivocally* indicates an unwillingness to perform. The nonrepudiating party may treat the repudiation as a breach or ignore it and demand performance pursuant to the contract.

References

Restatement (Second) of Contracts § 250 (Am. Law Inst. 1981) (repudiation).

Restatement (Second) of Contracts § 253 (Am. Law Inst. 1981) (effect of an anticipatory repudiation).

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A man and a woman were the parents of an adult son. The son aspired to become a successful music producer but was having difficulty balancing his full-time job with his musical aspirations. As a result, the man and woman agreed in a signed writing that on the last day of January and each succeeding month, each would give the son $3,000 to cover his living expenses and allow him the freedom to pursue his dream. According to the signed writing, the payments to the son were to continue until the son was named "Music Producer of the Year" at a national music awards show.

The man and the woman made the agreed payments in January, February, and March. In April, however, fed up with the son's lack of progress, the man refused to make any payment and notified the woman and the son that he would make no further payments.

Assume that there is a valid contract between the man and woman and that the son has declined to sue the man.

Will the woman succeed in an action against the man in which she asks the court to order the man to continue to make his payments to the son under the terms of the contract?

A. No, because a court will not grant specific performance of a promise to pay money.

B. No, because the man's breach of contract has caused no economic harm to the woman.

C. Yes, because the woman's burden of supporting her son will be increased if the man does not contribute his share.

D. Yes, because the woman's remedy at law is inadequate.

Explanation:

Third-party beneficiary contract enforcement

(promisee v. promisor)

Type of beneficiary	**Cause of action**	**Remedies**
Donee (recipient of gift)	Promisee (ie, party wishing to make gift of performance) has cause of action for promisor's nonperformance	Promisee entitled to: actual damages (rare) nominal damages OR specific performance if other remedies inadequate
Creditor (satisfaction of debt)	Promisee (ie, party wishing to satisfy debt to beneficiary) has cause of action for promisor's nonperformance	Promisee entitled to: reimbursement in amount of debt (if promisee paid debt) OR specific performance (if promisee has not paid debt)

A party to a contract with an intended beneficiary can sue the other party for breach of that contract. But in some cases, the party's **remedy at law** (ie, monetary damages) is **inadequate**. For example, when the breaching party's performance is a gift to the intended beneficiary, the nonbreaching party typically cannot show actual damages and can therefore recover only nominal damages (eg, $1). In that situation, the court may order **specific performance**—ie, an **equitable remedy** whereby the **court orders** the **breaching party to perform**.

Here, the man and the woman agreed that each would give $3,000 per month to their adult son—the intended beneficiary of the contract. The man breached that contract when he prematurely stopped making monthly payments. Because the man's performance was a gift to the son, the woman is unlikely to prove actual damages. Additionally, nominal damages would be inadequate to protect her interests under the contract (ie, giving the son financial freedom). Therefore, she will succeed in her action for specific performance **(Choice A)**.

(Choice B) The woman need not prove that she suffered economic harm for the court to grant her specific performance. She need only show that money damages are inadequate to protect her interests.

(Choice C) The woman's burden of supporting her son *may* increase if the man does not contribute his share (eg, if she pays his share). But this is no basis for granting her specific performance. Instead, a finding that her legal remedy is inadequate is required.

Educational objective:

Specific performance is an equitable remedy whereby the court orders the breaching party to perform a contractual duty. This remedy is appropriate when the nonbreaching party's remedy at law (ie, money damages) is inadequate—eg, in a suit between parties to a contract that gives a gift to an intended beneficiary.

References

Restatement (Second) of Contracts § 357 (Am. Law Inst. 1981) (specific performance).

Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).

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A general contractor agreed to build a refrigerated storage facility for a company that transports perishable food. A subcontractor agreed with the general contractor to install the facility's refrigeration system. Their agreement included the express condition that all pipes for the refrigeration system were to be made of solid steel. However, the subcontractor completed the job using galvanized steel pipes that he had on hand. Unlike solid steel, the galvanized steel degrades quickly upon coming into contact with the type of refrigerant used in the refrigeration system.

The general contractor discovered the substitution after the job was completed. The subcontractor, who was fully engaged out-of-state on another company's job site, declined to replace the pipes. The general contractor subsequently refused to pay the subcontractor pursuant to the contract and hired another subcontractor to replace the pipes so that the facility could be made operational.

If the subcontractor sues the general contractor for breach of contract, how is the court likely to rule?

A. The subcontractor can recover in quantum meruit despite his failure to comply with an express condition in the contract.
B. The subcontractor cannot recover damages under the contract because he committed a material breach.
C. The subcontractor is entitled to damages for services performed because the use of a different type of pipe was a minor breach.
D. The subcontractor is entitled to the full contract price because he substantially performed.

Explanation:

Factors considered to determine material breach

Extent to which nonbreaching party will suffer loss

Extent to which nonbreaching party can be adequately compensated for loss

Extent to which breaching party will suffer forfeiture

Likelihood of cure by breaching party

Absence of good faith or fair dealing by breaching party

A **material breach** is the absence of substantial performance. Stated differently, it is a breach so serious that it **defeats the contract's purpose** or deprives the nonbreaching party of the substantial benefit of its bargain. Unlike a party who has substantially performed, a party in material breach **cannot recover damages** under the contract. Additionally, the material breach discharges the other party's duty to perform and entitles that party to **terminate the contract** if the breaching party is **unwilling or unable to cure** its breach in a reasonable time.*

Here, the subcontractor ignored the express condition that the pipes were to be made of solid steel and instead installed galvanized steel pipes. This was a material breach because it defeated the purpose of the contract by making the facility's refrigeration system entirely nonoperational **(Choice C)**. And the subcontractor declined to cure this breach by replacing the pipes. Therefore, the court will likely find that the general contractor had the right to terminate the contract due to the subcontractor's material breach so the subcontractor cannot recover damages.

*If the breach is not material, then the nonbreaching party is limited to a claim for damages and cannot terminate the contract.

(Choice A) Quantum meruit entitles a party who has conferred a benefit on another in a quasi-contractual relationship to damages for the reasonable value of that benefit. But this doctrine does not apply when, as here, there is an express contractual relationship.

(Choice D) An express condition must be fully complied with unless excused (not seen here), so substantial performance will not suffice. But had the subcontractor substantially performed, he could have recovered the full contract price *minus* any amount that it will cost the general contractor to obtain the promised full performance.

Educational objective:

A party in material breach cannot sue to recover contract damages. Additionally, a material breach discharges the other party's duty to perform and entitles that party to terminate the contract if the breaching party is unwilling or unable to cure the breach.

References

Restatement (Second) of Contracts § 241 (Am. Law Inst. 1981) (factors used to determine whether a breach of contract is material).

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On March 1, an excavator entered into a contract with a contractor to perform excavation work on a large project. The contract expressly required that the excavator begin work on June 1 to enable other subcontractors to install utilities. On May 15, the excavator requested a 30-day delay in the start date for the excavation work because he was seriously behind schedule on another project. When the contractor refused to grant the delay, the excavator stated that he would try to begin the work for the contractor on June 1.

Does the contractor have valid legal grounds to cancel the contract with the excavator and hire a replacement?

A. No, because the excavator did not state unequivocally that he would delay the beginning of his work.

B. No, because the excavator would be entitled to specific performance of the contract if he could begin by June 1.

C. Yes, because the excavator breached the implied covenant of good faith and fair dealing.

D. Yes, because the excavator committed an anticipatory repudiation of the contract by causing the contractor to feel insecure about the performance.

Explanation:

Anticipatory repudiation

Standard	Party's clear & unequivocal words or actions indicate unwillingness to perform
Retraction	Party may retract repudiation unless nonrepudiating party: cancels contract materially changes position in reliance thereon *or* indicates repudiation is final
Effect	Upon repudiation, nonrepudiating party may:* treat repudiation as breach *or* ignore repudiation & demand performance

*Nonrepudiating party may also suspend own performance

Under the doctrine of **anticipatory repudiation**, a contracting party may treat another party's repudiation as a breach and cancel the contract. A repudiation occurs when a party **clearly and unequivocally**, by words or acts, expresses an **unwillingness to perform**. But a party's mere expression of doubt as to its ability to perform or request that the contract be modified does not constitute a repudiation.

Here, the excavator *requested* a 30-day delay in the start date of his work. After the contractor denied this request, the excavator stated that he would *try* to begin work on the start date. Neither of these statements is an unequivocal assertion that the excavator would delay the beginning of his work. Therefore, the excavator did not anticipatorily repudiate the contract, and the contractor has no valid legal ground to cancel it.

(Choice B) Specific performance is an available remedy when monetary damages would be inadequate. Here, monetary damages would be adequate to compensate the excavator if the contractor unjustifiably canceled the contract.

(Choice C) All contracts contain an implied covenant of good faith and fair dealing, which prohibits the parties from engaging in improper behavior (eg, deceit). But the excavator did not breach this covenant since his request for a delay was reasonable considering his circumstances.

(Choice D) A party with reasonable grounds for insecurity about the other's performance may demand adequate assurances that the other party will perform. If the other party fails to provide those assurances within a reasonable time, the contract is anticipatorily repudiated. Although the excavator's statements were reasonable grounds for insecurity, the contractor did not demand assurances.

Educational objective:

An anticipatory repudiation occurs when a party clearly and unequivocally, by words or acts, indicates an intention not to perform pursuant to the contract. Mere expressions of doubt regarding one's ability to perform or a request to modify the contract does not suffice.

References

Restatement (Second) of Contracts § 250 (Am. Law Inst. 1981) (repudiation).

Restatement (Second) of Contracts § 253 (Am. Law Inst. 1981) (effect of an anticipatory repudiation).

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Under the terms of a written contract, a builder agreed to construct a garage for a homeowner for $10,000. Nothing was stated in the parties' negotiations or in the contract about progress payments during the course of the work.

After completing 25 percent of the garage according to the homeowner's specifications, the builder demanded $2,000 as a reasonable progress payment. The homeowner refused, and the builder abandoned the job.

If each party sues the other for breach of contract, which of the following will the court decide?

A. Both parties are in breach, and each is entitled to damages, if any, from the other.
B. Only the builder is in breach and liable for the homeowner's damages, if any.
C. Only the homeowner is in breach and liable for the builder's damages, if any.
D. Both parties took reasonable positions, and neither is in breach.

Explanation:

Order of performances*

Simultaneous performance possible	Condition *concurrent* implied (ie, performance due simultaneously)
One performance requires time	Condition *precedent* implied (ie, durational performance due *before* respective duty triggered)

*These rules apply unless express contractual language or circumstances indicate otherwise.

A party breaches a contract by failing to perform a contractual duty at the time performance is due. Where only **one party's performance requires** a **period of time to complete**, that party's performance is **due first** unless the contract or the circumstances indicate otherwise. If that party **fails to complete performance** or repudiates the contract, the **nonbreaching party** is entitled to **withhold performance** and **recover damages**.

Here, the builder needed a period of time to construct the garage, and the parties' contract did *not* provide for progress payments—ie, payments made at certain stages in the process. As a result, the builder was required to complete construction before the homeowner was required to pay anything. The builder then repudiated the contract by abandoning the job, so the homeowner was entitled to withhold payment. Therefore, only the builder is in breach and liable for the homeowner's damages, if any **(Choices A, C & D)**.

Educational objective:

Where one party's performance requires a period of time to complete (eg, construction), that party must complete performance before the other party is required to perform (eg, payment). Failure to perform results in a breach of the contract, entitling the nonbreaching party to withhold performance and recover damages.

References

Restatement (Second) of Contracts § 234 (Am. Law Inst. 1981) (order of performance).

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On June 1, a woman telegraphed a vendor, "At what price will you sell 100 of your basic garbage-disposal units for delivery around June 10?" On June 2, the vendor telegraphed the woman, "You're in luck. We have only 100 basic garbage-disposal units, all on clearance at 50% off usual wholesale of $120 per unit, for delivery at our shipping platform on June 12." On June 5, the vendor received a letter from the woman that stated, "I accept. Would prefer to pay in full 30 days after invoice."

On June 6, the woman received a telegram from the vendor that stated, "You must pick up at our platform and pay upon delivery." On June 9, the vendor received a letter from the woman that stated, "I don't deal with people who can't accommodate my simple requests." On June 10, the vendor received a telegram from the woman that stated, "Okay. I'm over a barrel and will pick up the goods on your terms on June 12." The vendor had sold all 100 of the units to another buyer earlier that day.

The woman sued the vendor for breach of contract.

Which of the following arguments will best serve the vendor's defense?

A. The vendor's telegraph on June 2 was merely a price quotation, not an offer.

B. The woman's letter on June 5 was not an acceptance because it varied from the terms of the vendor's initial telegraph.

C. The woman's letter on June 9 was an unequivocal refusal to perform that excused the vendor even if the parties had previously formed a contract.

D. The woman's use of the mail in response to the vendor's initial telegraph was an ineffective method of acceptance.

Explanation:

Anticipatory repudiation

Standard	Party's clear & unequivocal words or actions indicate unwillingness to perform
Retraction	Party may retract repudiation unless nonrepudiating party: cancels contract materially changes position in reliance thereon *or* indicates repudiation is final
Effect	Upon repudiation, nonrepudiating party may:* treat repudiation as breach *or* ignore repudiation & demand performance

*Nonrepudiating party may also suspend own performance

The doctrine of **anticipatory repudiation** applies when a party **clearly and unequivocally** indicates an **unwillingness to perform** a promise before the time for performance is due. The nonrepudiating party may treat the repudiation as a **breach or ignore it** and demand performance pursuant to the contract. Additionally, any **performance owed** by the nonrepudiating party **is excused**.

Here, the parties likely formed a contract for the sale of the garbage-disposal units, which the vendor then sold to another buyer on June 10. However, the vendor's performance may be excused by the woman's anticipatory repudiation on June 9. That is because her June 9 letter could be interpreted as an unequivocal refusal to perform since it stated, "I *don't* deal with people who can't accommodate my simple requests." Therefore, this argument will best serve the vendor's defense.*

*The woman will not be able to argue that she retracted her repudiation because her attempted retraction occurred after the vendor had materially changed position in reliance on the repudiation by selling the units to another buyer.

(Choice A) An offer must express definite terms and an intent to be bound, thereby justifying acceptance by the offeree. Here, the vendor's June 2 telegraph would probably be interpreted as an offer (not a price quotation) because its terms were definite (100 units at 50% off) and it gave the woman the power to accept.

(Choice B) Contracts for the sale of goods (eg, garbage-disposal units) are governed by the UCC, which follows the battle-of-the-forms rule for contract formation. Under this rule, an enforceable contract is created once there has been an offer and acceptance—even if the acceptance varies the terms of the offer (as seen here).

(Choice D) The woman's use of the mail was an effective method of acceptance since the vendor did not specify how acceptance was to be rendered.

Educational objective:

When a party anticipatorily repudiates a contract, the nonrepudiating party may treat the repudiation as a breach or ignore it and demand performance. Additionally, any performance owed by the nonrepudiating party is excused.

UCC = Uniform Commercial Code

References

U.C.C.§ 2-610 (Am. Law Inst. & Unif. Law Comm'n 2020) (anticipatory repudiation).

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A buyer agreed to purchase and took delivery of a telescope from a seller for a price of $100. She promised to pay him $100 "as soon as I am able."

What effect does the quoted language have on the enforceability of the buyer's promise?

A. None.

B. It makes the promise illusory.

C. It requires the buyer to prove her inability to pay.

D. It requires the seller to prove the buyer's ability to pay.

Explanation:

Performance is generally due once a contract is formed (eg, when a mutual agreement is supported by valuable consideration). However, performance can be delayed or discharged by a condition—ie, an uncertain future event that must occur before performance becomes due or is discharged. There are two types of conditions:

Condition precedent* – ***delays* performance** until a specified event occurs (eg, buyer's promise to pay as soon as she is able) and requires the ***plaintiff* to prove** that the event occurred to prevail

Condition subsequent – ***excuses* performance** once a specified event occurs (eg, buyer's promise to pay conditioned on delivery of telescope) and requires the ***defendant* to prove** that the event occurred to avoid liability **(Choice C)**

*A condition concurrent arises when each party's obligation to perform is a condition precedent to the other party's obligation to perform (ie, when performance is due simultaneously).

Here, a contract was formed when the buyer agreed to purchase the telescope from the seller for $100. The buyer's promise to pay "as soon as I am able" created a condition *precedent* that delayed her obligation to make the promised payment. This language therefore requires the seller to prove the buyer's ability to pay (ie, that the specified event occurred) before he can prevail in his action for breach of contract **(Choice A)**.

(Choice B) A promise is illusory, and therefore unenforceable, if it is so indefinite that only one party is required to perform—eg, had the buyer promised to pay $100 "if I want to." In contrast, the buyer's promise to pay $100 "as soon as I am able" defines when she must perform and can be enforced once the condition precedent occurs.

Educational objective:

Performance is generally due when a contract is formed. However, the contract can contain a condition precedent that delays performance *until*—or a condition subsequent that will excuse performance *when*—a specified event occurs.

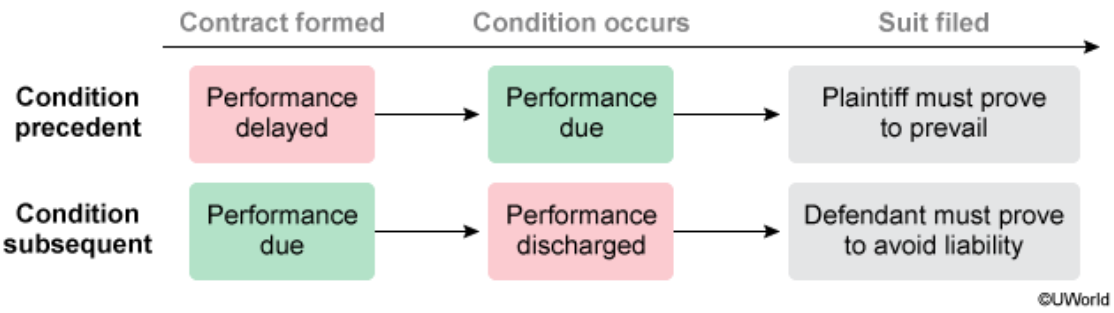
References

Restatement (Second) of Contracts §§ 224–230 (Am. Law Inst. 1981) (conditions related to performance).

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Delay or discharge of performance



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In January, a teacher contracted with a summer camp to serve as its head counselor at a salary of $10,000 for 10 weeks, from the first of June to the middle of August. In March, the camp notified the teacher that it had hired someone else as head counselor and that the teacher's services would not be needed.

In April, the teacher spent $200 traveling to interview at the only other nearby summer camp for a position as its head counselor. She was not chosen for that job. The teacher then took a position teaching in a local summer school at a salary of $6,000 for the same 10-week period.

How much is the teacher entitled to recover as damages in a breach-of-contract action against the camp?

A. $4,000.

B. $4,200.

C. $10,000.

D. $10,200.

Explanation:

Expectation (ie, benefit-of-the-bargain) damages

Definition	Losses arising naturally & obviously from breach
Purpose	Place nonbreaching party in same position as if contract had been performed
Measure	General rule – difference between contract price & market price (or cost of purchasing substitute performance) Construction contracts – difference between contract price & cost of construction by another builder

The primary purpose of contract damages is to place the nonbreaching party in the same position as if the contract had been performed; therefore, the nonbreaching party is entitled to recover **expectation damages**. Calculating these damages begins with the contract price, but any **losses** that the **nonbreaching party avoided** or could have avoided (ie, mitigated) after the breach are **subtracted from the total** damage award. Reasonable **expenses incurred** in an **effort to mitigate** damages, whether or not successful, are **recoverable**.

Here, the teacher contracted to serve as the summer camp's head counselor at a salary of $10,000 for 10 weeks. After the summer camp breached the contract by hiring someone else, the teacher found substitute employment at a salary of $6,000 for the same 10-week period. As a result, the teacher can recover expectation damages of $4,000 ($10,000 – $6,000). In addition, the teacher can recover the $200 in travel expenses incurred in attempting to find substitute employment **(Choice A)**. Therefore, the teacher is entitled to recover $4,200 in total.

(Choices C & D) The summer camp and summer school jobs were for the same 10-week period—ie, the teacher could not have worked both jobs simultaneously. Consequently, $10,000 (or $10,200) would overcompensate the teacher for her loss rather than place her in the same position had the contract been performed.

Educational objective:

Any losses that the nonbreaching party avoided or could have avoided (ie, mitigated) post-breach are subtracted from the total damage award. However, reasonable expenses incurred in an effort to mitigate damages are recoverable.

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The owner of a fleet of taxis contracted with a dealer in petroleum products for the purchase and sale of the fleet owner's total requirements of gasoline and oil for one year. As part of that agreement, the petroleum dealer also agreed with the fleet owner that for one year the petroleum dealer would place all his advertising with the fleet owner's wife, who owned her own small advertising agency. When the wife was informed of the contract, she declined to accept an advertising account from another company because she could not handle both accounts during the same year. During the first month of the contract, the fleet owner purchased substantial amounts of his gasoline from a supplier other than the petroleum dealer, and the petroleum dealer thereupon notified the wife that he would no longer place his advertising with her agency.

In an action by the wife against the petroleum dealer for breach of contract, will the wife succeed?

A. No, because the failure of a constructive condition precedent excused the petroleum dealer's duty to place his advertising with the wife.

B. No, because the wife did not provide any consideration to support the petroleum dealer's promise to place his advertising with her.

C. Yes, because she is a third-party beneficiary of the contract.

D. Yes, because the fleet owner was acting as the wife's agent when he contracted with the petroleum dealer.

Explanation:

Common examples of constructive (ie, implied) conditions

Condition of performance	Each party's performance is conditioned on other party's performance
Condition of cooperation	Each party's performance is conditioned on other party's cooperation with that performance
Order of performance	Simultaneous performance possible – each party's performance is condition *concurrent* to other party's duty to perform (ie, performance due simultaneously) One party's performance takes time – party's completion of longer performance is condition *precedent* to other party's duty to perform

The wife is an intended beneficiary—ie, a nonparty to a contract whom the contracting parties intended to benefit directly—of the contract between the fleet owner and the petroleum dealer. As a result, she has contractual rights and may sue to enforce them **(Choice C)**. However, when the original contracting parties each make a promise to the other, **each party's performance** of its own promise is a **constructive condition precedent** to the other party's duty to perform. If either party **fails to substantially perform**, the other party's **duty is excused**.*

Here, the fleet owner promised to purchase its total gasoline and oil requirements from the petroleum dealer, and the petroleum dealer promised to use the wife's advertising agency in return. It is implied that each party's performance is a constructive condition precedent to the other party's duty to perform. And since the fleet owner failed to substantially perform his end of the bargain by purchasing substantial amounts of gasoline from *another* supplier, the petroleum dealer's duty to use the wife's agency was excused. Therefore, she will not succeed.

*In contrast, express conditions (ie, ones that appear in the contract) require strict compliance.

(Choice B) Although the petroleum dealer received no consideration from the *wife*, his agreement with the *fleet owner* was supported by consideration. That is because the petroleum dealer's promise was induced by the fleet owner's promise to purchase gasoline and oil (and vice versa). And the wife, as an intended beneficiary, could sue to enforce her rights. But she will not succeed, because the petroleum dealer's duty was excused.

(Choice D) The fleet owner was *not* acting as an agent for the wife because she did not direct him to enter into the contract on her behalf. Instead, she was an intended third-party beneficiary of the contract.

Educational objective:

Each party's performance of its own promise is a constructive (ie, implied) condition precedent to the other party's duty to perform. If either party fails to substantially perform, the other party's duty is excused.

References

Restatement (Second) of Contracts § 234 (Am. Law Inst. 1981) (order of performances).

Restatement (Second) of Contracts § 302 (Am. Law Inst. 1981) (intended and incidental beneficiaries).

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By the terms of a written contract signed by both parties on January 15, an electronics store agreed to sell a specific personal computer to a college student for $3,000, and the college student agreed to pick up and pay for the computer at the store on February 1. The college student unjustifiably repudiated on February 1. Without notifying the college student, the electronics store subsequently sold at private sale the same specific computer to another customer, who paid the same price ($3,000) in cash. The personal computer at issue is a popular product. The electronics store can buy from the manufacturer more units than it can sell at retail.

If the electronics store sues the college student for breach of contract, what will the electronics store probably recover?

A. $3,000 (the contract price), because the college student intentionally breached the contract by repudiation.

B. Nothing, because the electronics store failed to give the college student proper notice of its intention to resell.

C. Nothing, because the electronics store received a price on resale equal to the contract price that the college student had agreed to pay.

D. The electronics store's anticipated profit on the sale to the college student plus incidental damages, if any, because the electronics store lost that sale.

Explanation:

When a buyer repudiates (ie, refuses to perform) a contract for the sale of goods, the **seller's remedies** include **compensatory damages** for the seller's actual losses. If the seller chooses to resell the goods, then the standard measure of damages is the difference between the contract price and the resale price plus incidental damages. But this measure of damages is inadequate when the seller is a **lost-volume seller**—ie:

has a **practically inexhaustible inventory** of the type of goods in question (eg, electronics store can buy more personal computers of the kind at issue than it can sell at retail) *and* **but for the breach**, would have made **two sales** (and two profits) rather than one (eg, personal computer at issue is a popular product).

In such cases, the seller is entitled to the **lost profit from** the **original sale plus incidental damages** arising from the breach (eg, storage or shipping costs). Therefore, the electronics store can recover the anticipated profit on the sale to the college student plus incidental damages, if any, because it lost that sale **(Choice C)**.

(Choice A) The fact that the college student intentionally breached the contract by repudiation does not entitle the electronics store to the full contract price. But had the store been unable to resell the computer after making reasonable efforts to do so at a reasonable price, then it may have been able to recover the $3,000 contract price.

(Choice B) A seller must reasonably notify the buyer of its intention to resell goods at a private sale only if the seller seeks to recover the standard measure of damages. But here, the store would seek its lost profit from the breach since the standard measure would yield no damages ($3,000 contract price - $3,000 resale price = $0).

Educational objective:

When a seller has a practically inexhaustible inventory of the goods and but for a buyer's breach would have made two sales and two profits rather than one (ie, lost-volume seller), the seller is entitled to lost profit from the original sale plus incidental damages.

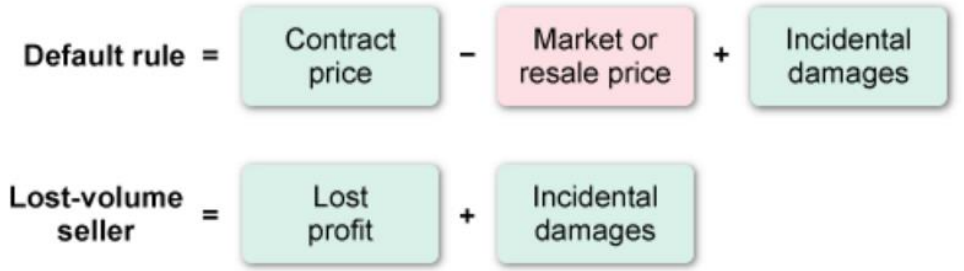
References

U.C.C. § 2-708 (Am. Law Inst. & Unif. Law Comm'n 2020) (seller's damages for nonacceptance or repudiation).

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UCC seller's damages
(from buyer's nonacceptance or repudiation)



UCC = Uniform Commercial Code

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A construction company contracted with a regional distributor to construct a warehouse and an access driveway at highway level for $500,000. Shortly after commencing work on the driveway, the construction company unexpectedly encountered a large mass of solid rock. Instead of incurring additional costs to remove the rock formation, the construction company built the access driveway over the rock with a steep grade down to the highway.

The distributor, who was out of town for several days, was unaware of this nonconformity until the driveway had been finished. As built, it is too steep to be used safely by trucks or cars, particularly in the wet or icy weather frequently occurring in the area. It would cost $30,000 to tear out and rebuild the driveway at highway level. As built, the warehouse, including the driveway, has a fair market value of $550,000. The distributor has paid $470,000 to the construction company, but refuses to pay more because of the nonconforming driveway, which the construction company has refused to tear out and rebuild.

If the construction company sues the distributor for monetary relief, what is the maximum amount the construction company is entitled to recover?

A. $30,000, because the construction company substantially performed and the cost of correcting the driveway would involve economic waste.

B. $30,000, because the fair market value of the warehouse and driveway "as is" exceeds the contract price by $50,000 (more than the cost of correcting the driveway).

C. $30,000, minus whatever amount the construction company saved by not building the driveway at the specified level.

D. Nothing, because the distributor is entitled to damages for the cost of correcting the driveway.

Explanation:

Compensatory damages for breach of construction contracts

	Before construction starts	**During construction**	**After construction completed**
Breach by builder (owner paid)	Owner entitled to cost of completion	Owner entitled to: cost of completion/correction if no undue economic waste OR value of promised construction *minus* nonconforming construction	N/A
Breach by owner (did not pay)	Builder entitled to: lost profits *plus* costs incurred OR contract price *minus* cost of completion		Builder entitled to contract price

When a contract is breached, the nonbreaching party is entitled to recover **compensatory damages**. Compensatory damages can arise, for example, when a builder breaches a contract during construction (ie, **nonconforming construction**). In that case, the **owner's damages** are the **cost of completing or correcting** the nonconforming construction, provided that this would not involve any undue economic waste. One way to recover these damages is to deduct them from the contract price owed by the owner.

Here, the $500,000 contract called for the construction of a driveway at highway level. The construction company breached that contract by building the driveway over a rock mass with a steep grade that makes the driveway unsafe. The $30,000 cost to correct the driveway is *not* unduly wasteful since this expense is necessary to safely access the warehouse **(Choice A)**. And since the distributor was entitled to deduct that amount from the contract price and pay no more than $470,000, the construction company can recover nothing.

(Choice B) Compensatory damages attempt to put the nonbreaching party (eg, the distributor) in the same position as if the contract had been performed as promised. Therefore, the distributor was entitled to deduct his damages for the nonconforming driveway even though the value of the warehouse exceeds the contract price by a greater amount than the cost of correcting the driveway.

(Choice C) If the *owner* breaches a construction contract prior to completion, the builder is entitled to recover the contract price minus whatever amount the builder saved by not

having to complete the construction (ie, the cost of completion). But here, since the *builder* (ie, the construction company) breached, it is not entitled to recover any amount, and it is irrelevant how much was saved by not building the driveway at the specified level.

Educational objective:

If a builder breaches a contract during construction, the owner can recover the cost of completing or correcting the construction if it involves no undue economic waste.

References

Restatement (Second) of Contracts § 348 (Am. Law Inst. 1981) (explaining that the measure of damages for defective construction is the cost of completion as long as it is not clearly disproportionate to the loss in value).

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A baseball player contracted with the local orchestra to perform for $5,000 at a children's concert. Shortly before the concert, the baseball player became embroiled in a highly publicized controversy over whether he had cursed and assaulted a baseball fan. The orchestra canceled the contract out of concern that attendance might be adversely affected by the baseball player's appearance.

The baseball player sued the orchestra for breach of contract. His business agent testified without contradiction that the cancellation had resulted in the baseball player not getting other contracts for performances and endorsements.

The trial court instructed the jury, in part, as follows: "If you find for the plaintiff, you may award damages for losses which at the time of contracting could reasonably have been foreseen by the defendant as a probable result of its breach. However, the law does not permit recovery for the loss of prospective profits of a new business caused by breach of contract."

On the baseball player's appeal from a jury verdict for the baseball player awarding damages only for the $5,000 fee promised by the orchestra, what will be the likely result?

A. Affirmed, because the issue of damages for breach of contract was solely a jury question.

B. Affirmed, because the trial court stated the law correctly.

C. Reversed, because the test for limiting damages is what the breaching party could reasonably have foreseen at the time of the breach.

D. Reversed, because under the prevailing modern view, lost profits of a new business are recoverable if they are established with reasonable certainty.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

After a **breach of contract**, the nonbreaching party can recover compensatory damages to compensate for actual economic losses. **Compensatory damages** include:

expectation damages – the lost value of the breaching party's performance (eg, the $5,000 fee promised by the orchestra) *and*

consequential damages – losses arising from the nonbreaching party's **special circumstances** (eg, the loss of prospective profits from other contracts) that were **reasonably foreseeable** to the breaching party when the contract was entered **(Choice C)**.

Consequential damages **cannot be speculative**. Instead, the nonbreaching party must prove the dollar amount with **reasonable certainty**.

Here, the trial court instructed the jury that "the law does *not* permit recovery for the loss of prospective profits of a new business caused by breach of contract." However, the law *does* permit recovery of such consequential damages, provided that the dollar amount is established with reasonable certainty. For this reason, the jury verdict for the baseball player awarding only expectation damages for the $5,000 fee promised by the orchestra will likely be reversed **(Choice B)**.

But even if the jury charge had been correct, it is unlikely that the baseball player would have recovered these consequential damages. That is because lost profits, especially for a new venture, are difficult to prove and there is no indication that the baseball player proved their dollar amount with reasonable certainty here.

(Choice A) Although the *amount* of damages for breach is a question of fact for the jury, the court erred by improperly stating the *law* to be applied for lost profits.

Educational objective:

Consequential damages (eg, lost profits) are recoverable only if the nonbreaching party proves the dollar amount with reasonable certainty.

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A homeowner and a contractor entered into a contract for the construction of a home for $300,000. The contractor was to earn a profit of $10,000 for the job. After the contractor had spent $45,000 on labor and materials, including $5,000 on oak flooring not yet installed, the homeowner informed the contractor that the homeowner had lost her job and could not pay the contractor for his services. The homeowner told the contractor to stop working immediately.

The reasonable market value of the labor and materials provided by the contractor at that point, including the oak flooring, was $40,000. The contractor used the oak flooring on another job.

In an action by the contractor against the homeowner for damages, which of the following would be the largest amount of damages recoverable by the contractor?

A. $40,000, the contractor's construction costs.

B. $40,000, the reasonable value of the services the contractor had provided.

C. $50,000, the contractor's construction costs of $45,000 plus the $10,000 profit minus the $5,000 saved by reusing the oak flooring on another job.

D. $55,000, the contractor's construction costs of $45,000 plus the $10,000 profit.

Explanation:

Compensatory damages for breach of construction contracts

	Before construction starts	**During construction**	**After construction completed**
Breach by builder (owner paid)	Owner entitled to cost of completion	Owner entitled to: cost of completion/correction if no undue economic waste OR value of promised construction *minus* nonconforming construction	N/A
Breach by owner (did not pay)	Builder entitled to: lost profits *plus* costs incurred OR contract price *minus* cost of completion		Builder entitled to contract price

Compensatory damages are intended to place the nonbreaching party in the same position as if the contract had been performed (ie, give that party the benefit of the bargain). Where an **owner breaches** a construction contract **before or during construction**, the **builder is entitled** to recover the **profits** it would have earned had the contract been completed ***plus*** **costs incurred** up to that point. However, any **costs saved** or otherwise avoided (ie, mitigated) by the builder will be **subtracted** to arrive at the final damages award.

Here, the contractor had spent $45,000 on labor and materials when the homeowner stopped the work. And the contractor had expected to make a $10,000 profit for this job. As a result, he would be entitled to recover $55,000 *except* that he saved $5,000 by using the oak flooring on another job. Therefore, the largest amount of damages recoverable by the contractor is $50,000 ($10,000 expected profit + $45,000 costs incurred - $5,000 costs saved) **(Choice D)**.

(Choice A) The contractor's $40,000 construction costs ($45,000 costs incurred - $5,000 costs saved) represent his reliance damages—ie, damages intended to place the injured party in the same position as if the contract had never been entered. But this measure of recovery fails to account for the contractor's $10,000 anticipated profit.

(Choice B) Restitution damages are measured by the benefit conferred on another party. But here, the $40,000 amount (reasonable value of the services the contractor had provided) is an incorrect measure of restitution damages since it fails to deduct the $5,000

worth of oak flooring the contractor used on another job. $35,000 would be the correct measure, and this represents the *smallest* amount of recoverable damages.

Educational objective:

When an owner breaches a construction contract before or during construction, the builder's damages are equal to the builder's lost profits plus costs incurred, minus any costs saved or otherwise avoided.

References

Restatement (Second) of Contracts § 344 (Am. Law Inst. 1981) (purpose of remedies).

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A landowner contracted in a signed writing to sell a 500-acre tract of farmland to a farmer. The contract provided for exchange of the deed and purchase price of $500,000 in cash on January 15. Possession was to be given to the farmer on the same date.

On January 15, the landowner notified the farmer that because the tenant on the farmland wrongfully refused to quit the premises until January 30, the landowner would be unable to deliver possession of the farmland until then, but he assured the farmer that he would tender the deed and possession on that date. When the landowner tendered the deed and possession on January 30, the farmer refused to accept either, and refused to pay the $500,000. Throughout the month of January, the market value of the farmland was $510,000, and its fair monthly rental value was $5,000.

Will the landowner likely succeed in an action against the farmer for specific performance?

A. No, because the landowner breached by failing to tender the deed and possession on January 15.

B. No, because the landowner's remedy at law for monetary relief is adequate.

C. Yes, because the court will excuse the delay in tender on the ground that there was a temporary impossibility caused by the tenant's holding over.

D. Yes, because time is ordinarily not of the essence in a land-sale contract.

Explanation:

Seller's remedies

Rescission & restitution	Rescind (ie, cancel) agreement & recover possession of property Rental value & physical damages are recoverable Buyer not liable for purchase price
Specific performance	Seek an injunction ordering buyer to pay agreed purchase price May be unavailable if money damages provide adequate compensation & property is not unique eg, condominium identical to other units in complex
Damages	Loss of bargain = contract price – market value at time of breach Liquidated damages = amount designated in the sales contract as compensation for breach Retain buyer's deposit (up to amount of seller's actual damages) Incidental & consequential damages that were contemplated during sales contract or reasonably foreseeable

In a **land-sale contract**, the seller is required to deliver marketable title to the buyer at the closing date. Failure to do so constitutes a breach of the contract. But if the **seller conveys** the land within a **reasonable time** after the **closing date**, the **buyer cannot withhold payment**. That is because **time is ordinarily *not* of the essence** in a land-sale contract unless the circumstances indicate that performance by that date is important.

Here, the landowner breached the contract by failing to tender the deed and possession of the farm to the farmer on January 15 (closing date). But the landowner did so on January 30 (reasonable time after closing). The circumstances do not indicate that time was of the essence, so the farmer breached the contract by refusing to pay the purchase price **(Choice A)**.

A seller's potential remedies for a buyer's breach include **specific performance**, which allows the court to issue an injunction that orders the buyer to pay the agreed purchase price. Specific performance is **appropriate when monetary damages are inadequate** (eg, unique land). Farms are unique since each has different characteristics. Therefore, the landowner can obtain specific performance as a remedy against the farmer **(Choice B)**.

(Choice C) Performance is discharged (ie, excused) when an unexpected and extraordinary event beyond the parties' control makes performance impossible. Here, the landowner should have known that the tenant on the farmland could hold over. As a result, the landowner's delay is not excused due to impossibility.

Educational objective:

Time is ordinarily *not* of the essence in a contract for the sale of land, so the buyer cannot withhold payment if the seller conveys the land within a reasonable time after closing. If the buyer breaches by refusing to pay, the seller can obtain specific performance when monetary damages would be inadequate (eg, unique land).

References

Restatement (Second) of Contracts § 242 (Am. Law Inst. 1981) (effect of delayed performance).

77 Am. Jur. 2d Vendor and Purchaser § 445 (2020) (seller's remedies).

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A wholesaler contracted in a signed writing to sell to a bakery 10,000 pounds of flour each week for 10 weeks, the flour to be delivered to the bakery on Mondays and payment to be made on Wednesdays of each week. The bakery did all of its weekly bread baking on Tuesdays.

On Monday morning of the first week, the wholesaler tendered delivery of 8,000 pounds of flour to the bakery, and the bakery accepted it on the wholesaler's assurance that the remaining 2,000 pounds would be delivered later that evening, which it was. The bakery paid for both deliveries on Wednesday.

On Monday of the second week, the wholesaler tendered delivery of 5,000 pounds of flour to the bakery and said that the remaining 5,000 pounds could not be delivered on Monday but would be delivered by Wednesday. The bakery rejected the tender.

Was the bakery legally justified in rejecting the tender of the 5,000 pounds of flour?

A. No, because by accepting the first 8,000 pounds on Monday of the first week, the bakery had waived the condition of perfect tender and had not reinstated it.

B. No, because the tender was not a substantial impairment of the entire contract, and the wholesaler had given assurance of a cure.

C. Yes, because the bakery was legally entitled to reject any tender that did not conform perfectly to the contract.

D. Yes, because the tender was a substantial impairment of that installment and could not be cured.

Explanation:

Installment contracts

Definition	Goods delivered in multiple shipments that buyer separately accepts
Nonconforming shipment	Buyer may reject shipment only if nonconformity: substantially impairs value of that shipment to buyer *and* cannot be cured
Canceling contract	Buyer may cancel entire contract if nonconformity substantially impairs value of entire contract to buyer

Contracts for the **sale of goods** generally follow the **UCC's perfect-tender rule**, under which a seller *must* tender goods conforming to the warranty obligations in the contract. Substantial performance will not suffice. But this rule **does not apply** to **installment contracts**, which provide for the delivery of goods in multiple shipments, each to be separately accepted by the buyer (as seen here).

Instead, installment contracts follow the **substantial-impairment rule**. This rule allows the buyer to **reject tender of nonconforming goods** when the nonconformity **substantially impairs** the **value of that shipment** to the buyer and **cannot be cured**.

Here, during the second week, the wholesaler delivered only 5,000 pounds of flour instead of the 10,000 pounds promised in their installment contract. This nonconformity substantially impaired the value of that shipment and could not be cured since the remaining 5,000 pounds could not be delivered until Wednesday—one day after the bakery does its weekly bread baking. As a result, the bakery was justified in rejecting the nonconforming tender.

(Choices A & C) The perfect-tender rule does not apply to installment contracts (as seen here). Additionally, the bakery's acceptance of the nonconforming tender the previous week does not waive its right to reject the nonconforming tender during the second week. That is because each shipment in an installment contract must be separately accepted by the buyer.

(Choice B) The buyer may cancel an entire installment contract if a nonconforming shipment substantially impairs the value of the entire contract to the buyer. The nonconformance here likely did *not* do so, but it did substantially impair that shipment. And a buyer need only accept a nonconforming shipment if the seller makes adequate assurances that he/she can timely cure the nonconformity, which the wholesaler did not do here.

Educational objective:

Installment contracts follow the substantial-impairment rule, which allows a buyer to reject tender of nonconforming goods when the nonconformity substantially impairs the value of that shipment and cannot be cured.

UCC = Uniform Commercial Code

References

U.C.C. § 2-612 (Am. Law Inst. & Unif. Law Comm'n 2020) (breach of installment contract).

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A woman owed her friend $5,000, plus interest at 6% until paid. Collection of the debt would become barred by the statute of limitations on July 31. On the preceding May 1, the woman and the friend both signed a writing in which the woman promised to pay the debt in full on the following December 31, plus interest at 6% until that date, and the friend promised not to sue to collect the debt in the meantime. The friend became concerned about the legal effect of the May 1 agreement, and on June 1 filed suit to collect the debt.

On January 2 of the following year, the friend's suit has not come to trial, and the woman has not paid the debt. The friend amends the complaint to add a second count to enforce the promise the woman made in the May 1 agreement.

Does the new count state a claim upon which relief can be granted?

A. No, because such relief would undermine the policy of the statute of limitations against enforcement of stale claims.

B. No, because the woman's May 1 promise was lawfully conditioned upon the friend's promise not to sue prior to December 31.

C. Yes, because the woman's failure to pay the debt, plus interest, on December 31 makes the friend's breach of promise not to sue before that date no longer material.

D. Yes, because the woman's May 1 promise is enforceable by reason of her moral obligation to pay the debt.

Explanation:

Common examples of constructive (ie, implied) conditions

Condition of performance	Each party's performance is conditioned on other party's performance
Condition of cooperation	Each party's performance is conditioned on other party's cooperation with that performance
Order of performance	Simultaneous performance possible – each party's performance is condition *concurrent* to other party's duty to perform (ie, performance due simultaneously) One party's performance takes time – party's completion of longer performance is condition *precedent* to other party's duty to perform

A **settlement agreement** is a written and signed contract in which one party forgoes his/her right to sue on a claim in exchange for consideration. Unless stated otherwise in the agreement, **each party's duty** to perform is impliedly **conditioned upon** the **other party's performance**. This means that a **breach** by one party **excuses the nonbreaching party from performing**, and the breaching party cannot enforce the agreement.

Here, on May 1, the woman and the friend signed a settlement agreement in which the woman agreed to repay her overdue debt by December 31, and the friend promised not to sue in the meantime. But the friend breached this agreement by filing suit on June 1. And since the woman's May 1 promise was lawfully conditioned upon the friend's promise not to sue before December 31, the woman was not required to repay the debt on December 31 **(Choice C)**. Therefore, the friend cannot enforce the May 1 agreement.

(Choice A) The underlying policy behind statutes of limitation is one of procedural fairness to the defendant—not one against the enforcement of stale claims.

(Choice D) A promise made out of a sense of moral obligation to compensate someone for a benefit previously received is generally unenforceable due to lack of consideration (ie, moral or past consideration). But here, the woman's promise to repay the debt by December 31 was made in exchange for the friend's promise not to sue—not because of the woman's moral obligation to pay the debt.

Educational objective:

Unless stated otherwise, each party's duty to perform under a settlement agreement is conditioned upon the other party's performance. This means that a breach of the agreement excuses the nonbreaching party from performing, and the breaching party cannot enforce the agreement.

References

Restatement (Second) of Contracts § 74 (Am. Law Inst. 1981) (settlement of claims).

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In a writing signed by both parties on December 1, a buyer agreed to buy from a seller a gasoline engine for $1,000, delivery to be made on the following February 1. Through a secretarial error, the writing called for delivery on March 1, but neither party noticed the error until February 1. Before signing the agreement, the parties orally agreed that the contract of sale would be effective only if the buyer should notify the seller in writing not later than January 2 that the buyer had arranged to resell the engine to a third person. Otherwise, they agreed orally, "There is no deal." On December 15, the buyer entered into a contract with a third party to resell the engine to the third party at a profit. The buyer did not give the seller notice of the resale agreement until January 25, and the seller received it by mail on January 26. In the meantime, the value of the engine had unexpectedly increased about 75% since December 1, and the seller renounced the agreement.

If the buyer sues the seller on February 2 for breach of contract, which of the following is the seller's best defense?

A. In view of the unexpected 75% increase in value of the engine after December 1, the seller's performance is excused by the doctrine of commercial frustration.

B. The agreement, if any, is unenforceable because a material term was not included in the writing.

C. The buyer not giving written notice by January 2 of his resale agreement was a failure of a condition precedent to the existence of a contract.

D. The secretarial error in the written delivery-term was a mutual mistake concerning a basic fact, and the agreement is voidable by either party.

Explanation:

A party's **performance** under a contract can be made **contingent upon** the occurrence of a condition precedent. In that case, the party's performance will **not become due until** the **condition occurs** or its nonoccurrence is excused.

Here, the parties orally agreed that the contract would be effective only *if* the buyer gave the seller written notice by January 2 that the buyer had arranged to resell the gasoline engine (condition precedent). Because the buyer failed to notify the seller of his resale agreement until January 25 (nonoccurrence) and there is no indication that the condition's nonoccurrence was excused (eg, by waiver), the contract did not become effective. Therefore, the seller's best defense is that there was no breach due to failure of a condition precedent.

(Choice A) The doctrine of frustration of purpose applies only when the contract's purpose becomes worthless due to an unexpected event. But this doctrine is not available because a 75% increase in the gasoline engine's value is *not* an unexpected event that would render the sales contract worthless.

(Choice B) Contracts for the sale of goods (eg, gasoline engine) are governed by the UCC. The UCC specifically *rejects* the idea that a contract is unenforceable because it does not contain all material terms. Rather, the UCC limits enforcement of the contract to the quantity of goods in the writing (here, one gasoline engine).

(Choice D) When both parties are mistaken as to a contract's *contents or legal effect* (eg, due to a clerical error), reformation is available and neither party can avoid the contract.

Educational objective:

When performance under a contract is contingent upon the occurrence of a condition precedent, performance is not due until the condition occurs or its nonoccurrence is excused.

UCC = Uniform Commercial Code

References

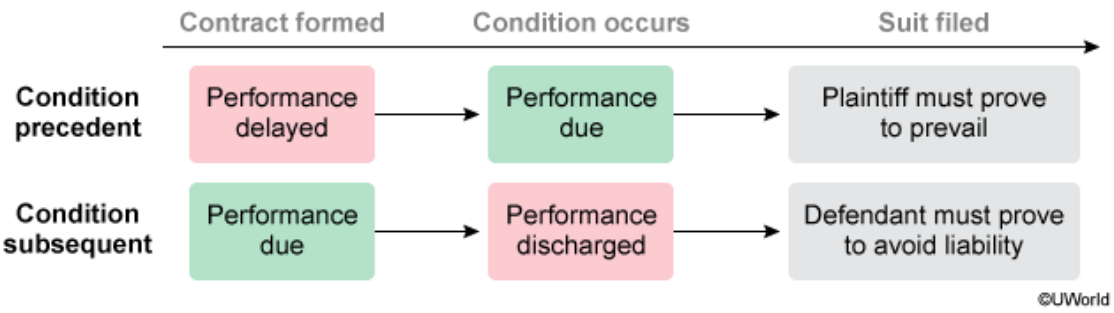
Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (conditions and effect of nonoccurrence).

UCC § 2-201 (Am. Law Inst. & Unif. Law Comm'n 2020) (formal requirements for the sale of goods).

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Delay or discharge of performance



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A seller and a buyer entered into a written agreement providing that the seller was to deliver 1,000 cases of candy bars to the buyer during the months of May and June. Under the agreement, the buyer was obligated to make a selection by March 1 of the quantities of the various candy bars to be delivered under the contract. The buyer did not make the selection by March 1, and on March 2 the seller notified the buyer that because of the buyer's failure to select, the seller would not deliver the candy bars. The seller had all the necessary candy bars on hand on March 1 and made no additional sales or purchases on March 1 or March 2. On March 2, after receiving the seller's notice that it would not perform, the buyer notified the seller of its selection and insisted that the seller perform. The seller refused.

If the buyer sues the seller for breach of contract, is the buyer likely to prevail?

A. No, because a contract did not exist until the buyer selected the specific candy bars, and the seller withdrew its offer before selection.

B. No, because the buyer's selection of the candy bars by March 1 was an express condition to the seller's duty to perform.

C. Yes, because the delay of one day in making the selection did not have a material effect on the seller.

D. Yes, because upon the buyer's failure to make a selection by March 1, the seller had a duty to make a reasonable selection.

Explanation:

Contracts for the sale of goods (eg, candy bars) are governed by Article 2 of the Uniform Commercial Code **(UCC)**. When a sale-of-goods **contract fails to specify** the **assortment of goods** to be delivered (eg, the quantities of various candy bars), the UCC imposes a **duty on the buyer** to select the assortment of goods.* If the buyer **fails to timely do so** AND the delay **materially impacts** the seller's performance, then the seller can:

proceed in any reasonable manner (eg, choose a reasonable assortment of goods) *or*

treat the buyer's non-selection as a breach **(Choice D)**.

Here, the parties agreed that the buyer would select an assortment of candy bars by March 1. Although the buyer made the selection on March 2, the delay did *not* materially impact the seller's performance. That is because the seller had all the necessary candy bars on hand and had entered into no new contracts at that time. As a result, the seller unjustifiably refused to accept the buyer's selection, and the buyer will likely prevail.

*In contrast, arrangements relating to shipping are the seller's duty to specify.

(Choice A) The UCC *rejects* the idea that a contract must specify the assortment of goods to be valid. Here, the contract stated the buyer could select the assortment later.

(Choice B) Absent language requiring strict compliance, the buyer's selection of the candy bars was a *constructive or implied* condition to the seller's duty to perform, which could be satisfied by substantially complying (eg, selecting a day late).

Educational objective:

If the buyer fails to timely select the assortment of goods for delivery and the delay materially impacts the seller's performance, then the seller can (1) proceed in any reasonable manner or (2) treat the failure as a breach.

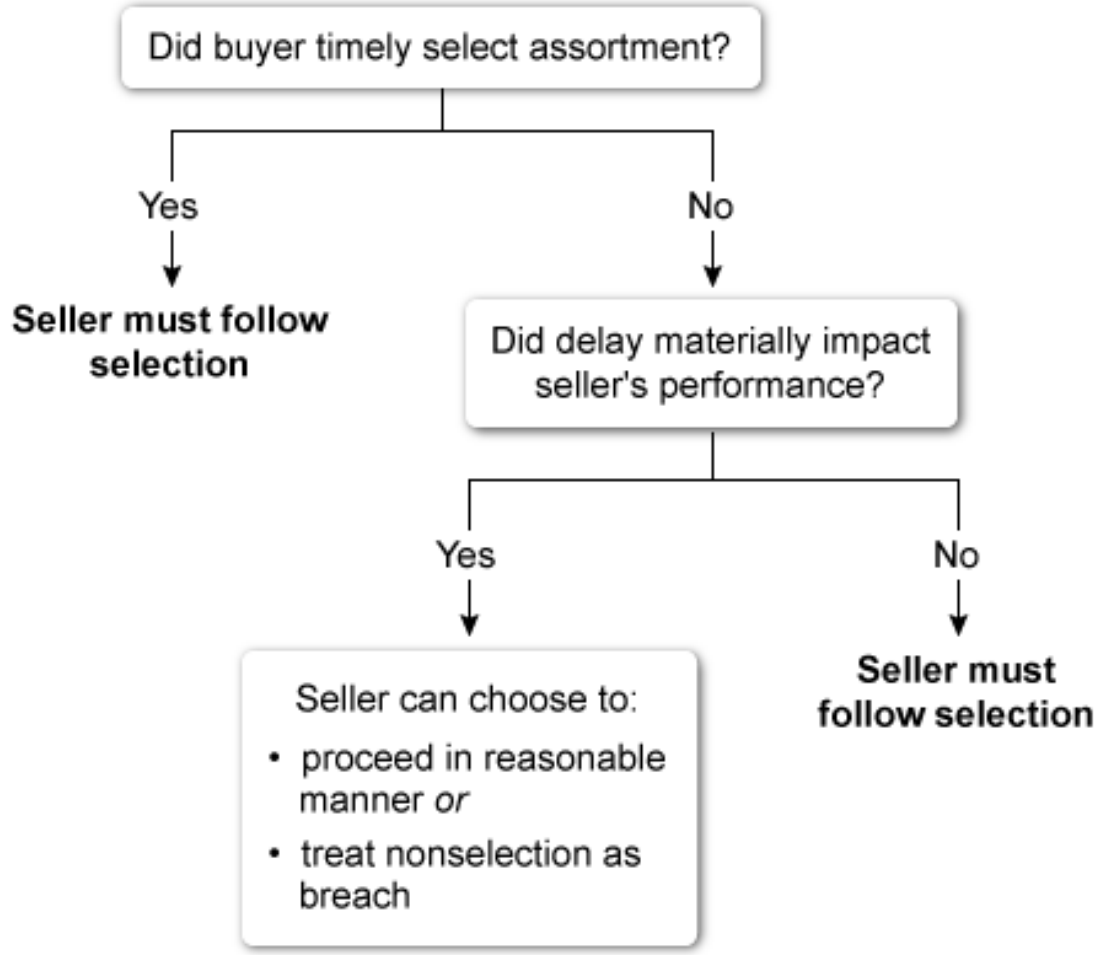
References

UCC § 2-311 (Am. Law Inst. & Unif. Law Comm'n 2020) (options and cooperation respecting performance).

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Contract not specifying assortment of goods
(UCC § 2-311)



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A collector bought from a gallery a painting correctly described in the parties' signed contract as a "one-of-a-kind self-portrait" by a famous artist who had recently died. The contract price was $500,000 in cash, payable one month after delivery of the painting by a truck carrier to the collector.

The painting was damaged in transit. The collector timely rejected it after inspection, immediately notified the gallery of the rejection, and told the gallery that the painting would be available for pickup. The gallery then sold the painting to a third party. It informed the collector that it would pick up the painting within a couple of weeks. Two weeks later, before the gallery picked up the painting, the collector sold and delivered the painting to an art admirer for $550,000 cash, after notifying the admirer about the damage. The collector sent no money to the gallery.

If the collector's sale of the painting was NOT an acceptance of the goods, what is the maximum amount that the gallery is entitled to recover from the collector?

A. $50,000 (the excess of the market price over the contract price).

B. $500,000 (the collector-gallery contract price).

C. $550,000 (damages for conversion).

D. Only the allowance of lost profit to the gallery as a volume dealer.

Explanation:

Buyer duties regarding rightfully rejected goods

(UCC § 2-602)

Buyer who rightfully rejects nonconforming goods must:

take reasonable care of goods in its possession until seller has had sufficient time to retrieve them *and*

not exercise ownership over rejected goods (eg, by selling them)

UCC = Uniform Commercial Code

Under the **UCC**, a seller must deliver goods that conform perfectly to the contract (**"perfect-tender rule"**). A **buyer can reject nonconforming goods** within a reasonable time after delivery by promptly notifying the seller of the rejection. After rejection, the buyer must take reasonable care of any goods in its possession until the seller has had sufficient time to retrieve them. Any **exercise of ownership** over the goods (eg, selling the goods) is **wrongful conversion** and entitles the **seller to recover** the **fair market value** of the goods at the **time of conversion**.

Here, the collector rightfully rejected the damaged painting. But before the gallery could pick up the painting, the collector sold and delivered the painting to the art admirer for $550,000 cash. That sale constituted wrongful conversion, and the price paid by the art admirer is evidence of the painting's fair market value at the time of the conversion. Therefore, the gallery is entitled to recover $550,000 in damages for conversion.

(Choices A & B) Neither $50,000 (excess of the market price over the contract price) nor $500,000 (collector-gallery contract price) would properly compensate the gallery for its loss. Both amounts are less than $550,000 (damages for conversion).

(Choice D) A lost volume seller is one with more goods to sell than customers to buy them. Lost volume sellers can recover lost profits from a breaching buyer because, but for the buyer's breach, the seller would have made two sales (and two profits) rather than one. But the gallery is *not* a lost volume seller because the painting was a one-of-a-kind good.

Educational objective:

If a buyer wrongfully converts rejected goods (eg, by selling them), the seller is entitled to recover the fair market value of the goods at the time of conversion.

UCC = Uniform Commercial Code

References

U.C.C. § 2-602 (Am. Law Inst. & Unif. Law Comm'n 2020) (rightful rejection).

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A client consulted with his lawyer about handling the sale of the client's building, and asked the lawyer what her legal fee would be. The lawyer replied that her usual charge was $100 per hour, and estimated that the legal work on behalf of the client would cost about $5,000 at that rate. The client said, "Okay; let's proceed with it," and the lawyer timely and successfully completed the work. Because of unexpected title problems, the lawyer reasonably spent 75 hours on the matter and shortly thereafter mailed the client a bill for $7,500, with a letter itemizing the work performed and time spent. The client responded by a letter expressing his good-faith belief that the lawyer had agreed to a total fee of no more than $5,000. The client enclosed a check in the amount of $5,000 payable to the lawyer and conspicuously marked, "Payment in full for legal services in connection with the sale of my building." Despite reading the "Payment in full..." language, the lawyer, without any notation of protest or reservation of rights, endorsed and deposited the check to her bank account. The check was duly paid by the client's bank. A few days later, the lawyer unsuccessfully demanded payment from the client of the $2,500 difference between the amount of her bill and the check, and now sues the client for that difference.

What, if anything, can the lawyer recover from the client?

A. $2,500, because the client agreed to an hourly rate for as many hours as the work reasonably required, and the sum of $5,000 was merely an estimate.

B. Nothing, because the amount of the lawyer's fee was disputed in good faith by the client, and the lawyer impliedly agreed to an accord and satisfaction.

C. Nothing, because the risk of unexpected title problems in a real-property transaction is properly allocable to the seller's attorney and thus to the lawyer in this case.

D. The reasonable value of the lawyer's services in excess of $5,000, if any, because there was no specific agreement on the total amount of the lawyer's fee.

Explanation:

When a **debt is disputed in good faith**, the debtor can offer to **settle** the debt by giving the creditor a **check with a conspicuous notation** stating that it constitutes **payment in full**. The creditor can then:

cash the check – in which case the creditor impliedly agrees to an accord and satisfaction, and the **debt is discharged** *or*

reject the check – in which case the **debt is not discharged**.

Here, the lawyer agreed to handle the sale of the client's building for $100 per hour at an estimated cost of $5,000. Due to unexpected title problems, the lawyer reasonably spent 75 hours on the matter and billed the client $7,500. However, the client replied with a letter disputing the fee in good faith and enclosing a $5,000 check conspicuously marked "Payment in full." Since the lawyer cashed the check, she impliedly agreed to an accord and satisfaction. Therefore, the client's debt was discharged, and the lawyer can recover nothing from the client.

(Choice A) A court could find that the client agreed to an hourly rate for as many hours as the work reasonably required and that the $5,000 sum was merely an estimate. But since the client disputed the $7,500 fee in good faith, he was entitled to offer a lesser amount to discharge the debt.

(Choice C) The parties never indicated who would bear the risk of unexpected title problems, and there is no rule automatically placing that risk on the seller's attorney (here, the lawyer). And regardless of where the risk is placed, the lawyer cannot recover since she cashed the check.

(Choice D) Had the lawyer rejected the check, she might be able to recover the reasonable value of her services in excess of $5,000 under a quasi-contract (ie, unjust enrichment) theory.

Educational objective:

When a debt is disputed in good faith, the debtor can offer to settle the debt by giving the creditor a check with a conspicuous "payment-in-full" notation. The debt is then discharged if the creditor chooses to cash the check.

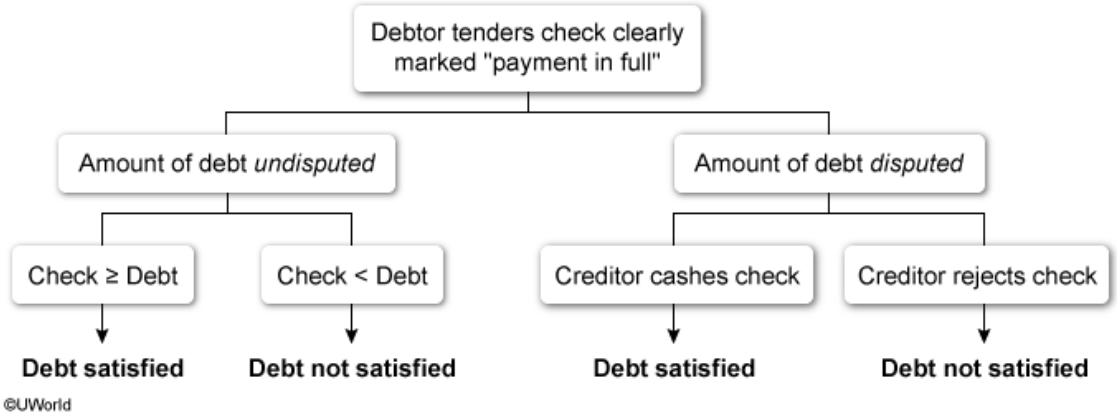
References

Restatement (Second) of Contracts § 281 cmt. d (Am. Law Inst. 1981) (explaining that a creditor who cashes a check marked "payment in full" may have formed an enforceable accord).

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Offer to satisfy debt with check



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A buyer ordered a new machine from a manufacturer. The machine arrived on time and conformed in all respects to the contract. The buyer, however, rejected the machine because he no longer needed it in his business and returned the machine to the manufacturer. The manufacturer sold many such machines each year, and its factory was not operating at full capacity.

In an action by the manufacturer against the buyer for breach of contract, which of the following is NOT a proper measure of the manufacturer's damages?

A. The contract price of the machine.

B. The difference between the contract price and the market price of the machine.

C. The difference between the contract price and the price obtained from a proper resale of the machine.

D. The profit the manufacturer would have made on the sale of the machine to the buyer.

Explanation:

Seller's action for contract price of goods

(UCC § 2-709)

When buyer fails to pay for goods, seller can recover contract price of goods* if:

buyer accepted goods
goods were lost/damaged within commercially reasonable time after risk of loss passed to buyer *or*
buyer returned or rejected goods & seller was unable after reasonable efforts to resell them
UCC = Uniform Commercial Code

*Seller can also recover incidental damages

Under the **UCC**, when a buyer fails to pay for goods, the **seller can recover** the **contract price** of the goods under three circumstances:

Where the **buyer accepted** the goods
Where the **goods were lost or damaged** within a commercially reasonable time after the risk of loss had passed to the buyer
Where the **buyer returned or rejected** the goods and the **seller was unable** after reasonable efforts to **resell them**
The seller is also entitled to any incidental damages arising from the transport, resale, or other action taken incident to the buyer's breach.

Here, the buyer rejected the machine (no acceptance) and returned it intact to the manufacturer (no loss/damage). And since the manufacturer sold many of these machines each year and its factory was not operating at full capacity, it should be able to resell the buyer's machine. Therefore, the machine's contract price is *not* a proper measure of the manufacturer's damages.

(Choices B & C) A nonbreaching seller can recover the difference between the contract price and the *market* price of the goods at the time of tender. Alternatively, the seller can resell the goods for a reasonable price and recover the difference between the contract price and the *resale* price. As a result, either could be a proper measure of the seller's damages.

(Choice D) The manufacturer is a lost-volume seller, as evidenced by the fact that it sold many of these machines each year and was not operating at full capacity. Lost-volume sellers can recover lost profits because, but for the buyer's breach, they could have made two sales (and two profits) rather than one.

Educational objective:

A seller can only recover the contract price of the goods after the buyer failed to pay if (1) the buyer accepted the goods, (2) the goods were lost or damaged within a commercially reasonable time after the risk of loss passed to the buyer, or (3) the buyer returned or rejected the goods and the seller could not resell them.

UCC = Uniform Commercial Code

References

U.C.C. § 2-708 (Am. Law Inst. & Unif. Law Comm'n 2020) (seller's damages – non-acceptance/repudiation).

U.C.C. § 2-709 (Am. Law Inst. & Unif. Law Comm'n 2020) (action for price).

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A homeowner contracted in writing with a kitchen contractor to renovate her kitchen for $25,000, "subject to the homeowner's complete personal satisfaction." The contractor replaced the cabinets, flooring, and countertops and then sought payment from the homeowner. The homeowner paid the contractor only $20,000, truthfully saying that she did not like the finish on the cabinets and was therefore not satisfied.

If the contractor sues the homeowner for the balance of the contract price, will the contractor be likely to prevail?

A. No, because a condition to the homeowner's obligation to pay was not satisfied.

B. No, because the contractor breached his duty of good faith and fair dealing by supplying unsatisfactory materials.

C. Yes, because the homeowner breached the covenant of good faith and fair dealing by rejecting the cabinets without justification.

D. Yes, because the homeowner was the first party to breach the contract.

Explanation:

Meeting condition of satisfaction

Objective standard	Whether *reasonable person* would be satisfied with performance
(default)	
Subjective standard	Whether promisor is *personally* satisfied with performance (provided that dissatisfaction is honest & in good faith)
(aesthetics)	

Many contracts include a condition precedent that a party's duty to pay will not become due unless the party is satisfied with the other party's performance (ie, condition of satisfaction). **Satisfaction** is typically measured objectively, meaning that the condition is met if a reasonable person would be satisfied. But if **aesthetic taste is involved**, satisfaction is **measured subjectively**. In that case, the condition is met only if the promisor is **personally satisfied**, provided that any **dissatisfaction** is **honest** and in **good faith**.

Here, the homeowner's duty to pay for the kitchen renovation was subject to her "complete *personal* satisfaction." This condition of satisfaction was not met because the homeowner was *honestly* dissatisfied with the cabinets' finish. As a result, the homeowner was not obligated to make the promised payment, and the contractor likely will not prevail in a suit to recover the balance of the contract price **(Choices C & D)**.

(Choice B) There is no indication that the materials supplied by the contractor were unsatisfactory. And even if they were, using unsatisfactory materials is not a breach of the covenant of good faith and fair dealing.

Educational objective:

When a contract conditions a duty to pay on satisfaction with another party's performance, satisfaction is measured objectively. But when the condition involves a party's aesthetic taste, the condition is only met if that party is *personally* satisfied with the other party's performance, provided that any dissatisfaction is honest and in good faith.

References

Restatement (Second) of Contracts § 228 (Am. Law Inst. 1981) (party's satisfaction as a condition).

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A produce distributor contracted to provide a grocer with eight crates of lettuce at the distributor's listed price. The distributor's shipping clerk mistakenly shipped only seven crates to the grocer. The grocer accepted delivery of the seven crates but immediately notified the distributor that the delivery did not conform to the contract. The distributor's listed price for seven crates of lettuce was 7/8 of its listed price for eight crates. The distributor shipped no more lettuce to the grocer, and the grocer has not yet paid for any of the lettuce.

How much, if anything, is the distributor entitled to collect from the grocer?

A. Nothing, because the tender of all eight crates was a condition precedent to the grocer's duty to pay.

B. The listed price for the seven crates of lettuce.

C. The listed price for the seven crates of lettuce, minus the grocer's damages, if any, for the distributor's failure to deliver the full order.

D. The reasonable value of the seven crates of lettuce, minus the grocer's damages, if any, for the distributor's failure to deliver the full order.

Explanation:

The Uniform Commercial Code (**UCC**) governs contracts for the sale of goods (eg, lettuce). Under the UCC, **goods must conform perfectly** to the contract. Failure to provide such goods is a **breach** that, unless cured in the time remaining to perform, allows the buyer to **reject or accept** the goods in whole or in part. When the buyer accepts the goods, the buyer must pay the seller the **contract price** of the accepted goods **minus any damages** incurred as a result of the breach—eg, damages incurred to cover (ie, purchase) substitute goods.

Here, the distributor contracted to provide the grocer with *eight* crates of lettuce. The distributor then mistakenly shipped only *seven* crates of lettuce and did not cure this defect (breach). The grocer accepted the seven crates, so the distributor is entitled to collect the listed contract price (not the reasonable value) for those crates **(Choice D)**. However, that price must be reduced by the grocer's damages, if any, resulting from the distributor's breach **(Choice B)**.

(Choice A) The tender of all eight crates was *not* a condition precedent to the grocer's duty to pay. That is because the grocer had the option to accept or reject the nonconforming goods. But since the grocer accepted seven crates of lettuce, it must pay for those seven crates minus any damages incurred.

Educational objective:

If goods do not conform perfectly to the contract, it is a breach under the UCC. The UCC allows the buyer to reject or accept the goods in whole or in part. When the buyer accepts the goods, the buyer must pay the seller the contract price of the accepted goods minus any damages incurred as a result of the breach.

References

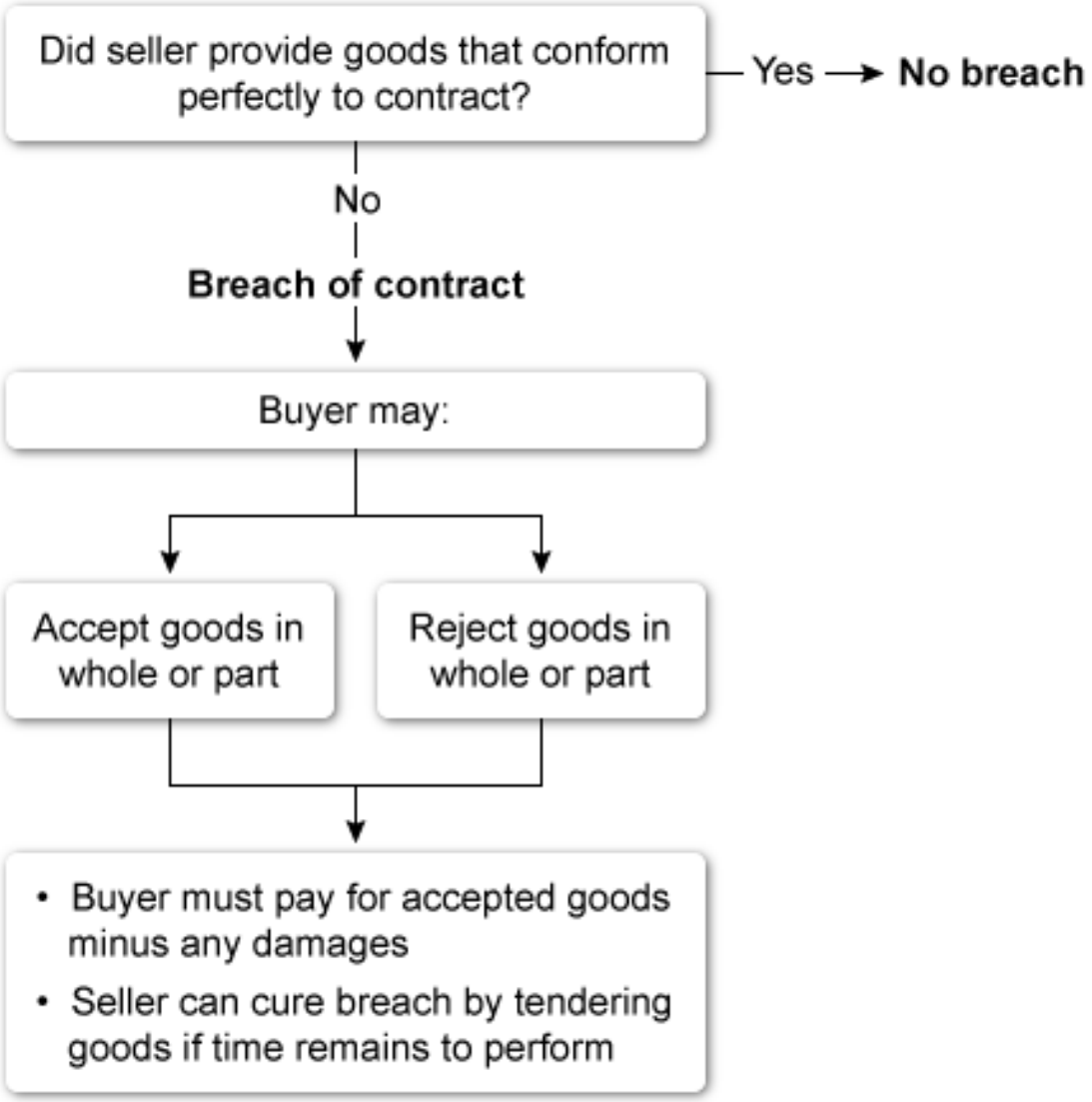
U.C.C. § 2-601 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's rights on improper delivery).

U.C.C. § 2-717 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer may deduct damages from price due).

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Buyer's rights on improper delivery
(UCC § 2-601)



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An art collector paid a gallery $1,000 to purchase a framed drawing from the gallery's collection. The price included shipping by the gallery to the collector's home. The gallery's owner used inadequate materials to wrap the drawing. The frame broke during shipment and scratched the drawing, reducing the drawing's value to $300. The collector complained to the gallery owner, who told the collector to take the drawing to a specific art restorer to have the drawing repaired. The collector paid the restorer $400 to repair the drawing, but not all of the scratches could be fixed. The drawing, after being repaired, was worth $700. The gallery owner subsequently refused to pay either for the repairs or for the damage to the drawing. In an action by the collector against the gallery owner for damages, which of the following awards is most likely?

A. Nothing.

B. $300.

C. $400.

D. $700.

Explanation:

Under the **UCC**, contracts for the **sale of goods** come with an implied warranty of merchantability if the seller is a merchant with respect to the type of goods involved. Under this warranty, damage caused by the seller's failure to adequately package an item constitutes a breach. If the buyer nevertheless chooses to accept the goods, the **buyer's damages** are the difference between:

the value of the goods as accepted *and*

the value of the goods as warranted.

Repair costs are often used to determine this difference in value. But if the repairs fail to restore the goods to their value as warranted, the buyer can recover the **repair costs *plus*** the **difference between** the **value of the goods as warranted** and the **value of the goods after the repairs**.*

Here, the gallery's use of inadequate materials to wrap the drawing constituted a breach of warranty. The resulting damage during shipment reduced the drawing's value to $300. And although the art collector paid the restorer $400 to repair the drawing, it was worth just $700 after the repairs. As a result, the collector can recover the repair costs ($400) plus the difference between the drawing's value after the repairs and its value as warranted ($1,000 - $700 = $300). Therefore, an award of $700 is most likely **(Choices A, B & C)**.

*This assumes that the buyer paid for the repairs.

Educational objective:

When repairs fail to restore goods to their value as warranted, the buyer's damages are equal to the cost of repairs plus the difference between the value of the goods after the repairs and the value of the goods as warranted.

UCC = Uniform Commercial Code

References

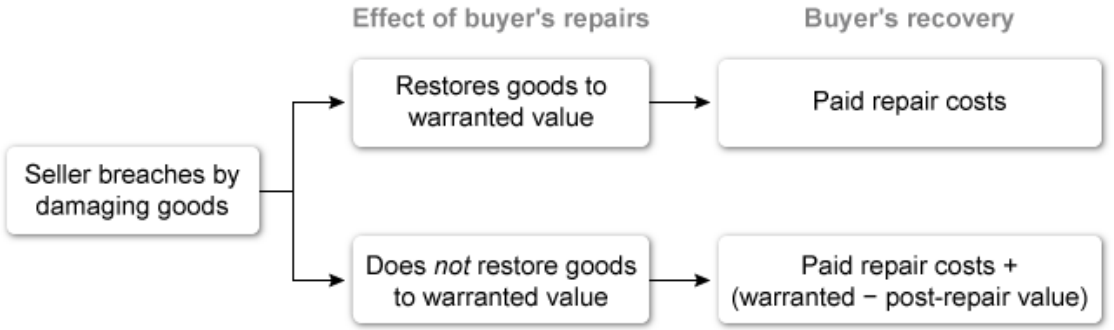
U.C.C. § 2-314 (Am. Law Inst. & Unif. Law Comm'n 2020) (implied warranty of merchantability).

U.C.C. § 2-714 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's damages for breach in regard to accepted goods).

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UCC effect of repair costs on buyer's recovery



UCC = Uniform Commercial Code

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A high-volume pleasure-boat retailer with a nearly inexhaustible supply of boats entered into a written contract with a boater, signed by both parties, to sell him a power boat for $12,000. The manufacturer's price of the boat delivered to the retailer was $9,500. As the contract provided, the boater paid the retailer $4,000 in advance and promised to pay the full balance upon the boat's delivery. The contract contained no liquidated damages provision.

Prior to the agreed delivery date, the boater notified the retailer that he would be financially unable to conclude the purchase; and the retailer thereupon resold the same boat that the boater had ordered to a third person for $12,000 cash.

If the boater sues the retailer for restitution of the $4,000 advance payment, how should the court decide?

A. The boater's claim should be denied, because, as the party in default, he is deemed to have lost any right to restitution of a benefit conferred on the retailer.

B. The boater's claim should be denied, because, but for his repudiation, the retailer would have made a profit on two boat-sales instead of one.

C. The boater's claim should be upheld in the amount of $3,500 ($4,000 minus $500 as statutory damages under the UCC).

D. The boater's claim should be upheld in the amount of $4,000 minus the amount of the retailer's lost profit under its contract with the boater.

Explanation:

Breaching buyer's recovery of advance payment

(UCC § 2-718)

Buyer who made advance payment before breach can recover amount paid minus seller's:

liquidated damages – amount set forth in contract
statutory damages – 20% of contract price or $500, whichever is less (if no valid liquidated damages clause)
OR

actual damages – expectation damages plus any incidental damages (if amount exceeds statutory damages)
UCC = Uniform Commercial Code.

Under the UCC, a **breaching buyer** is entitled to **restitution damages** for the value of any advance payments it made to the seller. This ensures that the seller is not unjustly enriched at the buyer's expense **(Choice A)**. However, the buyer's damages award will be **offset by** the seller's damages. If, as here, there is no liquidated damages provision, then the **seller's offset** is the **greater of** the following:

Statutory damages – $500 or 20% of the total contract price, whichever is smaller
Actual damages – expectation damages (eg, lost profits if the seller is a lost-volume seller), plus any incidental damages (eg, shipping or transportation costs)
Therefore, an injured seller is not limited to a $500 statutory offset when the seller's actual damages exceed that amount **(Choice C)**.

Here, the retailer is a lost-volume seller, as evidenced by its nearly inexhaustible supply of boats. But for the boater's breach, the retailer would have made two sales (and two profits) rather than one. As a result, the retailer's actual damages are its lost profit from the sale to the boater plus incidental damages (none are indicated). The boater's claim should therefore be upheld in the amount of $4,000 for the advance payment *minus* the amount of the retailer's lost profit.

(Choice B) The retailer would have made a profit on two boat sales instead of one had the boater not repudiated the contract. However, since the boater is entitled to restitution of the $4,000 advance payment, the retailer's lost profit (from the sale to the boater) will be subtracted from—but not negate—the boater's claim.

Educational objective:

Under the UCC, a breaching buyer is entitled to restitution damages for the value of any advance payments it made to the seller, minus the amount of the seller's damages.

References

U.C.C. § 2-718 (Am. Law Inst. & Unif. Law Comm'n 2020) (liquidation or limitation of damages and deposits).

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Under a written agreement, a pastry supplier promised to sell its entire output of baked buns at a specified unit price to a retailer, for one year. The retailer promised not to sell any other supplier's baked buns.

The parties' contract included a provision for termination by either party at any time upon reasonable notice. After six months of performance on both sides, the supplier, claiming that its old bun-baker had become uneconomical and that it could not afford a new one, dismantled the bun-baker and began using the space for making dog biscuits. The supplier's output of baked buns having ceased, the retailer sued for breach of contract. The retailer moves for summary judgment on liability, and the supplier moves for summary judgment dismissing the retailer's claim.

How should the court rule?

A. Deny both motions, because the supplier may legally cease production of baked buns, but under the circumstances it must share with the retailer its profits from the manufacture of dog biscuits until the end of the first year.

B. Deny both motions, because there are triable issues of fact as to whether the supplier gave reasonable notice of termination or whether its losses from continued production of baked buns were sufficiently substantial to justify cessation of production.

C. Grant summary judgment for the retailer, because as a matter of law the supplier could not discontinue production of baked buns merely because it was losing money on that product.

D. Grant summary judgment for the supplier, because its cessation of baked-bun production and the retailer's awareness thereof amounted as a matter of law to valid notice of termination as permitted by the contract.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

A **motion for summary judgment** is a request that the court enter judgment without a full trial because there is no genuine issue of material fact and the movant is entitled to **judgment as a matter of law**. A fact issue is material if it is of consequence to the outcome of the case.

In this breach of contract case, one material fact issue is whether the supplier's cessation of baked-bun production and the retailer's awareness thereof amounted to *reasonable* notice of termination as required by the parties' contract. Reasonableness is a question of fact that must be answered by the trier of fact, so it cannot be decided on summary judgment **(Choice D)**.

Another material fact issue is whether the supplier's monetary losses from the continued production of baked buns were *substantial* enough to give rise to an impracticability defense or otherwise discharge the supplier's contractual obligation. The **defense of impracticability** is available when:

an **unanticipated event** makes a party's **performance impracticable**
nonoccurrence of the event was a basic assumption of the contract *and*
the party seeking discharge is not at fault.
Although non-extraordinary increases in the cost of performance do not make performance impracticable, there is no bright line rule for determining as a matter of law whether an increase in cost rises to the level of impracticability. Instead, this is a question of fact to be answered by the trier of fact **(Choice C)**. Accordingly, both parties' motions for summary judgment should be denied.

(Choice A) Even if the supplier can legally cease production of baked buns, there is no indication that the contract entitles the retailer to a share of the supplier's profits from the manufacture of dog biscuits.

Educational objective:

The defense of impracticability is available when (1) an unanticipated event makes performance impracticable, (2) nonoccurrence of the event was a basic assumption of the contract, and (3) the party seeking discharge is not at fault. Non-extraordinary increases in the cost of performance do not make performance impracticable.

References

Restatement (Second) of Contracts § 261 (Am. Law Inst. 1981) (impracticability).

Fed. R. Civ. P. 56 (summary judgment).

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A seller entered into a contract with a buyer to sell a house for a price of $150,000. The contract contained the following clause: "This contract is conditional on the buyer securing bank financing at an interest rate of 7% or below." The buyer did not make an application for bank financing and therefore did not secure it and refused to proceed with the purchase. The seller sued the buyer for breach of contract.

Is the seller likely to prevail?

A. No, because the buyer did not secure bank financing.

B. No, because the contract did not expressly impose on the buyer any obligation to apply for bank financing.

C. Yes, because a court will excuse the condition to avoid a disproportionate forfeiture.

D. Yes, because a court will imply a term imposing on the buyer a duty to use reasonable efforts to secure bank financing.

Explanation:

Contract conditions

Condition precedent	Uncertain future event that, if it occurs, creates party's obligation to perform (e.g., A agrees to hire B *if* B graduates college)
Condition subsequent	Uncertain future event that, if it occurs, excuses party's existing obligation to perform (e.g., B agrees to work for C *until* B graduates college)

Performance is generally due once a contract is formed. However, performance can be delayed or discharged by a condition—ie, an uncertain future event that must occur before performance becomes due or is discharged. There are two types of conditions:

condition precedent* – ***delays* performance** until a specified event occurs
condition subsequent – ***excuses* performance** once a specified event occurs
A **condition precedent** will be **excused** if a party whose performance is subject to that condition **wrongfully prevents** the condition from occurring—eg, by breaching the implied duty of good faith and fair dealing. As a result, the condition no longer must occur for that party's performance to become due.

Here, the buyer's performance was *delayed* by the condition that he secured financing at an interest rate of 7% or below. The implied duty of good faith and fair dealing required the buyer to make reasonable efforts to secure financing. He breached that duty by making *no* effort to secure financing, so the condition precedent was excused and the buyer's performance became due. Therefore, the seller is likely to prevail **(Choices A & B)**.

*A condition concurrent arises when each party's obligation to perform is a condition precedent to the other party's obligation to perform (ie, when performance is due simultaneously).

(Choice C) The seller would *not* be subject to any significant forfeiture (ie, loss of benefit or right) if the buyer's condition to obtain financing is not excused. That is because the seller can sell the house to someone else.

Educational objective:

A condition precedent will be excused if a party whose performance is subject to that condition wrongfully prevents the condition from occurring—eg, by breaching the implied duty of good faith and fair dealing.

References

Restatement (Second) of Contracts §§ 224–25 (Am. Law Inst. 1981) (conditions and effect of nonoccurrence).

Restatement (Second) of Contracts § 229 (Am. Law Inst. 1981) (excuse of condition to avoid forfeiture).

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A dealer needed a certain rare baseball card to complete a set that he had contracted to assemble and sell to a collector. On March 1, the dealer obtained such a card from a woman in exchange for $1,000 and a written promise to redeliver to the woman "no later than December 31 of this year" a comparable specimen of the same kind of card. On March 2, the dealer consummated the sale of the complete set to the collector.

On September 1, the market price of rare baseball cards suddenly began a rapid, sustained rise. On September 10, the woman wrote the dealer for assurance that the dealer would timely meet his card-replacement commitment to her. On September 15, the dealer telephoned the woman and said, "I absolutely will not replace your card until the market drops far below its present level."

The woman sued the dealer on October 15 for the market value of a comparable replacement-card.

If the dealer moves to dismiss the woman's complaint, which of the following is the woman's best argument in opposing the motion?

A. The dealer breached an implied warranty by failing to supply the baseball card.
B. The woman complied with her duty to mitigate her losses by promptly suing when the market rose.
C. The woman may resort to any appropriate remedy for breach of contract because the dealer repudiated his performance.
D. The woman may treat the dealer's anticipatory repudiation as an immediately actionable tort.

Explanation:

A contract for the sale of goods (eg, a baseball card) is governed by the Uniform Commercial Code (**UCC**). Under the UCC, a party with **reasonable grounds for insecurity** about the other party's performance has the **right to make** a **written demand for assurances** that the other party will perform the contract. A **failure** to provide those assurances within 30 days after a valid demand constitutes an **anticipatory repudiation**. The nonrepudiating party may then treat the repudiation as a breach or ignore it and demand performance pursuant to the contract.

Here, the woman had reasonable grounds for insecurity about the dealer's promise to replace the rare baseball card since the market price of rare cards had begun a rapid, sustained rise. The dealer then failed to provide adequate assurance and explicitly repudiated his performance by stating, "I *absolutely* will not replace your card until the market drops far below its present level." As a result, the woman's best argument in opposing the dealer's motion to dismiss is that the woman may resort to any appropriate remedy for breach of contract.

(Choice A) The dealer did not breach any implied warranty by failing to supply the card. However, the dealer anticipatorily repudiated the contract by failing to provide adequate assurance that he would perform.

(Choice B) Although the woman had the *right* to bring an immediate suit once the dealer repudiated, she was not *required* to mitigate her losses by promptly suing when the market rose.

(Choice D) The woman may treat the dealer's anticipatory repudiation as an immediately actionable breach of contract, not a tort—ie, a wrongful or injurious act, other than breach of contract, subjecting the actor to civil liability.

Educational objective:

Under the UCC, a party with reasonable grounds for insecurity about the other's performance may make a written demand for assurances that the other party will perform. Failure to provide assurance within 30 days after a valid demand constitutes an anticipatory repudiation, which the nonrepudiating party may treat as a breach or ignore.

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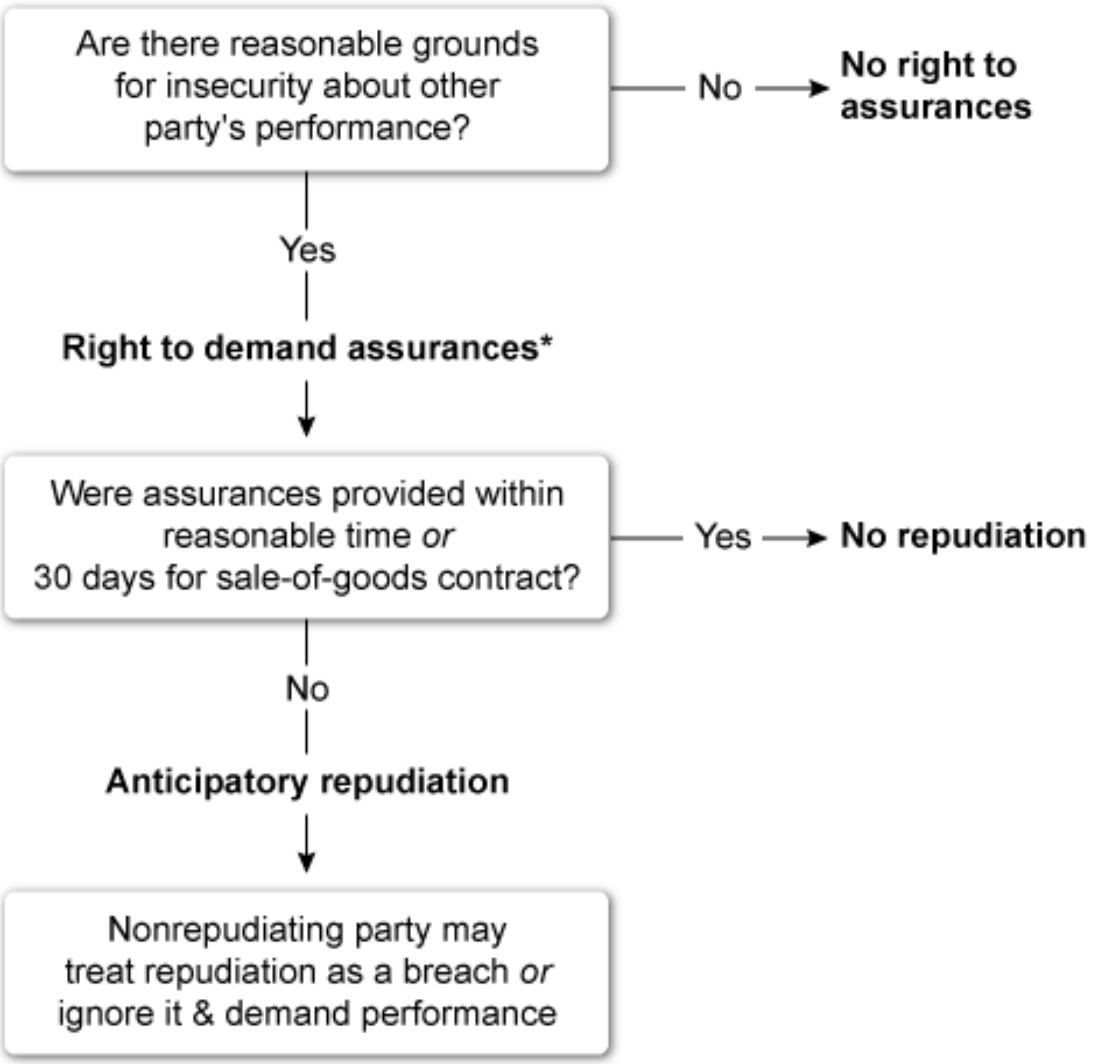
U.C.C. § 2-609 (Am. Law Inst. & Unif. Law Comm'n 2020) (right to adequate assurance of performance).

U.C.C. § 2-610 (Am. Law Inst. & Unif. Law Comm'n 2020) (anticipatory repudiation).

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Right to adequate assurances



*The demand must be in writing if the contract is for the sale of goods.

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A buyer entered into a written contract to purchase from a seller 1,000 sets of specially manufactured ball bearings of a nonstandard dimension for a price of $10 per set. The seller correctly calculated that it would cost $8 to manufacture each set. Delivery was scheduled for 60 days later.

Fifty-five days later, after the seller had completed production of the 1,000 sets, the buyer abandoned the project that required the specially manufactured ball bearings and repudiated the contract with the seller. After notifying the buyer of his intention to resell, the seller sold the 1,000 sets of ball bearings to a salvage company for $2 per set. The seller then sued the buyer for damages.

What damages should the court award to the seller?

A. $2 per set, representing the difference between the cost of manufacture and the price the buyer agreed to pay.
B. $6 per set, representing the difference between the cost of manufacture and the salvage price.
C. $8 per set, representing the lost profits plus the unrecovered cost of manufacture.
D. Nominal damages, because the seller failed to resell the goods by public auction.

Explanation:

Under the **UCC**, the seller can recover damages when the buyer breaches by repudiating the contract or wrongfully refusing to accept the goods. The court will use a measure of damages that puts the seller in the same position as if the contract had been performed, most often based on the market-price differential. But when this measure of damages is inadequate—eg, the contract is for **specially manufactured goods** of a **nonstandard dimension** (like the ball bearings here)—the **seller's damages** are equal to:

the **profit** the seller would have made (eg, $10 per set contract price − $8 per set cost of manufacture = $2 per set) ***plus***
an allowance for **costs reasonably incurred** (eg, $8 per set cost of manufacture) ***minus***
payments received for the **resale of the goods** (eg, $2 per set salvage price).
Therefore, the court should award the seller $8 per set ($2 + $8 − $2), representing the seller's lost profits plus his unrecovered cost of manufacture.

(Choice A) $2 would be a correct measure of damages only if the seller had not yet begun manufacturing the ball bearings. In that case, there would have been no manufacturing costs or need to resell the goods.

(Choice B) The difference between the seller's cost to manufacture the ball bearings and the salvage price (ie, $6) fails to compensate him for lost profits. Therefore, this would not be a proper damages award.

(Choice D) There is no provision in the UCC requiring these goods to be resold by public auction.

Educational objective:

When a buyer breaches by repudiating the contract or wrongfully refusing to accept goods, the seller is entitled to damages that place it in the same position as if the contract had been performed. For specially manufactured goods, this includes expected profits *plus* costs reasonably incurred *minus* any proceeds from reselling the goods.

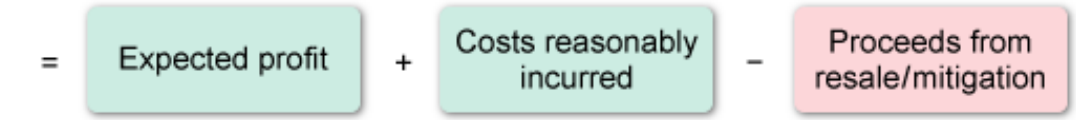
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U.C.C. § 2-708 (Am. Law Inst. & Unif. Law Comm'n 2020) (seller's damages for non-acceptance/repudiation).

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Seller's damages if market-price differential is inadequate



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A mother whose adult son was a law school graduate contracted with a tutor to give the son a bar exam preparation course. "If my son passes the bar exam," the mother explained to the tutor, "he has been promised a job with a law firm that will pay $55,000 a year." The tutor agreed to do the work for $5,000, although the going rate was $6,000.

Before the instruction was to begin and before any payment was made, the tutor repudiated the contract. Although the mother or the son reasonably could have employed, for $6,000, an equally qualified instructor to replace the tutor, neither did so. The son failed the bar exam, and the law firm refused to employ him. It can be shown that had the son received the tutor's instruction, he would have passed the bar exam.

If the mother and the son join as plaintiffs and sue the tutor for breach of contract, how much, if anything, are they entitled to recover?

A. $1,000, because all other damages could have been avoided by employing another equally qualified instructor.

B. $55,000, because damages of that amount were within the contemplation of the parties at the time they contracted.

C. Nominal damages only, because the mother was not injured by the breach and the tutor made no promise to the son.

D. Nothing, because neither the mother nor the son took steps to avoid the consequences of the tutor's breach.

Explanation:

Expectation (ie, benefit-of-the-bargain) damages

Definition	Losses arising naturally & obviously from breach
Purpose	Place nonbreaching party in same position as if contract had been performed
Measure	General rule – difference between contract price & market price (or cost of purchasing substitute performance) Construction contracts – difference between contract price & cost of construction by another builder

The primary goal of contract damages is to place the nonbreaching party in the same position as if the contract had been fully performed. This typically means that the **nonbreaching party can recover**:

consequential damages – losses arising from the **nonbreaching party's special circumstances** that the breaching party could **reasonably foresee** when the contract was made *and/or*

expectation damages – losses arising naturally and obviously from the breach, which can be measured by the **difference between** the **contract price** and the **market price**.

However, damages that could have been **mitigated** (ie, avoided or minimized) through **reasonable efforts** are ***not*** **recoverable**.*

Here, the tutor repudiated the contract prior to performing. Although it was foreseeable that the son would lose his job offer if he failed the bar exam, that loss could have been avoided by employing an equally qualified instructor for $6,000. As a result, the mother and son cannot claim $55,000 in *consequential* damages for the son's lost salary **(Choice B)**. However, this does not prevent them from recovering the difference between the $5,000 contract price and the $6,000 market price—a total of $1,000 in *expectation* damages **(Choice D)**.

*The nonbreaching party will not be precluded from recovery to the extent that he/she has made reasonable but unsuccessful efforts to avoid loss.

(Choice C) Although the tutor made no promise to the son, the mother-tutor contract was made to benefit the son (the one who would be receiving tutoring). This means that the son was an intended third-party beneficiary of the contract. As a result, both the mother and the son were entitled to sue for damages. In addition, they can recover $1,000 in expectation damages—not merely nominal damages.

Educational objective:

The nonbreaching party cannot recover damages for losses that could have been mitigated (ie, avoided or minimized) through reasonable efforts.

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On July 1, a man and a developer contracted in writing for the sale and purchase of the man's farm, and to close the transaction on December 1.

On September 1, the developer unequivocally repudiated the contract. On September 15, the man urged the developer to change her mind and proceed with the scheduled closing on December 1. On October 1, having heard nothing further from the developer, the man sold and conveyed his farm to a farmer without notifying the developer. On December 1, the developer attempted to close under the July 1 contract by tendering the full purchase price to the man. The man rejected the tender.

The developer sued the man for breach of contract.

Will the developer likely prevail?

A. No, because acceptance of the purchase price by the man was a concurrent condition to the man's obligation to convey the farm to the developer on December 1.

B. No, because the developer did not retract her repudiation before the man materially changed his position in reliance thereon by selling the farm to the farmer.

C. Yes, because the man failed seasonably to notify the developer of any pending sale to the farmer.

D. Yes, because the man waived the developer's September 1 repudiation by urging her to retract it on September 15.

Explanation:

The doctrine of **anticipatory repudiation** applies when a contracting party **clearly and unequivocally** repudiates (ie, indicates an **unwillingness to perform**) a promise before the time for performance arises or elapses. A **repudiation can be retracted** if the nonrepudiating party receives notice of the retraction **before**:

canceling the contract

materially changing position in reliance on the repudiation *or*

indicating that he/she considers the repudiation to be final.

If the repudiation is not retracted, the nonrepudiating party may (1) treat the repudiation as a breach or (2) ignore it and demand performance pursuant to the contract.

Here, the developer unequivocally repudiated the contract for the sale of the farm on September 1. One month later, the man sold and conveyed the farm to the farmer because the man had heard nothing from the developer. Since the developer did not retract her repudiation before the man materially changed his position in reliance thereon, the developer has no recourse for breach of contract. Therefore, the developer likely will not prevail.

(Choice A) The fact that the man did not accept the purchase price when the developer tendered it on December 1 is not the reason the developer will lose. Instead, the developer will lose because she repudiated the contract on September 1 and the man materially changed his position in reliance thereon by selling the farm to someone else.

(Choice C) The nonrepudiating party need not notify the repudiating party that the nonrepudiating party materially changed his/her position in reliance on the repudiation.

(Choice D) The fact that the man urged the developer to retract her repudiation did not waive the repudiation because only the developer can retract it.

Educational objective:

A party who anticipatorily repudiates a contract may retract the repudiation if the nonrepudiating party is notified of the retraction before (1) canceling the contract, (2) materially changing position in reliance on the repudiation, or (3) indicating that he/she considers the repudiation final.

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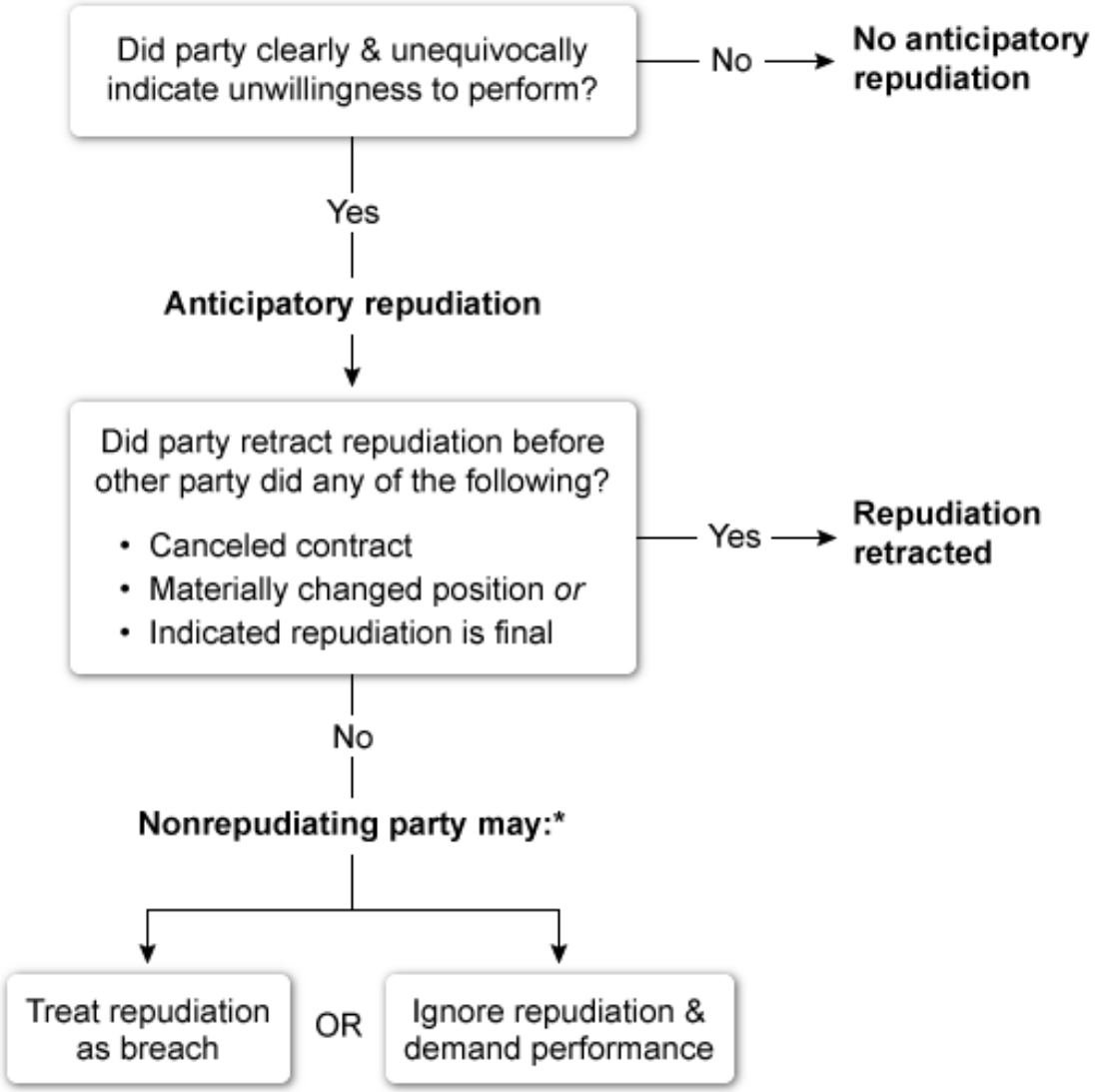
Restatement (Second) of Contracts § 253 (Am. Law Inst. 1981) (effect of an anticipatory repudiation).

Restatement (Second) of Contracts § 256 (Am. Law Inst. 1981) (retraction of repudiation).

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The doctrine of anticipatory repudiation



*The nonrepudiating party may also suspend its performance if commercially reasonable

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In a single writing, a painter contracted with a farmer to paint three identical barns on her rural estate for $2,000 each. The contract provided for the farmer's payment of $6,000 upon the painter's completion of the work on all three barns. The painter did not ask for any payment when the first barn was completely painted, but she demanded $4,000 after painting the second barn.

Is the farmer obligated to make the $4,000 payment?

A. No, because the farmer has no duty under the contract to pay anything to the painter until all three barns have been painted.

B. No, because the painter waived her right, if any, to payment on a per-barn basis by failing to demand $2,000 upon completion of the first barn.

C. Yes, because the contract is divisible.

D. Yes, because the painter has substantially performed the entire contract.

Explanation:

Order of performances*

Simultaneous performance possible	Condition *concurrent* implied (ie, performance due simultaneously)
One performance requires time	Condition *precedent* implied (ie, durational performance due *before* respective duty triggered)

*These rules apply unless express contractual language or circumstances indicate otherwise.

When a party performs one part of a **divisible contract**, the party is entitled to the agreed equivalent for that part—even if the party fails to perform the other parts of the contract. In other words, that party's **performance of the *entire* contract** is **not a condition precedent** to the other party's duty to perform. A contract is **divisible if**:

the parties' duties can be broken down into at least two **corresponding pairs of performances** *and*

those pairs of performances can fairly be regarded as **agreed (ie, bargained-for) equivalents**.

Although courts prefer to interpret contracts as divisible for reasons having to do with fairness, they will not do so if the contract expressly states that it is indivisible.

Here, the parties' contract provided that the farmer had no duty to pay the painter anything until she had painted all three barns. As a result, the contract was expressly *indivisible*, and the painter's completion of the work on all three barns was a condition precedent to the farmer's duty to pay. Therefore, the farmer is not obligated to pay the painter $4,000 (ie, $2,000 per barn for two barns) **(Choice C)**.

(Choice B) The painter did *not* have a right to expect payment for each barn, so she could not waive such a right.

(Choice D) The painter did *not* substantially perform the contract since she failed to paint one of the three barns—a significant part of the performance for which the farmer contracted.

Educational objective:

Although courts prefer to interpret contracts as divisible for fairness reasons, they will not do so in contradiction of the express terms of the contract.

References

Restatement (Second) of Contracts § 234 (Am. Law Inst. 1981) (order of performances).

Restatement (Second) of Contracts § 240 (Am. Law Inst. 1981) (part performances as agreed equivalents).

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A well-established paper mill and a logging company signed a written contract in which the mill agreed to buy from the company all the logs the mill would need for one year. The company was unable to keep up with the mill's needs, and its log deliveries fell short by 10% to 15% in each of the four quarters of the year. The mill paid the company on time for all delivered logs.

The mill paid an attorney $2,000 for advice concerning its options in enforcing the contract. It paid a broker a reasonable fee of $5,000 to find additional logs to make up for the company's shortfall. The mill also incurred reasonable costs of $25,000 to transport the additional logs to its facility. Despite the mill's efforts to mitigate damages, it sustained an additional $200,000 in losses because of the company's failure to timely deliver enough logs.

The mill has sued the company for breach of contract.

If the court finds for the mill, how much should it award in damages?

A. $205,000.

B. $225,000.

C. $230,000.

D. $232,000.

Explanation:

UCC damages for seller's breach when buyer covers

Cost of cover	Difference between contract price & cost of purchasing substitute goods*
Incidental damages	Reasonable expenses incurred in inspection, receipt, transportation & care of goods rightfully rejected
	Commercially reasonable charges, expenses, or commissions incurred in connection with effecting cover
	Other reasonable expenses incident to delay/breach
Consequential damages	Losses resulting from buyer's particular circumstances that:
	seller had reason to know at time of contracting *and*
	could not reasonably be prevented
	Injury to person/property proximately resulting from breach of warranty

UCC = Uniform Commercial Code.

***The substitute goods must have been purchased promptly & in good faith.

Under the **UCC**, the buyer can recover damages if the **seller breaches** the contract **by failing to deliver** some or all of the goods. If the **buyer chooses to cover** (ie, purchase substitute goods), then the buyer **can recover** the following:

Cost of cover – the difference between the contract price and the cost of purchasing substitute goods

Incidental damages – includes commercially reasonable charges, expenses, or commissions incurred in effecting cover (eg, transportation costs, broker commission)

Consequential damages – includes losses resulting from the buyer's particular circumstances that (1) the seller had reason to know of at the time of contracting and (2) could not reasonably be prevented by cover or otherwise (eg, business losses)

No UCC provision provides for recovery of **attorney's fees**, however, so they are **not recoverable** in the absence of a contract provision allowing them. In addition, although a party has no duty to mitigate its losses, its recovery will be reduced by the amount that could have been reasonably avoided or minimized.

Here, the paper mill will necessarily recover the $200,000 in losses it sustained because of the logging company's failure to deliver enough logs. These are presumably consequential damages. The mill can also recover incidental damages of $25,000 for transporting the additional logs and $5,000 for the broker's commission—$30,000 in total. However, the

$2,000 in attorney's fees are not recoverable **(Choice D)**. Therefore, the court should award $230,000 in damages if it finds for the mill **(Choices A & B)**.

Educational objective:

When a seller breaches a contract by failing to deliver some or all of the goods, the buyer's recoverable damages include the cost of cover, incidental damages, and consequential damages—but not attorney's fees.

UCC = Uniform Commercial Code

References

U.C.C. § 2-711 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's remedies in general).

U.C.C. § 2-712 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's procurement of substitute goods).

U.C.C. § 2-715 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's incidental & consequential damages).

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A seller and a buyer entered into a contract obligating the seller to convey title to a parcel of land to the buyer in exchange for $100,000. The agreement provided that the buyer's obligation to purchase the parcel was expressly conditioned upon the buyer's obtaining a loan at an interest rate no higher than 10%. The buyer was unable to do so but did obtain a loan at an interest rate of 10.5% and timely tendered the purchase price. Because the value of the land had increased since the time of contracting, the seller refused to perform. The buyer sued the seller.

Is the buyer likely to prevail?

A. No, because an express condition will be excused only to avoid forfeiture.

B. No, because the contract called for a loan at an interest rate not to exceed 10% and it could not be modified without the consent of the seller.

C. Yes, because the buyer detrimentally changed position in reliance on the seller's promise to convey.

D. Yes, because the buyer's obtaining a loan at an interest rate no higher than 10% was not a condition to the seller's duty to perform.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

Performance is generally due once a contract is formed. However, a party may avoid performance if a condition precedent—ie, an uncertain future event that must occur before either or both parties' performance becomes due—has not occurred, and the nonoccurrence is not excused. **Nonoccurrence** of a condition may be **excused by waiver** if the **party who benefits** from the condition **chooses to perform** despite the nonoccurrence.

Here, the buyer's duty to perform under the contract by purchasing the land was expressly conditioned on obtaining a loan at an interest rate no higher than 10% (condition precedent). The buyer was unable to do so (nonoccurrence) but tendered the purchase price anyway (waiver). Since the buyer waived the condition, the seller was also required to perform by conveying title to the buyer. Therefore, the buyer will likely prevail.

(Choice A) It is untrue that an express condition (ie, one that appears in the contract) will be excused *only* to avoid disproportionate forfeiture. There are other excuses, such as waiver.

(Choice B) The buyer's waiver of the condition was *not* a contract modification requiring the seller's consent since it did not alter the material terms of the contract (eg, purchase price).

(Choice C) Under the doctrine of promissory estoppel, a party can enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. But here, a valid contract was formed, so the buyer's reliance is irrelevant.

Educational objective:

Nonoccurrence of a condition may be excused by waiver if the party that benefits from the condition chooses to perform despite the nonoccurrence.

References

Restatement (Second) of Contracts § 224 (Am. Law Inst. 1981) (definition of condition).

Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (effect of non-occurrence of condition).

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In a signed writing, a man contracted to purchase a 25-foot travel trailer from a dealership for $15,000, cash on delivery, no later than June 1. The man arrived at the dealership's sales lot on Sunday, May 31, but he refused to pay for and take delivery of the trailer as contracted when he discovered that the spare tire was missing. The dealership offered to install a spare tire on Monday when its service department would open, but the man replied that he did not want the trailer and would purchase another one elsewhere.

Which of the following is accurate?

A. The man had a right to reject the trailer and terminate the contract under the perfect-tender rule.
B. The man had a right to reject the trailer, but the dealership was entitled to a reasonable opportunity to cure the defect.
C. The man was required to accept the trailer, because the defect could be readily cured.
D. The man was required to accept the trailer, because the defect did not substantially impair its value.

Explanation:

Seller's right to cure

(UCC § 2-508)

Within time for performance	Seller has right to cure by: giving reasonable notice to buyer of intention to cure AND making conforming delivery within time for performance
After time for performance	If seller had reasonable grounds to believe goods were acceptable at delivery, seller has right to cure by: giving reasonable notice to buyer of intention to cure AND making conforming delivery within reasonable time

UCC = Uniform Commercial Code.

Contracts for the sale of goods are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC perfect-tender rule**, a **buyer may reject goods** in a **single-delivery contract**—ie, a one-time bargained-for exchange—that **fail to conform** to the contract in any way. But if the **time for performance** has **not yet expired**, a **seller may cure** (ie, remedy) a defect by:

giving **reasonable notice** to the buyer of its **intention to cure** *and*
making a **conforming delivery** within the time for performance under the contract.

Here, the man contracted to purchase a 25-foot travel trailer from a dealership (single-delivery contract). The trailer was missing a spare tire (nonconforming good) when the man attempted to take delivery on May 31, so he had a right to reject the trailer. But since delivery was to occur no later than June 1, the dealership had a right to cure the defect by notifying the man of its intention to cure and then delivering a conforming trailer by June 1 **(Choices A & C)**.

(Choice D) To reject nonconforming goods under an *installment* contract, the nonconformity must (1) substantially impair the value of the goods and (2) be incurable. But under a *single-delivery* contract, a buyer may reject goods that fail to conform to the contract in any way.

Educational objective:

In a single-delivery contract, the buyer may reject nonconforming goods. But if there is still time to perform under the contract, the seller has the right to cure the defect by (1) giving

the buyer reasonable notice of its intention to cure and (2) making a conforming delivery within the time for performance under the contract.

References

U.C.C. § 2-508 (Am. Law Inst. & Unif. Law Comm'n 2020) (seller's right to cure).

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A man obtained a bid of $10,000 to tear down an old structure on his newly purchased farm and another bid of $90,000 to replace it with a structure in which the man planned to house a new herd of dairy cows. Having only limited cash available, the man asked his uncle for a $100,000 loan. The next day, the man's uncle in a signed writing promised to lend the man $100,000 repayable over 10 years in equal monthly installments at 10% annual interest. The man promptly accepted the demolition bid and the old structure was removed, but the uncle thereafter refused to make the loan. Despite diligent efforts, the man was unable to obtain a loan from any other source.

In a successful claim for monetary relief against the uncle based on promissory estoppel, what is the probable measure of the man's recovery?

A. Expectancy damages, measured by the difference between the value of the new structure and the old structure, less the amount of the proposed loan ($100,000).

B. Expectancy damages, measured by the estimated profits from operating the dairy farm for 10 years, less the cost of repaying a $100,000 loan at 10% interest over 10 years.

C. Nominal damages only, because both expectancy and reliance damages are speculative.

D. Reliance damages, measured by the $10,000 expense of removing the old structure, adjusted by the decrease or increase in the market value of the man's land immediately thereafter.

Explanation:

Promissory-estoppel damages

Reliance	Intended to put enforcing party in same position as if promise had not been made Measured by out-of-pocket expenses incurred by enforcing party in reliance on promise
Expectation (rare)	Intended to put enforcing party in same position as if promise had been performed Measured by nonspeculative expectation of enforcing party

Promissory estoppel allows a party to recover damages stemming from another's failure to perform a promise when no valid contract exists. However, such damages may be limited as justice requires. This typically leads to an award of **reliance damages** based on the **out-of-pocket expenses** incurred by the enforcing party. This is designed to place the enforcing party in the **same position** as if the **promise had never been *made*** and to avoid unjust enrichment of the enforcing party.

However, in some promissory-estoppel cases, courts have awarded **expectation damages**. Expectation damages are designed to put the enforcing party in the **same position** as if the **promise had been *performed***. These damages usually exceed reliance damages but cannot be speculative—eg, the value of a nonexistent building, estimated profits from a nonexistent farm **(Choices A & B)**.

Therefore, the probable measure of the man's recovery is reliance damages, measured by the expense of removing the old structure in reliance on the uncle's promise ($10,000). This amount should then be adjusted by the decrease or increase in the market value of the land after demolition to further compensate the man for losses or avoid his unjust enrichment, respectively.

(Choice C) Nominal damages (eg, $1) may be awarded when no reliance or expectation damages can be shown. But here, the man's reliance damages of $10,000 can be shown, so an award of nominal damages is inappropriate.

Educational objective:

Damages for promissory estoppel may be limited as justice requires. This typically results in an award of reliance damages based on the claimant's out-of-pocket expenses, but some courts have awarded expectation damages to put the claimant in the same position as if the promise had been performed.

References

Restatement (Second) of Contracts § 90 (Am. Law Inst. 1981) (damages for promissory-estoppel claim).

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A manufacturer of flat screen televisions and a big box retailer had a written contract in which the manufacturer agreed to sell and the retailer agreed to buy all of its requirements of a certain type of television for three years.

A dispute arose near the end of the third year, when the retailer returned 25 undefective televisions to the manufacturer for full credit along with a check payable to the manufacturer for the balance admittedly due on all other merchandise sold and delivered to the retailer. The check was conspicuously marked, "Payment in full for all goods sold to the retailer to date." The manufacturer's credit manager, reading this check notation and knowing that the retailer had also returned the 25 televisions for full credit, deposited the check without protest in the manufacturer's local bank account. The canceled check was returned to the retailer a week later.

Which of the following defenses would best serve the retailer in an action by the television manufacturer against the retailer for damages due to return of the 25 televisions?

A. By depositing the check without protest and with knowledge of its wording, the television manufacturer discharged any remaining duty to pay on the part of the retailer.

B. By depositing the check without protest and with knowledge of its wording, the television manufacturer entered into a novation discharging any remaining duty to pay on the part of the retailer.

C. The parties' good-faith dispute over return of the televisions suspended the duty of the retailer, if any, to pay any balance due.

D. The television manufacturer's deposit of the check and its return to the retailer after payment estopped the manufacturer thereafter to assert that the retailer owed any additional amount.

Explanation:

When a debt is **disputed in good faith**, the debtor can attempt to **settle the debt** by giving the creditor a **check conspicuously marked, "Payment in full."** The creditor can then:

deposit the check – in which case the debtor's **duty to pay *is* discharged** *or*
reject the check – in which case the debtor's **duty to pay is *not* discharged**.

Here, the retailer disputed the amount owed to the television manufacturer since the retailer returned 25 undefective televisions *for credit*. The retailer included a check—conspicuously marked, "Payment in full"—in the amount of the balance due on all merchandise sold and delivered to the retailer other than the 25 undefective televisions. Therefore, the retailer's best defense is that, by depositing that check instead of rejecting it, the manufacturer discharged any remaining duty to pay on the part of the retailer.

(Choice B) A novation is a subsequent contract that substitutes a new party for one of the original parties. But here, the retailer attempted to settle a debt by tendering a check—not by substituting a new party.

(Choice C) When a debt is disputed in good faith, the debtor can attempt to settle the debt for less than the claimed amount. But the debtor is still required to pay the undisputed portion of the debt, if any.

(Choice D) The television manufacturer is estopped (ie, prohibited) from asserting a claim for any additional amount because the manufacturer deposited the check—not because the check was returned to the retailer after payment.

Educational objective:

When the amount of a debt is disputed in good faith, the debtor can attempt to settle by giving the creditor a check conspicuously marked, "Payment in full." The debtor's duty to pay will be discharged only if the creditor deposits the check.

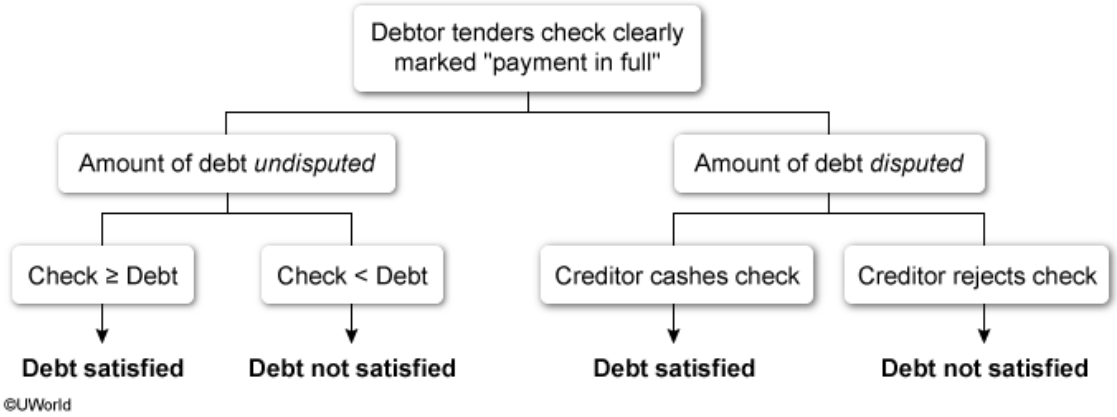
References

Restatement (Second) of Contracts § 281 cmt. d (Am. Law Inst. 1981) (explaining that a creditor who cashes a check marked "payment in full" may have formed an enforceable accord).

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Offer to satisfy debt with check



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A lumber supplier agreed to sell to a furniture manufacturer all the lumber that the manufacturer required over a two-year period. The sales contract provided that payment was due 60 days after delivery, but that a 3% discount would be allowed if the manufacturer paid within 10 days of delivery. During the first year of the contract, the manufacturer regularly paid within the 10-day period and received the 3% discount.

Fifteen days after the supplier had made its most recent lumber delivery to the manufacturer, the supplier had received no payment from the manufacturer. At this time, the supplier became aware of rumors from a credible source that the manufacturer's financial condition was precarious. The supplier wrote the manufacturer, demanding assurances regarding the manufacturer's financial status. The manufacturer immediately mailed to the supplier its latest audited financial statements as well as a satisfactory credit report prepared by the manufacturer's banker. The rumors proved to be false. Nevertheless, the supplier refused to resume deliveries. The manufacturer has sued the supplier for breach of contract.

Will the manufacturer likely prevail?

A. No, because the contract was unenforceable, since the manufacturer had not committed to purchase a definite quantity of lumber.

B. No, because the supplier had reasonable grounds for insecurity and was therefore entitled to cancel the contract and refuse to make any future deliveries.

C. Yes, because the credit report and audited financial statements provided adequate assurance of due performance under the contract.

D. Yes, because the supplier was not entitled to condition resumption of deliveries on the receipt of financial status information.

Explanation:

Under the **UCC**, a party with **reasonable grounds for insecurity** about the other party's performance has the **right to make** a **written demand for assurances** that the other party will perform. The insecure party may also suspend its own performance until assurance is provided. Between **merchants**, the reasonableness of insecurity and the adequacy of assurance are determined by **commercial standards** (eg, financial status information). Failure to provide adequate assurance within 30 days after a valid demand constitutes an anticipatory repudiation.

Here, the supplier had reasonable grounds for insecurity about the manufacturer's ability to pay after being told by a credible source that the manufacturer's financial condition was precarious. As a result, the supplier was entitled to condition resumption of deliveries on the receipt of adequate assurance **(Choice D)**. The manufacturer provided adequate assurance with its audited financial statements and credit report. Therefore, the supplier was not entitled to cancel the contract, and the manufacturer will likely prevail in its breach-of-contract suit **(Choice B)**.

(Choice A) Contracts for the sale of goods (eg, lumber) must contain a quantity term. Here, the contract did not specify a definite quantity of lumber. But the quantity could be made certain under this requirements contract because the supplier agreed to deliver all the lumber the manufacturer required over a two-year period.

Educational objective:

Under the UCC, a party with reasonable grounds for insecurity about the other party's performance has the right to make a written demand for assurances that the other party will perform. Between merchants, the reasonableness of insecurity and the adequacy of assurance are determined by commercial standards.

UCC = Uniform Commercial Code

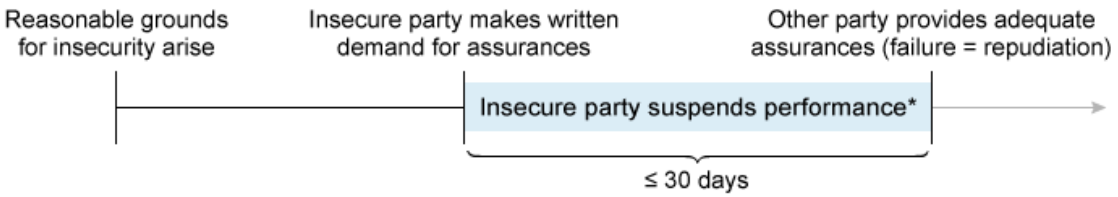
References

U.C.C. § 2-609 (Am. Law Inst. & Unif. Law Comm'n 2020) (right to adequate assurance of performance).

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UCC timeline for demanding assurances



*Performance may be suspended only if commercially reasonable

UCC = Uniform Commercial Code

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On June 1, a seller agreed to sell an antique car to a buyer for $20,000, in a writing signed by both the seller and the buyer. At the time, the car was on display in a museum in a different city and was to be delivered to the buyer on August 1. On July 15, before the risk of loss had passed to the buyer, the car was destroyed by fire without fault of either party. Subsequent to the contract but before the fire, the car had increased in value to $30,000. The seller sued the buyer for the contract price of $20,000, and the buyer counterclaimed for $30,000.

What is the likely outcome of this suit?

A. Both claims will fail.

B. Both claims will succeed, and the buyer will recover $10,000.

C. Only the buyer's claim will prevail.

D. Only the seller's claim will succeed.

Explanation:

Effect of destruction or damage to identified goods

(UCC § 2-613)

Complete destruction	Contract avoided (ie, neither party is required to perform)
Partial destruction	Buyer may demand inspection & (1) treat contract as avoided or (2) accept goods at reduced price but with no further right against seller

UCC = Uniform Commercial Code.

Contracts for the sale of goods are governed by Article 2 of the Uniform Commercial Code (UCC). Under the **UCC**, the risk of loss generally remains with the seller until the buyer receives the goods. However, if the contract deals with **specifically identified goods** (eg, the antique car on display), then **complete destruction** of the goods **excuses each party's duty** to perform **so long as** the destruction occurred:

without fault of either party *and*
before the **risk of loss passed** to the buyer.

Here, the buyer and seller formed a contract for the sale of an antique car. That car was destroyed by fire without fault of either party and before the risk of loss passed to the buyer. Therefore, the contract was avoided and neither the buyer nor the seller was required to perform. This means that both their claims will fail **(Choices B, C & D)**.

Educational objective:

When a contract deals with specifically identified goods, complete destruction of the goods excuses each party's duty to perform if the destruction occurred (1) without fault of either party and (2) before the risk of loss passed to the buyer.

References

U.C.C. § 2-509 (Am. Law Inst. & Unif. Law Comm'n 2020) (risk of loss in the absence of breach).

UCC § 2-613 (Am. Law Inst. & Unif. Law Comm'n 2020) (casualty to identified goods).

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On June 1, a general contractor and a subcontractor entered into a contract under which the subcontractor agreed to deliver all of the steel joists that the general contractor required in the construction of a hospital building. The contract provided that delivery of the steel joists would begin on September 1.

Although the general contractor had no reason to doubt the subcontractor's ability to perform, the general contractor wanted to be sure that the subcontractor was on track for delivery in September. He therefore wrote a letter on July 1 to the subcontractor demanding that the subcontractor provide assurance of its ability to meet the September 1 deadline. The subcontractor refused to provide such assurance.

The general contractor then immediately obtained the steel joists from another supplier.

If the subcontractor sues the general contractor for breach of contract, is the subcontractor likely to prevail?

A. No, because the contract failed to specify a definite quantity.

B. No, because the subcontractor anticipatorily repudiated the contract when it failed to provide adequate assurance.

C. Yes, because a demand for assurance constitutes a breach of contract when the contract does not expressly authorize a party to demand assurance.

D. Yes, because the subcontractor's failure to provide assurance was not a repudiation since there were no reasonable grounds for the general contractor's insecurity.

Explanation:

The Uniform Commercial Code (**UCC**) governs contracts for the sale of goods (eg, steel joists). Under UCC § 2-609, a party with ***reasonable*** **grounds for insecurity** about the other party's performance has the **right to make** a **written demand for assurances** that the other party will perform the contract. Failure to provide such assurances within 30 days after a valid demand constitutes an **anticipatory repudiation** of the contract. The party that made the demand may then treat the repudiation as a breach of contract or ignore it and demand performance.

Here, the general contractor had *no* reason to doubt the subcontractor's ability to perform pursuant to the contract. As a result, the general contractor had no right to demand assurances, and the subcontractor's failure to provide assurance was not an anticipatory repudiation **(Choice B)**. The general contractor then breached the contract by obtaining the steel joists from another supplier. Therefore, the subcontractor will likely prevail.

(Choice A) Contracts for the sale of goods must contain a quantity term. Here, the contract did not specify a definite quantity of steel joists. But the quantity could be made certain under this requirements contract because the subcontractor agreed to deliver all the steel joists that the general contractor required.

(Choice C) A demand for assurances does not constitute a breach of contract when the contract does not *expressly* authorize a party to demand assurances. That is because the UCC *impliedly* authorizes a party to demand assurances when reasonable grounds for insecurity exist (not seen here).

Educational objective:

Under the UCC, a party with reasonable grounds for insecurity about the other party's performance has the right to make a written demand for assurances that the other party will perform the contract. Failure to provide such assurances within 30 days after a valid demand constitutes an anticipatory repudiation.

References

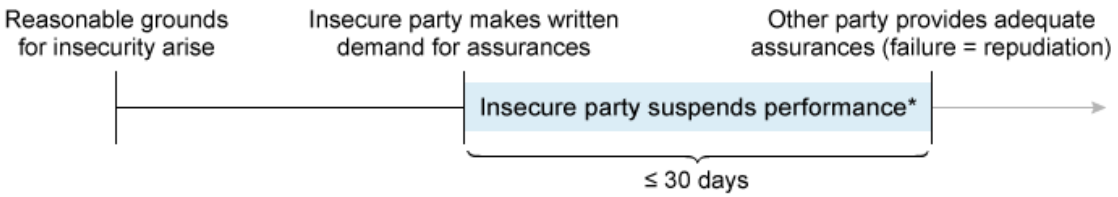
U.C.C. § 2-609 (Am. Law Inst. & Unif. Law Comm'n 2020) (right to adequate assurance of performance).

U.C.C. § 2-610 (Am. Law Inst. & Unif. Law Comm'n 2020) (anticipatory repudiation).

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UCC timeline for demanding assurances



*Performance may be suspended only if commercially reasonable

UCC = Uniform Commercial Code

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A home goods distributor signed a written contract with a nursing home to sell the nursing home 100 identical bathroom sinks, 50 sinks to be delivered on March 1, and the remaining 50 sinks on April 1. The agreement did not specify the place of delivery, or the time or place of payment.

On March 1, the distributor tendered 49 sinks to the nursing home and explained, "One of the 50 sinks was damaged in transit from the manufacturer to us, but we will deliver a replacement within 5 days."

Which of the following statements is correct?

A. The nursing home is entitled to accept any number of the 49 sinks and to reject the rest, but is not entitled to cancel the contract as to any rejected sinks or the lot due on April 1.

B. The nursing home is entitled to accept any number of the 49 sinks, reject the rest, and cancel the contract, both as to any rejected sinks and the lot due on April 1.

C. The nursing home must accept the 49 sinks and is not entitled to cancel the rest of the contract.

D. The nursing home must accept the 49 sinks but is entitled to cancel the rest of the contract.

Explanation:

Buyer's rights under installment contract

(UCC § 2-612)

Each installment	Buyer *may reject* nonconforming shipment that: substantially impairs value of installment cannot be cured Buyer *must accept*: conforming shipment nonconforming shipment if seller promises to cure
Whole contract	Buyer *can* cancel future installments if one or more nonconforming shipments substantially impair value of whole contract Buyer *cannot* cancel future installments if he/she: accepts nonconforming shipment without notice of cancellation brings action only for past installments OR demands performance of future installments

UCC = Uniform Commercial Code

Article 2 of the Uniform Commercial Code governs contracts for the sale of goods (eg, sinks). Such contracts often call for the delivery of goods in separate lots (ie, **installment contracts**). In that case, the buyer must accept each conforming shipment. But even if a **shipment is nonconforming**, the **buyer must accept** it if the seller gives **adequate assurance** that he/she will **cure** the nonconformity. And the buyer **cannot cancel** the rest of the contract **unless** the nonconforming shipment **substantially impairs** the value of the **whole contract**.

Here, the home goods distributor entered an installment contract for the delivery of 100 sinks in two separate lots. The first delivery was nonconforming since 1 of the 49 sinks was damaged. But the distributor offered to cure by delivering a replacement within five days. Therefore, the nursing home must accept the 49 sinks **(Choices A & B)**. And since a short delay in the delivery of 1 sink does not substantially impair the value of the whole contract for 100 sinks, the nursing home is *not* entitled to cancel the rest of the contract **(Choices B & D)**.

Educational objective:

In an installment contract for the sale of goods, the buyer must accept a nonconforming shipment if the seller gives adequate assurance that he/she will cure the defect. And the buyer cannot cancel the rest of the contract unless the nonconforming shipment substantially impairs the value of the whole contract.

References

U.C.C. § 2-612 (Am. Law Inst. & Unif. Law Comm'n 2020) (installment contracts).

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The owner of an apartment complex contracted in writing with a landscaper to install a sprinkler system for $20,000. The contract required the landscaper to install a specific brand of brass sprinkler heads. It also required the landscaper to install a $500 anti-backflow device, which was required by the city plumbing code but would not affect the sprinkler system's performance.

In order to speed up installation, the landscaper installed the sprinkler system using brass sprinkler heads left over from a previous job that, while not the brand specifically required by the contract, were equal in quality and performance. However, the landscaper did not install the anti-backflow device, even though the city plumbing code required it and the owner could be subject to a fine if the device were not installed.

The landscaper completed the installation work and then sought payment from the owner. The owner refused to pay the landscaper anything on the ground that the work did not comply with the contract.

If the landscaper sues the owner for breach of contract, what is the likely result?

A. The landscaper will not recover, because he willfully and materially breached the contract.
B. The landscaper will recover restitution for the cost spent on labor and materials.
C. The landscaper will recover the contract price less the cost to remedy any defects in performance.
D. The landscaper will recover the full contract price.

Explanation:

Substantial performance is less than full performance that, while imperfect, **does not defeat** the **contract's main purpose**. Under the **common law**—which governs contracts for services (eg, installing a sprinkler system)—a party that has substantially performed can recover damages based on the contract if the other party fails to perform.* Those **damages** are generally equal to the **contract price minus** the **cost to remedy** any **defects in performance**.

Here, the landscaper imperfectly performed by using the wrong brand of sprinkler heads and not installing the anti-backflow device. However, this did not defeat the contract's main purpose of providing the owner with a working sprinkler system. That is because the sprinkler heads were equal in quality and performance to the ones called for in the contract and the anti-backflow device did not affect performance. Therefore, the landscaper substantially performed and will likely recover the contract price less the cost to remedy any defects in performance **(Choice D)**.

*In contrast, the Uniform Commercial Code requires "perfect tender," and substantial performance of a sale-of-goods contract does not allow a party to recover damages based on the contract except for installment contracts or when the parties agree otherwise.

(Choice A) The extent to which a party has acted in bad faith (eg, by committing a willful breach) is one of several factors that courts consider in deciding whether a breach is material. Here, although the landscaper's breach was willful, it was not material since he fulfilled the contract's main purpose.

(Choice B) A party's failure to substantially perform the contract is a material breach. A party in material breach cannot recover on the contract but may be entitled to restitution damages for the reasonable value of benefits conferred on the other party—eg, the cost spent on labor and materials. But here, the landscaper did substantially perform so there was no material breach.

Educational objective:

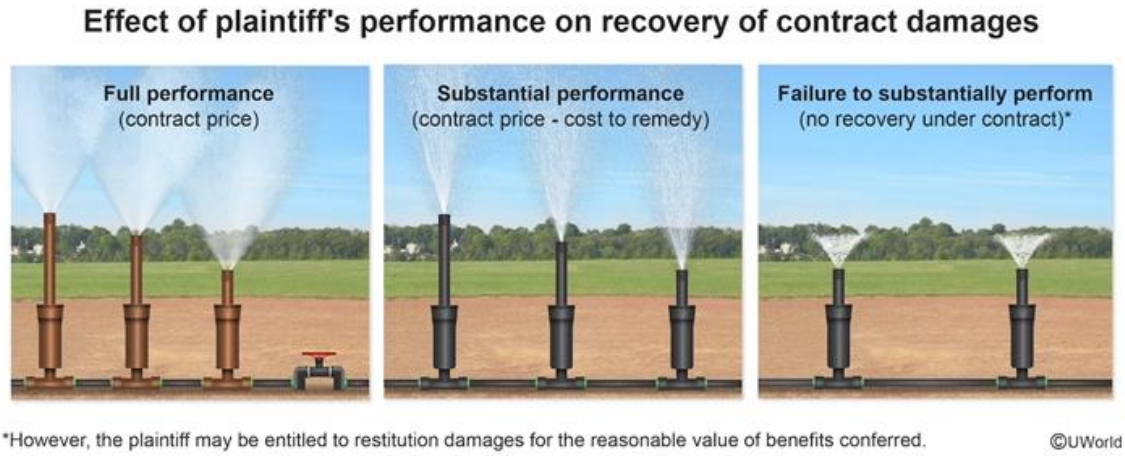
At common law, a party that has substantially performed—ie, rendered imperfect performance without defeating the contract's main purpose—can recover the contract price less the cost to remedy any defects in performance.

References

Restatement (Second) of Contracts § 237 cmt. d (Am. Law Inst. 1981) (effect of substantial performance).

Restatement (Second) of Contracts § 241 (Am. Law Inst. 1981) (factors used to determine whether a breach of contract is material).

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A bank agreed to lend a merchant $10,000 for one year at 8% interest. The loan proceeds were to be disbursed within two weeks. The merchant intended to use the loan proceeds to purchase a specific shipment of carpets for resale at an expected profit of $5,000 but said nothing about these plans to the bank.

The bank failed to disburse the proceeds and refused to assure the merchant that it would do so. The merchant was able to secure a loan from another lender at 10% interest for one year. However, by the time the merchant started the application process for a substitute loan, it was too late to pursue the opportunity to buy the shipment of carpets.

In an action against the bank for breach of contract, which of the following amounts is the merchant likely to recover?

A. $5,000, the merchant's foreseeable loss.
B. Nothing, because damages for lost opportunities are not recoverable.
C. Nothing, because the parties failed to tacitly agree that the merchant would be entitled to damages in the event of a breach by the bank.
D. The difference in cost over time between a loan at 10% and a loan at 8%.

Explanation:

Expectation (ie, benefit-of-the-bargain) damages

Definition	Losses arising naturally & obviously from breach
Purpose	Place nonbreaching party in same position as if contract had been performed
Measure	General rule – difference between contract price & market price (or cost of purchasing substitute performance) Construction contracts – difference between contract price & cost of construction by another builder

The primary goal of contract damages is to place the nonbreaching party in the same position as if the contract had been fully performed. This typically means that the **nonbreaching party can recover**:

expectation damages – losses arising naturally and obviously from the breach, which can be measured by the **difference between** the **contract price** and the **market price** *and/or*

consequential damages – losses arising from the **nonbreaching party's special circumstances** (eg, lost opportunities) that the breaching party could **reasonably foresee** when the contract was made.

The **"contract price" of a loan** is the **interest costs incurred** over the life of the loan. This means that if a lender breaches a loan agreement, the borrower can recover the difference between the interest cost of the original loan (contract price) and the interest cost of a substitute loan (market price). The merchant here can therefore recover expectation damages equal to the difference in cost over time between a loan at 10% and one at 8%.

(Choices A & B) A nonbreaching party can recover *consequential* damages for losses the breaching party could reasonably foresee at the time of contracting. But here, the bank knew nothing of the merchant's intent to purchase the carpets when the contract was entered. As a result, damages for the merchant's lost opportunity to purchase the carpets and lost profits ($5,000) are not recoverable. But the merchant may still recover *expectation* damages.

(Choices C) The tacit-agreement test considers (1) whether the parties contemplated a loss when the contract was made and (2) how they likely would have allocated that risk. Consequential damages would be awarded (or not) accordingly. However, the courts and the UCC have rejected this test.

Educational objective:

If a lender breaches a loan agreement, the borrower can recover expectation damages equal to the difference between the interest cost of the original loan (contract price) and the interest cost of a substitute loan (market price).

UCC = Uniform Commercial Code

References

Restatement (Second) of Contracts § 347 (Am. Law Inst. 1981) (measure of damages).

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A builder contracted in writing to construct a small greenhouse on a homeowner's property for $20,000, payable upon completion. After the builder spent $9,000 framing the greenhouse and an additional $1,000 for materials not yet incorporated into the greenhouse, the homeowner wrongfully ordered the builder to stop work.

The builder then resold the unused materials that he had already purchased for the greenhouse to another contractor for $1,000. At the time the homeowner stopped the work, it would have cost the builder an additional $5,000 to complete the project. The partially built greenhouse increased the value of the homeowner's property by $3,000.

In a suit by the builder against the homeowner, how much is the builder likely to recover?

A. $3,000, the increase in the value of the homeowner's property.

B. $10,000, the total cost expended by the builder at the time of the breach.

C. $14,000, the total cost expended by the builder ($10,000) plus the builder's expected profit ($5,000), minus the loss avoided by the resale of the unused materials ($1,000).

D. $15,000, the contract price ($20,000) minus the costs saved by the breach ($5,000).

Explanation:

Compensatory damages for breach of construction contracts

	Before construction starts	**During construction**	**After construction completed**
Breach by builder (owner paid)	Owner entitled to cost of completion	Owner entitled to: cost of completion/correction if no undue economic waste OR value of promised construction *minus* nonconforming construction	N/A
Breach by owner (did not pay)	Builder entitled to: lost profits *plus* costs incurred OR contract price *minus* cost of completion		Builder entitled to contract price

Contract damages are meant to compensate the nonbreaching party by putting the party in the same position as if the contract had been performed. For example, if an **owner breaches** a construction contract **during construction**, the **builder can recover** any **costs incurred** up to that point ***plus* the profits** it would have earned. However, any costs the builder avoided (eg, by mitigation) will be subtracted from the total damages award.

Here, the builder had incurred $10,000 in costs ($9,000 completed frame + $1,000 in additional materials) at the time of breach. The builder lost an expected profit of $5,000 ($20,000 contract price − $10,000 costs − $5,000 cost to complete the greenhouse). But he was able to mitigate some of those costs by selling the additional materials for $1,000. Therefore, the builder is likely to recover $14,000, the total cost he expended ($10,000) plus his expected profit ($5,000), minus the loss avoided by the resale of the unused materials ($1,000) **(Choices B & D)**.

(Choice A) The builder is entitled to seek restitution for the value of the benefit conferred on the homeowner (ie, the $3,000 increase in property value) *in lieu of* the standard measure of damages. But the builder is unlikely to seek restitution since he can recover $14,000 under the contract instead.

Educational objective:

When an owner breaches a construction contract during construction, the builder is entitled to lost profits plus costs incurred. But any costs avoided (eg, by mitigation) will be subtracted from the total damages award.

References

Restatement (Second) of Contracts § 344 (Am. Law Inst. 1981) (purposes of remedies).

Restatement (Second) of Contracts § 347 (Am. Law Inst. 1981) (measure of damages in general).

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The owner of a house and a real estate investor signed a writing in which the owner, "in consideration of $100 to be paid to the owner by the investor," offered the investor the right to purchase the house for $100,000 within 30 days. The writing further provided, "This offer will become effective as an option only if and when the $100 consideration is in fact paid."

Two weeks later, the owner, having received no payment or other communication from the investor, sold and conveyed the house to the investor's business rival for $120,000. The following day, the owner received a letter from the investor enclosing a cashier's check for $100 payable to the owner and stating, "I am hereby exercising my option to purchase the house and am prepared to close whenever you're ready."

Assume that, for whatever reason, the investor prevails in a suit against the owner for breach of contract.

Which of the following is the investor entitled to recover?

A. $20,000, plus the amount, if any, by which the fair market value of the house on the date of the owner's breach exceeded $120,000.

B. Nominal damages only, because the remedy of specific performance was not available to the investor.

C. The amount, if any, by which the fair market value of the house on the date of the owner's breach exceeded $100,000.

D. The fair market value, if any, of an assignable option to purchase the house for $100,000.

Explanation:

A buyer who enters a **contract for the sale of land** expects to receive the property (worth its fair market value) in exchange for the contract price. If the **seller breaches** by refusing to sell, the **buyer can recover** for **loss of bargain** (ie, lost expectation), which amounts to the property's **fair market value** on the date of the breach **minus the contract price**.

Here, the real estate investor paid $100 for the option to buy the owner's house for $100,000. The investor exercised this option, and the owner breached the resulting land-sales contract since he had already sold the house to the business rival. Therefore, the investor is entitled to recover for his lost expectation, which is the amount, if any, by which the fair market value of the house on the date of the breach exceeded $100,000.

(Choice A) Although the owner sold the house to the business rival for $20,000 more than the investor had agreed to pay, the investor cannot automatically recover that $20,000. This is because the investor's expectation is based on his own contract price—not the business rival's.

(Choice B) Nominal damages (eg, $1) can be awarded for breach when there was no substantial loss—not because specific performance is unavailable. Here, the investor likely *did* suffer a substantial loss since, based on the business rival's $120,000 payment, the fair market value of the house likely exceeded $100,000.

(Choice D) Options are generally assignable (ie, transferable). But the damages for breaching an option are equal to the lost expectation of the nonbreaching party—which is distinct from (and likely greater than) the fair market value of the assignable option itself.

Educational objective:

When a seller breaches a land-sales contract by refusing to sell the property to the buyer, the buyer can recover for loss of bargain—ie, the fair market value of the property on the date of the breach minus the contract price.

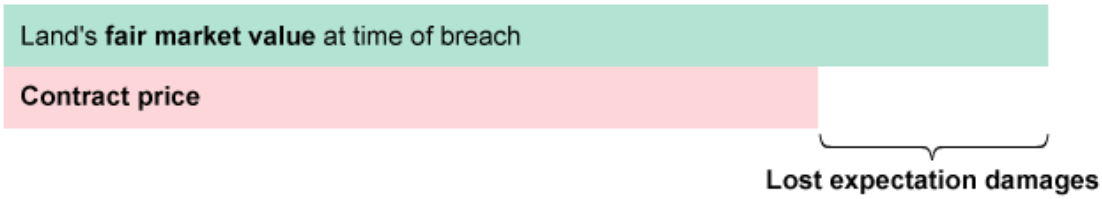
References

Restatement (Second) of Contracts § 347 (Am. Law Inst. 1981) (explaining that a nonbreaching party's lost expectation is equal to the loss in value to him/her caused by the other party's failure to perform).

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Buyer's recovery of expectation damages



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A buyer agreed in writing to purchase a car from a seller for $15,000, with the price to be paid on a specified date at the seller's home. The contract provided, and both parties intended, that time was of the essence. Before the specified date, however, the seller sold the car to a third party for $18,000. On the specified date, the buyer arrived at the seller's home prepared to tender payment. The seller was not there, so the buyer called the seller to ask where he was. The seller then told the buyer that he had sold the car to the third party.

If the buyer sues the seller for breach of contract, will the buyer be likely to prevail?

A. No, because the buyer did not tender her performance on the specified date.

B. No, because the contractual obligations were discharged on the ground of impossibility.

C. Yes, because the seller anticipatorily repudiated the contract when he sold the car to the third party.

D. Yes, because the seller did not inform the buyer of his repudiation.

Explanation:

A contract is breached when a party fails to perform contractual duties at the time performance is due. A breach can also occur before the time for performance arises or elapses under the **doctrine of anticipatory repudiation**. This doctrine applies when a party **clearly and unequivocally**, by **words or actions**, indicates an **unwillingness to perform**.* Upon repudiation, the nonrepudiating party can suspend his/her own performance and either:

treat the repudiation **as a breach** and **sue immediately** *or*

ignore the repudiation and **demand performance** pursuant to the contract.

Here, the seller clearly and unequivocally repudiated the contract with the buyer by selling the car to a third party. Since the buyer has the right to treat this anticipatory repudiation as a breach of contract, she will likely prevail in a suit against the seller.

*If a party's words or actions provide reasonable grounds for insecurity about the party's performance, the other party may demand adequate assurances.

(Choice A) The buyer arrived at the seller's home on the specified date to tender payment. However, since the seller had anticipatorily repudiated the contract, the buyer's duty to tender performance was discharged.

(Choice B) Performance is discharged due to impossibility when an unexpected and extraordinary event beyond the parties' control makes performance impossible. But since the seller's own actions made it impossible to sell the car, his contractual obligations were not discharged.

(Choice D) The seller did not need to inform the buyer of his repudiation because an anticipatory repudiation can be express or implied. It is express if the repudiating party informs the other of his/her intention not to perform and is implied if the repudiating party's actions prevent him/her from being able to perform (as seen here).

Educational objective:

Anticipatory repudiation occurs when a contracting party clearly and unequivocally, by words or actions, indicates that he/she will not perform. Upon repudiation, the nonrepudiating party can suspend his/her own performance and either (1) treat the repudiation as a breach and sue or (2) ignore it and demand performance.

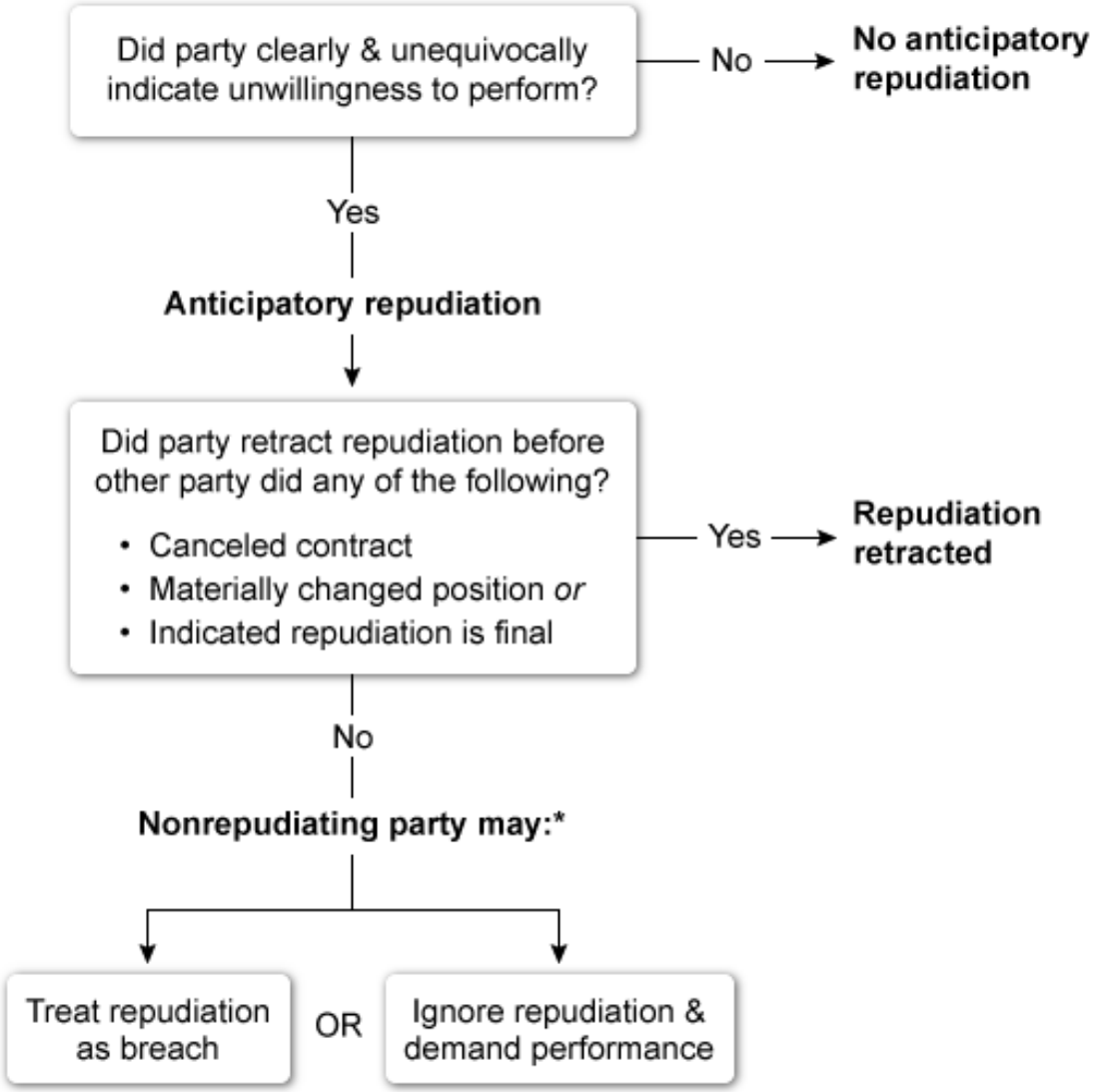
References

U.C.C. § 2-610 (Am. Law Inst. & Unif. Law Comm'n 2020) (anticipatory repudiation).

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The doctrine of anticipatory repudiation



*The nonrepudiating party may also suspend its performance if commercially reasonable

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The manager of a state fair contracted with a renowned hog breeder to exhibit the breeder's only world-champion hog for the three weeks of the annual fair. At the conclusion of the fair the breeder would receive $300. Two days before the opening of the fair, the hog became sick with a communicable disease among swine and, under the applicable state quarantine law, could not be exhibited for at least a month.

Upon learning this, which of the following courses of action can the manager legally pursue with respect to his contract with the breeder?

A. Suspend his own performance and recover damages from the breeder for breach of contract unless the breeder at once supplies a healthy hog of exhibition quality as a substitute for the world-champion hog.

B. Suspend his own performance, demand assurances from the breeder, and treat a failure by the breeder to produce the hog as an actionable repudiation.

C. Terminate his own performance and treat the hog's illness as discharging all remaining duties under the contract.

D. Terminate the contract, but only if the manager promptly seeks to obtain for the exhibit a suitable substitute for the world-champion hog from another hog owner.

Explanation:

When an **unanticipated event** makes a party's **contractual duties impracticable** to perform, those duties will be **discharged if**:

nonoccurrence of the event was a **basic assumption** of the contract *and*
the **party seeking discharge** is **not at fault.**

Here, the manager contracted to exhibit the breeder's only world-champion hog at the annual state fair. Two days before the fair opened, the hog became sick. That unanticipated event rendered performance impracticable since the hog could not be exhibited for at least a month under state law. And since the hog's ability to be exhibited was a basic assumption of the contract and the manager was not at fault, the manager can terminate his own performance and treat the hog's illness as discharging all remaining duties under the contract.

(Choice A) If possible, a party must render a reasonable substitute performance in place of the impracticable part. But a healthy hog of exhibition quality is not a reasonable substitute for the breeder's only world-champion hog.

(Choice B) If reasonable grounds arise to believe that a party will not perform because of impracticability, the other party *cannot* demand assurances of performance and treat a failure to give them as a repudiation. That is because the prospective nonperformance would not be a breach.

(Choice D) The manager's right to terminate his performance under the contract does not depend on whether he first seeks to obtain a suitable substitute for the world-champion hog from another hog owner.

Educational objective:

When an unanticipated event makes a party's contractual duties impracticable to perform, those duties will be discharged if (1) nonoccurrence of the event was a basic assumption of the contract and (2) the party seeking discharge is not at fault.

References

Restatement (Second) of Contracts § 261 (Am. Law Inst. 1981) (impracticability).

Restatement (Second) of Contracts § 278 (Am. Law Inst. 1981) (substituted performance).

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Examples of impracticability



Incapacity or death



Destruction of thing needed for performance



Prohibition or law

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A businesswoman entered into a contract with a painter by the terms of which he was to paint the businesswoman's office for $1,000 and was required to do all the work over the following weekend so as to avoid disruption of her business.

The painter commenced work on Saturday morning and had finished half the painting by the time he quit work for the day. That night, without the fault of either party, the office building was destroyed by fire.

Which of the following is an accurate statement?

A. Both parties' contractual duties are discharged, and the painter can recover nothing from the businesswoman.

B. Both parties' contractual duties are discharged, but the painter can recover in quasi-contract from the businesswoman.

C. Only the painter's contractual duty is discharged, and the painter can recover his reliance damages from the businesswoman.

D. Only the painter's contractual duty is discharged, because the businesswoman's performance (payment of the agreed price) is not impossible.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

The occurrence of an **unexpected or extraordinary event** results in the **rescission** (ie, cancellation) of a contract if:

that event (1) makes it **impossible or impracticable** for one or both parties to perform their duties or (2) **frustrates the purpose** of the contract
the contract was formed under a **basic assumption** that the event would not occur *and* **neither party was at fault** in causing the event to occur.
Rescission **discharges both parties' duties**, so they cannot sue on the contract (eg, for breach). However, a party can still **recover in quasi-contract** for the value of any work done prior to rescission.

Here, the painter contracted to paint the businesswoman's office. After one day of painting, the office building was destroyed by fire, which made it impossible for the painter to finish and frustrated the purpose of the contract. A basic assumption of the contract was that the building would not be destroyed. And since neither party was at fault, both parties' contractual duties are discharged. However, the painter can still recover in quasi-contract from the businesswoman for finishing half the painting before the fire **(Choice A)**.

(Choices C & D) Although the businesswoman could still pay the agreed price, the impossibility of the painter's duty discharges the duties of *both* parties. And although the painter could recover reliance damages (ie, costs) under a theory of promissory estoppel, he may be able to recover a larger amount under a theory of quasi-contract, which compensates for costs *and* expected profits.

Educational objective:

The duties of both parties to a contract are discharged if (1) an unexpected event makes it impossible for one or both parties to perform their duties or frustrates the purpose of the

contract, (2) the contract was formed under a basic assumption that the event would not occur, and (3) neither party was at fault in causing the event to occur.

References

Restatement (Second) of Contracts §§ 237, 267 (Am. Law Inst. 1981) (explaining that an unexpected event can discharge a party's duty due to impossibility or impracticability, which then discharges the other party's duty).

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On April 1, a buyer agreed to purchase an electric motor from a seller for $1,000, delivery to be made on the following June 1. Before signing the agreement, the parties orally agreed that the contract of sale would be effective only if the buyer should notify the seller in writing not later than May 2 that the buyer had arranged to resell the motor to a third party.

On April 15, the buyer entered into a contract with a third party to resell the motor to the third party at a profit. On April 16, the buyer notified the seller by phone of the buyer's resale agreement with the third party and explained that a written notice was unfeasible, because the buyer's secretary was ill. The seller replied, "That's okay. I'll get the motor to you on June 1, as we agreed." Having learned, however, that the motor had increased in value about 75% since April 1, the seller renounced the agreement on June 1.

If the buyer sues the seller on June 2 for breach of contract, which of the following concepts best supports the buyer's claim?

A. Nonoccurrence of a condition subsequent.

B. Novation of buyers.

C. Substantial performance.

D. Waiver of condition.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

A party to a contract may avoid performance if a condition precedent—ie, an uncertain future event that must occur before performance becomes due—has not occurred, and the nonoccurrence is not excused. **Nonoccurrence of a condition** may be **excused if** the party who benefits from the condition **waives it by words or conduct**.*

Here, the parties orally agreed that their written contract would be effective only *if* the buyer gave the seller written notice by May 2 that the buyer had arranged to resell the electric motor (condition precedent). Although the buyer notified the seller about the resale agreement by *phone* on April 16 (nonoccurrence), the seller said that oral notice was "okay" and promised to deliver the motor on June 1 as agreed (waiver). Since the seller waived the condition, both parties were obligated to perform. As a result, waiver best supports the buyer's breach-of-contract claim.

*The waiving party may retract the waiver unless the other party has detrimentally relied on it.

(Choice A) The notice requirement was a condition precedent—not a condition subsequent, which *discharges* a party's duty to perform once the specified event occurs.

(Choice B) A novation is a substitute contract in which the parties agree to replace an original contracting party with a new party (not seen here).

(Choice C) Where an agreement makes performance contingent upon a condition precedent (eg, written notice of the resale), substantial performance is *not* sufficient to overcome the condition's nonoccurrence.

Educational objective:

Nonoccurrence of a condition may be excused if the contracting party who benefits from the condition waives it by words or conduct.

References

Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (conditions and effect of nonoccurrence).

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A seller entered into an agreement to sell a machine to a buyer for $5,000. At the time of the order, the buyer gave the seller a down payment of $1,000. The buyer then built a foundation for the machine at a cost of $250. The seller failed to deliver the machine.

The buyer made reasonable efforts to find a similar machine and bought one for $5,500 that did not fit on the foundation. The buyer sued the seller for breach of contract.

Which of these amounts claimed by the buyer, if any, could best be described as restitution?

A. The $250 cost of the foundation.

B. The $500 difference in price.

C. The $1,000 down payment.

D. None of the claimed amounts.

Explanation:

Restitutionary damages

Definition	Damages awarded to restore to claimant the value of whatever benefit was conferred upon recipient
Purpose	Prevent unjust enrichment
Measure	Reasonable value of work performed or services rendered (ie, cost of recipient obtaining comparable performance) If applicable, extent to which recipient's property has increased in value or recipient's other interests have been advanced

Restitutionary damages are awarded to **restore** to a contracting party the **value of any benefit** conferred on the other party. Under the **UCC**, where the **seller fails to deliver** the **promised goods** or the buyer rightfully rejects the goods, the **buyer is entitled** to the **return of any payment made** on the goods as restitution.

Here, the buyer paid the seller a $1,000 down payment for a machine that the seller failed to deliver. As a result, the $1,000 down payment is the amount that could best be described as restitution **(Choice D)**.

(Choices A & B) Neither the $250 cost of the foundation nor the $500 difference between the contract price of the seller's machine and the price of the substitute machine (ie, cost of cover) conferred a benefit on the *seller* (not restitution).

Educational objective:

Where a seller fails to deliver the promised goods or the buyer rightfully rejects them, the buyer is entitled to the return of any payment made on the goods as restitution.

UCC = Uniform Commercial Code

References

Restatement (Second) of Contracts § 344 (Am. Law Inst. 1981) (purpose of remedies).

U.C.C. § 2-711 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's remedies in general).

U.C.C. § 2-713 (Am. Law Inst. & Unif. Law Comm'n 2020) (buyer's damages for nondelivery/repudiation).

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An employer offered to pay a terminated employee $50,000 to release all claims the employee might have against the employer. The employee orally accepted the offer. The employer then prepared an unsigned release agreement and sent it to the employee for him to sign. The employee carefully prepared, signed, and sent to the employer a substitute release agreement that was identical to the original except that it excluded from the release any age discrimination claims. The employer signed the substitute release without reading it. Shortly thereafter, the employee notified the employer that he intended to sue the employer for age discrimination.

Is the employer likely to prevail in an action seeking reformation of the release to conform to the parties' oral agreement?

A. No, because the employer acted unreasonably by failing to read the substitute release prior to signing it.

B. No, because the parol evidence rule will preclude evidence of the oral agreement.

C. Yes, because the employee's fraudulent behavior induced the employer's unilateral mistake.

D. Yes, because the parties were mutually mistaken regarding the contents of the signed release.

Explanation:

Availability of reformation as a remedy

Misrepresentation	One party makes untrue assertion of fact that is fraudulent or material Adversely affected party justifiably relies on that misrepresentation
Mutual mistake	Both parties are mistaken as to contract's contents or legal effect
Unilateral mistake (from fraudulent misrepresentation)	One party is mistaken because other party intentionally misrepresented contract's content or legal effect Adversely affected party justifiably relies on that misrepresentation

Reformation is an equitable remedy courts can use to rewrite a contract to reflect the parties' original intent. This remedy is always available when misrepresentation or mutual mistake occurs. But a **unilateral mistake** only serves as a basis for reformation if that mistake stemmed from **fraudulent misrepresentation**, which occurs when:

one party **intentionally misrepresents** the **content or legal effect** of a contract to induce the other party to enter into the contract *and*

the other party **justifiably relies*** on that misrepresentation.

Here, the employer reduced the parties' oral agreement to writing and sent the unsigned release to the employee. The employee then *carefully* prepared, signed, and sent to the employer a substitute release that omitted age discrimination claims (intentional misrepresentation). Because the substitute release was otherwise identical to the original, the employer did not notice the omission and signed the release (justifiable reliance). And since the employee's fraudulent behavior caused the employer's unilateral mistake, the court will likely reform the release to reflect the parties' oral agreement **(Choice D)**.

*This element is always met unless the misrepresentation was patently and obviously false.

(Choice A) The employer may have acted unreasonably by failing to read the substitute release prior to signing it. But a party's negligence in failing to read a writing does not preclude reformation if the writing does not accurately reflect the parties' prior agreement.

(Choice B) The parol evidence rule generally precludes extrinsic evidence of a prior oral or written agreement to modify or contradict the unambiguous terms of a final written agreement. But such evidence is excepted from this rule and is always admissible when it is used to establish a ground for granting or denying a contractual remedy like reformation (as seen here).

Educational objective:

A court can reform a contract to reflect the parties' original intent when one party's fraudulent misrepresentation caused the other party's unilateral mistake.

References

Restatement (Second) of Contracts § 166 (Am. Law Inst. 1981) (reformation based on fraudulent misrepresentation).

Restatement (Second) of Contracts § 172 (Am. Law Inst. 1981) (definition of justifiable reliance).

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A person who knew nothing about horses inherited a thoroughbred colt whose disagreeable behavior made him a pest around the barn. The person sold the colt for $1,500 to a buyer who was an experienced racehorse-trainer and knew of the person's ignorance about horses. At the time of sale, the person said to the buyer, "I hate to say it, but this horse is bad-tempered and nothing special." Soon after the sale, the colt won three races and earned $400,000 for the buyer.

Which of the following additional facts, if established by the person, would best support his chance of obtaining rescission of the sale to the buyer?

A. At a pre-sale exercise session of which the buyer knew that the person was not aware, the buyer clocked the colt in record-setting time, far surpassing any previous performance.

B. At the time of the sale, the person was angry and upset over an incident in which the colt had reared and thrown a rider.

C. The colt was the only thoroughbred that the person owned, and the person did not know how to evaluate young and untested racehorses.

D. The person did not know until after the sale that the buyer was an experienced racehorse-trainer.

Explanation:

Mistake as grounds for rescission

Mutual mistake	Adversely affected party can rescind contract if: mistake relates to basic assumption of contract mistake materially affects agreed-upon exchange of performances AND adversely affected party did not assume risk of mistake
Unilateral mistake	In addition to above elements for mutual mistake, either: mistake makes enforcement of contract unconscionable OR nonmistaken party caused, or knew or should have known of, mistake

Rescission is a remedy that allows the court to cancel a contract and discharge the parties' contractual obligations. This remedy is available to a party who entered into a contract based on a **unilateral mistake** if:

the mistake relates to a **basic assumption** of the contract (eg, the person thought the colt was "nothing special" and so agreed to sell it for $1,500)

the mistake **materially affects** the agreed-upon **exchange of performances** (eg, the colt was actually worth much more, as evidenced by its winning three races and earning $400,000)

the adversely affected party **did *not* assume** the risk of the mistake (eg, the person knew nothing about horses)

AND

either (1) the mistake would make **enforcement** of the contract **unconscionable** *or* (2) the **nonmistaken party** caused, or **knew or had reason to know** of, the mistake.

Therefore, the fact that the buyer had clocked the colt in record-setting time at a pre-sale exercise session, of which the buyer *knew* that the person was not aware, would best support the person's chance of obtaining rescission.

(Choices B, C & D) None of these additional facts show that (1) enforcement of the sale would be unconscionable or (2) the buyer (nonmistaken party) caused, or knew or had reason to know of, the person's mistake. As a result, these facts do not support the person's chance of obtaining rescission of the sale to the buyer.

Educational objective:

A party's unilateral mistake is grounds for rescission only if (1) the mistake would make enforcement of the contract unconscionable or (2) the nonmistaken party caused, or knew or had reason to know of, the mistake.

References

Restatement (Second) of Contracts § 153 (Am. Law Inst. 1981) (unilateral mistake making contract voidable).

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A rental company contracted to lease a collapsible sports dome to a private tennis club. The dome would be used to cover the club's outdoor tennis courts so that the courts could be used for the club's Annual Winter Tennis Tournament beginning on November 16. The contract required the rental company to finish installing the dome no later than November 15.

On November 10, the installation crew arrived to lay out the anchoring system required for the dome. However, the crew did not have enough anchors to secure the dome. The club's owner overheard a crew member say that the rental company had forgotten to order the rest of the anchors and that he did not expect them to arrive for at least a month. That same day, the club owner canceled the contract and leased an indoor space near the club. The rental company has sued the tennis club for breach of contract.

Will the rental company likely prevail?

A. No, because the crew member's November 10 statement was an anticipatory repudiation that gave the club owner the right to cancel the contract.

B. No, because the rental company's failure to order the remaining anchors made it impossible to finish installing the dome by November 15.

C. Yes, because the club owner failed to seasonably notify the rental company of his intention to cancel the contract before leasing the indoor space.

D. Yes, because the club owner never demanded and did not obtain the rental company's assurance of due performance under the contract.

Explanation:

Anticipatory repudiation occurs when one party to a contract unequivocally communicates to the other party that it will not perform under the contract. This gives the other party the **right to cancel** the contract and **sue for breach**.* In contrast, **prospective inability to perform** involves words or conduct that create reasonable grounds for insecurity that a party will perform. This gives the other party the **right to demand assurance** of performance. **Failure to provide** adequate assurance **within a reasonable time** is an **anticipatory repudiation**.

Here, the club owner overheard the crew member say that he did not expect the remaining anchors to arrive for at least a month. This was not an unequivocal statement by the rental company that it would not perform (no anticipatory repudiation) **(Choice A)**.

However, the statement gave the owner reasonable grounds for insecurity about the company's ability to install the dome by November 15 (prospective inability to perform). But since the owner never demanded and did not obtain the company's assurance, the owner's cancellation of the contract on November 10 was premature. Therefore, the company will likely prevail.

*Alternatively, the other party may ignore the repudiation and demand performance pursuant to the contract.

(Choice B) A repudiation can be communicated through words or through conduct that renders due performance impossible. Here, although the lack of anchors made it impossible to install the dome on November 10, the rental company still had five days to perform.

(Choice C) Had the rental company repudiated the contract, it could have retracted the repudiation by notifying the club owner of the retraction before he (1) cancelled the contract, (2) materially changed position in reliance on the repudiation, or (3) indicated that he considered the repudiation to be final. But the club owner would not have been required to notify the rental company before doing any of those things.

Educational objective:

A contracting party's prospective inability to perform entitles the other party to demand assurance of performance. Failure to provide such assurance within a reasonable time is an anticipatory repudiation that justifies canceling the contract.

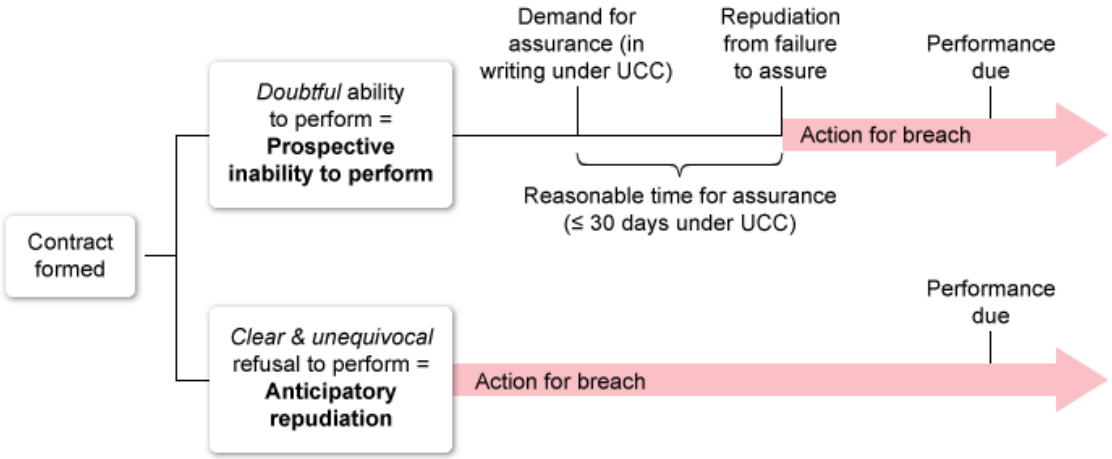
References

Restatement (Second) of Contracts § 250 (Am. Law Inst. 2020) (repudiation).

Restatement (Second) of Contracts § 251 (Am. Law Inst. 2020) (failure to provide assurance as repudiation).

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Prospective inability to perform v. Anticipatory repudiation



UCC = Uniform Commercial Code.

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A popular singer expressed interest in performing in a theater producer's musical production. The producer and the singer agreed that there would be no enforceable contractual obligations between them until they had entered into a final, signed contract. Then they began negotiating the terms of the contract.

While the parties were negotiating, the producer began to spend money on the production. When the parties were unable to agree on the terms of a final contract, the producer made reasonable but unsuccessful efforts to hire another singer before abandoning the production.

If the producer sues the singer, what will he likely recover?

A. Expectation damages in the form of the profits that the production would have made if it had been performed.
B. Nothing, because it was not reasonable for the producer to expect to be reimbursed for expenses incurred when he knew that the singer was not obligated until there was a final, signed agreement.
C. Reliance damages in the form of the actual expenses the producer incurred while negotiating with the singer.
D. Restitution for any harm done to the producer's reputation when the production was abandoned.

Explanation:

Promissory estoppel

Allows enforcement of promise when no valid contract exists if:

promisor reasonably expected to induce reliance on promise
enforcing party reasonably relied on promise
reliance caused enforcing party to suffer substantial detriment *and*
injustice can be avoided only by enforcing promise

Nonperformance of a contractual duty constitutes a breach. This allows the nonbreaching party to seek remedies—including **compensatory damages** (eg, expectation or reliance damages). But even when there is **no valid contract** (as seen here), a party may recover damages under an equitable theory of relief. For example, the doctrine of **promissory estoppel** allows a party to recover damages for **expenses stemming** from another's promise if:

the promisor reasonably expected to induce reliance on the promise
the enforcing party **reasonably relied** on the promise
reliance on the promise caused the enforcing party to suffer substantial detriment *and*
injustice can be avoided only by enforcing the promise.

A successful promissory-estoppel claim often results in an award of **reliance damages**—ie, damages based on the out-of-pocket expenses incurred by the enforcing party. However, in some instances, courts have awarded **expectation damages**—ie, damages intended to put the enforcing party in the same position as if the promise had been performed.

Here, the producer and singer did not enter into a valid contract, so the producer cannot recover compensatory damages for breach. Although the doctrine of promissory estoppel allows for recovery of damages when there is no contract, that doctrine requires *reasonable* reliance on a promise. And since the parties agreed that they would not be obligated until a final agreement was signed, it was *unreasonable* for the producer to incur expenses during negotiations. Therefore, the producer is likely to recover nothing **(Choices A & C)**.

(Choice D) An award of restitution is appropriate when one party is unjustly enriched by the other (not seen here). Therefore, the producer's reputational harm is not a basis upon which to claim restitution.

Educational objective:

A successful promissory-estoppel claim (1) most often results in an award of reliance damages (ie, damages based on out-of-pocket expenses) and (2) rarely results in an award of expectation damages (ie, damages intended to put the enforcing party in the same position as if the promise had been performed).

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A sailor owns a boat that she charters for sport fishing at a $500 daily rate. The fee includes the use of the boat with the sailor as the captain, and one other crew member, as well as fishing tackle and bait. On May 1, a customer agreed with the sailor that the customer would have the full-day use of the boat on May 15 for himself and his family for $500. The customer paid an advance deposit of $200 and signed an agreement that the deposit could be retained by the sailor as liquidated damages in the event the customer canceled or failed to appear. At the time of contracting, the sailor told the customer to be at the dock at 5:00 a.m. on May 15. The customer and his family, however, did not show up on May 15 until noon. In the meantime, the sailor agreed at 10:00 a.m. to take a third party and her family out fishing for the rest of the day. The third party had happened to come by and inquire about the possibility of such an outing. In view of the late hour, the sailor charged the third party $400 and stayed out two hours beyond the customary return time. The customer's failure to appear until noon was due to the fact that he had been trying to charter another boat across the bay at a lower rate and had gotten lost after he was unsuccessful in getting such a charter.

Which of the following is an accurate statement concerning the legal obligations of the parties?

A. The sailor can retain the $200 paid by the customer, because it would be difficult for the sailor to establish her actual damages and the sum appears to have been a reasonable forecast in light of anticipated loss of profit from the charter.

B. The sailor is entitled to retain only $50 (10% of the contract price) and must return $150 to the customer.

C. The sailor must return $100 to the customer, because the liquidated-damage clause under the circumstances would operate as a penalty.

D. The sailor must return $100 to the customer in order to avoid her own unjust enrichment at the customer's expense.

Explanation:

Purpose of compensatory damages

Primary (expectation measure)	Place nonbreaching party in same position as if contract had been performed Expectation measure includes: Expectation damages Incidental damages Consequential damages
Fallback (reliance measure)	When expectation measure too speculative, place nonbreaching party in same position as if no contract had been formed Reliance measure includes: Reliance damages Liquidated damages Restitution

To recover damages, a party must prove the dollar amount of the damages with reasonable certainty. Where it would be **difficult to establish actual damages**, the parties may **agree** to **liquidated damages**—ie, a fixed measure of damages for breach set forth in the contract. However, a liquidated-damages clause is **unenforceable** as a **penalty if** the amount is so **unreasonably large in relation** to **actual or anticipated damages** that it punishes the breaching party (as opposed to merely compensating the nonbreaching party).

Here, the customer contracted to use the sailor's boat for a full day for $500. The customer paid a $200 deposit, which the sailor could retain as liquidated damages if the customer canceled or failed to appear. Although the sailor ultimately collected $600 for the day ($200 retained deposit + $400 from the third party), she also stayed out two hours later than the customary return time as a result of the customer's breach. As a result, the $200 appears to have been a reasonable measure of damages, and the sailor can retain the full amount **(Choice C)**.

(Choice B) There is no rule that, if applied, would result in the sailor retaining $50 (10% of the contract price).

(Choice D) Restitutionary damages ensure that the nonbreaching party (here, the sailor) is not unjustly enriched—ie, does not receive a benefit that was not rightfully earned and would be unfair to keep. But here, the parties agreed to the deposit as a reasonable amount of damages in the event of the customer's breach.

Educational objective:

A liquidated-damages clause is unenforceable as a penalty if the amount is so unreasonably large in relation to actual or anticipated damages that it punishes the nonbreaching party.

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On June 15, a teacher accepted a contract for a one-year position teaching math at a public high school at a salary of $50,000, starting in September.

On June 22, the school district informed the teacher that, due to a change in its planned math curriculum, the high school no longer needed a full-time math teacher. The school district offered instead to employ the teacher as a part-time academic counselor at a salary of $20,000, starting in September. The teacher refused the school district's offer.

On June 29, the teacher was offered a one-year position to teach math at a nearby private academy for $47,000, starting in September. The teacher, however, decided to spend the year completing work on a graduate degree in mathematics and declined the academy's offer.

If the teacher sues the school district for breach of contract, what is her most likely recovery?

A. $3,000, the full contract amount less the amount the teacher could have earned in the teaching position at the academy.
B. $30,000, the full contract amount less the amount the teacher could have earned in the counselor position offered by the school district.
C. $50,000, the full contract amount.
D. Nothing, because the school district notified the teacher of its decision before the teacher had acted in substantial reliance on the contract.

Explanation:

Purpose of compensatory damages

Primary (expectation measure)	Place nonbreaching party in same position as if contract had been performed Expectation measure includes: Expectation damages Incidental damages Consequential damages
Fallback (reliance measure)	When expectation measure too speculative, place nonbreaching party in same position as if no contract had been formed Reliance measure includes: Reliance damages Liquidated damages Restitution

The primary purpose of **compensatory damages** is to place the nonbreaching party in the same position as if the contract had been performed (ie, give that party the "benefit of the bargain"). Therefore, when an **employer breaches** an employment agreement, the **employee can recover** the **unpaid salary** under the contract. But to **avoid a reduction** in the total damages award, the employee must make **reasonable efforts to mitigate** losses by **securing comparable employment**.*

Here, the school district breached the contract by firing the teacher before her employment began. As a result, the teacher suffered damages of $50,000—the amount of her unpaid salary. But since the teacher failed to mitigate her losses by accepting a *comparable* teaching position at a nearby private academy, her total damages award will be reduced by the $47,000 salary she could have earned at that job. Therefore, the teacher is entitled to recover $3,000 ($50,000 - $47,000 = $3,000) from the school district **(Choice C)**.

*Recovery will not be reduced if the employee made reasonable but unsuccessful efforts to secure comparable employment.

(Choice B) It is unlikely that a court would consider the part-time counseling position to be comparable employment, so the teacher's damages of $50,000 should not be reduced by the $20,000 she could have earned in that position. As a result, $30,000 is not the appropriate measure of recovery.

(Choice D) Arguably, the teacher *had* acted in substantial reliance on the contract by discontinuing her search for employment. But reliance is irrelevant to the teacher's right to recover damages under the teaching contract.

Educational objective:

Following an employer's breach of an employment contract, the employee is expected to make reasonable efforts to mitigate losses by securing comparable employment. Failure to do so results in a reduced recovery from the employer (ie, unpaid salary minus loss that could have been avoided by accepting comparable employment).

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A tech company contracted with a private university to sell and deliver to the university a mainframe computer using a new type of technology then under development but not perfected by the company, at a price substantially lower than that of a similar computer using current technology. After making the contract with the university, the tech company discovered that the new technology it intended to use was unreliable and that no computer manufacturer could yet build a reliable computer using that technology.

The tech company thereupon notified the university that it was impossible for the tech company or anyone else to build the contracted-for computer "in the present state of the art."

If the university sues the tech company for failure to perform its computer contract, which party will the court most likely find in favor of?

A. The tech company, because a contract to build a machine using technology under development imposes only a duty on the builder to use its best efforts to achieve the result contracted for.

B. The tech company, because its performance of the contract was objectively impossible.

C. The university, because the law of impossibility does not apply to merchants under the applicable law.

D. The university, because the tech company assumed the risk, in the given circumstances, that the projected new technology would not work reliably.

Explanation:

Commercial impracticability

(UCC § 2-615)

Seller's delay in delivery or nondelivery (in whole or in part) excused if:

unanticipated or extraordinary event made it impossible or commercially impracticable for seller to perform as agreed

nonoccurrence of event was basic assumption of contract

seller did not assume risk of event's occurrence (eg, by contractual language)

UCC = Uniform Commercial Code

Contracts for the **sale of goods** (eg, computers) are governed by Article 2 of the Uniform Commercial Code (**UCC**). Under the UCC, the doctrine of **impracticability** will **excuse** a **seller's* nonperformance** (eg, late or nondelivery of goods) if:

an unanticipated or extraordinary event made it impossible or commercially impracticable for the seller to perform as agreed **(Choice C)** *and*

the contract was formed under a basic assumption that the event would not occur.

But this doctrine does ***not* apply if** the **seller assumed the risk** of the event—eg, the circumstances indicate that the seller **foresaw the risk** yet **failed to make contractual provision** for it.

Here, after entering the contract with the university, the tech company learned that the new technology it intended to use was unreliable and that it was impossible to build the contracted-for computer. However, there is always a foreseeable risk that new technology will not work reliably. Since the tech company failed to make contractual provision for this risk, it assumed the risk that the new technology would fail. Therefore, the tech company's failure to perform will not be excused for impracticability, and the court will likely find for the university **(Choice B)**.

*Under the UCC, impracticability almost always affects the seller (not the buyer) because the buyer's only obligation is to pay for the goods.

(Choice A) There is no rule that a contract to build a machine using technology under development imposes only a duty on the builder to use its "best efforts" to achieve the contracted-for result.

Educational objective:

The UCC's doctrine of impracticability does not apply, and a party's performance will not be excused, if the party assumed the risk of the event giving rise to the impracticability.

References

U.C.C. § 2-615 (Am. Law Inst. & Unif. Law Comm'n 2020) (excuse by failure of presupposed conditions).

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An engineer signed a two-year contract to serve as the chief safety engineer for a coal mine at a salary of $7,000 per month. The position required the engineer to work underground each workday. After one week on the job, the engineer became very ill. He requested testing of the mine air system, which revealed the presence of a chemical agent to which the engineer had a rare allergic reaction. The engineer promptly quit. The coal mine then hired a qualified replacement for the remainder of the engineer's contract at a salary of $7,500 per month.

Assume that no statute or regulation applies.

If the coal mine sues the engineer for breach of contract, is the coal mine likely to recover damages?

A. No, because an at-will employee has the right to terminate an employment contract.
B. No, because the risk to the engineer's health excused his nonperformance of the contract.
C. Yes, because the coal mine acted in good faith in mitigating the effect of the engineer's failure to finish the contract term.
D. Yes, because the mine is reasonably safe for most people.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

A contract is **rescinded** (ie, canceled) due to the occurrence of an **unexpected or extraordinary event** if:

that event makes it **impossible or impracticable** for one or both parties to perform their duties
the contract was formed under a **basic assumption** that the event would not occur *and* **neither party was at fault** in causing the event to occur.
Rescission excuses both parties' nonperformance of the contract, which means that there can be **no recovery** of **damages for breach**.

Here, the engineer contracted to work in a mine each workday for two years. After one week, the engineer unexpectedly became very ill due to a *rare* allergy to a chemical in the mine—making it impracticable, if not impossible, for him to perform his duties. The parties must have assumed that the engineer did not have this rare allergy, and nothing indicates that either party caused the chemical's presence in the mine. Therefore, the engineer's health excused his nonperformance, and the coal mine is unlikely to recover damages.

(Choice A) The engineer was *not* an at-will employee since he agreed to work for a term of two years. But had he been one, he would have had the right to terminate his employment for any reason.

(Choice C) After a breach of contract, the nonbreaching party must act in good faith in mitigating (ie, minimizing) his/her damages. But here, there was no breach since the engineer's nonperformance was excused.

(Choice D) Although the mine is reasonably safe for most people, the doctrines of impossibility and impracticability apply even when one of the parties is particularly vulnerable to the unexpected event (as seen here).

Educational objective:

A contract is rescinded, and both parties' nonperformance is excused, when (1) an unexpected or extraordinary event makes it impossible or impracticable for one or both parties to perform, (2) the contract was formed under a basic assumption that the event would not occur, and (3) neither party was at fault in causing the event to occur.

References

Restatement (Second) of Contracts § 261 cmt. d (Am. Law Inst. 1981) (explaining that an unexpected event can discharge a party's duty to perform due to impossibility or impracticability).

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On August 1, a nursing home for the elderly admitted an 84-year-old man for a trial period of two months. On September 25, the man and the nursing home entered into a written lifetime-care contract with an effective commencement date of October 1. The full contract price was $20,000, which, as required by the terms of the contract, the man prepaid to the nursing home on September 25. The nursing home rejected a woman's application for lifetime care on September 26 due to its commitment to the man.

On October 2, the man died of a heart attack.

In a restitutionary action, will the administrator of the man's estate likely recover on behalf of the estate either all or part of the $20,000 paid to the nursing home on September 25?

A. No, because the man's life span and the duration of the nursing home's commitment to him were risks assumed by both parties.

B. No, because the nursing home rejected the woman's application due to its commitment to the man.

C. Yes, because the doctrine of frustration of purpose applies.

D. Yes, because the nursing home would otherwise be unjustly enriched at the man's expense.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

A **contract** can be **rescinded** after an unexpected event if (1) the event **frustrates the purpose** of the contract, (2) the contract was formed under a basic assumption that the event would *not* occur, and (3) neither party was at fault in causing the event to occur. The frustrating event must be **so severe** that it **cannot fairly be regarded** as **within the risks** that the parties **assumed under the contract**. Additionally, a party who conferred a benefit before the contract was rescinded can recover restitutionary damages to prevent unjust enrichment.

Here, the 84-year-old man and the nursing home entered into a written contract in which he prepaid $20,000 for lifetime care that began on October 1. Although the man unexpectedly died one day later, his life span and the duration of the nursing home's commitment to him were risks assumed by both parties. That is because:

the man assumed the risk that he would die before receiving the full value of his payment *and*
the nursing home assumed the risk that the man would live so long that his payment would be insufficient.
Therefore, the doctrine of frustration of purpose does *not* apply, and the administrator of the man's estate is unlikely to recover restitutionary damages for all or part of the $20,000 paid to the nursing home **(Choice C)**.

(Choice B) The fact that the nursing home rejected the woman's application has no effect on the outcome of this dispute.

(Choice D) Unjust enrichment occurs when a party receives a benefit from another that was not rightfully earned and would be unfair to keep. But here, it would not be unfair for the nursing home to retain the $20,000, and the nursing home rightfully earned it, because the nursing home assumed the risk that the man would live so long that his payment would be inadequate.

Educational objective:

The doctrine of frustration of purpose applies only where the frustrating event is so severe that it cannot fairly be regarded as within the risks that the parties assumed under the contract.

References

Restatement (Second) of Contracts § 265 (Am. Law Inst. 1981) (frustration-of-purpose doctrine).

Restatement (Second) of Contracts § 377 (Am. Law Inst. 1981) (restitution for frustration of purpose).

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A sailor owns an exceptionally seaworthy boat that she charters for sport fishing at a $500 daily rate. The fee includes the use of the boat with the sailor as the captain, and one other crew member, as well as fishing tackle and bait. On May 1, a customer agreed with the sailor that the customer would have the full-day use of the boat on May 15 for himself and his family for $500. The customer paid an advance deposit of $200 and signed an agreement that the deposit could be retained by the sailor as liquidated damages in the event the customer canceled or failed to appear. On May 15 at 1:00 a.m., the Coast Guard issued offshore "heavy weather" warnings and prohibited all small vessels the size of the sailor's boat from leaving the harbor. This prohibition remained in effect throughout the day. The customer did not appear at all on May 15, because he had heard the weather warnings on his radio.

Which of the following is an accurate statement of the parties' legal relationship?

A. The contract is discharged because of impossibility, and the customer is entitled to return of his deposit.

B. The contract is discharged because of mutual mistake concerning an essential fact, and the customer is entitled to return of his deposit.

C. The contract is not discharged, and the customer is not entitled to return of his deposit, because the liquidated-damage clause in effect allocated the risk of bad weather to the customer.

D. The contract is not discharged, because its performance was possible in view of the exceptional seaworthiness of the sailor's boat, and the customer is not entitled to return of his deposit.

Explanation:

Ways to discharge contractual obligations

Full performance of contractual obligations
Impossibility, impracticability, or frustration of purpose
Release (in writing only)
Mutual rescission
Substituted contract
Contract or covenant not to sue
Accord & satisfaction
Novation
Mnemonic: **FIRM SCAN**

A contract is canceled or **rescinded** due to the occurrence of an **unexpected or extraordinary event** if:

that event makes it **impossible or impracticable** for one or both parties to perform their duties*
the contract was formed under a **basic assumption** that the event would not occur *and* **neither party was at fault** in causing the event to occur.
Rescission excuses both parties' nonperformance of the contract (ie, discharges their obligations). This means that damages for breach cannot be recovered and any deposit or other benefit conferred on the other party must be returned.

Here, the customer contracted to use the sailor's boat and paid a $200 deposit. But the Coast Guard issued a heavy-weather warning and prohibited all small vessels from leaving the harbor—making it objectively impossible to use the boat despite its exceptional seaworthiness **(Choice D)**. The parties must have assumed that the Coast Guard would not prohibit the use of the boat, and neither party could control its decision to do so. Therefore, the contract is discharged because of impossibility, and the customer is entitled to return of his deposit.

*Impossibility will generally be found only in these specific situations: (1) the death or incapacity of someone necessary for performance, (2) the destruction of the contract's subject matter, and (3) the prevention of performance by governmental regulation or order (as seen here).

(Choice B) In contract law, a mistake is an erroneous belief regarding the facts and/or law as they exist at the time of contracting. This could not be a case of mutual mistake since the Coast Guard prohibition was not in effect when the contract was entered.

(Choice C) A liquidated-damages clause is unenforceable as a penalty if the amount is so unreasonably large that it punishes the breaching party (as opposed to merely compensating the nonbreaching party). But this would not be a reason to discharge a contract.

Educational objective:

A contract is rescinded, and both parties' contractual obligations are discharged, when (1) an unexpected or extraordinary event makes performance impossible or impracticable, (2) the contract was formed under a basic assumption that the event would not occur, and (3) neither party was at fault in causing the event to occur.

References

Restatement (Second) of Contracts § 261 cmt. d (Am. Law Inst. 1981) (explaining that an unexpected event can discharge a party's duty to perform due to impossibility or impracticability).

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A buyer contracted with a seller to purchase 10,000 bushels of soybeans at market price. The soybeans were to be delivered in 90 days. Two days after the soybean contract was made, the buyer and the seller entered into another contract under which the buyer agreed to purchase 10,000 bushels of wheat from the seller at market price. Before the time for delivery of the soybeans, the seller notified the buyer that it would not deliver the wheat because the seller's wheat supplier had refused to extend additional credit to the seller and therefore the seller had no wheat available for the buyer.

Which of the following statements best describes the effect of the seller's repudiation of the wheat contract on the buyer's rights under the soybean contract?

A. It gives the buyer the right to demand assurances that the seller will perform the soybean contract.

B. It gives the buyer the right to terminate the soybean contract, because of the doctrine of dependent covenants.

C. It gives the buyer the right to terminate the soybean contract, because the buyer does not have to deal with a party that breaches a contract.

D. It has no effect on the buyer's rights, because the two contracts are entirely separate.

Explanation:

Contracts for the sale of goods (eg, soybeans) are governed by Article 2 of the Uniform Commercial Code (**UCC**). Under the UCC, if one party has **reasonable grounds for insecurity** about the other's performance, the insecure party has the **right to make** a **written demand for assurances** that the other party will perform the contract.

Here, the seller notified the buyer that it was repudiating the wheat contract because it was unable to get additional credit from its wheat supplier and therefore had no wheat available for the buyer. This gave the buyer reasonable grounds for insecurity about the seller's ability to obtain and deliver another promised commodity—the soybeans. Accordingly, the buyer has the right to demand assurances that the seller will perform the separate soybean contract **(Choice D)**.

(Choice B) The relevant covenants in this case are *not* dependent since there is no indication that the buyer's duty to perform under the soybean contract is dependent on the seller's performance of the wheat contract.

(Choice C) There is no rule that gives a party the right to terminate a contract because the other party breached an entirely *different* contract.

Educational objective:

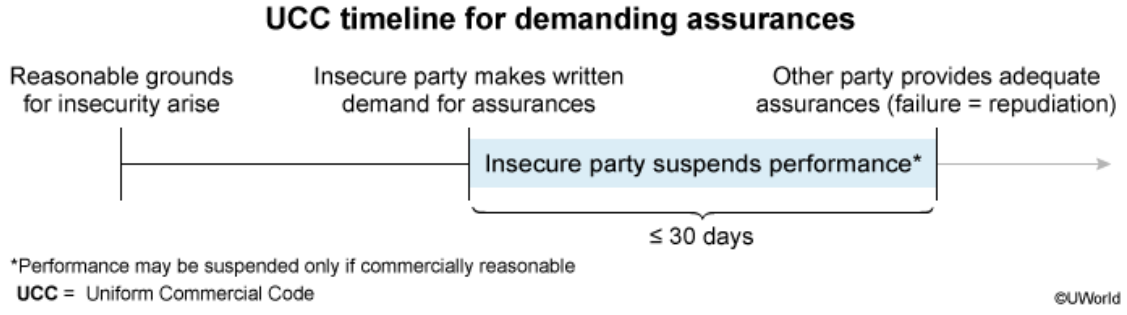
The UCC gives a party with reasonable grounds for insecurity about the other's performance the right to make a written demand for assurances that the other party will perform the contract.

References

U.C.C. § 2-609 (Am. Law Inst. & Unif. Law Comm'n 2020) (right to adequate assurance of performance).

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On April 1, a mechanic contracted to repair a toy company's molding machine and to complete the job by April 6. On April 2, the toy company contracted to manufacture and deliver specified toys to a customer on April 15. The toy company knew that it would have to use the machine then under repair to perform this contract. Because the customer's order was for a weeklong toy conference, the customer and the toy company included in their contract a liquidated damages clause, providing that the toy company would pay $5,000 for each day's delay in delivery after April 15.

The mechanic was inexcusably five days late in repairing the machine, and, as a result, the toy company was five days late in delivering the toys to the customer. The toy company paid $25,000 to the customer as liquidated damages and now sues the mechanic for $25,000. Both the mechanic and the toy company knew when making their contract on April 1 that, under ordinary circumstances, the toy company would sustain little or no damages of any kind as a result of a five-day delay in the machine repair.

Assuming that the $5,000 liquidated damages clause in the customer's contract is valid, which of the following arguments will serve as the mechanic's best defense to the toy company's action?

A. By entering into the contract with the customer while knowing that its molding machine was being repaired, the toy company assumed the risk of any delay loss to the customer.

B. In all probability, the liquidated damages paid by the toy company to the customer are not the same amount as the actual damages sustained by the customer in consequence of the late delivery of the toys.

C. The mechanic had no reason to foresee on April 1 that the toy company would suffer consequential damages in the amount of $25,000.

D. Time was not of the essence in the contract between the mechanic and the toy company.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

After establishing a **breach-of-contract** claim, the nonbreaching party is entitled to recover compensatory damages to compensate for actual economic losses. **Compensatory damages** include:

expectation damages – the lost value of the breaching party's performance *and*

consequential damages – losses that arise from the nonbreaching party's **special circumstances** (eg, an unrelated contract) that were **reasonably foreseeable** to the breaching party when his/her contract was formed.

Here, the mechanic was inexcusably five days late in repairing the toy company's molding machine. As a result, the company lost $25,000 under its unrelated contract with the customer (special circumstance) formed on April 2. But when the mechanic contracted with the company on April 1, he knew that the company ordinarily would sustain little or no damages from a five-day delay. Therefore, the mechanic's best defense to the company's action is that on April 1 he had no reason to foresee the company's consequential damages.

(Choice A) Consequential damages are unavailable if the nonbreaching party assumed the risk of that loss when the contract was formed. This is true even when the loss was foreseeable to the breaching party. But here, the toy company's allocation of risk with the *customer* has no bearing on its allocation of risk with the *mechanic*.

(Choice B) A liquidated damages clause is invalid if the liquidated amount was unreasonable in relation to the damages that *might* be sustained. But since liquidated damages are designed to protect the parties when the actual damages are uncertain, liquidated damages can differ from the *actual* damages sustained.

(Choice D) To determine whether a party's late performance is a material breach, courts consider all the circumstances, including whether the contract stated that time was of the essence. But even if this language is missing (as seen here), a party's late performance can still be a material breach.

Educational objective:

Compensatory damages for breach include (1) expectation damages for the lost value of the breaching party's performance and (2) consequential damages for losses that arise from the

nonbreaching party's special circumstances that were reasonably foreseeable to the breaching party when the contract was formed.

References

Restatement (Second) of Contracts § 351 (Am. Law Inst. 1981) (explaining that consequential damages must be foreseeable).

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Under a written agreement, a pastry supplier promised to sell its entire output of baked buns at a specified unit price to a retailer, for one year. The retailer promised not to sell any other supplier's baked buns.

Shortly after making the contract, and before the supplier had tendered any buns, the retailer decided that the contract had become undesirable because of a sudden, sharp decline in its customers' demand for baked buns. It renounced the agreement, and the supplier sues for breach of contract.

Which of the following will the court probably decide?

A. The retailer wins, because mutuality of obligation was lacking in that the retailer made no express promise to buy any of the supplier's baked buns.

B. The retailer wins, because the agreement was void for indefiniteness of quantity and total price for the year involved.

C. The supplier wins, because the retailer's promise to sell the supplier's baked buns exclusively, if it sold any such buns at all, implied a promise to use its best efforts to sell the supplier's one-year output of baked buns.

D. The supplier wins, because under the applicable law both parties to a sale-of-goods contract impliedly assume the risk of price and demand fluctuations.

Explanation:

Output v. Requirements contracts

(UCC § 2-306)

Output	Contract for sale of as many goods as seller *produces* during specified period
Requirements	Contract for sale of as many goods as buyer *requires* during specified period

UCC = Uniform Commercial Code.

Article 2 of the Uniform Commercial Code (UCC) governs contracts for the sale of goods (eg, baked buns). Under the **UCC**, a **contract for exclusive dealing** in the type of goods concerned (eg, output or requirements contract) carries with it an **implied obligation** by the seller to use its **best efforts to supply the goods** and by the buyer to **promote their sale**.

Here, the pastry supplier promised to sell its entire output of baked buns to the retailer for one year. The retailer made no express promise to buy any of the supplier's baked buns. But since the retailer promised to sell the supplier's baked buns *exclusively*, if it sold any such buns at all, the retailer impliedly promised that it would use its best efforts to sell the supplier's one-year output of baked buns **(Choice A)**. Therefore, the supplier probably wins.

(Choice B) Contracts for the sale of goods must contain definite terms that (1) reasonably *identify* the goods to be sold and (2) specify a *quantity* of goods to be sold that is certain or capable of being made certain by reference to objective facts. The quantity term is sufficiently definite in output contracts (as seen here) since the seller's actual output can be determined objectively.

(Choice D) Although both parties to a sale-of-goods contract impliedly assume the risk of price and demand fluctuations, this is not a basis for the supplier's success. Instead, the supplier will win because the retailer is required to use its best efforts to sell the supplier's baked buns.

Educational objective:

Contracts for exclusive dealing in the type of goods concerned carry with them an implied obligation by the seller to use its best efforts to supply the goods and by the buyer to promote their sale.

References

UCC § 2-306 (output, requirements, and exclusive dealings).

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A business contracted with a shareholder to purchase all of the shareholder's stock in a corporation at a specified price per share. At the time this contract was executed, the business's financial officer said to the shareholder, "Our commitment to buy is conditioned on our obtaining approval of the contract from our parent company." The shareholder replied, "Fine. No problem." The shareholder subsequently refused to consummate the sale on the ground that the business had neglected to request the parent company's approval of the contract, which was true. The parent company's chief executive officer, however, is prepared to testify that the parent company would have routinely approved the contract if requested to do so. The business can also prove that it has made a substantial sale of other assets to finance the stock purchase, although it admittedly had not anticipated any such necessity when it entered into the stock-purchase agreement.

If the business sues the shareholder for breach of contract, is the business likely to prevail?

A. No, because obtaining the parent company's approval of the contract was an event within the business's control and the business's failure to obtain it was itself a material breach of contract.

B. No, because the express condition of the parent company's approval had not occurred prior to the lawsuit.

C. Yes, because the business detrimentally relied on the shareholder's commitment by selling off other assets to finance the stock purchase.

D. Yes, because the condition of the parent company's approval of the contract, being designed to protect only the business and the parent company, can be and has been waived by those entities.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

A party may generally avoid performance if a condition precedent—ie, an uncertain future event that must occur before either or both parties' performance becomes due—has not occurred. The **nonoccurrence of a condition** may be **excused**, however, if the party who benefits from the condition **waives it by words or conduct**. The waiving party may retract the waiver unless the other party has detrimentally relied on it.

Here, the business's obligation to buy the shareholder's stock was conditioned on obtaining the parent company's approval (condition precedent). Although the business neglected to obtain that approval (nonoccurrence), the parent company's CEO is prepared to testify that the company would have routinely approved the contract if requested to do so (waiver). Because the condition protected the business and parent company and they waived it, the shareholder was required to perform by selling the stock **(Choice B)**. Therefore, the business will likely prevail.

(Choice A) Obtaining the parent company's approval was *not* an event within the business's control because the parent company could have refused to approve the contract.

(Choice C) Under the doctrine of promissory estoppel, a party can enforce a promise on which it reasonably and detrimentally relied when *no* valid contract was formed. But this doctrine does not apply here because a contract *was* formed, and performance became due when the condition precedent was waived.

Educational objective:

Nonoccurrence of a condition may be excused if the party who benefits from the condition waives it by words or conduct.

References

Restatement (Second) of Contracts §§ 224–25 (Am. Law Inst. 1981) (conditions and effect of nonoccurrence).

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A seller and a buyer, standing on a 10-acre tract of land, orally agreed to its sale and purchase for $5,000, and orally marked its bounds as "that line of trees down there, the ditch that intersects them, the fence on the other side, and that street on the fourth side."

In which of the following is the remedy of reformation most appropriate?

A. As later reduced to writing, the agreement by clerical mistake included two acres that are actually beyond the fence.

B. The buyer reasonably thought that a dilapidated shed backed up against the fence was to be torn down and removed as part of the agreement, but the seller did not. As later reduced to writing, the agreement said nothing about the shed.

C. The buyer reasonably thought that the price orally agreed upon was $4,500, but the seller did not. As later reduced to writing, the agreement said $5,000.

D. The buyer reasonably thought that two acres beyond the fence were included in the oral agreement but the seller did not. As later reduced to writing, the agreement included the two acres.

Explanation:

Availability of reformation as a remedy

Misrepresentation	One party makes untrue assertion of fact that is fraudulent or material Adversely affected party justifiably relies on that misrepresentation
Mutual mistake	Both parties are mistaken as to contract's contents or legal effect
Unilateral mistake (from fraudulent misrepresentation)	One party is mistaken because other party intentionally misrepresented contract's content or legal effect Adversely affected party justifiably relies on that misrepresentation

Reformation is an equitable remedy that courts can use to rewrite a contract to reflect the parties' original intent. This remedy is available when a **writing** that embodies an agreement **fails to express the agreement** because of a **mistake by *both* parties** as to its **content or legal effect**. When reformation is available to cure a mutual mistake, neither party can avoid the contract.

Here, the parties agreed to the sale and purchase of a 10-acre tract of land and orally marked its bounds, including "the fence on the other side." Due to a clerical mistake, the written agreement included two acres *beyond* the fence (ie, two acres neither party intended to include as part of the transaction). Therefore, at the request of either party, the court may reform the writing to cure their mutual mistake.

(Choices B, C & D) The buyer and seller did not agree to the same terms, so it would be impossible to reform the writing to reflect their actual agreement. Instead, no contract exists because there was no meeting of the minds.

Educational objective:

A court may reform a contract that fails to accurately express the parties' agreement because of a mistake by both parties as to its content or legal effect.

References

Restatement (Second) of Contracts § 155 (Am. Law Inst. 1981) (mistake of both parties justifying reformation).

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A manufacturer contracted in a signed writing to provide a company with industrial ceiling tiles for its new production facility. The contract specified that the manufacturer would deliver the tiles by third-party carrier, "F.O.B. the company's production facility."

While in transit to the production facility, one-third of the tiles fell off the carrier's truck and were destroyed. The manufacturer subsequently emailed the company that it did not intend to replace the tiles. The company sent a letter to the manufacturer that read in relevant part: "You are not responsible for replacing the damaged tiles. We will sue the carrier." The company signed the letter. Shortly thereafter, the carrier filed for bankruptcy and the company decided to sue the manufacturer for breach of contract.

Will the company be likely to prevail?

A. No, because the company's signed letter operated as a release and discharged the manufacturer from its remaining contractual duties.

B. No, because the tiles were specifically identified goods that were destroyed through no fault of either party.

C. Yes, because the manufacturer bore the risk of loss when the tiles were destroyed and breached the contract by refusing to replace the tiles.

D. Yes, because there was no new consideration to support the release of the manufacturer's remaining contractual duties.

Explanation:

Under the **UCC**, which governs contracts for the sale of goods, the risk of loss generally passes to the buyer when the buyer receives the goods. But if the contract requires the **seller to deliver** the goods by **third-party carrier**, then the **risk of loss passes to the buyer** at different times depending on whether the contract is a:

shipment contract – does *not* require delivery at a particular location, so the risk of loss passes to the buyer when the goods are properly **delivered to the carrier** *or*

destination contract – *requires* delivery at a particular location, so the risk of loss passes to the buyer when goods are **delivered at the named location**.

Destination contracts are often identified by the letters "F.O.B." (free on board) followed by a location (as seen here). And since the ceiling tiles were in transit to the company's production facility when they were destroyed, the risk of loss was with the *manufacturer* at that time. Therefore, the manufacturer was in breach when it informed the company that it did not intend to replace the tiles **(Choice C)**.

However, the company then sent the manufacturer a letter stating that the manufacturer was not responsible for replacing the damaged tiles. This operated as a **release**—ie, a writing that manifests an intent to **discharge another party** from an **existing duty**. The **UCC requires** that a release be **signed by the releasing party** (as the company did here), but **no consideration** is needed **(Choice D)**.* Therefore, the company is *unlikely* to prevail in its suit against the manufacturer.

*For common-law contracts, the release must be supported by consideration or a consideration substitute (eg, detrimental reliance) to be effective.

(Choice B) A seller's performance is excused if specifically identified items of inventory are destroyed through no fault of either party before the risk of loss passes to the buyer. Since the tiles here were general inventory items, the manufacturer's performance was not excused on this basis.

Educational objective:

A release is a writing that manifests an intent to discharge another party from an existing duty. The UCC requires the release to be signed by the releasing party, but new consideration is not required for the release to be effective.

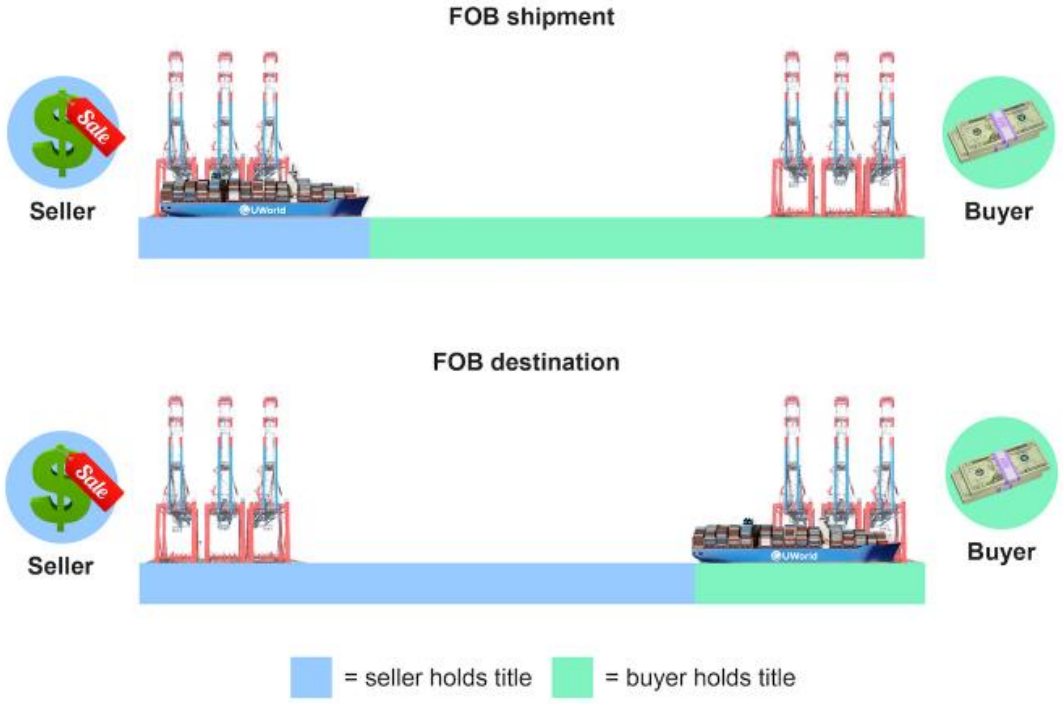
References

U.C.C. § 1-306 (Am. Law Inst. & Unif. Law Comm'n 2020) (waiver or renunciation of claim or right after breach).

Restatement (Second) of Contracts § 284 (Am. Law Inst. 1981) (release).

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Titleholder's risk of loss during transport
(UCC sale of goods)



UCC = Uniform Commercial Code

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A buyer agreed to purchase a seller's house for $250,000 "on condition that the buyer obtain mortgage financing within 30 days." Thirty days later, the buyer told the seller that he would not purchase the house because he had not obtained mortgage financing. The seller asked the buyer where he had tried to obtain mortgage financing, and the buyer responded, "I was busy and didn't have time to seek mortgage financing."

If the seller sues the buyer for breach of contract, is the court likely to find the buyer in breach?

A. No, because the buyer's performance was subject to a condition that did not occur.

B. No, because the promise was illusory since the buyer was not obligated to do anything.

C. Yes, because a promise was implied that the buyer had to make reasonable efforts to obtain mortgage financing.

D. Yes, because a reasonable interpretation of the agreement is that the buyer had an obligation to purchase the house for $250,000 in 30 days.

Explanation:

A **binding contract** is formed when one party makes an offer and the other party accepts. Performance is generally due once the contract is formed but performance can be **contingent upon** the occurrence of a condition. There are two types of conditions:

condition precedent* – ***delays* performance** until a specified event occurs
condition subsequent – ***excuses* performance** once a specified event occurs
If a party whose duty to perform is subject to a condition precedent **wrongfully prevents** the condition from occurring—eg, by breaching the implied duty of good faith and fair dealing—then the **condition will be excused**. In other words, the condition no longer needs to occur for that party's performance to become due.

Here, the agreement to purchase the house was conditioned on the buyer's ability to obtain financing within 30 days. The implied duty of good faith and fair dealing required the buyer to make reasonable efforts to secure financing. But since the buyer breached that duty by making *no* effort to obtain financing, the condition precedent was excused and his performance became due. Therefore, the court is likely to find the buyer is in breach **(Choice A)**.

*A condition concurrent arises when each party's obligation to perform is a condition precedent to the other party's obligation to perform (ie, when performance is due simultaneously).

(Choice B) A promise is illusory, and therefore unenforceable, if the promisor can choose whether to honor it—eg, had the buyer promised to purchase the house "if I want to." Here, however, the buyer's promise was not illusory because it implicitly obligated him to make efforts to obtain financing within 30 days.

(Choice D) The duty of good faith and fair dealing did *not* require the buyer to purchase the house but rather to make a reasonable effort to obtain financing within 30 days.

Educational objective:

If a party whose duty to perform is subject to a condition precedent wrongfully prevents that condition from occurring—eg, by violating the implied duty of good faith and fair dealing—the condition will be excused and that party must perform.

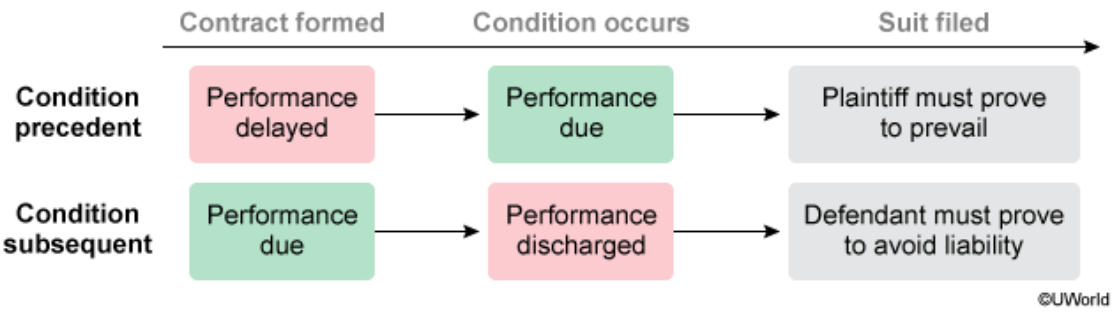
References

Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (effect of a nonoccurrence of a condition).

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Delay or discharge of performance



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A businesswoman sold her business to a company for $25 million in cash pursuant to a written contract signed by both parties. Under the contract, the company agreed to employ the businesswoman for two years as a vice president at a salary of $150,000 per year. After six months, the company, without cause, fired the businesswoman.

Which of the following statements best describes the businesswoman's rights after being fired?

A. She can get specific performance of her right to serve as a vice president of the company for two years.

B. She can recover the promised salary for the remainder of the two years if no comparable job is reasonably available and she does not take another job.

C. She can recover the promised salary for the remainder of the two years if she remains ready to work.

D. She can rescind the contract of sale and get back her business upon tender to the company of $25 million.

Explanation:

Purpose of compensatory damages

Primary (expectation measure)	Place nonbreaching party in same position as if contract had been performed Expectation measure includes: Expectation damages Incidental damages Consequential damages
Fallback (reliance measure)	When expectation measure too speculative, place nonbreaching party in same position as if no contract had been formed Reliance measure includes: Reliance damages Liquidated damages Restitution

The primary objective of **compensatory damages** is to place the nonbreaching party in the same position as if the contract had been fully performed. Therefore, when an ***employer* breaches** an employment agreement, the **employee is entitled** to recover the **unpaid salary** under the contract. The employee's total recovery is **reduced**, however, by any compensation the employee earned or **could have earned** by making **reasonable efforts** to **secure comparable employment** (ie, mitigate damages).

Here, the company breached the contract by firing the businesswoman without cause after six months. To avoid a reduction in her damages, the businesswoman must make reasonable efforts to mitigate damages (ie, do more than remain ready to work) **(Choice C)**. However, if no comparable job is reasonably available and she does not take another job, then she has the right to recover her promised salary for the remainder of the two years.

(Choice A) Specific performance is an equitable remedy whereby the court orders a party to perform its contract because monetary damages are inadequate to compensate the loss. But courts usually refuse to order breaching employers (or employees) to *perform* an employment agreement because money damages are sufficient.

(Choice D) Absent a material breach of contract, rescission (ie, cancellation of the contract) is an inappropriate remedy. Here, the company's unjustified termination of the businesswoman likely was *not* a material breach because it represented only a small part of a large contract and can easily be remedied by an award of damages.

Educational objective:

When an employer breaches an employment agreement, the employee can recover the unpaid salary under the contract. That recovery is reduced by the compensation the

employee earned or could have earned by making reasonable efforts to secure comparable employment.

References

Restatement (Second) of Contracts § 347 (Am. Law Inst. 1981) (measure of damages).

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A construction firm in a signed writing contracted with a doctor for an agreed price to build a medical office according to specifications provided by the doctor, and to start work on December 1. The construction firm agreed to provide all materials for the job in addition to all of the labor required.

The doctor, without legal excuse, repudiated the contract one week before the construction firm was to start work. Notwithstanding the doctor's repudiation, however, the construction firm subsequently purchased for $50,000 materials that could only be used in building the doctor's medical office, and promptly notified the doctor that it intended to hold him to the contract.

If allowed to perform, the construction firm would have made a profit of $30,000 on the job.

If the doctor refuses to retract his repudiation, and the construction firm sues him for damages, what is the maximum that the construction firm is entitled to recover?

A. $30,000, the construction firm's expectancy damages.

B. $50,000, on a restitutionary theory.

C. $50,000, the construction firm's reliance damages, plus $30,000, its expectancy damages.

D. Nothing, because the construction firm failed to mitigate its damages.

Explanation:

Compensatory damages for breach of construction contracts

	Before construction starts	**During construction**	**After construction completed**
Breach by builder (owner paid)	Owner entitled to cost of completion	Owner entitled to: cost of completion/correction if no undue economic waste OR value of promised construction *minus* nonconforming construction	N/A
Breach by owner (did not pay)	Builder entitled to: lost profits *plus* costs incurred OR contract price *minus* cost of completion		Builder entitled to contract price

Breach of a **construction contract** (eg, by repudiation) entitles the nonbreaching party to compensatory damages that will place that party in the same position as performance under the contract. When the **breaching party** is the **owner** and the breach occurs **before or during construction**, the builder can recover its **lost profits** (ie, expectation/expectancy damages) ***plus*** any **reasonably incurred costs**. Costs incurred *after* a breach are not reasonable and therefore cannot be recovered.

Here, the doctor repudiated the construction contract before construction began. As a result, the construction firm is entitled to recover its lost profits of $30,000 as expectancy damages. But the construction firm cannot recover the $50,000 it spent on materials *after* the breach since those costs were unreasonable.

(Choice B) A party may recover restitutionary damages for the reasonable value of a benefit conferred on another if that benefit was not rightfully earned and would be unfair to keep. But here, the construction firm did *not* confer a benefit on the doctor by incurring $50,000 in expenses post-breach.

(Choice C) When a party's expectation damages cannot be measured reliably, reliance damages can be awarded to place that party in the same position as if no contract had been entered. Reliance damages are awarded *in lieu of* expectation damages, so an award of reliance damages *plus* expectation damages is always inappropriate.

(Choice D) The construction firm's failure to mitigate its damages by incurring costs after the breach will not stop it from recovering lost profits on the construction contract.

Educational objective:

When the owner breaches a construction contract before or during construction, the builder can recover its lost profits (ie, expectation damages) plus any reasonably incurred costs. Post-breach costs are not recoverable.

References

Restatement (Second) of Contracts § 347 (Am. Law Inst. 1981) (explaining expectation damages).

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A manufacturer of computer chipsets for smartphones contracted to sell to a tech company 1 million chipsets each month for three years, payment for each installment to be made upon delivery. Before delivering the first installment, the manufacturer told the tech company, "Our manufacturing plant is undergoing renovations. This will likely have a temporary impact on the quantity, but not the quality, of chipsets in future installments." The manufacturer delivered the first three installments to the tech company in compliance with the contract. However, the fourth installment contained only 500,000 chipsets. The tech company accepted the installment on the manufacturer's assurance that the remaining 500,000 chipsets would be delivered in two weeks, which they were. Then the manufacturer communicated that the fifth installment likely would contain only 500,000 chipsets.

Which of the following statements best describes the tech company's rights after receiving the manufacturer's most recent communication regarding the fifth installment?

A. It can demand adequate assurance that the fifth installment will conform to the contract and treat a failure to give immediate assurance as a repudiation.

B. It can treat the manufacturer's communication as a repudiation and sue for breach of contract.

C. It cannot demand adequate assurance that the fifth installment will comply with the contract because it accepted a nonconforming installment.

D. It cannot sue for breach of contract if it demands, and the manufacturer gives, adequate assurance that the fifth installment will comply with the contract.

Explanation:

A party's statements or conduct may cast doubt on its ability or willingness to perform under the contract. This **prospective inability to perform** is ***not*** **a breach of contract** because—unlike anticipatory repudiation—the party has not clearly and unequivocally refused to perform. However, it **gives the other party** the **right to demand assurance of performance** and **suspend its own performance** until assurance is provided. **Failure to provide** such assurance within a reasonable time (not to exceed 30 days under the UCC) **constitutes a breach**.

Here, the manufacturer communicated that the fifth installment *likely* would contain only 500,000 chipsets. Although this cast doubt on the manufacturer's ability to deliver 1 million chipsets as promised (prospective inability to perform), it was not a clear and unequivocal refusal to do so (no anticipatory repudiation). Therefore, the tech company cannot sue for breach of contract if it demands, and the manufacturer gives, adequate assurance that the fifth installment will comply with the contract **(Choice B)**.

(Choice A) A party that receives a proper demand for assurance has a *reasonable* time to provide assurance (not to exceed 30 days under the UCC) before the other party can treat the failure to do so as a repudiation and sue for breach. As a result, the tech company cannot treat a failure to give *immediate* assurance as a repudiation.

(Choice C) In an installment contract, a party that accepts a nonconforming payment or delivery (eg, the fourth installment of 500,000 chipsets) does not forfeit the right to demand adequate assurance that future installments will comply with the contract.

Educational objective:

One party's prospective inability to perform under the contract gives the other party the right to demand assurance of performance and suspend its own performance until assurance is provided. Failure to provide assurance within a reasonable time (not to exceed 30 days under the UCC) constitutes a breach.

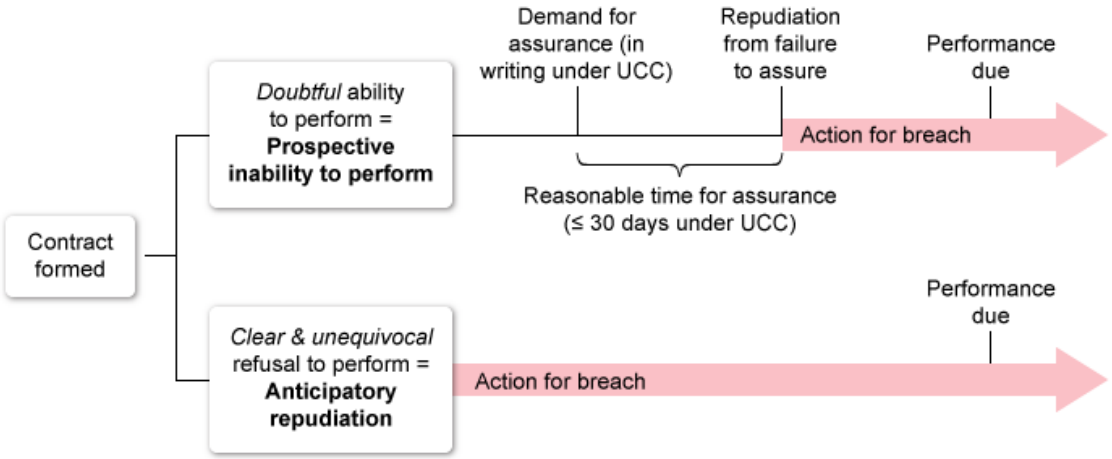
References

U.C.C. § 2-609 (Am. Law Inst. & Unif. Law Comm'n 2020) (right to adequate assurance of performance).

Restatement (Second) of Contracts § 251 (Am. Law Inst. 1981) (explaining when a party's failure to give adequate assurance may be treated as repudiation).

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Prospective inability to perform v. Anticipatory repudiation



UCC = Uniform Commercial Code.

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An experienced rancher contracted to harvest his neighbor's wheat crop for $1,000 "when the crop [was] ripe." In early September, the neighbor told the rancher that the crop was ripe. The rancher delayed because he had other customers to attend to. The neighbor was concerned that the delay might cause the crop to be lost, for hailstorms were common in that part of the country in the fall. In fact, in early October, before the crop was harvested, it was destroyed by a hailstorm.

Is the rancher liable for the loss?

A. No, because no time for performance was established in the contract.

B. No, because the neighbor failed to tell the rancher that the crop might be destroyed by a hailstorm.

C. Yes, because a party who undertakes a contractual obligation is liable for all the consequences that flow from his breach.

D. Yes, because at the time the contract was made, the rancher had reason to foresee the loss as a probable result of his breach.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

The purpose of **compensatory damages** is to put the nonbreaching party in the same position as if the contract had been performed as agreed. Compensatory damages include:

expectation damages – the lost value of the breaching party's performance *and*

consequential damages – losses that arise from the nonbreaching party's **special circumstances** that were **reasonably foreseeable** to the breaching party when the contract was made.

Here, the rancher delayed harvesting the neighbor's wheat crop because he had other customers to serve. As a result of the delay, the crop was destroyed by a hailstorm before it could be harvested (special circumstances). This loss was foreseeable when the rancher–neighbor contract was made, given the rancher's experience and the frequency of hailstorms in the fall. Therefore, the rancher is liable for the loss of the crop.

(Choice A) The language in the contract stating that the rancher was to harvest the crop "when the crop was ripe" was sufficient to establish the time of the rancher's performance.

(Choice B) Although the neighbor failed to tell the rancher that the crop might be destroyed by a hailstorm, the rancher's experience and the frequency of hailstorms combined to make the loss foreseeable.

(Choice C) A party who undertakes a contractual obligation is liable only for the *foreseeable* consequences that flow from his/her breach.

Educational objective:

Consequential damages (ie, losses arising from the nonbreaching party's special circumstances) are recoverable only if they were reasonably foreseeable to the breaching party when the contract was made.

References

Restatement (Second) of Contracts § 351 (Am. Law Inst. 1981) (unforeseeability and related limitations on damages).

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A firm contracted with a municipality to repair a drawbridge and began work on February 1. The contract provided that the firm would be paid an additional $1,000 for each day the repair was completed before the April 1 completion deadline. On March 14, an unusual gear on the bridge broke. On that same day, the firm contracted with a supplier for a March 15 delivery to the bridge site of the only available replacement gear. The supplier did not know the firm's contract contained an incentive-pay provision regarding early completion. The supplier misdirected the delivery of the gear, and the firm did not receive it until March 20. The work on the bridge was completed on March 21. Had it not been for the late delivery of the gear, however, the firm would have completed the bridge repair on March 16.

In an action against the supplier for breach of contract, will the firm be permitted to recover, as part of its damages, the additional $5,000 early-completion incentive pay it would have received from the municipality but for the supplier's breach?

A. No, because the supplier did not expressly agree to be responsible for such damages.

B. No, because the supplier did not know and had no reason to know about the incentive-pay provision regarding early completion.

C. Yes, because, by the nature of its contract with the firm, the supplier should have known that time was of the essence.

D. Yes, because the supplier is liable for all damages flowing directly from its breach.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

After a contract is **breached**, the nonbreaching party may seek **compensatory damages**. Generally, these damages aim to put the nonbreaching party in the same position as if the contract had been performed. As a result, the calculation begins by determining expectation damages—ie, the natural and obvious losses from the breach. And in some cases, **consequential damages**—ie, **losses arising** from a **party's special circumstances**—are also warranted. Consequential damages are appropriate only if the breaching party:

knew about the nonbreaching party's **special circumstances** *or*
could have **reasonably foreseen** the harm, in light of the nonbreaching party's special circumstances, that would result from a breach.

Here, the firm stood to gain $1,000 for each day the drawbridge repair was completed before the April 1 completion deadline—$5,000 in total. Had the supplier known about those special circumstances or otherwise been able to foresee the harm that its breach would cause, consequential damages of $5,000 would be warranted. But since there is no indication the supplier knew or had reason to know of the pay provision regarding early completion, the firm will not be permitted to recover the $5,000.

(Choice A) There is no rule requiring that a party *expressly agree* to be responsible for consequential damages stemming from a breach to hold that party responsible.

(Choice C) When a contract calls for a specific completion date, time is considered "of the essence," and a failure to perform by that date is a breach. However, this alone is not sufficient for recovering consequential damages.

(Choice D) A party is not liable for *all* damages flowing directly from its breach—eg, damages related to special circumstances of which the breaching party did not know of and could not reasonably foresee.

Educational objective:

Consequential damages (ie, losses arising from a nonbreaching party's special circumstances) are appropriate if the breaching party (1) knew about the special

circumstances or (2) could have reasonably foreseen the harm, in light of the special circumstances, that would result from a breach.

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A contractor agreed to build a power plant for a public utility. A concrete company agreed with the contractor to lay the foundation for $200,000. The concrete company supplied goods and services worth $150,000, for which the contractor made progress payments aggregating $100,000 as required by the subcontract. The concrete company then breached by unjustifiably refusing to perform further. The contractor reasonably spent $120,000 to have the work completed by another foundation layer. The concrete company sues the contractor for the reasonable value of benefits conferred, and the contractor counterclaims for breach of contract.

Which of the following should be the court's decision?

A. The concrete company recovers $50,000, the benefit conferred on the contractor for which the concrete company has not been paid.

B. The concrete company recovers $30,000, the benefit the concrete company conferred on the contractor minus the $20,000 in damages incurred by the contractor.

C. The contractor recovers $20,000, the excess over the contract price that was paid by the contractor for the performance it had bargained to receive from the concrete company.

D. Neither party recovers anything, because the concrete company committed a material, unexcused breach and the contractor received a $50,000 benefit from the concrete company for which the concrete company has not been paid.

Explanation:

Compensatory damages for breach of construction contracts

	Before construction starts	**During construction**	**After construction completed**
Breach by builder (owner paid)	Owner entitled to cost of completion	Owner entitled to: cost of completion/correction if no undue economic waste OR value of promised construction *minus* nonconforming construction	N/A
Breach by owner (did not pay)	Builder entitled to: lost profits *plus* costs incurred OR contract price *minus* cost of completion		Builder entitled to contract price

Breach of a **construction contract** allows the nonbreaching party to seek compensatory damages that will place that party in the same position as if the contract had been performed. When the **breaching party** is the **builder** (as seen here) and the breach occurs **during construction**, the nonbreaching party can generally recover the **cost of completion** over the contract price.* But the builder can only recover the value of unpaid-for work performed before the breach if the nonbreaching party was unjustly enriched by that work.

Here, the concrete company breached the construction contract by refusing to complete the foundation as agreed. At that time, the contractor had already paid the company $100,000. The contractor then spent $120,000 to have the work completed by another foundation layer—bringing the contractor's total payment to $220,000. Since the contract price was $200,000, the contractor should recover the $20,000 cost of completion over the contract price **(Choice D)**.

*When the cost of completion over the contract price is clearly excessive compared to the loss in value caused by the breach (ie, involves undue economic waste), recovery is instead based on the value of the promised construction minus the value of the nonconforming construction.

(Choices A & B) Although the concrete company provided the contractor $50,000 worth of goods and services for which it has not been paid, the contractor was not unjustly enriched—ie, did not receive a benefit that was not rightfully earned and would be unfair to keep. The reason is that the contractor still had to pay $20,000 in excess of the contract

price, so any payment to the concrete company would just make the contractor's damages worse.

Educational objective:

When a builder breaches a construction contract during construction, the nonbreaching party can recover the cost of completion over the contract price.

References

Restatement (Second) of Contracts § 348 (Am. Law Inst. 1981) (explaining that the measure of damages for defective construction is the cost of completion unless it is clearly disproportionate to the loss in value).

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An engineer entered into a written contract with an owner to serve in the essential position of on-site supervisor for construction of an office building. The day after signing the contract, the engineer was injured while bicycling and was rendered physically incapable of performing as the on-site supervisor. The engineer offered to serve as an off-site consultant for the same pay as originally agreed to by the parties.

Is the owner likely to prevail in an action against the engineer for damages resulting from his failure to perform under the contract?

A. No, because the engineer offered a reasonable substitute by offering to serve as an off-site consultant.

B. No, because the engineer's physical ability to perform as on-site supervisor was a basic assumption of the contract.

C. Yes, because the engineer breached the contract by disappointing the owner's expectations.

D. Yes, because the engineer's duty to perform was personal and absolute.

Explanation:

A contracting party's duty to perform can be discharged by **impracticability**. The defense of impracticability is available when:

an **unanticipated or extraordinary event** makes it impracticable for the party to perform the contract was formed under a **basic assumption** that the **event would *not* occur** *and* the **party seeking discharge** was **not at fault** in causing the event to occur.

Here, the engineer entered into a contract to serve in the essential position of on-site supervisor for construction of an office building. The next day, the engineer suffered a bicycle injury that rendered him physically incapable of performing. Because the engineer's physical ability to perform as on-site supervisor was a basic assumption of the contract and there is no indication that the injury was his fault, his duty to perform was discharged. Therefore, the engineer did not breach the contract by failing to perform, and the owner is unlikely to prevail **(Choice C)**.

(Choice A) An offer by a party to perform less than what was contracted for (eg, the engineer's offer to serve as an off-site consultant) will not excuse a breach. This is true even if the offered performance is a reasonable substitute.

(Choice D) Although the engineer's duty to perform was personal and absolute, he is *not* in breach—and the owner will *not* prevail—because the doctrine of impracticability excused the engineer's nonperformance under the contract.

Educational objective:

The defense of impracticability is available when (1) an unanticipated or extraordinary event makes it impracticable for a party to perform, (2) the contract was formed under a basic assumption that the event would not occur, and (3) the party seeking discharge was not at fault in causing the event to occur.

References

Restatement (Second) of Contracts § 261 (Am. Law Inst. 1981) (discharge by supervening impracticability).

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Examples of impracticability



Incapacity or death



Destruction of thing needed for performance



Prohibition or law

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A tenant rented a commercial building from a landlord and operated a business in it. The building's large front window was smashed by vandals. The tenant, who was obligated thereunder to effect and pay for repairs in such cases, promptly contracted with a window store to replace the window for $2,000.

After the store's satisfactory completion of the window replacement, the tenant ceased doing business and vacated the building. Upon vacating the building, the tenant mailed a $1,000 check to the window store bearing on its face the following conspicuous notation: "This check is in full and final satisfaction of your $2,000 window replacement bill." Without noticing this notation, the window store cashed the check and then sued the tenant for the $1,000 difference.

If the tenant's only defense is accord and satisfaction, is the tenant likely to prevail?

A. No, because the amount owed by the tenant to the window store was liquidated and undisputed.

B. No, because the window store failed to notice the tenant's notation on the check.

C. Yes, because by cashing the check the window store impliedly agreed to accept the $1,000 as full payment of its claim.

D. Yes, because the window store failed to write a reservation-of-rights notation on the check before cashing it.

Explanation:

When a **good-faith dispute** exists as to the amount of a debt, the debtor can offer to **settle that debt** by giving the creditor a **check with a conspicuous notation** stating that it constitutes **payment in full**. The creditor can then:

cash the check – in which case the **debt *is* satisfied** or
reject the check – in which case the **debt is *not* satisfied**.
But if the debt is **liquidated** (ie, certain and undisputed in amount), it **cannot be satisfied** by a check for a **lesser amount**. This is true even if the creditor cashes that check.

Here, the tenant offered to satisfy his debt to the window store by mailing a $1,000 check with a conspicuous notation stating that "[t]his check is in full and final satisfaction of the $2,000 bill." But since this notation acknowledged that the tenant owed the store $2,000 (liquidated amount), his check for the lesser amount of $1,000 could not satisfy that debt. Therefore, the tenant is unlikely to prevail.

(Choice B) A check with a conspicuous notation is sufficient to satisfy a disputed debt—even if the creditor fails to notice that notation.

(Choice C) Had there been a good faith dispute as to the amount of the debt, then the window store, by cashing the check, would have impliedly agreed to accept the $1,000 as full payment of its claim. But there is no implied agreement to settle when the debt is liquidated.

(Choice D) A creditor *cannot* reserve its right to collect the full amount of a debt by writing a reservation-of-rights notation (eg, "under protest") on a check before cashing it. Therefore, the window store's failure to do so is irrelevant.

Educational objective:

If a debt is disputed in good faith, then the debtor can offer to satisfy the debt by giving the creditor a check with a conspicuous "payment-in-full" notation. But if the debt is liquidated (ie, certain and undisputed in amount), then it cannot be satisfied by a check for a lesser amount—even if the creditor cashes the check.

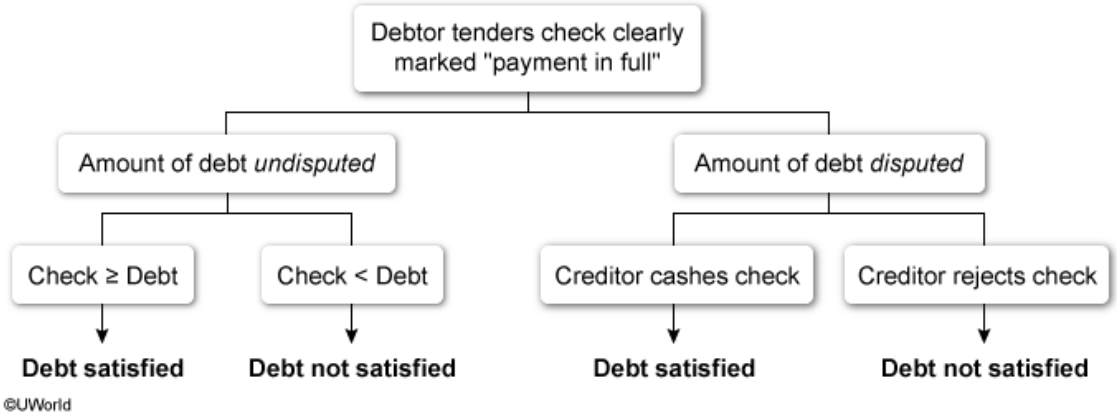
References

Restatement (Second) of Contracts § 281 cmt. d (Am. Law Inst. 1981) (explaining that a creditor who cashes a check marked "payment in full" may have formed an enforceable accord).

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Offer to satisfy debt with check



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A broker needed a certain rare coin to complete a set that he had contracted to assemble and sell to a collector. On February 1, the broker obtained such a coin from a hoarder in exchange for $1,000 and a written promise to redeliver to the hoarder "no later than December 31 of this year" a comparable specimen of the same kind of coin. On February 2, the broker consummated the sale of the complete set to the collector.

On October 1, the market price of rare coins suddenly began a rapid, sustained rise. On October 15, the broker wrote the hoarder, "In view of the surprising market, it seems unfair that I should have to replace your coin within the next few weeks." On October 17, the hoarder responded in writing that she was treating the broker's repudiation as final and canceled the contract.

On November 15, the hoarder sued the broker for the market value of a comparable replacement-coin.

If the broker moves to dismiss the hoarder's complaint, which of the following is the broker's best argument in support of the motion?

A. Even if the broker repudiated on October 15, the hoarder has no remedy because she failed to demand in writing that the broker retract his repudiation.

B. Even if the broker repudiated on October 15, the hoarder's only action would be for specific performance because the coin is a unique chattel.

C. The broker did not repudiate the contract on October 15 and may still perform no later than the contract deadline of December 31.

D. Under the doctrine of impossibility, the broker is temporarily excused by the market conditions from timely performance of his coin-replacement obligation.

Explanation:

The **doctrine of anticipatory repudiation** is applicable when a contracting party indicates an unwillingness to perform a promise ***before*** the time for **performance arises or elapses**. The repudiation must be **clear and unequivocal**, and it may be by **words or actions**. Upon repudiation, the nonrepudiating party may either treat the repudiation as a breach *or* ignore it and demand performance pursuant to the contract.

Here, the broker wrote the hoarder that "it *seems* unfair that I should have to replace your coin within the next few weeks." This statement did not clearly and unequivocally demonstrate the broker's intention not to perform pursuant to their contract. As a result, the broker's best argument supporting dismissal of the hoarder's breach-of-contract claim is that he did not repudiate the contract and may still perform no later than the contract deadline.*

*The broker's statement presents reasonable grounds for insecurity about his willingness to perform, so the hoarder has the right to make a written demand for assurances. The broker's failure to provide such assurances within 30 days would result in an anticipatory repudiation.

(Choice A) A repudiation may be retracted unless the nonrepudiating party has (1) canceled the contract, (2) materially changed position, or (3) indicated that he/she considers the repudiation final. But there is no requirement that the nonrepudiating party demand in writing that the repudiating party issue a retraction.

(Choice B) Specific performance is an available remedy when monetary damages would be inadequate because the property or chattel at issue is unique. But monetary damages would be adequate here since the parties contracted for a *comparable* specimen of the same kind of coin—not the exact same coin.

(Choice D) The doctrine of impossibility discharges a party's contractual duties when an unexpected and extraordinary event beyond the parties' control makes performance impossible. However, a change in market conditions is neither unexpected nor extraordinary. And the broker is able to perform since he can still purchase the coin, albeit at a higher price.

Educational objective:

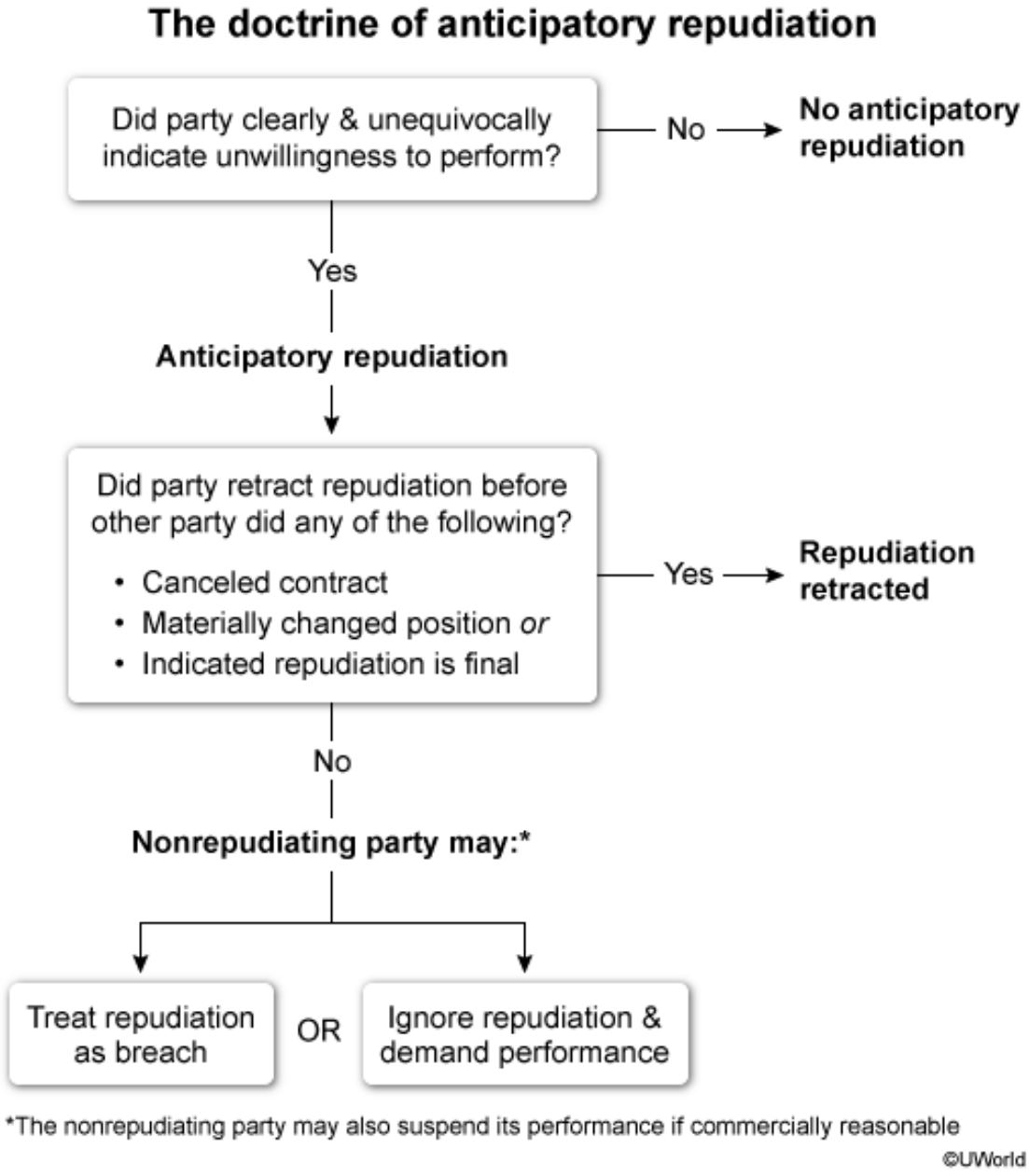
The doctrine of anticipatory repudiation applies when a party *clearly and unequivocally* repudiates (ie, indicates an unwillingness to perform) a promise before the time for performance arises or elapses. The nonrepudiating party may treat the repudiation as a breach *or* ignore it and demand performance pursuant to the contract.

References

U.C.C. § 2-610 (Am. Law Inst. & Unif. Law Comm'n 2020) (anticipatory repudiation).

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On March 1, a mechanic contracted to repair a textile company's knitting machine by March 6. On March 2, the textile company contracted to manufacture and deliver specified cloth to a customer on March 15. The textile company knew that it would have to use the machine then under repair to perform this contract. Because the customer's order was for a rush job, the customer and the textile company included in their contract a liquidated damages clause, providing that the textile company would pay the customer $5,000 for each day's delay in delivery after March 15.

The mechanic was inexcusably five days late in repairing the machine, and, as a result, the textile company was five days late in delivering the cloth to the customer. The textile company paid $25,000 to the customer as liquidated damages and then sued the mechanic for $25,000. Both the mechanic and the textile company knew when making their contract on March 1 that, under ordinary circumstances, the textile company would sustain few or no damages of any kind as a result of a five-day delay in the machine repair.

Assuming that the $5,000-per-day liquidated damages clause in the contract between the textile company and the customer is valid, which of the following arguments will serve as the mechanic's best defense to the textile company's action?

A. By entering into the contract with the customer while knowing that its knitting machine was being repaired, the textile company assumed the risk of any delay loss to the customer.
B. In all probability, the liquidated damages paid by the textile company to the customer are not the same amount as the actual damages sustained by the customer in consequence of the late delivery of the cloth.
C. The mechanic had no reason to foresee on March 1 that the textile company would suffer consequential damages in the amount of $25,000.
D. Time was not of the essence in the contract between the mechanic and the textile company.

Explanation:

Consequential damages

Damages for losses stemming from nonbreaching party's special circumstances if breaching party:

knew of those special circumstances
OR

could have reasonably foreseen harm caused by breach

The primary goal of contract damages is to put the nonbreaching party in the same position as if the contract had been performed. This includes expectation damages for the value of the breaching party's performance that was lost. However, it includes **consequential damages** for losses arising from the nonbreaching party's **special circumstances** only if the breaching party:

knew about the nonbreaching party's **special circumstances** *or*
could have **reasonably foreseen the harm**, in light of the nonbreaching party's special circumstances, that would result from a breach.

Here, the mechanic was inexcusably five days late in repairing the knitting machine. Under normal circumstances, the textile company would have sustained *few or no* damages as a result of the breach. However, the textile company did not inform the mechanic of its contract with the customer. Therefore, the fact that the mechanic had no reason to foresee that the textile company would suffer $25,000 in consequential damages ($5,000 for each day's delay) is the mechanic's best defense.

(Choice A) The facts do not indicate that the textile company assumed the risk of any delay loss to the customer. The textile company had contracted with the mechanic for repairs to be completed within a time frame that would have allowed it to timely fulfill its contractual obligations to the customer.

(Choice B) The facts state that the liquidated damages clause is valid; they do not provide information concerning the actual damages sustained by the customer.

(Choice D) Although the contract did not state that time was of the essence, the mechanic agreed to complete the repairs by a specified time. His failure to do so constituted a breach entitling the textile company to damages. Nevertheless, the textile company cannot recover the $25,000 because those damages were unforeseeable.

Educational objective:

An award of consequential damages for losses arising from the nonbreaching party's special circumstances is appropriate only if the breaching party (1) knew about the special

circumstances or (2) could have reasonably foreseen the harm, in light of the special circumstances, that would result from a breach.

References

Restatement (Second) of Contracts § 351 (Am. Law Inst. 1981) (unforeseeability and related limitations on damages).

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An architect agreed with a developer to design a large residential development. Because the architect had a history of substance abuse problems, the parties agreed that the developer's duty to accept and pay for the plans would be conditioned on the architect's abstaining from alcohol during the six months it would take to do the work. After two months, the architect began having several alcoholic drinks each day. The developer became aware of the architect's drinking before the architect showed the developer the preliminary plans. When the developer saw the preliminary plans, the developer told the architect that the concept was impressive and that he looked forward to seeing the final plans. The architect continued to have several alcoholic drinks each day and completed the plans within the specified contract period. However, the developer declined to review, accept, or pay for the final plans and stated that it was because of the architect's continued use of alcohol.

The architect has sued the developer for breach of contract.

Which of the following arguments best supports the architect's claim?

A. The alcohol use was not a material breach of contract by the architect, since it did not affect the quality of the work.
B. The developer waived the condition of no alcohol use.
C. The no-alcohol term was functionally a penalty clause and therefore was unenforceable.
D. The no-alcohol term would be interpreted as a promise and not a condition.

Explanation:

When nonoccurrence of condition is excused

Waiver	Party waives condition by words or conduct
Wrongful interference	Party wrongfully prevents or interferes with condition's occurrence
Estoppel	Party indicates condition will not be enforced AND Other party reasonably & detrimentally relies on belief that condition has been waived
Disproportionate forfeiture	Party substantially performed & will be significantly harmed if condition is enforced

Performance is generally due once a contract is formed but can be made **contingent upon** the occurrence of a condition precedent. In that case, performance will not become due until the condition occurs or its **nonoccurrence is excused**. One way for nonoccurrence to be excused is for the **party who benefits** from the condition to **waive the condition**—ie, indicate by words or conduct that the condition need no longer occur.

Here, the developer's duty to accept and pay for the plans was conditioned on the architect abstaining from alcohol while the plans were designed (condition precedent). Although the architect did not abstain from alcohol (nonoccurrence) and the developer was aware of this, the developer approved the preliminary plans (waiver). As a result, the condition's nonoccurrence was excused and the developer's performance became due. Therefore, waiver is the argument that best supports the architect's claim of breach of contract.

(Choice A) Express conditions such as the no-alcohol-use condition require strict compliance, so the fact that the architect's alcohol use did not affect the quality of the work is irrelevant.

(Choice C) A penalty is a liquidated damages clause so unreasonably large that it punishes a party for breach (as opposed to merely compensating the other party). But the no-alcohol term in this case is *not* a damages clause and is not meant to compensate the developer for breach.

(Choice D) Ambiguity about whether an event creates a promise or a condition is generally resolved in favor of a promise unless the event was within the obligee's control or he/she assumed its risk. There was no ambiguity here, however, because the developer's duty to pay was expressly conditioned on the architect's abstaining from alcohol.

Educational objective:

If the party who benefits from the condition waives the nonoccurrence of the condition—ie, indicates by words or conduct that the condition need no longer occur—then that party's performance will become due.

References

Restatement (Second) of Contracts § 224 (Am. Law Inst. 1981) (definition of condition).

Restatement (Second) of Contracts § 225 (Am. Law Inst. 1981) (effect of nonoccurrence of condition).

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A collector agreed to sell his collection of authentic extras' costumes from a cult-classic 80's show to a costume store for $10,000, payable one month after the collection was delivered to the store via a third-party carrier. Due to the time and expense that went into accumulating and repairing the costumes, the collector expected a $2,000 profit. The costumes suffered minor water damage in transit, and the store immediately notified the collector that it was rejecting the collection and would hold the collection until the collector picked it up. The collector told the store that he would look for a new buyer and would pick up the collection in a few weeks. The collector quickly found another buyer willing to pay the original contract price. However, before the collector could retrieve the collection, the store sold and delivered the costumes to a theater company that knowingly accepted the costumes despite the water damage. The theater company paid the store $15,000 for the collection, and the store retained the payment.

If the store's sale of the costumes was NOT an acceptance, what is the highest-value remedy available to the collector?

A. $2,000, the collector's lost profit.

B. $5,000, the difference between the market price and the contract price.

C. $10,000, the collector-store contract price.

D. $15,000, damages for conversion.

Explanation:

The UCC governs contracts for the sale of goods (eg, costumes). Under the **UCC perfect-tender rule**, goods must conform perfectly to the contract. Failure to provide such goods is a breach that, unless cured in the time remaining to perform, **allows the buyer to reject** or accept the goods in whole or in part.

Upon rejection, the buyer must retain possession of the goods for a reasonable time so that the seller can reclaim them. If the buyer **wrongfully disposes of** the rejected goods, the seller may sue the buyer for **conversion** to recover the **fair market value** of the converted property at the time of the conversion.

Here, the store rightfully rejected the collection of minorly damaged costumes because they did not perfectly conform to the agreement. However, the store wrongfully sold and delivered the collection to a theater company before the collector could pick it up. As a result, the collector can sue the store for conversion and recover the collection's fair market value of $15,000.

(Choice A) The collector could have recovered his lost profit ($2,000) had he been a lost-volume seller—ie, a seller who has an *unlimited* supply of goods and makes a profit per item. But here, the collector is merely selling his *limited* supply of authentic extras' costumes.

(Choice B) When a buyer *wrongfully* rejects tendered goods, the seller may ordinarily recover the contract price minus the market price at the time and place of tender (here, $5,000). But here, the store *rightfully* rejected the goods because they were nonconforming.

(Choice C) When a buyer has *accepted* the goods and fails to pay for them, the seller may sue for the contract price (here, $10,000). But since the store *rejected* and then converted the costumes, the collector is instead entitled to the fair market price ($15,000).

Educational Objective:

If a buyer wrongfully disposes of rejected goods, the seller may sue the buyer for conversion to recover the fair market value of the converted property at the time of the conversion.

UCC = Uniform Commercial Code.

References

UCC § 2-503 (Am. Law Inst. & Unif. Law Comm'n 2020) (perfect-tender rule).

UCC § 2-708(2) (Am. Law Inst. & Unif. Law Comm'n 2020) (lost profits for volume sellers).

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